

India @2047: Post-Conference Institutional Compendium
5 Oct 2026

Sector structural theses and macroeconomic outlook from our flagship investor summit, framed against India's journey to a developed economy by 2047.

A Note of Gratitude

To our global institutional investors. We extend our sincere appreciation to the 5,000+ participants whose engaged attendance made this flagship event an extraordinary success: institutional fund managers, domestic mutual funds, sovereign wealth allocators, global FPIs, family offices and retail investors. The breadth of discussion, valuation cross-examination and long-term capital allocation dialogue reflected deep conviction in India's structural compounding trajectory.

To corporate leadership and IR teams. We are equally grateful to the promoters, board members, CXOs and Investor Relations professionals of every participating company. Your coordination of executive access, granular operational visibility, detail on supply-chain realignment and transparent multi-year capex roadmaps made this summit a benchmark forum for institutional discovery.

To the Arihant Capital team. Finally, we thank every member of the Arihant Capital family whose dedication made this summit possible. From research, institutional sales and corporate access to events, operations and technology, your tireless effort and attention to detail delivered a seamless experience for investors and companies alike.

The India @2047 Lens

Every theme debated at the summit maps to a building block of Viksit Bharat @2047, India's goal of becoming a developed nation by the centenary of independence. The private capex cycle now under way is, in our view, the first leg of that two-decade build-out.

- World-class infrastructure: H2 tender acceleration, freight corridors and wagon fleet expansion. Sectors: infra EPC, cement, railways, logistics.
- Energy transition and grid security: renewable evacuation, Green Energy Corridors and 220–400 kV upgrades. Sectors: power T&D, cables, captive renewables.
- Manufacturing self-reliance: import substitution at 50–70% shorter lead times and Make-in-India defence. Sectors: capital goods, defence electronics, auto components.
- Rising, premiumising consumption: urban premiumisation, the branded shift and formalisation. Sectors: durables, staples, jewellery, real estate.
- Healthy and sustainable society: Tier-2/3 healthcare, China-plus-one pharma and EPR-led recycling. Sectors: hospitals, APIs/CDMO, circular economy.
- Deep, inclusive financial system: stable credit costs and trail-based wealth revenues. Sectors: NBFCs, MFIs, capital market intermediaries.
- Digital and AI-led productivity: digital engineering, cloud migration and domain AI platforms. Sectors: enterprise IT and digital solutions.

Macro Architecture: Cyclical Inflection and the H2 Capex Rebound

The H1 slowdown is reversing into a broad execution rebound, with capacity utilisation past the 75–85% threshold that triggers private capex.

- **Private capex inflection gathering momentum:** First-half moderation was driven by election administration, prolonged heatwaves and monsoon interruptions. Utilisation across heavy engineering, capital goods, metals and infrastructure fabrication has now crossed the 75–85% tipping range. Healthy balance sheets, low debt-to-equity and well-capitalised banks are turning this into sustained brownfield and greenfield commitments.

- **Resilient domestic consumption:** Structural demand across passenger mobility, commercial vehicles, housing, branded staples and lifestyle retail remains sound. Urban premiumisation supports mix and realisation gains, while normalised reservoirs and stable farm-gate prices support rural incomes and farm machinery adoption.
- **Compelling sectoral valuation disconnects:** Headline indices trade near historical bands, but dislocations have opened in core manufacturing, power transmission, transport EPC, real estate and specialised consumption.

Businesses with the following profile still trade at attractive multiples to multi-year cash-flow potential:

- visible 15–25%+ compounding runways,
- robust internal cash generation, and
- sustainable ROCE above 20%.

This sets up an asymmetric risk-reward ahead of cyclical earnings acceleration.

Macro Sensitivity: Tail-Risk Matrix and Mitigants

We view the major macro risks as unlikely, with buffers in place at both the economy and corporate level.

- **Severe or delayed monsoon**
Impact: temporary rural wage compression, short-term mass FMCG volume moderation, localised food inflation (e.g. maize, paddy).
Mitigants: expanded irrigation, healthy reservoir storage, counter-cyclical government buffer releases.
- **Geopolitical friction (West Asia, Black Sea)**
Impact: Cape of Good Hope re-routing, container shortages, freight spikes, transit lags.
Mitigants: domestic supply chains, backward integration, diversified sourcing.
- **Trade regulation (e.g. EU CBAM)**
Impact: compliance costs and export margin pressure on carbon-intensive goods.
Mitigants: captive renewable power, greener production.
- **Commodity volatility**
Impact: pressure on EPC and manufacturing execution spreads.
Mitigants: Price Variation Clauses, back-to-back hedging on domestic and global exchanges.

Monsoon: Ground metrics confirm the recent monsoon's impact on core corporate fundamentals has been negligible. An erratic or severely delayed cycle remains a theoretical tail risk only.

Corporate insulation: Major engineering and EPC order books carry formulaic PVCs or back-to-back hedges that lock in execution spreads. Accelerating adoption of captive solar, wind and waste-heat recovery is structurally lowering unit costs and defending EBITDA margins against external shocks.

Sector Deep Dive: Operational Takeaways and Structural Drivers

Capital Goods and Power Transmission

- **Power T&D and high-voltage grid transformation:** T&D networks face sustained multi-year structural deficits. Renewable evacuation lines, Green Energy Corridors, data-centre power build-outs and grid modernisation (including underground cabling) are driving double-digit tender pipelines. Order backlogs stretch 6–8 quarters, with mix shifting to 220–400 kV transformers and MV/HV cables carrying 12–25% margins.
- **Industrial capital goods and precision automation:** Private capex is lifting demand for mixing machinery, process automation, forming equipment and precision tooling. Domestic OEMs are winning share from European and East Asian imports with equivalent specifications at 50–70% shorter lead times, backed by captive fabrication and local design.

Infrastructure EPC, Cement and Logistics

- **Civil infrastructure, highways and industrial EPC:** After administrative pauses in early FY27, central and state tendering is accelerating into H2. Leaders benefit from clean balance sheets, faster working-capital settlement (TReDS, bank guarantees) and integrated PEB and captive aggregate capabilities.
- **Cement and building materials:** The sector is entering an accelerated volume phase on infrastructure spending and housing demand. Leaders are adding brownfield and greenfield clinker and grinding capacity, defending margins against petcoke and coal volatility through captive solar, wind and WHRS.
- **Marine and multimodal logistics:** Integrated operators are capitalising on tight global container capacity through buy-and-lease strategies and expanding liquid tank container fleets. An acute global shortage of offshore support vessels lets niche diving support vessel operators secure multi-year inspection and maintenance charters at rising day-rates and high cash returns.

Railways, Defence and Automotive

- **Railway modernisation and rolling stock:** Dedicated freight corridors, coach upgrades and track expansion are building multi-year pipelines. Freight targets require significant wagon additions over the next five to six years, driving capacity scaling across wagons, bogies, coach components and signalling.
- **Defence and strategic electronics:** Make-in-India and Make-II procurement is unlocking multi-year opportunities. Domestic players in precision guidance, defence displays, aerospace sub-assemblies and specialised forgings are entering commercial production with high value-add and sticky customers.
- **Automotive premiumisation and electrification:** Two-wheeler and CV volumes are expanding on rural stabilisation, festive retail and urban fleet replacement. Rising electronic and aesthetic content per vehicle, PV premiumisation and EV scale-up are widening the addressable market for Tier-1 suppliers.

Real Estate

- **Residential metro corridors and redevelopment:** Demand remains structurally strong on income growth, lifestyle upgrades and consolidation toward organised tier-1 developers. Asset-light redevelopment and JDAs cut upfront land capital while unlocking high-velocity inventory in prime metro corridors.
- **Commercial office and warehousing:** Leasing is steady on GCC expansion, BFSI growth and domestic corporate demand. Tech-enabled mandate platforms are institutionalising sales and CRM, shortening liquidation cycles.

Consumer Discretionary, Staples and Retail

- **Consumer durables:** Appliance leaders are adding year-round categories (air purifiers, BLDC fans, high-efficiency cooling) to reduce summer seasonality. Energy-rating and BIS mandates are shifting share from unorganised fabricators to organised brands.
- **Branded staples and specialty FMCG:** Modern trade and quick commerce are driving volume in branded staples, edible oils and packaged foods. Players with farm-gate procurement and captive processing manage commodity spreads while capturing the unbranded-to-branded shift.
- **Lifestyle retail and organised jewellery:** Elevated bullion prices are pushing consumers toward lightweight diamond, studded gold and lifestyle jewellery. Organised players continue to gain share from standalone jewellers via company-owned and shop-in-shop formats.

Healthcare, Pharma and Circular Economy

- **Hospitals:** Rising insurance penetration, medical value travel recovery and Tier-2/3 secondary and tertiary demand support growth. Capital-efficient bed additions break even at lower occupancy, generating healthy ROCE and cash flows.
- **APIs and CDMO:** China-plus-one diversification continues to benefit domestic producers, who are backward-integrating into precursors and commercialising regulated-market formulations and CDMO platforms.
- **Recycling:** EPR mandates and carbon-tracking regimes such as CBAM are consolidating secondary metals and rubber recycling. Organised recyclers with captive green power and automated lines hold a clear cost moat.

Banking, NBFCs and Financial Services

- **Credit growth and risk discipline:** Diversified NBFCs and MFIs are seeing credit costs stabilise on tighter underwriting, lower marginal borrowing costs and branch rationalisation. Digital lending distributors and supply-chain financiers are scaling on transaction data and anchor ecosystems, with near-zero NPAs and superior asset turnover.
- **Capital market intermediaries:** Wealth and retail broking franchises are pivoting toward trail-based distribution, PMS and institutional clearing to insulate earnings from retail derivatives volatility.

Enterprise Technology

- **Enterprise transformation and agentic AI:** IT services firms are shifting from legacy maintenance to higher-margin digital engineering, cloud migration and domain-specific AI platforms. Proprietary frameworks, automated compliance engines and platform-agnostic architectures enable margin expansion without linear headcount growth.

Strategic Synthesis: Institutional Takeaways

Three pillars underpin the institutional case heading into H2, and they are the near-term expression of the India @2047 build-out:

1. **Operating leverage inflection:** Capacity added over the past 12–24 months is moving from under-absorbed fixed costs to peak utilisation, unlocking rapid operating leverage and positive free cash flow.
2. **Formulaic margin protection:** Power equipment, engineering and EPC players are insulated from commodity swings through contractual pass-through structures and backward-integrated manufacturing.
3. **Valuation disconnect vs. earnings visibility:** Meaningful valuation gaps persist across core cyclical, infrastructure and consumer sectors relative to multi-year compounding visibility, setting a strong base for outperformance as private capex accelerates.

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1	<u>Accord Transformer & Switchgear Ltd</u>	<u>18</u>
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3	<u>Admach Systems Ltd</u>	<u>21</u>
4	<u>Afcons Infrastructure Ltd</u>	<u>22</u>
5	<u>Akiko Global Services Ltd</u>	<u>23</u>
6	<u>Akme Fintrade (India) Ltd</u>	<u>25</u>
7	<u>AllDigitech Ltd</u>	<u>27</u>
8	<u>All E Technologies Ltd</u>	<u>30</u>
9	<u>Allied Digital Services Ltd</u>	<u>32</u>
10	<u>All Time Plastics Ltd</u>	<u>34</u>
11	<u>Almonds Global Securities Ltd</u>	<u>37</u>
12	<u>Aluwind Infra-Tech Ltd</u>	<u>38</u>
13	<u>Amir Chand Jagdish Kumar (Exports) Ltd</u>	<u>39</u>
14	<u>Anand Rathie Share and Stock Brokers Ltd</u>	<u>40</u>
15	<u>Anawil Wire & Engineering Ltd</u>	<u>41</u>
16	<u>Anlon Healthcare Ltd</u>	<u>42</u>
17	<u>Apeejay Surrendra Park Hotels Ltd</u>	<u>44</u>
18	<u>Aptus Pharma Ltd</u>	<u>45</u>
19	<u>Aptus Value Housing Finance India Ltd</u>	<u>47</u>
20	<u>Arihant Superstructures Ltd</u>	<u>48</u>
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23	<u>Astral Ltd</u>	<u>51</u>
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27	<u>Avonmore Capital & Management Services Ltd</u>	<u>57</u>
28	<u>AVP Infracon Ltd</u>	<u>58</u>
29	<u>Baheti Recycling Industries Ltd</u>	<u>59</u>
30	<u>Bai Kakaji Polymers Ltd</u>	<u>60</u>
31	<u>Bank of India</u>	<u>61</u>
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33	<u>Bhadora Industries Ltd</u>	<u>63</u>
34	<u>Black Box Ltd</u>	<u>65</u>
35	<u>BLS E-Services Ltd</u>	<u>68</u>
36	<u>BLS International Services Ltd</u>	<u>69</u>
37	<u>BlueSpring Enterprises Ltd</u>	<u>70</u>
38	<u>Blue Water Logistics Ltd</u>	<u>71</u>
39	<u>BMW Industries Ltd</u>	<u>73</u>
40	<u>BMW Ventures Ltd</u>	<u>75</u>
41	<u>Bombay Coated and Special Steels Ltd</u>	<u>76</u>
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47	<u>Capri Global Capital Ltd</u>	<u>83</u>
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Accord Transformer & Switchgear Ltd

Outlook: Accord Transformer is well-positioned for strong growth ahead. Management guides 70-80% revenue growth with PAT margins expanding to 9-10% in FY27E, supported by an interim capacity boost to 1,700-1,800 MVA. The new Bhiwadi facility will scale capacity fivefold to 5,000-8,000 MVA by FY29-FY30, opening entry into higher-margin EHV transmission transformers at 20-25% margins. An INR 1.7 bn order book, improved customer diversification, and key vendor approvals provide near-term visibility, while a conservative debt profile and positive operating cash flows offer financial flexibility. With India's transmission network only 20% complete and replacement demand across transformers creating a multi-decade runway, the long-term outlook remains firmly positive.

Revenue and Profitability

- Management guides 70-80% revenue growth for FY27E, with PAT margin expanding to 9-10%, an improvement of roughly 2 percentage points.

Revenue Mix and Margins

- The business spans transformers, compact substations, renewable energy orders, and EHV transmission transformers. EHV transformers carry higher profitability at 20-25% margins due to lower raw material intensity relative to engineering fees.

Capex and Capacity Expansion

- The two units at Bhiwadi, Rajasthan (NCR) have 1,200+ MVA of installed capacity running at over 80% utilisation. Interim shop-floor modifications and machinery additions have unlocked 300-400 MVA, taking existing capacity to 1,700-1,800 MVA.
- A 220,000 sq ft land parcel near the Alwar highway will expand capacity fivefold to 5,000-8,000 MVA at a capex of INR 600-700 mn, funded through internal accruals and debt, without a QIP or preferential issue.
- The new facility will begin operations in phases next financial year, at 50% utilisation in year one, ramping up to 80-90% by FY29-FY30.

Order Book and Breakup

- The order book stands at INR 1.7 bn (excluding H1FY27 execution) and is deliverable over 12 months, with over INR 1 bn expected to be executed in H2FY27. Breakup: compact substations INR 250 mn, renewable energy INR 600-700 mn, a Gujarat Electricity Board order via EPC contractor Rajesh Power INR 870 mn, and a recent INR 200 mn wind energy order from Aditya Birla.
- The order book is intentionally capped below INR 2 bn due to manufacturing bottlenecks; multi-year backlogs are expected post-expansion.

Customers and Tenders

- Customer diversification has improved, reducing exposure to Torrent Power. Key vendor approvals have been secured from UGVCL, Blue Pine, Megha Engineering, KEC International, Sterling and Wilson, Damodar Valley Corporation, and Aditya Renewables.

Transformers and EHV Progression

- Existing products cover medium power transformers up to 20 MVA and solar inverter duty transformers. The new plant will enable entry into high-voltage transmission transformers, starting with the 315 MVA/220 kV class and scaling to 500 MVA and 400 kV after PGCIL EHV approvals. Each rating step requires six months of prototyping, external lab testing and a one-year operational track record. EHV margins are 20-25%.

Package Substations, EV, and Automation

- Accord is now an integrated electrical infrastructure solutions provider offering switchgear panels, package substations (PSS)/compact substations, bus systems, e-houses, EV charging, and automation for utilities, EPC, and industrial expansion. Compact substations contribute INR 250 mn to the order book.

Renewables and Higher Ratings

- The company has completed dynamic short-circuit testing for a 17.6 MVA inverter duty transformer (IDT), the highest solar IDT rating. Solar IDTs must handle severe harmonics, requiring grounding filters, while wind turbine transformers must handle load fluctuations, requiring a specialised internal design. Accord has recorded zero transformer failures over 12 years and has the largest installed base of wind turbine transformers in India.

Pricing, PVC, and Procurement

- Price variation clauses cover INR 870 mn of the INR 1.7 bn order book. Transformer oil prices fell from INR 200/litre in March to INR 128-130/litre as the number of global producers expanded from 2-3 to 18-20. CRGO steel prices have settled at INR 180-300/kg versus the COVID peak of INR 450/kg, aided by the JSW-JFE tie-up and BIS licences for Baosteel. RIP bushings face extended lead times, with domestic supply limited to Crompton Greaves and Yashu, but two new domestic manufacturers next year should ease lead times.

Working Capital and Debt

- Debt-to-equity stood at 0.18x as of 31 March 2026. Operating cash flows turned positive in FY26 after the company phased out high open-credit arrangements with Torrent Power. Working capital comprises 80-90 debtor days and 100-110 inventory days, a 3.5-4 month cycle in line with industry norms. No working capital limits were utilised as of the conference date; discussions are ongoing to scale up cash credit limits.

Adani Power Ltd

Outlook: Adani Power offers a rare combination of scale, cost leadership, and earnings visibility in India's thermal space, with ~18 GW operating, 95% contracted, and a ~24-27 GW pipeline targeting ~45 GW by FY36 at 20-30% lower project cost than peers. Backed by ~INR 234.31 bn FY26 EBITDA, ~INR 130 bn PAT, AA+ rating, and ~2.12x net debt/EBITDA, the equity-first capex model funds a ~INR 2,200 bn build largely through internal cash flows. With ~14 GW of ~22 GW thermal bids already won, a healthy state bid pipeline, coal pass-through economics making new PPAs annuity-like, and optionality in hydro and nuclear, the near- to medium-term outlook is positive on volume growth, margin stability, and return on assets, though execution timelines, equipment supply, and PPA tie-ups for balance capacity remain the key monitorables.

Capacity and Growth Trajectory

Adani Power operates ~18 GW of thermal capacity today, making it India's largest private thermal producer and second-largest overall, with 95% tied up in long-term and medium-term contracts primarily with state discoms. The company is building another ~24-27 GW, targeting ~45 GW by FY36, with 60% of under-construction capacity at brownfield sites. Management targets a 3.5-4 year construction cycle per 1,600 MW unit, and capacity addition should begin this year and accelerate over the next three years.

Cost Leadership and Execution Moat

Equipment for the entire under-construction pipeline has already been ordered from BHEL and L&T, locking in prices ahead of the market and giving 20-30% project cost advantage versus the current market benchmark of ~INR 120-140 mn per MW. The company also benefits from proximity to coal mines, pre-owned land, water and evacuation infrastructure, and an equity-first funding model that avoids ring-fenced project finance and lowers interest during construction. Roughly 4.8 GW of boilers will be imported, staying within domestic content thresholds.

Bid Wins and Pipeline Visibility

Of ~22 GW of thermal bids awarded under the revised PPA regime, Adani Power has won ~14 GW, implying a ~67% strike rate. Pending bids include ~4,000 MW each from Uttar Pradesh and Gujarat, ~3,860 MW from West Bengal, ~3,200 MW from Rajasthan, ~1,320 MW from Uttarakhand, and a recently approved 1,600 MW bid from Andhra Pradesh. Management expects untied capacity to be contracted within roughly one year.

Financial Position and Capital Allocation

FY26 EBITDA stood at ~INR 234.31 bn on a continuing basis, or ~INR 212.85 bn excluding one-time regulatory recoveries, implying ~40% margins. PAT is ~INR 130 bn, net debt/EBITDA is ~2.12x, and the domestic credit rating is AA+. The ~24 GW pipeline needs ~INR 2,200 bn, funded by ~INR 1,200-1,400 bn of operating cash flow over six years and ~INR 600 bn of debt from banks and capital markets with 3-7 year tenures.

Market Dynamics and Thermal Relevance

India's electricity demand is expected to grow ~45% from ~1.7 trillion units to ~2.5 trillion units by 2032, requiring ~USD 500 bn of investment. Peak demand is seen rising from ~270 GW to ~400 GW by FY32, and thermal capacity of over 300 GW will be needed to bridge the gap that renewables cannot serve during morning and evening shoulder hours. The new PPA regime provides coal price pass-through, alternate coal cost pass-through, and two-part tariffs where capacity charges effectively make new PPAs annuity-like, reducing earnings volatility.

Diversification into Hydro and Nuclear

Adani Power holds ~24% of Jayaprakash Power Ventures (~400 MW hydro plus 1,820 MW thermal) and has received an LOI under a resolution plan for GVK Energy's 300 MW Alaknanda hydro plant. In Bhutan, it has an MOU for 5,000 MW of hydro development with an initial 570 MW Wangchu project, where it holds 49% in the JV, with power to be supplied to India and Bhutan seasonally. In nuclear, the target is 10 GW over ~10 years, pending notification of rules under the SHANTI Act, with site surveys and technology provider discussions already underway. Thermal will remain the dominant revenue source for at least the next six to seven years, with hydro commissioning likely from FY32 onward.

Competitive Positioning

Management notes that NTPC has so far pursued only Section 62 nomination-based brownfield projects, while Tata Power has not entered competitive thermal bidding. Adani Power's differentiation rests on site access near coal mines, lower logistics costs, land availability, shared infrastructure at brownfield sites, and pre-ordered equipment.

Receivables and Counterparty Risk

State discom payments have become regular, aided by the PRAAPTI portal and late payment surcharge rules, with collections typically within ~70 days. Gujarat and Rajasthan pay early to claim rebates. No state is flagged as a structural collection risk. On Godda, which supplies ~10% of Bangladesh's power and ~25% of the connected grid region's requirement, payments are steady and at least equal to monthly billing, with roughly half of outstanding amounts being unbilled or not yet due and overdues at ~2-2.5 months.

Merchant Exposure Strategy

Merchant exposure is expected to shrink to ~1-2% of capacity long term, from ~5% currently open. Management prefers medium-term PPAs with 50-55% minimum load guarantees and medium-term coal FSAs under the Shakti policy, citing rising solar and battery penetration as a long-term cap on merchant upside and a source of volatility.

Admach Systems Ltd**Strong Growth Outlook & Revenue Visibility**

- Admach Systems has delivered ~3.5x revenue growth over the last three years, with management expecting a similar or potentially better growth trajectory over the next 3-4 years. The company expects to cross INR 1 bn in revenue in FY27, supported by a strong project pipeline and increasing opportunities across steel, nuclear, defence and NDT.

Large Order Pipeline & Capacity to Scale

- The current order book stands at around INR 650 mn, while the steel-related order pipeline alone is estimated at INR 2.5-3 bn. Existing manufacturing facilities and equipment can support revenue of up to INR 2 bn, with additional units planned as demand increases. The company is currently bidding for multiple large steel projects, including six bar straightener lines.

Nuclear & Defence Emerging as Key Growth Drivers

- Nuclear and defence are expected to contribute significantly to future growth, with the company expanding from one nuclear division to three divisions and bidding for additional projects. Management expects potential new nuclear orders by Q4FY27 or Q1FY28, while defence and NDT opportunities are also expanding across India and international markets.

Higher Margins Supported by In-House Manufacturing & Exports

- The company has completed its planned machinery additions funded by the IPO, with the equipment already installed and operational. Management expects ~3% EBITDA margin improvement from greater in-house manufacturing, while specialised projects and exports typically generate higher margins. Export revenue currently contributes around 10-12%, with potential for an additional 5-6% increase from European projects.

Working Capital & Project Execution Remain Key Focus Areas

- Working capital requirements vary significantly based on project size, ranging from around 1.5-2 months for smaller projects to 4-5 months for larger INR 200-250 mn projects. Government projects require higher working capital as they generally do not provide advances, although management views government receivables as relatively secure. As the company scales towards larger projects and higher revenue, management indicated that additional working-capital funding may eventually be required.

Afcons Infrastructure Ltd

Outlook: Afcons Infrastructure expects a stronger second half, with management confident of achieving its ~INR 300 bn order inflow guidance and potentially surpassing it, supported by over 50% already secured and a ~INR 1,500 bn pipeline across roads, railways, metros, and ports. Execution of the Croatia railway project is slated to begin in FY28 after design and mobilisation, while Vadhavan Port awaits the government's approach road before work starts next year. The overseas revenue mix is expected to rise to ~40:60 this year from ~25:75, with a long-term target of ~30:70, aided by a couple of international orders. Gross debt is projected at ~INR 35 bn by FY27 with a 50:50 term loan-working capital mix, funded via receivable releases and mobilisation advances. EBITDA margins are guided at ~11%+, and UP Jal Jeevan receivables are being monetised through a phased completion strategy, with payments beginning to flow.

Order Inflow Guidance and Pipeline

Management maintained guidance of ~INR 300 bn order intake for the year, having already secured ~INR 160 bn (over 50% of the target) by Q1. Confidence is supported by a robust pipeline of ~INR 1,500 bn mentioned in the Q1 presentation, with several projects in final tender-opening stages. Inflows are expected to be spread across roads, railways, metros, and ports, with some orders likely in Q3 and Q4. Management expressed optimism about achieving, and potentially surpassing, the guidance.

UP Jal Jeevan Mission Receivables

The UP Jal Jeevan Mission remains a pain point, with ~INR 4 bn of receivables, of which only a small fraction has been received. The UP government has changed contractual terms, linking payments to completion of last-mile connectivity. Afcons, being a Phase 3 participant, has adopted a strategy of first completing projects that are already 70-80% complete, realising payments, and using those funds to complete remaining connectivity rather than deploying fresh capital. Payments have started flowing in bits and pieces, with government assurance on releasing payments for completed work.

Croatia Railway and Vadhavan Port Projects

For the Croatia railway project, initial design, mobilisation, and preparatory works (~6-7 months) have begun, with full execution expected from FY28 onwards. For Vadhavan Port, work is yet to commence, as the government must first provide the approach road needed to move equipment for the breakwater work; execution is expected to start next year.

Debt Profile and Capital Expenditure

Gross debt is expected to reach ~INR 35 bn by the end of FY27, despite ~INR 7-8 bn capex this year. The debt mix will shift from two-thirds working capital and one-third term loan to a 50:50 split by year-end. Improvement in net working capital will be driven by release of stuck receivables and mobilisation advances from newly won orders. Capex will be funded through collections and receivable releases.

Overseas Mix, Currency Risk, and Payment Security

The long-term target is ~30% overseas and ~70% domestic revenue. With the Croatia order, the mix has shifted to ~25:75, and management targets ~40:60 for this year, with a couple more international orders expected. Focus geographies include Africa, the Middle East, neighbouring countries, and Southeast Asia, with a recent foray into Europe. Foreign currency exposure is naturally hedged as projects are in USD or EUR, with expenditures in matching currencies. Overseas projects are funded by multilaterals with full financing tie-ups before commencement. Bangladesh projects are funded by the Government of India, with Exim Bank of India releasing payments directly to Afcons' accounts in India, ensuring no payment issues.

Africa Market Strategy and Competition

In Africa, Afcons targets sovereign projects, including EPC+F where it facilitates financing. Competition exists from Chinese and Turkish players, but Afcons focuses on projects where it has expertise, including roads and bridges, with men and machinery that can be moved across African countries. The company holds the record for the fastest completed core projects in Africa.

Margin Outlook

Overseas projects carry ~200-300 bps higher margins than domestic. At a portfolio level, management maintains guidance of ~11%+ EBITDA margins despite some lower-margin road projects and drag from JJM. While this year has been slightly lower, the 11% margin guidance is maintained going forward.

Arbitration Claims

Arbitration is an ongoing process with outstanding claims. While it is difficult to pinpoint a number or quarter, some arbitration awards are expected every year as hearings come up.

Labour Shortages

Labour shortages persist in some fast-track projects, particularly a refinery project with restrictions on labour (no mobile phones, limited facilities). However, most projects are technically complex and mechanised, requiring less heavy labour.

Akiko Global Services Ltd

Outlook: The company is targeting strong revenue growth, with FY27 guidance of INR 3.25-3.5 bn and FY28 core-business revenue ambition of INR 5.5-6 bn, driven by higher lead volumes and expansion of its established distribution network. Akiko Pay provides an additional growth opportunity through customer engagement, cross-selling and transaction-led monetisation, although its scalability will depend on activation, repeat usage and validated unit economics. The Dubai business recovery could provide incremental revenue support in H2FY27. Key monitorables include delivery against core-business guidance, cash-flow improvement, the unit economics of Akiko Pay's first 100,000 customers and the pace of product rollouts.

Core Distribution Business

- Akiko Global's established financial distribution business generates leads for credit cards, personal loans, business loans, mortgages and home loans through digital marketing and a 20-year-old partner network.
- FY26 revenue stood at INR 1.77 bn, with credit cards contributing 35% and loans accounting for 65%; personal loans constituted 82% of loan-segment revenue.
- The company operates a hybrid sourcing model comprising digital lead generation, a centralised customer assistance team and a partner-led distribution network, with credit card distribution margins of 14-15% after operating costs.
- Management expects the core business to sustain strong growth, supported by a 10-20% monthly increase in the centralised team and rising lead volumes.

Revenue Guidance & Profitability

- FY27 revenue is guided at INR 3.25-3.5 bn, compared with INR 1.77 bn in FY26, and the company targets INR 5.5-6 bn in FY28 from the core business, excluding Akiko Pay.
- The company expects to sustain growth through higher lead generation, deeper lender relationships and operating leverage, while maintaining cost discipline and reinvesting profits into the business.
- Management expects cash flow to turn positive in the near term, potentially by Q3FY27, as collections improve and working capital pressure eases following the reduction in home loan and mortgage business.

Akiko Pay – Customer Acquisition & Monetisation

- Akiko Pay is being developed as a customer-facing financial platform to complement the core distribution business, enabling recurring engagement and cross-selling of financial products at low incremental acquisition costs.
- The app is currently generating 2,000-3,000 daily downloads, with ~5,000 customers enrolled in the newly launched Version 2; ~20% of customers engaged by the core business reportedly download the app.
- Management is targeting the first 100,000 customers to validate unit economics before scaling, with customer acquisition costs expected at INR 10-20 per customer, based on early experience.
- Monetisation will come from credit card and loan commissions, wallet transactions, prepaid payment services, discounted gift cards, travel bookings and other partner-led offerings.
- Akiko Pay could generate INR 300-400 per customer per month, although this refers to the overall existing customer base and requires further validation as engagement and monetisation scale.
- The company expects Akiko Pay to achieve a 20-30% PAT margin within six months, with the potential for significantly higher margins over time, subject to customer activation, repeat usage and product-level economics.

Product Expansion & Technology

- Akiko Pay's Android application is live, while the iOS launch was expected shortly after the conference; wallet-to-bank transfers and prepaid payment features are already operational.
- UPI Scan-and-Pay, mutual funds and insurance are planned for rollout by the end of Q3FY27, subject to the relevant integrations and regulatory approvals.
- The company has applied for a TPAP licence to enable UPI transactions on the platform and expects to integrate insurance following the anticipated receipt of its insurance distribution licence.
- The platform leverages the existing customer database of over 25 mn and lender relationships to drive cross-selling, with management aiming to limit incremental technology and customer acquisition expenditure.

Dubai Business

- Akiko Global operates a financial distribution business in Dubai, supported by a 150-member team and relationships with leading banks, including Emirates, FAB, Citibank and Dubai Islamic Bank.
- The business was affected by geopolitical disruptions over the past two years, although operations have started recovering; management expects revenue of INR 40-50 mn in Q3FY27 and over INR 100 mn in Q4FY27.
- Management indicated that the Dubai business operates at high margins, in a broad range of 20-50%.

Other Highlights

- The company remains focused on unsecured lending distribution over the next 2-3 quarters, with lending decisions, underwriting and credit risk remaining with partner banks and NBFCs.
- The top five lending partners contribute ~40% of business, including Bajaj Finance, ICICI Bank, HDFC Bank, Axis Bank and Federal Bank, providing access to a diversified lender network.
- The company does not bear credit risk on loans distributed and reported no material fee clawbacks; however, continued dependence on lender approval rates and unsecured credit demand remains a key monitorable.
- The company intends to fund growth primarily through internal accruals, with further capital deployment dependent on Akiko Pay's customer economics and business requirements.

Akme Fintrade (India) Ltd

Outlook: The company expects to sustain 40-45% annual AUM growth across the vehicle finance, SME and LAP segments, supported by a lower cost of funds and geographic expansion. With ~60% portfolio in Rajasthan and a strong repeat/referral customer base (~50%), management aims to diversify geography (Rajasthan down to 40% in 2-3 years) and launch green mobility and solar rooftop loans. Asset quality remains robust (GNPA 2.91%, credit cost ~0.6%), with NIMs of 8-9% expected to be maintained even if funding costs stay elevated.

Business Strategy & Positioning

- Akme Fintrade (India) Ltd is a rural-focused NBFC offering 2-wheeler, 4-wheeler, used commercial vehicle and SME loans.
- Vehicle finance accounts for 60% of the portfolio and SME for 40%.
- The company started in 1996 with a mission to serve rural and semi-urban customers with minimal risk.
- Its credit rating was recently upgraded from BBB+ to A-, enabling access to bank funding at lower rates (9.5-10.5% vs. the current average cost of 13%).
- The company is also targeting green mobility and solar infrastructure loans, with the portfolio at INR 100 mn currently, targeting INR 300-350 mn by March 2027 and INR 2 bn in 2-3 years.

Growth Drivers & Segment Focus

- Annual AUM growth of 40-45% is targeted across all segments.
- Vehicle finance remains the entry point into new geographies; once established, all products (2W, CV, LAP, SME) are rolled out.
- **Recent expansions:** MP (2W operations), NCR (vehicle segment), Gujarat, and new locations in Maharashtra.
- The LAP segment is expected to grow as longer-duration bank funding becomes available.
- **Repeat customers:** ~22-30%; referred customers: ~50% of new business.

Geographical Mix & Expansion Plans

- **Current AUM mix:** Rajasthan (~60%), Maharashtra (~17-18%), Gujarat (~15-16%), MP (~7-8%), Delhi NCR (~1%).
- **Target:** Reduce Rajasthan concentration to ~40% in 2-3 years.
- **Expansion strategy:** Deepen presence in existing states before entering new ones, and convert high-performing points of sale (single-person branches) into full branches.

Asset Quality & Credit Discipline

- **GNPA (June 2026):** 2.91%; credit cost: ~0.6% of AUM.
- **Rejection rates:** 40-45% in the 2W segment (higher than peers), reflecting strict underwriting.
- Provisioning coverage is conservative, and recoveries from written-off loans offset new defaults.
- **Credit cost outlook:** Expected to rise, but remain at or below 1% in the coming years as the portfolio scales.

Funding & Cost of Borrowing

- **Current average cost of borrowing:** ~13% (down from >13.75% earlier).
- The rating upgrade has opened up bank funding avenues; management expects borrowing costs to fall by 100 bps in FY27.
- **Bank funding rates:** 9.5-10.5% vs. current institutional rates.
- **NIMs:** 8-9% currently; expected to be maintained even if funding costs remain elevated.

Product Mix & Yield

- **Average ticket size:**
 - 2W/4W: INR 0.3-0.4 mn
 - SME: INR 0.7-0.8 mn
 - Maximum ticket (board-approved): higher, but only ~3-4% of the portfolio.
- **Yields:**
 - 2W: 18-21%
 - 4W/CV: 19-22%
 - SME: 18-20%
 - **Overall yield:** ~19%.

Branch Network & Distribution

- 29 full-fledged branches and 150+ points of sale (PoS).
- **PoS model:** Single-person units at dealer sites, converted into full branches once volume thresholds are met.
- The majority of disbursements come from existing branches; new PoS and branches ramp up over time.

Competitive Advantages

- Direct dealer connectivity in vehicle finance; strong last-mile rural reach.
- Referrals account for 50% of business, aided by a historical customer base of 250,000+.
- **Cross-selling:** Insurance, top-up loans, and other products to existing customers.
- **Geography-based pricing:** Competitive in metros (e.g., Mumbai); higher yields in rural Rajasthan.

Risk Management & Underwriting

- Underwriting remains strict despite the "easy loans" tagline; high rejection rates protect asset quality.
- The company deliberately slows growth in certain segments (e.g., CV in Q4 due to war-related risks) based on market analysis.
- There is no compromise on credit quality, even during rapid scaling.

Management Guidance & Investor Assurance

- Management reiterated its commitment to high standards of corporate governance and asset quality.
- The focus remains on profitable growth, NIM stability and ROE improvement.
- Management has no major concerns on competitive intensity; pricing is aligned with geography and market dynamics.

AIIDigitech Ltd

Outlook: The company remains focused on shifting the business mix toward higher-margin international BPM and product-led HR services, while reducing low-margin domestic BPM exposure. Growth opportunities are expected from deeper penetration of existing geographies, international HRMS, healthcare and insurance BPM, and the rollout of AI-enabled products such as Buzzly 2.0 and Meridian. The Workday partnership is expected to strengthen the company's access to global HRMS opportunities, while AI adoption should support both operational efficiency and product differentiation.

Business Overview & Strategic Direction

- AIIDigitech is a ~25-year-old international BPM and HR services company, formerly known as Allsec Technologies; the company was renamed AIIDigitech in 2024, following its acquisition by Quesst Corp in 2019.
- The business comprises ~70% BPM and ~30% HR services, with the company actively reducing its domestic BPM exposure due to lower margins.
- HR services include payroll, HRMS, time & attendance, statutory compliance and employee-related services, with increasing focus on product-led and technology-only outsourcing.
- The company operates across India, the Philippines, Southeast Asia, Middle East and South Africa, with ~90% of HR operations delivered from India.
- Product pipeline includes Prism, Buzzly 2.0, Meridian and Enox, aimed at improving internal efficiency, expanding the addressable market and increasing product-led revenues.

Financial Performance & Margin Expansion

- FY26 revenue stood at INR 5,980 mn, EBITDA at INR 1,620 mn and PAT at INR 820 mn, translating into an EBITDA margin of 27.1%.
- Q1FY27 revenue stood at INR 1,500 mn, while EBITDA increased to INR 414 mn, with EBITDA margin improving to 27.5% from 25.4% in Q1FY26.
- Management expects the improvement in financial performance to continue, supported by increasing product-driven revenues and the gradual exit from low-margin domestic BPM.

HRMS & Payroll Expansion

- AIIDigitech processes ~18.5 mn payslips annually.
- The company estimates its share at ~2.5% of Indian payroll payslips, providing scope for further penetration in India and expansion across Southeast Asia.
- The company has a long-standing client base, with several relationships extending beyond 10-15 years, supporting its credibility in payroll and HR services.
- The company sees expansion opportunities through geographical penetration, additional HR modules and higher wallet share from existing customers.

International BPM Opportunities

- International BPM remains predominantly service-led, with focus areas including collections, healthcare/revenue cycle management and insurance BPO.
- International collections remains a core strength, including a major US client relationship spanning ~24 years, where AIIDigitech handles ~65-70% of the client's volumes.
- Healthcare has been a key growth area over the past three years, with revenue cycle management added more recently; the healthcare business currently generates around INR 1 bn annually.
- Insurance BPO includes 401(k), property & casualty insurance and related processes, with management seeing further outsourcing opportunities from Western markets.

Product Pipeline & New Offerings

- SmartPay is the company's proprietary payroll engine, capable of operating across 79 countries, with operations currently covering ~42 countries.
- Buzzly 2.0 integrates HRMS, payroll, performance management and time & attendance, with the India launch targeted for October, followed by the Philippines in December and the Middle East around February.
- Meridian is an AI-based analytics product targeted for launch in October; client demonstrations and initial enquiries have already started.
- Prism is an internal AI-enabled efficiency platform focused on input consolidation, anomaly detection, error identification and operational productivity.
- The company is also developing Enox, a cloud-based payroll platform aimed at technology-only outsourcing and the SMB segment.

Workday Partnership & Global Expansion

- AIIDigitech has completed the integration and training required for its Workday certification and expects to be listed as a Workday partner during the month.

- The partnership currently does not constitute a separate revenue stream, but is expected to improve the company's positioning in opportunities involving Workday-enabled clients.
- Management sees the certification as particularly relevant for global employers requiring localised payroll capabilities, including India-specific requirements.
- International HRMS commands higher pricing and margins than India, while the company benefits from delivering most services from its India-based operations.

AI Impact & Pricing

- AI is being positioned primarily as an efficiency and competitiveness enabler, rather than a standalone pricing disruptor.
- Internally, AI is helping improve productivity and reduce operating costs, including enabling voice services from Chennai.
- AI is embedded into HR products through analytics, anomaly detection, chatbots and transaction-processing capabilities.
- Management indicated that AI has not resulted in a material direct reduction in existing pricing so far; instead, it helps the company remain competitive while maintaining price points.
- AI also enables new revenue opportunities, particularly through the company's analytics offerings.

Product Differentiation & Customer Value

- AllDigitech's key differentiation lies in its proprietary IP, domain expertise, localisation capabilities and long operating history rather than software alone.
- SmartPay is entirely proprietary, with ~25 years of operating history and established payroll accuracy/compliance capabilities.
- The company provides flexibility between technology-only, managed services and technology-plus-services, allowing customers to select the level of outsourcing required.
- Management highlighted its ability to handle complex local requirements that global platforms may not address effectively.

Product vs Service Strategy

- BPM is expected to remain predominantly service-led, particularly for large enterprise clients where domain expertise, execution track record and client references are key decision factors.
- Platform-led offerings are primarily targeted at mid-market customers in Western markets, particularly businesses with ~400-600 employees that require both technology and operational support.
- The longer-term strategy is therefore a combination of service-led enterprise business and platform-led mid-market expansion, rather than a complete transition to a pure product model.

HR Adjacencies & Cross-Selling

- The product pipeline itself represents the key adjacency opportunity, with the company expanding beyond payroll into HRMS, performance management, time & attendance, expense reimbursement, compliance and employee self-service.
- The company intends to cover the employee lifecycle from onboarding to retirement, while remaining outside recruitment/ATS and full-scale learning management systems as a strategic choice.
- The company sees scope to increase wallet share from its established customer base through these additional modules and services.

AI Competition & Competitive Moat

- Management acknowledged that AI can theoretically reduce barriers to developing competing software products.
- However, the company believes domain expertise, compliance knowledge, customisation capabilities, operating track record and client credibility remain important barriers to entry.
- Management highlighted that payroll requires extensive knowledge of local regulations and complex employee structures, which cannot be replicated simply by developing software.
- AI is therefore being adopted both to improve internal efficiency and to strengthen the company's competitive positioning.

Digitide Relationship & Shared Services

- Digitide is the parent company and holds approximately 73.4% of AllDigitech.
- Certain corporate functions, including HR, technology, legal and selected international sales resources, are shared between the entities.
- Core operating functions, including BPM operations, finance and AllDigitech's HR-services business, remain separately managed.
- Domestic BPM represents a limited area of overlap between the companies; AllDigitech is gradually reducing this low-margin business.

Workday Monetisation & Product Rollout

- Workday certification is currently a sales-enablement opportunity, with direct revenue from the partnership yet to commence.
- Management expects the certification to improve evaluation and win rates when competing for clients already using Workday.
- Buzzly 2.0 is being rolled out geographically in phases, starting with India, followed by the Philippines and Middle East.
- Meridian is expected to begin contributing revenue following its October launch, with initial customer interest already visible.

International HRMS Economics

- International HRMS generates higher pricing and margins compared with the domestic market, supported by localised offerings and India-based delivery.
- The company targets Southeast Asia, the Middle East and selected South African opportunities.
- AllDigitech's ability to integrate with global HR platforms while providing localised payroll, compliance and workforce-management capabilities is a key proposition.
- Management highlighted localisation requirements such as country-specific payroll structures, shifts, attendance rules and statutory requirements as areas where the company can add value.

All E Technologies Ltd

Outlook: The company is expected to focus on scaling growth, improving execution and strengthening profitability, with future performance dependent on the pace of new business wins, client additions and execution of the existing pipeline. Key monitorables include order inflows, revenue growth, margin trajectory, large client additions, new product/service launches and cash-flow conversion. Management's future guidance on growth, margins and business expansion will remain key indicators for assessing the sustainability of the growth trajectory.

Growth Recovery

- Revenue growth recovered to 9.1% YoY in the latest quarter, led by 14.7% growth in products and 4.8% growth in services.
- International revenue grew 3.7%, with performance varying across geographies.
- Engagements with larger customers are increasing, supported by rising demand for data and AI solutions.
- Product business continued to grow, although margins remain lower than the services business.

IP-Led Growth

- Management expects the contribution of own products and industry solutions to increase over the next few years.
- Proprietary solutions act as a door-opener for larger implementation opportunities, allowing the company to sell the broader technology stack.
- Management highlighted continued investment in data engineering and AI-led products as a key growth area.
- Increasing solution depth is expected to improve customer stickiness and support multi-year relationships.

Direct Engagements

- Around 99% of customer engagements are direct, with the company not operating as a subcontractor to partners.
- Microsoft remains an important ecosystem partner, but management stated that the business is not dependent on partner referrals.
- Management expects the traditional distinction between Microsoft/non-Microsoft platforms to become less relevant as AI, data engineering and security platforms increasingly converge.

Mid-Market Shift

- The company is gradually moving from the SMB segment towards upper-SMB and mid-market customers.
- These customers typically undertake recurring transformation initiatives across ERP, CRM, data platforms and AI.
- Management continues to see strong positioning in the SMB segment while building a larger footprint in mid-sized organisations.
- The company remains a Microsoft Business Applications Inner Circle member, with management highlighting this as an important ecosystem credential.

AI Adoption

- Management indicated that POCs and pilots generally generate relatively small revenues, while conversion into full-scale projects leads to significantly higher revenue.
- The company is investing substantially in AI products that sit on top of existing ERP, CRM and enterprise systems.
- AI solutions are being developed to support both automation and increasingly autonomous activities through AI agents.
- Data and AI currently account for a significant portion of management's strategic focus.

Inner Circle

- Inner Circle recognition is based on factors including Microsoft product sales, customer success, skills and certifications.
- Benefits include greater visibility within Microsoft, early access/information on upcoming developments and interaction with senior Microsoft leadership.
- Management stated that Microsoft engagement can also support account opportunities and lead generation.
- The company is being considered for managed-partner status by Microsoft in Africa, which could further strengthen its regional ecosystem access.

Capital Deployment

- Management clarified that the company has paid dividends every year since listing, with payouts exceeding the minimum commitment stated in the RHP.
- Cash on the balance sheet is higher than two to three years ago, but management does not intend to hold excess cash indefinitely.
- Part of the cash is expected to be utilised around the turn of the year, although the exact mechanism remains undecided.
- Any such decision will depend on the Board and shareholders.

M&A Strategy

- Management indicated that the M&A environment has changed materially compared with 2023.
- Certain IT capabilities that were considered valuable earlier have become more readily available or commoditised.
- The company is therefore avoiding hasty acquisitions and is likely to focus on highly adjacent businesses that strengthen its core offerings.
- No specific acquisition or execution timeline was disclosed during the conference.

Regional Trends

- The Middle East remains under pressure, with geopolitical developments delaying at least one Saudi Arabia project.
- In contrast, Africa is showing strong traction, particularly in the retail segment.
- Management is increasing efforts in Africa, with current customer and Microsoft engagement levels improving.
- The company stated that active African opportunities are currently above USD 100,000 in value.

Pipeline Quality

- The number of mid-sized opportunities in the USD 100,000-500,000 range has increased versus the previous year.
- Customers are increasingly seeking integrated transformation across ERP, CRM, modern data platforms and AI, rather than standalone projects.
- Management highlighted a shift towards multi-touchpoint, multi-year engagements, reducing reliance on one-off projects.

AI Transformation

- Management acknowledged that AI is automating parts of software development, including code generation.
- However, broader digital transformation requires domain expertise, consulting, implementation and integration, which cannot typically be handled by a small internal team alone.
- Internal IT teams can increasingly manage applications, but complex transformation initiatives may still require external specialists.
- Management's strategy is therefore to use AI to improve internal productivity while simultaneously helping customers adopt AI-led transformation.

Customer Segments

- Management highlighted that the company primarily addresses upper-SMB and mid-market customers, whereas large IT services companies typically pursue much larger enterprise engagements.
- This creates a different customer opportunity set rather than direct competition across every engagement.
- The company aims to remain agile and adapt its offerings to the technology requirements of its target segment.
- Management emphasised that service quality is not positioned as inferior; the key difference is customer segment and engagement scale.

Agentic AI

- Management clarified that AI agents are not a universal replacement for enterprise applications such as ERP, CRM or data platforms.
- Different systems perform different functions, while agents are generally designed for specific use cases.
- Effective AI agents require an underlying data layer, context and appropriate guardrails.
- The company is already developing and deploying such data-grounded agents for specific customer requirements.

Sales Momentum

- Pipeline momentum has improved in certain geographies but remains subdued in others.
- Africa is performing well, while India is described as reasonably healthy.
- The US and Canada remain broadly stable.
- Middle East activity continues to face pressure, limiting the overall pace of pipeline conversion.

Cybersecurity Traction

- The company has begun building its cybersecurity offering and has already secured multiple customer engagements.
- Management considers cybersecurity an important addition to the overall service portfolio.
- Further details on the progress and contribution of this vertical are expected to be discussed in the next earnings call.

Allied Digital Services Ltd

Outlook: The company is targeting 15-20% revenue growth over the next two years, supported by recurring services expansion, new Safe City/Smart City opportunities and international growth. EBITDA margin is expected to gradually move toward 12.5-13%, with AI-led automation, Digital Desk integration and cost optimisation as key margin levers. Key monitorables include government project wins, services-book growth, conversion of solutions into recurring O&M revenue, AI-driven productivity gains, margin progression and customer concentration.

Growth Milestone

- Allied Digital has evolved from an IT hardware support company into an integrated IT services and solutions provider, with operations spanning cloud infrastructure, digital engineering, cybersecurity, AIOps and automation.
- The company has a presence across 70+ countries, with ~3,500 employees and direct operations in ~20 countries.
- FY26 revenue crossed INR 10 bn, compared with INR 4.85 bn in FY22, while the company remains net debt-free with ~INR 1.34 bn of cash reserves.
- Global operations contributed ~73% of revenue, with the US accounting for ~90% of overseas revenue.
- The company continues to target ~20% YoY growth over the next 8-10 years as part of its long-term 10x revenue ambition.

Services Mix

- Services contributed ~77% of revenue, while solutions accounted for ~23%; management aims to further increase the recurring services mix.
- Services contracts typically have 3-5 year tenures and are renewed periodically, providing greater revenue visibility.
- Solution projects such as Safe City/Smart City deployments generally take 9-12 months to implement, followed by ~5 years of O&M revenue under the services segment.
- Management indicated that the standalone services portfolio is expected to grow at ~15-20%, with solution wins providing an additional pipeline for future recurring revenue.

AI Automation

- Allied Digital is integrating AI/LLM capabilities into its proprietary Digital Desk platform to automate IT service management.
- The AI roadmap covers auto-detection, auto-assignment and eventually auto-resolution of IT tickets.
- Auto-detection and auto-assignment are already operational for select enterprise customers, while auto-resolution is being developed as the next phase.
- Automation is expected to reduce repetitive, low-level activities and improve employee productivity and operating margins.
- Management indicated that AI-led margin benefits should become increasingly visible over the next few quarters.

Digital Desk

- Digital Desk is an in-house ITSM platform positioned against solutions such as Freshworks and ServiceNow for the ITSM use case.
- The platform is currently deployed across 100+ customers as part of Allied Digital's managed services offering.
- Digital Desk has also been deployed in Pune, Lucknow and Punjab Smart City projects, replacing existing ITSM platforms.
- The company is progressively integrating IT, HR and finance workflows into the platform to increase automation and customer stickiness.

Security Focus

- Security is being addressed across both IT security and physical security.
- The cybersecurity business includes proactive and reactive monitoring and resolution of threats across customers' IT infrastructure.
- Physical security offerings include CCTV, access control, boom barriers and other security infrastructure, with AI-based image recognition and detection being integrated into these solutions.
- Allied Digital operates a 24/7 SOC in Mumbai and a smaller SOC in Los Angeles, while exploring a potential SOC setup in Mauritius through a partnership with Mauritius Telecom.

Government Pipeline

- The reduction in government-led business was partly attributed to elevated hardware prices over the previous 2-3 quarters, which made certain projects less attractive from a pricing perspective.
- Management indicated that hardware prices have started normalising post-July/August, improving the attractiveness of government opportunities.
- The company is currently bidding for multiple projects, including Noida Safe City, two projects in Pune, projects across MIDCs in Maharashtra and Jaipur Safe City.
- Management expects government project activity to improve over the next two quarters, subject to successful bidding and project awards.

EBITDA Drivers

- Management expects AI/LLM implementation to replace a portion of low-level and repetitive activities, supporting operating-cost optimisation.
- Allied Digital does not predominantly bill customers based on manpower; its contracts are generally linked to parameters such as device count and ticket volumes.
- Consequently, productivity gains from automation are expected to largely accrue to Allied Digital through improved margins rather than automatically flowing back to customers.
- Management identified AI-led cost optimisation as one of the key levers for EBITDA margin improvement over the next 3-4 quarters.

Growth Guidance

- Management expects revenue growth of ~15-20% over the next two years, broadly in line with its historical growth trajectory.
- Growth could vary by quarter depending on the timing of large RFP-driven project closures and potential government-related delays.
- EBITDA margin is targeted to improve toward ~12.5-13% over the next two years, with the broader near-term range indicated at 11-13%.
- Margin expansion is expected to be driven by AI-led automation, operating-cost optimisation and better utilisation as the business scales.

Competitive Edge

- Management highlighted agility, accessibility and cost efficiency as key differentiators against much larger IT service providers.
- Allied Digital has experience working as a Tier-2 partner to larger IT companies, giving it familiarity with the governance and delivery standards expected by large enterprise customers.
- The company aims to leverage this experience while maintaining a more agile operating model and direct customer relationships.
- Management also highlighted that it generally avoids subcontractors and maintains direct delivery engagement with customers.

Profitability Focus

- Management acknowledged that bottom-line performance has lagged revenue growth in recent years and stated that several underlying issues have now been addressed.
- The long-term growth strategy is therefore expected to focus on both revenue expansion and improvement in profitability.
- Management indicated that the impact of this approach should become more visible over the next 2-4 quarters.
- Recent hiring and investments in talent are intended to build organisational capacity ahead of the next phase of growth, although these investments are currently weighing on margins.

AI Opportunity

- Management views the advancement of frontier AI models as an opportunity to strengthen its existing service offerings rather than as a direct threat to the business.
- The company intends to leverage newer AI models to improve service delivery, automation and cost optimisation.
- AI initiatives remain in the deployment phase, and management indicated that a more concrete assessment of ROI could be provided after another 2-3 quarters of implementation.
- The company is also strengthening its innovation function, with the former CEO moving into the Chief Innovation Officer role to focus on AI implementation and broader innovation initiatives.

Customer Concentration

- Allied Digital has a customer base of ~170-180 customers, but management acknowledged that the top 10 customers contribute a significant portion of revenue.
- Management did not provide the exact top-10 concentration during the call and indicated that the data could be shared separately.
- Customer concentration remains relevant given the company's mix of large enterprise contracts and sizeable government projects.

All Time Plastics Ltd

Outlook: The company faces near-term challenges from crude-linked polymer price volatility, geopolitical uncertainty, raw material availability and export logistics, which have affected revenue growth and margins. The company is targeting ~20% production growth; however, this remains contingent on improved demand visibility, raw material availability and container availability, with some customer programmes currently on hold. Order visibility remains adequate, but customers are adopting a cautious approach towards new commitments amid uncertainty over tariffs and global trade flows. Near-term margin pressure is expected to persist due to elevated fixed costs at the Khatalwada and Guwahati facilities, alongside delays in passing on higher raw material costs to customers.

Margin Recovery and Capacity Utilisation

- The Khatalwada facility is currently operating below its optimal utilisation level, resulting in under-absorption of fixed costs and pressure on profitability.
- Management expects the company to regain its historical margin profile at ~75-78% overall capacity utilisation, with margins potentially exceeding historical levels at ~85% utilisation.
- The company has a combined installed capacity of ~41,000 tonnes across its three plants and is undertaking a further 1,500-tonne expansion, taking capacity to ~42,500 tonnes this year.
- The company has ordered 14 new machines for Khatalwada, expected to arrive over the next two months, while the remaining planned machinery deployment has been deferred pending greater clarity on demand and geopolitical conditions.
- Capacity expansion will continue organically, with incremental machine additions based on business requirements and the nature of new customer programmes.

Raw Material Costs and Pricing

- The company continues to face challenges in passing on higher polymer prices, with the recent increase in crude oil and polymer prices putting pressure on margins.
- Pricing adjustments for the largest customer follow a transparent pass-through mechanism at approximately eight-week intervals, while the timing of recovery from other customers remains challenging.
- Management clarified that inventory gains are not a meaningful earnings lever, given the pass-through pricing mechanism and the company's current difficulty in fully recovering raw material cost increases.
- Raw material procurement lead times have increased from 3-4 weeks to 7-8 weeks, particularly for supplies from the Middle East, requiring longer procurement planning cycles and higher operational flexibility.

IKEA Relationship and Customer Stickiness

- IKEA remains the company's largest customer, with a relationship spanning over 28 years; the company supplies products to IKEA globally and also participates in joint product development.
- The company accounts for approximately 5-6% of IKEA's global plastic houseware sourcing, positioning it as a strategic supplier within IKEA's global sourcing network.
- Customer stickiness is supported by product quality, on-time delivery, tooling capabilities, compliance standards and social audits, making supplier replacement a time-consuming process.
- New product development typically takes 16-26 weeks following RFQ selection, including tooling and product development, while IKEA provides a rolling 52-week forecast to support procurement and inventory planning.
- Price remains one of several considerations in supplier selection, alongside landed cost, quality, service levels and compliance; a price differential of 10-12% could prompt buyers to evaluate alternatives, although switching is not immediate.

Customer Diversification and Export Opportunities

- The company is engaging with several prospective customers across Europe and the US, with some relationships having progressed beyond initial sales and pilot stages.
- New customer acquisition remains challenging amid raw material volatility and uncertainty over tariffs, with some prospective programmes currently on hold.
- The company continues to evaluate opportunities across export markets while maintaining its focus on India-based manufacturing, given the current cost competitiveness of its domestic manufacturing base.

Global Competitiveness and Trade Dynamics

- Turkish manufacturers benefit from geographical proximity to European customers and zero-duty access, resulting in shorter delivery timelines and potential landed-cost advantages.
- All Time Plastics believes its competitiveness is supported by lower labour costs than China, broadly comparable power costs and potentially improved landed economics for European customers as trade arrangements evolve.
- India may have a slight disadvantage versus China in polypropylene procurement costs; however, logistics economics and manufacturing capabilities remain important considerations for customers.
- Supplier decisions are based on overall landed cost, quality, compliance and supply-chain reliability rather than tariff advantages or manufacturing lead times alone.

Domestic Business Expansion

- The company is targeting an increase in domestic business contribution from the current 15-17% to approximately 25-30% over the medium to long term, through its own brand and OEM relationships.
- Domestic growth will be driven by wider distribution, stronger brand visibility and expansion across general trade, e-commerce and quick-commerce channels.
- The company plans to commence sales through online platforms from the latter part of the current month, while registrations for quick-commerce platforms are also underway.
- The company is strengthening its domestic sales organisation through dedicated teams for different business verticals, while increasing social media engagement to improve brand visibility.

Bamboo Business – Capacity, Revenue and Expansion

- The company is setting up a larger bamboo manufacturing facility in Guwahati, with machinery installation expected to be completed shortly, followed by commercial production.
- The initial facility is designed for 3,000 CBM capacity, with management indicating potential revenue of approximately INR 650 mn at 85% utilisation.
- The company plans to scale capacity to 10,000 CBM after stabilising the initial facility, subject to demand and operational execution.
- Management is targeting bamboo revenue of ~INR 2 bn or more over the next 2-3 years, supported by demand from existing international customers.
- Management cites India's abundant bamboo availability and proximity to raw material sources as structural advantages, while production costs are currently broadly comparable with China.
- The key execution priority is establishing consistent product quality and customer acceptance of Indian bamboo, given differences in the characteristics of locally sourced material.
- The bamboo business provides an opportunity to cross-sell an additional product category to existing international customers, many of whom already source bamboo products.
- The company has already commenced bamboo supplies to IKEA India, with further opportunities expected as IKEA expands its domestic retail presence.
- All Time Plastics has incorporated a wholly owned subsidiary, All Time Bamboo Pvt. Ltd., and is evaluating a distinct branding strategy to avoid confusion between its plastics and bamboo businesses.
- Beyond kitchenware, management is exploring industrial and other applications of bamboo, which could provide additional avenues for growth over time.

Manufacturing Automation and Operational Efficiency

- Approximately 70% of the company's machines are electric, supporting lower power consumption, improved operational efficiency and consistent high-volume production.
- Robotics and automation are deployed across several manufacturing processes, while packaging remains relatively labour-intensive due to product colour and customer-specific requirements.
- Automation at Khatalwada is still being ramped up, while further internal automation at Silvassa is planned over the next 12-18 months.
- Management expects automation to improve operating efficiencies over time, although the benefits will accrue gradually given the initial capital expenditure and associated amortisation costs.
- The company operates an in-house tool room for selected tooling requirements, while customer-specific moulds may be recovered over three to five years depending on production volumes; moulds are generally depreciated over 15 years.

Product Development and Business Diversification

- Product design remains a core competency, with the company targeting new-product-led growth of approximately 10-20% across its product range.
- The company continues to invest in product development and tooling despite near-term uncertainty, positioning itself to respond quickly when customer programmes resume.
- The company intends to expand beyond consumer houseware into other injection-moulding applications as additional capacity becomes available.
- The company is also evaluating metal products and other materials to broaden its product portfolio, while retaining plastics as its core business.
- Around 25% of plastic processing currently uses recycled plastic, reducing dependence on virgin polymers and supporting the company's sustainability initiatives.

Other Highlights

- The company currently has no immediate plans to establish manufacturing facilities outside India, given the competitiveness of its existing manufacturing base.
- The company had previously evaluated a US manufacturing facility with IKEA but found the economics unattractive, primarily due to insufficient scale and high local sourcing costs for raw materials and packaging.
- Management remains open to overseas manufacturing opportunities if sufficient scale and commercial viability emerge, including potential opportunities in the Middle East or the US.
- In the medium to long term, the company is evaluating new business opportunities and potential inorganic growth avenues, while prioritising utilisation of recently commissioned capacity.

Almonds Global Securities Ltd

Almonds Global Securities is a broking and wealth entity that has, over the years, promoted sizeable businesses in green energy (ethanol) and infrastructure engineering. It is now undertaking a two-stage restructuring to simplify a holding structure that the company believes is confusing public shareholders and suppressing value. Through the demergers, shareholders will receive mirror shares in the infra and green energy businesses, and the company sees the restructuring as the central value-unlocking event over the next 18 months.

Structure and Restructuring

- The group holds roughly 60% in the geospatial and infra business and 40% in Premier Green; a scheme has been filed to demerge the infra consulting business into a separately listed entity, with every public shareholder of Almonds receiving mirror shares.
- Under the first scheme, shareholders will receive 666 shares of Almond Infra (face value INR 10) for every 10,000 shares of Almonds Global Securities (face value INR 1), with listing to follow immediately as a vertical split; a second scheme will later spin off Premier Green, with the swap ratio yet to be finalised.
- Post restructuring, promoter holding (through Avonmore) is expected at 51% in Almonds Global, ~30-32% in Premier Green and 68% in Almond Infra. SEBI has directed the broking entity to exit businesses where it has given guarantees.

Green Energy (Premier Green Innovations)

- The business has two distilleries: a Himachal plant operating for around nine years and producing ENA (60% for potable liquor, 40% for cosmetics), and a 200 KLPD ethanol unit running above rated capacity. Last year's revenue was INR 7.07 bn, with EBITDA of INR 800 mn and PAT of INR 400 mn.
- A new 250 KLPD ethanol plant in Odisha was commissioned in February, with 70% long-term offtake from oil companies; it ran at ~20% utilisation through the allocation gap but should operate at close to 90% from 1 November as grain ethanol allocation rises and sugar allocation falls.
- The company expects revenue of ~INR 9-9.5 bn this year at an EBITDA margin of ~10% and PAT of ~INR 500 mn (weighed down by Odisha depreciation), rising towards INR 13 bn next year on full Odisha operations. Total term loans are ~INR 2.5 bn at 4-4.5%, plus INR 500 mn of working capital debt.
- Grain economics: gross margins of ~15% and EBITDA margins of 10-11% at current maize prices; ethanol prices are not expected to rise, but higher DDGS prices are offsetting elevated maize costs. At least three more projects are in the pipeline.

Infra Engineering (Almond Infra Consultant)

- The business is led by a former NHPC chairman with ~8 specialist directors; 80% of billing is from transportation (roads and railways) and 20% from urban projects, with specialisation in geospatial and digital twin work under Gati Shakti.
- Last year's billing was INR 1.3 bn, and is guided at a minimum of INR 1.65 bn this year; new order intake has already crossed INR 2 bn, and the company targets at least INR 3.5 bn of fresh orders versus INR 1.5-1.6 bn last year, aiming for 30%+ annual growth.
- EBITDA margin is ~12% (11.5% last year) and is expected to reach 20% over three to four years as the share of lead consultant mandates rises; geospatial contributes only ~INR 150 mn of billing, but at 30-35% margins. The EGE acquisition (hydroelectric) adds tunnel engineering capabilities, with ~INR 200 mn of billing on a Nepal project.

Financial Services

- A focused player with ~INR 12 bn of wealth under management, serving family offices; the ambition is to be the investment banker to small caps (INR 1-1.5 bn) and grow them into mid caps, taking minority stakes alongside advisory mandates.
- Marquee mandates include Momentum (formerly Urban Harvest), which raised funds at an INR 6.5 bn valuation and has now been re-mandated at INR 22 bn, Dalchini and Green Jewels (5% owned, with Amazon and Singularity each investing INR 450 mn); the target is four to five transactions a year at a minimum fee of INR 50 mn each.

Promoter Buying

- The promoters have completed their 5% creeping acquisition allowance through a mix of preferential issue and market purchases, citing value in the stock and the intent to raise their shareholding; no further purchases are planned.

Guidance & View

The company guided to Premier Green revenue of ~INR 9-9.5 bn this year, rising towards INR 13 bn next year at an EBITDA margin of ~10%; infra billing of at least INR 1.65 bn, with fresh orders of INR 3.5 bn and 30%+ growth; the Almond Infra listing within seven to eight months and Premier Green within ~18 months; and promoter holding settling at 51% in Almonds Global, 30-32% in Premier Green and 68% in Almond Infra.

The sum-of-the-parts unlocking is the clear thesis, and the underlying ethanol and infra businesses are genuinely scaling, but value realisation depends on the demergers completing on schedule and the unlisted businesses achieving listing and valuation discovery. Given the structural complexity and the promoter-led, Fairfax-style model, execution and disclosure cadence (which the company is now committing to) will determine any re-rating.

Aluwind Infra-Tech Ltd

Outlook: Aluwind Infra-Tech has delivered strong growth, with revenue increasing nearly 4x between FY23 and FY26. Management is targeting FY27 revenue of INR 1,800-2,000 mn and has articulated a medium-term vision of reaching INR 5,000 mn turnover over the next 3-5 years. Growth is expected to be driven by its facade and fenestration businesses, expansion into South India, exports, solar facade solutions and deeper penetration across retail and project markets.

Healthy Order Book & Capacity Headroom

- The company has an order book of approximately INR 2,830 mn, providing visibility for near-term execution. Management indicated that the existing manufacturing setup can support around INR 2,800 mn of orders without significant expansion, while the order book has the potential to cross INR 4,000 mn. The 70,000 sq ft facility has a stated capacity of ~20,000 sq m per month, with current utilisation at approximately 60%, providing operating leverage as execution scales up.

Capex-Led Capacity Expansion & Automation

- To support its INR 5,000 mn medium-term revenue ambition, management plans capex of approximately INR 180-200 mn towards an additional facility. The new facility is expected to incorporate higher levels of automation and technology, with the objective of reducing labour dependency and improving manufacturing efficiency. The company is also implementing ERP systems to strengthen inventory management and overall operational efficiency.

Multiple New Growth Drivers

- Beyond its established windows and facade businesses, Aluwind is focusing on newer growth opportunities including solar facade solutions, exports, drone-related applications, Tier 2/Tier 3 markets and expansion into South India. The company has already undertaken projects across Hyderabad, Chennai, Coimbatore and Madurai, while continuing to target marquee customers across the windows and facade segments. Solar facade is emerging as a strategic opportunity, supported by the company's partnership for solar technology.

Working Capital Improvement Remains Key

- Despite healthy reported return and leverage metrics, working-capital intensity remains an area of focus. The company reported ROCE of 22.27%, debt-equity of 0.59x and DSCR of 7.69x. The working-capital cycle is currently around 160-170 days, with management targeting a reduction to approximately 120 days by FY27-end and eventually around 100 days. Higher inventory levels and slower realisations contributed to negative operating cash flow, making inventory and receivables optimisation important for improving cash conversion.

Amir Chand Jagdish Kumar (Exports) Ltd

Amir Chand is transitioning from a pure-play basmati rice exporter to a broader kitchen staples FMCG platform under the "Aeroplane" brand. The company closed FY26 at ~INR 23 bn in revenue and is leveraging its existing distributor network to layer on adjacent products (atta, besan, sugar, cooking oil). The onboarding of Rashmika Mandanna and Fatima Sana Sheikh as brand ambassadors, combined with senior FMCG hires from Pepsi and Procter & Gamble, signals a serious push toward premiumisation and consumer brand recall. Near-term earnings are supported by strong export demand and rising domestic basmati prices; in the medium term, the FMCG playbook could materially widen the revenue and margin envelope.

Basmati Industry Tailwinds

The domestic basmati market is seeing a structural shift from unbranded/loose to branded/packaged. About INR 400 bn of the market is already branded, but the company estimates the total addressable market at INR 1,500 bn.

Roughly INR 40 bn of the market is migrating from unpacked to packed products every year, driven by rising disposable incomes and premiumisation.

Basmati rice prices have moved up by >25% season-on-season. Export demand remains robust, with buyers willing to absorb higher freight and product costs.

Revenue & Margin Profile

FY26 revenue was ~INR 23 bn, of which exports contributed ~INR 8.4 bn (~37% of sales).

The company is number one in Gujarat and Kerala (under the Alibaba brand). Gujarat, Kerala, and UP account for 35-40% of domestic revenue.

Direct HoReCa sales contribute ~20% of revenue, rising to 30-35% including distributor-led HoReCa sales. The premium segment currently accounts for ~25% of the mix.

Current EBITDA margins are 7-8%, versus 9-10% for peers. The company expects to bridge this gap as brand awareness improves.

The sustainable margin target is 14-15% over time, aided by the shift to organised retail.

FMCG Diversification Strategy

Product selection was driven by a distributor survey: the company identified what its existing distributors were already selling (atta, sugar, cooking oil, besan) and added those SKUs under the Aeroplane brand.

The plan is to add 5-6 new products annually, targeting a portfolio of 30-40 products over 5-6 years.

The TAM for adjacent categories is large: atta ~INR 1,000 bn, sugar ~INR 1,000 bn and besan/maida ~INR 300-400 bn.

FMCG products are sourced (not manufactured), so capital intensity is low. The main investment is in branding and sales team expansion.

Capacity & Capex

The company is using ~50% of its installed capacity. No significant capex is required up to INR 60 bn in revenue.

Between INR 60 bn and INR 80 bn revenue, some packing/production line additions may be needed.

Beyond INR 80 bn, a new mega unit may be required, with a replacement value of INR 5-6 bn. The company has a 2-3 year window before reaching that point.

Export Markets & Geopolitical Risks

The company is present in 38 countries directly and ~50 including re-exports. Exports are concentrated in the Middle East, with a presence also in Australia, parts of Africa and the US (low penetration).

Margins are geography-agnostic; brand pull, not geography, determines realisation. Indian margins are now comparable with those in the US and Europe.

The Strait of Hormuz disruption pushed freight costs to Oman from ~USD 400 to ~USD 4,000 (10x) at the peak. Demand remains very strong, but container availability is a bottleneck.

Export headwinds were offset by higher domestic sales; overall top line is growing despite the logistics challenge.

Guidance

FY27 revenue is guided to grow ~27-28% over FY26. Sustainable EBITDA margins are targeted at 14-15% as brand spends scale and the organised retail mix rises.

The company sees no near-term supply constraint on basmati procurement; crop damage from floods/weather events has historically been marginal (3-4%).

Anand Rathi Share and Stock Brokers Ltd

Outlook: Anand Rathi Share and Stock Brokers is targeting 20% revenue CAGR and 30% PAT CAGR, with growth increasingly supported by distribution, MTF and other recurring revenue streams. The company has 1.8 mn active clients and INR 100 bn of distribution AUM, providing a base for further recurring revenue growth. Management expects the cost-to-income ratio to improve from 80% to 70% over the next two years through operating leverage and technology-led productivity gains. IPO-related activity and the emerging insurance business provide additional growth opportunities, while market-linked broking revenue remains exposed to trading volumes and regulatory changes. Overall, the strategy is focused on diversifying revenue away from pure broking and increasing the contribution of recurring businesses.

Diversified Revenue Model

- The company aims to maintain a balanced revenue mix between broking and non-broking businesses, with broking currently contributing 52% of total revenue.
- Within broking, cash-market revenue contributes 50%, while equity derivatives contribute 40% and commodity derivatives 10%.
- Distribution contributes 13% of revenue, MTF/interest income 17%, while other income accounts for 20%. Franchisees contribute 25% of net broking revenue.

Strong Growth Ambition

- The company has delivered >20% revenue CAGR and 30% PAT CAGR over the past 5-6 years.
- Management targets 20% revenue CAGR and 30% bottom-line CAGR going forward, supported by growth across broking, distribution and MTF businesses.

Large and High-Value Client Base

- Active client base stands at 1.8 mn, with broking revenue of INR 27,000-30,000 per active client.
- Management expects per-client revenue to remain healthy while expanding the overall client base.
- Around 83-84% of the client base is above 30 years of age, with the company focusing on clients seeking research and advisory-led investment services.

Recurring Revenue Gaining Importance

- Around 35% of total revenue currently comes from trail-based revenue, primarily through distribution and other recurring businesses.
- Distribution AUM reached INR 100 bn, covering mutual funds, PMS, AIFs, fixed deposits and bonds, with an estimated yield of 1%.
- Management is focused on increasing recurring revenue to reduce dependence on market-linked broking income.

MTF and Cash-Market Focus

- MTF remains an important growth driver and supports the company's cash-market broking business.
- Management expects continued MTF book growth, while increasing assets under custody should support broking revenue over the longer term.

Cost Efficiency and Operating Leverage

- The current cost-to-income ratio is 80%, with management targeting 70% over the next two years.
- Higher reported operating costs partly reflect the franchise model, under which franchise revenue is included in the top line, while the corresponding revenue-sharing payout is recorded as an expense.

IPO and Insurance Businesses Add New Growth Levers

- The company has increased its focus on IPO-related business and completed three IPOs in the last quarter, including Lalita Jewellery, SS Retail and NSE IPO-related work.
- Management expects IPO-related revenue to grow meaningfully compared with the previous financial year, although the pipeline remains dependent on deal closures.
- Insurance is another emerging business, with the company still in the build-up phase and focused on developing trail-based revenue.

Technology and Digital Expansion

- Around 36% of broking revenue is generated through online trades, while more than 50% of turnover is executed online.
- Around 99% of account opening is already digital, and mutual fund transactions are fully online. The company plans to further increase technology spending, with at least 10% of expenditure targeted toward technology.

ROE and Balance-Sheet Leverage

- Current ROE is 17.5-18%, while debt-equity is 0.8x.
- Management plans to increase borrowings to support business growth, while higher recurring revenues and technology-led productivity improvements are expected to support gradual improvement in ROE.

Anawil Wire & Engineering Ltd

Anawil Wire & Engineering is moving from a conversion-focused wind tower manufacturer towards a larger integrated wind tower supplier. The company has booked 356 towers worth ~INR 3,800 mn along with an additional INR 1,330 mn order, taking the current order book to ~INR 5,200 mn, which management expects to complete by May 2027. It operates a 30 towers/month facility at Koppal, Karnataka, and a ~28 towers/month facility at Kutch, positioned to serve Kutch, Rajasthan and Saurashtra, with certification at Kutch nearing completion. Around 50% of the order book is conversion-only, while the balance includes internal components, paint and/or full material supply, with fully integrated towers valued at INR 35-56 mn per tower. Conversion orders generate 40%+ EBITDA margins versus ~10% for integrated orders and ~5% for full plate/flange supply, implying lower reported margins but substantially higher absolute EBITDA as turnover scales. Rising adoption of higher-capacity 5 MW wind turbines and proximity to wind generation clusters further support the growth outlook. The key factors to monitor are order negotiations for the next financial year, Kutch certification and ramp-up, the integrated-order mix and absolute EBITDA growth.

Business Model & Positioning

- The company is transitioning from pure conversion/job-work towards integrated wind tower supply.
- The integrated model can materially increase absolute revenue and EBITDA, albeit at lower margins.
- Growth is supported by expansion in high wind-potential regions and increasing adoption of 5 MW wind turbines.

Order Book & Revenue Visibility

- The company has booked 356 towers worth ~INR 3,800 mn, along with an additional order of INR 1,330 mn.
- The current order book stands at approximately INR 5,200 mn.
- Management expects these orders to be completed by May 2027.
- Negotiations for the next financial year's orders are expected to accelerate after December.

Manufacturing Capacity

- The Koppal (Karnataka) facility has a capacity of 30 towers/month, catering to North Karnataka, South Maharashtra and nearby regions.
- Management indicated that Koppal can reach its full capacity of 30 towers/month once the new machine is commissioned.
- The Kutch facility has a capacity of around 28 towers/month and is strategically positioned to serve Kutch, Rajasthan and Saurashtra.
- Certification work at Kutch is nearing completion, which should support further order booking.

Shift towards Integrated Tower Supply

- Around 50% of the current order book is conversion-only.
- The remaining ~50% includes internal components, paint and/or full material supply.
- Fully integrated towers can carry a value of INR 35-56 mn per tower, significantly higher than conversion-only revenue.

Margins

- Conversion orders can generate 40%+ EBITDA margins.
- Integrated orders involving material procurement carry around 10% EBITDA margins, while full plate/flange supply can be around 5%.
- The rising share of integrated business is expected to reduce reported EBITDA margins.
- Management expects absolute EBITDA to increase substantially on the back of higher turnover.

Competitive Advantage

- Proximity to wind generation clusters is a key advantage, as towers are large over-dimensional cargo (ODC) structures with significant transportation costs.
- Management stated that the company currently has the largest manufacturing facility in Karnataka.
- Expansion at Kutch extends the company's reach into the Gujarat and Rajasthan wind markets.
- Order conversion for the next financial year and the trade-off between margin percentage and absolute EBITDA will remain key monitorables.

Anlon Healthcare Ltd**Anlon Healthcare Ltd**

Outlook: Management targets FY27 revenue of INR 3,800-4,000 mn, FY28 revenue of INR 7,000 mn and FY29 revenue of INR 8,000-9,000 mn. The FY29 base guidance largely excludes major CDMO revenue, providing additional growth potential. Sustainable group EBITDA margins are targeted at 27-28%, with FY27 blended EBITDA margin guided at 25%.

Business Transformation & Acquisitions

- Anlon is evolving into a backward- and forward-integrated pharmaceutical platform spanning APIs, pharmaceutical intermediates, finished dosages and CDMO. The company has acquired 67.48% of Epico Organics for INR 54 mn and 56.6% of Bisotic Life Science for INR 38 mn, while Remember Health India adds a WHO-GMP compliant finished-dosage manufacturing facility. FY26 revenue stood at INR 1,720 mn, with PAT of INR 28 mn.

Core API & Intermediate Business

- Existing Anlon operations are focused on pharmaceutical intermediates and APIs, with a current capacity of 400 MTPA. The ongoing expansion will increase capacity 4x through two additional manufacturing blocks and eight new clean lines. Key growth molecules include Ketoprofen and Dexketoprofen, where management aims to become the world's largest manufacturer following the expansion.

Epico Organics & Bisotic

- Epico focuses on industrial fine chemicals and intermediates and is expected to contribute INR 2,000-2,300 mn of revenue in FY28. Bisotic, focused on domestic and regulated-market pharmaceutical products, is expected to contribute INR 1,000 mn in FY28. Anlon and Bisotic are targeting 27-28% EBITDA margins, while Epico is expected to operate at somewhat lower margins due to its product mix.

Finished Dosage – Remember India

- Remember India is a new WHO-GMP compliant finished-dosage facility targeting semi-regulated and European markets. Commercial operations are scheduled from 1 October, with management expecting the facility to be profitable or around break-even from day one based on existing commitments. DCGI filings are underway, and the business has not been materially included in the INR 7,000 mn FY28 revenue target, making successful commercialisation an incremental growth opportunity.

CDMO

- The CDMO business is currently at the validation stage with zero reported revenue. Three innovator molecules are under development. The first molecule has completed validation, with 2-3 MT trial commercial quantities targeted from January/Q4FY27 and EBITDA margins of 45-50%. Molecules 2 and 3 are expected to commercialise around Q3FY28/FY29. Major CDMO revenues are excluded from the INR 8,000-9,000 mn FY29 base revenue guidance.

DMF & Product Pipeline

- Anlon has filed 21 DMFs, of which 8-9 products are already commercially manufactured. Another 3-4 products are expected to generate meaningful commercial revenue over the next 2-3 years. Management targets 5-6 additional DMF filings in FY27, with four already completed. Propren Gel has been filed for DCGI approval, with approval targeted by Q1FY28, alongside plans for pan-India distribution.

Capex & Capacity Expansion

- Construction of the new Anlon facility has commenced, with commissioning targeted for Q2FY28. Utilisation is expected at 40-45% in FY28 and 60-65% in FY29, with 70-75% considered optimal utilisation for multipurpose plants. Existing-site expansion will add two blocks and eight clean lines, significantly increasing manufacturing capacity.

Margins & Raw Material Pass-Through

- FY27 blended EBITDA margin is guided at 25%, with sustainable group EBITDA margin targeted at 27-28%. Solvent prices increased by 200-300%, while Chinese suppliers raised basic raw material and KSM prices by >10%. After completing pending fixed-price orders in Q1, the company secured 15-20% price increases from customers. Management expects raw-material prices to remain elevated for at least the next six months.

Working Capital & Cash Flow

- The industry operates with a relatively long 170-190 day working-capital cycle, while Anlon maintains at least three months of raw-material inventory. Elevated receivables are primarily attributable to a specific previously disclosed stuck payment. Management targets receivable days of 170-180 days by FY27 and 130-140 days by FY28, with inventory days targeted at 140-150 days. The company expects to be cash-flow positive during H1FY27 and for the full year.

Debt & Capital Structure

Consolidated term debt is INR 50-55 mn, with Anlon standalone carrying an INR 35 mn term loan, Epico INR 20 mn of term debt and Bisotic no term debt. The cost of debt is 8.5-9%. Current liquidity is considered sufficient for the FY27 revenue scale of INR 3,800-4,000 mn, although additional working capital facilities will be required as the company scales towards INR 9,000 mn of revenue.

International Expansion

Anlon has incorporated a Nigeria subsidiary to directly import and distribute its formulations in West Africa. The strategy is aimed at capturing higher importer and distributor margins rather than relying on third-party importers. The company is also targeting semi-regulated and European markets through its finished-dosage and CDMO capabilities.

Competitive Position & Risks

Management sees limited competitive pressure from China, citing its quality, pricing and compliance advantages. Key risks include regulatory compliance changes, regulatory alerts and continued raw-material price volatility. Finished-product pricing is expected to adjust proportionately if raw-material prices eventually normalise.

Apeejay Surrendra Park Hotels Ltd

Outlook: Apeejay Surrendra Park Hotels demonstrated strong resilience in Q1FY26, reporting standalone revenue of INR 1,670 mn (+8% YoY) with EBITDA at INR 470 mn (28.1% margin). Consolidated revenue reached INR 1,720 mn (+10% YoY) with EBITDA of INR 520 mn (+8% YoY) and PAT of INR 120 mn (7% margin). PAT margin softness was driven by initial finance costs from capital expansion. Management maintained India-leading network occupancy of 92% through 24/7 yield management. Full-year revenue is guided at high single-digit growth, with H2 EBITDA margins expected to expand by 100-150 bps YoY, bolstered by over 40 wedding dates and major MICE events (Hiroshaw, Bharat Mobility Expo). Core owned properties continue to deliver trailing EBITDA margins above 34%.

EM Bypass Kolkata & Residential Monetisation

The integrated Kolkata EM Bypass project combines a 218-room five-star deluxe hotel with 69 service apartments under a 55:45 revenue-sharing model (zero construction cost liability on developer share). Phase 1 saw 33 out of 34 launched apartments sold immediately, taking total units sold to 37 at ~INR 20,633 per sq ft. Total residential cash inflows are projected at INR 3,000-3,500 mn against a hotel project cost of ~INR 3,000 mn, effectively making the 218-key hotel a net-zero-cost asset. The company has received INR 210 mn, with INR 700-800 mn expected in FY26. Phase 2 sales will launch around Diwali (Q3).

Land Bank Unlocking & FSI Revisions

The company is unlocking value across prime urban land banks through favourable FSI revisions. On its Pune land parcel, permissible FSI has increased from 250,000 to 670,000 sq ft. Management plans to use ~250,000 sq ft for a ~200-room luxury hotel and monetise the remaining ~420,000 sq ft through residential development (6-12 months for approvals; 2-3+ years for realisation). Additional FSI upside is being monitored across owned parcels in Vizag, Hyderabad and CIDCO (Mumbai).

Expansion Pipeline & Capacity Targets (FY27-FY30)

The company aims to double its inventory from 42 hotels (2,677 keys) to 87 hotels (6,710 keys) by FY30. The FY27 pipeline will add 12 properties (472 rooms) to reach 3,149 keys. Key upcoming assets include the Kolkata EM Bypass hotel, a 78-room resort in Diu (launching October 2027), and a 100-room five-star deluxe hotel in Visakhapatnam (100% sea-facing rooms on a 6-acre beachfront plot). Greenfield capex is pegged at INR 12-13 mn per key (ex-land). Target ARR ranges between INR 12,000 and INR 14,000 per night, with the upcoming Mumbai property expected to open at INR 18,000-20,000 per night.

Inorganic Growth & Strategic Acquisitions

The company is acquiring Malabar House & Food Coach, a 17-room heritage property in Fort Kochi (closing by November 2026). Additionally, the acquisition of Zillion for INR 2,090 mn (INR 1,800 mn paid) expands operational scale and sets the foundation for top-line acceleration toward FY28/FY29.

Flurys Retail Scaling & SOTP Unlocking

Flurys currently operates 111 asset-light, high-margin retail outlets (~12% EBITDA margin post-rentals). Following its North India entry (Gurugram), new cafes are opening in Green Park and Greater Kailash, New Delhi. Management plans to reach 140 outlets by FY27 and 350-400 stores by 2030. At 300+ outlets, Flurys is projected to generate INR 3+ bn in revenue, unlocking a standalone sum-of-the-parts (SOTP) valuation comparable to global coffee and bakery chains.

Managed Contracts & F&B Moat

Managed contracts under Zone by The Park and Zone Connect are scaling rapidly in Tier 2/3 markets. Contract fees currently contribute 2-2.5% of overall revenue, expanding to 5-6% of property-level revenue upon stabilisation (comprising a 2.5-3% base fee, a 1.5-2% marketing fee and a 5-8% GOP incentive fee). EBITDA margins on managed contracts stand at 50-55%, with a target of 70% as central overheads are leveraged. In parallel, F&B remains a major hedge, generating 40-43% of total revenue, led by iconic nightlife brands such as Leather Bar and Pasha.

Balance Sheet & Governance

The balance sheet remains conservative, with a debt-to-equity ratio of 0.12x and net debt-to-EBITDA of 0.7x. System efficiency has been upgraded through a full implementation of SAP S/4HANA for finance, all governed under the company's 3G (Good Governance and Green) framework.

Aptus Pharma Ltd**Asset Light Prescription Generation Model**

- Aptus Pharma operates a branded generics model focused on prescription generation through doctor engagement, similar to Mankind Pharma and Corona Remedies. The company owns its brands, controls quality, and manages the entire distribution channel from super stockists down to medical representatives. Manufacturing is fully outsourced to WHO-GMP-certified contract manufacturers under loan licence and purchase order arrangements. This allows Aptus to scale with minimal capex while directing resources toward brand building and market expansion.

Revenue Mix across Three Verticals

- Acute therapies contribute roughly 40% of revenue, OTC and wellness account for 20-21%, and chronic and semi-chronic therapies make up ~30%. The remainder comes from export-related services. The Pharma Formulation vertical drives core prescription revenues, while the Consumer Products vertical is being built around skincare, haircare, and personal care. The International Business vertical currently generates commission income by facilitating export orders through contract manufacturers.

Product Portfolio Expansion

- The company currently offers 250+ formulations across 18+ therapeutic segments spanning anti-infectives, gastro, cardiac, diabetic, respiratory, neuro, and pain categories. Chilkul, the company's gastro (PPI) brand, is its flagship prescription product. Aptus targets 350 products across 25+ therapeutic segments by the end of FY27 and aims for 600+ products across 30+ segments over the next three years with the addition of new divisions.

Distribution Network and Geographic Footprint

- Aptus has built a network of 10,000+ doctor relationships, 25,000+ retail touchpoints, 250+ distributors, and 200+ field personnel. Gujarat remains the core geography, but post listing, the company has expanded into Madhya Pradesh, Rajasthan and other states, taking its presence to seven states. The company focuses on Tier 2 and Tier 3 cities where larger pharma companies have limited penetration, creating a differentiated distribution moat.

Own Manufacturing Plant in Two to Three Years

- Aptus currently has no owned manufacturing facility and operates entirely through CDMO and loan licence arrangements with two Gujarat-based plants plus additional PO-based partners. The company plans to operationalise its own plant within two to three years, at which point approximately 20% of products will be manufactured in-house. This is expected to improve margins, strengthen quality control, enable direct product registration for exports, and support the pan-India scale-up.

Export Opportunity

- At present, export revenue is limited to commission income earned by routing overseas orders to contract manufacturers under NDA-based sharing arrangements. Once its own plant is operational and registered for international markets, the company plans to directly export to Africa, Latin America, and select Asian markets. However, Aptus has stated that approximately 80% of future revenue will continue to come from the domestic Indian market.

Margin Compression from Expansion Spending

- EBITDA margin contracted from 19.7% in FY25 to 16.0% in FY26 as the company invested aggressively in manpower recruitment and geographic expansion. Gross margin also declined from 63.2% to 54.1% on account of a higher share of traded goods. The company acknowledged that margin percentage has taken a backseat as it prioritises top-line growth, distribution build-out and meeting mainboard migration criteria. EBITDA improvement is expected in the coming periods as operating leverage kicks in.

Capital Allocation and Mainboard Migration

- Aptus declared a 2-for-3 bonus issue in May 2026 to expand its equity base, which is a prerequisite for migrating from the BSE SME platform to the mainboard. There is no dividend history as all surplus capital is being deployed toward expansion. The company's roadmap for mainboard listing is clear, with revenue scale being the primary criterion it is working toward.

FY26 Financial Performance

- Revenue grew 89.7% YoY to INR 465.7 mn while EBITDA increased 53.6% to INR 74.5 mn and PAT rose 49.0% to INR 46.2 mn. H2FY26 showed strong sequential momentum with revenue of INR 322.0 mn, more than doubling over H1FY26's INR 143.8 mn. Basic EPS for FY26 stood at INR 7.78. The balance sheet expanded to INR 435.3 mn, with trade receivables rising sharply to INR 187.6 mn from INR 56.4 mn in FY25.

Guidance

- Aptus Pharma targets 350+ products and 25+ therapeutic segments by the end of FY27. The company plans to become a pan-India operator by 2029 with its own manufacturing facility operational by March 2028 and global exports commencing around the same time. No specific revenue or profit guidance was provided due to regulatory constraints, but the company expressed strong confidence in continuing top line growth backed by geographic and portfolio expansion.

View

- Aptus Pharma is in a high-growth phase, leveraging its asset-light model to scale rapidly across India's underpenetrated branded generics market. The Tier 2 and Tier 3 city focus offers a genuine distribution advantage. However, the sharp margin compression (EBITDA margin from 19.7% to 16.0%), elevated receivables, absence of owned manufacturing, and concentrated vendor base (80% from select suppliers) are risks worth monitoring. At a trailing P/E of ~129x on a revenue base of under INR 500 mn, the stock leaves little room for execution slippage; the key triggers to watch are mainboard migration and plant commissioning over the next two to three years.

Aptus Value Housing Finance India Ltd

The company runs a two-entity structure (the standalone housing finance company and its wholly owned NBFC subsidiary, Aptus Finance), operated independently with separate compliance, risk and borrowing functions and no cross-support. It reiterates a long-term framework of 20%+ AUM growth and 20% ROE, with current run-rate growth of 22-24%, underpinned by high-yielding fixed-rate products, wider spreads than peers and conservative leverage. Asset quality pressure last quarter was an execution-led collection issue rather than borrower income stress, and collections are improving this quarter.

Structure and Borrowing

The group comprises two separate companies, the standalone HFC and its wholly owned NBFC subsidiary, Aptus Finance, with separate compliance and risk functions and independent borrowing. The earlier HFC guarantee on NBFC borrowing has been fully removed, so the HFC does not support the NBFC's growth.

The incremental cost of borrowing is ~8% in the HFC and slightly higher in the NBFC. On AUM of ~INR 136.48 bn, the company raises funds only four times a quarter (three in the HFC and one in the NBFC) and holds higher month-end liquidity to negotiate better rates.

Over the last six months, funds were raised at broadly the same rates as earlier, but there is now less room for further declines; any move will track the repo rate, with liabilities repricing first and assets following. Around 80% of products are fixed-rate, which are priced higher than floating-rate products and provide a runway advantage, and spreads are higher than those of several competitors.

Digitisation and Underwriting

Operations are fully digital, with an in-house LOS and LMS (the Diva platform, also used by larger entities such as the Shriram Group) and no paperwork in sourcing; every file is digital from sourcing to collection.

Given the focus on Tier 2, 3 and 4 cities, branch staff must still visit the customer's home and business premises to underwrite, so a templatised sourcing or underwriting model does not apply; technology is an enabler of growth rather than a replacement for field presence.

A bureau scrub is conducted after every quarter-end at the borrower and household level to check the loans customers have taken, under a standing arrangement with the credit bureaus.

Growth, Leverage and Product

Guidance is for 20%+ growth, with 22-24% AUM growth this year and more than 20% in the foreseeable future; a 20% ROE is seen as achievable given current realisations. Housing finance growth bounced back in Q1 and is expected to continue.

Internal accruals are strong, with PAT of ~INR 9.43 bn last year and ~INR 2.61 bn in Q1 alone, so leverage is unlikely to rise quickly; it will build gradually as growth picks up and a new NBFC product is added.

A new NBFC product is under consideration: since some products carry an LTV of only 40% and the quarterly bureau check shows customers borrowing two-wheeler or other loans for working capital, the company may lend more to the same customer using the same underwriting; no separate licence is needed to add a product.

Mix, Capital and Asset Quality

At a consolidated level, ~48% of the book is home loans and 29% is NBFC (mostly LAP), with the balance in quasi-home loans, top-up loans and insurance; the company intends to broadly maintain the current mix, with the NBFC growing slightly faster off a smaller base.

The capital stance is conservative by design: home loan capital consumption is only ~35%, so capital burn is low and internal accruals are strong. The irregular cash flows of Tier 2-4 customers, often without ITR or GST records, require customer visits and manual assessment, which is time-consuming, so the same product cannot be grown at 35-40%.

Last quarter saw a collection efficiency challenge in the NBFC segment driven by execution and the company's own people rather than borrower income stress; collection efficiency is improving as of late Q2 and the trend is expected to continue.

Newer states such as Maharashtra and Odisha have only ~10-12 branches each, against 300+ in the southern states; a new branch in a new state takes 6-10 months to reach a run-rate of ~INR 7-8 mn of disbursements per branch per month, versus ~INR 10 mn within 8-9 months in the older states.

Guidance

The company guided to 20%+ AUM growth (22-24% this year), a 20% ROE, a broadly unchanged mix of ~48% home loans and 29% NBFC, and only a gradual rise in leverage given strong internal accruals; the cost of funds is expected to hold near current levels, with limited further downside.

Arihant Superstructures Ltd

Outlook: Arihant Superstructures is expanding its portfolio by venturing into hospitality with two new hotel projects and diversifying its residential presence across 12 micro-markets in the MMR. The company is targeting 20-25% revenue growth in FY27 and pre-sales exceeding INR 12 bn.

Residential Segment Performance

- **Financials:** FY26 revenue of INR 5.5 bn and pre-sales of INR 9.8 bn, with a current total GDV of ~INR 140 bn.
- **Sales Guidance:** Pre-sales of INR 12+ bn targeted for the current year, with 85% from existing projects and 15% from new launches.
- **Pricing Trends:** Average ticket size is expected to rise to INR 10 mn this year from INR 9 mn last year due to a higher share of premium inventory.
- **Market Growth:** In the Panvel area, carpet area prices have grown from INR 10,000 to INR 12,500 per sq ft over the last 3-4 years, reflecting a 7% CAGR.
- **Inventory:** Approximately 236 units of unsold inventory remain from Q1; management expects these to be sold within 5-6 months.

Hospitality and Annuity Assets

- **ITC Partnership:** Signed a management operating agreement for a 227-key hotel under the "Mementos by ITC" brand, spanning 10 acres. Construction is expected to take 3 years.
- **Budget Hotel:** Planning a 108-room budget hotel near Imagica in Khopoli on a one-acre plot, with a brand announcement expected in Q3.
- **Other Assets:** Developing a Gymkhana (expected completion in 1.5-2 years).
- **Revenue Timeline:** Operating income from these three annuity assets is projected to begin from FY30-31.

Strategic Projects and Model

- **Town Villa Township:** A 99-acre development focused on first homes for students, with a revenue potential of INR 48 bn. Launch is expected in 2027.
- **Business Model:** Employs an asset-light JV/JDA model for roughly 15% of ongoing projects to reduce land investment.

Financial Position

- **Debt Profile:** Net debt stands at ~INR 8.5 bn.
- **Cost of Funds:** Average debt cost is 12.5%, with institutional debt at 12.25%.
- **Targets:** Aiming to reduce institutional financing costs to 11.5% in the next two quarters and reach single-digit costs within 2-3 years.
- **Funding:** New hospitality assets will be funded via construction finance at rates between 9.5% and 10% per annum.

Arman Financial Services Ltd

A rural-focused NBFC spanning microfinance, micro-enterprise, secured MSME (micro-LAP) and two-wheeler loans, with a portfolio of ~INR 27-28 bn. The company reports stable asset quality despite macro headwinds; the microfinance crisis is seen as largely behind it, but a cautious stance is maintained since the recovery owes more to better selection than to rising real rural incomes. Demand is slower than expected but healthy for the sector; the company targets AUM of ~INR 50 bn over two to three years and expects a stronger H2.

Structure and Scale

The book is ~70% microfinance and ~30% secured MSME (micro-LAP) and two-wheeler loans. The listed parent, Arman, holds the NBFC licence, while its wholly owned subsidiary, Namra, is the NBFC-MFI; the split is driven purely by the differential regulation of microfinance.

The portfolio of INR 27-28 bn is spread across 11 states, with ~530 branches, 5,300-5,400 employees and 0.65-0.70 mn customers.

Microfinance and Asset Quality

There are no ECBs outstanding, so FCNR flows are not a direct benefit; any advantage would be indirect if excess bank liquidity leads to favourable rates. MFI customers have deleveraged significantly, and industry guardrails have restored asset quality to around the pre-crisis March 2024 level.

The recovery is weighted more towards better selection than favourable ground-level macros; real incomes remain broadly flat in inflation-adjusted terms, so this is not the time to push the accelerator despite favourable headline numbers. The crisis is seen as behind, but caution continues.

Rejection rates remain very high: for every 100 inquiries, only 20-24 customers receive disbursements. Underwriting has been revamped to stop relying on JLG as a risk mitigant, using better technology, bureau data and feet on the street, with ~90% of assets covered and 72-75% of defaults covered under CGFMU.

Demand, Drought and Insurance

Q2 asset quality is stable despite expected pressure from West Asia, oil prices and trade issues, with no alarming stress. Demand and inquiries have risen, but not to accustomed levels, so Q1 and Q2 volumes are modest, which the company views as a sign of a healthier, evolving industry rather than a negative.

Maharashtra is only 2-3% of the book, so the drought declaration is immaterial at the company level; a drought can take zero-DPD rates down to 94-95% in affected cohorts, and the key risk is a cascading cliff effect where even unaffected borrowers stop paying, which happens in only ~2 of 10 cases. Bihar, Odisha and eastern UP saw excessive rain and Nepal floods, but these were handled well by the sector.

There is no commission or pass-through insurance income in the P&L; the company prefers to charge transparent interest rather than earn insurance side income, so the draft IRDAI regulations have no impact and may even be marginally positive by lowering customer rates. It flags that the draft could be highly disruptive for rural distribution, given tiny commissions of INR 8-12 per policy.

Funding, CGFMU Accounting and Outlook

Borrowings are diversified across PSU and private banks, ECBs (none currently), PTC securitisation, DAs, and retail and listed NCDs; if the weighted average cost of borrowing rises meaningfully, it is passed on to customers where the market allows. On the liability side, ~50-55% is bank borrowing and 20-25% NBFC borrowing, both floating; only retail NCDs are fixed-rate. A credit rating surveillance is due in October or November, with a possible upgrade worth 20-30 bps on the cost of borrowing.

The CGFMU premium is paid upfront once every financial year on the prior year-end book and recognised pro rata each quarter under other expenses (hence the rise in other expenses over two years), with incremental premium prorated for new live loans. The first claim is expected to be filed in Q3 (only one claim is allowed per financial year) and will be booked as a claim receivable that is extinguished on receipt; peers' experience suggests claims are paid if filings are correct.

The company works to two-to-three-year targets rather than five-to-ten-year visions (currently AUM of INR 50 bn) and expects Q3 and Q4 volumes to beat H1 as macros improve, with liquidity, staff and technology in place to serve demand safely. It takes customers up the ladder from microfinance to larger secured MSME tickets to retain them.

On the recent 10-11% fall in the stock, the company said nothing has changed operationally and that it was not due to Elevation (SAIF) exiting. The promoters have no intention of buying shares in the open market purely to support the price, nor of selling their stake (~90-95% of family wealth is in Arman) absent an exceptional offer.

Guidance

The company targets AUM of ~INR 50 bn over two to three years, expects H2 to be materially better than H1, and guides to stable asset quality with high rejection rates, ~90% CGFMU asset coverage and a possible rating upgrade worth 20-30 bps on the cost of funds.

Ashutosh Fiber Ltd

Ashutosh Fibers is transitioning from a technical yarn spinning company to a more integrated player by entering the processing and fabric business. The company is leveraging IPO proceeds for significant capacity expansion and debt reduction to drive a projected revenue jump of 25-30% this year.

Company Profile & Operations

- **Core Business:** Technical yarn spinning, established in 1985, operating across 20,000+ sq m with ~90% capacity utilisation.
- **Market Reach:** Domestic presence in 14 Indian states and exports to over 6 countries, including China (20% of exports), Brazil, Germany, and the US.
- **Product Segments:**
 - **ProTech:** Personal protective equipment for oil, gas, and safety industries.
 - **InduTech:** Chemical and pharmaceutical industrial filtration (filter bags/cartridges).
 - **MobileTech:** Friction-resistant yarns for clutch facings and grip pads.
 - **HomeTech:** High-tenacity polystyrene for high-strength materials.
- **Technical Edge:** Focuses on high-performance materials (aramids, polypropylene, stainless steel blends) rather than comfort-based textiles.

Financial Performance & Metrics

- **Revenue & Profit:** Recent turnover of INR 1.17 bn, with PAT of INR 160 mn.
- **Margin Growth:** EBITDA margins increased from 14.69% in 2024 to 26.39% in 2026.
- **Profitability Drivers:** Margin expansion was driven by cost optimisation, better sales realisation, and the installation of a 4 MW solar plant, which reduced power costs by ~INR 40-42 mn.
- **Sustainability:** Currently generates 50-60% of power via rooftop solar.

Growth Strategy & Capex

- **IPO Fund Utilisation:** INR 250 mn of IPO proceeds will be used for new machinery.
- **Total Expansion:** Total capex is roughly INR 600 mn, focused on brownfield expansion of the existing plant.
- **New Revenue Streams:**
 - **Processing:** Starting a processing business next quarter to provide finished fabrics to customers.
 - **ProTech Focus:** Scaling the protective industry segment; monthly volume grew from 3-4 tonnes to 60-65 tonnes.
- **Financial Targets:**
 - **Revenue Guidance:** Expecting 20-25% top-line growth this year.
 - **Long-term Potential:** New capex is expected to generate over INR 1.2 bn in incremental revenue.
 - **Debt Reduction:** Repaying INR 200 mn of debt from IPO proceeds, leaving ~INR 250 mn of debt.

Market Outlook & Risks

- **Industry Growth:** The technical textile industry is growing at a CAGR of ~12% through 2030.
- **Competitive Landscape:** Primary listed competitors include Reliance, Chemotech, Red Textile, and RSWM.
- **Supply Chain:** Raw materials are primarily imported from the US, Brazil, Japan, and the Netherlands.
- **External Factors:** The company reports minimal impact from the US-Iran war.

Astral Ltd

Astral is a building materials company across four verticals: pipes (flagship), adhesives, bathware and paints. Management maintained its FY27 guidance across all verticals: double-digit growth in pipes, 15-20% in adhesives (India), 25-30% in bathware and 25-30% in paints (Q1FY27 paints growth was 48%). For the first time in 2-3 years, value growth is expected to exceed volume growth, supporting overhead absorption and margins after a period of falling realisations and inventory losses. PVC price increases have been passed on, while CPVC (5-10% range), adhesive and paint price hikes are being implemented from 1 October 2026. The CPVC compounding (backward integration) plant is on track for completion by December 2026, trials during January-March 2027 and commercial operations from 1 April 2027, meeting ~70% of requirements. Capacity utilisation is ~57-58%, so no new capacity announcement is planned this year. Astral holds ~10% market share, with agri pipes at ~8% of the mix. The key factors to monitor are CPVC plant commissioning and cost savings, realisation trends, PVC/CPVC price volatility and trade measures, market share gains and the scale-up of bathware and paints.

FY27 Guidance & Demand

- Pipes (flagship vertical) are growing as per the guidance of minimum double-digit growth; management sees no challenge to this.
- Adhesives are on track for 15-20% growth in India; Q1 was good and Q2 is going well.
- Bathware is expected to grow 25-30% (at least 25%), and paints 25-30%, with Q1FY27 paints growth at 48% and Q2 also going well.
- For the first time in 2-3 years, value growth is expected to be much higher than volume growth; earlier, falling realisations pressured overhead absorption and margins, along with continuous inventory losses.
- Secondary demand remains good, distributor inventory of PVC is very low, and CPVC inventory may be slightly higher due to quarter-end schemes and the 1 October price hike. Price hikes have had no impact on demand so far.

Pricing & Raw Materials

- PVC price increases have been passed on to the market; the INR 2-3 support continues until 30 September and will also be passed on from 1 October 2026.
- CPVC price increases are being implemented across the industry from 1 October 2026; Astral has communicated a 5-10% range across products (pipes, fittings, brass fittings).
- Q2 chemical/crude-led cost increases in adhesives and paints have not yet been passed on; price hikes are planned from October 2026.
- On PVC resin MIP: the floor price of INR 83-84/kg is not expected to be disturbed, as the MIP has been extended for six months and the industry is working with the government on countervailing/anti-dumping duty.
- India meets only ~30% of its CPVC and ~40% of its PVC requirement locally, and is expected to remain in deficit even after new Reliance and Adani PVC capacities. Raw material sourcing is not a challenge (Reliance, DCW, Chemplast and imports).

CPVC Backward Integration

- The CPVC compounding plant is on track for completion by December 2026, with trials in January-March 2027 and commercial readiness by 1 April 2027; the full-year benefit will accrue in FY28.
- Capex of ~INR 1.5 bn will be offset by working capital savings from reduced dependence on imported CPVC; Gujarat government subsidies (GST, capital, power) are expected to provide INR 0.8-0.9 bn of benefit, directly aiding ROCE.
- The plant is expected to meet ~70% (roughly two-thirds) of the company's CPVC requirement. Quantification of savings will be provided after trials.
- Savings will be deployed with a balanced approach (aggressive market share gains in weaker markets and some margin expansion), with the primary focus on market share, since Astral already has the highest margins in the industry.

- No other player has announced CPVC backward integration so far; competing technologies (e.g., Lubrizol) require ~5-6x the capex, implying higher costs. Announced domestic CPVC capacities are not yet on the ground.

Capacity & Market Position

- Capacity utilisation is ~57-58% and can easily go up to ~80%; no new plant will be announced this year, with evaluation in H2 next year. A new plant typically takes about two years.
- Earlier decentralisation capex is now seeing utilisation; Astral can supply any location in India within 24 hours, reducing distributor inventory needs and attracting competitor distributors.
- Overall market share is ~10%; Astral was the highest-growing company in the industry last year and gained share while maintaining margins, whereas industry growth has been weak and most peers saw volume decline last quarter.
- Agri pipes contribute ~8% of the mix; Astral sells agri pipes only at its own price, avoiding the low-quality, calcium-heavy, 'raw material plus INR 2-3' pricing practised by others.

Competitive Strengths & Branding

- Astral has maintained consistent product quality for 25 years, while some competitors reduce quality, weight or fitting sizes during price volatility.
- It has introduced 7-8 first-in-India products (including CPVC, lead-free PVC, lead-free column pipes, foam core pipes, fire sprinkler pipes and drain pipes), supported by continuous R&D spend.
- Brand spends include advertising, plumber and dealer engagement, and a transparent app-based loyalty programme (the highest spend category), with redemption via cash, products or trips and insurance coverage for plumbers and dealers.

Industry Outlook

- Raw material volatility has risen to 30-40% annually from 2-5% earlier, pressuring smaller and weaker organised players through inventory losses and stretched receivables; consolidation is expected over time.
- Industry demand remains slow, but disciplined companies can grow by gaining market share; management sees significant headroom from ~10% share.
- The recently announced drought in parts of Maharashtra (and rain shortfall in Gujarat) typically increases pipe demand as households need to source water, but it is too early to assess the impact.
- A government mandate for plastic pipes in fire sprinkler systems would significantly boost demand, but management does not expect such a circular given the strong metal lobby.
- Distributors are unlikely to stock inventory beyond 1-2 weeks given volatility and the multi-plant presence of large companies.

Ather Energy Ltd

Outlook: The near-term growth outlook remains supported by strong demand, rising EV penetration and a differentiated product and software ecosystem, although sales growth will depend on the timely commissioning and ramp-up of the Aurangabad facility. The additional capacity should help address the current order backlog and support volume growth through FY27 and beyond. However, commodity inflation remains a key risk to gross margins, and the sustainability of EBITDA profitability will depend on pricing, product mix and cost efficiencies. The key monitorables are Factory 3.0 execution, capacity utilisation, the new product's contribution to volumes and ASP, and the company's ability to sustain positive EBITDA despite cost pressures.

Demand and EV Penetration

- Ather witnessed strong demand, with inquiries rising 95% YoY and pre-orders increasing 160%. EV penetration reached 11.1% in the overall two-wheeler market and ~25% in scooters, indicating continued electrification momentum.
- Demand remains strong across key markets, but range anxiety, service accessibility and resale value concerns continue to be adoption barriers. Scooter electrification is expected to outpace motorcycles, given better ownership economics.

Capacity Expansion and Supply

- Deliveries remain constrained by capacity, with Hosur operating at ~35,000-40,000 units per month and unfulfilled demand of ~50,000 units at Q1FY27-end. Dealer inventory remains low at 2-3 days.
- The upcoming Aurangabad facility is expected to increase monthly capacity to 77,000 units, with production ramp-up beginning in Q4FY27. The first phase is expected to reach full utilisation within ~6 months, while further expansion to 1.4 mn units annually is planned over the next 12-18 months.

Margins and Profitability

- Ather reported a 22.4% gross margin and positive EBITDA margin of ~0.8% in Q1FY27, supported by price hikes, product mix and cost efficiencies. ASP increased by ~INR 11,000 to ~INR 161,000.
- Commodity inflation remains a key headwind, with ~5.6% margin pressure. No specific FY27 EBITDA profitability commitment was provided, and Q1's positive EBITDA may not be sustainable.

Product Strategy

- The new product launch has received a positive initial response and is expected to drive incremental demand, with no significant cannibalisation of Rizta observed so far. Geographic expansion will depend on capacity availability.
- Ather is focusing on product differentiation through features such as improved suspension, metal body, stackable charging and longer service intervals. A motorcycle on the Zenith platform is under development, but launch is at least two years away.

Technology and Battery

- Ather designs and manufactures its battery packs in-house while sourcing cells externally. Its battery architecture supports multiple chemistries, providing flexibility in sourcing and product development.
- Software features, ~790 patents and a 10-year battery warranty for the new product support differentiation and help address customer concerns around battery life and resale value.

Distribution and Charging Network

- The company has expanded its retail network to over 700 stores and operates more than 6,000 fast-charging points and ~500 service centres. Further network expansion is planned alongside capacity ramp-up.
- The company will continue building its own distribution and customer experience, with no shared sales, distribution, R&D or technology arrangements with Hero MotoCorp.

Competition and Industry Positioning

- The top 4-5 players account for ~85% of the electric two-wheeler market. Ather remains focused on product differentiation, technology and its own distribution network.
- Ather is not currently part of the PLI scheme and does not intend to enter the entry-level segment solely to benefit from incentives. It also does not plan to introduce removable batteries, citing concerns around vehicle stability and reliability.

Australian Premium Solar (India) Ltd

APS is targeting 30-35% FY27 revenue growth, led by solar pumps, EPC, retail rooftop and geographical expansion, while FY27 EBITDA margin is expected to moderate to around 12%. With the 1.2 GW module platform largely sufficient for near-term requirements, incremental capital allocation is increasingly shifting toward BESS and ground-mounted projects. Management's focus remains on improving utilisation, maintaining a balanced business mix and controlling working capital, particularly given the longer collection cycle in solar pumps.

FY26 Performance

- FY26 total income stood at INR 7,080 mn, up 60.7% YoY from INR 4,410 mn in FY25.
- EBITDA increased 62.6% YoY to INR 956 mn, with EBITDA margin at 13.5%.
- PAT grew 44.3% YoY to INR 579 mn, while EPS increased to INR 28.70 from INR 20.31.
- Growth was broad-based across solar manufacturing, solar pumps, EPC and distribution.

Manufacturing Scale

- Module manufacturing capacity increased from 800 MW to 1.2 GW, with the additional 400 MW TOPCon line expected to commence commercial production in October 2026.
- Management intends to focus on capacity utilisation, product mix and returns rather than further expanding module capacity in the near term.
- The current manufacturing portfolio includes TOPCon M10, G12R and Mono PERC modules, allowing the company to address residential, industrial, ground-mounted and solar-pump applications.
- At full utilisation, the 1.2 GW facility could produce around 700-840 MW of modules and generate approximately INR 12,000 mn of manufacturing turnover; with EPC execution, the platform could support INR 25,000-30,000 mn of turnover.

Solar Pumps Growth

- Solar pump revenue exceeded INR 3,000 mn in FY26, with management expecting the segment to contribute 35-40% of FY27 revenue.
- The company expects pump segment margins of around 12-14%.
- Growth is supported by increasing agricultural solarisation and government schemes such as PM-KUSUM.
- APS is currently active across five states for the pump business and expects further geographical expansion as government programmes scale.
- Pump orders are generally executed in phases, with subsequent orders received after completion of earlier batches.

Geographic Expansion

- APS operates across nine states, of which four are active markets and five are in the early stages of expansion.
- Management plans to strengthen the recently entered markets before adding another three states, following a typical 3-6 month market-development cycle.
- Wholesale expansion is progressing across Gujarat, Rajasthan and Maharashtra, with further expansion planned across Madhya Pradesh, Uttar Pradesh and South India.
- Management expects geographical expansion to remain a key growth driver for the wholesale business over the next 3-5 years.

EPC & Ground-Mounting

- EPC is expected to become an increasingly important growth engine alongside pumps, retail rooftop and distribution.
- The company is executing its first 5 MW ground-mounted project, expected to commence within the next 1-2 months.
- Management intends to use surplus capital selectively for group-captive/ground-mounted projects, which could generate returns over a long-term period of up to 25 years.
- EPC and project execution are expected to support higher utilisation of the existing manufacturing capacity.

BESS Opportunity

- APS is evaluating Battery Energy Storage Systems (BESS) as the next major growth opportunity instead of expanding solar module manufacturing capacity.
- Management expects significant BESS adoption as grid curtailment increases and India requires greater peak-load management and grid balancing.
- The company is initially evaluating a 1 GWh BESS facility, with a potential roadmap to 2-3 GWh in phases.
- Management expects utility-scale BESS projects to start gaining traction over the next 6-12 months, followed by greater industrial and residential adoption over 12-24 months.
- Initial machinery investment for a 1 GWh facility is estimated at around INR 100-150 mn, assuming leased land/building.
- A+ Solar Cell Ltd., now a 100% APS subsidiary, has shifted its strategic focus from solar-cell manufacturing to the BESS opportunity.

Australian Premium Solar (India) Ltd**BESS Funding**

- First-phase BESS investment is expected at around INR 300-350 mn, including INR 100-150 mn for machinery and around INR 200 mn for working capital.
- Machinery funding is expected through a ~5-year term loan, while working capital will be funded through internal accruals and bank facilities.
- Management expects the initial BESS facility to be funded without materially changing APS's largely debt-free profile.

Order Book & Execution

- The current order book was indicated at around INR 2,500 mn, largely comprising solar-pump projects.
- Wholesale distribution is largely a cash-and-carry model, with orders placed every 10-15 days due to frequent market-price movements.
- Retail rooftop orders are generally executed within 4-8 weeks.
- Pump projects have a 2-3 month execution cycle, with government orders received in tranches rather than as a single large order.

Working Capital

- Solar pumps carry a relatively long 80-100 day collection cycle, creating higher working-capital requirements.
- Management indicated that around INR 800-1,000 mn can remain outstanding from government pump projects at a given point, with approximately INR 250-300 mn collected monthly.
- To avoid excessive cash-flow concentration in pumps, APS intends to balance growth across pumps, EPC, wholesale distribution and retail rooftop.
- Wholesale and retail businesses have shorter cash-conversion cycles and generate cash that can support the pump business.

Revenue Growth & Margins

- Management targets 30-35% revenue growth in FY27, supported by solar pumps, EPC, retail rooftop, distribution and new geographies.
- Solar pumps, EPC and retail rooftop are expected to be the key contributors to profitability, given their higher margins.
- Wholesale distribution carries relatively lower margins of around 5-8%, versus 12-14% for pumps and 13-15% for retail.
- FY27 EBITDA margin is expected to moderate to around 12%, versus 13.5% in FY26, primarily due to the changing business mix and greater contribution from lower-margin distribution.

Capital Allocation

- Management aims to maintain APS as a largely debt-free business, while selectively using debt for BESS and future ground-mounted projects.
- Existing fund-based bank limits of around INR 200-250 mn are available for APS, but utilisation remains limited.
- Non-fund-based limits, including LC and bank guarantee facilities, are around INR 1,500-1,750 mn.
- Management targets at least 30% annual growth in net assets, with an objective to double the asset base within ~2.6 years.

Avience Biomedical Ltd**Strong Growth Outlook Supported by Capacity Expansion**

- Avience Biomedical expects ~50-60% revenue growth in FY27, supported by the commissioning of its new manufacturing facility and expansion of its product portfolio. The company reported FY26 revenue of INR 525 mn, EBITDA of INR 149 mn and PAT of INR 88 mn, and management expects Q3/Q4FY27 to be significantly stronger as the new facility becomes operational and recently approved products are commercialised. Management has also indicated an FY28 revenue target of ~INR 1,650 mn, with further growth expected from expansion beyond North India.

New Facility Provides Significant Revenue & Product Upside

- The new Jaipur Medical Device Park facility, with an estimated project cost of ~INR 302 mn, is expected to commence operations by late October/early November 2026. Management indicated that the facility can support manufacturing revenue of up to INR 5,000 mn, subject to product mix, volumes, warehousing and working-capital availability. The company currently has 117 CDSCO-approved products, up from 88, with around 200 additional products in the pipeline, creating significant scope for capacity utilisation and portfolio expansion.

Manufacturing Mix Expected to Increase Margins

- Avience currently derives approximately 65% of business from trading and 35% from manufacturing, with management targeting a 50:50 mix next year and a gradual increase in the manufacturing contribution thereafter. Management indicated average manufacturing margins of around 40-50%, compared with 10-15% for pure trading, while instrument rental models can generate ~40-60% margins depending on the customer and negotiation. Overall, management expects sustainable EBITDA margins of ~25-30%, with potential improvement as the manufacturing mix increases.

Government Orders & Working Capital Are Key Growth Constraints

- The company has a ~INR 470 mn PSU order, of which only around INR 10 mn has been executed, with further execution dependent partly on receipt of advance payments. Management expects greater access to large government tenders following commissioning of the new facility and has indicated potential opportunities of INR 1,000-2,000 mn, but highlighted working capital as a key constraint. Current working-capital funding is around INR 80 mn, while the business typically operates with 90-150 days receivables and requires inventory for approximately 3-4 months, implying that scaling towards the facility's full potential would require substantially higher funding.

OEM Partnerships, R&D & Export Opportunity

- The company is pursuing an expanded association with Mindray for North India, including potential OEM/private-label products, although negotiations remain ongoing due to pricing. Avience currently has 4 R&D personnel, with 2 additional hires planned, and management indicated that around 15% of revenue is linked to internally developed products, predominantly reagents/rapid cards. The new facility is also being developed with the objective of obtaining WHO PQ qualification for specific products, which could support future exports; however, management clarified that country-specific registrations such as US FDA or CE may still be required depending on the target market.

Avonmore Capital & Management Services Ltd

Avonmore Capital is the ultimate holding and operating investment company behind the Almonds group, presenting itself as a Fairfax-style promoter and operator that incubates, builds and selectively exits businesses, rather than a passive holding company. Through the ongoing restructuring, it will hold 55% of the financial services business and remain the ultimate owner of the green energy and infra businesses, while running a separate minority investment portfolio. The company argues that its market capitalisation of ~INR 3.6 bn deeply undervalues the aggregate of these assets.

Structure and Value Unlocking

- Avonmore will hold 55% of the financial services business (Almonds Global Securities), remain the ultimate owner of the green energy and infra businesses, and continue investing in companies its financial services arm advises, such as Green Jewels, Dalchini and Parflex.
- Almond Finance, a 100% subsidiary, is merging into Avonmore with no new shares being issued, while Almonds Global Securities is demerging its green energy and infra businesses, capturing value at the Avonmore level. The complex structure arose from continually recycling group capital into new businesses and is now being unwound through demergers and consolidation.
- Three businesses are described as significant: financial services with revenue of ~INR 550-600 mn, green energy with revenue of ~INR 10+ bn and infra with revenue of ~INR 1.5+ bn.

Portfolio and Investments

- The company has promoted five majority businesses over time: insurance (exited to Willis Towers Watson at an INR 5.5 bn valuation on an INR 5 mn investment), financial services, green energy (Premier Green), infra engineering, and Skiffle Healthcare (written off).
- Minority holdings include ~9% in Parflex (packaging), ~6% in Green Jewels (biocrude, backed by Amazon, Circularity and Zerodha) and smaller stakes in Dalchini and others; the minority portfolio is valued at ~INR 300 mn.
- The model targets two to three new minority or majority transactions a year and one to two exits, keeping a financial partner and operating management partner in each business; one large acquisition is near closing with Avonmore to hold ~20-25%.

Financials and Valuation

- Avonmore's FY26 standalone revenue was INR 1.91 bn, and consolidated revenue was ~INR 1.9 bn, with PAT of ~INR 220 mn; the latest quarter showed revenue of ~INR 500 mn and PAT of ~INR 170 mn. Green energy revenue is not consolidated; only the minority share of its profit is.
- Green energy is valued at ~INR 10 bn (last fundraise), implying roughly 25x PAT (current-year PAT is ~INR 550 mn on EBITDA of ~INR 1 bn); infra consulting, with an order book of ~INR 4 bn, is yet to raise private capital, so its valuation will emerge on listing.
- Group debt sits in green energy (~INR 2 bn fund-based plus ~INR 250 mn non-fund-based) and infra (INR 100 mn fund-based plus INR 300 mn non-fund-based); broking and financial services carry no debt. Contingent liabilities of ~INR 3.58 bn relate only to group bank guarantees for Premier Green and infra borrowings, with no litigation.

Ethanol Expansion and Outlook

- No further greenfield ethanol plants are planned; the company will move into ethyl acetate, e-methanol and polyethylene to consume surplus ethanol, and may acquire other ethanol players. Maize availability is rising by ~30% a year, so grain prices are not expected to climb further.
- Infra will list within seven to eight months and green energy within ~18 months; other portfolio companies may list over three to five years as subsequent fundraises set valuation benchmarks.

Guidance & View

The company guided to retaining 55% of the financial services business, listing infra within seven to eight months and green energy within ~18 months, moving ethanol downstream into ethyl acetate, e-methanol and polyethylene rather than adding greenfield capacity, and executing two to three transactions a year with one to two exits. It projected FY27 PAT of ~INR 350-400 mn versus INR 220 mn last year and committed to quarterly earnings calls and to disclosing valuations of unlisted businesses.

The holding-company discount thesis is plausible given the demonstrated insurance exit and the scale of the green energy and infra assets, but realising it depends on the demergers completing, the unlisted businesses listing and the market accepting an operator rather than a holding-company framing. Improved disclosure cadence is a positive, though sum-of-the-parts investing here requires conviction in the promoter-led model and patience on exit timing.

AVP Infracon Ltd

Outlook: AVP Infracon carries a cautiously optimistic outlook, underpinned by a stable roads and bridges core, an INR 4 bn order book and an INR 5-6 bn tender pipeline expected to accelerate post-election from November-December. Revenue guidance of INR 6-6.5 bn reflects solar EPC approval delays, but H2 is expected to be strong, with PAT margins holding near 10% and EBITDA near 20%. Funding is secured via INR 300 mn NCDs, committed promoter warrants, and settled unbilled claims, avoiding QIP dilution. Management targets INR 600-700 mn PAT next fiscal and INR 5 bn by 2030, with mainboard migration in H1 2027. Key risks remain solar policy delays and bidding pressure, though disciplined expansion and built-in price escalation support steady, margin-protected growth.

Revenue and Guidance

- AVP Infracon, a 17-year-old Chennai-based infrastructure company listed in 2024, reported revenue of INR 4.4 bn in the previous financial year, with a 10% PAT margin. FY27 revenue guidance was revised downward from INR 7 bn to a conservative INR 6-6.5 bn due to administrative approval delays in ground-mounted solar EPC, though outperformance remains possible. H1 execution was slow but is recovering, with a very strong H2 expected.

Revenue Mix and Segments

- The core business spans roads, bridges and infrastructure projects for state and central government bodies, supported by three subsidiaries: a Ready-Mix Concrete unit serving captive and external clients, a crusher unit supplying aggregates, and a solar EPC division covering rooftop and ground-mounted installations. Roads and bridges remain robust; solar EPC faces policy bottlenecks, with ground-mounted and commercial solar approvals in Tamil Nadu at a standstill for six months, restricting execution to smaller rooftop projects with modest top-line contribution.

Margins and Pricing

- Management dismissed claims of 15% PAT margins, confirming historical net margins of 10-11% and guiding to PAT margins of ~10% going forward, with no dilution below that level.
- The EBITDA margin target is ~20%, with a strict floor of 17-18% during competitive bidding. New bids fully incorporate prevailing bitumen, fuel, and key input rates at bid preparation time, eliminating lag between raw material price fluctuations and contract pricing, with escalations integrated into BOQ and estimates.

Order Book and Pipeline

- The unexecuted order book stands at ~INR 4 bn, consistent with the strategy of maintaining an order book of roughly 1x annual revenue. Bids have been submitted for INR 5-6 bn of new contracts, and fresh tenders are expected to accelerate through November-December after the post-election state budget sessions, alongside ongoing NHAI bidding.
- Targets: INR 10-15 bn order book by March 2027, INR 20 bn by March 2028, and INR 30 bn in the following years.

Capital Structure and Funding

- The company prioritises debt structuring and warrant conversion over large equity dilution through a QIP or IPO. It raised INR 300 mn through NCDs at favourable coupon rates for working capital. Promoters have infused INR 75 mn towards warrant conversion, with INR 225 mn remaining to be infused over six months, and intend to convert in full. Promoters pledged INR 100 mn worth of shares solely to infuse working capital directly, and plan to release the pledged shares within the current year. No QIP is planned.

Working Capital and Cash Flows

- The purchasing department is negotiating extended supplier credit terms to stretch payables and support the working capital cycle without heavy reliance on additional bank lines. Buyer bill discounting is not feasible for government contracts because e-invoices are generated only when payment processing is finalised, to match GST TDS (2% deduction) filing months; supplier bill discounting remains operational. The previously highlighted INR 700 mn of unbilled contracts and pending claims has been fully settled and collected. Leverage is being managed through NCDs and internal accruals rather than equity dilution.

Geographic Strategy and Bidding Approach

- Management describes infrastructure as India's second-largest growth sector after defence. AVP Infracon maintains a cautious, conservative approach to expansion outside Tamil Nadu, actively bidding across other states but avoiding aggressive price undercutting, frequently placing L2, L3, or lower.

Baheti Recycling Industries Ltd**Financial Performance and Guidance**

- The H2FY27 order book of INR 2.5+ bn from five key clients, with a six-month execution window, provides a floor for second-half performance and supports full-year FY27 guidance of INR 10 bn.
- Management is "more than on track" to achieve and "overachieve" FY27 guidance, with an FY28 target of INR 13.5 bn (35% growth), including INR 1.5-2 bn from aluminium wire rod business, reflecting conservative phasing of new product ramp-up.
- The wire rod project's FY28 revenue guidance of INR 1.5-2 bn represents only 30-40% of its INR 5 bn run-rate potential, reflecting realistic capacity utilisation phasing and customer acquisition cycles.

Operational Metrics

- Installed capacity has expanded to 40,800 tonnes (from 30,000-38,000 tonnes previously) through equipment optimisation, including the migration from 750 kg to 1-tonne electric furnaces, improving both nameplate capacity and operational yield.
- Current utilisation stands at ~60%, with a target of 70-75% in FY27; reaching an 85% threshold would trigger a further INR 300 mn brownfield expansion in FY28.
- EBITDA margins expanded from 4-5% to 7-8% through three discrete improvements: enhanced furnaces improving yield by 1-2%, new segregation plants reducing labour costs, and the solar plant delivering annual energy savings of INR 18 mn; management targets sustained 8-10% margins going forward.
- Rotary furnace recovery rates of 92-93% (theoretical maximum of 95%) indicate strong process competency; asset turnover of 14-15x (vs. 6-7x for peers) reflects superior capital efficiency and operational discipline.

Aluminium Wire Rod Projects

- The INR 320-330 mn capex (INR 250 mn in Phase 1 and INR 70-80 mn in Phase 2) will deliver a combined annual capacity of 25,000 tonnes, generating run-rate revenue of INR 5 bn, an exceptional revenue-to-capex multiple of ~15x.
- Wire rod addresses two distinct segments: aluminium alloy rods for the steel industry (deoxidisers), serving ArcelorMittal, Tata Steel and Jindal Steel, with 50% of capacity absorbed from day one (INR 1.25-1.5 bn), and cable conductor products, reducing concentration risk.
- Management targets 65-70% utilisation in the first year, translating into annualised revenue of INR 3.25-3.5 bn; the original November 2026 commissioning has been revised to December 2026/Q4FY27 due to labour and supply chain disruptions, followed by a one-month trial period.
- Wire rod will operate at partial utilisation in FY28, explaining the conservative revenue contribution of INR 1.5-2 bn despite a run-rate potential of INR 5 bn.

Raw Material Sourcing and Hedging

- Baheti sources 85% of its scrap through imports and 15% domestically, with 20-30% from Europe and the balance from the US, South Africa and the Dubai-Jeddah corridor; US scrap is INR 20-25 per tonne cheaper than European scrap, enabling geographic cost optimisation.
- EU scrap export restrictions (repeatedly delayed to May 2027) would have limited impact due to alternative sourcing routes and re-export hubs continuing supply to India with minimal cost escalation.
- **Natural hedge:** Scrap is purchased at a specified percentage of LME (e.g., 80% at Mundra), and products are sold at LME (prior month) plus the USD rate (prior month) plus a delta premium, creating a month-on-month lag that insulates earnings from commodity moves over 12-month cycles.
- Scrap discounts are expected to remain stable (fluctuating only 1-2% around prevailing levels) as high EBITDA margins (8-10%) maintain competitive equilibrium; increased secondary aluminium demand will not significantly narrow LME-to-scrap discount spreads.

Customer Profile and Competitive Positioning

- The company has deliberately shifted from small distributors to large OEMs (Bajaj Auto, TVS Motor, Royal Enfield, Bosch, ArcelorMittal, Tata Steel, Jindal Steel), providing better demand visibility, stronger negotiation leverage, and margin improvement opportunities through service differentiation.
- One major customer is a 100% EOU with US headquarters, providing natural carbon-compliant sourcing demand ahead of 2028 CBAM implementation and enabling sticky long-term relationships.
- Customer conversations focus on indexed pricing (LME + Delta) rather than margin squeezing, decoupling customer purchasing behaviour from supplier profitability concerns and enabling margin defence/expansion.
- India's secondary aluminium sector benefits from structural tailwinds: high European primary smelting costs driving secondary aluminium demand, India's policy support for recycled content standards, and anti-dumping protection on Chinese aluminium products.
- Industry consolidation thesis: regulatory requirements (carbon tracking, IATF compliance, CBAM) will force smaller unorganized players out, positioning Baheti (as a listed, main-board player with compliance infrastructure) to capture market share similar to pharmaceutical industry consolidation.
- The company forecasts 30% CAGR through 2030 vs. sector 8-9%, indicating aggressive market share capture potential.

Other Highlights

- EBITDA margins are targeted at 8-10% (upper quartile for secondary aluminium), with the aluminium wire rod project expected to deliver 6-10% EBITDA margins, consistent with the core business.
- Current installed capacity of 40,800 tonnes at 70-75% utilisation supports revenue of INR 10 bn (~INR 245 mn per 1,000 tonnes of capacity); the FY28 target of INR 13.5 bn (35% growth) is supported by higher capacity utilisation and early wire rod commercialisation.
- Post-capex margins are expected to stabilise in line with the previous year's performance, maintaining 8-10% EBITDA even as the business scales and wire rod operations mature.
- The current working capital structure requires upfront payment for imports, while customers pay on 60-day terms, necessitating short-term borrowings of INR 2 bn (March 2026), which are expected to rise to INR 3 bn post-expansion; these are transactional facilities (bill discounting), not permanent debt.
- Positive operating cash flow is expected to materialise in 2-3 years (FY29-FY30) through inventory compression, extended supplier payment terms as volumes scale, and working capital leverage from higher-margin wire rod business; H1FY27 results expected to show meaningful improvement.
- The timeline for positive OCF appears credible as revenue scales beyond 2x the current base and operational processes mature, with cash conversion improving as scale strengthens supplier relationships and working capital efficiency.

Bai Kakaji Polymers Ltd

Outlook: Bai Kakaji Polymers is executing a targeted strategic expansion, scaling from a regional polymer processor into an established, listed packaging solutions provider. Drawing on extensive manufacturing expertise in rigid and flexible polymer packaging, the company is expanding across Western and Central Indian markets while diversifying into high-margin rigid packaging solutions, including specialised PET preforms, closure caps and industrial-grade woven fabrics. Supported by long-standing institutional client relationships, expanded installed capacity and operational efficiency, management targets sustained top-line growth over the medium term while maintaining a disciplined, low-leverage balance sheet.

Foundational Heritage & Operational Focus

Incorporated in 2013, Bai Kakaji Polymers operates primarily across the industrial packaging and consumer polymer ecosystems. The core business spans key operational segments including PET preforms, plastic jars, B.T. caps, CSD closure caps, and high-density poly-woven fabrics. Additionally, the company has recently enhanced its manufacturing lines to supply high-spec packaging containers for beverage, FMCG, pharmaceutical, and agrochemical majors, catering to both standard bulk requirements and customised OEM packaging specifications.

Earnings Profile & Return Ratios

FY26 marked a period of robust top-line execution, with revenue from operations growing ~8.8% YoY to ~INR 3,542 mn. EBITDA margins expanded significantly to ~13.6% (operating profit of ~INR 481 mn), up from ~10.4% in FY25, driven by improved operating leverage, process automation, and favourable raw material spreads, while PAT margins were delivered at ~7.4% (~INR 263 mn). Return metrics remained exceptionally strong, with ROE reaching ~23.0% and ROCE standing at ~23.1%. Management guides for a sustainable long-term EBITDA margin corridor between 13% and 15% across primary product divisions.

Backlog Visibility & Order Pipeline

As of Q1FY27, the company's order book visibility and institutional supply contracts remain strong, underpinned by long-term procurement frameworks with FMCG and beverage brand accounts. Recent commercial wins include contract expansions for specialised CSD closures and high-volume PET preform supply schedules. The company continues to actively participate in multiple corporate RFPs and tenders to secure multi-year volume commitments, ensuring high asset utilisation across its manufacturing facilities.

Product Integration & High-Margin Focus

Bai Kakaji Polymers is increasingly integrating high-margin product lines, particularly tamper-evident CSD closures and precision-moulded PET jars. Driven by heightened corporate and regulatory standards for food-grade hygienic packaging, management views rigid closures and customised PET containers as emerging growth vectors that carry healthy margin profiles comparable to or exceeding standard flexible packaging lines (~14-16%).

Top-Line Guidance & Capacity Utilisation

Management has aligned its forward revenue growth expectations to ~12-15% YoY, serving as a conservative baseline calibrated for stable market demand and optimal facility utilisation. Enhanced corporate visibility following its public listing has expanded corporate inquiry volumes and enabled eligibility for higher-tonnage corporate accounts and export inquiries.

Territorial Outreach & Distribution Network

While consolidating its core market presence in Maharashtra and adjacent regions, Bai Kakaji Polymers is expanding its distribution footprint across North and South India. To serve large pan-India client networks efficiently, the company is deploying a hub-and-spoke distribution framework alongside key logistical partners. Leadership is also actively exploring market entry into regional manufacturing nodes in Eastern India to evaluate localised supply and warehousing capabilities.

Balance Sheet Health & Cash Generation

Working capital metrics continue to normalise, maintaining the target working capital cycle within efficient operating norms. Operating cash flows rebounded strongly in FY26 to ~INR 292 mn, supported by robust profit growth and disciplined inventory management. Debt-to-equity remains conservative at ~0.02x (~INR 30 mn in borrowings against total equity of ~INR 1,750 mn), reflecting a virtually debt-free balance sheet profile.

Investment Catalyst & Key Monitorables

Primary growth drivers include the execution of institutional supply contracts, capacity utilisation across new rigid packaging lines, expansion into high-margin closure segments, and steady margin expansion. Key monitorables include fluctuations in polymer resin commodity prices, working capital cycle management, order execution timelines with FMCG clients, and sustaining EBITDA margins within the guided range.

Bank of India

Outlook: Bank of India remains focused on sustainable credit growth, an improving deposit mix and stable asset quality. For FY27, the bank guides to global advances growth of 15-16%, global deposits growth of 13-14%, global NIM of 2.55-2.60%, ROA of 1%+ and a cost-to-income ratio of 48-49%. The bank expects growth to be supported by its RAM, corporate, international and digital businesses, while maintaining a cautious approach to asset quality.

Business Performance

Global business grew 16.6% YoY to INR 17,550 bn, while global advances grew 18.6% to INR 7,980 bn.

Global deposits grew 14.9% YoY to INR 9,580 bn; CASA stood at INR 3,020 bn with a 36.7% ratio.

RAM advances grew 19.8% YoY to INR 3,930 bn, led by retail, agriculture and MSME.

Profitability

Operating profit increased 26.0% YoY to INR 50.51 bn, while net profit grew 36.2% to INR 30.68 bn.

NII increased 12.6% YoY to INR 68.33 bn and non-interest income grew 19.1% to INR 25.79 bn.

Global NIM stood at 2.52%, while ROA reached 1.0%.

Asset Quality

Gross NPA improved to 1.81% and net NPA to 0.51%.

Slippage ratio declined to 0.24%, while credit cost improved to 0.15%.

PCR improved to 93.83% and CRAR strengthened to 18.69%.

Growth Initiatives

The bank is focusing on RAM advances, mid-corporate, corporate and international lending, along with co-lending, pool purchases, supply-chain finance and TReDS.

The loan pipeline stands above INR 1,000 bn, including around INR 700 bn from corporate and international businesses.

Gold loans grew 52% YoY to around INR 570 bn, while the bank is targeting further growth in this segment.

Digital & International

Around 22% of the domestic credit book is now digitally sanctioned, supported by data analytics, CRM and AI-led initiatives.

The bank is targeting USD 1.2 bn of FCNR deposits and plans to raise around USD 2 bn through OFCB/MTN and around USD 1 bn through ECBs.

GIFT City and international centres remain key areas for corporate and international business growth.

Basilic Fly Studio Ltd

Outlook: Basilic Fly Studio reported consolidated FY26 revenue of INR 4,080 mn, representing 35% YoY growth and a 3-year revenue CAGR of 73%. Q1FY27 revenue stood at approximately INR 1,040 mn, while the company entered the remainder of FY27 with an order book of around INR 2,500 mn and an active bid pipeline of INR 7,000 mn, of which around 40% was in advanced stages of conversion. Management highlighted that the larger business-development team has also increased the average bid size from GBP 1.5-2.0 mn earlier to around GBP 5-6 mn, improving both ticket size and project visibility.

Margin Expansion through Offshoring & Operating Leverage

- Management is focused on shifting more VFX workflows from higher-cost overseas locations to India, supported by technology investments and increasing capability at the Bengaluru centre. The company indicated that offshore salaries can be around 6-7x lower than comparable on-site costs, depending on role and seniority. Further migration of both existing roles and new hiring toward India is expected to create operating leverage, while AI-enabled workflows are being used to improve productivity and turnaround times.

AI Adoption Is Improving Productivity Rather than Driving Pricing Pressure

- Basilic is integrating process-driven AI into its compositing and CG workflows, with management indicating that tasks previously requiring around 50 artists could in certain cases be handled with ~20 artists. At the same time, the company is expanding into higher-value areas such as asset creation, pre-visualisation, post-visualisation, de-aging and CG/image generation. Management believes AI is currently more of a competitive productivity advantage than a direct pricing threat, particularly for cinematic-level VFX requiring specialised expertise.

Higher-Value Projects & Geographic Diversification

- The company has moved up the project-value curve, with historical project sizes of around GBP 1.5-2.5 mn increasing to GBP 3.5-5 mn, with some projects reaching GBP 7 mn and bids exceeding GBP 10 mn. Geographically, Basilic is looking beyond Europe and the UK toward North America, while also benefiting from production incentives across various international markets. Domestic OTT revenue is also gaining traction, with Q1FY27 domestic OTT revenue exceeding 2x FY26's entire domestic revenue, providing an additional revenue stream and reducing dependence on international markets and foreign exchange.

M&A and New-Age Media Opportunities Could Expand the Addressable Market

- Management is actively evaluating a second strategic M&A opportunity, with the objective of expanding capabilities and geographic reach beyond its existing UK and European footprint. In parallel, the company is developing opportunities in immersive experiences, large-format content, virtual cinematography, pre-vis/post-vis and digital environments, with management targeting initial movement into immersive experiences around CY27. These initiatives are intended to evolve Basilic from a traditional VFX service provider toward a broader technology-enabled media services platform.

Bhadora Industries Ltd

Outlook: Bhadora Industries is at a pivotal transition point, moving from a focused LT cable manufacturer to a broader power cable company with capabilities extending up to 33 kV, and eventually 66 kV and 220 kV over the next four to five years. With its new ~INR 700-800 mn facility in Madhya Pradesh approaching commercial operations by November, the company is poised to capitalise on diversified demand from power transmission and distribution, renewable energy, data centres, industrial infrastructure, and exports. FY27 revenue guidance of ~INR 2.1-2.25 bn implies ~60-70% growth, with EBITDA margins expected to sustain at ~13-14% as the company balances market share building in new segments against profitability. The order book of ~INR 1 bn, predominantly private, along with a project-led engagement strategy and long-term supply partnerships with large EPC players, provides reasonable visibility. Key monitorables include ramp-up of the new facility to 30-40% utilisation in FY27, receipt of BIS licences and utility approvals for HT cables, export order conversion from Africa, Nepal, and UAE, and working capital management as scale increases. Execution risks around fixed-price contracts, metal price volatility, and project timeline slippage bear watching, though the company's pure cable focus, central location, and four-decade approval base offer structural advantages that support a credible growth trajectory.

Company Background and Positioning

Bhadora Industries has operated in cable manufacturing for nearly four decades, marketing products under the brand Vijuth Cables. The company has built its presence primarily in the power transmission and distribution ecosystem, serving discoms, utilities, EPC companies, and institutional customers across India. Its key strengths include a deep approval base, vendor registrations, execution track record, and long-standing customer relationships, all of which take considerable time to build in this industry.

IPO and Capital Deployment

The company listed on the NSE Emerge platform last year through an IPO, with proceeds directly linked to manufacturing expansion. Funds have been substantially deployed toward a new facility that is approaching commissioning, marking a transition from the investment phase to operations and ramp-up.

Product Portfolio Expansion

Historically focused on LT cables including LT power cable, aerial bunch cable, service cable, and control cables in both PVC and XLPE variants, the company is now expanding into 33 kV HT cables. The incremental portfolio includes LT power cable, 11 kV, 22 kV, 33 kV, control cables, instrumentation cables, solar cables, and other specialised cables. This expansion offers both higher capacity and a significantly broader addressable market, enabling participation in projects previously inaccessible due to voltage or product limitations.

New Manufacturing Facility

The company is investing ~INR 700-800 mn in a new facility in Madhya Pradesh, spread across ~15 acres. Commercial operations are expected to begin around early to mid-November. The plant is significantly larger, more automated, and designed for a wider product portfolio with higher production capabilities, improved efficiency, and scalable infrastructure. Peak revenue potential is estimated at ~INR 5 bn, though management emphasises this is an indication of scale rather than formal guidance.

Demand Drivers

Demand is expected from multiple segments simultaneously: power transmission and distribution, renewable energy including solar-wind hybrid projects, industrial infrastructure including data centres, and exports. The strategy is to build a diversified business across utilities, EPCs, renewables, industrial projects, data centres, and international markets rather than depending on any single segment.

Market Development Strategy

The company is moving from an inquiry-led to a project-led approach, engaging earlier in the project cycle to understand EPC contract awards, cable requirements, procurement timelines, and optimal engagement stages. With select large EPC customers, it is exploring capacity booking, exclusive partnerships, and long-term supply arrangements to create better visibility and capacity planning.

Structural Advantages

Utility and institutional approvals take years to build, creating an advantage for established manufacturers. Strong EPC relationships built on quality, consistency, and execution reliability are difficult to replicate. The central location in Madhya Pradesh provides a geographical advantage for serving North, West, Central, and South India competitively, as freight forms an important part of delivery cost for heavy cable products.

Financial Performance and Guidance

For FY26, the company reported ~INR 1.25 bn revenue and ~INR 100 mn profit. FY27 guidance stands at ~INR 2.1-2.25 bn, implying ~60-70% growth, with H1 typically contributing 35-40% and H2 60-65%. EBITDA margins are expected to remain at ~13-14%, similar to last year, as the company shares part of its margin with customers to build market share in new segments. FY27 utilisation of the new facility is targeted at 30-40%. In FY28, ~50% of incremental growth is expected from new capacity, with ~25 to 30% of revenue coming from HT cables.

Capacity and Phase-Wise Expansion

The new facility is designed in three phases. Phase 1 covers up to 33 kV and goes live by November. Phase 2, planned within 12-18 months, extends to 66 kV. Phase 3, planned within four to five years, extends up to 220 kV. The existing plant consumes ~200 tonnes of aluminium and ~20 tonnes of copper per month. The new plant will consume ~600-700 tonnes of aluminium and ~200 tonnes of copper per month, representing a ~10x increase in copper capacity.

Order Book and Customer Mix

The current order book stands at ~INR 1 bn, with ~15% from government and ~85% from private customers.

Raw Material and Pricing

Aluminium constitutes ~65-70% of cost in aluminium cables, while copper constitutes ~70-75% in copper cables. Currently, 100% of orders are on price variation terms, passing metal price fluctuations directly to customers. Where not possible, the company plans to hedge. Currently ~95% of production is aluminium-based and ~5% copper, but the copper segment is expected to gradually increase.

Exports

The company has started participating in tenders and receiving monthly inquiries, targeting African countries, Nepal and the UAE. It has appointed agents in four to five countries and reached final negotiation stages with some clients for small quantities. At least one or two export orders are expected this financial year, with export margins generally slightly higher than domestic supplies for similar products.

Working Capital and Balance Sheet

Receivables appear elevated at ~INR 500-550 mn, but management clarifies that ~INR 300-320 mn of billing occurred in March alone, making most outstanding only 10-15 days old. Working capital days are expected to be below 60, with improvement visible in the H2 balance sheet. Working capital sanctions are already in place for the next one to one and a half years, covering ~INR 3.5 bn of revenue.

Funding and Future Capex

Phase 1 is funded by IPO proceeds and ~INR 400 mn of term loan debt. The Phase 2 project report is being finalised, with advanced talks underway and work likely to begin within a month of Phase 1 going live. Phase 2 and 3 will require further funding, likely a mix of debt and internal accruals, with no equity dilution planned in the immediate term.

Competitive Landscape

Management does not foresee oversupply in the near future, as demand growth from infrastructure, renewables, data centres, and industrial segments is expected to match capacity expansions. UltraTech's entry is in the dealer-distributor and house-wire segment, which does not overlap with Bhadora's utility and EPC-focused business. Most industry peers also manufacture conductors, which dilute EBITDA margins to 10-11%, whereas Bhadora's pure cable focus supports 13-14% margins. The company has no immediate plans to enter conductors, though idle capacity may be used opportunistically.

Execution Risks

Key risks include the possibility of fixed-price orders in larger contracts exposing the company to metal price escalation, and project timeline delays affecting cash flows. For the ~INR 5 bn peak utilisation scenario, working capital funding is not yet fully tied up, though plans for the next one to one and a half years are in place.

Strategic Roadmap

The company is transitioning from a focused LT cable manufacturer to a broader power cable company with capabilities up to 33 kV, and eventually 66 kV and 220 kV. The next phase focuses on efficiently utilising new infrastructure by deepening EPC relationships, entering renewables and industrial infrastructure, developing export markets, expanding the product portfolio, and progressively improving facility utilisation. Management plans to share invitations for facility visits once the new plant goes live.

Black Box Ltd

The company is entering FY27 with strong order visibility, supported by hyperscaler and data-centre infrastructure spending. Management expects FY27 revenue of INR 78-80 bn, EBITDA of INR 7.25-7.5 bn and a closing order backlog of USD 1.3-1.4 bn. Over the medium term, the company is targeting revenue of ~INR 200 bn (USD 2 bn) by FY30, with growth driven by hyperscaler connectivity and networking, supported by selective acquisitions. Key monitorables remain execution of the large backlog, acquisition discipline, working-capital normalisation, supply-chain availability and conversion of the hyperscaler pipeline into bookings.

AI Infrastructure Opportunity

- Black Box is positioned as a global digital infrastructure company, with a key focus on enabling the ongoing AI infrastructure buildout.
- The company operates across 35 countries, has ~4,000 employees and partnerships with ~30 technology companies, serving several Fortune 500 customers.
- Key focus areas include data centres, connectivity, networking, modern workplace and cybersecurity, with data centres and connectivity being the major AI-driven growth opportunities.
- Management estimates global data-centre infrastructure capex at ~USD 1.6 tn over the next 3-4 years, with US data-centre capacity expected to increase from ~87 GW to 200+ GW.
- India is also expected to witness significant capacity expansion, with current capacity of ~1.5 GW potentially scaling to 3-10 GW over time.

USD 2 bn Revenue Ambition

- Black Box targets USD 2 bn revenue by FY30, equivalent to ~INR 200 bn, supported by a combination of organic and inorganic growth.
- Organic growth is expected at 15-20%, taking revenue to ~INR 120 bn, while acquisitions are expected to contribute another ~INR 80 bn.
- Management targets ~10% EBITDA margin, implying EBITDA of ~USD 200 mn at the targeted scale, with potential for further margin expansion as the business scales.
- After several years of margin improvement, the company is now pivoting towards growth, supported by strong order bookings and industry tailwinds.

FY27 Guidance

- Management expects FY27 revenue of INR 78-80 bn, implying 23-27% YoY growth.
- FY27 EBITDA is guided at INR 7.25-7.5 bn, representing 27-32% YoY growth.
- PAT is expected at INR 3-3.25 bn, implying 38-50% YoY growth.
- FY27 closing order backlog is expected at USD 1.3-1.4 bn, representing ~65-70% growth YoY.
- North America contributes ~70% of revenue, while India accounts for only 6-7%.

Hyperscaler Positioning

- Black Box has established relationships with major hyperscalers including Meta, Oracle and Google, with management focused on deepening existing customer relationships rather than expanding indiscriminately.
- The company expects to hire 1,000+ professionals during FY27 for data-centre hyperscale connectivity rollout.
- Management believes its experience over the last 4-5 years and conversion of long-term customer engagements into large contracts provide a platform for continued order wins.
- Black Box does not supply fibre; its role is primarily design, deployment, connectivity, networking and maintenance of digital infrastructure.

Competitive Position

- Management clarified that Black Box is services-led and product-attached, rather than a fibre manufacturer or supplier.
- Its scope includes discovering, designing, deploying and managing infrastructure, whereas companies such as STL, Corning and CommScope participate in fibre supply.
- In the US, management sees a large addressable market and believes its established hyperscaler relationships and execution capabilities support further share gains.

Data-Centre Opposition

- Management acknowledged constraints around land, power and water, which can create local or project-specific opposition.
- However, management expects the broader AI infrastructure buildout to continue given increasing demand for digital services and computing capacity.
- Some individual projects may face delays, but management does not currently expect these issues to materially alter the overall growth trajectory.

Hyperscaler Contracting Model

- Contracts are a mix of direct and indirect arrangements.

- Newer contracts are increasingly routed through general contractors/EPC companies for balance-sheet and project-management purposes.
- However, hyperscalers continue to control key decisions including vendor evaluation, pricing, partner selection, execution and invoice acceptance.
- Management indicated that the ultimate decision to appoint a partner remains primarily with the hyperscaler.

Inorganic Growth Strategy

- Black Box has already completed an acquisition in Brazil, strengthening its capabilities in the largest Latin American market.
- Brazil revenue is expected to increase from ~INR 2 bn to ~INR 7 bn following the acquisition.
- Management targets INR 60-70 bn of inorganic revenue by FY30.
- Acquisition strategy remains focused on businesses with suboptimal margins or complementary capabilities, which can be improved post-acquisition.
- Management intends to remain disciplined on capital allocation, including structures such as 60% upfront and 40% deferred consideration.

Hyperscaler Buildout Model

- Management highlighted three broad models used by hyperscalers:
 - Self-build, where hyperscalers own the underlying infrastructure.
 - Colocation, where they lease data-centre capacity and deploy their own compute infrastructure.
 - NeoCloud, where they use fully populated GPU-enabled infrastructure.
- Even when hyperscalers own the asset, they require multiple partners for land, power, MEP, connectivity, networking and other infrastructure.
- Black Box focuses primarily on connectivity and networking, which management considers critical for moving data between servers and end users.

Adjacency Opportunities

- Management is evaluating opportunities to move one step towards compute and one step towards MEP.
- Compute could be an opportunity particularly in enterprise, colocation and smaller cloud environments where customers may require managed compute.
- On MEP, the company is exploring the electrical/low-voltage portion rather than full mechanical and plumbing services.
- Management is also evaluating partnerships and acquisitions to expand its addressable market.
- However, management believes the existing connectivity and networking opportunity itself is sufficiently large to support significant growth.

Revenue Recognition

- Revenue recognition varies by business:
 - Time & Material: revenue recognised based on work performed/hours billed.
 - Annuity/maintenance: revenue recognised ratably over the contract period.
 - Projects: revenue recognised based on progress/percentage of completion.
 - Product sales: revenue recognised upon product supply.
- Management stated that revenue recognition follows applicable accounting standards.

Receivables Normalisation

- Management attributed the increase in receivables primarily to quarter-end revenue skewness, particularly in March.
- ~65% of March-quarter revenue was generated during March, with a significant portion coming in the final 2-3 weeks.
- This resulted in receivables temporarily increasing at the reporting date.
- Management stated that these receivables were substantially collected within ~60 days and expects September numbers to show a significant reduction in receivables versus March.

Hyperscaler Service Scope

- Black Box provides inside-plant fibre connectivity, rack/server connectivity, white-space fit-outs, wireless and network infrastructure.
- Cabling and fibre infrastructure form a significant part of the connectivity offering.
- Black Box does not provide physical security infrastructure, as hyperscalers generally maintain their own security systems.
- The company is therefore positioned primarily around the connectivity and networking layer of data-centre infrastructure.

India Opportunity

- India currently contributes only ~6-7% of revenue, with the company generating roughly INR 5 bn from its India business.
- Management is currently more focused on hyperscaler opportunities in the US, where large-scale infrastructure deployment is already underway.

- The company expects its India business to grow significantly over the next four years through global and domestic enterprise engagements.
- Management expects the majority of FY30 revenue to continue coming from overseas markets, with North America remaining the largest contributor.

Data-Centre Revenue & Margins

- The data-centre business currently contributes ~20% of revenue, or ~USD 150 mn based on the current revenue base.
- Management expects data-centre revenue to grow disproportionately versus other businesses in FY27.
- Gross margins are indicated at around 16-18%, while lower overhead intensity helps support EBITDA margins broadly in line with the company's overall target of ~9.5-10%.

Order Visibility

- Management indicated a strong pipeline and line of sight beyond FY27.
- The company booked approximately USD 1 bn of orders last year and expects FY27 bookings of ~USD 1.4-1.5 bn.
- A significant portion of incremental bookings is expected from hyperscalers and colocation providers such as Digital Realty (DLR) and Equinix.
- Hyperscalers are already planning infrastructure requirements for 2028-30 and beyond, providing multi-year visibility.
- Management expects the current infrastructure cycle to subsequently extend into enterprise applications as AI adoption expands across airports, hospitals, retail and other end markets.

Acquisition Pipeline

- Management confirmed that it is actively evaluating additional acquisition opportunities.
- The focus remains on accretive acquisitions rather than simply adding revenue.
- Potential targets are expected to improve margins, add capabilities or enhance returns on capital.
- Management continues to target approximately USD 700-800 mn of inorganic contribution towards the FY30 revenue ambition, with active discussions underway.

Data-Centre Addressable Market

- Management clarified that Black Box is not an EPC contractor; its addressable scope comes after core-and-shell/EPC and MEP activities.
- In North America, total data-centre infrastructure spend is estimated at USD 10-15 mn per MW before compute.
- Black Box's connectivity and networking scope represents approximately 10-15%, translating to around USD 1-1.5 mn per MW.
- Accordingly, a 100 MW project could represent approximately USD 100 mn of addressable revenue for Black Box, subject to project configuration.
- Larger hyperscaler sites are typically divided among multiple EPC and infrastructure partners due to the scale, execution speed and risk involved.

Supply-Chain Constraints

- Management acknowledged potential constraints across GPUs, CPUs, memory, gas turbines and fibre, among other components.
- Certain gas-turbine supplies are reportedly already being scheduled several years out, reflecting tight capacity.
- Hyperscalers have been proactively securing supply through long-term commitments and investments across the supply chain.
- Black Box itself expects a significant ramp-up in hiring, including 1,000+ professionals, to support higher project execution requirements.
- Management expects some individual projects to face delays due to supply constraints, but views these as growth-related bottlenecks rather than a structural demand issue.

BLS E-Services Ltd**Strong Q1FY27 Performance & Healthy Growth Momentum**

- BLS E-Services delivered 23% YoY growth in Q1FY27 total income to ~INR 3,100 mn, with EBITDA increasing to ~INR 270 mn and EBITDA margin improving to 8.7% from 6.0% in Q1FY26. Retail transaction volumes grew 12.5% to ~INR 295 bn, while loan disbursements increased 21% to ~INR 87 bn, indicating strong momentum across its core businesses.

Expanding Last-Mile Network & Diversified Business Model

- The company operates a diversified platform across Business Correspondent (BC), loan distribution, e-governance and assisted digital services, supported by 46,800+ BC/CSP outlets and ~158,600 total touchpoints. BLS has partnerships across banks, NBFCs and governments, with management focused on increasing customer wallet share through cross-selling and expanding the range of services offered through its existing network.

Atiyati Acquisition Strengthens BC & Technology Capabilities

- The acquisition of 100% of Atiyati Technologies adds around 25,900 CSP points and strengthens BLS's rural banking and technology capabilities. Management highlighted that Atiyati's BC and IT businesses complement the existing platform, while the loss-making JLG business was excluded from the strategic scope and transferred at net worth. The company continues to evaluate strategic inorganic opportunities to strengthen its platform and diversify revenue streams.

Loan Distribution & E-Governance Provide Additional Growth Engines

- The loan distribution business through Adifidelis has partnerships with 100+ financial institutions and ~10,000 channel partners, with quarterly loan disbursements of ~INR 90 bn. On e-governance, BLS has mandates across Uttar Pradesh, Karnataka, Gujarat, West Bengal and Rajasthan, while its assisted-services marketplace provides additional opportunities in digital payments, ticketing, e-learning, microloans and other services.

Asset-Light Model & Profitable Growth Remain Key Focus

- BLS continues to follow an asset-light, technology-led model, using partnerships and API integrations to scale services without significant upfront capex. Management remains focused on profitable growth, cost efficiencies, government tenders, cross-selling and deeper penetration of its existing network, while acknowledging that the rapidly scaling Adifidelis DSA business can temporarily absorb working capital, as operating margins are tied up in advances to connectors. Management has not provided specific revenue or margin guidance for the next two years.

BLS International Services Ltd**Business and Financials**

- BLS is a tech-enabled visa, consular and citizen services provider. It is a top-two global player, with ~17% revenue share and ~10% volume share.
- It operates in 100+ countries for 46 client governments, and has processed 490+ mn applications to date.
- The digital business sits in BLS E-Services, in which BLS International holds ~51-53%.
- FY26 consolidated revenue was ~INR 30 bn (37% CAGR over FY22-26) and EBITDA INR 8.19 bn (66% CAGR, ~27% margin). PAT was INR 7.24 bn (60% CAGR).
- Visa and consular services account for ~65% of revenue and ~90% of EBITDA. FY26 revenue was INR 18.4 bn and EBITDA INR 7.38 bn (~40% margin versus ~15% in FY22).
- Net revenue per application was ~INR 3,300 in FY26.
- Operating cash flow was ~INR 9 bn and ROE was ~30% (diluted by acquisitions). Net worth is ~INR 25 bn and cash ~INR 16 bn as of 30 June.

Q1FY27

- Revenue was INR 8.91 bn (+25%), EBITDA INR 2.52 bn (+24%, 28.3% margin) and PAT ~INR 2.2 bn (+11.5%).
- Visa and consular revenue was INR 5.6 bn (+21-22%) and EBITDA INR 2.26 bn (+22%). Net revenue per application rose ~11% to INR 3,521.
- Visa volumes have been flat for a few quarters. Management says they are need-based and track travel-industry growth of ~8-10%, with revenue per application driven by value-added services.

Guidance

- No formal guidance. On existing business and with no new tenders or M&A, management expects ~20% revenue growth and 20-25% EBITDA growth this year.
- Visa EBITDA margin is seen stabilising at 38-40%. Digital margins have bottomed and should improve. The consolidated margin depends on mix (~32% if visa is above 70% of revenue).
- Effective tax is rising from ~9% to 12-13%, because Dubai now taxes at 9%. It should reach ~15% over time under Pillar Two norms.
- The Iran war had a minor impact on Middle East volumes, offset by other regions. Q1 still grew 15-20%.

Visa Model and Moat

- Contracts are exclusive and long-term (5-10 years). The business is asset-light with negative working capital, since fees are collected upfront.
- Tenders come in three forms: global (e.g., Spain), a cluster of countries, or country-by-country (e.g., Italy in India).
- Pricing is fixed per tender in USD or EUR for the contract term. Europe and the US weight technicals 75% and price 25%, while India awards contracts to the lowest (L1) bidder.
- Processing fees are ~70-75% of revenue, and the rest is value-added services (premium lounges, courier, insurance, mobile biometrics).
- Spain is ~18-20% of revenue, with Germany, Italy, the US and Slovakia next. Key source markets are Algeria, Morocco, Dubai and Canada, and no country exceeds 12-15%.
- Competition: VFS has 60%+ share and TLS Contact ~15%. Eligibility conditions in tenders, such as 1 mn applications a year, are barriers to new entrants.
- BLS claims a cost and flexibility advantage over both.

Spain and Algeria Investigation

- The press reports concern a Spanish consul in Algeria and a junior official accused of taking money to approve visas in 2025.
- BLS says its Spanish lawyer found no mention of BLS in public documents, and that it has received no communication from authorities or courts.
- Management says BLS does only non-judgmental work and expects no impact on pre-qualification. It operates directly in Algeria, not through a partner.

Growth Drivers

- New tenders, with a bump to sales and profit when one is won.
- More value-added and consular services, such as passport renewal.
- About 50% of countries have not yet outsourced visa processing. Pilots are under way (e.g., Brazil), and South America is a new frontier.
- M&A: the group has made 6+ acquisitions in 3 years. Visa M&A targets are scarce, so more deals are expected in digital.
- Citizenship by investment (a Dubai acquisition with 15+ country programmes) is a small adjacent business.
- The UK hotel business is an experiment. There is no intention to buy more hotels, and management would prefer hotel management services.

Digital (Non-Visa)

- The digital business has three segments: banking correspondent services, G2C e-governance (including Aadhaar at 400+ centres) and loan distribution (16 NBFCs and banks, 6,500 DSAs). About 750,000 people visit its centres daily, and cross-selling is expected to lift margins.
- Management agreed visa and digital are very different businesses. Digital was listed separately for that reason, and the parent's stake may fall as it raises equity. A separate call on the digital business was scheduled for the following day.

BlueSpring Enterprises Ltd

Outlook: Management expects FY27 to be a strong growth year, supported by organic growth, STIAG and LSG Sky Chefs acquisitions, improvement in telecom and increasing cross-selling across business verticals. Revenue is targeted at INR 47-48 bn and EBITDA above INR 2 bn. STIAG provides additional growth through thermal and renewable O&M, while LSG should support the higher-margin food portfolio. Foundit remains a drag until the targeted Q4FY27 EBITDA breakeven, with management continuing to focus on improving its revenue run-rate before considering monetisation.

Business Performance & Scale

- BlueSpring operates across 6 business verticals with ~100,000 employees and presence across 28 states and 8 UTs.
- Integrated Facility Management remains the largest segment with 60,000+ employees and ~INR 5.2 bn revenue in Q1FY27, implying an annualised run-rate of >INR 20 bn.
- The security business under Terrier generated INR 1.85 bn of revenue in Q1FY27, with ~25,000 security guards; EBITDA margin is ~3%.
- Smart Infra, Energy & Engineering includes O&M, telecom infrastructure and power O&M businesses.
- Cofincons generates ~INR 3.5-3.6 bn annual revenue at 6-7% EBITDA margin, while Vedang generates ~INR 3.6-3.7 bn at 11-12% EBITDA margin.
- STIAG currently manages ~12 GW of thermal power capacity and is expected to scale from ~INR 6 bn historical revenue to ~INR 10 bn revenue, supported by renewals and new orders.
- The food business is expected to reach ~INR 5 bn annualised revenue following the LSG Sky Chefs acquisition, with aviation catering offering better margins than the existing food portfolio.

Growth & Guidance

- FY26 revenue stood at ~INR 33 bn; management expects FY27 revenue to reach ~INR 47-48 bn, implying ~40-45% YoY growth.
- FY26 EBITDA was ~INR 1.21 bn; management expects 65-70% growth and aims to cross INR 2 bn in FY27.
- FY26 PAT was ~INR 670 mn, with management expecting ~50% growth and PAT above INR 1 bn in FY27.
- Telecom has remained soft for the last 1.5 years, but management expects improvement going forward.
- Foundit generated ~INR 250 mn quarterly revenue against a cost base of ~INR 340-350 mn. Management expects EBITDA breakeven by Q4FY27.
- FY27 guidance excludes Foundit.

STIAG & Cross-Selling

- India has ~250 GW of thermal power capacity, with the O&M market fragmented and asset owners increasingly outsourcing.
- STIAG secured a ~4 GW, 5-year O&M contract from a single group, translating into ~INR 50 bn of revenue over the contract period.
- STIAG has also secured its first renewable O&M contract of ~400 MW; management expects renewable O&M to potentially deliver better margins than thermal O&M.
- Cross-selling is emerging as a key opportunity, with power O&M clients also taking housekeeping, food, security and other facility services.
- Management indicated that ~INR 80-100 mn of additional revenue has already come to other BlueSpring businesses through STIAG-related cross-selling within the first 4-5 months.

Acquisitions & Balance Sheet

- STIAG was acquired for ~INR 1.8 bn and came with cash and operating cash flows that management expects could enable the acquisition to pay back within ~1 year.
- LSG Sky Chefs also came with ~INR 500 mn cash and healthy cash flows, limiting balance-sheet pressure.
- Management remains open to further acquisitions, particularly in industrial services and food services.
- Future acquisitions will be evaluated based on adjacency, new service/geography exposure, leadership quality, margins, technological disruption and value creation rather than only IRR/ROI.

Blue Water Logistics Ltd

Outlook: Blue Water Logistics expects strong growth over the next few years, supported by customer additions, expansion from 16 domestic offices, international subsidiaries and the scaling of NVOCC, air cargo, ISO tank and project cargo businesses. Management is targeting around INR 25 bn revenue by FY29, while expecting margins to remain around 10-12%. Tanzania, Southeast Asia and the NVOCC business are expected to be important growth drivers, while freight-rate normalisation, working-capital requirements and execution of new international branches remain key monitorables.

End-to-End Logistics Model

- Blue Water Logistics provides end-to-end logistics solutions covering freight forwarding, customs clearance, transportation, air cargo, NVOCC, ISO tanks and project cargo.
- The company has around 150 trucks, its own ISO tanks, CHA and FMC licences, IATA membership and a US-registered customs setup.
- Management highlighted its integrated infrastructure as a key differentiator, allowing customers to use multiple logistics services through one platform.

Strong Customer and Branch Expansion

- The customer base increased from around 950 customers in FY26 to around 1,650 customers within two quarters.
- The company has expanded from 5 offices before the IPO to 16 offices in India and 5 international subsidiaries.
- Management expects the customer base to exceed 4,000 over the next two years, supported by new branches and an expanded sales team.

Recent Financial Performance

- FY26 revenue was around INR 3.86 bn, with PAT of around INR 250 mn.
- Q1FY27 revenue was around INR 2.08 bn, with PAT of around INR 110 mn.
- Management indicated that Q2FY27 revenue is expected to be slightly higher than Q1, while maintaining its expectation of strong growth through FY27.

ISO Tank and NVOCC Expansion

- The company currently has around 1,708 ISO tanks, with utilisation at around 80-85%.
- Blue Water has started its dry-container NVOCC business, with around 2,000-3,000 containers being procured from China through a buy-and-lease model.
- Management expects the NVOCC container business to generate good revenue, with the next year expected to remain favourable due to tight container and vessel availability.

International Expansion and Tanzania Opportunity

- Tanzania is a key new international market, with the subsidiary and office already established and operations expected to start from October.
- The company plans to use Dar es Salaam as a hub to provide customs clearance, freight forwarding and road transportation into landlocked markets such as Zambia, Rwanda and Zimbabwe.
- Management expects Tanzania and the broader African market to provide meaningful revenue and margin opportunities.

Strong Growth Outlook

- Management expects around 100% growth to continue over the next few years, supported by customer additions, new branches and multiple business verticals.
- The company is targeting revenue of ~INR 25 bn by FY29.
- Management expects margins to remain around 10-12%, with potential for a 1-2 percentage point improvement as the business scales.

Diversified Business Mix

- Sea cargo is expected to remain the largest contributor, followed by air cargo and road transportation.
- Air cargo has scaled quickly, with current volumes of around 1,000 tonnes per month and a target of around 1,500 tonnes per month by the end of the year.
- The company has also recently entered project cargo and expects the new division to start contributing revenue within 2-3 months.

Strong Client Additions and Industry Diversification

- Recent additions include customers from chemicals, pharmaceuticals, automotive components and other industrial segments.
- Key customers mentioned include Reliance, Aurobindo Pharma, Metrochem and other chemical and pharma companies.
- The top five customers contributed around 30-35% of Q1 revenue, indicating some customer concentration but also a broadening client base.

Working Capital and Funding

- Logistics operations remain working-capital intensive, with average receivables of around 90 days.
- The company currently has around INR 1 bn of bank borrowing for working capital and plans to increase bank funding as the business scales.
- Management expects additional working-capital funding to support growth in FY27 and FY28 rather than funding large fixed-asset investments.

BMW Industries Ltd

BMW Industries is a ~40-year-old steel processing company with a legacy conversion business (TMT rebars, HR/CR coil processing, galvanising, pipes & tubes) for Tata Steel and SAIL, and is now building a proprietary flat steel complex at Bokaro. Q1FY27 revenue stood at INR 1,660 mn, with operating EBITDA of INR 336.9 mn (20.3% margin) and PAT of INR 191.2 mn (10.8% margin). The Bokaro complex (capex ~INR 8.03 bn) will add ~550,000 TPA of galvanised, galvalume and ZAM capacity, of which ~200,000 TPA can be further value-added into colour-coated products. Colour coating is being commissioned now (revenue from Q3FY27), galvalume and cold rolling/pickling by Q4FY27, and galvanising in H1FY28. Management reiterated FY28 revenue of ~INR 32 bn, implying ~70-75% revenue CAGR over FY25-28, with EBITDA and PAT CAGR of ~40-45% and ~35-40%, while blended EBITDA margin moderates to ~12-13% as the business shifts to a raw material-inclusive model. Peak debt is expected at INR 7.5-8.0 bn by FY28-end. The key factors to monitor are Bokaro commissioning timelines, ramp-up and offtake, distribution build-out, steel price volatility, debt levels and working capital.

Business Model & Positioning

- The legacy conversion business converts customer-supplied billets into TMT rebars, and processes HR/CR coils through various lines; raw material is supplied free of cost by customers.
- The company operates five plants in Jamshedpur and one in Kolkata; at Bokaro, it has a joint venture with SAIL and is setting up the new flat steel complex. It is located close to the key HR coil manufacturing hubs of Jamshedpur and Bokaro.
- Legacy plants are dedicated to their respective customers (Tata Steel and SAIL) and are largely not fungible; utilisation depends on customer demand and raw material availability.
- Zinc is a pass-through cost, so percentage margins fluctuate, while absolute margins remain broadly flat.

Q1FY27 Performance

- Q1FY27 revenue stood at INR 1,660 mn, operating EBITDA at INR 336.9 mn and PAT at INR 191.2 mn.
- Operating EBITDA margin was 20.3%, PAT margin 10.8%, ROE 9.4% and ROCE 9.5%; return ratios reflect Bokaro capex not yet generating revenue.
- Q1 revenue from the CGL complex (rolling mill and galvanising complex at Jamshedpur) was INR 770 mn, and rolling mill revenue was INR 250 mn.
- Pipes and tubes continue to ramp up, with better numbers expected in FY27 versus FY26 and FY25; logistics is a vertical the company is positive on. The legacy business continues to perform as anticipated.

Bokaro Expansion

- The Bokaro flat complex will capture value across cold rolling, galvanising, galvalume, ZAM and colour coating, with ~550,000 TPA of GI/galvalume/ZAM capacity, of which ~200,000 TPA may be further value-added into colour-coated products.
- Colour coating is being commissioned now, with revenue expected from Q3FY27; galvalume and cold rolling/pickling are expected towards Q4FY27; the galvanising facility will be commissioned in H1FY28, completing the plant.
- Total capex is ~INR 8.03 bn, funded by internal accruals and debt; INR 5.0-5.5 bn of debt has been tied up with SBI (lead), HDFC Bank and Yes Bank.
- As of 30 June 2026, ~INR 3.4 bn had been spent, comprising ~INR 1.4 bn of internal equity and ~INR 2.02 bn of debt drawdown.
- Ramp-up is expected within one quarter, as these are simple facilities; ramp-up depends more on operating efficiency than demand. Target utilisation for the greenfield capacity is ~80%.
- Bokaro carries raw material price exposure and will move with the steel cycle; the company will manage cycles to minimise impact. HR coil prices are currently ~INR 55,000-56,000/tonne. The company does not buy billets and has no plans to do so at Bokaro.

Go-to-Market & Industry

- Sales will be B2B to distributors, primarily on a cash-and-carry basis, with no retail focus at this stage; the distribution team is already being built. East India will be the first target market, followed by other regions.
- The marketing team is engaging with key players and buyers; there are no firm offtake commitments yet, but management is confident given the market gap for such products in India.
- India's steel capacity is expected to reach ~400 MTPA by 2030-32, mostly in the east, requiring substantial value addition to HR coils; the industry is shifting towards higher value-added products like galvalume and colour-coated steel.
- The 550,000 TPA addition is small relative to India's steel output, leaving room for multiple players. Pricing will not be the competitive strategy; geography and product basket offer differentiation.
- Exports are not planned given geographic disadvantage and dynamic export conditions; focus remains on the domestic market, with exports pursued only if viable.

Guidance

- Management reiterated FY28 revenue guidance of ~INR 32 bn, implying ~70-75% consolidated revenue CAGR over FY25-28, driven by phased commissioning and ramp-up of Bokaro along with organic growth in legacy verticals.
- Operating EBITDA and PAT are expected to grow at ~40-45% and ~35-40% CAGR, respectively, over FY25-28.
- EBITDA margin is expected to stabilise at ~12-13% and PAT margin at ~5-6% by FY28 on a blended basis (versus ~25% currently), as Bokaro sells raw material-inclusive products, unlike the conversion model; absolute EBITDA will rise substantially.
- Pipes and tubes utilisation is targeted at ~60-70% by FY28-29, given process complexity.
- Management did not give explicit ROCE guidance for Bokaro but would strive for 15%+; it would also strive for the ~INR 8,500/tonne EBITDA cited by a peer for colour-coated products.

Balance Sheet & Funding

- Net debt has increased primarily due to Bokaro drawdowns and capitalisation of earlier investments (tubes capacity, solar).
- Full debt drawdown will occur by H1FY28; peak debt (term loans and working capital) is expected at INR 7.5-8.0 bn by FY28-end. Repayments start from September 2028 over seven years, and the cost of debt is described as very competitive.
- The cash conversion cycle is ~111 days and net debt/EBITDA ~3.4x; these will moderate as phases are commissioned, with balance sheet optimisation from FY28 onwards.
- There are no current plans for an equity raise, though it is not off the table; an NSE listing would be pursued as and when the company raises money.
- The company continues to invest in ESG initiatives, including solar and community programmes across Jamshedpur, Kolkata and Bokaro.

BMW Ventures Ltd

Outlook: BMW Ventures is focused on scaling its higher-margin fabrication business while maintaining the distribution business as the core cash generator. The 24,000-tonne fabrication capacity provides significant headroom, with the order book rising to 9,600 tonnes and management targeting 50% utilisation over the next 4-5 quarters and 85-90% over 8-10 quarters. Fabrication could contribute INR 1.2-1.3 bn revenue and INR 120-140 mn EBITDA by H1FY28. In parallel, monetisation of the INR 2-2.2 bn estimated land portfolio could provide an additional growth opportunity over the next 2-3 years. Improving working capital and maintaining the distribution business growth will remain important for cash-flow generation.

Strong Distribution Business

- A 30-year-old business with a strong Tata Steel distribution network across Bihar and other markets.
- Revenue has grown at 20% CAGR over the last 30+ years, while net profit has grown at 24% CAGR.
- TTM revenue stands at INR 23-24 bn; distribution remains the core cash-generating business.

Fabrication Business Scaling up

- Fabrication capacity stands at 24,000 tonnes, with current utilisation at 20-25%.
- The order book has increased to 9,600 tonnes from 2,600 tonnes a year ago.
- Management targets 50% utilisation over the next 4-5 quarters and 85-90% utilisation over 8-10 quarters.

Fabrication to Become a Larger Profit Contributor

- Fabrication is currently a small part of revenue but already contributes 3-5% of EBITDA.
- Management expects fabrication to contribute 5% of revenue by H1FY28, implying INR 1.2-1.3 bn revenue and INR 120-140 mn EBITDA.
- At full capacity, fabrication could contribute 20-25% of the company's earnings over the next 2-3 years.

Strong Order Pipeline and Entry Barriers

- The company is receiving orders from large players such as IOCL, BHEL, Adani and Megha Engineering.
- RDSO approval, technical capabilities, compliance and required scale create entry barriers in railway fabrication.
- Management expects increasing order sizes as execution track record improves.

Distribution Network Supports Fabrication Growth

- The existing dealer network and relationships with large infrastructure companies provide access to fabrication orders.
- Distribution inventory can also be used as fabrication raw material, improving sourcing flexibility.
- Value-added distribution such as bore piling can improve EBITDA margins from 3% to 5-6%.

Land Portfolio Provides Additional Value

- The company owns 60 acres across two Pune parcels and 16-17 acres in Kolkata.
- Management estimates the overall land portfolio value at INR 2-2.2 bn versus a bank valuation of INR 800-900 mn.
- Kolkata land may be developed through a real estate/hospitality project, while Pune land is planned for industrial/residential plotting.

Land Monetisation in the Next 2-3 Years

- Management expects a concrete plan for the Kolkata land potentially by the Q2 investor communication.
- Pune projects could take another 6-12 months to finalise.
- Management expects meaningful monetisation activity within the next 2-3 years.

Working Capital Improvement Remains a Key Focus

- Weak operating cash flow in recent years was mainly due to higher inventory and slower dealer collections.
- The cash conversion cycle increased to 88-93 days from the targeted 65-70 days.
- Management expects inventory and receivables to improve, supporting better operating cash flow going forward.

Comfortable Leverage

- Debt stands below INR 2.5 bn, with debt/equity at 0.6-0.7x versus 2x before the IPO.
- The credit rating was upgraded from BBB+ to A- for an INR 4 bn facility.
- Management currently has no fundraise plans and intends to reduce debt through internal accruals.

**Bombay Coated and Special Steels Ltd
Integrated Steel Processing Platform**

Bombay Coated and Special Steels, established in 1983 and transitioning into steel processing in 2010, is an integrated steel service centre and authorised primary service partner of JSW Steel. The company provides customised steel processing solutions, primarily for the white goods industry, while increasingly targeting automotive applications. Its operations span ~66,000 sq m across four plants in Bhiwandi, Vasai, Gilot and Sri City, supported by 23 processing lines and a workforce of 500+ employees.

Strong White Goods Franchise

White goods and home appliances contribute ~90% of revenue, with refrigerators and air conditioners being the key applications, followed by washing machines and water heaters. The company supplies leading OEMs including Voltas, Havells, Amber Enterprises, Godrej, PG Electroplast and Haier Appliances. Its processing portfolio includes slitting, cut-to-length, embossing and shearing, with ~85% of sales undergoing two or more processing stages, providing greater value addition and customer stickiness.

Capacity & Pan-India Presence

Installed processing capacity stands at ~462,000 MT, with operations running 24x7. The pan-India footprint enables the company to service OEM clusters across western, northern and southern India. The company is positioned as JSW Steel's only pan-India steel service centre focused on the white goods segment, providing a strategic advantage in customer proximity and logistics.

JSW Partnership Provides Visibility

JSW Steel has a dominant position in India's appliance-grade coated steel market, with an estimated ~65% share. Bombay Coated benefits from its strategic relationship with JSW, with raw material procurement and customer sales largely governed by quarterly pricing arrangements. This structure provides protection against steel price volatility and supports relatively stable processing margins.

Automotive Expansion – Key Growth Trigger

The company is diversifying beyond seasonal white goods demand through its upcoming Supa MIDC facility in Ahmednagar. The 11-acre site is strategically located between Pune and Chhatrapati Sambhajnagar, providing access to major automotive manufacturing clusters. Phase 1 capex is estimated at INR 750-800 mn, with commercial operations targeted for December 2027/January 2028, subject to OEM technical approvals. The facility is expected to have a 60-70% automotive and 30-40% appliance mix.

Deleveraging to Support Earnings

The company's debt-to-equity ratio has dropped to 2.0x, while asset turnover remains strong at 8x. The blended borrowing cost is 9.0-9.2%. Proposed IPO proceeds are primarily directed towards debt reduction, including INR 1-1.1 bn of short-term debt and INR 300 mn of long-term debt, along with INR 150-170 mn towards the buyback of Siemens-leased assets. Lower leverage should reduce finance costs and improve earnings conversion as operations scale.

Management Guidance & Vision 2031

Management is targeting a significant scale-up by 2031, with:

- 1 mn MT annual steel selling capacity.
- Revenue of INR 60 bn.
- EBITDA of INR 3 bn.
- Continued expansion into automotive steel while maintaining its core white goods franchise.
- Supa MIDC expected to become an important contributor to the company's automotive growth from FY28 onwards.

Seasonality & Key Monitorables

White goods demand is typically strongest from October to May, while June-September remains comparatively weak. The company witnessed softer utilisation during periods of unseasonal rainfall and weaker summer demand. Key monitorables include the ramp-up of the Supa facility, OEM technical qualifications, automotive customer additions, utilisation across the expanded network and the pace of deleveraging.

Investment View – Key Drivers

The key structural drivers are the company's pan-India processing footprint, strategic JSW relationship, high asset turnover, multi-process value addition and established OEM relationships. The transition into automotive processing provides an opportunity to diversify revenue and reduce dependence on seasonal appliance demand. Execution of the Supa MIDC project, however, will remain critical to achieving the company's longer-term growth targets.

Brahmaputra Infrastructure Ltd

Outlook: Management expects FY27 to be a record year for revenue and profitability. It aims to sustain or beat its 25-30% CAGR through 2030. The order book is targeted to reach INR 25,000 mn by FY27, and combined mall rentals are targeted at INR 700-900 mn by FY29/FY30. Growth over the next 1.5-2 years will be funded without equity dilution.

- **Business Mix:** EPC contributes 90-92% of revenue. Real estate contributes only 7-8% of revenue but about 40% of profits, because its ongoing operating costs are minimal.
- **Financial Performance:** Last financial year, revenue was INR 3,700 mn, EBITDA INR 850 mn, PBT INR 880 mn and PAT INR 580 mn. The company has delivered a 25-30% CAGR over the past 3-4 years. Q1FY27 revenue was INR 1,100 mn. Execution is strongest in Q3 and Q4, when dry weather in the Northeast supports construction.
- **EPC Order Book:** The order book stands at INR 17,000 mn, about 4.6x last year's revenue, and is executable over 18-26 months. All of it comes from central government and PSU clients such as Railways and NHAI. By region, it includes:
 - **Northeast India:** INR 11,000 mn
 - **Jammu:** INR 1,130 mn
 - **Kolkata:** INR 800 mn
 - **Kapurthala and other wins in the last 15 days:** INR 500 mn
 - **A Northeast rail over-bridge:** INR 400 mn
 - Ongoing projects in Ajmer and Jaipur, Rajasthan
- **Bid Pipeline & Strategy:** Bids worth INR 25,000 mn are awaiting opening over the next 6-8 weeks, and the company's historical strike rate is 10-20%. It focuses on ticket sizes of INR 700-1,400 mn to limit concentration risk. It also holds a non-negotiable EBITDA margin threshold of 18-20%+ and bids only for central government or well-funded projects.
- **Debt Profile:** Total outstanding debt is INR 3,900 mn. The company has a non-fund-based limit of INR 1,050 mn, a cash credit limit of INR 1,060 mn and overdraft/OCC exposure of INR 1,640 mn. Over the past 12 months it has reduced high-cost debt and replaced bank guarantees with surety bonds, which preserves capital and increases bidding capacity.
- **OCCPS & Promoter Pledge:** Promoter shares were pledged in 2013 during a restructuring that followed a policy change on an INR 60 bn coal mining block allocation. The OCCPS debt component stands at INR 1,650 mn. Management plans to retire all OCCPS within 24 months, by 2028, which would release at least 75% of the pledged promoter shares.
- **City Centre Mall, Guwahati:** This 400,000 sq ft mall is the largest in Northeast India and houses about 200 national and international brands. It earns INR 150-200 mn in annual rent and draws 5,000-6,000 visitors a day. Ground-floor rentals have risen from INR 150-175/sq ft at the start to INR 450-500/sq ft today. Leases run for nine years with a 15% escalation every three years, and the next escalations fall due in 2027/2028.
- **New Plaza Mall Project:** The company is developing a 350,000-400,000 sq ft mall in three phases on a 189-bigha land parcel in Guwahati. Phase 1 is targeted for 2028 and full completion for 2030. Construction is estimated at INR 1,250-1,300 mn, funded through term loans, with full cost recovery expected in 3-4 years. Initial rental revenue is expected at about INR 300 mn.
- **Industrial Park & Land Bank:** The 200-acre industrial park still has 20% of its inventory available for monetisation or development. In Delhi-NCR, the company is exploring government land acquisitions on 4-6 year payment terms for commercial, residential or hotel development, with announcements expected in 2-4 months.
- **Long-Term Potential:** An order book of 4.6x revenue made up entirely of government contracts, strict margin discipline and a high-margin rental annuity together support earnings growth. Retiring the OCCPS and releasing the promoter pledge would remove a key overhang. The new mall could also lift rental income meaningfully by FY29/FY30.

Brand Concepts Ltd**Recent Developments**

- The company opened two Off-White stores in the quarter (Delhi and Kolkata), both of which are performing ahead of budget. The Bangalore store is improving but remains weaker.
- Off-White wholesale is expanding (The Collective and other premium retailers), and a digital push will start soon.
- Like-for-like (LFL) growth was positive across channels, and digital accounts for 40%+ of sales.

Stores and Strategy

- Store closure decisions are based on rent-to-sales and store profitability, with stores graded Green, Amber or Red.
- The shift is from multi-brand (Bagline) to mono-brand: Tommy accessory stores, Off-White, Juicy Couture, and possibly Superdry next year. Multi-brand stores will remain mainly in Tier 3/4 towns.
- Management plans 10-12 store additions a year, with no fixed count. Tommy accessory stores will launch in the next couple of months at marquee sites and airports, and 4 Tommy stores are operational today.
- Capex per store, including deposit and stock, is ~INR 10 mn for an accessory store (INR 7-8 mn capex) and ~INR 25 mn for Off-White.

Margins and Guidance

- EBITDA margin fell ~300 bps in FY26, attributed to the investment phase (manufacturing, manpower, new brands, inventory) and pricing pressure. Gross margins are intact or better where in-house manufacturing applies.
- Medium-term EBITDA guidance is 12-14% over 3 years, unchanged. Drivers are expense pruning, new brands maturing and manufacturing benefits.
- The revenue target is INR 10 bn in 4-5 years.
- Input cost inflation from geopolitical disruption is not being passed on given industry pricing pressure.

Working Capital

- Inventory days are ~300, versus 130-150 earlier. The target is ~150 first, then ~120 in 3-4 years.
- Management says inventory is falling month on month and will not rise from here. It says it is sufficiently funded with no further requirement.

Manufacturing (Hard Luggage)

- The investment was INR 350-400 mn, made within the listed entity.
- The plant is at full capacity with a backlog (the CEO indicated 120-130% of capacity). Expansion by adding assembly lines is likely in the next couple of months, with no major land or building capex.
- The company is open to third-party manufacturing and plans to manufacture for all six brands.

Brands and Licensing

- Tommy Hilfiger renewal is agreed verbally. The contract is delayed by changes in PVH's international team, so an extension is likely before signing.
- Royalty is paid to PVH Arvind Fashion Pvt Ltd (rate undisclosed). Purchases from PVH account for only 2-5% of total purchases.
- There are six brands, and no new partnerships are planned. Brand Concepts designs the products itself.
- Hero Poster exit: inventory exposure is minimal, and early closure has been requested.

Pricing and Demand

- Tommy luggage ASP is down ~10%, from ~INR 8,700-9,000 to ~INR 8,000. Further correction is possible with a higher CSD mix.
- The premium segment is about 5-10% of the market and is recovering, with lower discounting than mass. Competitive intensity remains high.

B.R. Goyal Infrastructure Ltd

Outlook: B.R. Goyal Infrastructure is experiencing significant growth, with its order book tripling over the last three years to over INR 17 bn. The company is diversifying into wastewater treatment and toll collection while targeting a CAGR of 25-30% in the coming years. Management expects to convert INR 5-6 bn of the current order book into revenue within the next 6-7 months.

Financial Performance & Metrics

- **Revenue Growth:** Revenue increased from INR 5,098 mn in FY25 to INR 8,203 mn in FY26.
- **Profitability:** EBITDA grew from INR 411.9 mn in FY25 to INR 749.3 mn in FY26, with PAT increasing from INR 252.7 mn to INR 449.2 mn over the same period.
- **Margins:** Wastewater projects offer higher EBITDA margins (15-20%) compared to conventional road and building EPC.
- **Working Capital:** The working capital cycle is maintained between 30-45 days.
- **Debt Profile:** The debt-to-equity ratio is 0.35x. Fund-based debt is ~INR 700 mn (INR 500 mn CC limit and INR 200 mn equipment loan), while non-fund-based limits are INR 3.2 bn.

Order Book Breakdown

- As of 31 August 2026, the unexecuted order book totals over INR 17 bn:
 - Toll Collection Contracts: INR 8.45 bn
 - Road Construction: INR 6.61 bn
 - Wastewater Treatment: INR 1.39 bn
 - Building Work: INR 740 mn

Strategic Growth & Diversification

- **Sector Expansion:** The company recently entered wastewater treatment and is exploring solar EPC, transmission line works, and mining-related contracts.
- **Business Models:** The company is moving beyond pure EPC to explore HAM, BOT and TOT (toll-operate-transfer) models to secure long-term top-line growth.
- **Geographic Reach:** The company now operates in 6-7 states, including Maharashtra, Gujarat, Madhya Pradesh, Tamil Nadu, UP, Haryana, and Punjab.
- **Backward Integration:** The company utilises its own concrete and crushing plants to maintain competitive pricing for aggregates and sand.

Risks & Mitigations

- **Input Price Volatility:** The company is not significantly impacted by aluminium or glass prices as it focuses on structural government projects.
- **Material Costs:** Price fluctuations in cement and bitumen are mitigated via escalation clauses in government tender documents.
- **Execution Risk:** Management emphasises self-execution over subcontracting to maintain quality control.

Canarys Automations Ltd

Outlook: Canarys Automations Ltd is executing a multi-year strategic transformation, shifting from legacy IT and engineering services to AI-powered digital solutions and higher-margin proprietary product platforms. Supported by a 30+ year technology heritage, the company is pivoting up the value chain to capture recurring licensing revenue across North America, APAC, and domestic Indian markets. Management expects future scaling to be anchored by its flagship AI regulatory platform (ARIS), international client additions following the Forira acquisition, and steady execution of its INR 4,409 mn order book.

FY26 Standalone & Consolidated Financial Performance

FY26 marked a landmark operational milestone as standalone total income crossed INR 1,000 mn for the first time, reaching INR 1,017 mn. Standalone EBITDA grew to INR 175 mn, with EBITDA margins expanding to 17.0% (up from 16.0% in FY25), while standalone PAT reached INR 100 mn (PBT pre-exceptionals at INR 167 mn). On a consolidated basis, total income surged 121% YoY to INR 1,997 mn, driven by international consolidation. Consolidated EBITDA stood at INR 245 mn (up 74% YoY, representing a 12.3% consolidated margin), while consolidated PAT increased 79% YoY to INR 148 mn.

Order Book & Business Segments

The total order book at the end of FY26 reached INR 4,409 mn, providing multi-year revenue visibility across a typical 2-3 year execution timeline. Technology Solutions serves as the core growth vertical, accounting for INR 4,132 mn of total orders, a significant expansion from INR 1,050 mn in FY25. The Water Resource Management (WRM) division contributed INR 276 mn to the overall order backlog.

Strategic Acquisition – Forira

- In April 2025, Canarys completed the acquisition of Forira to accelerate its "land and expand" strategy across North America. In FY26, Forira generated USD 11.68 mn (INR 970+ mn) in revenue, USD 0.77 mn in EBITDA, and USD 0.73 mn in PBT. The acquisition added 58+ specialised consultants, expanded presence across AI, data engineering, cloud, cybersecurity, and digital engineering, and granted direct access to 20+ Tier-1 enterprise clients across BFSI, healthcare, pharma, and retail.

Proprietary AI Strategy & the CAR Framework

- The company has deployed its proprietary CAR Framework (Canarys Automation Resilience), designed under a "smartify, not replace" philosophy. The framework overlays an intelligent AI layer across 5 core enterprise pillars: CAR D (Design UX/UI), CAR E (Engineering & deployment), CAR T (Testing & QA automation), CAR S (Support & proactive monitoring), and CAR G (Governance, compliance, & ethics). Operationally, AI integration allows engineering teams to complete a project requiring 6 engineers and 16 weeks (960 hours) using only 3 to 4 engineers in 10-11 weeks. Currently, 70% of the company's 455-member workforce is AI-enabled using tools like GitHub Copilot and DevOps CI/CD automation.

Flagship AI Product Platforms & WRM Segment

- Canarys is commercialising three domain-specific AI platforms:
 - ARIS:** Flagship AI-driven regulatory compliance platform for life sciences and drug discovery. Active pilots are underway with 2 North American enterprise clients following completed PoCs and demos, operating on an ARR/SaaS subscription model.
 - ClubBase:** AI platform targeting sports, hospitality, and premium golf/club ecosystems.
 - Solaris:** AI workflow engine for higher education and research institutions.
- Water Resource Management (WRM): Provides IoT monitoring, SCADA, telemetry, canal automation, and flood warning. Installed base includes 300+ open channel flow meters, 800+ water level recorders, 2,500+ automatic rain gauges, and 400+ weather stations.

Go-To-Market & Sales Cycle Dynamics

Product-led sales cycles typically last 2-4 months (3-6 months for large enterprise accounts and under 3 months for mid-sized firms). A key strategic advantage of product platforms is the ability to bypass lengthy vendor management system (VMS) empanelment processes, enabling faster enterprise onboarding.

Margin Expansion & Strategic Outlook

Having historically grown at 20-22% YoY, the company expects its consolidated financial metrics to benefit structurally from a shift in product mix. Proprietary product sales carry standalone EBITDA margins of 35-45%. As recurring product revenues (ARR) scale over the next 18-24 months, management expects significant margin expansion without a proportional increase in headcount.

Global Operations & Partner Ecosystem

Canarys operates across India, the US and Singapore, with 48% of consolidated FY26 revenue coming from international markets. The firm serves 212 clients across 20+ industries and 10+ countries, maintaining a 100% client retention rate. Its technological ecosystem is anchored by strategic global partnerships with GitHub, Microsoft, SAP, GitLab, SonarQube, Snyk, LambdaTest, and JFrog.

Key Growth Drivers & Risks

Growth drivers include the commercialisation and ARR ramp-up of ARIS, cross-selling Canarys' engineering capabilities into Forira's US client base, execution of the INR 4,132 mn Tech Solutions order book, margin expansion via AI product mix, and continued adoption of the CAR framework. Key monitorables include the conversion pace of ARIS pilot pipelines into paid SaaS contracts, execution timelines of multi-year contracts, integration and margin profile alignment of Forira, and managing longer working capital cycles standard to enterprise software and WRM turnkey projects.

Capital Small Finance Bank Ltd

Capital SFB positions itself as a secured, full-suite bank focused on the middle-income group (MIG), anchored in Punjab and Haryana and expanding contiguously into neighbouring states. The book is 97.4% secured, with 92% of it (ex-corporate) collateralised by immovable property worth more than the loan. The bank is sufficiently capitalised for its FY29 vision, intends to drive ROA expansion largely through NIM levers, and sees the bulk of its growth runway in business loans, agriculture and mortgages within the geographies it already operates in.

Asset Side and Product Mix

- The bank lends to the middle-income group, with an average loan ticket of ~INR 1.9 mn; it does not lend below the poverty line or to ultra-HNIs.
- Business loans are the largest book at ~27% of the portfolio, with an average ticket of INR 2.8 mn, growing 11% QoQ and 49% YoY as of June; net NPA is below 0.7%. The bank aims to be the working capital provider and cash flow manager for borrowers with turnover between INR 10 mn and INR 300-400 mn, at an LTV of 65-78%.
- Agriculture is the second-largest book, with an average ticket of INR 3 mn, lent only to progressive middle-income farmers cultivating at least two crops a year, including at least one MSP crop; collateral is agricultural land at 50% LTV on the collector value, so the effective LTV is better given the gap between market and collector values. The bank sits in the MSP value chain as a nodal banker.
- Mortgages (housing and LAP) are among the best-performing books, with net NPA never exceeding 1% since inception; LAP has gained traction over the last 15-18 months, and housing momentum is expected as the rate cycle turns. Only prime property with a 13-year title track record and dual valuation is funded.
- The corporate book comprises lending to mid-sized NBFCs, with A- and above at 69.45% and BBB+ at ~30%; MFI exposure is negligible at INR 3.1 mn. Consumption loans are an add-on (second or third hook) at 7-8% of the book.

Asset Quality

- Gross slippage runs at 1.25-1.75% each year, but net slippage is held at just 0.15-0.35% given the collateralised, primary-banker model; FY24 gross slippage of ~INR 1,280 mn was met by recoveries of ~INR 1,110 mn.
- Credit cost has stayed in the 0.15-0.25% range across the 12-year history, with write-offs described as minuscule through COVID, demonetisation and weather cycles.

Liabilities and Franchise

- Deposits are ~82% of the balance sheet, with 90%+ retail; the average term deposit ticket is INR 1.1 mn and the average savings ticket ~INR 52,000. CASA has held at 35-38% for three years despite a top savings rate of just 3.1%.
- The cost of deposits is below 6%, optimised to 5.6% in the current quarter; term deposit rollover stays near 90%, reflecting customer stickiness. Deposits have grown at a 19% CAGR since the SFB conversion and 17% YoY as of June.
- The growth philosophy is contiguous branch expansion, 'combing and carpeting' a geography before deepening; the bank is the fourth- to fifth-largest private sector bank in Punjab and is deepening its presence in Haryana, Rajasthan and Delhi, with Jammu and Uttar Pradesh next.

Profitability and Levers

- Profit has grown every year since the SFB conversion, including through COVID, at a 26% CAGR (29% YoY in the June quarter); NIM was 4.2% in Q1, matching FY25, after a brief compression in FY26 due to faster asset repricing.
- Current-quarter growth: NII 22%, PPOP 23% and PAT 29%. The average CD ratio is 83%, with the intent to move to the mid-to-high 80s; this is the single largest NIM expansion lever, as 6.7%-yielding assets reprice to 11%.
- Fixed-rate advances have been raised from 39% in FY24 to ~50% to match the roughly 50% fixed-rate liability base, so margins adjust automatically, with a one- to three-quarter lag, across rate cycles.

Guidance & View

The bank guided to doubling advances to INR 160 bn by FY29 (from FY26), a 1.5x increase in branch count, ROTA rising to 1.6% and ROE to 15%+, funded entirely from existing capital, with no fresh equity anticipated through FY29. ROTA expansion will come mainly from the NIM lever via a higher CD ratio, with a smaller opex benefit by FY29 and more thereafter.

The targets look credible given the proven secured underwriting, sticky retail deposits and a genuine CD ratio runway, though the back-ended opex leverage and reliance on NIM mean that expanding the CD ratio without diluting asset quality is the key variable to watch. The MIG niche remains underpenetrated, supporting the growth thesis.

Capri Global Capital Ltd

The company remains firmly on its five-year scaling roadmap, targeting AUM of INR 1,250 bn by FY31 from the current INR 400 bn, with nearer-term milestones of INR 500 bn by FY27 and INR 650 bn by FY28. Growth is deliberately pursued at a defended yield rather than at the cost of profitability, with gold loans set to rise from 48% to 55-60% of the mix over two to three years. The company guides to 30%+ consolidated growth for the next two years, PAT of INR 14-15 bn this year, and a long-term ROA band of 4.2-4.5% with ROE of 18-21%.

Scale and Positioning

A listed, retail-focused NBFC with a market capitalisation of ~INR 240 bn, focused entirely on diversified, secured lending to the underserved and underbanked self-employed non-professional segment, underwritten on cash flow assessment rather than income proof.

The company has five lending products plus two fee-based businesses (car loan distribution and insurance distribution), with AUM of INR 400 bn across 1,433 branches in 21 states, net worth of INR 76 bn, ~14,000 employees and 0.75 mn customers.

AUM has grown at a 51%+ CAGR over four years, built on a brick-and-mortar model rather than digital or unsecured lending, while keeping yields and asset quality under control.

Gold Loan Franchise

Gold loan AUM stands at INR 190 bn, up 139%, and is now the largest segment at 48% of the mix. Branch productivity of INR 190 mn of AUM per branch has been achieved in just four years, against INR 320 mn for Muthoot and INR 150-160 mn for Manappuram and IIFL, despite a far shorter vintage.

The gold branch network has expanded from 124 branches in 2022 to 955, with 750 opened in two years. 97% of gold branches are above the per-branch breakeven of INR 50 mn, the repeat customer ratio is close to 60%, and gold tonnage has risen from 3.5 to 20 tonnes.

The gold loan yield is ~18.5%, with a portfolio LTV of 73% and an average ticket of ~INR 0.19 mn. Industry-first transparency practices include colour photographs of jewellery with stated purity, caratage and weight, and terms in English, Hindi and the vernacular.

On competition and yield pressure, the view is that the market is large enough and customers, beyond a point, are not highly yield-sensitive; the company stays in smaller, granular tickets, where RBI allows up to 85% LTV below INR 0.25 mn and yields are better. Gold yields are expected to hold in the 16-18% band for NBFCs like Capri.

Other Lending Segments

MSME AUM grew a deliberate 18% as capital was steered to faster-growing gold, housing and construction finance; new customer additions rose at a 27% CAGR. The company plays across ticket sizes: traditional MSME loans of INR 2-5 mn at a 15-15.5% yield, micro-LAP below INR 0.5 mn at a 23% yield, and a new prime LAP product of INR 5-7.5 mn at 12.5-13%. The INR 2-5 mn band is the most resilient. MSME is expected to grow 20-25% going forward.

Housing finance is run through a 100% subsidiary with AUM of INR 78 bn (up 42%), customer growth of 26%, a yield of ~13%, LTV of 57% and an average ticket of INR 1.5 mn. 25-30 branches were opened in the south over three quarters, and southern granularity is expected to improve book quality. Housing is expected to grow 25-30%.

Retail construction finance stands at INR 63 bn across 290 projects, with an average ticket of INR 210 mn, confined to metro and Tier 1 markets and funding Tier 2 and 3 developers. Lifecycle credit cost is under 1%, ROA ~6%, yield ~17.5% and asset cover 2x. Its share in the mix will continue to decline.

Fee Income and Technology

Insurance distribution across 22 partners generated INR 2.7 bn of premium and INR 1.5 bn of commission income last year. On the IRDAI consultation paper, the PAT impact is estimated at 3-4% if implemented in full, though this is preliminary as final guidelines are awaited.

The car loan distribution business is the largest third-party non-dealer distributor, run through a 100% subsidiary with no credit risk; it originated ~INR 110 bn last year, generating INR 2.4 bn of gross and INR 960 mn of net fee income, with used car and credit card distribution being added over the same 1,600-employee base.

A 150+ member in-house tech team has built the full loan journey (except the LMS) in-house, now driving productivity and cost gains. Collections are fully in-house across 0-90+ DPD buckets through AI chatbot reminders, telecalling and field staff, monitored on real-time dashboards.

Asset Quality and Liabilities

GNPA is 1.1% and NNPA 0.6%, the lowest among the top 20 NBFCs (FY26 GNPA: 0.9%). Credit cost has held in a 0.6-0.8% range over five years and is expected to stay there, with perhaps a 10-20 bps uptick as gold rises to 55% of the mix.

Funding mix: 55% banks, 25% co-lending, 8% other FIs, 8% market borrowings and 2% NHB. The lender base widened from 20 to 40+ in a year. The incremental cost of borrowing is 8.8-8.9%, against 9.1% on the outstanding book; the cost of funds is expected to hold near 9.1% even with a possible 50 bps repo hike, since most loans are MCLR-linked with a 6-12 month reset lag.

Captain Polyplast Ltd

Captain Polyplast is a Gujarat-based micro-irrigation company diversifying into Solar EPC (rooftop and solar water pumps) to reduce single-segment volatility and leverage its existing dealer network. FY26 consolidated revenue grew 45% YoY to INR 4.19 bn, with EBITDA of INR 460 mn (up 36%) at an 11% margin; micro-irrigation contributed ~85% of revenue and Solar EPC the balance ~15%, a mix management targets moving toward roughly 50:50 within ~3 years. The company has commissioned a new 70,000 sq ft. Ahmedabad plant (production from May 2026) to internalise components (filters, valves and connectors) that currently account for ~10% of system value and are sourced externally, with margin benefits expected as internalisation scales over the next three years. Existing capacity can support up to ~INR 6 bn of micro-irrigation revenue without additional capex, with full utilisation targeted by FY28. In Solar EPC, FY26 saw 1,500 off-grid pumps executed (~INR 420 mn), while in H1FY27 the company has already won 3,000 pumps worth ~INR 700 mn (1,000 completed and 2,000 under a 60-day execution cycle). The key factors to monitor are the pace of Ahmedabad plant ramp-up and component internalisation, execution and tender wins beyond Maharashtra as PM Kusum 2.0 rolls out, the Solar EPC revenue mix shift, and working capital/receivables tied to subsidy reimbursement timelines.

Business Model & Positioning

- Captain Polyplast designs, supplies, installs and provides agronomical services for end-to-end micro-irrigation systems, comprising head units (filters, valves, connectors), underground PVC networks and drip lines.
- The company sells through direct farmer engagement, local sales/support teams and a dealer network, with a presence across 17 Indian states.
- Demand is largely driven by central and state subsidy programmes, under which the farmer typically funds 5-40% of system cost upfront, with the balance reimbursed after third-party verification.
- The company has diversified into Solar EPC (rooftop and solar water pumps) to leverage its existing dealer network, reduce micro-irrigation revenue volatility, and tap the large opportunity under PM Kusum and PM Suryaghar.

Micro-Irrigation Segment

- Management targets micro-irrigation revenue growth of 20-25% annually over the next few years.
- The company competes with larger peers such as Jain Irrigation and Mahindra EPC, differentiating itself through Israeli dripline technology, end-to-end service, dealer reach and after-sales support.
- Existing installed capacity can support up to ~INR 6 bn of micro-irrigation revenue without additional capex, with full utilisation targeted by FY28.

Solar EPC Segment

- The segment spans two sub-verticals, rooftop solar (residential: 2-10 kW; commercial: up to several hundred kW) and solar water pumps, and contributed ~15% of FY26 consolidated revenue.
- Management targets a roughly 50:50 revenue split between Solar EPC and micro-irrigation within ~3 years.
- Rooftop carries lower working capital intensity but also lower EBITDA margins given high competition, while solar pumps carry moderate working capital intensity (with some subsidy dependence) and margins/returns broadly comparable to micro-irrigation.
- Solar pump orders and execution are currently concentrated in Maharashtra via the company's empanelment there, with expansion into Rajasthan, UP, Haryana, Jharkhand and Chhattisgarh expected once PM Kusum 2.0 empanelment is announced; several Maharashtra tenders remain in the pipeline.

Manufacturing & Capacity Expansion

- A new 70,000 sq ft. Ahmedabad plant commenced production in May 2026 to bring previously outsourced components in-house (filters, valves and connectors, together ~10% of system value).
- Management plans to internalise the majority of these components over the next 3 years, with margin improvement expected as the plant reaches full operation.
- The company's existing manufacturing footprint comprises three plants: Rajkot and Anand (Gujarat) and Kurnool (Andhra Pradesh).

Orders & Execution

- FY26 saw 1,500 solar pumps ordered and executed; H1FY27 has already added a 1,000-pump order (completed) and a 2,000-pump order under execution, against a typical 60-day execution timeline.
- Tender strategy remains focused on Maharashtra (the company's current stronghold) while monitoring the PM Kusum 2.0 rollout for multi-state opportunities; management views timely execution as key to winning repeat tenders.
- Current capacity is adequate to support the targeted ~INR 6 bn of micro-irrigation revenue without additional capex, while the Ahmedabad plant is expected to improve margins over time through internalisation.

Competitive Positioning

- In micro-irrigation, the company competes with Jain Irrigation, Mahindra EPC and other larger players, differentiated by international dripline technology, end-to-end solutions, dealer reach and farmer servicing.
- In solar rooftop, competition is stronger in Tier-1 metros; Captain Polyplast sees itself better positioned in Tier-2/3/4 towns given its long-standing presence and trusted vendor relationships there.
- In solar pumps, new entrants are rising given the large market opportunity, but management believes the market can sustain multiple players and that its execution track record helps it keep winning orders.

Corporate Structure & Shareholding

- The promoter family controls three listed entities: Captain Polyplast (micro-irrigation and Solar EPC), Captain Pipes (PVC pipes and fittings for agriculture and plumbing), and Captain Technocast (a B2B casting foundry).
- Promoter shareholding has reduced by ~6-7% over recent years due to fundraising undertaken to support growth across the group's businesses.

Demand Drivers, Seasonality & Risks

- Demand is driven by central and state subsidy programmes, monsoon patterns, and the PM Kusum and PM Suryaghar schemes.
- Recent El Nino/scattered rains extended the demand window in western India (Gujarat, Maharashtra, Rajasthan) by 30-45 days, while South India saw mixed but generally better demand than prior years.
- Payment collections and working capital timing remain tied to subsidy reimbursement cycles; FY25 PAT was also flagged as skewed by a one-time INR 150 mn gain from stake dilution in a subsidiary.

Career Point Edutech Ltd

Career Point has completed its pivot to an asset-light franchisee, content and enterprise-solutions model, which delivered a 64.1% EBITDA margin in Q1FY27 on revenue of INR 143.1 mn (EBITDA INR 91.7 mn, PAT INR 79.5 mn). Management considers these margins sustainable for a couple of years, with further upside as partner-institution capacity utilisation rises from ~25% of ~44,000 seats. A ~INR 2 bn government order book (executable till 2030, ~INR 700 mn each in FY27 and FY28) anchors FY27 revenue guidance of close to INR 1 bn (contingent on execution of government projects) and FY28 revenue of INR 1.25-1.3 bn. Franchisee test-prep remains the weak spot, with centres down from 40+ to 37 and the digitised-content fix still in development, against a target of ~65 centres. CP Campus is being repositioned as a premium school (fee target up to INR 0.9 mn p.a.), and the university has received ICAR accreditation. Key monitorables are execution of government projects, launch of digitised franchisee content and centre count, NAAC re-application and online programmes, and the revenue-recognition change on franchisee licence fees.

Business Model & Positioning

Career Point exited corporate-operated classroom centres ~5 years ago as average realisations halved to ~INR 55,000-57,000 per student, compressing offline margins from ~20% to single digits.

The current model earns per-student revenue from partner institutions without bearing the cost of running centres.

University students stay a minimum of 4 years and school students ~12 years, giving high visibility and a long tail of recurring per-student revenue.

All enterprise clients together operate at ~25% of ~44,000 seats; because the model is asset-light, a modest rise in enrolment drops disproportionately to profit with no additional capex.

Management described enterprise clients as a 'gold mine' and sees no reason to look elsewhere.

Enterprise-solutions revenue is expected at ~INR 260 mn in FY27 vs ~INR 180 mn last year (management clarified that this is the amount charged to institutions).

The company holds preferred partnership status with various governments for test-prep services, which underpins the order book.

Government Order Book & Revenue Guidance

Order book stands at ~INR 2 bn, to be executed by 2030: ~INR 700 mn in FY27, ~INR 700 mn in FY28, ~INR 500 mn in FY29 and the balance (~INR 100 mn) thereafter. Management expects to keep winning government orders.

FY27 total revenue is expected to be close to INR 1 bn, contingent on executing ~INR 700 mn of government projects.

FY28 revenue is expected at ~INR 1.25-1.3 bn.

University & Education Growth

The company is replicating the Kota outreach model beyond the 250-300 km radius of Kota and Hamirpur into cities such as Agra, Nagaur and Udaipur; word-of-mouth drives flow once a student enrolls from a city. Hostel student numbers have already doubled.

The university received ICAR accreditation (held by only 3-4 universities in Rajasthan), which management expects to attract students from across the country.

The NAAC grade was downgraded from A+ to B+; management said this was due to an external factor, as grades awarded to institutions across India were revoked. The company will re-apply for an A or A+ grade when the window opens, is confident of obtaining it and will then start online programmes.

AI has been introduced as a compulsory module in every programme offered this year (from BA to Computer Science).

The formal-education student base grew 8-10% YoY.

Franchisee Test-Prep

Franchisee centres fell from 40+ last year to 37; the student base stayed almost flat. Management noted the company is currently operating with 31 centres.

The target is ~65 centres, while retaining the existing 37; no date was given.

Faculty retention is costly and makes the franchisee model unsustainable in its current form. The planned fix is digitised, standardised, expert-designed lectures delivered in a presentation format at centres; this is still under development.

Management expects fragmentation (not consolidation) in test-prep, as corporate-run centres become unviable outside metros and large cities and business shifts to individuals and local players.

AI is expected to assist, not disrupt, the up-to-Class-12 segment. For post-graduation exams, AI may challenge offline delivery; student acceptance of technology is expected to take 2-3 years.

eCareerPoint: personalisation and adaptive-learning upgrades are planned.

CP Techno Academy school partners are targeted to grow from 90+ to 2,000 (no date).

CP Campus (Guru Cool) & Premium School Pivot

The residential test-prep campus faced challenges post-COVID after turning purely residential; a residential school model cannot easily exceed 400-500 students.

The campus is being repositioned as a premium school with a career trajectory towards top universities in India or abroad (not IIT/medical). A Cambridge or IB curriculum is being considered, but no final decision has been made.

Fees are targeted to rise from INR 0.45-0.5 mn to up to INR 0.9 mn per annum (no date; curriculum decision pending).

Next-year targets: CP Campus revenue of INR 200-220 mn and EBITDA of INR 120-130 mn; residential students to grow by 150-200 and ~150 day-scholars.

Financials, Margins & Capital Allocation

Q1FY27: revenue from operations INR 143.1 mn, EBITDA INR 91.7 mn (margin 64.1%), PBT INR 105.1 mn, PAT INR 79.5 mn.

Management believes the current margins are sustainable for a couple of years and will improve as utilisation rises in partner institutions.

Employee expense declined YoY (Q1FY27 vs Q1FY26) due to restructuring post-demerger, overlapping employees after entity separation and cessation of certain operations.

Revenue-recognition change: franchisee licence fees, previously booked over five years, are now fully booked in the first year.

ROCE is 46% and ROE 34%. Cash on the balance sheet is ~INR 700 mn, earning ~13.5% interest. The FY26 dividend was 20%.

Dividend or buyback is under active consideration under the existing policy (no date). Management is also evaluating companies with synergies and is not averse to acquisitions.

Management did not state a clear consolidated FY27 margin target; a blended calculation was given instead.

Key Monitorables

- Execution of ~INR 700 mn government projects in FY27 (central to the ~INR 1 bn revenue target).
- Launch of digitised franchisee content, centre count versus the 65-centre target and arrest of churn.
- Concrete timeline for the university extension-services model, NAAC re-application and launch of online programmes.
- Impact of the franchisee licence-fee recognition change on reported revenue and margins.

Central Bank of India

Central Bank of India presented a clear post-PCA turnaround story, having been the last bank to exit PCA, with CRAR rebuilt to 18.28%, net NPA down to 0.49% and sustained profitability restored. The franchise leans on one of the strongest CASA ratios in the industry at 46.61% and a predominantly rural and semi-urban branch network. The bank is confident of holding NIM above 3%, keeping net NPA below 1% and translating improving fundamentals into valuation as market trust builds.

Headline Performance

- Q1FY27 global business grew 18.29% to INR 8,333.2 bn, deposits 11.68% to INR 4,789.7 bn, CASA 11.16% to INR 2,228.9 bn and advances 28.58% to INR 3,543.5 bn; the RAM segment grew 21.38% to INR 2,411.1 bn.
- Q1FY27 net profit grew 13.26% to INR 13.24 bn; gross NPA fell 53 bps to 2.60%, net NPA was flat at 0.49%, credit cost fell 28 bps to 0.40%, ROE was 14.92% and ROA just above 1%.
- FY26 total income was INR 401.71 bn (up 14.97%), operating profit INR 84.79 bn (up 24.37%) and net profit INR 24.69 bn (up 15.39%), after absorbing an INR 6.32 bn DTA recognition hit, without which ROA would have been above 1%.

Turnaround and Asset Quality

- Post-PCA, CRAR rose from 13.01% to 18.28% and CET1 from 11.06% to 16.54%; net profit moved from a loss of INR 24.39 bn in FY20 to INR 30.49 bn in FY26 and INR 13.24 bn in the June quarter.
- Credit underwriting was strengthened by onboarding 1,000 trained credit officers posted across clusters and processing centres, plus NACH mandate and monitoring changes that cut SMA-0 by 50%. The slippage ratio improved from 1.47% (FY25) to 1.16% (FY26) and 0.40% (non-annualised) in Q1FY27, despite ~INR 4 bn of agricultural slippages in Maharashtra and UP.

Franchise and Distribution

- CASA at 46.61% is among the largest in the industry; 65% of branches are rural or semi-urban and around 3,000 branches carry CASA above 50%. Cost of deposits at 4.60% and CD ratio at 74% leave headroom for growth.
- CRISIL upgraded the bank to AA+ long term and A1+ on certificates of deposit. The bank raised USD 925 mn (~INR 88 bn) in FCNR(B) deposits, broadly diversified across customers.

Growth Initiatives

- A full-fledged wealth management vertical will launch by December or January, staffed by 40+ trained marketing officers with prior experience and senior market hires. Bancassurance runs through Cent General and Cent Life across 4,615+ branches, with no dent foreseen from the insurance consultation paper.
- Some 45 digital lending journeys are live, customer acquisition centres have been set up at 50+ locations, 300 marketing officers and 53 lead district managers have been deployed, and a credit card business is planned for FY27-FY28.

Margins and Valuation

- NIM of 3.06% in June is guided to stay above 3% for the year, supported by RAM at 68% of advances and ~61% of advances linked to EBLR. The cost-to-income ratio of 55.40% is trending down.
- Government holding has reduced from 89% to 81% post-OFS; book value is ~INR 41 per share, while the stock trades at INR 30-31, below 1x price-to-book, which the bank attributes to a lag in market recognition of the improved asset quality.

Guidance & View

The bank guided to NIM holding above 3% for FY27, growth sustained above 20%, net NPA contained below 1%, CASA maintained above 46% and a full wealth management launch by December or January, with a credit card rollout in FY27-FY28. The MD and CEO's mandate runs until 30 September 2028.

The turnaround metrics are robust, and the CASA franchise and CD ratio headroom genuinely support growth, yet the sub-1x price-to-book suggests that the market is still discounting the durability of PSU asset quality and the DTA-driven optics. A re-rating hinges on several more quarters of clean slippage and the credibility of the wealth and card build-out.

Chamanlal Setia Exports Ltd

Outlook: The company is targeting a gradual revival in revenue growth through domestic brand expansion, new export customer additions and deeper penetration across existing markets. Management aims to increase the domestic contribution from around 10% to 30% over the next 2-3 years, while targeting revenue of over INR 20 bn within the same period. Near-term profitability remains supported by demand and disciplined procurement, although elevated freight costs, geopolitical disruptions and volatile paddy prices remain key monitorables. The pace of domestic distribution expansion, export growth and working-capital discipline will be critical to achieving a sustainable improvement in the company's earnings base.

Domestic Market

- Management plans to revive the Maharani brand across India to address the prolonged stagnation in turnover at INR 14-15 bn, leveraging existing manufacturing capacity and distribution relationships.
- Domestic sales currently contribute ~10% of revenue, with management targeting a 30% share over the next 2-3 years, while continuing to grow exports.
- The domestic expansion will commence in the current season, initially targeting Mumbai, Delhi, Ahmedabad and Baroda, followed by expansion into southern markets.
- The company is evaluating both offline distribution and online channels, although online sales currently offer relatively limited profitability due to high platform charges.

Export Market

- The company exports to 95 countries and aims to expand its presence to 100 countries, with its diversified geographical and customer mix helping mitigate disruptions in individual markets.
- The company continues to pursue export growth through new customer additions, including four new customers in Russia, alongside participation in international buyer-seller meets and food exhibitions.
- Export growth remains constrained by elevated freight costs, longer transit times and lower shipment frequency, particularly across GCC and Middle Eastern markets.
- The company is exploring merchant trading opportunities, including a potential arrangement to source Japanese sushi rice for onward exports to European markets.

Freight Costs and Geopolitical Disruptions

- Ocean freight rates have increased sharply, with Dubai freight rising from ~USD 200 to USD 5,500 per container, Europe from USD 1,000-1,500 to USD 3,500-4,000, and the US from USD 1,500-2,000 to ~USD 10,000.
- The company generally prices exports on an FOB basis, factoring in its operating costs and profitability, while converting shipments to CIF where required to manage transit and insurance risks.
- Higher war-risk insurance premiums and longer shipping routes are increasing logistical complexity, with some shipments being delayed due to vessel capacity constraints.
- Management indicated that Q1FY27 profitability remained strong despite geopolitical disruptions and expects business conditions to remain broadly supportive, although full-year margin guidance was not provided.

Procurement Strategy and Inventory Management

- The company is following a disciplined procurement strategy of buying and selling in line with confirmed demand, avoiding excessive inventory accumulation amid elevated paddy prices.
- Paddy prices have increased by ~20-30% across varieties over the past year, while current prices remain higher than the corresponding period last year.
- The company maintains ~2-3 months of old-rice inventory, as certain export markets, particularly Europe and the US, prefer aged rice over freshly harvested produce.
- Management expects to build inventory selectively when prices become attractive, particularly if selling activity slows and liquidity pressures emerge in the market.
- The upcoming procurement season will be influenced by crop yields, acreage, demand from Iran and the timing of price corrections in the mandi market.

Iran Exposure and Industry Pricing

- The company does not undertake direct business with Iran, thereby limiting its direct exposure to payment-related risks and cargo delays associated with the market.
- However, Iranian demand remains an important determinant of Indian basmati prices, with increased Iranian buying historically supporting prices and its absence potentially triggering sharp corrections.

Revenue Growth and Profitability

- Revenue has remained largely stagnant at INR 14-15 bn in recent years, despite the company having sufficient manufacturing capacity to support higher sales.
- Management believes that a combination of domestic brand expansion and incremental export customers could help the company cross INR 20 bn in revenue over the next 2-3 years.
- The company remains focused on profitable growth rather than pursuing large-volume contracts that require substantial inventory commitments or offer inadequate margins.
- Profitability remains healthy, supported by demand and disciplined pricing, although sustained earnings growth will depend on higher sales volumes and execution of the domestic expansion strategy.

Saudi Arabia – Customer Pipeline

- A large Saudi customer that initially placed an order for 500 tonnes has indicated demand for a follow-on order of 2,000 tonnes.
- Management is yet to quote for the incremental order, preferring to wait for greater clarity on procurement prices before committing, reflecting its focus on protecting margins.

Working Capital and Debt

- The company has sanctioned working-capital limits of INR 3 bn from HDFC Bank and INR 650 mn from Punjab National Bank, with management actively optimising borrowing costs.
- Annual borrowings typically peak at around INR 1.5 bn during the export season and are fully liquidated by the end of March or early April.
- The company has an established practice of using short-term bank borrowings to fund seasonal working capital requirements, with borrowing levels adjusted as receivables are realised.

Other Highlights

- The company has increased its dividend payout, announcing a dividend of INR 3 per share (~INR 140-150 mn in total).
- A potential share buyback is under consideration following suggestions from investors, with management seeking advice from external consultants before taking a decision.

Choice International Ltd

Broking & Distribution

- The company has 1.29 mn demat accounts and ~250,000 active accounts, with client assets of ~INR 620 bn, ADTO of ~INR 18 bn and a cash and derivatives market share of 1.45%.
- The client base is skewed towards the under-penetrated end: 69% are from Tier 3 and below, and 51% are aged 35 or below. Of the 214 branches, 154 are equity branches.
- The branch-led model aims to scale from 214 to 800 branches over three years, targeting one branch per district (~800 districts in India).
- Proprietary Fenix app drives digital acquisition, with the company positioning its technology and AI capabilities on a par with larger discount brokers.

Wealth, Insurance & AMC

- Wealth AUM is ~INR 50 bn, of which equity mutual fund AUM is ~INR 26 bn. The monthly SIP book is ~INR 190 mn, and the AUM mix is 73% equity, 16% debt and 11% liquid.
- An exclusive three-year IPPB partnership (extendable to five years) covers online mutual fund aggregation and robo-advisory, with revenue from distribution commission sharing plus platform fees. Onboarding went live in Q2FY27, and the first numbers will be disclosed with the quarterly results. IPPB offers access to 160,000 post offices and 120 mn bank accounts.
- Insurance is a distribution business across corporate and retail. Q1FY27 premium: INR 450 mn corporate, INR 350 mn retail (retail split: motor INR 210 mn, life INR 80 mn, health and travel INR 50 mn). Corporate business carries a higher profit share, as payouts are minimal.
- The AMC received its SEBI licence last year and is still in the setup phase (breakeven expected in 2-3 years). It started with passive products, beginning with a gold ETF (the highest mobilisation in its category that year at ~INR 570 mn), followed by Nifty 50 and Nifty Next 50 index funds. The first active scheme is targeted by the end of FY27.

NBFC Business

- The total loan book is INR 8.36 bn, of which retail is INR 5.85 bn, and net worth is INR 4.72 bn. Products include MSME business loans and solar financing.
- GNPA 3.78%, NNPA 2.74%, PCR 27.67%, CRAR 43.36%. Collection efficiency above 90%. 12,486 active borrowers.
- The average ticket size is INR 0.8-1 mn, with a presence in eight states through 76 branches.

Government Advisory

- The advisory order book stands at ~INR 7.77 bn, to be realised over the next 25-30 months, with a ~2,600-person delivery team. New contract wins exceeded INR 1.9 bn in Q1FY27 alone.
- Order book mix: infrastructure consulting 55%, institutional support and capacity building 33%, IT and e-governance 12%. State mix: Maharashtra 33%, Rajasthan 16%, Bihar 16%, others 35%.
- The business is engaged with central and state governments, 150+ departments and 1,000+ urban local bodies. Sectors span mature (urban and rural development, water and sanitation, solid waste), emerging (energy, roads, railways and metros, irrigation, mining, IT), and potential (healthcare, education, agriculture).
- The Feedback Infra acquisition is progressing and will strengthen credentials to bid for larger, higher margin projects.

Investment Banking

- A SEBI-registered Category I merchant banker with a sweet spot of INR 0.5-3 bn issue sizes; it has 30 ongoing mandates with a tentative fundraise of ~INR 67 bn, expected to be completed over 12-15 months.
- The company launched five IPOs as merchant banker in September 2026 and is currently the book-running lead manager for SRIT India Ltd (IT sector).
- Hosted InsightX 2026, a three-day virtual investor conference with 101 companies, 150+ investors, 20 sectors and 14 research sessions, to widen corporate and investor engagement and showcase research capability.

NH Investment & Strategic Developments

- NH Investment & Securities (a leading South Korean financial institution) is investing INR 9 bn into Choice Equity Broking via compulsorily convertible preference shares (CCPS). There is no equity dilution currently; conversion and valuation will be assessed after three years.

Guidance

- The company guides to maintaining a 40-50% revenue and PAT CAGR over the next four years. On a 40% base, FY27 PAT works out to ~INR 3.36 bn. The target segment mix over 3-4 years is 40% broking and distribution, 40% advisory (including investment banking), and 20% NBFC.
- The company sees the 37% EBITDA margin (up from 32%) as structural, driven by tech leverage and fixed cost capping, so incremental business should flow through to margins. The INR 9 bn NH capital will add interest income and support MTF-led wallet share gains from Q3FY27.

CIE Automotive Ltd

Domestic demand is expected to remain supportive, with medium-term growth driven by capacity additions, customer diversification and increasing exposure to EVs, exports and four-wheeler components. Near-term growth should improve as new model launches and order conversions support performance, although the Bajaj portfolio rationalisation and delayed Stellantis orders remain constraints. India margins face near-term pressure from commodity inflation, while Europe is expected to remain broadly stable at around 15% EBITDA margins. Execution of the planned capex programme and improvement in order-to-revenue conversion will be key to closing the growth gap versus the domestic industry.

India Market Outlook: Management expects the domestic automotive market to remain healthy, with industry volumes projected to grow at 5-7% CAGR over the next 3-5 years, supported by passenger vehicles, two-wheelers and commercial vehicles, while tractors may witness near-term moderation.

Growth Recovery: Recent underperformance against the domestic industry was attributed to the Bajaj portfolio rationalisation and lower-than-expected conversion of new orders into revenue, with the company achieving only 2-3% growth above the market against an earlier expectation of 7-8%.

Near-Term Growth: Management expects India to deliver better growth in the coming quarters, supported by a healthy underlying market and new model launches, while the company's performance is expected to remain closer to the industry growth rate over the next few quarters.

Medium-Term Growth Strategy: CIE is prioritising growth through capacity expansion, customer diversification and increasing content across existing automotive segments, with management indicating that the company expects to outperform the industry over the medium term, although formal guidance is deferred.

Export Opportunity: The gradual decline in ICE vehicle production in developed markets could create long-term export opportunities for Indian component manufacturers as lower volumes reduce the economics of automation in developed markets; however, realisation will depend on cost competitiveness, quality and execution.

Iron Castings: The business is growing at 15%+ with healthy profitability, supported by export orders and a strong enquiry pipeline; capacity is emerging as a constraint, with management evaluating a 30-40% expansion over the next 2-3 years, preferably through brownfield or greenfield investments.

Gears & Composites: Both businesses are witnessing strong growth, driven by four-wheeler EV gears, three-wheeler EV body parts and four-wheeler battery-related composite components, with profitability and returns remaining above or around company averages.

Stampings: The business is expected to benefit from stronger order traction from Mahindra & Mahindra and Tata Motors, following a period of strategic reassessment by customers; capacity expansion across Pune and other locations is being evaluated to support the growth opportunity.

Aluminium Castings: Growth has been constrained by rationalisation of the Bajaj portfolio, which contributes ~INR 7 bn of the INR 12 bn business; management expects the Bajaj business to broadly stabilise at current levels over the next 2-3 years.

Aluminium Diversification: CIE is targeting greater exposure to four-wheelers through orders from Mahindra & Mahindra, Renault and Tata Motors, with approximately INR 900 mn of existing orders; scaling this business will require larger die-casting machines and potentially substantial capacity investments.

Aluminium Margin Improvement: The aluminium casting business currently operates at approximately 13% EBITDA margins, with management targeting 15% through customer and product diversification; however, elevated aluminium prices and raw material costs are expected to exert near-term pressure.

Forging & Crankshafts: The crankshaft business is expected to benefit from new model launches by Mahindra & Mahindra and Maruti in CY27, followed by a potential demand boost from BS7 implementation in 2028-29; the company anticipates higher content and market share, supported by investments in additional high-tonnage presses.

Bill Forge – 2W: The two-wheeler business continues to perform well, with CIE planning a 10% capacity addition by March to address capacity constraints in races and crankshafts; management indicated that earlier capacity expansion could have supported approximately INR 100 mn of additional monthly revenue.

Bill Forge – 4W: Growth has been affected by lower-than-expected conversion of the Stellantis order, which is expected to contribute approximately INR 1 bn this year versus an earlier expectation of around INR 2 bn; management is evaluating replacement opportunities, including GKM, while reviewing the broader strategy for this business.

India Margin & Cost Outlook: India EBITDA margins remain healthy at approximately 16-16.5%, although Q3 CY26 is expected to face pressure from commodity inflation, including a 40-50% increase in aluminium prices and approximately 10% inflation in steel prices, alongside higher power costs.

Europe Business: Management expects European revenue to remain ~INR 30 bn annually, with EBITDA margins near 15% through the current and next year; subdued light-vehicle production of approximately 15.5-16.5 mn units and competitive pressure from Chinese OEMs are expected to constrain growth.

Europe Cost Management: The company expects to sustain margins through continued cost rationalisation and flexible management of fixed costs, with no major restructuring planned beyond potential actions at a small Spanish plant; raw material costs are largely pass-through, while energy costs are not contractually covered.

EV & ICE Strategy: CIE views EVs as an incremental opportunity in India rather than a near-term threat, given expectations of continued ICE growth over the next decade; approximately 20% of the Indian order book is linked to EVs, while ICE remains the core business and provides additional export opportunities.

Capital Expenditure: Growth capex is expected to increase materially, with India capex potentially reaching INR 2.5-3 bn in H2 CY26 following approximately INR 1.8 bn of growth capex in H1; significant investments are planned across most verticals over the next three years, with brownfield expansion preferred to accelerate returns.

Cineline India Ltd

MovieMax remains focused on sustaining its screen expansion, with 20-25 screens already under fit-out and ~25 additions targeted in FY27. The increasing contribution from South India, improving industry footfalls, broader content pipeline and recovery in regional/international films are expected to support occupancy growth. While ticket pricing in South India may remain lower, management expects revenue per screen to remain broadly stable. Selective O&M/FOCO opportunities, premium formats and continued favourable leasing economics provide additional growth levers, with management maintaining its commitment to similar growth over the next three years.

Screen Expansion

- MovieMax has delivered 85 screens over the last three years, reflecting a strong expansion trajectory.
- For FY27, the company is targeting ~25 new screens, with 7 locations comprising 20-25 screens already under fit-out.
- These screens are expected to become operational across Q3 and Q4FY27, with the company currently on track against its stated expansion plan.
- The company expects to maintain a similar pace of screen additions over the next few years.

South Expansion

- Historically, MovieMax has had a stronger presence in West and North India; however, a majority of new screens this year will be added in South India.
- The geographic diversification is expected to create a more balanced exposure to box-office collections across regions.
- South India typically has government-regulated ticket pricing, resulting in higher occupancy but lower average ticket prices.
- Despite the lower ticket pricing, the company expects revenue per screen from South India to remain broadly similar to the existing blended level.

Industry Recovery

- Management highlighted that H1FY27 has been the strongest first half for the cinema industry post-COVID, with higher footfalls and box-office collections.
- Industry box-office collections have increased by approximately 12-13% YoY.
- The recovery is becoming more broad-based, with multiple INR 1+ bn and INR 2+ bn films contributing to collections.
- Regional content and international films have also shown stronger performance, supporting a healthier content mix.

Screen Renovation

- The 30 screens under renovation were part of the existing 77-screen base, which increased to 85 screens by FY26-end.
- Renovation activity was staggered throughout FY26 rather than all 30 screens being closed simultaneously.
- Individual auditoriums were renovated in phases, allowing cinemas to continue operating with reduced inventory rather than complete shutdowns.
- The renovation activity contributed to lower footfalls in FY26, particularly in Q4.

Content Pipeline

- Management believes the Indian content pipeline remains robust, with India continuing to be one of the largest content-producing markets globally.
- Film budgets are increasing, with several large-scale projects involving significant production and VFX investments.
- Content is increasingly being produced across bilingual/trilingual formats, enabling films to target multiple regional markets simultaneously.
- The success of lower-budget films has also encouraged newer filmmakers to enter the industry.
- Management expects occupancy levels to improve over time, although actual performance remains dependent on the success and mix of individual releases.

Occupancy Outlook

- Management expects occupancy levels to improve as the content pipeline broadens and newer formats of content gain acceptance.
- H1FY27 performance has reinforced management's optimism around the cinema industry.
- MovieMax remains committed to similar growth year-on-year over the next three years, supported by continued screen additions.
- Management did not provide a specific occupancy target given the inherent unpredictability of film performance.

Leasing Economics

- Management indicated that post-COVID cinema leasing deals have become more threshold-oriented and favourable for multiplex operators.
- Real-estate owners increasingly recognise cinemas as important footfall drivers for malls, retail and F&B businesses.
- MovieMax follows a mix of revenue-share and threshold-based structures, depending on the property and economics.
- The company stated that its rent-to-revenue ratio has remained favourable, which was also reflected in its Q1 results.

Cineline India Ltd**FOCO Strategy**

- MovieMax is not opposed to FOCO (Franchise Owned, Company Operated) or O&M arrangements but remains selective in pursuing such opportunities.
- The company continues to prefer company-owned/company-operated investments where economics are attractive.
- It has already signed 2-3 O&M contracts during the current year, where the developer bears the investment and MovieMax manages operations.
- Management does not intend to pursue FOCO/O&M opportunities indiscriminately and will selectively evaluate such deals.

Asset Monetisation

- The company owns a combination of land parcels and cinema properties, including properties where the mall has been transferred to a society while the cinema remains with MovieMax.
- Management indicated that these assets are currently performing well and there are no immediate plans to monetise them.
- Any future asset monetisation and utilisation of proceeds towards growth capex or shareholder distributions will be evaluated at an appropriate time.

Premium Formats

- MovieMax is currently in discussions with IMAX and is negotiating commercial terms.
- The company is also evaluating other premium cinema formats that are currently not part of its portfolio.
- Management noted that IMAX had a relatively weak post-COVID period due to limited international-content performance, but international films have recovered strongly in FY27.
- If commercial terms are attractive, MovieMax could add premium/special formats in the coming years.

Audit Controls

- Management stated that promoters are not directly involved in individual negotiations or contracts.
- The company has multiple layers of internal and external audits, including audits covering cinema fit-outs and capex deployment.
- One of the top five audit firms is currently auditing execution at sites under fit-out.
- Audit outputs are also reviewed at the board level, with promoters and directors taking an active interest in audit findings.

Ghaziabad Update

- Following the earlier fire-related shutdown, the Ghaziabad property has largely reopened and is seeing decent traction.
- One screen remains closed and is awaiting fit-out completion.
- Completion is dependent partly on mall-level work, with MovieMax's work progressing alongside it.
- Management expects the remaining screen to reopen within FY27.

FY25 Loss

- The INR 670 mn loss reported under other income in FY25 arose from the sale of the company's subsidiary-owned Hyatt Centric hotel in North Goa.
- The hotel was held through a subsidiary, which was sold during FY25.
- Following the divestment, MovieMax now operates through the standalone company with no subsidiary business.

Goa Exit

- Management explained that the hotel sale was driven by weak occupancy and subdued tourism footfalls in Goa.
- Increased attractiveness of alternative international destinations and travel-related issues affected Goa's tourism demand.
- Given the stagnation in occupancy and business performance, management decided to exit the property despite the resulting book loss.

Pledge Reversal

- Management confirmed that the promoter share pledge is expected to be fully reversed during FY27.

Current Screens

- As of the meeting, MovieMax had 88 screens, of which 87 screens were operational.
- Only one screen remained non-operational due to pending fit-out work.

Growth Commitment

- Management reiterated its commitment to expansion, with 25 screen additions already announced for FY27.
- While specific targets for the following 3-4 years were not provided, management indicated that it sees no reason for the current pace of expansion to materially change.
- The expansion strategy remains a key driver of MovieMax's medium-term growth.

Claycraft India Ltd**Business and Financials**

- Claycraft is a ceramic tableware and drinkware maker, established in 1988, with 5,770+ SKUs, 132 distributors and 15,000+ retail points. It listed on NSE Emerge in June 2026.
- Own brands (Claycraft 84%, JCPL 13%) account for 95%+ of sales.
- Revenue was INR 1.45 bn in FY24, INR 1.52 bn in FY25 and INR 1.8 bn in FY26. The flat earlier years reflected post-Covid demand normalisation.
- FY26 EBITDA was ~INR 420 mn (~23% margin) and PAT ~INR 270 mn (~15% margin).
- The product mix is mugs ~40%, dinnerware ~36% and tea and coffee ~17%. The channel mix is distributors ~55%, modern retail ~15%, corporate ~11% and HoReCa ~8%.

Capacity and Capex

- Current capacity is 6,000 MT across two plants. FY26 utilisation was 82% and is expected to exceed 90% this year, which management sees as optimal.
- Plant 3 (Manda, Jaipur) adds 4,000 MT, taking capacity to 10,000 MT. It carries a revenue potential of INR 1.5-1.6 bn at full utilisation.
- Commissioning is targeted for February 2027. Utilisation is expected at ~50% in the first year and full in 2-3 years.
- The higher-quality output targets five-star hotels (which currently import from Germany and Italy) and export buyers.
- Capex is ~INR 1.14 bn: INR 960 mn from the IPO (fresh issue, no OFS) and the balance from internal accruals.
- The company is net debt-free, with net worth of ~INR 1.67 bn as of March 2026, plus the INR 960 mn IPO proceeds. No significant debt is expected, only working capital needs.

Exports and Industry Tailwinds

- Exports were under 0.2% of FY26 revenue. Management expects 6-7% this year and aims to double it each year for the next 3 years.
- The EU raised anti-dumping duty on Chinese ceramic tableware to 79% in February 2026. The UK (currently 17-35%) is expected to follow.
- Orders were converted within 6-7 months. The UK is served by a sales director and one distributor, plus trade exhibitions.
- The priority is to sell under its own brand. OEM and white-label orders will be taken only if spare capacity is available.
- The industry is estimated to grow from INR 58 bn to INR 86 bn (D&B). Imports are ~10-15% of the market, with anti-dumping duty on Chinese imports in India since 2017-18.
- BIS norms for ceramic tableware are expected. They would raise quality barriers against cheap imports.

Margins and Costs

- Category gross margins are ~22-26% across mugs, tea and coffee and dinnerware. Product-level margins are not tracked.
- Fuel and gas are ~23% of COGS. The Iran-war disruption caused delays and higher input costs but no production loss.
- A 12% price hike was taken in June. Whether it fully offsets costs will be reviewed after the September 2026 books are closed, and a rollback or revision is possible. The market has absorbed it, given the supply deficit and festive demand.
- Distributor margin is a 14-17% markup. A&P spend was ~INR 35-40 mn in FY26.
- Finished goods inventory is ~100 days.

Competition

- There is no listed pure-play peer. Cello and Borosil are diversified, with ceramic under 1% of their portfolios.
- The MRP range is INR 49-30,000. Opalware tops out around INR 3,000, and unorganised clusters are small, so management sees a large uncontested band.
- Management claims its capacity of ~200,000 pieces a day is the largest in the industry.
- Management declined to comment on future capex, project IRR and the finished goods versus raw material inventory split.

CMR Green Technologies Ltd

CMR Green Technologies is India's largest secondary aluminium recycler, with an installed capacity of 0.61 mn MT p.a. across 13 plants in 8 states and a market share ~6x its nearest domestic competitor by revenue. The business is anchored in liquid aluminium supply to auto OEMs/tier-1s, with a growing wrought alloys push into billets, sheet ingots and UBC recycling, supported by three JVs with Japanese partners (Toyota Tsusho, Nikkei MC Aluminium, Nippon Light Metal). Blended EBITDA has stabilised at INR 11-12.5/kg over the last five quarters, aided by hedging since FY23, versus a historical range of ~INR 7-20/kg. Volume growth guidance stands at ~25% for FY27, moderating to an 11-13% CAGR through FY30. Net debt/equity rose to 0.81x in FY26 (from ~0.5x) on higher working capital from elevated aluminium prices, with management targeting a reduction and positive operating cash flow by year-end. Key monitorables are the working capital/debt trajectory, ramp-up of new capacity (Shoolagiri, Bawal), the revenue mix shift toward wrought alloys/non-auto segments, EU/US scrap regulation, and EPR monetisation.

Business Model & Positioning

- CMR Green Technologies has been promoted by Mr. Mohan Agarwal since 1986, with the CMR Green business established in 2006 and its first plant near Tarapur/Palwal.
- The company is India's largest non-ferrous metal recycler by installed capacity and holds the highest revenue share in the secondary aluminium market (~4x larger by capacity and ~6x larger by revenue than the nearest domestic player).
- The company operates 13 plants across 8 states with total installed capacity of 615,000 MT per annum; 11 plants serve auto-casting, one (Odisha) is dedicated to UBC recycling with Hindalco as exclusive customer, and one (Tirupati) processes billets and sheet ingots.
- The company holds a 40-45% volume share in automotive cast alloys and has supplied liquid aluminium via road transport (~750°C, ~25-35 km radius) since 2013, following earlier boundary-adjacent supply from 2008.
- Aluminium products (molten ingots, billets) contribute ~80% of revenue, with the balance from non-ferrous metals (steel, brass, copper, zinc, magnesium) derived from Zorba scrap.
- The company has three technology/market-access JVs, with Toyota Tsusho (2012), Nikkei MC Aluminium (2012) and Nippon Light Metal (2025); no royalty or know-how fees are paid to partners.
- Key OEM customers include Maruti Suzuki and Yamaha, with tier-1 customers such as Toyota Industries, Rockman, Craftsman and Gabriel; Hindalco is key in raw alloy recycling.

Sourcing & Technology

- Raw material is sourced from over 1,000 scrapyards across 13 countries, ~75% imported and ~25% domestic, with domestic sourcing up from ~20-21% two years ago.
- A wholly owned US subsidiary procures raw material for Indian operations, making the sourcing chain vertically integrated end-to-end.
- Scrap segregation technology includes heavy media flotation, base and colour sorting, and XRT/LIBS machines, backed by 8 copyrights and ~7 patents, including sensor-based "on-time, in-full" delivery scheduling on customer ladles.
- The company ranks 6th on the S&P Global Corporate Sustainability Assessment within the aluminium industry, noting recycled aluminium uses only ~5% of the energy required for primary production.
- The company ranks among the top 15 in Great Place to Work, particularly within sourcing.

Margins & Hedging

- Management measures profitability on a per-kg blended EBITDA basis (industry norm) rather than as a percentage margin; blended EBITDA was ~INR 12.7/kg in the latest quarter.
- EBITDA/kg was ~INR 10 in FY20-21, rose to INR 15-20/kg during COVID-driven volatility (FY21-22), fell to ~INR 7/kg in FY23-24, and has since stabilised at INR 11-12/kg following hedging from FY23.
- Guidance for near-term EBITDA/kg is INR 12-12.5.

- The company follows cash-flow hedge accounting; the ineffective portion (~INR 320 mn in the recent quarter) is booked in other income/expenses rather than COGS, which management said inflates reported opex and would normalise on reclassification.

Working Capital & Balance Sheet

- Net debt-to-equity rose to 0.81x in FY26 from ~0.5x historically, driven by a ~40-50% rise in raw material prices and working capital for seven plants commissioned over the last seven years; total working capital stood at ~INR 12.5 bn.
- Management is targeting a return to ~0.5x leverage and positive operating cash flow by year-end, though acknowledged this may be difficult in the current price environment.
- Working capital initiatives include exploring AI-based inventory software (cycle currently ~21 days) and negotiating shorter customer credit terms (~30 days toward 25 days), though customers have not yet agreed given their own cost pressures.
- FY27 capex guidance stands at ~INR 2 bn (~INR 530 mn incurred in Q1), funding two projects targeted for commissioning this year: a new EV-dedicated plant at Shoolagiri and an expansion at the existing Bawal (Haryana) plant.

Capacity Utilisation & Growth Guidance

- Automotive-segment plants typically run at 70-75% utilisation, while the more capital-intensive billet/sheet and UBC recycling plants run at 90-95%.
- Management guides to ~25% volume growth in FY27 from capacity additions and new-plant ramp-up, moderating to an 11-13% CAGR through FY30.
- FY24 volume growth was muted (~3-4%, from 302,000 MT to 370,000 MT) amid broader auto industry de-growth that year, despite the company gaining share.
- Liquid aluminium currently accounts for ~50% of total aluminium volumes and is expected to rise further.

Revenue Mix & Market Opportunity

- Current revenue mix is ~70% automotive, ~10% non-automotive aluminium and ~20% other non-aluminium metals; management targets a shift toward ~60:20:20 as the wrought alloys (billets, sheet ingots, UBC) business scales.
- Within India's ~5 mn tonne aluminium market, auto accounts for ~1 mn tonnes (~20%) and wrought alloys/extrusion for ~2 mn tonnes (~40%, a ~15% CAGR segment used in buildings, data centres, solar panels and EVs), with the remainder largely non-alloyed wire.
- The company holds first-mover advantage as the only Indian recycler producing billets through the recycled route using post-consumer scrap.
- Management does not expect near-term equity dilution to fund ~20-25% growth given sufficient internal accruals, though it remains open to dilution for inorganic opportunities (lead, copper, lithium-ion recycling) or to meet the requirement to reduce promoter holding from ~84% to 75% within three years of listing.

EPR & Carbon Credits

- Aluminium EPR (Extended Producer Responsibility) trading is not yet operational in India; CPCB guidance points to ~5% EPR obligation by FY28, rising toward 10% by FY30-31.
- The company holds ~273,000 carbon credits to date, with ~60,000 added annually; currently unmonetised, these would be booked as other income once monetisation mechanisms are established.
- Management does not expect EPR/carbon credits to become a material (10-15%) contributor to PAT but views them as an incremental revenue stream and a potential driver of primary-player tie-ups, as EPR requirements may push primary producers toward higher recycled-input usage.

Regulatory – EU/US Scrap Policy

- A proposed EU ban on non-OECD scrap exports remains at the draft stage; an earlier proposed 15% export duty on aluminium scrap was not implemented and has been folded into broader waste-management regulation discussions.
- Management does not see this as a major risk, given the difficulty of segregating complex "Zorba" mixed scrap, which requires manual intervention alongside technology, a combination it believes gives India, and CMR's scrapyards network, a durable advantage versus the US and EU.

Other Items

- The company is exploring diversification into lead, copper and lithium-ion battery recycling via its in-house business development team, though nothing has been finalised; management would weigh organic setup versus acquisition once an opportunity is identified.
- Aluminium price increases do not directly benefit margins given full hedging; management expects margin improvement instead from technology adoption, a richer product mix (billets, sheet ingots, UBC) and operating leverage.

Confidence Petroleum India Ltd

Confidence Petroleum India, the largest parallel marketer of LPG with ~33% share of the non-PSU segment (which is ~6% of the market), operates an integrated 'supermarket of LPG and CNG' model spanning imports through time-chartered vessels, 68 bottling plants, packed LPG in 2-425 kg cylinders, 310+ auto LPG stations, 15 LPG cylinder manufacturing plants and 50+ CNG stations in Bengaluru under an exclusive agreement with GAIL. FY26 revenue stood at INR 47 bn, with EBITDA of INR 3.78 bn and PAT of INR 0.96 bn. Q1FY27 growth was driven by both higher prices and ~75% volume growth, as the company onboarded several HoReCa and industrial customers (including Parle and Patanjali) during the West Asia supply disruption, signing 1-year agreements with many of them. Monthly run-rates stand at ~80,000 MT of LPG imports and ~20,000 MT of packed LPG, with auto LPG at ~380,000-400,000 litres/day. Growth levers include 6-7 new bottling plants, 30-40 auto LPG stations under construction, scaling CNG stations to 100 in Bengaluru and the upcoming Type-4 CNG cylinder plant. The key factors to monitor are retention of crisis-led volumes, LPG sourcing and CP-linked pricing, margin per tonne, Type-4 approval and segment-level disclosures.

Business Model & Positioning

- The company has 30+ years of experience and is listed on BSE and NSE; it is promoted by Mr. Nitin Khara and Mr. Elesh Khara, with a professional management team.
- Integrated model from procurement to retail: LPG is imported via time-chartered ships, unloaded at terminals and transported in its own tankers to bottling plants or directly to customers.
- Network: 68+ bottling plants, 300+ direct industrial customers, 3,200+ direct HoReCa customers, 3,000+ dealers, 225+ HCVs/LCVs, 310+ auto LPG stations, 15 LPG cylinder plants, 50+ CNG stations, 3 high-pressure cylinder units, 82 CNG road vehicles, DPT (denting, painting, testing) units and 2 propane-butane blending plants.
- The promoters started with a utensil shop, moved into LPG cylinder manufacturing for PSUs, then into packed LPG retail, and set up bottling plants to serve it.

Industry & Market Position

- India's LPG market was ~35 MMT in the last financial year and is expected to reach 40-42 MMT by 2030.
- PSUs hold ~94% of the market and parallel marketers ~6%; the company holds ~33% of the parallel marketer segment and is the largest among ~105 parallel marketers.
- Domestically produced LPG is reserved for PSU domestic supply, so commercial users (HoReCa, industries) must be served through imported LPG.
- No parallel player is present across all segments; competition comes from small regional players, and Aegis Logistics is more focused on terminals than nationwide retail.

Auto LPG

- The company operates 310+ auto LPG stations (the largest network), mainly in southern India, as well as in Rajasthan and Maharashtra.
- Stations are company-operated on leased land, with no dealers or middlemen, under a hub-and-spoke, cash-and-carry model with no credit.
- Capex is ~INR 10 mn per station, with a payback period of less than 18 months.
- 30-40 new stations are under construction, and the company is in talks to acquire small players that faced LPG availability issues during the crisis.
- Current auto LPG volumes are ~380,000-400,000 litres/day.

Packed LPG

- Cylinders from 2 kg to 425 kg are sold directly, through dealers and to industries, with volumes of 20,000+ MT/month.
- The focus is on the commercial segment, as subsidised domestic LPG makes the company price-uncompetitive there; it will enter the domestic segment if subsidies are removed.
- Strategically located bottling plants reduce four-way transportation costs, and customers receive credit for residual LPG in returned cylinders, improving competitiveness versus PSUs in the commercial segment.

- During the crisis, the company onboarded many HoReCa and large customers such as Parle and Patanjali, and has signed 1-year agreements with a good number of customers.

Bulk LPG & Sourcing

- Direct LPG imports started in 2022, enabling strong volume growth; current imports are ~80,000 MT/month, with bulk LPG supplied by tankers directly to industrial customers.
- LPG is sourced from refiners such as ADNOC and Basra Gas, from Qatar, the US (a cargo planned every month) and Europe; all purchases are currently on a spot basis without long-term contracts, and no hedging is undertaken at present.
- Middle East cargoes are priced off Saudi CP (CP plus a premium during the crisis and as low as CP minus 10 in normal conditions), while US cargoes are priced differently.
- The company continued importing even during the Strait of Hormuz closure and supplied PSUs to support domestic users.

Bottling Plants

- Bottling plants increased from 56 to 68 over ~4 years; the company also operates 2 plants in Indonesia serving the Indonesian PSU.
- Eight plants are dedicated to PSU job work (PSUs supply both LPG and cylinders), contributing little to revenue and EBITDA; the rest are used captively for storage and refilling.
- The PSU contracts will be reviewed at the end of their tender tenure, with the option of continuing or converting to captive use.
- Land has been identified for 6-7 new bottling plants, where work is already underway.

CNG Retail & Cylinder Manufacturing

- The company has an exclusive agreement with GAIL to set up 100 CNG stations in Bengaluru, of which 50+ are complete; the company is not a CGD player, incurs the capex and opex, and earns a fixed margin per kg from GAIL.
- In Mumbai, the company is setting up one station for MGL at Nariman Point, with broader expansion not yet finalised.
- 15 LPG cylinder manufacturing plants (the oldest business) have sufficient capacity, with no expansion planned.
- Three high-pressure cylinder units: Confidence Enterprise (100%, Nagpur), Sarju Impex (75%, Dahej) and Silver Sky Exim (50%, Nagpur), manufacturing Type-1 and Type-2 cylinders; the company entered this segment in 2020-21, supplying oxygen cylinders during COVID.
- The Type-4 high-pressure cylinder plant is ready, with most approvals in place and only the final operational approval pending.

Financial Performance & Margins

- FY26 revenue stood at INR 47 bn, EBITDA at INR 3.78 bn and PAT at INR 0.96 bn.
- Q1FY27 growth came from both pricing and volumes, with volume growth of ~75%; prices have not yet normalised, and management expects the growth to be sustained given new customer additions.
- Management is working to maintain the earlier indicated 10-15% QoQ volume growth and believes higher volumes will drive margins through fixed cost absorption.
- Segment-wise revenue and margins are not disclosed as infrastructure is shared across segments; contribution from packed, auto and bulk LPG is roughly equal, with bulk margins lower but on higher volumes.
- The distribution margin is at or slightly above the industry standard of ~INR 7,000/MT.
- Prices are reset monthly by state and region; the company is more price-competitive than PSUs in commercial and auto LPG but not in domestic LPG. Volumes have grown ~10x over the last 5-7 years.

Cosmic CRF Ltd

Outlook: Cosmic CRF is navigating a soft demand environment in FY27 with railway and infrastructure ordering subdued due to the West Asian crisis and constrained government spending, yet management guides for 25-30% higher top line than FY26 on the back of swappable railway-infra capacity and expects H2 to be stronger than H1. The near-term earnings trajectory is underpinned by the Amzen acquisition, which is awaiting procedural NCLT approval and is expected to begin commercial production within six months, with FY27-28 seen at 20-25% capacity utilisation and full value unlocking by FY28-29. Over FY28-FY29, the company projects tonnage rising to ~180,000-200,000 tonnes and then ~300,000-320,000 tonnes, with average realisations improving from INR 70,000-80,000 to INR 100,000-125,000 per tonne, supported by wagon manufacturing, springs, forging, containers, sheet piles, and defence items. EBITDA margins are guided to expand from ~14-15% in FY26 to ~18% by FY28 and potentially 20-21% if plans materialise, aided by galvanising integration. The key monitorables are timely NCLT approval and funding of Amzen, execution ramp-up, RDSO and DRDO approvals for forging, railway order revival from FY28, and working capital management for a ~INR 33-35 bn revenue ambition.

Company Background and Listing Journey

Cosmic CRF Ltd, led by Chairman and Managing Director Aditya Vikram Birla, was incorporated on 21 December 2021 and took over an asset from a company with turnover of ~INR 200 mn in 2021 through a business transfer agreement. The company listed on the SME platform on 30 June 2023, one of the fastest listings in the SME segment. FY23 revenue stood at ~INR 1.21 bn, with PAT of ~INR 65 mn; FY24 revenue rose to ~INR 2.55 bn, with PAT of ~INR 128 mn; FY25 consolidated revenue reached ~INR 4.01 bn, with PAT of ~INR 310 mn; and FY26 revenue reached ~INR 7.22 bn, with PAT of ~INR 510 mn, which would have been ~INR 578 mn but for ~INR 55-60 mn of legal costs related to the NCLAT battle against the H2 and H3 bidders for Amzen Transportation Industries.

Capacity Expansion and Business Evolution

The original Singur (West Bengal) facility had an installed capacity of 12,000 tonnes but an achievable capacity of only ~8,000 tonnes. The company raised ~INR 300 mn through its listing to expand installed capacity to 24,000 tonnes per annum. Initially present only in cold-rolled formed sections for railway wagons and coaches, it later diversified into infrastructure through the acquisition of NS Engineering Projects Pvt Ltd in April 2024 via a Swiss challenge bid in the NCLT. NS Engineering had a total capacity of 18,000 tonnes and was acquired for ~INR 900 mn gross, including takeover and rebuilding; its installed capacity now stands at 65,000 tonnes. The company also entered springs manufacturing (castle and helical springs) through a wholly owned subsidiary serving both railways and automobiles. A state-of-the-art forging unit for railways and defence is being set up.

Group Structure and Installed Capacity

Cosmic CRF Ltd is the holding company, housing the original CRF business for railways, and has two subsidiaries: NS Engineering Projects, which manufactures infrastructure items, and a second subsidiary with two divisions, one manufacturing helical and castle springs for railways and automobiles, and the other manufacturing railway and defence items through forging. Once the forging unit is complete, total installed capacity across the group will be at least 131,000 tonnes, with ~90% achievable given the swappable nature of the capacity and 24/7 operations. The Singur plant covers 5 acres, NS Engineering 8 acres, and the forging and spring divisions 1 acre each. Amzen is a 72.5-acre plant with ~50 acres of additional attached land, totalling ~122 acres, with a shed area of ~1.6 mn sq ft.

Amzen Transportation Industries Acquisition

Amzen, formerly Amtek Railcar, was a JV between Amtek Auto and American Railcar, designed for the South American and Russian markets. Cosmic CRF bid for it in 2024 and received NCLT approval in April-May 2025, but faced an NCLAT challenge, which ruled against it after 8-9 hearings over 8-9 months. The company took the matter to the Supreme Court and received a favourable verdict. The LOI has been issued by the Committee of Creditors, and the matter is with the NCLT for procedural approval. The acquisition price was INR 2.55 bn on a 30-day payment basis, negotiated down from INR 2.84 bn on a 6-12 month basis. The total takeover cost, including CIRP costs of ~INR 110 mn, is ~INR 2.66 bn. Additional capex of ~INR 1.2 bn is planned, of which ~INR 300-400 mn has been given as advances to machinery suppliers. The plant can manufacture wagons, coaches, containers (20-foot and 40-foot high cube), loco shells, sheet piles and defence equipment. First commercial production is expected within six months of takeover, with 20-25% capacity utilisation in FY27-28 and full value unlocking in FY28-29. Amzen has a total capacity of 200,000 tonnes per annum. The plant has six sheds and can manufacture 200 wagons per month comfortably, 350 with additional effort and 450 with full capex and RDSO clearances. The company is initially targeting 100 wagons per month for six months, which translates into revenue of ~INR 4.5-5 bn annually. The 50 acres of attached land are under provisional attachment by the ED but may come to the company, potentially adding ~INR 1 bn in value. Another 67-acre land parcel in Alwar is planned to be spun off to repay debts.

Market Outlook and Demand Environment

The railway sector is facing headwinds due to the West Asian crisis and government policy decisions. The government has not delivered orders or payments as promised in budgets, creating softness in the infrastructure and railway sectors. India needs more than 850,000 wagons to justify the INR 3,500 bn investment in DICC, but currently has only 450,000, requiring 400,000 additional wagons over six years, implying demand of ~60,000 wagons per annum. Current industry capacity is only ~35,000 wagons per year. From next year, the company expects a standard order flow of 45,000 wagons per annum, including private purchases, exports and local tender-based procurement. A 100,000-wagon order is unlikely; instead, 35,000-45,000 wagons will be the norm. Railway orders are expected to be more structured and larger from FY28. The BCN wagon order of 35,000 units created congestion, as it was planned for fertiliser and grain transport but is not required now. The company believes the downcycle will end by the end of this financial year, with tailwinds returning thereafter.

FY27 Guidance and Financial Projections

For FY27, the company guides to 25-30% higher revenue than in FY26 despite soft markets, with a very soft first half and a stronger second half. It expects output of 125,000 tonnes at an average price of INR 70,000-80,000 per tonne. This includes ~110,000-120,000 tonnes from existing capacity at 85-90% utilisation and ~10,000-15,000 tonnes from the forging division, which starts operations after April-May 2027. The forging division will initially operate at 40-45% capacity, as RDSO licences take 4-6 months and DRDO approvals 7-8 months. FY28 projections are ~180,000-200,000 tonnes at an average selling price of ~INR 100,000 per tonne, and FY29 projections are ~300,000-320,000 tonnes at ~INR 125,000 per tonne, potentially reaching 350,000 tonnes. At revenue of INR 33-35 bn, an EBITDA margin of 18-19% and a PAT margin of 12-13% are achievable. The company is conservatively guiding to an 18% EBITDA margin but believes 20-21% is possible if plans materialise.

Capex Plans and Funding

The company will be in a capex cycle for the next two years, after which no capex will be needed for existing plants unless there are further acquisitions. Cosmic CRF needs INR 10-40 mn for routine renewal and maintenance. NS Engineering needs no further capex except INR 45-50 mn for air-wiping systems on the galvanising bath for efficiency and cost benefits. The spring division needs no further capex, as it is complete and undergoing field trials and RDSO testing. The forging unit is an INR 500 mn project, with bank financing of INR 282.8 mn and promoter equity of INR 210-220 mn, of which INR 210 mn has already been infused and INR 10-20 mn remains; the bank is yet to disburse another ~INR 170 mn. The Amzen acquisition requires INR 2.55 bn upfront plus INR 110 mn of CIRP costs (INR 2.66 bn in total), plus INR 1.2 bn of additional capex. The entire capex programme will be completed by October-November 2027. Post-capex, total installed capacity will be ~385,000 tonnes with ~80% achievable utilisation, translating into ~300,000-310,000 tonnes and revenue of ~INR 33-35 bn. Working capital at 120 days of turnover for an INR 33 bn business would require ~INR 10 bn at some point. The company is working with advisors and merchant bankers on a debt-light and equity-light structure. Internal accruals since inception are ~INR 1.2 bn, and the working capital limit is INR 800 mn. The company has paid INR 600 mn to banks/the CoC and given INR 500 mn of advances for Amzen capex. It carries ~INR 500 mn on its books and has invested INR 200-300 mn from current-year accruals into capex at CRF and NS.

Product Diversification and Market Opportunities

Amzen will address six sectors: defence (82 SQ items for DRDO through the GeM portal), containers (high cube 20 feet and 40 feet), coach building and body parts, wagon manufacturing, loco shells, and sheet piles. The company is the largest player in industrial sheet piles in India with a 42% market share in the cold-rolled format, targeting 48-60% by supplying from the Amzen facility in Punjab to West and North markets. Sheet pile conversion margins are 10%, but supplying the West and North from Bengal erodes 7.5 percentage points of margin, making local manufacturing essential. The company expects an order book of INR 1 bn for sheet piles from day one of operations. Container orders of ~INR 500 mn are expected, with prototyping and testing taking 4-5 months. The company has existing channels with Chittaranjan Locomotive Works and DLW for loco shells through Vasan Soul Sealcasting and Comet Technocom, with 30-35 years of relationships. In wagon building, the West has no large wagon builder after Jindal Rail Systems converted to Texvako West focusing on coaches and loco shells, and Modern India (now Radhika Modern) not operating meaningfully. This makes Amzen the only large player in the region, attracting orders from JSW, Coal India, TIL, Tesco, UltraTech and Gatex. The company will also bid for coach body parts for Modern Coach Factory Raebareli and RCF Kapurthala.

Order Book and Execution

The current order book stands at INR 7.6 bn as of Q1, with 32% from railways and the rest from infrastructure. Execution timelines range from a few weeks to 1.5 years (for extendable orders), and the company expects to complete this order book within the year. The order book is largely raw material pass-through in nature.

Margin Outlook and Drivers

EBITDA margin for FY26 stood at ~14-15%. The company expects EBITDA to rise to 18% by FY28 and potentially 20-21% if plans materialise. The key margin driver is galvanising strength. Previously only 20% of infrastructure items were galvanised; now 60% are galvanised, yielding a benefit of INR 2,500 per tonne. Raw material prices have increased with E450 mild steel rising from INR 66 to INR 72 per kg and E250 Grade A from INR 58 to INR 62 per kg. Zinc prices have risen from INR 220-280 per kg to INR 440 per kg, which is a concern but expected to normalise. The company expects an increase of at least 4.5-5% in basic pricing. The company is taking new-age orders and expects selling price to grow from INR 70,000-80,000 per tonne to INR 100,000 per tonne in FY28 and INR 125,000 per tonne in FY29 due to wagon, springs, forging, and container additions.

Key Risks and Challenges

The West Asian crisis and government policy decisions are creating headwinds in the infrastructure and railway sectors, and the government has not delivered orders or payments as promised in budgets. NCLT procedural approval for Amzen is pending, with 30,000+ cases pending across NCLT benches in India. The company faced an NCLAT challenge from the H2 and H3 bidders, requiring Supreme Court intervention. The 50 acres of attached land at Amzen are under provisional attachment by the ED, and the 67-acre Alwar land has encroachment issues. Wagon builders broadly remain conservative, relying on supplier credit of 6-8 months rather than working capital debt, which limits their turnaround capability. Wagon manufacturing requires 86-90 types of components from 80-90 vendors, and the absence of even one knuckle pin can delay RDSO testing and entire wagon production. RDSO licences take 4-6 months and DRDO approvals 7-8 months. The company has never handled an asset as large as Amzen before.

Crizac Ltd

Outlook: Crizac is focusing on consolidating its strong UK position while expanding into the US, New Zealand, Canada and other non-UK markets through a mix of organic growth and acquisitions. Near term, FY27 is expected to be a consolidation year, with management guiding for broadly flat revenue versus FY26 amid geopolitical, visa and immigration-related uncertainties. However, healthy application flows, 15% growth in Q1FY27 enrolments, strong university relationships and improving AI-led operating capacity provide support to the business. Over the medium term, growth could come from international expansion, larger acquisitions and higher revenue per student through ancillary services. Management expects normal growth of around 20-25% from FY28, while maintaining EBITDA margins broadly around historical levels.

Strong UK Presence and Global Expansion

- The UK remains Crizac's core market, supported by long-standing relationships with major universities. The company has 450+ institutional partnerships, with several top institutions having relationships of 5+ years.
- The UK remains strong, while recent acquisitions have expanded the company's presence in the US, New Zealand and other geographies.
- Management highlighted that global market share is still relatively low at ~2-3%, versus ~13% in India, providing scope for further international expansion.

Healthy Application and Enrolment Trends

- Q1FY27 enrolment increased by 15%, despite geopolitical concerns, visa restrictions and anti-immigration policies in key markets.
- The company processed 100,000+ applications in the last quarter, while current application flows remain healthy for Q3 and Q4 intakes.
- Management continues to see healthy student inflows and university offer letters despite the challenging external environment.

Revenue per Student: University Mix Effect

- Revenue per student declined to around INR 4.2 mn from INR 5.1 mn YoY.
- Management clarified that the decline is not due to lower commission rates, as university contracts generally run for 3-5 years.
- Revenue per student varies depending on the university mix and the applicable slab/volume-based incentives.

Strong Profitability and Cash Generation

- The company reported operating revenue of around INR 2 bn, with EBITDA margin of ~29% and PAT margin of ~22%.
- Crizac remains debt-free and generates close to INR 2 bn of cash annually, according to management.
- Management expects EBITDA margins to remain broadly around historical levels despite the current industry challenges.

Acquisitions as a Growth Strategy

- The company has successfully integrated its acquisitions over the last 1-1.5 years and is now open to pursuing larger acquisitions.
- Acquisitions provide access to established university relationships and experienced local teams, which can accelerate entry into new markets compared with building relationships organically.
- Management indicated that acquisition payback is generally targeted at less than 2-3 years.

Technology and AI-Led Scalability

- Crizac's proprietary platform automates application screening, quality checks and submission to university portals.
- Around 90-95% of applications are currently submitted automatically through the AI-enabled platform.
- Management stated that the company has improved its systems and AI capabilities and can significantly increase application-processing capacity with limited additional cost.

Ancillary Services

- Crizac has started offering additional services such as loans, accommodation, insurance, forex and immigration/visa-related services.
- A separate team is working on these services.
- Management highlighted two objectives: improving student stickiness and increasing revenue per student, although no specific revenue contribution target was provided.

Seasonality

- Around 65-70% of annual revenue is generated in H2, mainly Q3 and Q4.
- Q4 is the largest quarter, followed by Q3 and Q1, while Q2 is typically the leanest quarter due to limited admission intake.
- Management cautioned that the timing of admissions could shift between quarters due to changes in student decisions and market conditions.

FY27: A Consolidation Year

- Management indicated that FY27 revenue is expected to be broadly flat versus FY26 as the company focuses on consolidating operations and strengthening capabilities.
- From FY28, management expects normal growth of around 20-25%.
- EBITDA and PAT are expected to broadly track revenue performance, with management not expecting a major deterioration in EBITDA margins.

Dachepalli Publishers Ltd

Outlook: Dachepalli Publishers is targeting revenue of INR 1,500 mn in FY27, with a PAT margin of around 17%, followed by a revenue target of approximately INR 2,400 mn in FY28. The growth strategy is centred on expanding the core textbook business while scaling notebooks, school supplies, uniforms, e-commerce and technology-led education solutions.

E-Commerce & School Ecosystem Driving Scale

- The company is expanding its Pelican e-commerce platform, targeting 100 schools in FY27 versus 50 schools in FY26, which generated around INR 250 mn revenue. Revenue potential is estimated at INR 40-60 mn per school, depending on school strength. Management expects the platform to become an important contributor to the company's overall growth.

Product Diversification & In-House Manufacturing

- Textbooks remain the core business, contributing around 70% of the targeted FY27 revenue, while other products account for the remaining 30%. Notebook revenue is expected to increase from around INR 50 mn in FY26 to INR 150-170 mn in FY27, supported by the commencement of in-house manufacturing and distribution through both traditional and e-commerce channels.

Expansion in Market Share & Content Portfolio

- The company is expanding beyond its traditional southern markets and is entering multiple states simultaneously. Management indicated that market share in newer states has reached around 1%, with an expectation of adding 2-3% annually. Dachepalli currently has around 600 SKUs against an estimated requirement of 950 SKUs for school education and plans to develop another 300 SKUs over the next 2-3 years, supporting wider geographic penetration.

Margin Tailwinds & Working Capital

- Profitability has benefited from economies of scale following curriculum standardisation under the new education policy and lower paper prices. Management highlighted that paper prices have declined from around INR 140/kg during COVID to INR 80/kg currently, while product MRPs have remained unchanged, supporting margins. Working-capital intensity is estimated at around INR 0.20-0.25 per INR 1 of incremental revenue, while receivables are expected to normalise as collections progress through the school payment cycle.

Dain Colour Chem Ltd

Outlook: Dain Colour Chem has demonstrated strong growth, with revenue increasing from approximately INR 250 mn in FY24 to INR 390 mn in FY25 and INR 539 mn in FY26. Management expects growth to remain sustainable, driven by expansion in exports, addition of new international markets, higher-value products such as Dark Lake colours, natural colours and other specialised products, along with gradual capacity expansion. Management is targeting capacity of around 2,500 MT over the longer term versus 1,800 MT currently, suggesting that capacity and product diversification will remain key growth drivers.

Financial Performance & Cash Flow

The company has delivered strong revenue growth, but the quality of earnings and cash-flow conversion will be important areas to monitor. Management indicated that FY26 witnessed negative cash flow primarily because of higher working-capital requirements associated with rapid growth in exports and inventory. While management expects working-capital efficiency and collections to improve, investors should closely track receivable days, inventory levels, operating cash flow and free-cash-flow conversion as the business scales.

Product Mix & Margin Potential

An important takeaway from the call was that FY26 revenue growth occurred despite lower production volumes, which management attributed to a shift toward higher-value products, including Erythrosine. This indicates that revenue growth is increasingly being supported by product mix and realisations rather than only volume growth. The company's planned introduction of Dark Lake colours, natural colours and other value-added products could further improve the product mix, although management has yet to quantify the expected contribution and margins from these new products.

Exports & Customer Concentration

Exports have emerged as a significant growth driver, contributing around 42% of FY26 revenue, with established customers in markets such as Vietnam, Thailand and Indonesia and newer expansion into African markets. However, customer concentration remains a key consideration, with management stating that the top 10 customers contribute approximately 85% of revenue. While several customers have reportedly maintained relationships with the company for multiple years, reducing customer concentration and increasing the breadth of the international customer base will be important as the company scales.

IPO, Capacity & Competitive Position

The IPO proceeds are primarily intended to support capacity expansion and strengthen the company's ability to fund future growth. Current installed capacity is around 1,800 MT, with approximately 200-220 MT of additional capacity planned, while management has indicated a longer-term target of around 2,500 MT. The company positions quality, certifications, customised products and its zero-rejection track record as key differentiators, although management also described the underlying colour business as commodity-oriented. Therefore, the key post-IPO question will be whether the company can convert additional capacity and product diversification into sustainable margins, higher ROCE and stronger cash generation.

DC Infotech & Communication Ltd

Outlook: The company is expected to focus on scaling its digital infrastructure offering across AI, data centres, cybersecurity, cloud and GCCs, with increasing contribution from services and recurring revenue. Key monitorables include UAE normalisation, recurring revenue growth toward INR 1,000 mn, working-capital discipline, ROCE improvement and progress toward the INR 10,000 mn revenue aspiration.

AI Infrastructure Opportunity

- AI is increasingly viewed as an infrastructure-led opportunity, requiring computing, networking, storage, cybersecurity, connectivity, power and cooling infrastructure.
- DC Infotech currently derives ~40% of revenue from networking, ~35% from unified communication & collaboration, with the balance from cybersecurity.
- The company is expanding its portfolio toward power, cooling and IT infrastructure management, including through its association with Vertiv.
- The strategic objective is to evolve from a technology distributor into a digital infrastructure and solutions platform.

Data Centre Expansion

- Management sees significant opportunity in mid-sized and edge/captive data centres, rather than directly competing for multi-billion-dollar hyperscaler projects.
- DC Infotech currently does not offer compute infrastructure; however, compute remains on its future portfolio roadmap.
- The expanded offering covers networking, cybersecurity, connectivity, monitoring, power, cooling and IT infrastructure management.
- Management expects customers to increasingly upgrade infrastructure to support AI workloads, creating opportunities across the broader data-centre ecosystem.

GCC Opportunity

- India's GCC expansion is viewed as a structural driver for demand across networking, cybersecurity, cloud infrastructure, data platforms, observability and collaboration.
- Demand is expanding beyond Bengaluru and Hyderabad into Mumbai, Pune, Chennai, Delhi-NCR and emerging Tier-2 locations.
- Management highlighted the growing technology, engineering, AI, cybersecurity and product-development role of GCCs, increasing their infrastructure requirements.

UAE Expansion

- UAE operations are currently witnessing moderation in new greenfield activity due to geopolitical developments, with activity largely focused on maintenance.
- Management expects normalisation potentially by early 2027, subject to geopolitical conditions.
- The subsidiary has maintained a measured investment approach and is currently not considered a significant cash drain.
- The UAE strategy is focused more on services and profitability than solely on top-line growth.

Recurring Revenue

- Existing recurring revenue from services and support is estimated at INR 500-600 mn.
- Management expects recurring revenue to reach approximately INR 750-800 mn by year-end.
- The company aims to cross INR 1,000 mn of recurring revenue over the next 1-2 years.
- Higher services, software subscriptions and managed-services contribution is expected to improve revenue visibility, customer stickiness and predictability.

Working Capital Discipline

- Management acknowledged the trade-off between pursuing larger AI/data-centre opportunities and maintaining healthy working capital and ROCE.
- There is no fixed threshold for rejecting projects; decisions are evaluated deal-by-deal based on order size, payment terms, opportunity quality and capital requirements.
- The company indicated that it has already walked away from opportunities where working-capital requirements were considered excessive.
- Management remains focused on operating within its financial capacity while selectively pursuing larger opportunities.

Talent & Attrition

- DC Infotech currently has approximately 13-14 trained/certified engineers across different technology platforms.
- Attrition is currently around 10-15%, reflecting strong demand for specialised technology talent.
- Management highlighted continued hiring and training from the entry level to maintain adequate bench strength.
- The company intends to strengthen technical capabilities as it expands into AI, cloud, networking and cybersecurity.

Samsung Concentration

- Samsung contributes approximately 17% of revenue, creating concentration exposure at the customer/vendor relationship level.
- Management indicated that its core capability lies in technology expertise, engineering talent and solution execution, rather than dependence on a single brand.
- In the event of pressure on the Samsung relationship, management believes alternative technology brands could potentially replace part of the business, although this would require time.
- Customer relationships and solution capabilities were highlighted as key differentiators beyond individual OEM brands.

INR 10 bn Aspiration

- The INR 10 bn revenue aspiration remains a key long-term milestone.
- Management stated that historically, while the company pursued top-line growth, PAT growth has outpaced revenue growth.
- The same approach is expected to continue, with emphasis on bottom-line growth alongside revenue expansion.
- Management expects stronger PAT growth to support improvement in ROCE and ROI over time.

Strategic Direction

- DC Infotech aims to transition from a primarily technology distribution model toward solutions, services and digital infrastructure.
- Key growth vectors identified for the next five years include AI infrastructure, data centres, cybersecurity, cloud, GCCs and managed services.
- Management intends to increase its share of customers' technology wallet by participating across multiple infrastructure layers.
- Focus remains on improving quality of revenue, recurring revenue contribution, operating leverage, customer stickiness and capital efficiency.

Dee Development Engineers Ltd

Outlook: Dee Development Engineers carries a constructive outlook anchored on an intact FY27 revenue guidance of ~INR 15 bn and an FY29 target of ~INR 25 bn, with H1FY27 expected at ~INR 6 bn (~20-25% YoY growth) and execution heavily back-ended to Q3/Q4. The ~INR 24 bn order book, plans to book ~INR 20 bn of fresh orders in FY27, and a strong thermal power pipeline across BHEL, L&T, and JSW underpin visibility, while the revenue mix shift toward power (rising to ~60% by FY28) supports margin expansion toward ~19% in FY27. The newly commissioned seamless pipe facility, India's only producer of F91/F92 and large-diameter high-thickness pipes, offers a differentiated ~20% margin opportunity, with Anjar utilisation set to ramp from ~40-50% to ~70% by year-end and ~85-90% next year. GE and Siemens HRSG/balance-of-plant orders, though delayed, are FY28 revenue events that do not jeopardise current guidance, while nuclear and data centre forays remain long-dated with nuclear revenue only from FY29.

FY27 Revenue Guidance Intact Despite Back-Ended Execution

Management reaffirmed the full-year FY27 revenue guidance of ~INR 15 bn and FY29 target of ~INR 25 bn. The business is explicitly non-linear, with Q1 and Q2 historically muted and Q3/Q4 doing the heavy lifting. H1FY27 is expected to close at ~INR 6 bn, representing ~20-25% growth over the prior-year H1. The ~INR 1.7 bn executed over the first two months does not threaten the annual guidance.

Order Book and Order Inflow Momentum

The current order book stands at ~INR 24 bn. Management plans to book ~INR 20 bn of new orders in FY27, of which ~INR 10 bn has already been booked, leaving ~INR 10 bn to be finalised over the coming two quarters, mostly from thermal power. The pipeline is described as extremely strong across BHEL, L&T, JSW, and other domestic players, though BHEL's decision-making remains slow.

Margins on an Improving Trajectory

Operating EBITDA margins were ~17% in FY26 and Q1FY27, with a full-year FY27 target of ~19%. The shift in revenue mix toward power (expected ~40% in FY27 rising to ~60% in FY28, versus under 20% in FY22-23) is margin-accretive because power has a much shorter conversion cycle than oil and gas. Wind tower EBITDA margins are ~25-30% but may moderate slightly as material-linked orders scale up, though absolute EBITDA will rise.

Seamless Pipe Facility as a Key Differentiator

The new seamless pipe plant is fully ready with no teething issues, already executing L&T orders and internal requirements, with formal external billing starting next quarter. The facility is the only Indian producer of F91/F92 grades and very large diameter, high-thickness pipes, competing only against Chinese imports. Seamless pipe EBITDA margins are expected at up to ~20%. No Phase 2 capex is currently planned.

Nuclear and Data Centre Forays Are Long-Dated

A small FPGO data centre piping order has been received as a beginning, with hopes of more orders. The nuclear JV is progressing, with partner discussions largely concluded and finalisation targeted by December, but the ~INR 1 bn greenfield plant (company share ~50%) means revenue will not flow before FY29, with FY28 devoted to pre-qualifications and approvals. A pilot order is possible next year.

GE and Siemens HRSG Orders Remain FY28 Revenue Events

Formal GE orders, drawings, and documents are still awaited, promised before December, with billing only next year due to 3-4 months of procurement lead time. Siemens has issued an MOU for GT/balance-of-plant piping, with Anjar facility approval slated for 6-8 October, but Siemens orders will also flow and execute largely next year. Neither delays the FY27 guidance, and management views the extra breathing room positively.

Anjar Utilisation Ramp and Execution Constraints

Anjar is currently at ~40-50% utilisation, targeted to reach ~70% by end-FY27 and ~85-90% next year. The key bottlenecks to scaling from ~INR 1.2-1.3 bn monthly execution towards ~INR 2+ bn are input/material availability, skilled labour scarcity, and matching staffing capabilities, not capacity. Management is deliberately balancing capex to avoid overbuilding.

Balance Sheet and Non-Core Power Business

The effective interest rate is ~8.75-9%. The non-core power generation assets are debt-free, with only minimal working capital debt, and no immediate divestment is planned given depressed valuations. Biomass pellet production has been added to make the assets sustainable, with no cash loss expected in FY27 and ~5-10% EBITDA possible, while also supporting ESG obligations.

Capital Expenditure and Replacement Value

Total gross fixed assets are ~INR 7.4 bn on a consolidated basis. Management estimates that rebuilding just the piping capacity today would require a minimum capex of over ~INR 6 bn. The current capex programme is sufficient to support the ~INR 25 bn revenue level without aggressive expansion.

Industry Structure and Competitive Positioning

In seamless pipes, major Indian players are Maharashtra Seamless, JSW, and Kalyani Group (formerly ISMT), but none produce the large-diameter, high-thickness alloy grades that Dee Development will make. The lack of prior power sector demand over four to five years deterred others from entering. Welded pipe plants require only modest capex (tens of millions of rupees) versus a minimum of INR 1-2 bn for seamless, explaining the structural entry barrier. Management also highlighted Make in India vendor/price preference as a cushion against Chinese competition.

Deep Industries Ltd**Strong Growth Outlook & Robust Order Visibility**

- Deep Industries is targeting 25-30%+ growth over the next few years, with management maintaining its earlier minimum ~25% CAGR outlook for the next three years even before recent government initiatives. The current order book stands at around INR 30.47 bn, of which INR 10+ bn is expected to be executable in FY27, providing strong revenue visibility. The bidding pipeline is around INR 7-8 bn, with management indicating a >50% success rate in the gas-processing business.

Production Enhancement Contract to Become a Major Growth Driver

- The INR 14.02 bn Production Enhancement Contract (PEC) from ONGC is expected to ramp up meaningfully from October, with ~INR 700 mn revenue contribution expected in FY27 and annual revenue potential of ~INR 1.5 bn at steady state. Management expects to execute the 15-year contract within approximately 10 years, while ONGC has already initiated the second round of PEC tenders for two fields in Assam and Gujarat. Deep intends to bid for at least one of these opportunities, creating potential for further PEC-led growth.

Offshore Business Provides High-Margin Expansion Opportunity

- Through its 75%-owned Dolphin Offshore subsidiary, Deep has successfully deployed the Prabha DP2 barge and is actively evaluating the acquisition of 1-2 additional offshore assets during the current year. Management indicated that the existing asset could generate annual revenue of ~INR 1.6-1.7 bn at 60-65% EBITDA margins, while offshore services are expected to be the highest-margin business, with EBITDA margins above 60%. Further asset additions could materially increase Dolphin's contribution to consolidated earnings.

Capex Backed by Orders & New Industry Opportunities

- Deep expects FY27 capex of ~INR 3 bn, comprising ~INR 1.5 bn towards PEC-related production enhancement activities and INR 1.5 bn towards rigs and gas-processing equipment. Capex is largely planned against secured projects and is expected to be funded through a mix of internal accruals and debt. New opportunities from CBG, deep-water exploration under the Samudra Manthan initiative, and domestic oil & gas production could further expand demand for compression, gas processing and offshore support services.

Margin Expansion Supported by PEC, Offshore & Backward Integration

- Management expects margins to improve as the higher-margin PEC and offshore businesses scale up. PEC is expected to generate around 50% EBITDA margin, while offshore services could deliver >60% EBITDA margins; standalone margin improvement is expected to become more visible as PEC contribution ramps up from Q2/Q3. The planned Kandla backward-integration facility is also expected to improve operating profit by approximately 1-1.5 percentage points. Overall, the increasing contribution of higher-margin businesses should support consolidated margin expansion over the medium term.

Denta Water and Infra Solutions Ltd

Denta Water and Infra Solutions is a Karnataka-focused water infrastructure company executing DBOT (design, build, operate and transfer) projects across groundwater recharge, water revitalisation, drinking water supply, irrigation and, more recently, wastewater and sewage treatment, positioning itself across the full water cycle from design and EPC to O&M. In business since 2016 and listed for about two years, the company has completed over 40 projects and has 38 ongoing projects. The order book stands at over INR 8.5 bn as of June-end, excluding a newly won ~INR 3.5 bn order, with ~50% coming from Jal Jeevan Mission (~INR 2.8 bn) and AMRUT (~INR 1.5 bn); revenue is 100% government-driven. FY26 revenue stood at ~INR 2.5 bn and management targets 20-30% YoY growth with EBITDA margins of 25-30%, although margins have moderated to ~20% in recent quarters on project mix and higher material costs. The company is debt-free, with bank limits largely non-fund-based. The key factors to monitor are margin recovery amid cost escalation (no pass-through), execution of the large new order, conversion of 3-4 large bids (75-80% historical success rate), expansion outside Karnataka and receivable cycles.

Business Model & Positioning

- A civil engineering contractor focused on groundwater recharge, water revitalisation, drinking water supply, irrigation and water/wastewater management; most projects are DBOT, with assets transferred back to the agency after ~5 years of O&M.
- Integrated capabilities cover feasibility studies, design, EPC and O&M; management describes design as where value is created, EPC as where value is realised and O&M as where value is compounded.
- Coverage spans raw water sourcing, water treatment plants, storage and distribution under Jal Jeevan Mission (JJM) and AMRUT 2.0, and wastewater collection, treatment, reuse and recharge.
- The long-term ambition is to evolve into an engineering-led, technology-enabled water management platform, aiming to be one of the most specialised companies rather than the largest contractor.
- Key strengths include domain knowledge, engineering capability, technology selection and the ability to work with the government ecosystem.
- Project selection is disciplined, based on government fund allocation, project duration, financial viability and technical feasibility; the company walks away from projects that do not match its core strengths or carry higher execution/financial risk.
- Execution challenges include land acquisition, utility shifting, statutory clearances and local stakeholder concerns; material or skilled labour delays can cascade into timelines and working capital.

Key Projects

- Tungabhadra Dam project: tapping water from the dam, treating it and distributing it to villages in the Koppal area through pipelines and overhead/underground storage tanks.
- KC Valley project (Bengaluru, BWSSB): secondary treated water is carried through a ~70 km pipeline to the water-scarce Kolar region, filling ~400 lakes; the water table has improved considerably to ~100-150 ft below ground, supporting irrigation and agriculture.
- Villages in Kolar have been adopted as model villages by the Finance Minister, and the company is in discussions with central government teams to replicate similar projects in Madhya Pradesh, Maharashtra, Gujarat, Uttar Pradesh and Haryana.

Order Book & Revenue Visibility

- The order book stands at over INR 8.5 bn as of June-end, balanced across short, medium and long-term projects, providing visibility for the next 2-3 years.
- The order book excludes the recently won ~INR 3.5 bn order; detailing of its margin profile is in progress as it was bid about a year ago, but management aims to keep margins within the 25-30% planned range.
- JJM accounts for ~INR 2.8 bn and AMRUT ~INR 1.5 bn, together ~50% of the order book and of revenue.

- Revenue is 100% government-driven (state and central government).
- The mix of EPC and O&M components improves cash flow stability and reduces volatility compared with pure EPC projects.
- Bid pipeline: 3-4 large projects of similar size to the ~INR 3.5 bn order have been bid; the company's bid success rate is ~75-80%.
- The company has not faced major JJM-related delays in Karnataka, though tender cycle times are long.

Execution Timelines & Revenue Run-Rate

- Quarterly revenue has been in the INR 500-600 mn range, as projects are large and long in duration.
- JJM and AMRUT drinking water projects take ~36-48 months of construction followed by 5 years of O&M, while STP projects (Swachh Bharat) take ~11-15 months.
- The company balances short, medium and long-term projects and follows a realistic, steady growth plan.

Wastewater & Technology Focus

- Over the last ~1 year, the company has entered wastewater management, constructing new sewage treatment plants (STPs) and upgrading existing ones.
- The company is deploying newer, compact treatment technologies in place of the conventional activated sludge process, offering substantial savings in space, superior output quality and much lower operating costs, besides lower capex and energy consumption.
- Market opportunity: of ~50,000 MLD of wastewater generated, only ~20% is treated, creating a large opportunity for treatment and groundwater recharge.
- The company does not plan to enter saline water treatment, as it is outside its core strength.

Margins & Cost Escalation

- EBITDA margins have historically been ~30-35% over the last 4-5 years; a participant highlighted a decline from ~40% in FY22 to ~30% in FY26 and ~20% in the last two quarters.
- Management stated that revenue grew ~23% and absolute EBITDA ~15% over the last two years, and attributed margin variation to project mix, milestone-linked margins, larger long-gestation projects (36-60 months) and lower billing in early project phases.
- FY26 margin moderation was partly due to higher material costs, as geopolitical developments affected commodity prices, fuel, logistics and supply chains.
- DBOT contracts carry no price pass-through mechanism; key cost items are steel, cement, MS and ductile iron pipes and HDPE/PVC/UPVC pipes (linked to oil prices), and the Middle East disruption impacted raw material prices.
- Mitigation includes timing material procurement when prices are optimal and building some escalation into bids; management targets EBITDA margins of ~25-30%.

Geographic Expansion & Competition

- Operations are currently focused only on Karnataka across various government departments.
- The company is in preliminary discussions in Madhya Pradesh, Maharashtra, Gujarat, Uttar Pradesh and Haryana, where it plans to focus on design and partner with local players for construction, depending on project size.
- Competitors in Karnataka include players such as Ion Exchange and VA Tech Wabag, but management believes no competitor participates across the complete water cycle.

Balance Sheet, Working Capital & Guidance

- The company is debt-free; bank limits are primarily non-fund-based for bank guarantees, with very limited fund-based borrowing.
- JJM and AMRUT receivables are realised in ~90-120 days, supported by good fund availability.
- Working capital is managed through selection of projects with clear funding visibility, milestone-based payments, reasonable retention terms, mobilisation advances, faster execution and project-level receivable tracking.
- FY26 revenue stood at ~INR 2.5 bn; management targets 20-30% YoY growth (~25-30% on average), with upside if more short-duration STP projects are won, but did not give FY30 projections.

Dev Accelerator Ltd**Business**

- Dev Accelerator (DevX) is a flexible office space operator, founded in September 2017 in Ahmedabad, with operations starting in 2018. It listed on NSE about a year ago.
- Its focus is managed office space: build-to-suit offices for enterprise clients taking 150-500 seats (~8,000-20,000 sq ft) on long lock-ins. It also runs co-working, where pre-designed cabins are rented as built.
- DevX leases space from developers on 3-year lock-ins and 9-10 year terms, and signs clients on 3.5-4 year lock-ins and 5-7 year terms. Management says this fully hedges its lease liability risk.
- About 1.4 mn sq ft is operational today. Flex monthly recurring revenue (MRR) is ~INR 140 mn.
- FY26 revenue was ~INR 2,260 mn, slightly ahead of the INR 2,250 mn forecast in its IPO documents.
- DevX focuses on Tier 2 cities, where it claims ~13% market share and a strong lead in Ahmedabad. It plans to deepen presence in Jaipur, Indore and Chandigarh, and later Kochi.
- Clients are mainly in IT, ITES, BFSI and media, with engineering and AI firms emerging. Names cited include Salesforce, IBM, Persistent Systems and Capital One.

Guidance

- FY27 revenue is guided at ~INR 2,700-3,000 mn, with cash EBITDA margin of ~20-23% on an IGAAP basis, in line with recent years.
- About 1.35 mn sq ft has been signed and is due to go live by March 2027. That would take operational area to ~2.7 mn sq ft by June 2027 and roughly double flex MRR to ~INR 280-290 mn.
- A further ~1 mn sq ft is signed for FY28, which management expects to take the portfolio to ~4 mn sq ft by March 2028. This is well ahead of the 2 mn sq ft addition over two years forecast at the IPO.
- Debt excluding lease liabilities should be ~INR 1,810-1,910 mn by June 2027 and ~INR 2,000 mn by March 2028, staying broadly flat because the capex is already funded.
- The blended borrowing cost is expected to fall from ~13.1% to single digits by March 2028.
- The portfolio will be kept at ~60% Tier 2 and ~40% Tier 1.

Pipeline and Funding

- Upcoming centres: Bangalore (~0.1 mn sq ft), going live in December 2026-January 2027; Pune (~0.2 mn sq ft), with possession in November and go-live in February-March 2027; and Noida (~0.2 mn sq ft), signed in the week of the conference, with possession in January 2027.
- The 0.85 mn sq ft. Ahmedabad asset, which management calls India's largest managed office, is due in 2029.
- About 30% of the 1.3 mn sq ft pipeline was signed in 2023, and the 1 mn sq ft for 2028 was signed over the last two years. About 0.35 mn sq ft signed in 2022 was delivered last quarter.
- Assets signed early give rental arbitrage, because market rents rise before they go live.
- Funding comes from NCDs already raised, a further ~INR 500 mn NCD pipeline, and ~INR 1.1 bn expected in Q3FY27 from an asset sale. About INR 1 bn of capital is committed for the 1.2 mn sq ft being added this year, and capital for the next ~1 mn sq ft is also committed.
- Fit-out capex is ~INR 1,100-1,300 per sq ft.
- Investments are expected to show up in revenue within 3-6 months. The company is also negotiating with lenders to refinance existing debt.

Unit Economics

- Revenue-to-rent targets are at least 2.35x in Tier 2 cities (INR 50 rent earning ~INR 110-125) and 2.1-2.25x in Tier 1.
- Co-working earns more per sq ft at full occupancy but typically runs at 70-80% occupancy, while managed offices run at 85-95%, so realisations end up similar. Management said the higher enterprise share of revenue (~70% vs ~52% a year ago) has not hurt office revenue; the dip was in consolidated revenue.
- Density averages ~50-65 sq ft per seat, against 40-50 sq ft for India. Clients set the density; Salesforce in Jaipur runs at ~95-96 sq ft per seat.
- Large under-construction assets (0.3-0.6 mn sq ft) break even operationally in 6-9 months and pay back capital in ~24-28 months (~27 months cited). Ready-to-use assets (30,000-60,000 sq ft) break even in 4-6 months, with capital payback in ~36-39 months.
- Enterprise churn has been ~1% since 2018, and management expects it to stay at 2-3% at most. Co-working churn is welcomed as it brings new members. Vacated grade A space is typically re-let within 60-90 days.
- Most assets are grade A or A+. A few grade B and C properties are back-to-back deals for a single client and fully hedged.

Industry and Competition

- Flexible office space has grown at a ~35-38% CAGR over 4 years. Its share of office leasing has risen from ~2-3% to ~20-23% in the top 7-8 cities.
- About 360 operators exist, but management sees real competition only from the top ~25 multi-city players. WeWork added ~0.7-0.8 mn sq ft in Tier 1 cities in the last 6 months.
- Management says DevX has not lost Tier 1 clients to peers, and that its Tier 2 presence is an advantage with enterprise clients that peers lack.
- On the stock's weak performance, management said Ind AS lease accounting (Ind AS 116) puts rent into depreciation, which makes margins hard to read. DevX began reporting IGAAP figures last quarter to fix this.

PropCo, Inorganic Growth and Governance

- DevX will stay asset-light. Its one PropCo deal, where it owns the asset, was done to show it can deliver grade A+ buildings. It now uses that track record to pitch development management partnerships: landowners fund construction while DevX handles design and leases the space to institutional clients. Management said it does not intend to become a REIT.
- DevX is negotiating to acquire one or two smaller managed office operators this year. Management said a deal would only go ahead if it is accretive to ROE and ROCE, and that it would raise market share in those regions.
- Related-party transactions fall into three groups: promoter and management compensation, the PropCo investment, and capital infusions into subsidiaries. All have been disclosed.
- New leaders have been hired in sales, execution and delivery.

Dharmaj Crop Guard Ltd

Outlook: The company enters FY27 with INR 12-12.5 bn revenue as the near-term target, while the key monitorables are monsoon normalisation, Rabi demand, Saikha utilisation, technical-market recovery and progress on regulated-market registrations. The INR 350 mn herbicide facility is expected to commission in Q3FY27, while 2-3 additional technical molecules and export registrations could support medium-term growth. Margin expansion will largely depend on higher utilisation, premium product mix, captive consumption and conversion of regulated-market registrations.

Integrated Agrochemical Platform

- Dharmaj has evolved into an integrated agrochemical player, with presence across technicals, domestic institutional formulations, exports and branded formulations.
- Domestic institutional formulation contributed 51% of FY26 revenue, while branded formulation and export institutional contributed 17% and 7%, respectively.
- The Saikha facility provides 5,000 MT technical and 2,500 MT intermediate capacity, supporting both captive consumption and external sales.
- The company has 657 registrations, including 125 export registrations, with 165 export and 11 technical registrations awaited.

FY27 Outlook

- Management expects FY27 revenue to be around INR 12-12.5 bn, subject to monsoon and agrochemical industry conditions.
- H1FY27 is expected to remain broadly in line with or slightly better than H1FY26, while H2 is expected to improve from the previous year.
- The technical business is expected to remain around PBT breakeven with some profitability, with meaningful scale-up dependent on recovery in technical demand.
- Management expects the Rabi season to be better than last year's H2, supported by low channel inventory.

INR 20 bn Roadmap

- The company continues to target INR 20 bn revenue by FY30.
- Within this, management indicated potential revenue of INR 5-5.5 bn from branded formulations, INR 2-2.5 bn from exports, ~INR 9 bn from bulk formulations and INR 4-4.5 bn from technicals.
- Technical gross margin could improve from the current 22-23% to ~25-27% as registrations in regulated markets come through.
- Branded specialised products currently generate ~36-40% gross margins, versus ~24-28% for generic products.

Saikha Utilisation

- Saikha utilisation is expected to increase to 65-70% in FY27, versus ~60-65% in FY26.
- The company currently manufactures 12 molecules and plans to add 2-3 more molecules in FY27, taking the portfolio to ~15 molecules.
- Around 28-32% of technical production is expected to be consumed captively, improving supply security, quality control and operating leverage.
- External technical sales could reach INR 4-4.5 bn at higher utilisation levels.

Formulation Growth

- Management remains confident of growth across both B2C branded and bulk formulation businesses despite recent moderation caused by erratic rainfall.
- Branded formulation is targeted at INR 5-5.5 bn by FY30, supported by expansion into southern markets, higher field-force strength and increased farmer engagement.
- The company has 700+ institutional customers and continues to add customers across domestic and export markets.
- Management expects all four business verticals to contribute to growth over the medium term.

Monsoon Impact

- Erratic rainfall and delayed Kharif sowing have impacted industry demand, with management noting that the overall agrochemical industry declined around 10% in Q1FY27, while Dharmaj delivered 5% growth.
- Management expects the impact to be largely seasonal rather than structural, with acreage reportedly increasing despite crop-level shifts.
- Farmer payment/inventory cycles have extended by around 15-20 days, but management does not view the increase as problematic.

Herbicide Expansion

- Dharmaj is investing ~INR 350 mn in a dedicated herbicide formulation facility adjacent to its Kerala GIDC plant.
- The new facility will have a capacity of 15,000 MT, versus existing herbicide capacity of 10,000 MT.
- Civil work is largely complete and major machinery has been ordered; commissioning is expected in Q3FY27, ahead of the next Kharif season.
- The dedicated facility should release existing capacity for insecticide and fungicide production while providing additional storage and operational flexibility during peak season.

Export Expansion

- Export revenue grew 116% YoY in Q1FY27, with 2-3 new customers added during the quarter.
- The company is currently more exposed to non-regulated markets, while registrations in regulated markets could support higher-margin growth.
- Regulated-market export margins are expected at around 28-30%.
- Brazil registration is expected to start coming through around June-September next year, following a 3-4 year registration cycle.
- The company is building a dedicated export team and targeting expansion across North America, Africa, Latin America and selected developed markets.

Portfolio Premiumisation

- Management stated that the shift towards specialised and focus products is deliberate, rather than merely a function of crop acreage changes.
- Over the past 2-3 years, the company has been moving away from generic products towards higher-margin specialised products across branded and bulk formulation businesses.
- The strategy is expected to support margin improvement even when crop-wise acreage changes.

Brand Expansion

- Dharmaj has more than 19,500 retail touchpoints, 5,300+ dealers/distributors and a field force of over 290 people.
- The company entered Tamil Nadu during FY27 and continues to expand its dealer network across southern states.
- Management highlighted a new product launch during Q1FY27 and indicated a continued focus on specialised branded products.
- The company appointed Rohit Sharma as brand ambassador in February 2026, with campaigns running since March to strengthen national brand visibility.

Diffusion Engineers Ltd

Outlook: Diffusion Engineers is poised for sustained growth with management guiding 20-25% revenue growth for FY27, building on a five-year track record of approximately 21% CAGR, with the heavy engineering expansion from 9,000 to 18,000 tonnes targeting INR 8 bn in revenue by FY30. The revenue mix is expected to shift over three years toward wear parts and heavy engineering reaching around 75% of the business, while consumables moderate to 15-20%, reflecting the industry's structural move toward ready-to-fit solutions and complete equipment supply. EBITDA margins should remain stable with potential for 100-200 bps expansion as machining and heat treatment capabilities deepen. The company remains debt-free with no long-term borrowings envisaged, and demand tailwinds across cement, steel, power and a revitalised mining sector support confidence that the current capacity expansion will be absorbed faster than initially anticipated, despite near-term volatility from freight logistics and steel prices.

Business Overview and Product Portfolio

Diffusion Engineers operates across four product baskets: specialty welding consumables for wear protection, flux-cored wires for automation-friendly hard-facing, wear plates and wear parts, and heavy engineering equipment. The company also provides epoxy-based coatings for heat-sensitive applications, welding and cutting equipment as a complementary offering, and automation solutions including special purpose machines for cladding. The heavy engineering segment represents forward integration, manufacturing complete equipment for cement, steel, power, mining and railways, alongside reconditioning services and turnkey kiln solutions. The unifying philosophy across all verticals is extending equipment lifetime for customers rather than merely supplying products.

Capacity Expansion and Growth Outlook

The company is undertaking a significant capex programme that doubles its gross block, with Unit 4 being the primary expansion site for heavy engineering equipment spanning approximately 30 acres with 32,000 sq m of manufacturing area. The heavy engineering capacity is being expanded from 9,000 to 18,000 tonnes, targeting a revenue potential of INR 8 bn within two to three years, with FY30 as a reasonable estimate for full ramp-up. Management guides 20-25% revenue growth for FY27, maintaining the five-year track record of approximately 21% CAGR, while cautioning that 30-35% growth would be a stretch due to project-based revenue recognition upon complete delivery rather than stage-wise billing. The order book stands at approximately INR 2.9 bn as of June, broadly unchanged, with Q3 and Q1 being seasonally subdued while Q2 and Q4 perform better.

Margins and Profitability

Gross margins are highest in consumables at 35-45%, followed by wear parts and engineering at 45-50%, and industrial services at similar levels though contributing only 10% of revenue. Consumables command premium margins because customers typically buy on performance outcomes rather than specified compositions, with the company recommending the right product and taking responsibility for equipment life extension. Management expects EBITDA margins to remain stable or slightly improve, with potential for 100-200 bps expansion over time as the company adds sophisticated machining and heat treatment capabilities. The company is debt-free with no long-term debt and does not foresee borrowing in the near future, relying only on working capital facilities.

Segment Mix and Strategic Direction

The current revenue mix is approximately 30% consumables, 30% wear plates and wear parts, 30% heavy engineering, and 10% industrial services. Over the next three years, the combined wear parts and heavy engineering share is expected to rise to around 75%, with consumables declining to roughly 15-20% and industrial services remaining at around 10% even as absolute revenue grows. This shift reflects the industry's move away from buying consumables and hiring specialist vendors toward purchasing ready-to-fit solutions with clear accountability. The addressable market expands significantly when supplying complete wear parts rather than just welding wire, as illustrated by the steel industry's requirement for thousands of rollers that can be supplied as complete assemblies with bearing housings.

Competitive Positioning and Market Share

In specialty consumables for maintenance and repair, Diffusion holds approximately 20-25% market share, competing with Ador, Fontech, ESAB and Wear Resist. In wear plates and wear parts, the company similarly holds 20-25% share against ESAB and Wear Resist. In heavy engineering, the market is vast and the company's share is below 1%, competing with ISGEC and AIEA along with smaller unorganized players. The company deliberately avoids commodity consumables and focuses on specialty solutions where it can differentiate through quality, delivery and application expertise rather than competing solely on price.

Raw Material Sensitivity and Export Environment

Steel price volatility has been elevated since COVID and the Russia-Ukraine war, though recent ranges are within plus or minus 20%. Short-duration contracts use fixed pricing while longer contracts include price correction clauses. Management estimates that even significant steel price movements would impact revenue by less than 5%, and the historical 21% CAGR is not attributable to steel price inflation. Export logistics costs have increased due to geopolitical tensions, causing some customer delays in pickup, but management views this as temporary with business eventually normalising.

Other Income and Depreciation

Other income includes mutual fund investments and interest from fixed deposits of unutilised IPO proceeds, which will decline as funds are deployed into operations. Normalised other income post-deployment is expected to be around pre-IPO levels plus 20-30%. Depreciation is expected to increase by approximately INR 90-100 mn in the initial years following the capex, though this is a non-cash charge.

Key Demand Drivers

The mining sector has transformed from being nearly dormant four to five years ago to a major demand driver following the entry of private contractors who prioritise high-performance, longer-lasting products over the cheapest alternatives. Cement plant sizes have doubled from an average of 5,000 tonnes per day to 10,000-12,000 tonnes per day, making production losses significantly more expensive and driving demand for higher-performance wear protection. The use of alternative fuels and waste-derived fuels has increased wear and tear, necessitating continuous R&D for new alloy development. Management believes the current capex cycle is justified by sustainable demand visibility rather than a temporary spike, and the expanded heavy engineering workshop is expected to reach 80-85% utilisation faster than originally anticipated.

Digilogic Systems Ltd

Digilogic Systems is a Hyderabad-based defence and aerospace company specialising in the Test, Measure and Simulate (TMS) segment, building customised automated test equipment (ATE), RF simulators, checkout and deployable systems that integrate proprietary software with commercial off-the-shelf hardware. The company listed on the SME platform in January 2026 and the IPO proceeds are being deployed in Project Udaan, a 65,000 sq ft integrated TMS, EMS and ESS facility at TGIC Hardware Park, Hyderabad, targeted to commence operations around December 2027. Revenue, EBITDA and PAT have grown at a CAGR of 14.93%, ~40% and 62.51% respectively, as the business mix shifted from low-margin prototype orders to higher-margin production orders. Management has guided for 25-30% revenue growth and 40-45% EBITDA and PAT growth in FY27, backed by ~65% of opportunities coming on a nomination basis. The latest published order book stood at INR 310 mn as on 30 May 2026. The company has also incubated a subsidiary, Avedya Systems, for RF subsystems. The key factors to monitor are Project Udaan execution, conversion of the tender pipeline, entry of private players into missile production, ramp-up of Avedya and new products, and receivables/working capital management.

Business Model & Positioning

- A Hyderabad-based defence and aerospace company with ~18 years of operating history, specialising in TMS systems used to evaluate the onboard electronic systems of guided weapons.
- The company builds customised testing and simulation systems by integrating proprietary software with commercial off-the-shelf (COTS) hardware, categorised into automated test equipment, RF simulator systems, checkout systems and deployable systems.
- In-house capabilities span data acquisition, computing, FPGA, RF sensors and software development, catering to radar, missile, avionics, naval, electronic warfare (EW), communication and field testing applications.
- The company sells systems (not services) to design and production agencies; the customer base has largely been PSUs and DRDO (e.g., BEL, BDL, HAL).
- Digilogic addresses the import-substitution gap where customers faced long procurement cycles, lack of local support and imported systems not fully meeting requirements, and supports customers across the full life cycle after deployment.

Industry Tailwinds & Growth Strategy

- Key tailwinds include Atmanirbhar Bharat, indigenisation of obsolete testers, the defence export push, growth in the space sector, the electronics manufacturing push and increasing private sector participation in defence programmes.
- The company plans deeper penetration in radars, missiles, EW, naval and communication, and expansion into aerospace and space (avionics, aircraft, satellites and launch vehicles).
- New areas identified for investment include electronic manufacturing services (EMS), environmental stress screening (ESS), electro-optic systems, single board computers (SBCs) and high-resolution gimbals.
- Development of SBCs, gimbals and indigenous harness testers is underway, with launch planned once customer validation is completed.
- The company is collaborating with foreign companies for international expansion, targeting exports of test systems, engineering solutions and locally built products.

Project Udaan – Integrated TMS, EMS & ESS Facility

- Funded through the IPO proceeds raised in January 2026, the facility is located at TGIC Hardware Park (provided by the Government of Telangana), Hyderabad, spread across 65,000 sq ft, with commencement of activities targeted around December 2027.
- Construction status: footing excavation, footings and plinth beams have been completed and column construction is currently in progress.
- Layout: the ground floor will house the ESS facility, the first floor the EMS production area along with system integration and test & evaluation, and the second floor engineering, operations and management workspaces.

- The EMS facility will cover PCB design, PCB manufacturing, schematic capabilities, component assembly, testing and support, while the ESS facility will offer random vibration, high/low temperature, altitude, bump, shock and accelerometer testing to both in-house and external customers.
- Right to win: manufacturing, functional testing (using its own ATE capability) and environmental qualification under one roof, versus peers operating these in separate locations, offering better lead times and commercial benefits and enabling delivery of flight-ready subsystems.
- The company plans to act as a Tier-2 supplier of missile subsystems (onboard computer, missile interface unit, inertial navigation system) as the government opens missile production to private players and BDL/HAL offload subsystem work; management indicated this could reduce ~60% of the time otherwise spent doing everything in-house.
- Project Udaan is independent of the TMS business; management has not quantified revenue from Udaan, and acknowledged established competition (e.g., Avalon) while relying on its 18+ years of relationships and presence in ongoing missile programmes.

Avedya Systems (Subsidiary)

- Avedya Systems Pvt Ltd was incubated a few months ago to design, develop and deliver LRUs and subsystem-level RF components, mainly for radar and communication applications.
- The team has been formed and R&D activities have been initiated, with systems expected to be ready in the next couple of months; production is planned at the Udaan facility.

Business Economics – Prototype vs Production

- Prototype orders take ~12 months and carry thin margins as specifications keep evolving during development (management indicated up to ~30% additional specifications by delivery).
- Production orders take 6-8 months as specifications are frozen; margins are higher due to software reusability (porting existing software rather than redeveloping) and better negotiating power with hardware OEMs on larger volumes. This explains PAT growing much faster than revenue.
- Once shortlisted in DCPD production programmes, testers are qualified by government agencies, so they must be procured from Digilogic irrespective of who executes the production (BDL, HAL or private players such as Adani or Tata), making the TMS opportunity scale with missile volumes.
- Competition exists mainly at the prototype stage; the company's proprietary technologies often become part of the government specifications.
- Entry barriers for newcomers include MSQAA/CEMILAC certification, documentation expertise and software development capability.

Order Book & Pipeline

- The latest published order book stood at INR 310 mn as on 30 May 2026; management did not provide an updated figure.
- On the tender pipeline (~INR 1.5 bn referred to by a participant), management did not commit to timelines as tenders can take anywhere from 3 months to 1-2 years to close.
- Around 65% of opportunities are on a nomination basis (repeat production orders on proven systems), while ~35% are open competitive tenders.
- Execution typically takes 4-6 months after receipt of the PO; billing is H2-weighted, with a major portion of invoicing in February-March.

Financial Performance & Guidance

- Revenue has grown at a CAGR of 14.93%, EBITDA at ~40% and PAT at 62.51%, as per the company presentation.
- FY27 guidance: 25-30% revenue growth and 40-45% growth in EBITDA and PAT.
- Management declined to give FY28-FY30 guidance but expects the TMS business to sustain 25-30% growth; any contribution from Project Udaan would be incremental.

Working Capital & Funding

- The company uses bank cash credit (CC) limits for project funding in addition to administrative needs.

- For orders above INR 20 mn, the company follows milestone payment terms of 70:20:10 (70% on delivery, 20% on final acceptance and 10% against a performance bank guarantee), offering ~1% discount to secure these terms, which smooths cash flows.
- FY26 receivables stood at ~INR 420-430 mn, of which ~INR 300 mn related to invoices raised in March; high reported debtor days therefore reflect year-end billing, which is collected in Q1 of the following year.
- IPO proceeds have been deployed towards the Project Udaan capex.

Divine Power Energy Ltd

Divine Power Energy is a winding wire manufacturer (copper and aluminium, bare and insulated conductors) serving the transformer, railway, automobile and inverter industries, and is now entering continuously transposed conductors (CTC), a higher-value, next-generation product, through a technical collaboration with a Chinese company that is the world's third-largest CTC manufacturer. FY26 revenue stood at ~INR 6.26 bn, with Q4FY26 alone contributing ~INR 3.46 bn, a rise management attributed to higher metal prices rather than seasonality (H1/H2 run-rates are otherwise broadly similar, with H2 typically modestly stronger). The company operates two complementary facilities: Divine's Sahibabad (Ghaziabad) plant, focused on recycled copper and primary aluminium, and the Vimlesh Industries plant in Sonipat (acquired in 2025), which uses primary raw materials and serves large OEMs such as Schneider, Panasonic and Hitachi. CTC production, being set up at the Vimlesh facility with two initial lines (further expansion planned), is targeted to commence by December 2026, subject to execution timelines. A separate group entity, Viraj Upkram (set up with newer machinery when initial Vimlesh acquisition talks stalled), is being merged into the group, with completion expected next financial year; management expects revenue to more than double from the FY26 base by FY28, aided significantly by the CTC ramp-up. The key factors to monitor are CTC commissioning and customer qualification (given long warranty requirements), completion of the Viraj Upkram merger, export scale-up from a negligible base, and EBITDA margin trends as the CTC/value-added mix increases.

Business Model & Positioning

- Divine Power Energy was founded in 2001 as PDRV Enterprises Private Limited, renamed ahead of its public listing, and has historically manufactured winding wires for the transformer industry, alongside magnetic wire and solar-segment customers.
- The company acquired Vimlesh Industries (now a wholly-owned subsidiary) in 2025, which management said has driven a multi-fold increase in growth for both entities since the change in management.
- The business spans transformers, railways, automobiles and inverters, giving it a diversified end-market base that reduces dependence on any single industry's demand cycle.
- The company also has a pan-India customer base across North and South India, providing a geographic demand hedge alongside its industry diversification.

Product Portfolio

- Products span bare conductors (uninsulated copper/aluminium round wires and flat strips) and insulated conductors across a range of insulation classes: paper (lowest temperature class, used in lower-end distribution transformers), fibreglass (used in dry-type transformers and lifting magnets), enamel, and Kapton/Nomex/mica (highest temperature class, up to ~240°C, used in traction and railway loco transformers).
- The company differentiates itself by focusing on flat wires/strips rather than round wires, a segment it says is harder to execute consistently and where it has invested in online, AI-assisted defect detection technology imported from China.
- Divine also manufactures specialised inverter-grade aluminium foil using conform casting technology (up to 33 mm wide and 0.6 mm thick, developed in-house beyond standard conform limits), supplying customers such as Luminous and other large inverter manufacturers.
- By value, copper contributes the larger share of revenue given its higher per-unit value, while tonnage volumes between copper and aluminium are roughly comparable (~60:40 split).
- Within copper, bare conductors contribute ~18% and insulated conductors ~82% of the segment; within aluminium, the split is ~26% bare and ~74% insulated (aluminium foil is classified as bare).

CTC – New Growth Vertical

- Continuously transposed conductors (CTC) are viewed as the next generation of winding wire, splitting a single large conductor into individually insulated strips to increase surface area and improve weight-to-current-carrying-capacity efficiency for power and high-rated transformers.
- The company has a technical collaboration with a Chinese company that is the world's third-largest CTC manufacturer, which will handhold the company through plant set-up and production quality; some machines have already been received from China, with others in transit.
- Two CTC lines are currently being set up (at the Vimlesh Sonipat facility, given its larger area and existing OEM customer base), with production targeted to commence by December 2026, subject to execution; three further machines are planned beyond this initial phase.
- Target customers are power transformer manufacturers; CTC carries long warranty requirements (20-25 years), creating a high entry barrier, and the company already supplies the complementary normal conductor to many of these customers, giving it, in management's view, a natural inside track to capture the CTC portion of the same transformer's winding wire requirement.
- Management sees strong export demand for CTC as well, citing European and Middle Eastern buyers already importing CTC products from India.

Manufacturing Facilities

- Divine's own plant is located in Sahibabad, Ghaziabad (UP), and focuses on recycled copper, with aluminium sourced as primary material at both locations.

- The Vimlesh Industries plant in Sonipat (Haryana) uses primary, top-quality raw materials and caters to large OEM customers including Schneider, Panasonic and Hitachi.
- Combined installed capacity is ~500 tonnes/month of copper and ~400 tonnes/month of aluminium; since the same machines produce both metals for insulated conductors, the actual product-wise split varies with order mix and cannot be fixed precisely.
- Capacities across Divine, Vimlesh and the soon-to-merge Viraj Upkram are described as complementary, allowing the group to shift production between plants during breakdowns or scheduled maintenance without disrupting customer supply.

Viraj Upkram Merger

- Viraj Upkram was set up separately by the promoters with newer, more advanced machinery after initial negotiations to acquire Vimlesh Industries had stalled.
- Once the Vimlesh acquisition was subsequently completed, management decided it no longer made sense to run a separate entity in the same business, and Viraj Upkram is now being merged into the Divine Group.
- The merger is expected to complete in the next financial year; management expects revenue to more than double off the FY26 base by FY28, significantly aided by the CTC plant ramp-up once beyond its initial pilot phase.

Customers & Exports

- Key customers include Tata Power, Luminous, Hitachi, Panasonic, Schneider, Quality Power and Minda, with KEI recently onboarded; the top 5 customers account for ~50% of revenue.
- Supply to state DISCOMs is now negligible, as the company has deliberately pivoted toward private-sector customers such as Tata Power.
- Exports are currently negligible (under 1% of revenue), reflecting limited prior focus by Vimlesh's previous promoters; the company is now re-establishing the Vimlesh export brand, including participation in the Middle East Electricity 2026 exhibition, with export customers already in Malaysia and Sri Lanka.

Financial Performance & Guidance

- FY26 revenue stood at ~INR 6.26 bn, with Q4FY26 alone contributing ~INR 3.46 bn (more than half the full year); management attributed this to the rise in metal prices during the quarter rather than business seasonality.
- Excluding metal price effects, H1 and H2 revenue run-rates are broadly similar, with H2 typically modestly stronger.
- EBITDA margin guidance for the next two years (through FY28) was framed as "in line with past trends", without a specific number.

Order Book

- The order book ranges from ~1 to 3 months depending on product, with fibreglass insulated conductors carrying the longest wait (~2.5-3 months); the overall blended order book stands at ~1.5 months.
- Management did not disclose current fresh order inflow or single largest order size, citing lack of immediate data.

Dodla Dairy Ltd**Margins and Guidance**

- Q1 and Q2 margins are under pressure. Procurement prices rose in Q2 instead of the usual seasonal dip, and sales-price increases lagged. EBITDA margin has slipped to ~7-8% from a 9%+ aspiration.
- Current gross margin is ~22-23%. Reaching ~9% EBITDA needs ~26-27% gross margin, which management expects in Q3 and Q4 through price corrections made in the last two months. Management expects Q3 and Q4 to be better than Q1 and Q2.
- Revenue growth guidance is 18-20%, with current growth of 15-16%. Management says earlier guidance is intact, but gave no bottom-line guidance.

Pricing and Procurement

- The procurement price was ~INR 41 per litre in July and is now ~INR 42.
- In Karnataka, sales prices were raised on 10 September and again on 28 September, by about INR 4 per litre in total. The procurement price will rise by INR 2 from 1 October. Q1 hikes were ~2% and ~2.5%.
- Karnataka Milk Federation is raising sales prices by INR 4-5. Tamil Nadu co-ops cannot procure enough milk and are delaying farmer payments by 2-3 months, so Dodla's volumes held despite a wider price gap (earlier INR 6-8 above co-ops).
- Management does not expect procurement prices to go higher. Milk supply is adequate and supply is slightly improving, though the El Niño impact is seen mainly in July-August.
- Cattle feed prices have been raised twice and farmers are getting remunerative prices. Global skim milk powder prices are up, but India has no shortage and the North India flush is expected after Diwali.

Costs

- Packaging costs are up 30-40% but are only ~3-3.5% of costs. Transport costs are being optimised, and the combined impact is under 1%. Some is already passed on.
- Management also cited the West Asia war and the new labour code (higher manpower cost) as one-off pressures this year.

Maharashtra Expansion

- Capex is INR 2.8 bn plus ~INR 400 mn for chilling centres (50 planned, 25 by December, 23-24 already running). The plant is on track.
- Liquid milk and curd (B2C) start in March 2027. The powder plant will start later, around May-June with the flush or possibly in September-December.
- FY28 revenue target is INR 5-6 bn, with an exit run rate of ~INR 8 bn. The company already procures ~300,000 litres a day there and needs 200,000-300,000 more.
- Sales will be in the periphery near Telangana and North Karnataka, not Mumbai and Pune. Management called it incremental revenue.
- The FDA crackdown on adulteration brings no substantial benefit, since Dodla's model is direct from farmers.

Value-Added Products (VAP)

- VAP is ~30-32% of sales, with a plan to add 1-1.5 points a year.
- Dodla is a late entrant in paneer and is catching up. Paneer grew 60-70% last year, and high-protein paneer is planned.
- Paneer capacity across Dodla and HR Foods is ~17-18 tonnes, against sales of ~6.5-7 tonnes.
- Dodla is the single brand used across products in South India and by HR Foods (a different brand is used in Africa). The company is pursuing modern trade and e-commerce.

Subsidiaries

- Osam: The business has been fixed through SAP implementation and procurement, plant, quality and SOP corrections, while route optimisation is still in progress. EBITDA margin is below 5% and may stay slightly below 5% this year, with above 5% expected next year.
- Africa (Uganda): The business did very well in Q1, slowed in July-August due to a milk shortage, and picked up in September. Margins are expected at 10-12%.

Cash and Capex

- Planned uses: ~INR 2 bn for Maharashtra (after loan drawdown), ~INR 1 bn for Uganda, INR 100-200 mn for Osam, INR 500-600 mn for backend infrastructure, and ~INR 600 mn of regular capex.
- The rest is for acquisitions (brownfield or greenfield) once projects stabilise, with the dividend policy unchanged. Inventory build for B2B is also planned after the Maharashtra plant starts.

Inventory

- Bulk fat and powder inventory was built earlier for B2B consistency and has since normalised. Management said it made no write-offs, only net-realizable-value adjustments.
- Surplus fat will come mainly from the new powder plant.

Competition

- Management says it competes with Heritage, Parag and others in every state, and that nothing is new. It cites a stronger procurement network.

Dollar Industries Ltd**Business**

- Dollar is an innerwear and hosiery maker founded in 1972, with a ~15% domestic market share. The segment mix is ~40% mid-market and ~40% economy, with women's, thermals and premium making up the rest.
- Brands are Dollar Man, Woman, Junior, Protect, Thermal, Big Boss and Missy, with Force NXT in premium. Force NXT has grown 20-25% a year and earns 15-20% EBITDA margin.
- A super-premium JV sells ~95% through quick commerce. It grew ~30% last year and targets 20-30% this year.
- Revenue is ~INR 20 bn, with a target of ~INR 30 bn in 3-4 years.

Guidance

- FY27 revenue growth is guided at 12-13%, comprising ~8-9% volume and 4-5% value growth. EBITDA margin is guided at 11.5-12.5%.
- Management raised prices by ~4-5% in Q1 (May-June) to offset cotton costs. Demand is good this quarter, with thermals targeted to grow 20-25%.
- Management sees 14-15% EBITDA margins as sustainable for the segment over time, with an 11-12% revenue CAGR to 2030.
- Priorities for the next 2-3 years: reducing working capital days from 164 (March 2026) to 125-130, becoming debt-free, raising the share of high-margin products from 27% to 35%, and increasing active retailers from ~150,000 to 250,000-275,000.

Restructuring

- Nine group companies, including the one holding the Dollar brand, are being merged into the listed entity, which management says is a first in hosiery. It is priced at the lowest of the valuations (KPMG and a merchant banker), based on book value.
- This removes ~99% of related-party transactions (the landlord companies were leasing offices and factories) and saves INR 50-70 mn of rent a year. Completion is targeted by March 2027.
- The promoter's 51% stake will then move into a business trust for control and succession planning.

Distribution (Project Lakshya)

- Project Lakshya started in 2019-20, and Phase 1 is complete. Phase 2 activates dormant retailers, with Vector Consulting advising.
- Management targets >60% of enrolled retailers being active, out of a universe of ~1 mn. It claims retailers benefit directly, which reduces distributor undercutting.
- Gains were cited in Rajasthan (from #2/#3 to #1) and Haryana.
- About 80,000 retailers are enrolled and 900 large-format stores are served.

Competition

- Peers include Lux and Rupa in the mid-segment, along with a premium player.
- One peer's family settlement could split it into three companies. Management expects aggressive discounting to ease in 2-3 quarters, and says it protected margin during this phase.

Raw Material and Manufacturing

- Cotton is stable at INR 65,000-68,000 a candy, with the new crop due from October. Management sees no scarcity despite a weaker monsoon.
- Backward integration is ~20-25% for yarn, saving INR 5-10 a kg and giving ~7-8% better margin than buying. Cutting is 100% in-house, and stitching ~20-25% (with more job work in knitting and bleaching).
- Four plants: West Bengal (~45% of manufacturing), Tirupur (knitting and bleaching, ~50% of revenue), Delhi and Ludhiana (thermals). Utilisation is 80-90%.
- Capex is minimal at INR 120-150 mn of maintenance, with machines costing ~INR 0.2 mn each. After debt is repaid, surplus funds will go to higher-return uses.

Working Capital

- Receivables are INR 6.02 bn. Lakshya distributors pay in ~80-85 days, against 120+ days for others.
- Controls include order limits tied to payments and agent follow-up. Dealer financing with ICICI Bank covers ~320 distributors, with cash received in 10-15 days.

Channels and Exports

- E-commerce is ~11% of revenue, with quick commerce reaching ~50% of that in two years. It sells through Flipkart, Blinkit and Swiggy.
- Marketing is ~INR 1 bn a year, steady, and shifting to digital.
- Exports are ~4-5% of revenue (~INR 750 mn), 90% under the Dollar brand and 10% white label. Orders are coming from the Middle East and agents have been appointed in Africa. Management did not say if export margins differ from domestic.

Other

- GST on innerwear is 5% and no change is expected.
- The new West Bengal government is seen as positive, with subsidy restoration and a textile policy draft expected around 15 October.

D.P. Abhushan Ltd Business

D.P. Abhushan is a jewellery retailer founded in 1940 in Ratlam and now run by the fourth generation. Its brand pillars are trust, transparency and quality.

It expanded beyond Ratlam to Indore (2010, after a successful exhibition), Udaipur (2012) and Bhopal (2015). It listed on the SME platform in 2017, moved to the NSE main board in 2020 and listed on BSE in 2024, and opened 3 stores during COVID.

There were 12 stores as of March 2026, and a 13th opened at Dahod on 24 September 2026 as a strategic entry into Gujarat. The split is seven in Madhya Pradesh, five in Rajasthan and one in Gujarat. All stores are company-owned (COCO).

Small-to-medium stores are 3,000-5,000 sq ft (average 3,200-3,500), and anchor stores are 8,000-10,000 sq ft (Indore and Ratlam, ~9,500 sq ft each). Management says peers' stores are typically 1,500-3,000 sq ft.

Gold is ~90-92% of sales, of which ~75% is 22K. Studded jewellery is ~5-6%, and silver and gift articles make up the rest. By occasion, bridal is ~58-60%, festive and gifting ~20%, and daily wear the rest.

The company focuses on Tier 2 and 3 cities, where buyers come with intent to purchase. Conversion is above 80-82% and inventory turns are ~4.7-5x.

Four Kataria siblings run the business: Santosh (MD and Chairperson), Anil (Whole-time Director), Vikas and Sanjay. Promoters hold ~75%, split equally between two families.

Guidance

The vision is 51 stores and ~INR 150 bn of revenue by 2030, opening 6-8 stores a year. Expansion is planned in Gujarat, Chhattisgarh and Maharashtra (Vidarbha), with locations already identified.

Blended gross margin is guided at ~7-8% of sales, opex at ~3.5-3.75% and finance cost at ~0.40-0.50%. Management gave a conservative margin target of ~3.75-4.5% over 5 years.

Diamond share of sales is targeted to rise ~2.5x from ~5% in 2 years, with gold's share gradually falling to ~85-88%.

Priorities for the next 2-3 years: raising hedged inventory from ~12-15% today to more than 50% by March 2027 and 80-90% by March 2028; increasing the store count to ~28-30 by 2028, after which internal accruals and scheme inflows should fund growth; and testing the FOCO pilot before scaling.

Store Economics (COCO)

Small-format stores need ~INR 25-30 mn of capex and ~35-50 kg of inventory (~INR 400-500 mn). Anchor stores need ~INR 70-75 mn of capex and ~80-90 kg of inventory (~INR 800-1,000 mn). Inventory runs at ~1.25-1.5x during the season.

Management targets capex payback within 6-9 months of opening. Inventory turns are expected at ~3-3.5x by year 3 and ~4.5-5x at maturity by year 5.

Franchise (FOCO)

The first franchise pilot is in Jabalpur, launching in October. About 6-8 of the 51 stores planned by 2030 could be FOCO, depending on how the pilot performs.

Franchisees are only financial partners who are not already in the jewellery business. They fund capex and working capital, while the company controls design, hiring, operations, marketing and pricing. Pricing and store ambience will be the same as in COCO stores.

Management said franchising works best where the brand is already known, which is why it is starting in Madhya Pradesh and building brand awareness before franchising in new regions.

Fundraise

A preferential warrant issue of ~INR 2-2.5 bn is planned. The proceeds will be used only for inventory for new stores, not for debt repayment.

Sourcing and Operations

There is no in-house manufacturing. About 30-35% of jewellery is sourced through job work and the rest bought outright from vendors including Sky Gold and Shanti Gold. Diamonds come from DTC sightholders, and some vendors manufacture exclusively for the company.

The company makes no direct imports and has no forex exposure. It buys concessional UAE CEPA gold under the tariff rate quota (TRQ) when available, using it for job work as the rules require.

An automated real-time replenishment system first checks other stores and buffer stock, then raises purchase orders with vendors. Jewellery arrives almost every second day.

Design is done in-house and co-developed with vendors. Frequent design rotation means repeat visitors see new stock within 90-180 days.

Products and Schemes

Amora, launched two years ago, targets 15-35-year-olds with lightweight, studded daily and office wear. The company is also selling lightweight and electroforming products and testing 18K and 14K jewellery.

With high gold prices, buyers now shop to a budget rather than a weight. A necklace that used to be bought by grams is now bought within a ~INR 1.5-2.0 mn budget.

Diamond jewellery earns ~25-30% gross margin, with lower margins on solitaires. Silver sales exceed 10 tonnes a year, also at higher margins than gold. Polki is also part of the range.

The Swarn Plus scheme, launched in April, sets aside gold each month against the customer's instalment. This removes price risk for the customer, includes a making-charge waiver at maturity, and gives the company a natural hedge. A gold harvest scheme also runs alongside it.

Brand awareness is built through events and collections such as Mewar and Polki exhibitions.

Hedging

Until January 2026, the company relied on like-for-like (kg-for-kg) replenishment. It has since set up a hedging desk using three tools in order of priority: Swarn Plus scheme metal, gold metal loans (GML) with a 180-day window, and MCX futures. The mix depends on season and spot versus international prices.

About 12-15% of stock is hedged today, with the targets given above.

Industry

The unorganised share of the market has fallen from more than 80% 4-5 years ago to ~40-50%, and management expects it to reach ~20-30% in 3-4 years as UPI and digital payments grow.

Management says off-book and cash activity is driven by import duty plus 3% GST. It still sees structural formalisation, with card MDR costs negligible.

Gold is increasingly treated as an investment through jewellery, schemes, digital gold and ETFs, and management sees current price levels as the new normal.

DU Digital Global Ltd

Outlook: DU Digital is shifting from a pure embassy front-office services provider into a four-engine platform spanning visa processing, AI-led verification through DU Verify, overseas manpower supply through Global Access, and open-ended visa issuance through DU Visas. Near-term growth hinges on conversion of a large tender pipeline worth INR 1 bn to INR 5 bn per contract across Netherlands, Greece, Japan, Australia, KSA, UAE and Singapore, while the recently operational Kuwait contract and the ramp-up of the manpower vertical give visible revenue through H2. The Saudi contract re-tender and a conditional fundraise remain the key swing factors to track.

Business Model and Verticals

- The visa front-office business remains the bread and butter, handling administrative and verification work for embassies, and is the base on which the other three verticals were built.
- DU Verify is the proprietary tool that combines a financial score from bank statements, a travel score from passport and visa history, and a background score from court, Interpol and ID checks into a single green, orange or red decision aid, with the embassy or ministry keeping the final call. It currently runs all of Georgia's electronic visa processing and was piloted for South Korea.
- Global Access and DU Visas are the open-ended, non-contract businesses. Global Access supplies verified temporary workers from India and neighbouring countries to Europe and the Middle East, and is the newest, high-margin, high-revenue vertical.
- DU Visas issues tourist, five-year and golden visas, notably for the UAE, using the company's own quota, with more than 1,200 travel agents connected directly to its portals.

Pipeline and Contracts

- The company is tendering for roughly ten contracts, with RFPs for Australia, KSA, UAE and Singapore expected in H2.
- Contract values range from INR 1 bn to INR 5 bn, with Australia alone estimated at around INR 5 bn over three years.
- Typical contract tenure is three to five years, and the setup lead time is 1.5-3 months.

Kuwait Contract

- Operations began on 22 July after a competitor's court challenge was resolved with MEA support, and have run smoothly for about two months.
- Monthly top line is tracking around INR 25 mn against an expected INR 30 mn, with the shortfall attributed to August school holidays, a slow September restart and the regional war.
- The company expects it to normalise to the INR 30 mn run-rate over the year, with exact margins to be shared in the October results.

Cost Structure and Margins

- The largest one-time cost is centre setup, covering fit-out, biometric machines, computers and printers, after which running costs are dominated by manpower at ~50%, followed by rent, utilities and courier costs.
- Staff are largely local Indians in Kuwait trained on the company's systems.
- The company guided to EBITDA margins in the 20% to 30% range across the business.

Revenue Breakup for FY26

- Visa business: ~INR 145 mn.
- Korea and Thailand contracts (started last year): ~INR 45 mn.
- DU Verify (Georgia and Korea missions): ~INR 95 mn.
- Immigration, residency and Global Access: ~INR 260 mn.

Manpower Ramp

- The company sent close to 1,000 workers abroad last year and is targeting 3,000 to 4,000 this year, adding Russia, Japan and Germany as new geographies.
- Each placement runs on a three- to six-month cycle from job order to visa, so fulfilment and revenue are weighted to H2.
- Alongside the existing B2B network of 300 to 400 labour agents, the company is building a B2C channel through Meta and LinkedIn sourcing at around USD 100 per candidate for onboarding and checks, with the aim of reducing B2B dependence over time.

Fundraise and SEBI Matter

- The planned fundraise was deferred because the Saudi Arabia contract, on which the raise was conditional, went back to re-tender, with bidding expected to reopen at the end of October.
- On the January SEBI order, the company clarified it was never contacted and has no link to the individuals involved. A group of 25 to 26 traders made about INR 9.6 mn on DU among other stocks and were fined roughly INR 19 mn, having traded and exited the stock back in 2022.

DU Verify Expansion

- Beyond consular use, the company is testing corporate use cases in hospitality and cab operator verification, where turnover is high.
- The larger opportunity is Schengen missions, which if won could add multiple missions at once.
- Guidance & View: The company guided to EBITDA margins of 20-30%, a Kuwait run-rate of ~INR 30 mn a month, and a manpower target of 3,000-4,000 workers this year, against a tender pipeline of INR 1-5 bn per contract. The platform pivot provides multiple growth engines, but near-term delivery depends on conversion of the tender pipeline and the outcome of the Saudi re-tender at the end of October. Manpower revenue is H2-weighted given the three- to six-month fulfilment cycle, and the October results will be the first clean read on blended margins.

Dynamic Cables Ltd

Dynamic Cables reported a price-led Q1FY27 with soft volumes, consistent with its price-volume seesaw; Q2 growth is also expected to be largely price-led YoY. The order book stood at INR 8 bn at end-Q1 (1.78x revenue), with 80-90% of orders carrying price variation clauses. The new plant (~INR 400-450 mn gross block; revenue potential of INR 2.8-3 bn at 6.7x asset turnover) is in advanced commissioning and expected to start around October-November, with meaningful revenue contribution in Q4FY27. Supplies to the US have started after product approvals, but Middle East exports are lost in H1 at least due to the war. Management reiterated its 8-11% margin corridor (80-10-10 structure) and an 18-20% long-term growth trajectory. Key monitorables are on-time commissioning of the new plant, US order build-up against Middle East losses, and any volume recovery as commodity prices evolve.

Revenue Dynamics: Price, Volume & Order Book

Q1 growth was price-led YoY as prices were higher than the same quarter last year, while volume growth stayed low. Q2FY27 growth is also expected to be largely price-led YoY.

Price-volume seesaw: value/price growth always comes with low volume growth and vice versa, as customers have a value budget and defer projects when prices rise.

80-90% of orders carry a price variation (PV) clause, so billing prices follow an escalation formula at the time of supply rather than company-initiated hikes.

High commodity prices have compressed the order cycle; most orders are now executed within ~6 months.

The order book stood at INR 8 bn at the end of Q1FY27 (1.78x revenue, a typical historical level) and is expected to increase over the next couple of quarters with the new plant.

New Plant & Capacity Expansion

The new facility is in an advanced stage of commissioning; commencement is expected in October (after the Shradh period, around Navaratri, close to Diwali/Dussehra).

Revenue contribution in FY27 is expected largely from part of Q3 and full Q4, with meaningful contribution in Q4.

Investment of ~INR 400-450 mn (gross block) and asset turnover of 6.7x give an expected yearly revenue potential of INR 2.8-3 bn.

Order booking for the new facility has not yet begun.

Export Strategy & Geopolitics

Exports were 8-9% of revenue in FY26 and are expected to be slightly higher in FY27; the long-term vision is to take export contribution from 10% to 20%.

The company has obtained approvals and started supplying cables to the US market this year.

Middle East exports are lost in H1 at least because of the war, pulling down overall export numbers.

Management said it is very early to comment on US margins, citing returning instability, higher sea fares and the longer shipping distance from India vs other global suppliers.

Export margins are 10-11%, in line with domestic margins. The path to exports is harder than domestic given tariffs, sea fares, geopolitics and currency.

The low-value regular conductor business is being exited or descaled given its lower margin profile vs value-added cables.

Product Development: Data Centres, HTLS & HVDC

The company is developing power cables for data centres (not communication or fibre cables): 70-80% of the manufacturing process is the same, 20-30% needs tweaking, and additional machinery will be added in existing plants. No precise timeline; type testing and approvals are in progress.

HTLS conductors are on hold: commercial production is possible via the TS Conductor tie-up, but the company is not participating because small utility orders include erection and commissioning, which it does not want to take up.

HVDC cables: The company is working with customers on development.

There is no intention to enter EHV or optical fibre cables for now.

Margins & Competitive Positioning

Management maintains its long-standing guidance of an 8-11% EBITDA margin corridor, built on an 80-10-10 structure (80% material, 10% other opex, 10% EBITDA), considered fair for a B2B business.

Return on capital is 27-28%, sometimes reaching 30%.

The company manufactures only aluminium cables; copper usage is negligible.

UltraTech: No direct impact is foreseen in the near term while it is limited to house wires; the impact 2-3 years out is unknown. Management has been in the business for 30 years and said there is nothing to worry about as long as the market is growing.

Long-Term Growth Framework

The company maintains its 18-20% growth trajectory, delivered over a 10-year history, with a vision to sustain it for at least 5-10 years.

Industry volume growth is expected in double digits (12-14% for the next 5-7 years per industry reports); no quantitative company guidance beyond this.

Key Monitorables

- Timely commissioning of the new plant and start of order booking for it.
- Pace of US order build-up vs Middle East losses and US margin visibility.
- Volume recovery as commodity prices evolve; price-volume trade-off.
- Data-centre cable type testing and approvals.

Company Profile

- Founded in 1985 in Lucknow, the company has over 40 years of experience, 200+ projects and ~17 mn sq ft delivered (30,000+ homes).
- The company operates only in Lucknow and Gorakhpur, across high-rise, villa and plotted developments.
- Promoter Pankaj Bajaj holds 55%. He also runs the larger Eldeco Infrastructure & Properties, which is soon to be listed.
- Market cap was about INR 7.47 bn as of 30 June, with a small free float. Management says this looks low against the sales pipeline.

FY26: A Watershed Year

- Pre-sales hit a record INR 7.43 bn (1.08 mn sq ft), up 120% YoY. FY22 pre-sales were only about INR 2-3 bn.
- Collections were INR 3.52 bn.
- Revenue recognised was INR 1.75 bn. Margins looked lower because marketing and other period costs are booked upfront, while the related revenue comes later (Ind AS 115 recognition on transfer of risks and rewards).

Q1FY27

- Pre-sales were INR 1.05 bn. Management says this is lumpy and depends on launch timing. For example, Solano Gardens sold 80-90% of its inventory (INR 4-5 bn) within 60 days of launch.
- Management is confident of beating FY26 pre-sales this year.
- Quarterly income recognition was INR 500 mn, versus INR 640 mn in Q4FY26. Average realisation per sq ft is rising and EBITDA and PAT margins are described as healthy.

Pipeline

- Ongoing projects: 2.5 mn sq ft saleable, of which 2.3 mn is launched and 1.5 mn sold (about INR 10 bn). Another INR 7-8 bn of sales is expected from these.
- Forthcoming projects: 3.3 mn sq ft, with land under control and approvals at final stages, worth about INR 15-18 bn.
- Under planning: a further ~INR 20 bn.
- Management cites about INR 35 bn of sales visibility over the next 3-4 years.

Balance Sheet

- Debt-to-equity is about 0.3, which management says leaves room to expand the book.
- Imperia Phase 2 (~INR 3 bn GDV): about INR 2 bn recognised by Q1FY27, with ~INR 1 bn left.
- Latitude 27: Management hopes to complete it in FY27 and is conservatively confident of completion within H1FY28. The earlier guidance of recognising 15-20% in FY27 still seems on track.
- Other projects: Some revenue from Imperia and Solano may come in FY27. Skywalk and Hanging Gardens are expected to complete within FY28.
- FY27 completions: Imperia Phase 2 and Latitude 27 (as confirmed by management).

Market View

- Management describes Lucknow as resilient, with demand supported by infrastructure growth and the city's status as state capital. It places Lucknow in the top 15-20 Indian real estate markets.

Electrosteel Castings Ltd

Electrosteel Castings, incorporated in 1955, is a pioneer in ductile iron (DI) pipes with ~0.9 MTPA of largely backward-integrated capacity (~20-22% of the ~4 MTPA industry) across West Bengal and Andhra Pradesh, and exports ~25% of revenue to 130+ countries. The industry has been operating at 50-60% utilisation as central Jal Jeevan Mission (JJM) disbursements stalled, compressing EBITDA margin to ~9% in Q1FY27. Management believes the bad phase is over: JJM 2.0 has an enhanced outlay of INR 8.7 trn (extended to December 2028), and of the INR 670 bn FY27 central budget, ~INR 100 bn has been released with ~INR 100 bn per month expected in October-December. September saw strong order bookings, the order book has risen to 5-6 months, and management expects double-digit EBITDA margin in Q3FY27, further improvement in Q4 and a return to ~14% in FY28. Capital allocation has been permanently shifted away from DI pipe expansion (Odisha greenfield in abeyance) towards valves and industrial paints, each targeting ~INR 10 bn revenue by 2030, as part of an INR 100 bn revenue vision for FY30. The key factors to monitor are JJM fund flows, capacity utilisation, coking coal prices, channel inventory, diversification ramp-up and debt reduction.

Business Overview

- Incorporated in 1955, the company is a pioneer in DI pipes, having started with a small capacity in 1994 (~60,000 t) and scaled to ~900,000 tpa of DI pipe capacity that is almost backward integrated.
- Manufacturing plants are located in West Bengal and Andhra Pradesh.
- Exports contribute ~25% of revenue, with presence in 130+ countries supported by wholly owned subsidiaries in Europe, the UK, the US, the Middle East and Singapore.
- DI pipes are the core product; the company also sells DI fittings (value-added, used in water transportation) and surplus pig iron, coke, sponge iron and power.

Jal Jeevan Mission & Demand Outlook

- JJM 2.0 is an extension of JJM 1.0, with the outlay enhanced from ~INR 3.6-3.7 trn to INR 8.7 trn and the period extended to December 2028; the central share of the enhancement is ~INR 1.5 trn.
- The central government has budgeted INR 670 bn for FY27, of which ~INR 100 bn has been released so far; management expects ~INR 100 bn to be released in each of October, November and December, taking cumulative releases to ~INR 400 bn by end-Q3, along with corresponding state releases.
- Funds released so far have largely been used to clear existing liabilities rather than generate new demand; states have also allocated funds in anticipation of central releases.
- About 2.5 MT of DI pipes are yet to be supplied under ongoing JJM projects, mainly in Rajasthan, Odisha and Andhra Pradesh; the bulk of JJM 2.0 demand is expected from Rajasthan, Madhya Pradesh, Odisha and Andhra Pradesh.
- Beyond JJM (till FY29), demand is expected from AMRUT, irrigation and river-linking projects; DI pipe orders from river linking are expected from Q4FY27/Q1FY28, as large-diameter MS transmission mains are taken up first.
- West Bengal: There has been no material development yet following the change of government, but the state has committed to a big tender and expects its first central disbursement of the year in October after Durga Puja.
- Uttar Pradesh is seeing strong demand as unexecuted water supply projects are being fast-tracked ahead of state elections next financial year.

Order Book & Execution

- The company did good order booking in September from EPC contractors, mostly under JJM and partly AMRUT, for supplies to Andhra Pradesh, Odisha and Uttar Pradesh, to be executed from Q3FY27 onwards.
- The order book has risen to ~5-6 months (versus ~3-4 months earlier) and is gradually increasing.
- New orders are at reasonable margins, factoring in present costs and likely cost increases.

- The company has no material direct JJM receivables, as supplies are made to EPC contractors on secured payment terms.

Industry Dynamics

- Industry DI pipe capacity is ~4 MTPA, of which the company holds ~0.9 MTPA (~20-22%); current demand was indicated at ~3.2-3.3 MT, with the industry and the company operating at ~50-60% utilisation.
- In the last cycle, demand peaked at ~4 MT, with industry dispatches of ~300,000-325,000 t/month at the JJM peak; demand fell sharply from H2FY26 after central fund releases stopped.
- No capacity additions are expected in the near or long term, as existing capacity is sufficient to meet demand.
- The company targets 75-80% capacity utilisation by the end of FY27.
- Gaining market share is not difficult for the company, but it prioritises operating at optimal margins over share gains.
- Channel inventory is ~1 month of demand versus a normal 2-3 weeks (7-10 days excess), down from a peak of ~45 days, and is gradually declining.

Margins & Raw Material Costs

- Margin decline over the years was attributed to the demand-supply mismatch, as JJM-led supply additions met a sudden drop in demand.
- EBITDA margin was ~9% in Q1FY27; management expects double-digit EBITDA in Q3FY27, further improvement in Q4FY27 and a return to old levels of ~14% in FY28.
- Coking coal prices rose from ~USD 200/t FOB to ~USD 280/t and have cooled to ~USD 270/t FOB; with freight of ~USD 25/t, landed cost is ~USD 300/t CIF, which is being factored into new DI pipe order pricing.

Diversification & Capital Allocation

- Valves: the company acquired a valve manufacturer (Italy) last year, expanding its product range for the same water-sector customer base; it targets valve revenue of at least INR 10 bn by 2030. Margins have improved in line with expectations, and domestic valve sales commenced in September 2026, with meaningful contribution expected from Q3FY27.
- Industrial paints (not decorative): leveraging in-house expertise of manufacturing paints used on DI pipes, the company targets ~INR 10 bn revenue by 2030; the domestic industrial paints market is ~INR 300 bn, growing at 7-8%, with expected mid-teen margins and room for a new entrant despite established players.
- FY30 vision: INR 100 bn revenue, with 50-60% from DI pipes (~INR 70 bn) and 40-50% from other products such as valves, paints and rubber products, plus 2-3 more products over the next 3-4 years. Consolidated revenue was ~INR 74 bn in FY25 (a participant noted the earlier FY30 target was INR 80 bn).
- No further expansion in pipes, including other pipe types; the Odisha greenfield DI pipe project is in abeyance, and management described the capex reallocation as more or less permanent.

Exports & Trade Measures

- Exports are steady at ~25%, with no notable upward or downward trend; the wide geographic presence allows diversion between markets, so the Gulf situation has not materially impacted export volumes.
- Saudi Arabia (KSA) anti-dumping duty: the company attracts the lowest duty of 17% versus over 30% for other Indian players; it has filed a first appeal, with an order expected in ~2 months.
- Exports to Saudi Arabia are ~10,000-12,000 tpa (~2% of turnover), so the impact is limited; the company continues to export there and is diverting volumes to other markets.

Balance Sheet & Other Updates

- Gross debt stands at ~INR 15 bn and net debt at ~INR 8.5 bn; term debt is only ~INR 3 bn and will run off over the next 2-3 years, with the balance being working capital debt.
- Diversification capex will be funded mostly through internal accruals, with no increase in debt levels expected; surplus cash will be used to reduce working capital debt.
- Coal block compensation: the company has received ~INR 1 bn so far and expects to recover its full investment, though timing is uncertain due to litigation.
- Promoters increased their stake by ~4% in the March quarter and by a further ~4% recently.

Embassy Developments Ltd

Outlook: Embassy Developments is transitioning from a launch-heavy phase to an execution and collection phase, targeting INR 30 bn in cash collections for the current fiscal year. The company is focused on reducing its high cost of debt (currently 14%) by shifting from NBFC financing to bank-led construction finance as projects hit slab cycles.

Financial Guidance & Metrics

- Pre-sales Guidance: Total target of INR 80 bn, comprising INR 60 bn from own projects and INR 20 bn from Development Management (DM) projects.
- Cash Collections: Target of INR 30 bn, representing an improvement in the collection-to-pre-sales ratio from 35% last year to 50% this year.
- Construction Spend: Estimated spend of INR 15-20 bn for the current year.
- Debt Profile: Current cost of debt is 14%; management aims to reduce this by 2-3% through refinancing approximately INR 15-20 bn of debt.

Project Pipeline & Market Strategy

- Bangalore: Focus on luxury and premium segments; the Embassy Origins launch (Riverine villas starting at INR 140 mn and South Reserve apartments starting at INR 20 mn) has seen strong demand, with both projects nearing INR 10 bn in sales.
- Mumbai (MMR): Building brand equity through high-profile projects like Juhu, which included a single-tower sale of INR 7.11 bn to the AngelOne co-founder.
- NCR: The company is entering the market cautiously, given high pricing and an overheated market.
- Asset Strategy: Preference for outright land ownership over joint developments (JDs) to maximise margins and simplify partnerships.

Land Bank & Monetisation

- Nasik: A significant land parcel (roughly half the total acreage) is targeted for monetisation over the next 24-36 months, potentially as industrial plotted development.
- Sonar Road: The process has started to convert agricultural land to licensed land, with potential for sale at the right price.
- Other Assets: Scattered lands in the Raigad-Panvel region are viewed as long-term plays (Mumbai 3.0) and are not a current priority for capital deployment.

Risks & Blockers

- Approval Cycles: In Bangalore, the lack of GBA meetings following the change in government has created delays, though most current Embassy projects are outside GBA jurisdiction.
- Execution Lag: The "inflection point" for significant cash collections is tied to hitting slab cycles, which typically takes about 6 months after launch.
- Accounting Timeline: Revenue recognition for projects like Citadel will take several years (estimated 3-4 years for most, longer for Citadel) due to the nature of residential accounting.

Other Updates

- Blackstone Debt: Discussions are ongoing regarding the conversion of high-cost Blackstone debt into equity or inventory financing.

Emmforce Autotech Ltd

Outlook: The company is positioned for continued growth, supported by the ramp-up of its large US OEM contract, commencement of supplies under recently approved orders and a promising pipeline across the US, Europe and India. Management has retained its FY27 revenue guidance of INR 2 bn, with a potential INR 50-100 mn shortfall in agribusiness partly offset by automotive growth. FY28 growth will depend on converting the current OEM pipeline into confirmed orders, alongside the ramp-up of the axle shaft business following the proposed merger. Near-term profitability should remain primarily driven by automotive, while agribusiness recovery and hydraulic pump commercialisation remain key monitorables.

Revenue Growth & Guidance

- Management reiterated its FY27 revenue guidance of INR 2 bn, with performance expected to remain within a 5% variance, despite potential softness in agribusiness.
- The company remains on track to achieve its earlier revenue targets of INR 2.5 bn for FY28, supported by ramp-up of the US OEM contract, new customer additions and growth in the drivetrain business.
- The existing large US OEM contract is progressing smoothly, with supplies contributing ~INR 600 mn in FY27; additional capacity has been created to accommodate potential demand upside, although incremental volumes are not yet confirmed.

OEM Business & Order Pipeline

- The company is witnessing healthy traction across US, European and Indian OEMs, with several opportunities at advanced stages of discussion, including projects where pricing has been finalised.
- A new order worth ~INR 100 mn has received sample and PPAP approvals, with supplies expected to commence from October 2026; the same product is also being supplied to the customer's Indian arm.
- Management expects new customer additions to support FY28 growth, although the pipeline has not yet converted into confirmed orders and no quantified incremental revenue guidance has been provided.
- Recent European exhibitions generated encouraging customer interest, while discussions with Indian MNCs are reportedly in the final stages.

Product Strategy & Competitive Positioning

- Emmforce is focused on complex, niche drivetrain and driveshaft components, targeting products with higher engineering requirements and limited manufacturing capabilities among suppliers.
- The company invests ~2% of its profits in R&D, with an emphasis on developing differentiated products, improving manufacturing processes and addressing specific customer requirements.
- The company intends to prioritise the OEM business over aggressively expanding its performance racing segment, which continues to generate organic growth through its established aftermarket relationships.
- The company's drivetrain products are largely powertrain-agnostic and can cater to both ICE and EV platforms, as the transition to electric powertrains does not eliminate the requirement for several drivetrain components.

Agribusiness – Near-Term Challenges

- Agribusiness revenue may fall short of the earlier INR 300 mn FY27 target by INR 50-100 mn, primarily due to labour unrest at TAFE's plant disrupting peak-season sales and the loss of an expected private-label customer.
- TAFE has approved the company's blades, with supplies expected to increase as the customer consumes existing inventory; fresh purchase schedules have also been received.
- The company is shifting its strategy towards its own brand and other private-label opportunities, supported by improving distributor traction in Maharashtra and southern India.
- The agribusiness was expected to break even at ~INR 300 mn revenue, implying that lower-than-planned sales could delay profitability; however, the automotive business is expected to offset the near-term drag.

Hydraulic Pumps – Gradual Commercialisation

- The first shipment of hydraulic pumps is expected in October 2026, following several years of product development.
- Management is adopting a cautious commercialisation strategy, preferring to validate product performance across a broader customer base over 4-6 months before pursuing aggressive volumes.
- The company is not factoring significant revenue from hydraulic pumps into its near-term growth plans, given the need to establish product reliability and market acceptance.

Capacity Utilisation & Capex

- Capacity utilisation has improved from ~50% in the previous year to an estimated 70-75% currently, with plants operating at relatively high utilisation levels.
- Near-term capex will largely comprise maintenance and incremental equipment purchases to support existing orders and accommodate potential demand upside.
- Further capacity investments will be linked to confirmed new projects, with funding supported by an existing sanctioned bank term loan and internal cash flows.
- Solar installations at both plants are expected to become operational shortly, potentially supporting lower power costs over time.

Axle Shaft Business & Proposed Merger

- The group company, Ambrosia Automotive Ltd, which manufactures axle shafts and long shafts, is expected to merge with Emmforce Autotech over the next few months.
- The axle shaft business has gained traction over the past 6-8 months, with new business secured, PPAP approvals completed and production ramp-up expected to commence.
- The merger is intended to consolidate operations and improve transparency around inter-company transactions, as the company currently procures products from the group company for exports.
- Management expects the merger process to progress after the September 2026 financial results, when the relevant valuation exercise can be undertaken.

Working Capital & Customer Diversification

- Consolidated debtor days are expected to remain ~120-150 days, while standalone debtor days are expected to be capped at ~120 days; inventory days are also expected to decline.
- The new US OEM contract will increase customer concentration in the near term, although the company is targeting additional customers across Europe and India to diversify its revenue base by FY28.

Other Highlights

- Management remains focused on scaling its established automotive and drivetrain business rather than pursuing opportunities in defence and aerospace, despite favourable industry demand.
- Performance racing and aftermarket businesses provide diversification across end markets, while the company is prioritising OEM-led growth for the next phase of expansion.
- The company expects incremental capex to remain manageable, with major investments undertaken against specific customer programmes rather than speculative capacity expansion.

Energy Mission Machinery Ltd**Growth & Outlook**

- Management is targeting 18-20% revenue growth, with the growth expected to be supported by expansion into international markets, new applications and greater utilisation of the company's in-house manufacturing capabilities.
- The domestic market may not be sufficient to sustain the targeted 18-20% growth over the longer term, implying that international markets and newer applications will need to contribute increasingly to the company's growth trajectory.
- Management remains focused on the current growth opportunity rather than providing a quantified long-term 2030 roadmap, with no specific 2030 revenue or margin targets disclosed during the interaction.

Margins

- Margins have remained broadly stable at 15-16% over the last 3-4 years, and management expects them to remain at similar levels going forward.
- Maintaining the existing margin profile remains the near-term focus, with growth and operating execution likely to be the key drivers of earnings improvement.

International Expansion

- The company has established subsidiaries in the US and plans to expand into Canada, Mexico and other international markets, making overseas expansion an important component of the company's medium-term growth strategy.
- International scaling will require building adequate local service capabilities, particularly as machine-tool customers typically require installation, servicing and after-sales support, which can be challenging when initial volumes are low.
- The ability to scale the international business will be an important monitorable for sustaining the 18-20% overall growth target, particularly given the relatively meaningful position the company already has in its domestic market.

Manufacturing & Production

- The company has increased its in-house production capabilities, which management believes has helped improve production efficiency and reduce the manufacturing cycle.
- Production cycle time has reduced from around 4 months previously to approximately 2-3 months, following the establishment of in-house capacity and improvements in planning, tools and operational processes.
- The shorter production cycle has helped the company bring down inventory, providing an operational benefit beyond manufacturing efficiency through lower working-capital requirements.

Working Capital & Cash Flow

- Working capital had remained elevated over the previous 2-3 years, with increasing inventory absorbing a meaningful portion of EBITDA and consequently limiting EBITDA-to-operating-cash-flow conversion.
- The company reported an improvement in cash flow in the previous year following the reduction in inventory, with management attributing the improvement partly to faster production cycles and better working-capital management.
- Management expects cash-flow conversion to improve further as the company continues to focus on working-capital turnover and remains more cautious about incremental working-capital investment.

Product Mix & Applications

- The growth and profitability characteristics of forming machines depend significantly on the end application, rather than being structurally determined by the forming-machine category itself.
- The company is experimenting with new applications to expand its addressable market, which could provide an additional growth avenue beyond the existing product and customer base.
- The discussion highlighted the difference between forming and cutting machines, with cutting-machine players currently demonstrating higher growth and margins, although management indicated that application-specific economics need to be considered before drawing broader conclusions.

Entero Healthcare Solutions Ltd**Entero Healthcare Solutions Ltd**

Outlook: Management targets 23% revenue growth in FY27, with 20% medium-term organic growth. FY27 EBITDA margin is guided at 5%, while management targets 6.0-6.5% EBITDA margin by FY30, supported by organic growth, margin expansion and operating leverage.

Distribution Scale & Competitive Advantage

- Entero operates across a fragmented Indian pharma distribution market with 60,000+ distributors. The company carries 82,500+ SKUs versus 10,000-15,000 for a typical standalone distributor, enabling higher wallet share. Strong balance-sheet capacity also allows Entero to fund incremental working capital and gain market share as the industry grows.

MedTech

- MedTech is expected to contribute 15% of FY27 revenue, focused primarily on institutional IVD, cardiac implants, orthopaedic implants and hospital consumables. The Indian MedTech market is growing at 12-14%, while Entero aims to consistently outgrow the market. The segment generates double-digit gross margins and includes a reagent-rental model with typical 7+ year contracts and 3-5 year equipment payback.

Margin Expansion

- Gross margins remain at 11%+, with EBITDA margin guided at 5% for FY27 and targeted at 6.0-6.5% by FY30. Margin expansion is expected through gross-margin improvement and operating leverage, with manpower, warehouse rentals and logistics being the key operating costs.

Working Capital & Cash Conversion

- Working-capital days stood at 61 days in Q1FY27, with management targeting a sustainable range of 60-65 days. OCF conversion is guided at 50% of EBITDA for FY27 and is expected to remain around 45-50% at 20% growth, although faster growth could temporarily increase working-capital requirements.

Acquisition & Minority Interest

- Minority interest is guided at 25% for FY27. Subsidiaries retain 100% of profits for reinvestment, with no dividend outflow to minority shareholders. Entero has ROFR and contractual call options to acquire remaining stakes at predetermined valuation multiples, while promoter exits are managed through structured transition periods.

Capital Expenditure

- The business remains largely asset-light, with capex primarily limited to maintenance and selective investment in diagnostic equipment under the reagent-rental model. Quarterly interest expense is INR 200 mn in FY27, including interest related to past acquisition debt.

Regulatory & Industry Dynamics

- The Maharashtra FDA investigation relates primarily to hospital-level markups on medical devices, with management indicating no direct impact on Entero's distributor margins currently. Any future trade-margin regulations would be incorporated into the business model.

FY30 Vision

- At 20% revenue CAGR, management expects revenue to reach INR 140 bn by FY30, with EBITDA margin of 6.0-6.5%. Growth is expected to be driven by organic market-share gains, SKU expansion, MedTech penetration, wallet-share expansion and operating leverage.

Excelsoft Technologies Ltd

The company is expected to focus on scaling product revenue, expanding into new geographies, deepening wallet share with existing customers and leveraging AI across products and services. The company is also pursuing selective M&A to strengthen its LMS/LXP and workforce-skilling capabilities, while India remains a key growth market. Revenue is expected to remain H2-weighted, with FY27 revenue indicated at ~INR 3.5 bn, while margins are targeted to recover toward the 25-27% range as scale benefits and operating leverage improve.

AI Strategy

- Excelsoft has pursued AI for ~3 years, focusing on AI-assisted development, AI-enabled products and AI-native solutions.
- Selected AI-native products are currently being piloted with customers, with security and governance being key considerations.
- AI is expected to improve development speed, code quality, product stability and iteration time.
- Management expects margins to remain sustainable over the long term, supported by its education-domain expertise.

AI Monetisation

- Current customer discussions centre on AI-led product enhancements and workflow improvements.
- A larger opportunity lies in modernising legacy applications using AI combined with Excelsoft's domain expertise.
- Management sees greater potential in AI-led modernisation than simple AI add-on features.
- Services will initially remain focused on the education sector, covering both existing and new customers.

Product Scaling

- Product revenue can scale through higher wallet share from existing customers and new customer additions.
- Growth opportunities include higher examination volumes, new certification areas and migration from paper-based to online assessments.
- The company is targeting UK awarding organisations ranked 21-100, where lower customisation can enable shorter sales cycles.
- Existing relationships with 5 of the top 20 UK awarding organisations provide domain expertise for replication across smaller players.

Assessments-in-a-Box

- Assessments-in-a-Box was developed internally to enable secure examinations without internet connectivity.
- The solution has use cases with the Singapore Ministry of Education, including examinations in juvenile homes.
- Potential applications also exist in remote UK locations, including offshore/oil-rig environments.
- Management sees potential in India, with specific examination segments and business models still under evaluation.

M&A Strategy

- M&A will remain selective and capability-led, rather than focused purely on revenue addition.
- The company is pursuing an Indian LMS/LXP target, with financial and legal due diligence underway.
- The acquisition could strengthen India operations and add a mature product with corporate and pharma applications.
- 2-3 additional targets are being evaluated in workforce and skill development, though discussions remain preliminary.

LMS Opportunity

- LMS/LXP expansion could create a natural cross-sell opportunity for assessment solutions.
- Organisations adopting LMS solutions would subsequently require employee assessments, allowing Excelsoft to leverage its existing assessment capabilities.
- This could broaden its presence across corporate and B2B customers.

FY27 Outlook

- Historically, ~45% of revenue is generated in H1 and ~55% in H2, while EBITDA is more back-ended at ~36-37% in H1 and ~62-64% in H2.
- Q4 typically contributes ~30% of annual revenue due to fresh customer budgets and annual licence/payment cycles.
- Based on historical seasonality, management indicated FY27 revenue of ~INR 3.5 bn.
- The INR 10 bn long-term revenue aspiration remains undated, with no specific timeline provided.
- Management is targeting a return toward the historical 25-27% margin range.
- Near-term margins remain impacted by business seasonality and ongoing investments.
- Long-term margin sustainability is supported by domain expertise and increasing product/AI capabilities.

India Strategy

- India is a strategic growth market, with a focus on K-12, higher education and workforce/skill development.
- The company is evaluating opportunities with government examination agencies, although no specific timelines were provided.
- The planned Indian LMS/LXP acquisition is expected to strengthen the company's India strategy.

Diversified Engineering Platform

Fastwell Engineering, which commenced manufacturing in 2016, operates across forging and pipe fittings with end-markets spanning railways, defence, oil & gas, chemicals, fertilisers, pharmaceuticals, dairy and infrastructure. The company supplies directly to government entities including HAL, ISRO, BHEL, BEL, Mazagaon Dock and Goa Shipyard, while also servicing projects through turnkey contractors. FY24 revenue stood at ~INR 650 mn with EBITDA margins of 12-13% and PAT of >INR 50 mn.

Railway Division – Key Growth Engine

Fastwell entered the railway segment in March 2024 through its Boisar, Tarapur facility. The division manufactures both exterior components, including body shells, side walls, roofs and end walls, and interior products such as FRP side walls, ceilings, windows, seats and berths. Initial orders of INR 250-300 mn have been secured from MCF, RCF and ICF, with management targeting INR 400-500 mn of railway bookings by December.

RDSO Approval to Enable Scale-Up

The current period is being treated as a pilot phase, with the company working towards entering the RDSO-approved vendor ecosystem. Management expects this transition to materially increase order opportunities, targeting railway revenue of ~INR 2 bn in FY27 and INR 2.5-3 bn in FY28. The opportunity is supported by India's increasing coach production, including Vande Bharat, Amrit Bharat and AC MEMUs.

Expanding Railway Product Basket

Beyond conventional coach interiors and exteriors, Fastwell is developing electrical wiper assemblies for locomotives as a replacement for legacy pneumatic systems. The company is also working with Jindal Fiber and Bajaj Carpets to develop lightweight, fire-resistant alternatives to PU foam, potentially expanding its addressable railway component portfolio.

Strong Railway Industry Tailwinds

Indian Railways is targeting a significant increase in annual coach production, from ~10,000 to ~16,000 coaches. Additional opportunities include modular European-standard toilets, priced at ~INR 1.2-1.3 mn per unit, and refurbishment of ~17,000 locomotives. Fastwell is targeting these opportunities through products such as modular toilets, waterless urinals and FRP driver desks.

Gujarat Aluminium Forging Project

The company is developing a new aluminium forging facility at Umargam, Gujarat, with a total project cost of ~INR 370 mn, comprising INR 50 mn land, INR 30 mn construction, INR 180 mn machinery and INR 120 mn working capital. The facility will have 12,000 MT annual capacity and manufacture components ranging from 50 grams to 60 kg. The project is targeting Korean GIS equipment manufacturer Hyosung, which currently imports a significant proportion of its aluminium forgings from China.

Attractive Project Economics

Management expects the Gujarat plant to generate INR 2 bn revenue at 50% utilisation in Year 1 and potentially reach ~INR 5 bn at full capacity. EBITDA margins are guided at 18% in Year 1, 22-23% in Year 2 and up to 30% at 90% utilisation. The project also qualifies for Gujarat government incentives, including interest subsidy and SGST reimbursement, subject to applicable conditions.

Existing Forging Business Provides Base

The existing forging business has installed monthly capacity of 500 MT, currently operating at 250 MT. Full utilisation of the existing facility can support revenue of INR 1.5 bn. Oil & Gas contributes 30-40% of revenue, while Marine and Defence account for ~20%; exports contributed 5% in the previous year. New customer additions already contribute 40% of current revenue, supporting customer diversification.

Revenue & Earnings Guidance

Management expects the existing business to scale to ~INR 0.9-1 bn in FY25 and ~INR 1.2 bn subsequently. Including the railway opportunity, management is targeting overall revenue of ~INR 2.5-3 bn with absolute EBITDA/PAT of ~INR 150-200 mn in the indicated growth period. Railway scale-up and the Gujarat forging facility are expected to be the key contributors to the next phase of growth.

Working Capital & Funding

Railway receivables are largely released against R-notes after supply, with ~5% backed by bank guarantees, while PSU customers generally operate on 45-90 day terms. The working capital cycle stands at ~90-100 days. The company has an INR 150 mn cash-credit facility, of which INR 110-120 mn is currently utilised, at an average borrowing cost of ~10-11%. Management is also evaluating a private funding round around December-February.

Key Growth Drivers

The key growth levers are the transition to the RDSO vendor ecosystem, increasing railway coach production, expansion of the railway product portfolio, ramp-up of the Umargam aluminium forging plant and higher utilisation of existing forging capacity. The combination of railway, defence, oil & gas and export opportunities provides scope for greater end-market diversification.

Key Monitorables

Key monitorables include RDSO approval and conversion of pilot railway orders into bulk contracts, achievement of the targeted INR 2 bn railway opportunity in FY27, timely commissioning and customer qualification of the Gujarat facility, utilisation ramp-up and working-capital requirements. Execution against the company's aggressive revenue and margin guidance will remain critical as multiple expansion projects scale simultaneously.

Fineotex Chemical Ltd

Outlook: Fineotex Chemical is undergoing a structural transformation from a traditional textile and hygiene chemical producer into a fully integrated specialty chemical platform operating across four core pillars: Textile Chemicals, Hygiene & FMCG, Oil & Gas, and Water Treatment. To support long-term revenue diversification, management is shifting its portfolio revenue split from 35% Textile / 65% Oil & Gas & Specialty toward a long-term target of 70% Oil & Gas & Water Treatment and 30% Textile & Hygiene/FMCG. Sustainable chemistry already represents over 50% of the company's product portfolio.

Oil & Gas Vertical & CCTL Growth Trajectory

Growth in the Oil & Gas division is anchored by Crude Chem Technology (CCTL), operating in the Permian Basin (Texas), where ~65% of US crude production occurs. CCTL is on track to achieve its USD 200 mn revenue target by FY28 backed by strong volume demand from marquee clients including Baker Hughes, Halliburton, ExxonMobil, and Nalco. Operations are driven by continuous upstream/midstream production volumes rather than crude price volatility. Operational efficiency and financial discipline have driven CCTL's EBITDA margins up to 13-15% (from 8-9% at acquisition), with current capacity utilisation at ~65%.

Global Manufacturing Infrastructure & Fungibility

The company operates six manufacturing plants globally: three in India (two in Ambarnath and one in Mahape), two in the US (Midland and Brookshire, Texas) and one in Malaysia, with a total annual capacity of 260,000 tonnes. Manufacturing lines are 100% fungible across product categories (Textile, Hygiene, Water, Oil & Gas). Dedicated reactors run continuously for high-volume lines, while batch reactors experience minimal downtime (a few hours to 1-2 days) for cleanup, allowing operational utilisation targets of up to 90%.

Water Treatment & M&A Expansion

Fineotex is aggressively expanding its Water Treatment vertical across specialised subsegments including Data Centres, Semiconductors, Oil & Gas, Effluent Treatment Plants (ETP), and pure water. Texas serves as a primary hub for data centre water treatment, complemented by growing demand in India and Saudi Arabia. Management is actively evaluating acquisition targets to accelerate scale in the water treatment space.

Textile, Hygiene & FMCG Footprint

Fineotex holds a ~15% organised market share in domestic Indian textile chemistry, serving premier clients such as Trident, Reliance, Donear, Aditya Birla, and Raymond. In the Hygiene division, the company recently onboarded FMCG majors HUL and P&G, alongside expanding government contracts. On the health product front, its "AquaStrike" product is progressing through domestic, WHO, and local plant/regulatory approvals for tendering, with concrete updates expected in upcoming quarters.

Financial Performance & Margin Profile

On a consolidated level, international markets account for 77% of revenue and domestic markets 23%. Standalone figures reflect Plant 1 (Ambarnath) alone, as higher-volume 30,000-litre reactors operate under a subsidiary (Plant 2). While Textile and Hygiene verticals maintain >20% EBITDA margins, overall blended consolidated EBITDA margin guidance is conservatively pegged at 14-15% to absorb growth investments, client sampling costs, and market share acquisition. The quarterly working capital cycle stays normalised at 70-80 days.

Balance Sheet, Capital Structure & Governance

Fineotex maintains a pristine, low-leverage balance sheet with minimal debt limited to short-term LCs and working capital. Fineotex invested USD 14-15 mn in working capital into CCTL, with any future requirement capped at a maximum of USD 4-5 mn and zero major building capex required to reach the FY28 target. ICRA recently upgraded the company's credit rating to AA- (Stable). Shareholders have approved a blanket INR 8 bn limit for strategic M&A flexibility, though no active equity fundraise is currently planned.

Finkurve Financial Services Ltd**Strong AUM Growth Outlook & Ambitious Medium-Term Target**

- Finkurve Financial Services has scaled its AUM to ~INR 12.7 bn as of Q1FY27, strong growth from ~INR 5.42 bn in Q1FY26. Management is targeting 50-60% AUM growth in FY27, excluding the impact of gold price appreciation, and has set a longer-term goal of reaching AUM of ~INR 100 bn within the next 4-5 years. The company believes its transition to a middle-layer NBFC and increased access to capital and leverage provide sufficient capacity to support the targeted growth.

Gold Loans Remain the Core Growth Engine

- Gold loans now constitute around 96% of AUM, with an average ticket size of approximately INR 180,000 and average LTV of around 77%, providing a meaningful collateral cushion. Gold-loan yield is around 20%, while the portfolio has also grown on a tonnage basis, indicating that AUM growth is not solely driven by higher gold prices. Management intends to further increase the share of gold loans while maintaining a smaller contribution from higher-yielding personal loans.

Augmont Ecosystem & Technology to Drive Customer Acquisition

- Finkurve is leveraging its association with the Augmont ecosystem, which has a large retail customer base and extensive presence across the bullion value chain, to create future cross-selling and customer-acquisition opportunities. The company has developed an in-house LOS/LMS technology stack, while its branch-led model is supported by centralised underwriting, approvals and fund disbursement. Management intends to expand through a cluster-based branch strategy, with technology being used to control operating costs and improve execution efficiency.

Diversified Funding & Headroom for Balance Sheet Leverage

- The company has built a diversified funding base comprising around 30 lenders, including banks, PSUs, private banks, NBFCs and AIFs, while also accessing NCDs and co-lending arrangements. The current average cost of borrowing is around 11%, with approximately 38% of funding through gold-loan facilities, 50% through NCDs and 14% through working-capital facilities. With a leverage ratio of around 2.9x and net worth of ~INR 3.54 bn, management believes there remains further headroom to leverage the balance sheet and support AUM expansion.

Improving Profitability with Strong Asset Quality

- Q1FY27 PAT stood at around INR 85 mn, representing 65% YoY growth, while NPAs have remained below or around 1%, according to management. CRAR stood at approximately 26%, with ROE improving consistently and ROLA around 3%. The company is also targeting a reasonable increase in the share of co-lending, which management expects to help reduce the overall cost of funds, while maintaining its focus on centralised risk controls and asset quality as it scales.

Foods & Inns Ltd

Management expects the next phase of growth to be led by non-mango businesses, particularly frozen foods, spray-dried products, tomato, guava and other vegetables, while mango is expected to grow at ~5-7%. The company is targeting ~15% annual volume growth over the next three years and near-term EBITDA of INR 1.25-1.3 bn, although reported revenue and EBITDA margins will continue to vary with agricultural raw material prices and product mix. Frozen foods remain a key growth driver, with a target of INR 3 bn revenue over three years, while the new spray-drying facility, canned tomato expansion and pectin business should provide additional growth and higher-margin opportunities. Near-term shipment delays of INR 350-400 mn are expected to normalise over the next 2-3 months as freight rates and vessel availability improve.

Financial Performance

- FY26 EBITDA stood at INR 1.12 bn vs INR 1.3 bn in FY25.
- EBITDA was impacted by INR 80-100 mn of forex-related adjustment due to rupee depreciation.
- Management remains focused on volume growth and absolute EBITDA per MT, as agricultural raw material prices are largely outside its control.
- The company is targeting ~15% annual volume growth over the next three years.
- Management indicated near-term EBITDA potential of INR 1.25-1.3 bn, depending on product mix and shipment execution.
- Revenue growth remains difficult to guide as agricultural raw material prices can fluctuate significantly.

Segment Growth

- Overall volume growth target for FY27 is ~15-18%.
- Frozen foods have grown at ~30% over the last three years and are currently growing at ~27%.
- Frozen food revenue has increased from INR 200 mn a decade ago to INR 1.2 bn currently, with management targeting INR 3 bn over the next three years.
- Spray-dried products are expected to deliver ~18-20% volume growth in FY27 and carry relatively better EBITDA margins.
- Non-mango products such as tomato, guava, chilli, garlic and ginger are being scaled up, with chilli/garlic/ginger targeted to grow ~30-35%.
- Mango business growth is expected at ~5-7%.
- One of the largest mango customers, contributing >35% of domestic turnover, has increased its order book by ~12%.

Pectin Business

- The pectin plant under the Beyond Mango JV is fully commissioned and commercially operational.
- The company expects ~40% capacity utilisation in the current year due to limited availability of dried mango peel.
- Full capacity utilisation is expected from next year.
- The company has received strong export interest, including interest from a large Spanish customer for the company's entire annual capacity.
- Management expects pectin EBITDA margins of ~30-35%+, making it a high-margin opportunity.
- The company is targeting customers across beverages, jams and jellies rather than depending on a single customer.

Tetra ReCard

- Tetra ReCard has gained traction mainly in international markets after successful product testing.
- Products have demonstrated ~2-year shelf life, with ~95-97% of tested products maintaining flavour and quality.
- Mango pulp products are being placed under white-label arrangements in Germany, Finland and Russia.
- New customers have been added across multiple countries, including a recently signed European customer.
- Management expects capacity utilisation to reach full levels over the next ~2 years.
- Export markets are currently progressing faster than the domestic market.

Frozen Foods

- Frozen foods are operating at nearly full capacity throughout the year.
- Demand is growing in both domestic and export markets, including Saudi Arabia.
- A new capacity expansion is being developed to support the next phase of growth.
- The company has received approval under the National Horticulture Board scheme, with expected government support of INR 300-350 mn.

Tomato & Guava

- Canned tomato is seeing strong demand from the HoReCa and QSR segments.
- Expanded canned tomato capacity is expected to be available from around November-end.
- The guava order book is currently ~36% higher than last year.
- The company is diversifying guava sourcing beyond Maharashtra toward Uttar Pradesh and Rajasthan due to drought concerns in parts of Maharashtra.

Foods & Inns Ltd**Shipment & Export**

- Export shipments have been delayed due to vessel availability and elevated ocean freight.
- The overdue shipment backlog has increased to INR 350-400 mn from INR 180-200 mn at the end of June.
- Management clarified that the backlog represents delayed shipments and does not indicate inventory write-offs.
- Freight rates have recently declined by ~7-8%, with further moderation expected around November-December.
- The majority of export contracts are on an FOB basis, keeping the ocean-freight risk with the importer.
- Management expects the current shipment backlog to be cleared within ~2-3 months.

Kusum Spices / B2C

- Kusum Spices has historically remained a weak growth area since its acquisition in 2019.
- Management is now seeing a positive trend and expects >20% growth in FY27.
- A dedicated Chief Business Officer is expected to be appointed to drive branded products and Kusum.
- Merchant exports are performing reasonably well, while the company plans to strengthen its domestic B2C presence.
- Spice capacity utilisation is currently ~60%, providing room for growth without significant immediate capex.

Capacity & Capex

- Pulp capacity utilisation averages ~60-65%, depending on season and raw material availability.
- Mango processing facilities operate at full utilisation during the April-August season.
- Guava processing currently utilises only ~20% of available capacity due to limited fruit availability for processing.
- Tomato processing utilisation can reach ~75% during the operating season.
- Frozen-food capacity is fully utilised, necessitating expansion.
- Spray-drying capacity is currently at ~100% utilisation.
- A new spray-drying facility is expected to start around January and could add ~15% to spray-dried revenue.
- Apart from frozen-food and spray-drying expansion, management indicated no major additional capex plans currently.

Business Model

- The revenue mix is ~65% domestic and 35% exports.
- The company primarily follows a cost-plus model.
- Selling prices are fixed based on prevailing raw material prices during the procurement season.
- Contracts can run for ~12-15 months, while the base product price is generally fixed.
- Inventory carrying and cold-storage costs can be added depending on shipment requirements.
- FOB contracts protect the company from direct ocean-freight cost volatility.

Fractal Industries Ltd

Outlook: Management guides for an EBITDA margin of about 20% and a PAT margin of about 15% going forward. ROE has been temporarily diluted by the IPO capital and is targeted at 15-20% over the long term. Cash flow will be reinvested in inventory and warehousing until revenue reaches INR 3-4 bn, about 3-4x the current scale.

Financial Performance: Revenue grew from INR 499 mn in FY24 to INR 855 mn in FY25 and INR 898 mn in FY26 (+5.1% YoY). FY26 EBITDA rose 57.3% to INR 175 mn, and EBITDA margin expanded from 8.3% in FY24 to 13.1% in FY25 and 19.5% in FY26, helped by value engineering and better selling prices. FY26 PAT rose 71.6% to INR 129 mn, with PAT margin up from 4.6% in FY24 to 8.8% in FY25 and 14.4% in FY26.

Balance Sheet: Net worth increased from INR 82 mn in FY24 to INR 736 mn in FY26. Net debt-to-equity improved from 1.16x to 0.14x, supported by the IPO proceeds and internal accruals. FY26 operating cash flow was INR 41 mn.

Business Model Evolution: The company has moved through three models, each with higher margins than the last:

- Outright sale (since 2021): The company supplies e-commerce platforms on a wholesale basis, and the marketplace owns the inventory.
- Pure-play marketplace/licensed brands (since 2024-25): The company runs design, sourcing, production, inventory and fulfilment end-to-end under licensed marketplace brand names, paying royalties in exchange for higher operating margins.
- D2C own brand: The company recently launched "789", a premium proprietary brand focused on contemporary apparel and shackets. It is sold through brand-owned sites, social media and major e-commerce platforms.

Manufacturing & Warehousing: The company has 13 manufacturing units with a combined installed capacity of 1.44 mn units a year, built to US-equivalent quality standards. Seven warehouses run on WMS, which allows orders to ship from the nearest site and lowers logistics costs.

Closed-Loop Workflow: Operations follow a five-stage cycle: sense (marketplace demand), design (shorter design-to-shelf times), source and manufacture, store and fulfil, and learn (feeding returns and customer feedback into the next designs).

Returns Management: Return rates across the apparel industry range from 25% to 55%, the high end being fashion items. The company's return-handling framework limits the net value lost across the return cycle to just 0.5%.

Nested Brands Subsidiary: The company holds 55% of Nested Brands, which handles digital marketing, trading, distribution and brand promotion across apparel, perfumes and fabrics. The subsidiary is targeting FY27 revenue of INR 100 mn.

Channel Diversification: To reduce customer concentration, the company is onboarding Amazon, Ajio, Nykaa, Flipkart and Tata CLiQ, and is exploring B2B and B2C exports to the Middle East. It has no immediate plans for physical retail and remains 100% focused on online channels.

Industry Tailwinds: India's supply chain management market is projected to grow from USD 1,131 mn in 2025 to USD 2,757 mn by 2031, a 16% CAGR. The Indian apparel market is expected to grow from USD 88 bn to USD 117 bn by 2034, a 3.2% CAGR.

Long-Term Potential: The shift from wholesale to licensed brands and its own D2C brand is structurally lifting margins, and a deleveraged balance sheet supports the next phase of growth. Reaching the INR 3-4 bn revenue goal while holding margins of about 20% EBITDA and 15% PAT would mean a several-fold increase in earnings.

Gala Precision Engineering Ltd**Gala Precision Engineering Ltd**

Outlook: Management targets 20-25% revenue CAGR over the next 3-4 years while sustaining 17-19% EBITDA margins, with growth driven by existing customer wallet-share expansion, addition of global OEMs and new product introductions. Management remains focused on profitable growth, ROCE and working-capital discipline rather than pursuing unprofitable volume.

Fasteners

- Fasteners are expected to be the key growth driver, with FY26 revenue at INR 1,060 mn and management targeting 35-40% CAGR over the next 2-3 years. Chennai's hot-forging capabilities have expanded the addressable market from USD 1 bn to USD 2.5 bn, with a target of USD 5 bn over the next 3-5 years. The company is also developing specialised capabilities for M20+ high-tensile fasteners, including thread rolling and machining.

Capacity Expansion

- Gala's combined peak revenue capacity stands at INR 4.5-4.6 bn, comprising INR 3.25+ bn at Wada and INR 1.2 bn at Chennai. Current utilisation is 80-82% for disc springs/wedge-lock washers, 70-75% for Wada fasteners, 50% for Chennai fasteners and 60-70% for coil springs. Peak capacity utilisation is targeted around Q2-Q3FY28, with asset turnover expected at 2.5-2.75x.

Customer Qualification & Competitive Advantage

- New OEM customer onboarding typically takes 12-24 months, involving technical audits, plant visits, sample development, testing and customer validation. Following qualification, Gala typically receives 20-25% of the customer's business. Key competitive advantages include technical capability, process stability, stringent quality standards and long-standing customer relationships. Critical processes such as heat treatment and shot peening are 100% in-house, supporting consistent spring performance.

Renewable Energy & New Applications

- Renewable Energy contributes 35-38% of sales and remains a key growth driver, with management seeing strong demand from India and Europe despite a slowdown in the US post-FY25/26. Gala's wallet share with major renewable OEMs remains <10%, providing significant headroom. The company supplies fasteners and disc springs for wind, hydro, electrolyzers and gas turbines. Electrolyser commercial scaling is expected beyond FY30, following commercial orders secured after a pilot with L&T.

Industrial, Railways & Mobility

- Industrial, Renewable Energy and Railways are expected to drive growth over the next 2-3 years. Railway applications include wedge-lock washers, coil springs and specialised fasteners for high-speed trains, metros and private rolling-stock manufacturers. Automotive contributes 20% of revenue, with 65% of automotive sales linked to heavy commercial vehicles and tractors. Brake and seatbelt-retractor applications are largely ICE/EV agnostic, limiting near-term EV transition risk.

Exports & Revenue Visibility

- Exports contribute 36-38% of sales and management expects the mix to remain broadly stable. OEMs provide annual demand forecasts, while firm POs are generally received 12-16 weeks ahead of dispatch. Gala has firm visibility for one quarter of dispatches and broader demand visibility for one year. Export and domestic margin profiles are broadly similar, while INR depreciation supports export competitiveness.

Working Capital

- Working capital remains an important area of focus, with the overall cycle at 175 days, comprising inventory of 120 days, receivables of 90-94 days and payables of 20-30 days. Receivables have increased by 10-15 days due to longer export transit times and some customer collection delays. KPMG has been appointed for working-capital optimisation, with management targeting a 15-20% reduction over the next 9-12 months.

Capex & Expansion

- Chennai Phase 1 has been completed, while Phase 2 involves INR 150 mn of additional capex and is targeted for completion by March 2027. Minor line-balancing capex at Wada is also expected to be completed during the current fiscal year. Gala has signed an MOU for additional land at Wada, subject to legal due diligence. Remaining cash is earmarked for land acquisition and potential inorganic opportunities.

Automation & Inorganic Growth

- Gala has invested in automation, semi-automation and IoT for 6 years, with the objective of improving quality consistency, reducing manual dependency and increasing productivity. Inorganic opportunities will focus on precision engineering, complementary products, customer synergies and businesses with critical technical approvals. Aerospace and Defence remain potential mid-to-long-term opportunities rather than near-term priorities.

Gandhar Oil Refinery (India) Ltd

Outlook: Gandhar Oil expects its historical volume growth trajectory of 8-12% annually to continue in FY27. Management indicated that FY27 should be a reasonably good year, with internal revenue projections of ~INR 50 bn expected to be exceeded. The company also expects the current favourable business environment to support performance over the next 2-3 quarters, while FY28 performance could remain healthy if current market conditions persist.

Sustained Margin Expansion Driven by Value-Added Products

- Gandhar has seen a sharp improvement in gross margins, with the latest spread at around INR 28,000/KL versus approximately INR 8,000/KL earlier. Management attributed the improvement to increased contribution from value-added products and disciplined procurement of base oils at favourable prices. Importantly, management expects margins to remain above historical levels even if raw material prices and supply conditions normalise, although some moderation from current levels is possible.

PHPO Remains the Core Business with Diversified Product Portfolio

- PHPO (personal care, healthcare and performance oils) contributes ~54% of turnover and remains Gandhar's key focus area. Lubricants contribute around 23%, while performance and insulating oils contribute around 12%. Management highlighted that PHPO will continue to be the company's largest contributor, with the company maintaining a strong position in white oils and PHPO products.

Capacity Expansion & Manufacturing Flexibility

- The company has acquired additional land parcels at Panvel for future capex, while the next major capacity expansion is expected at Taloja. Management indicated a potential addition of 40,000-50,000 KL of capacity, with construction and commissioning expected to take around 6-8 months once the plan is finalised. Manufacturing processes are largely fungible across products, allowing Gandhar to redirect capacity toward products where demand is stronger, although dedicated equipment is maintained for white oils due to their pharma/FMCG applications.

Raw Material Sourcing & Global Expansion

- Base oil availability and pricing remain the key variables for Gandhar's profitability. The company has diversified sourcing across South Korea, Taiwan, the Middle East, Europe and the US, while historically maintaining around 35-40 days of raw material inventory. The Sharjah facility was established to strengthen the company's presence in the GCC and Africa and to benefit from proximity to major suppliers such as Saudi Aramco and ADNOC. Management expects Africa, particularly for PHPO products, to grow at around 10-12% annually in volume terms.

Ganesh Consumer Products Ltd**Business**

- Founded in 1936, Ganesh is the oldest and largest consumer staples brand in East India. It leads in wheat-based products and Sattu across East India and is among the top two in gram-based products.
- The portfolio covers 44 product categories and more than 250 SKUs. Whole wheat Atta is ~32-33% of sales, value-added flours (Suji, Maida, Besan, Sattu, Dalia) ~55-60%, and emerging products (spices, instant mixes, ethnic flours) the rest.
- Revenue comes from B2C (branded products, SKUs from 10 g to 10 kg) and B2B (sale of by-products and co-products). B2C is the focus and has grown at a ~12% CAGR over 4 years.
- West Bengal is ~92-93% of sales. Motilal Oswal PE invested INR 1,000 mn in 2016 (INR 600 mn primary, INR 400 mn secondary), and the stock listed in September 2025.
- FY26 revenue was ~INR 8.7 bn. Revenue grew at a ~12.5% CAGR and EBITDA at ~15% over 4 years. FY26 EBITDA margin was 9.8% and PAT margin ~4.8%.

Guidance

- EBITDA margin is guided at 10-11% on a conservative basis (Q1FY27: 11.2%).
- Management expects the demand slowdown to normalise in 1-2 quarters and is targeting double-digit revenue growth over 3-4 years.
- Revenue potential from existing capacity is INR 13-14 bn, targeted in 3-4 years. ROCE is 18-20% today at ~56-57% utilisation and could reach ~42-43% at full utilisation if margins hold.
- Priorities for the next 2-3 years: raising core-category utilisation from ~56-57% to 80-85%, increasing the share of sales outside West Bengal from ~7-8% to ~15%, entering new adjacent categories (ethnic snacks and packaged sweets), and raising spice margins to industry levels.

Growth Headwinds

- Emami entered in Q2FY26 with aggressive pricing, which hurt Q3FY26. Management says this has now eased and Nielsen shows market share improving.
- West Bengal policy change: the new government stopped giving wheat to local millers for ration Atta and now supplies wheat directly through ration shops. The displaced millers sell small unregistered packs of Atta and Maida at 15-20% below Ganesh. Management expects their limited working capital to constrain them as wheat inflates by 4-5% a year.
- Higher LPG prices cut Atta and Maida consumption, since rotis use more LPG than rice, and also hit HoReCa demand in Q1. Direct HoReCa billing is only ~1.5% of B2C.
- Sattu and Suji have grown over Q1-Q2, which management sees as green shoots.

Capacity and Capex

- Atta was at 70% utilisation before the Agra Atta section was commissioned in FY26. Suji runs at 55-60%, and spices are low because the category is new.
- Narrower UP-Bihar wheat price gaps under OMSS have made shipping from UP less viable. The company is shifting to small, low-capex Atta plants in Bihar and the Northeast (land acquired in Assam), with Atta as the carrier product and other products reprocessed locally. Commissioning will take ~2 years.
- A new Besan and Sattu plant in West Bengal, funded by INR 450 mn of IPO proceeds, will bring outsourced volumes in-house for better margin and consistent quality.
- A snacks and sweets plant is planned near Kolkata.

New Categories

- Spices were launched in 2024 and generated ~INR 380 mn revenue last year, growing ~20%. Margins are currently kept low to gain penetration and are being raised each year toward industry levels within a couple of years.
- Ethnic snacks were piloted through a contract manufacturer with decent feedback. Management does not plan to enter competitive snacks such as chips.
- Ethnic snacks and 2-3 packaged sweets are targeted for Q3/Q4FY27. They carry higher ASPs.
- Value-added products command a 35-40% premium to unorganised players.

Distribution and Channels

- The network has more than 30 C&F agents, more than 1,000 distributors, ~0.30-0.35 mn retailers (Nielsen) and more than 1 mn consumer touchpoints.
- E-commerce is ~14% of B2C sales and brick-and-mortar modern trade ~7.3%.
- Products reach Kolkata within ~15 days of manufacture and other districts in 20-25 days.
- Sales outside West Bengal are growing ~15-20% on a small base. Distribution in Bihar, Jharkhand, Odisha and the Northeast is being expanded without waiting for the new plants.
- C&F stock is visible in SAP, while distributor stock is tracked manually. A DMS rollout across distributors is underway.

Working Capital and Balance Sheet

- Working capital is ~24-25 days with receivables of 3-4 days (March 2026), because all B2C sales are cash-and-carry.
- Wheat and gram are bought through more than 70 brokers in UP, Bihar and Rajasthan, with payment made only after quality checks at the factory.
- The company is debt-free. IPO proceeds were INR 1,300 mn: INR 600 mn for working capital loan repayment, INR 450 mn for the Besan and Sattu plant, and INR 250 mn for general corporate purposes.

Capital allocation

- The dividend payout has been ~45–50% historically, and the policy range is 35–50%.
- No buyback is planned for now, though management did not rule one out. It is exploring inorganic opportunities.
- Management considers the stock very attractive, and promoters are buying from the open market.

Market opportunity

- Pan-India TAM for wheat and gram products is ~INR 2,000 Bn. East India is ~15–17% of it, and only ~14–15% is organised, implying an organised East India TAM of ~INR 43,000–50,000 Mn.
- Unorganised-to-organised conversion has run at ~12% and is expected to reach 14–15% (Technopak).

Capital Allocation

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- No buyback is planned for now, though management did not rule one out. It is exploring inorganic opportunities.
- Management considers the stock very attractive, and promoters are buying from the open market.

Market Opportunity

- The pan-India TAM for wheat and gram products is ~INR 2,000 bn. East India accounts for ~15-17% of it, and only ~14-15% is organised, implying an organised East India TAM of ~INR 43-50 bn.
- Unorganised-to-organised conversion has run at ~12% and is expected to reach 14-15% (Technopak).

Other

- Hyderabad plant: the board has approved exploring a sale. It was commissioned in FY16 as a gateway to South India, but demonetisation, GST and COVID shifted focus to the East. It has recently done only job work (~INR 120-130 mn revenue) for an FMCG client who is exiting, so the revenue impact is immaterial.
- Brand clarification: the FSSAI and adulterated paneer news concerned Ganesh Sherbat, a separate business of promoter relatives with no transactions with GCPL. GCPL holds the Ganesh trademark for staples, and NDTV removed its wrong use of GCPL's product and apologised.

Ganesh Infraworld Ltd**Business**

Ganesh Infraworld is a Kolkata-based infrastructure contractor working in 8 states. It started as a partnership in 2017 and became a public company in June 2024.

It works in water infrastructure, civil and electrical infrastructure (buildings, roads, railways) and civic utilities. Mining is done through Tycoon Mines, a 60% subsidiary; the other 40% is held by Tycoon's previous promoters.

FY26 consolidated revenue grew ~55% to INR 8,350 mn, EBITDA more than doubled to ~INR 1,050 mn and PAT rose ~90% to ~INR 760 mn.

Q4 was the seventh straight quarter of sequential revenue growth, with revenue of ~INR 2,290 mn and PAT of ~INR 250 mn.

Q1FY27 PAT was ~INR 300 mn (+103%). Standalone revenue was ~INR 2,000 mn and consolidated ~INR 3,700-3,800 mn.

Total assets rose to ~INR 11.5 bn from INR 2.65 bn.

Guidance

FY27 standalone revenue is guided at ~INR 9-10 bn, with a PAT margin of ~8.5-9%. Consolidated revenue is guided at ~INR 18-20 bn, with a PAT margin of ~8%.

Management expects quarter-on-quarter growth to continue and targets an order book of more than 3x revenue.

Direct orders, rather than subcontracts, should be 70%+ of the order book within 3 years.

Order Book and Bids

The consolidated order book is ~INR 45 bn (INR 43 bn in March). Mining accounts for ~INR 30 bn, all confirmed, for Coal India and Mahanadi Coalfields, to be executed over 2-3 years.

The standalone order book is ~INR 15 bn: water ~INR 4.5 bn, civil infrastructure ~INR 8-9 bn and civic utilities ~INR 1-2 bn.

New wins include an ~INR 4.5 bn mining order from Central Coalfields over five years and an ~INR 1 bn rail EPC subcontract (Vikramshila-Katareah) won by Tycoon.

The bid book is ~INR 90 bn: ~INR 40 bn in the subsidiary, with ~50% expected to convert, and ~INR 50 bn standalone, with ~25-30% expected to convert.

In water, the company is bidding mainly under AMRUT, Namami Gange and irrigation schemes, and is cautious on Jal Jeevan Mission. It says it has no pending Jal Jeevan receivables.

Mining (Tycoon Mines)

Mining EBITDA margin is ~12-13%. Tycoon has a gross block of more than INR 4 bn, so no further capex is needed.

Work is end-to-end, from removing overburden to coal extraction. Bills are raised monthly and paid within ~20 days, with 5% retention.

Coal India has absorbed fuel cost increases, so there has been no margin hit, only a cash flow effect.

The largest contract (Kandoi, at the Nigahi mine) runs 7 years, with 3 elapsed. It bills ~INR 450 mn a month, peaking at ~INR 520-530 mn, and management sees a high chance of renewal.

Balance Sheet

Standalone debt is ~INR 1.6 bn (INR 1.2 bn fund-based and INR 400 mn non-fund-based) against net worth of ~INR 2.5 bn. Subsidiary debt is ~INR 2.6 bn against ~INR 2.5 bn of net worth, so debt-to-equity is ~1x in both.

The reported 1.22x debt-to-equity is distorted because the subsidiary's P&L was consolidated for only one day in FY26 while its full balance sheet was included.

The subsidiary repays ~INR 100 mn a month in loan instalments, which should reduce finance costs. Warrants worth ~INR 510 mn are being issued, and no other large fundraise is expected.

Receivable days are ~60-70 for mining, ~70-90 for water and ~80-90 for civil, or ~85-90 days consolidated. Operating cash flow was negative and is expected to turn positive by year-end.

The top 5 customers are ~70% of revenue: J&K water department, WAPCOS, Welspun Enterprises, Apar Industries and BUIDCO (Bihar urban development). Concentration follows a few large orders rather than many clients.

GEE Ltd

Outlook: Management targets FY27 revenue of INR 5-5.5 bn, a 35-49% jump from ~INR 3.7 bn in FY26, and INR 10 bn by FY30. EBITDA margin is guided at 9-9.5% in FY27, 10%+ in FY28 and 13%+ over the long term. ROCE and ROE, currently compressed, are targeted to reach 18-20% as margins expand.

Recent Performance: Revenue has historically ranged between INR 3.3 bn and INR 3.8 bn. EBITDA margin is currently 8-9%, with Q1FY27 at 7.8%. H2 is seasonally stronger because the monsoon disrupts construction activity in Q1 and Q2. Steel price increases are passed on to customers routinely, every 15-20 days or monthly.

Specialty Product Shift: Specialty products contribute 20-27% of revenue, and management aims to raise this to 40-45% by FY28. Commodity welding consumables earn 7-8% margins, while specialty and niche products earn blended margins of 15-20%. Specialty electrode prices range from INR 1,000-1,200/kg up to INR 2,500-4,000/kg.

Nuclear Opportunity: The company was among the first to be empanelled by NPCIL. The government's nuclear expansion outlay is estimated at INR 14 trn over 10-15 years, as capacity grows from 8.8 GW to 24 GW by 2031. At about 2% of project cost, the market for welding consumables is INR 280-300 bn. Assuming a conservative 20% share, the company expects INR 50-60 bn of cumulative revenue over 10 years. Trial orders are under way, and commercial revenue recognition starts in FY28.

Domestic Market & Share Gains: India's welding consumables market is worth INR 120-130 bn and is growing at a 6-8% CAGR. Unorganised players hold 50-55% and organised players 40-45%, or about INR 50-60 bn. The company aims to double its market share from 6-7% to about 12% in 3-4 years, helped by a structural shift toward organised, quality-compliant suppliers.

Thane Land Monetisation: A commercial joint development agreement on the company's land in Thane will generate INR 4 bn of revenue over five years, and the proceeds will go straight onto the balance sheet. Machinery relocation will be complete by October 2026, and the commercial IT park project launches in FY27.

Portfolio Expansion: The company is adding flux-cored wire and submerged arc (SAW) fluxes to complete its consumables portfolio. Equipment shipments from China were delayed by 1-2 months because of visa issues, but they are progressing.

Welding Equipment Entry: The company currently trades welding equipment on a small scale. It plans to enter equipment manufacturing in FY28/FY29, probably through acquisitions, where margins are 12-14%.

Exports: Exports account for more than 10% of sales, across the Middle East, Eastern Europe and Southeast Asia. They earn higher margins, and the company's stainless steel products are priced competitively against Chinese supply.

Promoter Pledge: About 46% of promoter shares are pledged against an INR 400 mn personal loan. Management plans to release the pledge gradually over the next 3-4 years.

Working Capital: Working capital days have stretched because the company built strategic raw material buffers during recent geopolitical uncertainty. Inventory days should return to normal by end-FY27 without any increase in credit limits.

Long-Term Potential: The specialty mix shift, a nuclear opportunity worth INR 50-60 bn over a decade and organised-market share gains support the path to INR 10 bn of revenue by FY30 at margins of 13%+. The INR 4 bn from the Thane land monetisation strengthens the balance sheet further.

Genex AI Analytics Ltd

Outlook: Genex AI is pursuing a combination of organic and inorganic growth, with acquisitions over the last 18-20 months expanding its business segments and geographic presence. Management is targeting 25-30% overall growth, while AI-as-a-Service is expected to grow faster at 40-50%, supported by rising demand for AI implementation and the company's expanding enterprise customer base. Margin dilution from recent acquisitions is expected to moderate as the acquired businesses are integrated and resource efficiency improves.

Growth Strategy & Acquisitions

- Management is pursuing a 65-70% organic and 30% inorganic growth mix, with acquisitions over the last 18-20 months adding new business segments and geographic presence.
- The company expects to continue using both organic and inorganic levers, while improving the efficiency and ROI of the acquired businesses through resource optimisation and strategic inputs.
- Future acquisitions could be funded through a combination of internal accruals and fundraising, while IPO proceeds are being allocated towards product development, general corporate purposes and working capital.
- Management expects the benefits of optimisation and integration to become more visible over the next 1-2 years.

Revenue Mix & Growth Outlook

- EPM/software solutions remain the core business, contributing around 60% of revenue, followed by implementation & managed services at 15-20%, other technology/data-centre services at ~20%, and the newer AI-related business at ~5% of the previous year's revenue.
- Management is targeting an overall 25-30% CAGR, while AI-as-a-Service is expected to grow at 40-50%, supported by increasing adoption and the Meta engagement.
- The company currently generates around 15% of revenue from AI-related activities and aims to increase the contribution to 25-30% over the next couple of years.

Margin Profile & Operating Leverage

- Margin dilution following acquisitions has been attributed to the lower-margin profile of the acquired businesses compared with the standalone business.
- EPM services generate 25-30% margins in India, while the company's export portfolio can generate margins of around 50-60%. Data-centre and technical-resourcing businesses currently operate at approximately 15-20% margins.
- The software/technology solutions segment carries margins of around 35-40%, while other segments generally operate within the 15-25% range.
- Management is working with the founders of acquired businesses to improve resource utilisation and ROI, which should support margin improvement as integration progresses.

AI-as-a-Service & Key Projects

- The company is working with Meta as an AI-as-a-Service customer, training linguistic models for local languages and use cases across markets such as India, Japan and the Philippines.
- A PSU project involves an AI-enabled unified ticketing system for 6,000-7,000 buses, including route optimisation, demand assessment and intelligence around bus deployment. The project is expected to run for five years, with potential for extension.
- Management highlighted faster ROI, agility and lower total cost of ownership as key differentiators, supported by experience across 300+ customers and its ability to optimise AI/token consumption.
- The company is also developing customised AI layers and leveraging its Agentic AI Cloud Platform for enterprises that require AI solutions over existing technology stacks.

Defence Opportunity

- Genex AI is working with Short Orbit Defence, an AI-driven hardware and software company focused on anti-drone and defence applications. One of Genex AI's internally developed LLMs is being integrated into its defence product.
- Management indicated that Short Orbit has received an order of around INR 45 mn, of which approximately INR 9 mn has been received by Genex AI. Management expects similar products/services to contribute around 10-20% of Short Orbit's corresponding order value on a recurring basis, subject to further orders.
- The company is also evaluating a co-development model with Short Orbit, which could create additional revenue opportunities.

Customer Acquisition & Workforce Efficiency

- Sales and customer acquisition costs are around 8-10%, broadly in line with industry levels. Existing EPM customers typically have a shorter 2-3 month sales cycle, while greenfield opportunities can take around 5-6 months plus another 1-1.5 months for closure.
- Genex AI currently has around 400 employees across the group. Management is targeting higher productivity through AI-led optimisation rather than increasing headcount in line with revenue growth.
- Management indicated that around 10% efficiency gains have already been achieved in certain areas, with a longer-term objective of delivering the equivalent work of five employees through ~3-3.5 FTEs where AI-enabled efficiencies allow.

Genus Power Infrastructures Ltd

Genus Power's outlook is anchored on a visible electricity smart meter pipeline of ~36.1 mn awarded meters (expandable to ~40-42.5 mn via the 30% incremental provision), with ~10 mn meters targeted for installation in FY27 and all AMISP projects now revenue generating, which should drive receivable reduction and operational cash flow positivity by end-FY27 or Q1FY28. Gas metering is the next growth engine, expected to scale ~8-10x in FY27 with ~INR 350 mn already won in Q1 and a ~INR 350-360 bn industry opportunity over 5-6 years, while water metering could emerge as an even larger segment in 3-4 years. Margins are guided at ~18% EBITDA despite currency and crude-linked cost pressures, supported by prudent pricing, in-house moulding, and deep supplier relationships. Management remains disciplined on pricing, prioritising bottom-line over top-line amid aggressive competitive bidding, and with a strong AA- credit profile and self-liquidating working capital, Genus is well-positioned to convert its large order book into sustainable, cash-generating growth.

Business Overview and Strategic Positioning

Genus Power Infrastructures operates across electricity, water, and gas metering, with electricity being the most advanced segment in India and globally. The company has been awarded ~36.1 mn smart meters under RDSS/AMISP tenders, with ~15 mn installed as of 30 June and ~21 mn pending. Contracts include a provision for up to 30% incremental meters at the same price, implying the order book could expand to ~40-42.5 mn meters. Management consciously prioritises bottom-line over top-line and is willing to sit out aggressively priced tenders.

Electricity Smart Meter Rollout and Run-Rate

Q1FY27 installation stood at ~2.3 mn meters, translating to ~30,000 meters/day, though monsoon slowed the pace. Production in Q1 was ~4 mn meters, against annual capacity of 18+ mn, with the flexibility to ramp up or down without significant capex. The FY27 installation target is ~10 mn meters, and the company believes it is on track. All AMISP projects have achieved Operation Go Live status and are revenue generating. Industry-wide installation is running at ~3-3.5 mn meters/month, expected to rise from next financial year. Uttar Pradesh is moving slowly until the elections, but there has been no order cancellation. West Bengal (~10 mn meters), Haryana (~5-6 mn), and Tamil Nadu (~5 mn) are key upcoming opportunities; Telangana is still in process.

Gas and Water Meter Opportunity

Gas metering is opening up with the government mandating CGDs to convert domestic connections to PNG with smart gas meters. This year tenders of ~4.5-5 mn meters (primarily non-smart) are expected, with smart gas meter specifications likely finalised by end-FY27 and large-scale tenders from FY28. Industry opportunity is ~INR 350-360 bn over 5-6 years; Genus targets ~20-25% share. Gas revenue is expected to be ~8-10x last year's ~INR 120-130 mn, with ~INR 350 mn already won in Q1FY27. Water metering is nascent but could become larger than electricity over 3-4 years, with global financing interest emerging.

Order Book and Revenue Visibility

The order book as of 30 June stood at ~INR 240 bn, primarily from own AMISP projects. With the 30% incremental provision, the effective book could rise to ~40-42.5 mn meters. Management expects this to be a revenue-generating, not decorative, order book. O&M revenue baseline of ~INR 8-9 bn annually is expected once the installed base stabilises, growing with new service connections.

Margins and Raw Material Outlook

EBITDA margin guidance of ~18% (reduced from ~20%) is maintained despite currency depreciation, higher crude-linked transportation costs, and geopolitical volatility. Key raw materials include chips, relays, batteries, PCBs, and in-house moulding (new facility near Kotputli, Rajasthan). Deep supplier relationships and end-to-end manufacturing give confidence on margin sustainability. Capex is modest; depreciation is ~INR 500-550 mn, with only ~INR 500-700 mn of annual capex expected going forward.

Working Capital and Cash Flow

Negative operating cash flow (~INR 5 bn in FY26) is due to three self-liquidating components: inventory (~INR 13.5 bn, peaked as meters were built ahead of revenue conversion), receivables (~INR 14.85-15 bn, due to installation outpacing billing), and contract assets (~INR 8.7 bn, awaiting SAT certification). All projects are now revenue generating, SAT tests are catching up (Q1FY27 SAT exceeded installations), and the company expects to be operationally cash flow positive by end-FY27 or Q1FY28. Receivables are expected to decline significantly over the next 6-7 months. Genus is rated AA- (Stable) by CRISIL, and AMISP projects are rated AA- by ICRA, enabling low-cost debt.

Competitive Intensity and Pricing Discipline

A recent Kerala tender saw L1 pricing ~50% below Genus's quote, with newer players aggressively bidding. Management views this as unsustainable given 10-year warranty and 12-13 year product life requirements, plus long-term O&M obligations. DISCOMs have previously suffered service quality issues from L1-driven low pricing and have since become more cautious. Genus is comfortable waiting for right-priced opportunities, with gas and water providing large future growth avenues. Domestic sourcing is already high (Category 1 supplier), with willingness to increase local procurement including displays.

GK Energy Ltd

GK Energy is a decentralised renewable energy company built around solar water pumps (PM Kusum), now extending into solar rooftop and, most recently, utility-scale BESS. Q1FY27 revenue grew ~71% YoY to ~INR 5.05 bn on 109 MW of decentralised capacity (~24,000 systems) installed in the quarter. The order book stood at ~INR 5.5 bn as of 30 June 2026; post-Q1, the company has secured a further ~INR 4.5 bn of rooftop orders, taking the cumulative order book to over ~INR 10 bn, against which management sees ~INR 15 bn of FY27 revenue visibility. Management reiterated its double-digit PAT margin guidance (not EBITDA or gross margin), with pump and rooftop carrying broadly similar margins (within ~1%). Growth drivers include the T6/T7 pump tenders (~100,000 pumps each, ~INR 45 bn combined value, of which GK expects a ~14-15% share) and PM Kusum 2.0, expected to be floated in Q3FY27. The company remains asset-light (contract manufacturing, no backward integration) and recently entered BESS with a 150 MW/300 MWh utility-scale order win. Key monitorables are PM Kusum 2.0 tender timing and pricing, order-book conversion into revenue in H2FY27, geographic diversification beyond Maharashtra, receivables/cash-conversion trends, and the BESS manufacturing decision.

Business Model & Positioning

- GK Energy was incorporated in 2008, initially as a product-trading and consultancy business, including work on product-testing guidelines that later became BIS standards.
- The company began solar pump implementation in 2014-15, followed by solar rooftop and other energy products, with major pump volumes starting in 2018-19 as government adoption picked up.
- Under Maharashtra's Atal Scheme, GK installed over 1,200 of the ~8,000 pumps deployed, and was subsequently a vendor under the state's Mukhyamantri Saur Krishi Pump Yojana.
- Following the Central Government's PM Kusum scheme from 2019, GK became the largest implementer in Maharashtra and is now the second-largest implementer nationally under PM Kusum.
- The company's USP is decentralised, megawatt-scale-equivalent implementation delivered through thousands of individual systems; Q1FY27 saw 109 MW installed across ~24,000 systems.
- GK recently entered battery energy storage systems (BESS) as a natural extension of its decentralised renewable energy model, securing a 150 MW/300 MWh utility-scale order.

Order Book & Revenue Guidance

- Q1FY27 (quarter ended June 2026) revenue grew ~71% YoY to ~INR 5.05 bn, with the order book at ~INR 5.41-5.5 bn as of 30 June.
- Since then, the company has secured ~INR 4.5 bn of further rooftop orders, taking the combined outstanding order book to over ~INR 10 bn.
- Management sees ~INR 15 bn of FY27 revenue visibility based on the current order book, noting that H1 has historically contributed only ~30-40% of full-year revenue, with the balance weighted to H2.
- When pressed on an earlier stated ambition to double turnover to ~INR 30 bn in FY27, management did not explicitly reconfirm the figure, instead pointing to this H1/H2 seasonality and citing continuous order inflow.
- As of the same period last year (September 2025), the order book stood at ~INR 6-6.5 bn, indicating a year-on-year improvement in booked orders.

Solar Pump Business – Realisations & Tenders

- Average pump realisation is currently ~INR 0.2 mn, having declined with scale as procurement and manufacturing costs have come down; management said margins have been maintained despite the lower realisation.
- Underlying demand remains strong from both government and farmer/beneficiary perspectives, given the scheme's subsidy-linked economics.
- The T6 and T7 tenders (~100,000 pumps each, ~INR 45 bn combined value) are in the pipeline: T6 has already been bid, with an order expected shortly, while T7's tender has been floated and bidding is in process.

- Based on past trends, management expects to win ~14-15% of the T6/T7 volumes, implying ~30,000 pumps.
- Scheme implementation timelines have been reduced from 120 days to 60 days from NTP issuance, with LOA typically following 90-120 days after tender close, giving GK roughly 3-4 months of forward revenue visibility per tender cycle.

Solar Rooftop & Segment Mix

- Rooftop currently contributes an estimated 25-30% of revenue, with the balance from pumps; management expects rooftop's revenue share to keep rising, moving toward a roughly 40:60 to 50:50 mix with pumps by FY30/31.
- Rooftop and pump businesses carry broadly similar (blended) margins, within ~1% of each other, and are viewed as a natural extension of one another.
- A recently announced Smart Rooftop order for 100,000 systems, valued at ~INR 4.5 bn, is currently under implementation.

PM Kusum 2.0 & Tender Pipeline

- PM Kusum 2.0 is expected to be floated in Q3FY27 (management has consistently guided to Q3 since its March con-call); pricing under the new scheme will depend on the specifications ultimately notified.
- Management expects competitive intensity under PM Kusum 2.0 to be broadly similar to the recent Maharashtra (Magel Tyala) tenders, with largely the same set of players.
- Every state has submitted its implementation intent for PM Kusum 2.0, with empanelment to follow once volumes are finalised; management expects industry-level tender volumes of up to ~700,000 pumps to be announced under the scheme.

Geographic Diversification

- Maharashtra has historically accounted for ~60-65% of GK's pan-India implementation; management expects this concentration to reduce as PM Kusum 2.0 rolls out implementation in other states.
- Madhya Pradesh has already delivered 2,000+ pump orders for the company; Rajasthan and Uttar Pradesh are also flagged as key focus markets given large addressable demand from marginal landholders (MP alone targets ~3 mn pump installations).
- Haryana is viewed as a smaller opportunity given its size and existing coverage; Maharashtra, MP, Rajasthan and UP are expected to remain the four largest markets going forward.

BESS – New Growth Vertical

- The 150 MW/300 MWh BESS order (utility scale) was announced only once secured, consistent with management's stated preference to announce results rather than intentions.
- Management has not disclosed a decision on setting up in-house BESS manufacturing versus remaining EPC-focused; internal discussions are ongoing, with any confirmed outcome to be disclosed via exchange filings.

Margins & Business Model

- Guidance is consistently framed around a double-digit PAT margin rather than EBITDA or gross margin.
- The company is asset-light: it owns its manufacturing network but relies on contract manufacturing rather than in-house production, and has not announced any backward integration plans.
- The business model is B2C in nature: the farmer selects the vendor and contributes their share upfront to the state implementing agency, while GK receives 100% of its payment from the agency rather than from the farmer directly.

Working Capital & Receivables

- Receivable days are targeted at ~140-150 days on an annualised basis (as of March), broadly in line with the company's cash conversion cycle of ~3-4 months, which management described as consistent with industry practice.
- Management indicated ongoing efforts to improve working capital but no material near-term change to the cash conversion cycle.

Balance Sheet & Funding

- There are no immediate plans for equity dilution post-IPO; near-term funding requirements, if any, are expected to be met through debt.
- Management would consider raising additional equity only if longer-term funding needs warrant it.

Other Items

- The company is also executing a small, continuous flow of private-sector orders (particularly in rooftop) that are typically not individually announced given their scale.
- Revenue and receivables remain concentrated among a limited number of government nodal/implementing agencies, though management notes this reflects the scheme-driven, subsidy-linked nature of the business rather than customer-specific risk.

Globus Spirits Ltd**Strong Consumer-Led Growth & Improving Earnings Mix**

- Globus Spirits is targeting a structural shift in its business mix, with consumer revenue expected to increase from ~40% currently to 50% by FY29, supported by growth in IMFL and country liquor. The consumer segment is already contributing a disproportionately higher share of EBITDA, while the company expects the increasing contribution from higher-margin consumer products to improve the overall earnings profile and operating leverage.

UP Emerging as a Key Growth Driver

- The newly established UP business is scaling rapidly, with country liquor volumes increasing to ~210,000-215,000 cases per month from around 10,000 cases at launch. Management has set an FY29 ambition of reaching 5 mn cases or more annually in UP, supported by 28 company depots covering around 75% of the addressable market. UP is expected to become an increasingly important contributor to consumer growth, with its share of IMFL revenue already reaching ~15%.

IMFL Expansion with Significant Margin Upside

- The IMFL business is progressing towards breakeven in FY27-FY28, after which management expects meaningful margin improvement as the business scales and premiumisation increases. The company is targeting IMFL revenue of INR 4.5-5 bn by FY29, with EBITDA margin potentially reaching 13-14%, while current gross margins are already at ~46-48%. Management is expanding selectively across states through market research, consumer preference testing and targeted brand investments rather than pursuing broad-based expansion.

Integrated Manufacturing Supports Bulk Business Economics

- Globus operates around 334 mn litres of installed distillation capacity across six plants, with flexible facilities capable of producing both ethanol and ENA using multiple feedstocks including rice, maize and molasses. Bulk EBITDA is expected to remain within INR 5-6.5 per litre on an annualised basis, although quarterly margins remain seasonal due to raw material availability and ethanol allocation. Management expects consumer growth to gradually increase captive consumption of ENA/alcohol and reduce dependence on bulk sales, improving the overall profitability mix.

Deleveraging & Capital Allocation to Support Consumer Expansion

- The company has already utilised the INR 2 bn raised through the QIP, including repayment of INR 1.55 bn of long-term debt, which is expected to generate interest savings of around INR 60 mn for the balance of the year and ~INR 120 mn annually. The remaining INR 450 mn is earmarked for the consumer business, including brand development and expansion into new states. Management expects debt reduction, higher consumer contribution and improving IMFL profitability to provide further support to cash generation and returns.

Glottis Ltd

Outlook: Glottis is targeting around 30% revenue growth in FY27 and expects to maintain a similar growth trajectory over the next 2-3 years, supported by expansion across India, Malaysia, project cargo and new verticals such as chemicals, pharma and automobiles. Renewable-related logistics should remain a key growth driver over the next 2-3 years, while the planned 1,000-container addition and fleet expansion should improve customer retention and margins. Management expects margins to recover to FY25 levels during FY27, with container deployment potentially adding 2-3 percentage points to margins. Near-term challenges remain elevated freight volatility, container availability and geopolitical disruptions, particularly through Q3FY27.

Business & Customer Base

- Glottis is a multimodal transport operator, with core operations across ocean freight, air freight and local transportation.
- The company has diversified into minerals, timber, agro, home appliances and engineering products, and is expanding into automobiles and defence.
- Customer base increased from 1,500 to 2,071 in FY26, adding 163+ customers during the year.
- Around 70-75% of customers are long-term/sticky, while spot customers provide opportunities for better margins.

Revenue Growth

- Management indicated that FY27 revenue is expected to be around INR 9.5 bn, implying roughly 30% growth.
- Management is targeting around 30% CAGR over the next 2-3 years.
- Growth is expected to come from new geographies, Malaysia, project cargo, expansion of sales offices and new verticals.
- North and West India have become important growth regions, with increasing contribution from chemical and pharma customers.

Renewable Diversification

- Renewable energy remains an important vertical, but management is actively diversifying towards chemicals, pharma and automobiles.
- Renewable-related cargo is expected to remain strong for the next 2-3 years, driven by solar manufacturing, battery storage and cell-line capex.
- The company handles imports of solar cells, aluminium frames, glass and other raw materials from Southeast Asia.
- Management expects additional opportunities from upcoming cell and wafer manufacturing capacity in India.

Margin Outlook

- Lower freight rates during the previous year led to some margin pressure.
- Management expects margins to recover and reach FY25 levels during FY27.
- The company expects its increasing share of air freight, new verticals and asset-backed services to support margin improvement.
- Management indicated that the planned container investments could improve overall margins by around 2-3 percentage points.
- Management expects a positive margin trajectory in FY27-FY28 but did not provide specific EBITDA/PAT margin numbers.

Container & Fleet Expansion

- The company plans to acquire around 1,000 containers, with operations expected to begin from October 2026 and the entire fleet becoming operational by Q3FY27.
- The company is also adding fleet/trucking capabilities to provide customers with last-mile solutions.
- Container ownership is aimed at reducing dependence on external availability and improving customer retention amid tight container supply.
- Management expects the asset addition to support both revenue growth and margin improvement.

Malaysia Expansion

- Malaysia is considered a key strategic market because of India's large import flows from China, Malaysia and Vietnam.
- Malaysia will also act as a transshipment hub for the company's own/leased containers.
- Management sees significant cross-trade opportunities from Malaysia to the Middle East and US.
- The Malaysia business is expected to improve both top line and margins as the container operations scale up.

Freight & Geopolitical Challenges

- Container and vessel availability remains challenging due to geopolitical disruptions, particularly in the Red Sea and US routes.
- Management indicated that vessels can take around 30-45 days for discharge in certain affected ports, impacting container turnaround.
- The company expects these challenges to continue until at least Q3FY27.
- Despite the disruption, management is managing the situation through customer coordination, own/leased containers and vessel arrangements.

International & Project Cargo

- Export shipments are primarily focused on Europe, the US and Africa, while imports are concentrated in China and the Far East.

- Typical transit time is around 16 days from China, 5-6 days from Malaysia and 11-12 days from Vietnam.
- The company is increasingly focusing on project-based cargo, which management sees as an important growth opportunity.
- Back-to-back long-term freight contracts have increasingly shifted towards monthly or project-based arrangements due to freight-rate volatility.

Forex Management

- Forex exposure is managed through arrangements with customers, shipping lines and overseas agents.
- The company also generates USD through cross-trade and export shipments, which helps offset USD payments to vendors.
- Management indicated that this provides a partial natural hedge against currency movements.

Funding & Capex

- Management stated that there is no plan to raise funds over the next 6-12 months.
- Container acquisition and fleet expansion are being undertaken as part of the business expansion strategy.
- No specific large external capex requirement was disclosed during the interaction.

Godavari Biorefineries Ltd

Outlook: The company is positioning biochemicals as a key medium-term growth driver, supported by rising demand for bio-based alternatives, established customer relationships and improving price competitiveness against fossil-based products. The targeted quarterly biochemical revenue run-rate of INR 2.4 bn from Q3FY28 provides a potential earnings catalyst, while additional ethanol fungibility could improve feedstock flexibility and product-mix optimisation. However, near-term consolidated profitability will remain exposed to sugar seasonality, feedstock costs, government ethanol allocation policies and commodity realisations. The pace of biochemical capacity utilisation, execution of the proposed expansion and the commercialisation timeline of the pharmaceutical pipeline will be key monitorables.

Biochemicals – Growth and Realisations

- Biochemicals remain a key growth driver, with revenue targeted at INR 2.4 bn per quarter from Q3FY28, implying an annualised run-rate of ~INR 9.6 bn.
- The company is witnessing stronger demand for specialty biochemicals as the price parity between bio-based and fossil-based chemicals narrows, supporting higher capacity utilisation.
- Speciality chemicals continue to command a premium over conventional alternatives, with the company maintaining existing premiums despite volatility in crude-linked petrochemical prices.
- Investments in downstream biochemicals are translating into revenue growth, supported by customer relationships and expanding production capabilities.
- The company has over 100,000 TPA of bio-based chemical capacity, with utilisation varying across products depending on demand and prevailing market economics.

Ethanol – Capacity Expansion and Flexibility

- The company commissioned a 200 KLPD grain-based distillery in Q1FY27 to diversify feedstock sourcing and reduce dependence on sugarcane-based feedstock.
- Management is evaluating an additional 160 KLPD of fungible capacity, which would allow greater flexibility between grain- and sugar-based ethanol production depending on feedstock availability and relative economics.
- Ethanol production allocation is driven by relative realisations, with ~80% of output supplied to OMCs and the balance catering to pharma, ENA, industrial alcohol and captive biochemical requirements.
- Ethanol margins from grain-based operations are estimated at ~10%, although profitability remains sensitive to grain procurement costs and fluctuations in feedstock prices.
- The company currently diverts ~30-32% of its sugar towards ethanol production, with the actual allocation dependent on government policies, OMC tenders and the relative profitability of sugar and ethanol.

Integrated Business Model – Sugar, Ethanol and Chemicals

- The integrated sugar, ethanol and biochemical model provides flexibility to optimise product allocation based on prevailing sugar prices, ethanol realisations and feedstock availability.
- The ability to switch between sugar, ethanol and downstream chemicals provides a strategic advantage in managing commodity price volatility and improving profitability.
- The company is evaluating further fungibility investments to strengthen its ability to optimise production across different feedstocks and end markets.
- Sugar profitability remains seasonal, with earnings typically concentrated in Q4 as crushing activity progresses in Karnataka, while Q1 and Q2 generally experience weaker performance.

Sugar Business – Seasonality and Inventory

- Sugar operations remain subject to government-imposed monthly sales quotas, which restrict the pace of inventory liquidation and extend the working capital cycle.
- The finished-goods inventory for chemicals is generally maintained at 7-10 days, while sugar inventory levels are largely determined by production volumes and government sales allocations.
- ~20% of sugar sales are routed through the branded consumer business, with the Jivana brand generating INR 1.29 bn of revenue in FY25.
- Sugar profitability in the upcoming season will depend on rainfall, sugarcane availability, recovery rates, cane prices and government policies governing ethanol diversion.

Exports and Global Demand

- Export demand across Europe, North America and East Asia remains broadly stable, with management reporting no material change in demand from key international customers.
- The company provides product-level carbon footprint data to customers, supporting its positioning in markets where sustainability credentials are increasingly important.
- Management believes its bio-based products offer greater price stability than fossil-based alternatives amid geopolitical disruptions and volatility in crude-linked chemical prices.

Capacity Utilisation and Revenue Visibility

- The company expects growth in biochemical production to be supported by rising demand for specialty chemicals and improved utilisation across existing facilities.
- The biochemical business is expected to scale meaningfully over the medium term, with an annualised revenue potential of ~INR 9.6 bn at the targeted quarterly run-rate of INR 2.4 bn.
- The contribution from sugar, ethanol and biochemicals will continue to depend on feedstock availability, commodity prices and the relative economics of individual product lines.

R&D and Pharmaceutical Opportunity

- The company is progressing with clinical development of its cancer-treatment-related product and expects initial results from the next phase of trials ~Q3FY27-Q2FY28, subject to regulatory approvals and trial timelines.
- Patent grants do not automatically translate into commercialisation, with regulatory approvals and successful clinical trials being the key milestones before potential out-licensing to pharmaceutical companies.

Financial Performance and Seasonality

- Profitability typically builds from November through March, with the fourth quarter generally contributing the bulk of annual operating profits.
- The biochemical business provides a relatively less seasonal earnings stream, although consolidated profitability remains influenced by the timing of the sugar season and commodity realisations.

Capex and Capital Allocation

- The company typically undertakes annual maintenance and sustaining capex of ~INR 200-240 mn.
- Management is evaluating additional investments in ethanol fungibility and downstream chemical capabilities, with the objective of improving feedstock flexibility and increasing the contribution of higher-value products.
- Future capex allocation will be guided by the commercial opportunity in biochemicals, the economics of ethanol production and the potential returns from incremental capacity.

Godawari Power & Ispat Ltd**Business**

- The company is based in Raipur, Chhattisgarh, and is integrated across iron ore mining, pelletisation, sponge iron, steel billets and value-added downstream products.
- Captive power comes from waste heat, coal, biomass and solar. Power is 100% consumed internally, with no commercial sales. Captive generation costs INR 3.5 per unit against ~INR 6 for grid power.

Mining: The Key Bottleneck

- Environmental approval was received in February to expand iron ore mining capacity from 2.35 MTPA to 6 MTPA.
- Mining is constrained by delays in tree-cutting approval and dumping space for ore overburden. Management expects the approval in the next 1-3 months, after which the beneficiation plant will also come up.
- The target is full-capacity mining by the exit of this financial year. After that, iron ore for pelletisation will be fully met in-house, and management expects the full-year impact in FY28.
- FY27 will see more than 50% of iron ore bought from the market. Earlier it was ~20-25%, and last year ~70% was captive. Management will not guide on the exact percentage.
- A mining contractor is already lined up for equipment and infrastructure.

Pellets

- The new pellet plant is natural-gas based. Earlier plants use coal gas.
- It was shut for ~30-45 days (shutdown from the first week of July) because the economics turned unviable. It restarted as pellet prices rose.
- Based on management's indicated production of 150,000 tonnes per month and a selling price of ~INR 8,500 per tonne at the time, the 45-day shutdown implies a loss of ~225,000 tonnes, or ~INR 1.9 bn of revenue. The impact falls in Q2, and depreciation continues; management says the interest cost impact is minimal.
- Natural gas was chosen because a pipeline was available and for the environmental angle. Management said it was not for better product quality.
- Gas availability is not an issue, though it comes at a slightly higher cost. Unit economics remain comfortable.
- Because of Middle East-related supply issues, a second coal gasifier will be added at the new plant. It will take about 6-9 months.

Guidance and Margins

- Q3 and Q4 margins will be slightly lower than the earlier year, mainly because of the new pellet plant and heavier market purchase of iron ore.
- Margins can expand beyond FY26 levels once the dumping ground approval and beneficiation plant are in place.
- Whether FY27 EBITDA margin falls below 20% depends on volume and mix. Selling prices of value-added downstream products have improved considerably over the last 1-1.5 months.
- FY27 revenue will not be lower than last year and should be better, helped by the new pellet plant.
- The guidance in the investor presentation will be revised before the next investor call, to reflect the shutdown and margin impact.

Battery Energy Storage (BESS)

- The 20 GWh project (single line, ~INR 14 bn) is located in the AURIC industrial area, Maharashtra.
- Equipment is tied up, with shipment in November-December and arrival at site around February. Civil work is just starting, with foundations planned to be ready before equipment arrives, and the building is prefab.
- Commissioning is targeted by March-end, with production in Q1FY28. Management would not commit to one or two months either way.
- Raw material is tied up under 5-year agreements. Sales will be 100% to third parties.
- Marketing has started and a team is in place. The company will bid for BESS supply and EPC tenders (government bodies and C&I customers) and is still debating the developer model. No orders yet, but management expects to secure some over the next 1-2 quarters. Delivery is assumed from July 2027.
- Pricing: ~INR 8.5 mn per MWh including BMS and PCS. Management also quoted a price of ~USD 52,000 per MWh, noting that prices have risen rather than fallen.
- At full capacity, potential turnover is close to INR 180 bn, reached over 3-4 years, at 6-8% EBITDA margin (INR 12-14 bn EBITDA).
- For FY28, with 9-10 months of operation, initial estimates are ~7-8 GWh of output, roughly 35-40% of capacity.

Cold Rolling Mill (CRM) Complex

- The capacity is 0.7 MTPA. The location was moved from Chhattisgarh to Maharashtra (Auric belt) because of approval delays.
- Land has been allotted. The lease deed and initial approvals are pending, and the project needs at least a year from start of construction to commissioning.

- HRC will be bought from the market. Customers will be retail distribution and OEMs (auto, FMCG, white goods).
- At full capacity, potential is ~INR 40 bn turnover at ~INR 60,000 per tonne and a 7-8% margin, or INR 3-4 bn EBITDA. A capex figure of ~INR 11 bn was cited by a participant; management did not provide a separate estimate.

1 MTPA Integrated Steel Plant

- The plan is on hold due to regulatory delays. Land (offer letter 2023, allotment 2025), the mining lease (2026) and environmental approval (January/February 2026) are in place.
- The approval carries a condition requiring firm water allotment from the state government, which is delayed.
- Management says money is not the constraint, as cash flow visibility exists. It will not place equipment orders until regulatory visibility is complete.

Vision FY30

- The earlier INR 50 bn EBITDA vision included the 1 MTPA plant. It has been revised to ~INR 35 bn, with turnover also reduced. Management stressed this is a vision statement and not guidance.
- The build-up is:
 - Steel: up to ~INR 75 bn turnover and ~INR 20 bn EBITDA, plus or minus market conditions.
 - BESS: INR 12-14 bn EBITDA.
 - CRM: INR 3-4 bn EBITDA.

Strategy

- Management says CRM and BESS will dilute operating margin but not ROE or ROCE, because absolute profits are higher.
- Steel capacity must stay in Chhattisgarh near raw material, and with the greenfield plant delayed, management chose segments with better execution visibility.
- The company expects to reach at most 2-3 MT of steel capacity over the next decade.
- The steel plant is approved by Power Grid for transmission tower steel (rolling mill and galvanising plant approved). Downstream capacity is ~100,000 tonnes and the site is full. Expansion needs a separate location, and forward integration into welded pipes was ruled out for lack of space.

Goel Construction Ltd

Outlook: Goel Construction is transitioning from a civil-focused industrial contractor to a general contractor model by integrating mechanical works into its service offerings. The company maintains a debt-free status with a consistent 10-11% EBITDA margin and targets sustainable revenue growth of approximately 30% over the next few years.

Business Performance & Financials

- Revenue & Margins: The company reported revenue of ~INR 6.5 bn last year, with a stable EBITDA margin of 10-11%.
- Order Book: ~INR 13 bn as of March.
- Financial Health: The company is debt-free and operates with minimal working capital requirements due to its focus on private sector clients.
- Growth Strategy: Targeting ~30% sustainable growth for the next 2-3 years.

Operational Capabilities

- Core Expertise: Specialised in high-complexity industrial civil construction, including cement plants, thermal power plants, and dairy industries.
- Technical Edge: Capability to handle specialised shuttering and high-altitude structures (up to 160 metres), with high concrete pouring efficiency (15,000-20,000 cubic metres per month).
- Geographic Reach: Currently operating in 14 states across India.
- Asset Base: The company maintains a gross block of ~INR 1 bn, including tower cranes, batching plants, and transit mixers.

Strategic Expansion

- Mechanical Segment: Entering the steel fabrication and erection market to increase project ticket sizes and move toward a general contractor model.
- New Verticals: Expanding into the steel and logistics sectors (warehousing) to diversify away from heavy reliance on cement plants.
- EPC Transition: While primarily executing based on client drawings in civil works, the company is initiating its first full EPC project in the logistics sector.

Project Execution & Terms

- Timelines: Cement plants typically take 10-12 months for 80-90% billing, while thermal power plants take approximately 24 months.
- Payment Structure: Secures 10-15% mobilisation advances at the start of projects.
- Material Procurement: For self-procured materials (steel/cement), the company requests advances from clients to avoid working capital strain.
- Retention: Defect liability/retention periods generally span 12-24 months at a rate of 5%.

Risks & Other Matters

- Market Pressures: Monitoring fuel cost increases resulting from the West Asia crisis, though the current impact is not yet significant.
- Government Contracts: Management currently avoids government projects to prevent the high working capital requirements associated with that sector.
- Shareholder Returns: There are no immediate plans for buybacks or dividends as funds are prioritised for scaling, though a policy may be developed if funds cannot be meaningfully deployed.

Gokul Agro Resources Ltd

Outlook: Management targets 10-12% revenue growth in FY27, temporarily held back because plants are already running at 85-90%+ utilisation. Sustainable full-year EBITDA margin is guided at 3.3-3.5%. Export revenue is targeted to rise by INR 10 bn to INR 27-28 bn across castor derivatives, edible oil and biodiesel.

- **Scale & Q1 Performance:** Annual revenue is now INR 220-240 bn, up from INR 30 bn at the time of the demerger in FY15. Q1 EBITDA margin reached about 4.0%. Two factors lifted it: the newly operational biodiesel segment, which was 7% of Q1 revenue, and short-term sales gains from geopolitical tensions.
- **Capex & Capacity Expansion:** A capex of INR 4.3 bn across all four plants (Gandhidham, Haldia, Mangalore and Krishnapatnam) will add 25% to total processing capacity. At full ramp-up, the new capacity can generate about INR 60 bn of additional revenue, with a payback period of 3.5 years. The roll-out is phased through September 2027, and the first lines at Gandhidham and Haldia are targeted internally for March 2027.
- **Modernisation:** The programme also upgrades older units: Gandhidham (built in 2003) and Haldia (built in 2009 and acquired through NCLT). The aim is to reduce processing losses and improve yields.
- **Biodiesel:** The 300 TPD biodiesel plant has been fully operational since April. Its entire output is exported to the EU under EOU status, benefiting from the EU's 7% blending mandate. The segment holds ISCC EU sustainability certification and earns EBITDA margins of 3-6%.
- **Edible Oils:** About 80% ($\pm 5\%$) of raw material is imported, mainly crude palm, soya and sunflower oil from Indonesia, Malaysia, Brazil and Argentina.
- **Castor & Mustard:** Castor oil and derivatives generate a stable INR 10 bn ($\pm 10\%$) of annual revenue. India supplies 80% of the world's castor, and 80% of India's crop is grown in Gujarat. Seasonal domestic mustard crushing adds INR 2-3 bn a year.
- **B2C Branded Push:** Branded products currently make up 6% of revenue. Management aims to raise this share to 20-25% within 3-5 years, which would support a better mix and higher margins.
- **Solar Cost Savings:** A 16.5 MW solar project now meets about 70% of the Gandhidham plant's power needs. Solar installations are being extended to Mangalore and Krishnapatnam. The target is for 55-60% of total electricity consumption to come from solar by March 2027, and the solar projects have a payback of 3.0 years.
- **Risk Management:** The company fully hedges both commodity price risk and forex risk. It works on a 90-day back-to-back contract framework and takes no unhedged speculative positions. Recent cuts in edible oil import duty are passed straight through to customers without any inventory loss, because customs duty is applied when the sale or contract is executed.
- **Return Profile:** ROCE has stayed above 30% for the past two years. This reflects low acquisition and gross block costs and shared utilities across plant locations.
- **Promoter Pledge:** Promoter shares are pledged only to the working capital consortium lenders to secure operating credit lines, not to raise external debt.
- **Backward & Forward Integration:** The company is expanding into palm plantations in Andhra Pradesh, near the Krishnapatnam plant. It is also moving into higher-margin oleochemicals.
- **Long-Term Potential:** The 25% capacity addition, worth about INR 60 bn of revenue potential, and growing exports give the company a clear path for scale. Higher-margin biodiesel, the shift toward B2C products and solar cost savings support margin improvement. A fully hedged model and ROCE above 30% underpin the quality of returns.

GPT Healthcare Ltd

Outlook: GPT Healthcare is targeting a strong financial trajectory with an expected revenue CAGR of 15-17% over the next 4-5 years. The company's overall EBITDA margins are projected to stabilise around 21%, supported by its mature hospital assets which consistently generate ~25% EBITDA margins. Under its current operational footprint, the existing hospital network holds a peak annual revenue capacity of ~INR 8.0 bn. The business remains uniquely positioned to capture long-term structural demand across Eastern India, an underserved healthcare market that currently has only 14 beds per 10,000 population compared to the national average of 40-45 beds.

Growth Strategy

Operating under its flagship "ILS Hospitals" brand, the group is aggressively scaling its network to reach 1,000 beds over the next couple of years. To achieve this capacity expansion, management is following a disciplined growth rate of adding 10-12% bed capacity annually, which translates to roughly 150 beds added every 18 months. This measured pace allows the company to pursue long-term geographic expansion without overstretching its management bandwidth or operational cash flows.

Financial Performance & Balance Sheet

The company maintains a highly conservative balance sheet characterised by a debt-to-equity ratio below 0.1x, with management committing to a strict internal leverage ceiling of 0.5x for any future debt. Operating cash flow conversion remains exceptionally strong at above 80%, backed by cash reserves of ~INR 500 mn. All upcoming capacity expansion will be funded through internal accruals and debt, ensuring no equity dilution for shareholders. Additionally, the company maintains a consistent dividend policy, paying out ~30% of PAT annually.

Pricing & ARPOB Strategy

GPT Healthcare intentionally maintains its network ARPOB at ~INR 40,000-42,000, which is roughly 30% below major corporate chains like Apollo Hospitals, in order to keep quality healthcare affordable for its core middle-to-upper-income demographic. Management expects ARPOB to expand at an annual rate of 6-7%, driven by routine price inflation and an evolving, higher-complexity case mix. The payer profile remains low-risk, with cash and private insurance accounting for 90-95% of total revenue, while government schemes and corporate tie-ups contribute only 5-7%.

Working Capital & Governance

Actual trade payable days are 41-44 days; management clarified that external screeners overstate this metric due to formula errors that mistakenly include independent doctor consultant payouts in the denominator. On the governance front, the company operates with an independent board structure audited by BSR & Co.

Network Expansion & Capex Structure

The company currently operates ~750 beds across five hospitals located in Salt Lake, Dum Dum, Howrah, Raipur and Agartala. A sixth hospital in Jamshedpur is scheduled to open in March/April 2027. Management is actively evaluating new greenfield sites and acquisition opportunities in Cuttack, Siliguri, Guwahati, Varanasi and a replacement site in Ranchi. In terms of capital intensity, fully owned greenfield assets require ~INR 10 mn per bed in capex, whereas leased locations like Raipur and Jamshedpur operate on an asset-light model requiring significantly lower capital outlay.

Operational Performance & Utilisation

Overall network occupancy currently stands at ~50% against a realistic operational ceiling of ~75%, following a successful reduction in average length of stay (ALOS) to under three days. Looking ahead, mature units in Dum Dum and Salt Lake are expected to reach ~70% occupancy in upcoming quarters, Agartala is targeted at ~60%, and Howrah at ~55%. The newer Raipur facility is operating at 20-22% occupancy and is targeted to reach 30% monthly utilisation by March 2027 to achieve breakeven, aided by major corporate tie-ups with Coal India and SAIL. The upcoming Jamshedpur unit is targeted to achieve 70% occupancy within five years of launching, delivering 22-23% EBITDA margins.

Specialty Mix & Clinical Capabilities

Revenue generation is well-diversified, with the top 10 specialties accounting for ~80% of revenue, ensuring no dependence on individual "star doctors". The group is actively upscaling its clinical capabilities by introducing orthopaedic robotics at Howrah, expanding CTVS/bypass and gastrointestinal procedures at Salt Lake, and setting up radiation oncology in Agartala. Demonstrating its high-end tertiary capability, the year-old Raipur hospital successfully executed both liver and kidney transplants within its first year of operation.

Talent Procurement & Medical Tourism

Doctor attrition remains very low at under 10%, supported by ethical practices and advanced clinical infrastructure, while nursing and paramedical talent is directly supplied by GPT's captive nursing college in Agartala. In accordance with regulatory guidelines, independent doctor consultants are not eligible for ESOPs. Medical value tourism contributes less than 5% of total revenue; while the Agartala facility derives ~10% of its patient volume from Bangladesh due to border proximity (which has stabilised after visa disruptions), the primary Kolkata units focus almost exclusively on a local neighbourhood catchment radius of 3-4 km.

GPT Infraprojects Ltd

GPT Infraprojects is a railway-focused EPC company and concrete sleeper manufacturer with expanding signalling capabilities following the Alcon acquisition. The order book stands at INR 50 bn (3.8x FY26 revenue), providing strong near-term visibility. The Alcon merger (NCLT-approved, effective 1 April 2026) enhances bidding capacity for larger composite EPC tenders of up to INR 20 bn in the company's own name. African operations are reviving, and the signalling vertical is emerging as a high-margin growth lever. With a 13% EBITDA hurdle rate, disciplined capital allocation and limited capex needs, the company is positioned to deliver a step-up in execution from FY27 onwards.

Order Book & Revenue

- The current order book is ~INR 50 bn, against FY26 revenue of ~INR 13 bn and an EBITDA margin of 14%.
- The FY27 revenue target is ~INR 16.5 bn (~27-28% growth). The revenue run-rate for the remaining nine months is ~INR 1.5 bn per month, and H2 accounts for ~60% of the full year.
- ~INR 20 bn of the INR 50 bn order book is executable over the next 12 months.
- Growth for FY28 and FY29 is guided at 24-25%.
- Q1FY27 revenue declined 3.4% YoY due to West Bengal election disruptions in April and May; activity has since normalised.

Order Inflow

- The FY27 order inflow target is INR 30 bn, of which ~35% was achieved in H1. Industry ordering is back-ended; last year, the company targeted INR 20 bn and delivered INR 24 bn.
- Land handover is pending on only ~15% of the order book. All other sites have full land availability.

Alcon Acquisition & Signalling

- Alcon (railway signalling) was acquired in February 2026 for INR 1.52 bn. It has revenue of ~INR 1.3 bn and a current order book of ~INR 2.5 bn.
- The signalling order inflow target is ~INR 4 bn per year. Alcon's revenue is targeted at ~INR 2 bn in FY28, scaling to INR 3-3.5 bn over three years.
- The signalling EBITDA margin is ~20% (slightly below the 22% at acquisition due to larger contracts) and is expected to normalise back to ~22%.
- Alcon's core capability is block electronic interlocking, which ensures train safety and enables denser track operations. Penetration is ~60-70%, leaving a 5-7 year runway of opportunities worth ~INR 2.5-3 bn annually.
- The merger received NCLT approval on 15 September and is effective from 1 April 2026, with formalities expected to be completed by mid-January. Post-merger, the company can bid on its own for composite EPC contracts of up to INR 20 bn.
- Alcon's erstwhile promoter salary (~10-12% of revenue) has been eliminated following the acquisition.
- The company is in discussions with OEMs (Medha, Siemens and Alstom) for a Kavach deployment partnership; four vendors are currently qualified for Kavach. It is also qualified for metro contracts (Delhi Metro credentials).

Balance Sheet & Capital Structure

- Debt-to-equity is ~0.6x, with a target of 0.5x by March 2027. Debt was reduced by ~INR 200 mn over the last six months.
- Interest cost is ~INR 300 mn annually (<2% of revenue). It is not structural and is driven by working capital for larger contracts.
- Contract assets of INR 5.14 bn include ~INR 900 mn from the Alcon acquisition. The balance is current (4-5 months ageing), and 70-80% is expected to convert to cash within two quarters.
- The promoter pledge covers ~35% of total shares (51% of the promoter holding) and is entirely for working capital, not personal borrowing.

Africa Operations

- FY27 Africa revenue is expected at ~INR 1 bn (Ghana INR 350-400 mn and South Africa ~INR 600 mn). South Africa is benefiting from a USD 3 bn World Bank loan for railway network upgradation.
- The Ivory Coast conveyor belt order (INR 1.95 bn) represents a new geography and segment. African export contracts carry higher margins than domestic contracts.
- Revenue mix: 85-90% domestic infrastructure (including signalling) and 10-15% sleepers (domestic and international).

Other Developments

- The company has entered power EPC with an INR 500 mn contract in Andhra Pradesh (Power Grid).
- West Bengal: The new state government has announced infrastructure as a focus area, and the company is tracking large state bridge tenders. There are no labour shortage concerns.
- GPT ISC JV Pvt Ltd was formed in February 2026 for an INR 6.6 bn NHAI elevated corridor project in Jodhpur.

Guidance

- FY27 revenue is targeted at ~INR 16.5 bn, with growth of 24-25% guided for FY28-FY29. EBITDA margin guidance is 14%+ (infrastructure at the 13% hurdle rate, signalling at 20-22% and international sleepers at 22-23%).

Grand Continent Hotels Ltd

Outlook: Grand Continent Hotels is targeting strong growth, with keys expected to increase to 2,400 by March 2027 and 3,000 by March 2028. H1 revenue is guided at INR 800 mn, while H2 is expected to be stronger. Margin recovery will be supported by higher ARR and 5-10% corporate rate hikes, with rental cost targeted to decline from 30% to 27-28%. Key monitorables include new hotel ramp-up, margins, receivables, cash-flow conversion and debt requirements.

Asset-Light Business Model

- Grand Continent operates 31 hotels with 1,866 keys, including 27 in India, 3 in the US and 1 in Dubai.
- The company follows an asset-light lease model, with landlords providing the building and major infrastructure. Grand Continent mainly invests in operating assets, room upgrades and hotel equipment.
- Investment is ~INR 0.6-0.7 mn per key, significantly lower than the INR 2.5-3 mn per key indicated for some competitors.

Strong Portfolio Expansion

- The company has grown from one 54-room hotel in 2011 to 31 hotels in 2026.
- Keys are expected to increase to 2,400 by March 2027 and 3,000 by March 2028.
- The company has also signed additional hotels, mainly across business and pilgrimage destinations.

Hotel Maturity and Growth

- Corporate hotels generally take 3-6 months to stabilise, pilgrimage hotels 6-8 months, while leisure hotels can take more than a year.
- Around 23 of the 27 India hotels are considered mature, while newer properties are still ramping up.
- Maturing hotels and higher occupancy provide scope for like-for-like revenue growth.

Recent Financial Performance

- H1 revenue is expected at around INR 800 mn, with H2 expected to be stronger.
- Management indicated that H2 could be around 100-120% of H1 based on historical seasonality.
- Margins are expected to remain around 9% or above, with an internal target to improve margins by around 1 percentage point.

GST Impact and Room-Rate Hikes

- The September 2025 GST change had an estimated 5-6% impact on the bottom line.
- The company is recovering the impact through ARR increases of INR 100-200 and higher corporate room rates.
- Corporate rates are being revised by around 5-10% as contracts come up for renewal.

Rental Cost and Margin Recovery

- Rental cost has increased to around 30% of revenue from the earlier 25-27% range.
- The company is targeting a reduction to around 27-28%, mainly through higher room rates.
- Higher ARR and better hotel maturity are key drivers for margin recovery.

Receivables and Working Capital

- FY26 receivables stood at around INR 90 mn, with most corporate customers paying within 30-45 days and some taking up to 60 days.
- A dedicated credit team has been introduced to improve credit checks and collections.
- Receivables and working-capital management will remain important as the hotel portfolio expands.

Funding and Leverage

- Funding is currently sanctioned from ICICI Bank for the next 5-6 hotels, along with internal accruals.
- Additional borrowing may be required after March 2027 for the next 500-600 keys.
- Management does not currently plan to raise equity and expects future expansion to be funded mainly through debt and internal cash flows.

Brand and Customer Acquisition

- The company is increasing its focus on social media, Instagram advertising and press coverage to improve brand visibility.
- It also plans to launch the GCS Privilege loyalty programme.
- Customer ratings and reviews remain an important source of customer acquisition.

Portfolio Diversification

- The company is expanding across corporate, pilgrimage and leisure segments.
- Upcoming properties in Ayodhya, Varanasi, Somnath, Vellore and Chennai should add to the portfolio.
- India remains the core market, with 27 of the company's 31 hotels located domestically.

Greaves Cotton Ltd

Greaves Cotton is a 167-year-old diversified engineering group that management frames as two businesses: a capital-efficient "core business" (engines, components, aftermarket, gensets, industrial solutions) generating ROCE of over 50% on ~INR 7.2 bn of capital employed, and an "investing business" comprising Greaves Electric Mobility (Ampere, 62% stake) and Greaves Finance (NBFC), funded by core cash flows. Consolidated FY26 revenue stood at over INR 25 bn, with EBITDA of ~INR 3.8 bn; core business alone delivered EBITDA of INR 3.83 bn and PBT of INR 3.7 bn. Management guides to 16-20% core-business revenue growth through FY30 with EBITDA margins at 13-15% and capex of just INR 5-7 bn, generating an estimated INR 20-25 bn of cash for inorganic deployment over four years. Within the core business, energy solutions (gensets) are targeted to grow at ~25% CAGR via after-sales/AMC, exports and MHP/HHP focus, while mobility (60% of core revenue) and industrial solutions (10-15% growth) round out the portfolio. GEML grew two-wheeler volumes 100% YoY in Q1, with market share rising from 3.5% to ~5.6-6%, and management guides to EBITDA breakeven by Q4FY28. Key monitorables are GEML's path to breakeven and possible stake sale, genset share gains against Cummins and Kirloskar, export ramp-up, the Ligier engine partnership, and deployment of the ~INR 20 bn+ core cash pool.

Business Model & Positioning

- Greaves Cotton has a 167-year history, with engine manufacturing dating back to 1939; it is popularly known as a three-wheeler diesel engine maker, though diesel three-wheeler engines account for only ~16% of consolidated FY26 turnover (~24% of the core business).
- Management frames the business in two parts: a "core business" (engineering: energy, mobility and industrial solutions) requiring routine working capital and capex, and an "investing business" (Greaves Electric Mobility/Ampere and Greaves Finance) funded by cash from the core.
- Consolidated FY26 turnover was over INR 25 bn, with EBITDA of ~INR 3.8 bn; international business has grown from 9% to 13% of core business and is targeted to reach ~18-20% by FY30.
- The engine mix shift is notable: engines contributed 80% of business in FY26, falling to 51% in H1 (across applications including three-wheelers, gensets, firefighting and construction equipment), as other businesses have grown faster.
- Net worth stood at INR 16.2 bn in March 2026; of this, ~INR 7.2 bn is deployed in the core business (INR 3.4 bn in fixed assets/working capital, INR 3.8 bn in the Excel Control linkage and Greaves Technologies acquisitions), generating INR 3.83 bn EBITDA and INR 3.7 bn PBT, implying core ROCE of over 50%.
- The remaining ~INR 9 bn comprises ~INR 4.5 bn invested in Greaves Electric Mobility and Greaves Finance, and ~INR 4.5 bn of cash (as of March 2026) since deployed across these entities and the Excel acquisition.
- The company is debt-free (as of March 2026) with an AA- credit rating, giving headroom for further borrowing (INR 5-7 bn) if required for capital deployment.

Core Business: Growth Guidance & Capital Allocation

- Management has guided to 16-20% core-business revenue growth for FY27-FY30 with EBITDA margins maintained at 13-15% and capex of only INR 5-7 bn, since land/building capex is largely already in place.
- Using a rule-of-72-style illustration, management estimates core EBITDA could roughly double from ~INR 4 bn (FY27E) to ~INR 8 bn by FY30, implying a cumulative four-year EBITDA pool of ~INR 25 bn.
- After capex, working capital and tax, management estimates ~50% of EBITDA is convertible to cash (~INR 12.5 bn over four years), which together with the existing INR 4.5 bn cash and debt headroom gives a deployable pool of ~INR 20-25 bn for inorganic growth, subject to board and shareholder decisions.
- Guidance figures are for organic growth; inorganic growth would be incremental.

Energy Solutions (Gensets): ~20% of Core Revenue

- The genset industry has grown historically and is expected to grow at 10-11% over the next five years across industrial, commercial, residential and data-centre applications.
- Greaves' overall genset market share is ~3-4%, but is stronger (8-10%) in the MHP and HHP (medium/high horsepower) segments, which are a strategic focus.
- Three growth levers underpin the ~25% CAGR target: after-sales/AMC (of ~INR 60 in after-sales value that accrues per INR 100 of genset sale over 8-10 years, the company previously realised only ~INR 20, hence a new pan-India Greaves-branded AMC launched in October); exports, currently low single digits of sales with early Middle East traction; and dedicated programmes to grow share in the MHP/HHP segments where Greaves is already relatively strong.
- Since the introduction of CPCB4+ emission norms (June 2024), genset market share has risen by ~1 percentage point, from the low-3% range to the low-4% range (third-party consultant data).
- Management noted that gains from after-sales and exports may not always show up as domestic market share (since after-sales taps an existing installed base and exports address different geographies), even as they contribute to revenue growth.

Mobility Solutions: ~60% of Core Revenue

- The segment comprises three sub-segments: engines (three-wheeler diesel and Ligier microcar engines), components (via Excel Controlinkage, acquired three years ago) and aftermarket/retail (spares via a 7,000-retailer network).
- The three-wheeler diesel engine segment has a long-term growth outlook of 6-7%; the diesel-to-CNG mix shift is largely complete (diesel share fell from 60% in FY17 to 20% in FY26), with further shift expected between CNG and battery while diesel holds near 20% (Greaves has ~60% share within diesel three-wheeler engines).
- A new engine-supply relationship with Ligier, a France-based microcar maker (no driving licence required; popular with young and elderly drivers), began after ~2 years of co-development once Ligier's prior supplier could not meet Euro 5+ regulations, with sales starting around February/March 2025; management sees this as a proof point for further OEM engine-supply discussions already underway.
- Excel Controlinkage supplies components to automotive, construction, agriculture and leisure marine customers; management is expanding into the passenger vehicle (PV) segment, which carries lower margins but attractive incremental ROCE given existing fixed-asset investment.
- The aftermarket/retail spares business tracks the active three-wheeler vehicle population, which has stopped declining and is now expected to grow 6-7%; this is a capex-light business with 20%+ EBITDA margins.
- Mobility segment revenue grew 18% YoY in Q1.

Industrial Solutions: 10-15% Growth Guidance

- The segment supplies engines across varied applications: smaller engines to agriculture OEMs (e.g., TAFE and VST), and larger engines to firefighting equipment OEMs (e.g., KBL and Ziegler) and construction equipment makers.
- Given the diversity of end-markets, management expects this segment to grow in line with its historical 10-15% range.

Exports

- International business share of core revenue has grown from 9% at the start of the "Greaves.next" strategy to ~13% currently, against a stated FY30 target of 18-20%.
- Focus geographies are the Middle East (a wholly owned UAE subsidiary has been set up with a local office) and Europe (via the Ligier engine relationship).

Q1 Performance & Guidance Context

- Q1 consolidated revenue grew 16% YoY; EBITDA margins saw a dip in line with the industry, but management said it deliberately continued "purposeful investments" expected to benefit later years.
- FY30 revenue mix is expected to shift meaningfully toward energy solutions/gensets, targeted to become the largest core segment at ~35% of core revenue (from a smaller base in FY25).

Greaves Electric Mobility (GEML/Ampere): 62% Stake

- The electric two-wheeler industry has crossed an inflection point since May/June, with EV penetration rising roughly 1 percentage point per month from ~8-9% toward ~10%+; management believes EV players are now taking share from ICE rather than only from each other.
- GEML's two-wheeler volumes grew 100% YoY in Q1; market share rose from 3.5% (FY26) to 4.3% and further to 5.6% in June, placing the company around #5-6 nationally, with e-commerce (Flipkart/Amazon) share notably higher at ~13%.
- The company is a top-two player in select states (Tamil Nadu, Bihar, Jharkhand, Odisha), reflecting Ampere's Coimbatore/Tamil Nadu origins and a deliberate cluster-by-cluster (rather than pan-India) distribution approach.
- Distribution network stands at ~600 touchpoints (400 main dealers, 200 sub-dealers), targeted to expand to 1,000 by end-FY27; management flagged that current growth is now constrained more by supply chain/back-end capacity than by front-end demand.
- Product portfolio spans three price segments: Reo (low-speed, sub-INR 80,000, where GEML is among very few branded players), Magnus (mass segment, ~INR 80,000-120,000, seeing strong traction), and Nexus (premium, launched FY25).
- The company has used LFP battery chemistry across its portfolio for over three years, ahead of the industry shift away from LMO/NMC chemistries management judged unsuited to Indian conditions, alongside in-house BMS, cameras/IoT, geofencing, safety alarms, and products engineered for steeper gradients (up to 16 degrees) for hilly terrain.
- GEML/Ampere offers a 5-year warranty (also extended to the core gensets business), a differentiator management believes no other industry player currently matches.
- Management guided to GEML reaching EBITDA breakeven by Q4FY28 (next 6-7 quarters) at "the least number of units in the industry"; current monthly volumes are ~12,000-13,000 units with a blended ASP of roughly INR 90,000-100,000.
- Q1FY26 EBITDA loss at GEML was ~INR 350 mn; Q1FY27 EBITDA loss (on roughly double the sales volume) was similarly ~INR 320-350 mn, which management expects to trend toward breakeven over the stated timeline.
- A recent ~INR 5.3 bn rights issue, funded by both promoters (Greaves Cotton 62%, ALJ 37%), was raised to fund the "burn period" to breakeven rather than to dilute; management is open to a future strategic stake sale, though discussions are early-stage, with IPO timing linked to cash needs rather than imminent.
- Management does not expect the withdrawal of EV incentives to materially impact GEML volumes, given the industry's need to stand on its own economics; lower total cost of ownership (~25 paise/km for electric versus a materially higher ICE running cost), LFP-chemistry safety and reduced range anxiety (typical daily usage of 40-50 km) are cited as the key adoption drivers, alongside a new cost-competitive product expected around Q4 CY26/early CY27.
- Within GEML's overall FY26 consolidated revenue of ~INR 7.85 bn, ~20% came from L5 three-wheelers, with a small L3 three-wheeler contribution, and the balance (~80%) from two-wheelers.
- Greaves Finance (NBFC) supports GEML's electric mobility financing with AUM of just under INR 6 bn.
- Management presented a "core business" view (standalone Greaves Cotton plus Excel Controlinkage plus Greaves Technologies), distinct from the full consolidated entity (which also includes GEML and Greaves Finance), to separate the capital-efficient engineering business from the higher-growth, cash-consuming investing business; on this basis, core revenue grew 16% and consolidated revenue grew 31% YoY, reflecting GEML's near-doubling.

GSP Crop Sciences Ltd

GSP Crop Sciences operates an integrated agrochemical model across technical manufacturing, formulations and R&D, with revenue split of ~25% from technicals and ~75% from formulations, and a channel mix of ~40% domestic B2B, ~40% domestic B2C and ~20% exports. Patented products contribute ~20% of the top line, with 100+ patents granted, of which 18-20 have been commercialised, and another 100+ in the pipeline. The domestic B2C business spans 20 states, 24 CNF locations and 6,000+ dealers, supported by expanding co-marketing partnerships. Exports cover 37-38 countries, with Brazil a strategic market where the company has set up a subsidiary and plans to move from B2B into direct B2C branded sales. Near-term domestic demand remains broadly flattish due to erratic rainfall, while raw material inflation and rupee depreciation are pressuring B2C margins, as price increases take 3-6 months to pass through the channel. Management expects H2 exports to be stronger given Brazil's opposite agricultural season. The key factors to monitor are rainfall and demand recovery, cost pass-through in B2C, the share of patented products, progress in Brazil and the H2 export recovery.

Business Model & Revenue Mix

- The company operates across technical manufacturing, formulations and R&D.
- Revenue is split ~25% from technicals and ~75% from formulations.
- The sales mix stands at approximately 40% domestic B2B, 40% domestic B2C and 20% exports.
- The diversified mix provides multiple routes to monetise the product portfolio.

Patented Portfolio

- Patented products contribute around 20% of the top line.
- The company focuses on developing differentiated combinations using molecules that have recently gone off-patent.
- It holds 100+ patents, of which 18-20 have been commercialised, with another 100+ patents in the pipeline.
- The strategy focuses on building higher-value products rather than competing solely on generic molecules.

Domestic Distribution

- The domestic B2C business remains a key growth channel.
- The network spans 20 states, 24 CNF locations and 6,000+ dealers.
- Expanding co-marketing partnerships allow patented products to reach a wider farmer base through multiple distribution points.

Exports & Brazil Opportunity

- Exports contribute around 20% of the business, with products supplied to 37-38 countries.
- The company has established a subsidiary in Brazil and plans to move beyond B2B into direct B2C branded sales.
- Near-term exports have faced logistical disadvantages versus China.
- Management expects H2 to be stronger, given Brazil's opposite agricultural season.

Demand Environment & Margins

- Domestic agrochemical demand has remained broadly flattish, with erratic rainfall impacting crop-level demand across regions.
- Raw material inflation and rupee depreciation have pressured B2C margins.
- B2C price increases can take 3-6 months to pass through the distribution channel.
- B2B pricing is more responsive, allowing quicker pass-through of cost increases.
- Rainfall-led demand recovery and normalisation of input costs will remain key monitorables.

Gulf Oil Lubricants India Ltd

Consistent Growth & Strong Market Position: Gulf Oil Lubricants India has maintained a strong long-term growth track record, with revenue CAGR of 14%, EBITDA CAGR of 17% and PBT CAGR of 21% over the last 17 years. The company has consistently grown at around 2-3x the lubricant industry growth rate, with the industry itself expected to grow at 3-4% in volume and 6-8% in value over the coming decade. Gulf Oil has established itself as the No. 2 brand in India, supported by strong distribution, OEM relationships and brand equity.

Core Lubricants Business to Remain the Key Growth Engine: Management remains confident about the long-term growth of the Indian lubricant market despite EV adoption, supported by increasing vehicle population, industrialisation and multiple powertrains. The company is investing to increase manufacturing capacity by around 70%, with the additional capacity expected to become operational over the next 6-8 months. Growth will continue to be driven by the core lubricant portfolio, while greater focus is being placed on industrial lubricants, premium products and OEM/franchisee workshops.

Premiumisation to Drive Margin Expansion: Gulf Oil is targeting a gradual improvement in profitability through premiumisation of its product portfolio, particularly synthetic lubricants across passenger cars, two-wheelers and high-end BS6 vehicles. Management highlighted that synthetic products currently account for less than 5% and offer significant headroom for growth. The company has maintained an EBITDA margin target of 12-14%, with a longer-term ambition of 14-16% over 3-5 years, supported by higher-value products, B2C growth and expansion in segments such as passenger cars and independent workshops.

EV Ecosystem Emerging as a New Growth Platform: Gulf Oil is building an EV-focused portfolio through investments across charging technology and infrastructure rather than entering the capital-intensive charge-point-operator model. The company holds 26% in Electreefi and has increased its stake in Tirex Transmission to 65%, with Tirex manufacturing DC fast chargers ranging from 30 kW to 360 kW and supplying several e-bus manufacturers and charging infrastructure players. Management believes the EV business could potentially become an INR 3-4 bn opportunity over 3-4 years, supported by increasing e-bus adoption and charging infrastructure demand.

Adjacent Opportunities & Capital Allocation: Gulf Oil is exploring additional growth opportunities that leverage its existing brand, technology and customer relationships. The company has developed immersion cooling and direct-to-chip cooling fluids for data centres; while management expects the addressable volume to remain small relative to the lubricant market, these products could offer higher margins and premium positioning. The company is also evaluating synergistic M&A opportunities, supported by cash on the balance sheet, while maintaining a higher payout until suitable investments are identified.

Gulshan Polyols Ltd

Outlook: Gulshan Polyols expects continued growth in its ethanol business, supported by increasing ethanol blending requirements and government support for grain-based feedstock. The company currently operates at ~210-220 mn litres of annual ethanol production against total capacity of 260 mn litres and plans to debottleneck existing capacity to reach near 100% utilisation over the next year. Management expects consolidated EBITDA margins of 10-11% to remain sustainable in the current year and beyond, although quarterly margins may fluctuate due to raw-material prices and DDGS realisations.

Financial Performance

The company reported EBITDA of approximately INR 2,300 mn in the previous year and expects EBITDA of around INR 2,500-2,600 mn in the current year, implying a targeted EBITDA margin of 10-11%. Q1 delivered an exceptional EBITDA margin of 14%, supported by favourable input costs and DDGS realisations; however, management does not expect this level to be sustainable every quarter. Consolidated ethanol EBITDA is currently estimated at around INR 9-10 per litre, while the company expects margins to normalise as input-cost conditions stabilise.

Ethanol Business & Order Visibility

The ethanol business has strong order visibility, with a long-term government off-take agreement valid until 2031 covering 50% of the company's ethanol capacity, while the remaining capacity benefits from priority allocation and additional tenders. For FY27, management indicated ethanol production of approximately 210-220 mn litres, of which around 135 mn litres are covered under the long-term off-take agreement. Government support through FCI rice availability and FCR releases is expected to provide greater feedstock visibility, while maize procurement across Madhya Pradesh, Assam, Gujarat and Uttar Pradesh provides additional flexibility.

Growth Drivers

Near-term growth is expected to be driven primarily by higher utilisation of existing ethanol capacity, debottlenecking initiatives and improvement in the profitability of the grain-processing business. Management is also evaluating additional specialty and import-substitution chemical products, particularly within food ingredients and grain-processing-related categories. The company has acquired land in Madhya Pradesh and is evaluating products such as additional sorbitol and fructose lines, although the specific product and project configuration are yet to be finalised.

Debt & Key Risks

The company had increased borrowings to approximately INR 4,000 mn before reducing them to around INR 3,000 mn, with management indicating that cash flows remain comfortable for servicing the debt. The company benefits from an interest-subvention scheme, resulting in an effective term-loan cost of approximately 4.5%, and management expects this benefit to continue. Key operating considerations include volatility in maize prices, which can affect ethanol and starch margins, limited ability to fully pass on higher raw-material costs, and fluctuations in DDGS realisations. Management expects the business to become substantially debt-free by the end of the year while maintaining access to low-cost debt.

GV Electricals Ltd

Outlook: FY27 revenue is guided at INR 1,800-2,000 mn, up 15-27% from INR 1,570 mn in FY26. Over the next 2-3 years (FY28-FY29), management expects EBITDA margin to expand from 10.9% to 15-16% and PAT margin to rise to 9-10%, driven by higher-margin data centre and specialised infrastructure work.

Company Background: Founded in 1985 by Mr Anil Raj, GV Electricals is a 40-year-old power distribution and electrical services company. The current management took over in 2012: Chairman Javed Akhtar, Managing Director Sunil Vatsa and CEO Furqan Akhtar. Since then, turnover has grown about 26x, from INR 60 mn to INR 1,570 mn in FY26.

Business Verticals: The company operates in four areas:

- **Network O&M:** The core recurring business, covering grid stability, complaint handling and reduction of transmission and distribution (T&D) losses.
- **Electrical infrastructure (EPC):** Specialised work including new connections, power lines, underground cabling, pillar boxes and substations up to 400 kV.
- **Meter Management Group (MMG):** Installation, billing and maintenance of smart meters.
- **Data centres (emerging):** Electrical infrastructure and O&M services for hyperscale data centres.

O&M Revenue Base: O&M revenue grew from INR 840 mn in FY24 to INR 1,040 mn in FY25 and INR 1,200 mn in FY26, about 76% of total revenue. Monthly recurring billing makes this revenue highly predictable, and it held up even during COVID-19.

Smart Metering: MMG revenue was INR 11.6 mn in FY25 and INR 12.0 mn in FY26. Public resistance to smart meters has slowed the rollout, but the company is expanding into new discom circles in Odisha and Ajmer.

Order Book & Pipeline: The order book stood at INR 5,530 mn as of June, about 3.5x FY26 revenue, executable over three years. About 70% is O&M and 30% is electrical infrastructure and metering. A further INR 3,000+ Mn of orders is close to finalisation, and the company is bidding for active tenders worth more than INR 10,000 mn.

Client Franchise: Repeat business accounts for 88.29% of revenue. The anchor clients are major private discoms Tata Power (a partner since 1996) and Adani Electricity. Other clients include CESC, Hiranandani Yotta, ABB, Siemens and BPCL.

Data Centre Opportunity: The company has partnered with Schneider Electric to bid for major data centre projects. It has bid for the Reliance Jamnagar project, which has an estimated annual O&M value of INR 89 mn and EPC/installation scope of INR 300-400 mn per floor. It is also in talks with TCS about a 1.2 GW power infrastructure project in Pune/Jharkhand.

Geographic Expansion: The company is entering South India through the Hubli and Belgaum clusters in Karnataka. It is also taking part in upcoming discom tenders across several zones in Uttar Pradesh.

Competitive Moats: Its strengths include a pan-India presence, in-house software for call centres and meter billing, and end-to-end complaint resolution. Strict tender qualification criteria on manpower and fleet size also keep smaller local contractors out.

Debt Reduction: Debt was INR 140 mn before the IPO. The company is using IPO proceeds to cut it to INR 30-40 mn.

Working Capital Efficiency: About 90% of monthly O&M bills from major private discoms are collected by the 7th or 8th of the following month. Because of this, the O&M business needs only one month of working capital, and the current balance sheet can support up to INR 10,000 mn of O&M order execution. Trade receivables rise temporarily at year-end because discoms bill February and March together.

Workforce: The company has about 4,000 employees. Revenue per employee is about INR 0.4 mn and should rise as EPC and data centre revenue grows.

Long-Term Potential: A recurring O&M base with strong collections, an order book of 3.5x revenue and a pipeline of more than INR 10,000 mn give the company good revenue visibility. Entry into data centres with Schneider Electric, together with a shift toward higher-margin EPC work, supports the expected margin expansion to 15-16% EBITDA.

Hariom Pipe Industries Ltd

Hariom Pipe Industries is entering its next phase from a position of greater scale, stronger integration and improved financial discipline, though FY27 will be partly constrained by the ~110-day Perundurai shutdown that cannot be recovered. Volumes are expected to be broadly flat year-on-year, while revenue should rise on better realisations and absolute EBITDA is guided ~10% higher than FY26's INR 2,094.2 mn, driven by a richer product mix lifting blended EBITDA per tonne to ~INR 7,500 from INR 7,258. The Gadchiroli greenfield project in Maharashtra (INR 30 bn MOU, ~300+ acres, 136 acres under preliminary agreement) remains a long-dated phased opportunity, with a parallel brownfield or greenfield expansion under evaluation and FY27 capex of INR 600-700 mn. The 60 MW solar venture (INR 1 bn invested, INR 2.96 per unit 25-year PPA, >94% EBITDA margin, INR 320-330 mn annual revenue from Q2FY27) strengthens the ESG and green steel proposition without diverting focus from pipes. With leverage at INR 4.21 bn, management intends to stay disciplined on working capital and capital allocation, targeting a ~INR 100 bn top line in ~5-7 years while prioritising profitability, cash generation and return on capital over growth at any cost.

Perundurai Disruption and Q1FY27 Impact

The Perundurai unit was shut for ~110 days due to a pollution control closure notice effective 31 March 2026, with power disconnected from 4 April 2026. Operations resumed only from 14 July 2026. This led to Q1FY27 volumes of 63,084 MT versus 81,742 MT in Q4FY26, and Q1FY27 revenue of INR 4,291.8 mn versus INR 4,609.6 mn in Q1FY26.

FY27 Volume and Revenue Guidance

Full-year volumes are expected to be broadly similar to last year given the irrecoverable 110-day loss. Revenue is expected to be higher than last year on stronger sales realisations, though the ~25% growth target is not achievable on flat volumes. Absolute EBITDA is guided at ~10% higher than FY26 standalone EBITDA of INR 2,094.2 mn, driven entirely by product mix rather than volume.

Blended EBITDA and Product Mix Economics

FY26 blended EBITDA per tonne was INR 7,258, comprising INR 8,251 per tonne from MS tubes (integrated induction furnace route, 93,249 MT sold, EBITDA INR 769.4 mn) and INR 7,008 per tonne from galvanised and value-added products (183,794 MT sold, revenue INR 11.59 bn, EBITDA INR 1,288 mn). FY27 blended EBITDA per tonne is expected at ~INR 7,500. Higher MS tube and OEM product volumes lift margins, while HRPO, CRFH coil and pipe sales dilute them since raw material is externally procured.

Growth Drivers and Strategic Rationale

Growth will come from improving utilisation of existing capacity across three units, increasing high-value product contribution, expanding the OEM and customer franchise, and driving operational efficiencies into cash flow. Management emphasised that as Hariom produces more of its own primary steel, profitability and per-tonne EBITDA will rise. The company targets a ~INR 100 bn top line in ~5-7 years from FY27, to be achieved through phased capex rather than a single large outlay.

Maharashtra (Gadchiroli) Greenfield Expansion

The project requires ~300+ acres, with MIDC issuing the notification for Hariom. Preliminary agreements cover 136 acres, but land will be acquired by MIDC from villagers, farmers, tribals and the forest department before allocation to Hariom. This is a long-term phased project, not completable in one to two years. The MOU with the Maharashtra government is for INR 30 bn. Hariom is also evaluating a parallel brownfield or greenfield expansion in the interim, with disclosure to stock exchanges at the appropriate time.

Capex and Balance Sheet

FY27 capex is guided at INR 600-700 mn, including the Anantapur unit pipeline, with no volume addition expected in the current year from these projects; full volumes would come ~18 months after project commencement. Total long-term and short-term borrowings stand at INR 4.21 bn. The quarterly finance cost run-rate is ~INR 150-160 mn. The next credit rating review is due in FY27, with the current rating already completed.

Solar Power Venture

Hariom is developing a 60 MW AC project under the PM-KUSUM scheme (Component C) with a 25-year fixed PPA at INR 2.96 per unit and central government capital subsidy. Total investment so far is ~INR 1 bn, including a bank term loan from SBI, with a payback of ~13-14 years against a 20-year loan tenure. Expected annual fixed revenue is INR 320-330 mn with EBITDA margin above 94% and negligible operational risk. Revenue recognition begins from Q2FY27. This is positioned as an ESG, carbon credit and green steel enabler rather than a diversification into power.

Green Steel and ESG Positioning

Management expects that if steel is certified as green steel, realisations could rise from ~INR 55,000 per tonne to INR 85,000 to 90,000 per tonne with identical chemical and physical composition. The differentiator would be lower carbon emissions per tonne of finished steel and renewable energy usage. The solar project supports this framework along with energy efficiency, recycling, water reuse, safety and governance.

Working Capital and Cash Flow

FY26 saw healthy operating cash flow driven mainly by working capital improvement and leverage reduction. Management remains disciplined on working capital, debt, funding cost and capital allocation, with every investment evaluated on return on capital, payback and cash generation capability. The commodity nature of steel means price volatility and occasional dumping can pressure realisations, but Hariom has delivered a CAGR of above 40% over 2022-2026.

Market Penetration and Dealer Network

Hariom has over 900 dealers, with no single dealer contributing more than 4-5% of revenue, reducing dependence on any distributor or customer. Management defines organised versus unorganised by the number of government licences and procedures followed rather than by listing status, arguing that a listed converter may be less "organised" than an unlisted fully integrated producer. Hariom positions itself on quality, consistency and compatibility.

Regional Performance

Maharashtra is performing well in GP products. Supplying Gujarat from Telangana is difficult due to logistics and transit time, and existing material is prioritised for old customers. Meaningful penetration of Gujarat, Maharashtra, Madhya Pradesh and the western and northern markets will require a new unit in that region. The company has already sold products in Maharashtra ahead of the Gadchiroli project and received good acceptance.

Hero MotoCorp Ltd

Outlook: The company expects to outperform the two-wheeler industry in FY27, supported by sustained demand, improving ICE scooter market share, resilient entry-level motorcycle volumes, and a broader premium portfolio. VIDA's market share expansion, capacity ramp-up, and improving unit economics remain key growth drivers, with gross margin breakeven targeted by FY27-end and EBITDA breakeven in FY28. Export growth and higher-value products should support revenue growth ahead of volumes, although commodity volatility and execution of capacity expansion remain key monitorables.

Industry Demand and Outlook

- The two-wheeler industry is expected to register double-digit growth in FY27, supported by strong demand momentum, improving affordability following GST rate cuts, and positive consumer sentiment.
- Industry VAHAN registrations grew by over 20% in H2FY26, while growth remained ~15% in Q1FY27 and is tracking at similar levels in Q2FY27.
- Hero's growth will be driven by its expanding scooter portfolio, EV market share gains, premium motorcycle launches, and a recovery in the entry-level motorcycle segment.

VIDA: EV Strategy and Market Share

- VIDA's EV market share has increased from 4% in FY25 to ~11-12% currently, primarily driven by the VX2 family scooter launched in August 2025.
- VIDA's removable battery technology addresses charging-related concerns, particularly for customers living in apartments, while its Battery-as-a-Service offering improves affordability.
- VIDA has expanded the VX2 lineup across multiple battery configurations and price points, including fixed-battery and 4.4 kWh variants launched in July 2026.
- Management expects further gains through product launches, capacity expansion, improved distribution, and brand-building initiatives, with an aspiration to achieve clear leadership in the EV segment.
- VIDA currently supplies around 400-500 dealerships against a network coverage of ~800 dealers, leaving scope to improve product availability and market penetration.
- VIDA is strengthening its positioning through sponsorships of major sporting events, including the IPL and the upcoming India-New Zealand cricket series.

VIDA: Capacity Expansion and Profitability

- Monthly manufacturing capacity is being scaled up from 15,000 units to 30,000 units, with a further increase to approximately 45,000 units per month by Q4FY27.
- The VX2 portfolio reduced per-unit losses by over 50% in the previous quarter, reflecting improving product economics and a more favourable portfolio mix.
- Management expects VIDA to achieve gross margin breakeven by the end of FY27, supported by profitable new variants, operating leverage, and PLI incentives.
- Hero received ~INR 500 mn in PLI incentives in Q1FY27, covering only 50-60% of its portfolio. The entire portfolio is expected to become PLI-eligible by FY27-end, supporting incremental profitability.
- VIDA is targeting EBITDA breakeven in FY28, with the timeline reflecting its later entry into the EV market and product-development cycle.

EV Competition and Strategic Positioning

- The performance of competitors' upcoming entry-level offerings will determine the intensity of competition in the affordable EV segment; meanwhile, Hero continues to strengthen VIDA's existing portfolio.
- Hero views its investment in Ather Energy as a strategic investment that provides exposure to the fast-growing EV market through two brands with differentiated technologies and go-to-market strategies.
- Hero and Ather are exploring collaboration opportunities in battery and component sourcing, connected vehicles, and charging infrastructure, although discussions remain at an early stage.
- The combined Hero-Ather network comprises approximately 6,000 fast-charging points, with further expansion planned and initial monetisation already underway.

ICE Scooters – Market Share and Capacity

- Hero's ICE scooter market share has increased from ~5% in FY25 to 7% currently, supported by new launches across the Destini and Xoom portfolios.
- New 110cc and 125cc Destini models have supported market share gains in the family scooter segment, with capacity expansion helping address earlier supply constraints.
- The company is expanding capacity for its differentiated Xoom 125 scooter, which features a 14-inch wheel setup. Monthly ICE scooter capacity is expected to increase to 75,000-80,000 units from approximately 40,000-45,000 units at the start of the festive season.

Entry-Level Motorcycles and Premium Portfolio

- Hero's 100cc motorcycle portfolio recorded growth of over 20% in the period discussed, with August growth exceeding 15% and September demand remaining strong.
- The company gained ~40 bps of ICE market share during Q2FY27 up to the latest September data, supported by its entry-level motorcycles and improving scooter contribution.
- The company expects the entry-level segment to benefit from the seasonal recovery in rural demand, although post-festive demand trends remain uncertain.
- The company is targeting two important premium motorcycle launches before December 2026, which are expected to support growth and improve its presence in higher-value segments.

Exports

- The company has delivered export growth of over 40% in each of the previous two fiscal years and expects to surpass 0.5 mn export dispatches and retail sales in FY27.
- Exports were impacted by earthquake-related disruptions and supply constraints, despite a healthy order book exceeding 40,000 units in August.
- The supply situation is expected to normalise from October, and management reiterated that underlying export demand and order-book momentum remain strong.

Revenue Growth and Margins

- Hero expects a favourable product mix, led by scooters, EVs, and premium motorcycles, to support stronger revenue growth relative to volumes.
- Volume growth of ~23% translated into revenue growth of 36%, with an 8% contribution from product mix and the balance from pricing, as indicated by management.
- Despite marginal commodity inflation in Q2FY27, management expects cost-saving initiatives to offset the impact, resulting in broadly stable sequential EBITDA margins.
- Commodity-price volatility and the one-quarter lag in cost absorption make it difficult to provide firm full-year margin guidance. Q1FY27 margins were below the company's 14-16% guidance range.

HFCL Ltd

Outlook: HFCL is poised for a structural multi-year growth cycle driven by hyperscaler and data centre demand, with optical fibre capacity expanding to 43 mn fibre kilometres and cable capacity to 62 mn fibre kilometres by July 2028, alongside 600 tonnes of preform capacity by October 2028. Revenue growth guidance has been raised to a minimum of 60% for FY27, with ~50%+ growth considered sustainable, supported by a ~INR 280 bn order book and improving margins (23.25% EBITDA in Q1FY27 versus 16.7% in FY26). The defence segment offers a second growth pillar, targeting ~INR 40-50 bn by FY30, while data centre interconnect is set to rise to 18-20% of the OFC segment next year. With firm global demand, sustained pricing, no tariff impact, and ~INR 25 bn capex underway, HFCL appears well-positioned to capitalise on a long runway of opportunities through FY29 and beyond.

Capacity Expansion Roadmap

- HFCL is undertaking a major capacity buildout across the optical fibre value chain. Optical fibre capacity stands at 28 mn fibre kilometres, expanding to 34 mn by December 2026 and 43 mn by July 2028. Optical fibre cable capacity is currently 39 mn fibre kilometres, rising to 43 mn by December 2026 and 62 mn by July 2028. The company is also setting up 600 tonnes of preform capacity at a capex of ~INR 12.5 bn, operational by October 2028. This will meet ~50% of captive preform requirements, with the balance continuing to be outsourced from Japanese suppliers Sumitomo and Shin-Etsu.

Demand-Supply Dynamics

- Global annual optical fibre cable demand stands at ~750 mn fibre kilometres against supply of ~600-625 mn fibre kilometres. The shortage is primarily driven by preform availability constraints. Demand is split across hyperscaler data centres at ~400-450 mn fibre kilometres, telcos at ~200 mn fibre kilometres, and defence applications (drones) at ~100 mn fibre kilometres. Demand is expected to reach ~900 mn fibre kilometres by FY29, with the shortage expected to persist. Unlike previous cycles tied to the 2G, 3G and 4G rollouts, this cycle is structural and driven by hyperscalers and data centres, with a runway of at least seven to eight years.

Pricing Trends

- Optical fibre prices have risen sharply. D2 fibre for telcos has moved from ~USD 4-5 per fibre kilometre to ~USD 13-14 per fibre kilometre. A2 fibre for hyperscalers has moved from ~USD 7-8 per fibre kilometre to ~USD 25 per fibre kilometre. Pricing is expected to sustain given the structural demand shift. Telcos have held back capex for the past one to one-and-a-half years expecting price softening, but with prices sustaining, large telcos globally have begun inquiries. The next phase of demand is expected from telcos densifying networks, 6G rollout by FY29, and defence applications.

Geographic Demand Shift

- Current demand is predominantly from US hyperscalers. This is expected to shift to Europe, Southeast Asia, the Middle East, and Asia including India. India has announced significant data centre capex, with cable requirements expected to begin in one to one-and-a-half years. Fibre, cable and data centre interconnect constitute ~5% of total data centre capex, split 50-50 between cable and data centre interconnect products.

Defence Segment Growth

- HFCL has developed land-based defence products including electronic fuses, thermal weapon sights, radars, and multimode hand grenades under a DRDO technology tie-up. The company acquired an aerospace company manufacturing fuel tanks and pylons for fighter jets, with a confirmed export order book of ~INR 16 bn at acquisition, now ~INR 20.5 bn. Defence revenue was ~INR 770 mn last year, with aspirations of ~INR 5 bn this year, ~INR 15 bn next year, and ~INR 40-50 bn by FY30. A defence tender financial bid is likely to open in February 2027. The board has approved ~INR 2.75 bn of capex for ammunition facilities.

Financial Performance and Guidance

- HFCL reported turnover of INR 49.49 bn in FY26, and Q1FY27 revenue was INR 19.15 bn. FY27 growth guidance was revised from 20% to 40%, and now to a minimum of 60% over FY26. EBITDA margin was 16.7% in FY26, improving to 23.25% in Q1FY27; this is seen as sustainable, with further quarterly improvement expected. The operating margin for the OFC, interconnect and telecom networking segment is ~30%, and preform backward integration is expected to improve segment margins by ~2-3 percentage points to ~32-33%. Blended EBITDA is lower due to EPC losses of ~INR 800-900 mn per quarter, which are likely to continue for one to two more quarters.

Order Book

- The total order book stands at ~INR 280 bn. Optical fibre cable and data centre interconnect account for ~INR 190 bn, telecom and networking products ~INR 78 bn, defence electronics ~INR 3 bn, and EPC including O&M ~INR 35 bn. The ~INR 20 bn aerospace export order book is not included, as the acquisition is underway, with consolidation expected by Q4FY27. Two large OFC orders are long-term in nature, with prices revisited annually, while the remainder are short-term (2-6 months). Last quarter alone saw ~INR 40 bn of orders.

Data Centre Interconnect Opportunity

- Data centre interconnect revenue is currently 8-10% of the OFC segment, expected to rise to 18-20% next year. Assembly lines are expanding from 8 to 14, then to 28 by the end of FY27, and eventually to 56. Margins in interconnect solutions are relatively better than optical fibre cable due to higher labour intensity and precision requirements. Approximately 85-90% of revenue is from AI and data centre hyperscalers, predominantly export, with better realisations.

Capex Plans

- Total capex is ~INR 25 bn including ~INR 2.75 bn for defence, to be spent over two to two-and-a-half years: ~INR 10 bn this year, ~INR 10 bn next year, and ~INR 5 bn the year after. Debt currently stands at ~INR 17 bn (INR 13 bn short-term plus INR 4 bn long-term), and is likely to remain at similar levels in H1 before declining substantially by the end of next financial year as cash generation improves.

Competitive Positioning and Tariff Impact

- HFCL is competitive globally on scale, bulk buying, power costs, and economies of scale. Hyperscalers do not buy Chinese products for this segment, limiting competition from China. There is no tariff impact on the company. During the initial 52% US tariff period, customers were willing to reimburse, and the amount was refunded in Q1FY27 as a balance sheet receivable, not a P&L entry. Products are being airlifted with cost reimbursement from customers. No order cancellations have been seen, and customers are firm on commitments given that fibre and cable are only ~5% of their capex.

Revenue Potential

- Peak revenue from the expanded capacity could range between ~INR 110-140 bn depending on market dynamics, pricing, and product mix. Growth of ~50%+ is considered sustainable going forward given order flow, capacity utilisation, raw material availability, and customer engagements. The preform facility, operational from October 2028, will aid margin improvement, with blended EBITDA potentially reaching ~25-26% or better as EPC revenue share declines and interconnect and defence revenue increases.

Highness Microelectronics Ltd

Outlook: Highness Microelectronics is transitioning from a hardware supplier to an end-to-end display solutions provider, focusing on indigenisation to reduce India's reliance on imports. The company is expanding its manufacturing capabilities with a new glass cutting line at Rabale and a planned COG/FOG facility in Goa to enable backward integration. International revenue is growing strongly, the segment mix is diversified, and revenue is targeted at INR 260-280 mn for next year.

Strategic Initiatives & Manufacturing

- **Backward Integration:** Establishing a COG/FOG (chip-on-glass/film-on-glass) line in Goa to manufacture open cell glass in-house, reducing dependence on East Asian imports.
- **Indigenisation:** Commissioning India's first glass cutting line at the Rabale facility to produce bar-type stretch displays locally, which were previously 100% imported.
- **Product Expansion:** Expanding display size capabilities from a maximum of 12.3 inches to 17 inches via the new Goa facility.
- **Global Alliance:** Partnered with Axiom Manufacturing (USA) to explore space research programmes and enter the US rail application market.
- **Software Integration:** Initiated a software application design team to offer complete integrated solutions (hardware + software) to clients like DMRC and Chennai Metro.

Business Segments & Market Position

- **Medical & Healthcare:** The only Indian company manufacturing localised medical-grade surgical monitors with a CDSCO MDR licence.
- **Railways:** Providing driver display units and passenger information systems; currently executing an order for 22 trains for Delhi Metro.
- **Defence & Aerospace:** Specialising in ruggedised, weather-resilient displays for radar stations, warships, and fighter jets.
- **Industrial Automation:** Supplying HMIs for textile machinery, pharma industry panel PCs, and ticketing kiosks.

Financial Performance & Metrics

- **Revenue Growth:** Revenue CAGR of 23%, growing from INR 107 mn (FY24) to INR 161.2 mn (FY26).
- **Profitability:** PAT grew at a 31% CAGR, reaching INR 41 mn in FY26.
- **Revenue Shift:** International revenue has grown significantly, now accounting for more than half of total revenue.
- **Segment Diversification (FY26):** Defence & Aerospace (39.6%), Railway (27.08%), Medical (26.67%) and Industrial Automation (6.68%).
- **Key Ratios (FY26):** ROCE at 28.3%, ROE at 24.7%, and a current ratio of 2.53.

Risks & Blockers

- **Supply Chain:** Ongoing dependency on some third-party sources and stretched global lead times.
- **Market Threats:** Competition from low-cost, poor-quality Chinese products.
- **Project Cycles:** Long gestation periods (2-3 years) for defence and aerospace approvals.
- **Policy Risks:** Potential changes in government policies or delays in receiving state/central incentives.

Other Updates

- **Working Capital:** Management is monitoring increasing net working capital requirements, which will be funded via internal sources and IPO proceeds.
- **Receivables:** Large payments from UAE and Australian customers (Airhost) are being realised, with updates expected in audited financials.
- **Incentives:** Applications for state and central government incentives will be filed once the Goa facility is operational.

Outlook: Highway Infrastructure is diversifying geographically into Tamil Nadu and Eastern India, anchored by INR 1.2 bn of new NH 44 toll contract wins and an INR 700 mn Beverly Hills EPC project to be executed over 15-16 months. FY27 turnover is targeted at INR 8.5 bn, of which INR 7 bn is expected from tolling.

Strategic Initiatives

- **Geographic Diversification:** The company won INR 1.2 bn of NH 44 toll contracts in Tamil Nadu in Q1 and is actively exploring West Bengal, Assam and the wider eastern belt, which is expected to reduce concentration risk within 12-24 months.
- **Beverly Hills EPC Project:** The INR 700 mn contract has a 15-16 month execution window from Q1FY27 and is expected to account for ~45% of the INR 1.5 bn near-term EPC revenue guidance.
- **Technology as a Margin Lever:** Deployment of AI, BIM and data analytics is aimed at multi-site management and reduced manpower, and is framed as a 5-10 year differentiation play.

Guidance and Outlook

- **FY27 Turnover Target:** INR 8.5 bn, of which INR 7 bn (the dominant share) is from tolling and the remainder from EPC.
- **FY27 EPC Revenue Realisation:** INR 500 mn from the 24 projects currently under execution.
- **Near-Term EPC Revenue:** INR 1.5 bn over the next 15-16 months, with Beverly Hills contributing ~45%.
- **FY28 EPC Revenue Realisation:** INR 2 bn from the current EPC order book, which is executable over three years.

Hindustan Zinc Ltd

Hindustan Zinc, India's benchmark integrated zinc-lead-silver producer, delivered record FY26 performance with EBITDA crossing INR 220 bn and revenue crossing INR 400 bn for the first time. For FY27, the company targets mined metal of 1,150 KTPA, refined metal of 1,100 KTPA and silver of 680 tonnes at a cost of production of USD 975-1,000/t; at conservative prices (zinc USD 3,000-3,200/t, lead USD 1,900-2,000/t, silver USD 60-65/oz), FY27 EBITDA could reach ~INR 280-290 bn. Q1FY27 cost was USD 850/t, aided by sulphuric acid prices (USD 970/t excluding this). Growth will come from the Phase 1 expansion of refined metal capacity from 1,144 KTPA to 1,400 KTPA by Q2FY29 (250 KTPA at Debari) and an INR 40 bn tailings reprocessing plant at Rampura Agucha (10 MTPA feed, commissioning Q4FY28), with a significant production jump from FY30. The company remains net cash (~INR 55 bn) while paying dividends and expects to sustain costs around USD 1,000/t. The key factors to monitor are project execution and ramp-up, zinc and silver prices, hedging, the renewable power transition, the royalty outcome on 2030 lease renewals, the silver demerger and critical mineral exploration.

FY26 Performance & FY27 Guidance

- FY26 was a record year operationally and financially, with EBITDA crossing INR 220 bn and revenue crossing INR 400 bn for the first time.
- FY27 targets: mined metal production of 1,150 KTPA, refined metal of 1,100 KTPA and silver of 680 tonnes, at a cost of production of USD 975-1,000/t.
- At conservative assumptions of zinc LME USD 3,000-3,200/t, lead USD 1,900-2,000/t and silver USD 60-65/oz, FY27 EBITDA is expected at ~INR 280-290 bn.
- The company has paid INR 11 per share in dividends so far this year and expects to remain net cash despite capex and dividends; cash stood at ~INR 55 bn.
- Over FY27-29, the focus will be on achieving existing smelting capacity of ~1,150 KTPA, with a significant production jump from FY30.

Cost of Production

- Q1FY27 cost of production was USD 850/t, mainly due to sulphuric acid price benefits; excluding the YoY sulphuric acid benefit, cost would have been USD 970/t, close to guidance.
- Management expects to sustain costs around USD 1,000/t even after expansion, which it considers the most sustainable level.
- Renewable power share is expected to rise from ~22% (August 2026) to ~35% by FY27-end and ~70% by FY28-end (supported by a 530 MW round-the-clock RE agreement), with the remaining ~30% from existing thermal plants. Moving to 70% RE is expected to save ~USD 20-25/t in cost of production.
- After reaching 70% RE, freed-up thermal capacity will support the new smelter capacity from FY30; the long-term goal is 100% RE and net zero by 2050.

Growth Projects

- Phase 1 of the overall 2 mn tonne refined metal expansion, approved in June 2025, will raise capacity from 1,144 KTPA to 1,400 KTPA, with the 250 KTPA integrated smelter at Debari to be commissioned in Q2FY29. Mine development is progressing in parallel across mines to support the incremental smelter requirement.
- The tailings reprocessing plant at Rampura Agucha, with an investment of ~INR 40 bn and commissioning in Q4FY28, will process 10 mn tonnes of tailings annually (tailings contain ~2% zinc and ~25 ppm silver), producing zinc concentrate with ~20-25 ppm silver as raw material security for smelters.
- Only the Century mine in Australia has attempted a similar process globally; the technology is being adapted for HZL's mineralogy. Being new technology, ramp-up may take longer than the usual 1-2 quarters.
- Silver from the tailings concentrate will be recovered via the smelter's fumer plant. R&D is underway on whether germanium and antimony present in ore can be extracted, but quantities may be too small for viable technology.

- Production from both projects may begin partly in FY29, but conservatively a significant jump should be considered from FY30.

Critical Minerals & Diversification

- HZL has won four critical mineral blocks (including tungsten, potash, rare earths and a recently won yttrium block in Karnataka), with exploration to be completed by FY29-30.
- Based on exploration results, the company will decide which blocks are commercially viable; greenfield projects typically take 7-8 years to production, implying output around FY33-34, as HZL aims to become a multi-metal company.
- There are no new zinc-silver mines available in India or globally; the exploration team evaluates government auctions selectively rather than chasing a bid-to-win ratio.
- Annual exploration spend is modest at ~INR 1-2 bn, and all mines are operating at almost 100% utilisation.

Hedging

- Hedging is purely for risk management, to secure EBITDA margins for part of production, not for treasury income.
- The group policy caps hedging at 20% of the next 12 months' rolling production (e.g., 20% of ~880 KT zinc), irrespective of price levels; hedging below the cap is a management call.
- Currently ~7-9% of zinc and silver production is hedged. Silver at USD 60-65/oz is not seen as a hedging opportunity, while zinc at ~USD 4,000/t is being considered for further hedging (potentially up to 10-12%). Silver was hedged when prices were above USD 100/oz.

Mining Leases & Royalty

- Mining leases for Rampura Agucha, Zawar and Rajpura Dariba expire in 2030, while the remaining leases run until 2048. Management sees no risk of non-renewal.
- The key risk is a higher royalty: HZL currently pays ~14-15% of revenue as royalty. In a worst case where royalty doubles to ~30%, EBITDA margin could fall from 55-60% to 40-45%, still well above global underground miners' 25-30%, with volume growth cushioning the impact.
- Management cited the precedent of Cairn's PSC renewal for 10 years with 10% additional profit share, without an auction.

Silver Demerger, Ore Profile & Other Initiatives

- The proposed silver business demerger aims to unlock value, as the stock is seen as undervalued; it would create a pure-play listed silver company. Timing is under discussion with the government and subject to board approval. It is too early to say where the critical minerals business would sit.
- Zinc contributes ~50% of EBITDA and silver ~45%; management highlighted that the share price tends to track silver more than zinc despite zinc at ~USD 4,000/t.
- Ore grade is ~7% (5.5% zinc, 1.5% lead) with ~6.5% ore-to-metal recovery (~80% zinc, ~20% lead). Silver is mainly a by-product of the lead concentrate (95-100 ppm silver).
- Hindustan Zinc Alloys produced 11-12 KT last year from a 30 KT plant, supplying tailor-made alloys to auto manufacturers as they begin using galvanised steel in some car parts.
- The Zinc Park industrial park (with partners such as CMR Green Technologies) is at a nascent, 4-5 year horizon stage with Rajasthan government support. Battery-electric vehicles (including 100 battery-swapping trucks and 10 electric bulkers at Debari) are being deployed in phases across mines as part of the net-zero roadmap.

HOAC Foods India Ltd**Business and Financials**

- The company has moved from a flour-focused business to a broader FMCG one under the Hari Om Atta and Spices brand. Products include fresh chakki atta, healthy flours, spices, rice, pulses and edible oils.
- FY26 revenue was ~INR 501.1 mn versus ~INR 264.8 mn in FY25 (~89% growth). EBITDA was ~INR 73.1 mn (~15% margin) and PAT ~INR 44.1 mn (~9% margin).
- Mix is flours ~49%, spices and rice ~35% and oils and pulses ~14%.
- The customer base is ~120,000. Monthly active customers are ~5,700 with an average cart value of ~INR 730.
- Management would not give a timeline or margin target for the INR 2 bn revenue aspiration. It said only that EBITDA and PAT margins will improve over FY26 levels.

Plant and Capex

- The first mega manufacturing plant (Vidisha, MP) is expected to start production within ~20-25 days, subject to final commissioning and approvals. It covers atta and spices.
- A peanut oil add-on of ~5,000 litres per shift is being set up, with mustard and other oils to follow. The goal is to avoid repeated expansion in the near term.
- The capex phase will be mostly complete this year. The revenue contribution from oils was not disclosed.
- No fundraise is planned. Working capital is funded by bank lines and the earlier QIB round.

Retail and Franchise (B2C)

- Six outlets were added in FY26, taking the network to 23+ outlets, of which 16+ are franchise.
- A master franchise model has been introduced to enter new markets, and new mini stores for Tier 2 cities need lower investment. Mini stores are additional to the earlier guidance of ~7-10 stores a year, which management expects to beat.
- Store expansion is under way in Delhi NCR (Gurgaon, Delhi, Noida/UP). Bhopal has 2 stores with 3 more lined up, and Gwalior, Indore and Nagpur are next.
- B2C targets only the quality-conscious ~30% of consumers, so management says it sees no price-war risk. Of the 245+ SKUs, 80% are made in-house, and the rest are graded and packed pulses and rice.
- Every store has a customisation mill. Orders by app, website or call are milled fresh and delivered in about 2-2.5 hours. Management says it is the first listed SME to operate a chakki chain.
- Protein atta and khapli atta have been developed and will launch soon across B2C, B2B and exports. Tea and coffee are planned, and HoReCa is a future separate segment.
- A centralised retail management system now links the factory, head office and stores.

B2B and General Trade

- General trade covers ~3,000-3,500 outlets, reached through kirana stores, distributors and super stockists.
- The strategy is to win share through a slightly higher margin to the trade and better quality.

Exports

- Volumes have risen from ~2-4 containers a month earlier to 4-5 40-ft containers a month in the current order book. Buyers are in the UK (Southampton), US (Silicon Valley) and Australia (Perth, Sydney, Melbourne).
- The split started at 50:50 own brand and white label, and is now shifting toward own brand. Own brand earns a higher margin, and distributor tie-ups are under discussion.
- Management is targeting only countries with a large Indian diaspora where it already has licences (it holds US FDA approval). Japan and China are being avoided for now because of compliance hurdles.
- Differentiation is Sharbati MP wheat and a water-free grinding process that retains the bran.
- Wheat and flour export policy changes also open an opportunity, and buyers are already interested.
- Big-box chains abroad (Walmart, Costco) are being avoided for now because of display and listing costs.

Margins

- B2C gross margin is ~30-32% and B2B gross margin ~15-20%.
- Marketing spend is ~INR 10 mn a year, mostly offline: exhibitions, society marketing, leaflets and digital.

Raw Materials and Working Capital

- All wheat (100%) is sourced from MP, directly from farmers and through mandis (the company has its own licence), with a broker as intermediary.
- Wheat prices are higher, but management says the buying position is strong and it has stocked raw material for the next five months. It does not expect a margin hit, and says B2C and exports can absorb price changes.
- Last year's margin hit came from buying raw material off-season.
- Operating cash flow has been negative because of receivables, which management attributes to its focus on sales growth. It was about -INR 61.8 mn in FY25, and management expects an improvement this year.

Listing

- The company listed on the SME platform in 2024 and plans to migrate to the main board after three years (May 2027); ~80% of the eligibility criteria are already met.

HRH Next Services Ltd**Business**

HRH Next is a regional-language customer experience (contact centre) company. Its roots go back to Hyderabad Radio House (1938), and the current business started in 2007.

It runs 8 centres in Hyderabad, Warangal, Nizamabad, Bangalore, Tumkur, Coimbatore and Palakkad, with 2,000+ staff working in 11 languages. All revenue is domestic.

Its AI platform, Aina, offers real-time agent assistance, chatbots and automated calling, and started earning revenue in FY26.

FY26 revenue was ~INR 680 mn, including ~INR 70 mn from AI. EBITDA margin was ~19% and PAT margin ~7%, with PAT up ~54%.

It has ~20-25 active clients. The top 4-5 (Swiggy since 2016, Vodafone since 2011, mPokket and Cars24) make up ~80-90% of revenue.

Average client tenure is 5-6 years on 3-year contracts, and management says no major client has left.

Guidance

FY27 revenue growth is expected to be at least ~25%.

Sustainable EBITDA margin should be ~25% or more, driven mainly by AI.

ROCE fell from ~27% in FY23 to ~14% in FY26 and is expected to recover to ~20% this year. Management expects free cash flow to turn positive this year.

A delivery centre in North India (Hindi belt) is planned for the coming quarter.

Operations and Balance Sheet

Seat utilisation is ~80%, against breakeven at ~75%. Receivables are ~60 days.

Centres are in Tier 2 and 3 towns because talent there is better suited to regional languages and staff turnover is lower.

Margins improved through higher revenue, pricing and cost control. Management says the core contact centre business already earns industry-leading margins.

Borrowings rose from ~INR 95 mn to ~INR 177 mn while cash is only ~INR 30 mn. EMIs on unsecured loans exceed ~INR 5 mn a month.

Management wants to raise capital through compulsorily or optionally convertible debentures to repay unsecured loans and fund AI and new centres. It also sought investor views on funding options and cost.

Management does not see AI replacing contact centres, as it expects customers to keep wanting to reach a human.

HRS Aluglaze Ltd**Business & Strategic Positioning**

- **Company Profile:** HRS Aluglaze is an Ahmedabad-based aluminium contracting and facade manufacturing company operating across India (including Kolkata, Bangalore, Hosur and Rajasthan).
- **Shift to "Design and Build":** The company is transitioning from a traditional installer/fabricator into a full design-and-build partner. Key differentiators include an in-house design team, in-house powder coating plant, and proprietary system designs.
- **Proprietary Systems:** HRS Aluglaze has designed 8-9 in-house systems currently under testing and approval, aimed at enhancing profitability.
- **International & Export Focus:** The company is in discussions with Middle Eastern entities for job work and outsourcing opportunities.

Financial Performance & Guidance

- **Strong Growth:** FY26 revenue grew by 60%, while PAT nearly doubled.
- **Seasonality & Outlook:** Revenue in Q1 and Q2 was relatively slow due to climatic uncertainties and site delays. However, management is bullish on Q3 and Q4, expecting to meet full-year financial targets as execution picks up momentum.
- **Margins:** Operating and gross margins remain strong (targeting 20-25%+), driven by high-value design-and-build contracts, in-house services, and disciplined order selection.

Order Book & Sales Pipeline

- **Unexecuted Order Book:** Currently INR 1.4-1.6 bn, of which INR 0.85-1 bn is targeted for execution in the current financial year.
- **Sales Pipeline:** The quoted sales pipeline in its subsidiary stands at INR 14 bn (clarified that this is a pipeline, not a confirmed order book). Management expects a conversion rate of 20-25%.
- **Client Mix:** The mix has shifted from 85% existing and 15% new clients to ~60% existing and 40% new clients.

Capex, Robotic Facility & Capacity Expansion

- **India's First Robotic Line:** The company is setting up an automated facility with India's first robotic assembly line for glazing and fenestration next to its main plant. Equipment is being evaluated from suppliers in Japan, Italy and Germany.
- **Timeline:** Civil construction is nearing completion (slated for October), with machinery ordering underway and plant commissioning targeted for December.
- **Execution Capacity:** Once operational, the facility will enable an execution capacity of INR 3.5-4 bn, with peak capacity utilisation expected around FY30-FY31.
- **Funding:** The facility is funded primarily through IPO proceeds, with plant and machinery supported by bank financing.

Cost Efficiency, Raw Material & Risk Management

- **AI Integration:** HRS Aluglaze is testing internal AI design tools for facade drawings (currently at 75-78% accuracy), significantly reducing human intervention and operational costs.
- **Pass-Through Model:** Raw material price fluctuations (aluminium system sourcing) are passed directly through to clients without speculative hedging.

Hubtown Ltd

Outlook: Hubtown reported a strong Q1FY27 start, with INR 5.35 bn in pre-sales and INR 3.2 bn in collections, while maintaining full-year pre-sales guidance of INR 60 bn (pro forma, including entities to be merged). The company is mid-transformation under Hubtown 2.0, targeting zero net debt by FY31 through OC milestones, debt refinancing and a potential FCCB raise. Corporate consolidation via three share-swap schemes of arrangement is progressing, with two awaiting final NCLT sign-off.

Q1FY27 Financial Performance

- Revenue: INR 1.56 bn (consolidated), flat sequentially versus Q4FY26.
- Profitability: PBT of INR 320 mn and PAT of INR 270 mn.
- Pre-sales and Collections: Pre-sales of INR 5.35 bn and collections of INR 3.2 bn.
- Multi-Year Trend: Since FY23, area sold has doubled to 1.04 mn sq ft, pre-sales have tripled to INR 44 bn and collections have nearly doubled to INR 19.1 bn.

Corporate Consolidation & Structure

- Three share-swap schemes will merge Hubtown Rising City, 25 West, 25 South and 25 Downtown (~6 mn sq ft) into Hubtown Ltd.
- Two schemes have stock exchange approval and await final NCLT sign-off; the third scheme is seeking exchange approval.
- The fully diluted share count post-merger will be ~300 mn shares, with a promoter holding of ~69%.
- Specific revenue and inventory bifurcations between the parent company and the entities to be merged were not provided, as management is treating them as a single entity.

Key Projects Status

- 25 South (Prabhadevi): Three towers of 57 storeys, >90% sold; one tower has been delivered, with OC received for the North Tower. Total sale value is INR 56.5 bn.
- 25 Downtown (Mahalakshmi): 3.68 mn sq ft across five residential towers and one commercial tower; ~50% sold, with four of the five residential towers launched.
- 25 West (Bandra): 4.6 acres; the first tower has been launched and is 80% sold, with construction ~70% complete.
- Sunstream City (Mulund/Thane): A 141-acre, 26.64 mn sq ft gated township, with approvals secured.
- Hubtown Seasons (Chembur): Phase 1 (~6 towers) is nearly sold out; Phase 2 will add premium residences and commercial space.
- Rising City (Ghatkopar): A PPP with the Maharashtra government; Phase 1 is 80% sold, and five of six towers have received OC.

Debt & Deleveraging

- The current average cost of debt is 15%; management is targeting a reduction in both quantum and cost.
- Near-term OC receipts (Ghatkopar, Chembur, Bandra and the 25 South centre tower) are expected to release RERA escrow funds and accelerate debt repayment.
- Short-term debt refinancing (<1-year horizon) is impractical, as lenders prefer 2-3 year tenures; medium- to long-term refinancing is being actively pursued.
- FCCB Raise (~USD 150 mn): An enabling provision is in place, with proceeds to be directed towards project execution on the current land bank and/or debt reduction.

Pre-Sales Guidance & Revenue Mix

- Full-year FY27 pre-sales guidance is maintained at INR 60 bn (pro forma, including the entities to be merged).
- ~50-60% of FY27 pre-sales are expected from projects to be merged.
- The lag between collections and pre-sales reflects the construction stage of projects, e.g., 25 West (~50-60% collected) versus 25 Downtown (~20% collected at plinth stage).

Portfolio & Strategy

- Land Acquisition Philosophy: The company is agnostic to scheme type (SRA, JV, JDA or PPP) and focuses on acquiring land at the lowest possible cost relative to competitors.
- Segment Coverage: From INR 7.5 mn (320 sq ft in Andheri) to INR 3+ bn (penthouse at 25 South); the company is positioned as one of Mumbai's highest-selling luxury developers for 3-4 consecutive years.
- Near-Term Priority: Executing on the existing land bank and reducing debt rather than acquiring new projects.
- Commercial/Rental Portfolio: Management confirmed its intent; approvals are being applied for and equity partners explored, with the exact scale to be determined as debt reduces.
- Mumbai Market Outlook: Management is confident in MMR resilience, with pricing expected to track the broader equity market trajectory.

Pending Milestones

- Exact OC timelines for Ghatkopar, Chembur and Bandra have not been committed, as they depend on government approvals.
- The timeline for final exchange and SEBI approvals for the merger schemes was not specified.
- The scale and structure of the future rental/commercial portfolio will be defined over the next two years.

Identixweb Ltd

Outlook: Management expects growth to remain broadly similar to FY26, supported by rising product installations, existing service projects and continued growth at subsidiary Munim ERP. Near-term EBITDA margins may moderate as the company continues to invest in R&D, new products and marketing, with margins expected to stabilise over the next 1-2 years. Key monitorables include traction of new products, adoption of the AI-led platform-agnostic analytics offering, cross-sell across the 14,000+ merchant base, merchant churn, Shopify platform dependency, revenue concentration in iCart/Stellar, margin trajectory and progress towards main board migration.

Business Overview

- Identixweb has 9+ years of operating experience, with a business model spanning IT services and SaaS-based Shopify applications.
- The company currently offers 13 Shopify applications and serves 14,000+ active merchants across 50+ countries.
- IT services include Shopify store development, customisation, app development, web/mobile development, integrations, performance optimisation, and maintenance.
- The company has delivered 100+ IT service projects and has received 1,300+ product reviews across its applications.

FY26 Performance

- Revenue from operations grew 43.5% YoY to INR 130 mn in FY26 from INR 91 mn in FY25.
- EBITDA increased to INR 75 mn from INR 59 mn, while EBITDA margin moderated to 57.5% from 65.2%.
- PAT increased to INR 47 mn from INR 33 mn, while PAT margin declined to 30.6% from 36.0%.
- Margin moderation was attributed to investments in new product development, R&D and marketing.

Flagship Products

- iCart and Stellar remain the company's key products, together contributing ~70% of portfolio revenue.
- iCart provides pre-purchase upselling through product recommendations, bundles, discounts and cart-level offers.
- Management indicated that merchants effectively using iCart can achieve around 30% higher average order value.
- Stellar enables merchants to offer customers specific delivery and pickup dates/time slots and currently serves 3,500+ merchants.

Product Expansion

- The portfolio covers post-purchase upselling, loyalty, wholesale pricing, reordering, payment/shipping controls, shipping rates and order management.
- Sell More provides post-purchase upselling and management indicated 10-20% higher orders among merchants using the product.
- The company follows a product experimentation model, developing new applications and retaining products that demonstrate sufficient merchant traction.
- Management indicated that several additional products have been developed as part of the company's R&D pipeline.

Identixweb Ltd**Global Presence**

- Around 90% of customers are from international markets, with products being used across 50+ countries.
- The US contributes >50% of revenue, followed by markets including the UK, Canada and Australia.
- India contributes approximately 20% of revenue.
- International exposure is therefore already established rather than being dependent on future geographic expansion.

Shopify Dependency

- The current portfolio remains heavily dependent on Shopify, with approximately 30 applications built for the platform.
- Management is developing a platform-agnostic AI analytics product that can work with Shopify, Magento, WooCommerce and custom websites.
- The product is intended to provide a potential diversification avenue beyond the Shopify ecosystem.
- Existing IT services also provide revenue opportunities independent of Shopify.

AI Opportunity

- AI is being integrated into iCart and Sell More to improve product recommendations, upselling and bundling.
- The company tracks customer behaviour including traffic source, geography, device, products viewed, cart movements and historical purchases.
- This data is expected to help predict the products most relevant to individual customers.
- The AI recommendation engine remains under testing and development.

Competitive Position

- Management highlighted its 9+ years of e-commerce experience and understanding of merchant requirements as key competitive strengths.
- The company competes with both larger players and other Shopify application providers.
- Long-standing customers, product reviews and accumulated platform experience are viewed as supporting customer retention.
- Management acknowledged that competition remains an ongoing feature of the industry.

Margin Outlook

- EBITDA margins are expected to moderate in the near term due to ongoing R&D and marketing investments.
- Management expects margins to stabilise after 1-2 years as current investments mature.
- This implies a near-term trade-off between profitability and investments aimed at expanding the product portfolio.

Revenue Mix

- The company intends to increase revenue per merchant by cross-selling additional applications.

Identixweb Ltd**Churn**

- Management acknowledged that merchant churn is an industry challenge amid increasing competition and AI-led disruption.
- Multi-product adoption is viewed as a key retention lever.
- Merchants using multiple Identixweb applications are considered more likely to remain with the company due to the broader solution set.
- Bundled pricing is being used to encourage customers to adopt additional applications.

Cross-Sell Potential

- Management does not currently track or disclose a formal cross-sell attach rate across its 14,000+ merchants.
- Merchant product combinations vary depending on individual business requirements.
- In certain cases, merchants can use three products while being charged for two, supporting deeper product penetration.

Platform Risk

- Shopify's continued expansion of native functionality remains a key competitive consideration.
- Wholesale Hero faces greater platform-level exposure as Shopify continues developing its own B2B capabilities.
- Management has moderated incremental investment in Wholesale Hero until Shopify's B2B offering becomes more stable.
- Stellar has lower dependency risk due to its broader delivery-related ecosystem, including payment, shipping and rate-management products.

Customer Acquisition

- The Shopify App Store remains the primary installation channel for the company's public applications.
- Management likens the Shopify App Store to the Google Play Store and Apple App Store as the mandatory distribution marketplace for Shopify applications.
- The company supplements marketplace discovery with SEO, social media and e-commerce marketing.
- Management did not disclose a specific CAC/LTV ratio.

Main Board Migration Plan

- Management indicated plans to transition from the BSE SME platform to the main board in approximately two years.
- The company also highlighted the rapid growth of its subsidiary, Munim ERP Pvt Ltd.
- Specific details regarding free float, institutional participation and the transition process were not disclosed due to applicable regulatory requirements.

Growth Outlook

- Management indicated that FY27-FY28 growth should remain broadly similar to FY26, without providing specific numerical guidance.
- Standalone growth assumptions include existing fixed-value service projects and continued growth in product installations.
- Munim ERP is expected to benefit from its expanding business, a new Bangalore branch and recurring/renewal revenue.

Imagicaaworld Entertainment Ltd**Q1FY27 Performance**

- Park footfalls rose 22% to 1.154 mn from 946,000. ARPU was flat. Park revenue grew 22% to INR 1.61 bn from INR 1.32 bn.
- Hotel revenue fell 2% to INR 158.3 mn. Occupancy slipped to 62% from 65%, and ARR rose to INR 9,657 from INR 9,522.
- Total revenue was INR 1,776 mn (versus INR 1,481 mn). EBITDA was INR 900 mn (versus INR 726 mn), with margin at 50.7% (versus 49%).
- Q1 is ~40-42% of annual revenue. Last year's Q1 was hit by an early monsoon, which drove the FY26 profit decline.
- The Imagica water park was shut for ~5-6 days before this year's monsoon as a state precaution over dam water levels.

Hotel Sale to Juniper Hotels

- A term sheet was signed for a slump sale of the Imagica hotel (287 rooms) for INR 2.48 bn. Shareholder approval takes ~1.5 months, and cash should arrive by the end of this quarter.
- The hotel was a non-core asset and needed reinvestment. Park and hotel packages will continue, and nearby hotels (Radisson, Grand Mastiff) add flexibility.
- The proceeds will be used for expansion, as an inorganic war chest or to reduce debt.

Shankus Water Park (Gujarat)

- Imagica is taking a 50% stake in a joint venture owning a 25-acre water park near Mehsana, 45-60 minutes from Ahmedabad. About 10 adjacent acres are included.
- ~INR 500 mn will be invested to add dry and amusement rides and make it all-weather.
- The Sabarmati Riverfront project in Ahmedabad is separate, with capex of ~INR 1.3 bn.

Funding and Balance Sheet

- Warrants issued at INR 73 per share are being converted. About INR 1 bn will pay the last tranche for the Wet'n'Joy acquisition (INR 6.3 bn total, INR 5.3 bn paid) due in October. The rest goes to general corporate use, including ride upgrades.
- Warrant shares are locked in: 80% for three years and 20% for one year.
- Debt is ~INR 3.5 bn on a 10-year schedule. Management expects it to stay near INR 3.5 bn in FY28, and rise to ~INR 4 bn if a new geography is signed. The company is A-rated.

Network and Expansion

- Imagica has nine parks and plans one new park a year. KPIs are now disclosed by catchment: Mumbai-Pune, rest of Maharashtra, Gujarat and Central India.
- Land is the main challenge. Management prefers PPP or long leases, which cut project cost by ~20-22%, and is focused on B/C cities plus Delhi NCR and the South.
- Strong summers help water park demand, and water risk is seen as manageable. The parks run zero-liquid-discharge, reuse ~90% of water and use only ~20% of contracted supply.

Indoor Entertainment

- Hello Park: a kids' indoor concept for ages 4-14, with exclusive India rights. Capex is INR 80-100 mn per centre, and a third site (~INR 300 mn combined) is being evaluated.
- Two sites are signed, and the first (Hyderabad) is expected near Diwali or in Q3. The plan is 3 centres a year and 8-10 within 3 years, with IRR of 18-22%.
- Dave & Buster's: Three centres are open at the promoter level (Bengaluru, Andheri in Mumbai and Delhi), with exclusive India rights for the format. Moving it into the listed company is under board evaluation.

Pricing and Returns

- A moderate tariff increase and lower discounting are in progress. The ticket to non-ticket revenue split is ~70:30, targeted at 65:35 and then 60:40.
- EBITDA margin is 40-45% for outdoor parks and ~25-30% for indoor. ROCE for outdoor parks is ~15% at maturity.
- The state GST refund is INR 70-80 mn a year. A participant cited a figure of INR 8.25 bn, which management clarified relates to the larger total entitlement rather than the annual refund.

India Homes Ltd

India Homes (formerly India Steel Works) is a turnaround story in its early innings: a legacy steel manufacturer that has resolved its debt, pivoted to Mumbai-focused real estate redevelopment and is assembling a pipeline with a combined GDV of ~INR 50 bn across Khopoli, Chembur, Matunga and Vadala. The group has two decades of execution experience in Mumbai redevelopment and is adopting an asset-light JV/share-swap model to bring group-held land banks into the listed entity without heavy capital outflows. Revenue recognition begins in FY28 at the earliest, making this a pre-revenue, optionality-driven thesis for now.

Debt Resolution & Transformation

- The company repaid Kotak Bank in full (September 2025) and reached a settlement with JC Flowers (March 2026). The balance payments to JC Flowers are due by the end of December 2026 and will be funded through an e-auction of plant and machinery (mjunction appointed; the auction is expected around Diwali).
- The company has been renamed from India Steel Works to India Homes. FY26 marks the decisive shift from stainless steel manufacturing to real estate redevelopment.
- Brought-forward losses on the balance sheet provide a tax shield for future profits.

Project Pipeline

- Waterfall Enclaves (Khopoli): Erstwhile factory land, developed in a JV with Lloyd's Realty. GDV is INR 30+ bn; India Homes receives a 20% revenue share plus 40% of profit, with expected revenue to India Homes of INR 6-8 bn. It is a mixed development (plotted, residential and commercial). Land use conversion is pending (6-8 months), with revenue from FY28/FY29 and full execution over 5-6 years in phases.
- Duke's Court (Chembur): An SRA redevelopment on 4,200 sq m of land with 139 tenements and GDV of ~INR 10 bn. The LOI from SRA is at the final stage, and the company is in talks with a Category A builder as a partner. India Homes' share is INR 2-2.5 bn.
- King's Court (Matunga): A redevelopment adjacent to the completed Aden Court project, with GDV of INR 3-4 bn. It is currently held in group entity Level Enterprises, and AGM approval has been received for India Homes to become the majority stakeholder via a share swap.
- India Court (Vadala West): A smaller redevelopment near the railway/monorail station, with GDV of ~INR 1.5 bn. MHADA permissions have been received and tenants have agreed. It is fully owned by India Homes.
- Total identified pipeline GDV is ~INR 50 bn. Additional land banks include Vadala East (150,000 sq ft of additional FSI, GDV of INR 7-7.5 bn), the Vadala West cluster (GDV of ~INR 10 bn) and Sewri (details not disclosed).

Business Model & Capital Strategy

- Asset-Light Model: Share swaps and JDAs are preferred over conveyance, avoiding stamp duty of 5-6% and heavy capital outlay. Projects are brought into India Homes either via majority share purchase of group entities or via JDAs.
- Redevelopment offers structurally higher margins than the erstwhile steel business. Cost discipline from factory operations is being applied to construction.
- No equity dilution is planned. Promoter holding is ~35-36%, with plans to increase it by converting promoter advances into shares through a rights issue.
- Minimal cash outflow is expected until revenue commences. Active discussions are underway on 5-6 additional projects (Santacruz, Bandra West and further projects in Matunga).

Completed Projects (Group Track Record)

- The Link (Andheri; 100,000 sq ft; 2007; commercial and residential), MG Greens (Vadala East; 150,000 sq ft; fully sold out) and Aden Court (Matunga Five Gardens; 125,000 sq ft; designed by Hafeez Contractor and executed by Ahluwalia).

Guidance

- Revenue will begin in FY28 at the earliest. The company has offered to share detailed financial projections for one-, two-, three- and five-year periods separately.
- Khopoli land use conversion is expected within 6-8 months. Closure of the JC Flowers settlement and the plant e-auction by December 2026 will fully clean up the balance sheet.

Indian Phosphate Ltd

Outlook: Indian Phosphate operates two verticals: chemicals (~85% of revenue) and phosphate fertilisers (~15%), with manufacturing in Udaipur, Rajasthan and Cuddalore, Tamil Nadu. The chemical segment is anchored by LABSA 90%, an anionic surfactant supplied to detergent and FMCG companies on a B2B cost-plus model. The fertiliser segment produces single super phosphate (SSP) under the Ankur SSP brand, distributed across 14+ states and expanding to 18.

Integrated Value Chain

- The company has secured its supply chain from source to finished product. For chemicals, it has a long-term sulphur tie-up, captive sulphuric acid production at Cuddalore, and LABSA output across two plants (450 tonnes per day combined). For fertilisers, a rock phosphate mine in Madhya Pradesh provides backward integration. Forward integration into magnesium sulphate and NPK complex fertilisers is being explored.

Capacity Ramp-Up Underway

- The Cuddalore sulphuric acid plant became operational in FY26 using IPO proceeds, and the LABSA plant there has recently started. The company targets 80-85% utilisation at its chemical plants and is ramping up fertiliser utilisation from the current ~65%. Global DAP supply disruptions (prices moving from ~USD 600 to USD 1,000 per tonne) are creating strong replacement demand for domestically manufactured SSP.

ICD Logistics Venture

- Indian Phosphate holds a controlling stake in an ICD and multimodal logistics project near Jaipur on the Dedicated Freight Corridor. Total capex is ~INR 2.9 bn, with ~INR 350-450 mn to be funded by Indian Phosphate through internal accruals. The project has an 18-month execution timeline and will not require any equity dilution.

FY26 Financial Performance

- Consolidated revenue grew 23% YoY to INR 10.72 bn. EBITDA more than doubled to INR 452 mn, and PAT rose over 3x to INR 236 mn. EBITDA margin improved from 2.4% to 4.2%, and PAT margin from 0.8% to 2.2%. Standalone PAT of INR 214 mn was the highest in the company's history. The company has no term debt; all borrowings are for working capital (D/E of 0.37x).

Guidance

- Q1FY27 standalone revenue came in at INR 4.36 bn (+81% YoY, +43% QoQ), signalling strong momentum. The company expects a significant improvement in both revenue and EBITDA in FY27, driven by the ramp-up of the Cuddalore plants and the commencement of fertiliser import distribution. The ICD and NPK projects are expected to contribute from FY28 onwards. No specific margin guidance was given due to the volatility of crude-oil-linked raw materials.

View

- Indian Phosphate offers an integrated chemicals and fertilisers play with structural tailwinds from DAP substitution and Make in India. At ~8x trailing P/E on a revenue base exceeding INR 10 bn, the valuation is undemanding. However, thin EBITDA margins (~4%) and high raw material intensity are structural features of this business. The ICD project and NPK capacity expansion could be medium-term catalysts if executed on schedule.

IndiQube Spaces Ltd

Outlook: IndiQube is positioned as a large-scale, enterprise-focused flex workspace provider with a dominant presence in South India. The company aims to sustain revenue growth of 25-30% over the next few years, with EBITDA margins of 12-21%. Its strategy focuses on curated supply across Tier 1 and Tier 2 cities, specifically targeting Global Capability Centres (GCCs), which currently drive 53% of revenue.

Business Model & Product Lines

- **GROW:** The core plug-and-play workspace model, contributing 83% of total revenue.
- **Value-Added Services:** These contribute 17% of revenue and comprise:
 - **DesignQube:** Interior fit-out as a service.
 - **IndiCare:** Facility and asset maintenance for office and retail spaces.
 - **Eco:** Sustainability arm focusing on green certifications and solar power.
 - **MyQube:** Overarching technology layer with over 1.5 mn downloads in the last year.

Operational Metrics & Financials

- **Portfolio Scale:** ~137 properties across 17 cities, totalling 10.6 mn sq ft.
- **Occupancy:** Portfolio occupancy ranges from 80-85%, with steady-state occupancy (centres >12 months old) at 85-90%.
- **Unit Economics:**
 - **Capex:** Standard cost of INR 1,650 per sq ft, with a recovery period of 36 months.
 - **Realisation:** Average revenue of INR 200 per sq ft.
 - **Breakeven:** Centres typically reach operational breakeven at 55-60% occupancy within 6 months.
 - **Profitability:** EBITDA margins are 12-21%, EBIT margins are 12-13%, and PAT margins are 8-9%.

Supply & Client Strategy

- **Supply Strategy:** Uses a mix of renovated old properties in CBDs, campus environments in peripheries, and floors within tech parks.
- **Client Profile:** Focused on large-size, long-stay enterprises; 90% of occupancy comes from clients with >100 seats.
- **Client Mix:** GCCs (53%), Indian enterprises (30%) and unicorns/start-ups (24%).
- **Competitive Edge:** Differentiates through a "hub-and-spoke" model and deep talent landscape insights to proactively source supply in budding micro-markets.

Strategic Advantages & Risks

- **Lease Structure:** Employs a straight lease model over managed aggregation to provide stability for landlords and better economics for clients.
- **Lock-in Dynamics:** Landlords are locked in for 15-20 years, while IndiQube maintains flexibility with a 38-month lock-in.
- **Market Position:** The largest player in South India, leveraging the high density of GCCs in Bangalore, Chennai and Hyderabad.
- **AI/IT Impact:** While demand from traditional Indian IT services has slowed, demand from GCCs across various sectors (e.g., healthcare) remains intact.

Indo Borax & Chemicals Ltd

Outlook: Indo Borax & Chemicals has entered a transformational era following a formal change in control on 23 January, with Zenrock Chemicals Holding acquiring a controlling stake and taking over as the new promoter group. Zenrock initially secured a 50.8% stake in the company and currently holds ~39% equity following the completion of a mandatory open offer. The transaction marks a shift toward institutionalised, professional management designed to scale the legacy chemical business into a broader specialty chemicals platform.

Professional Leadership Team

To execute its growth vision, the incoming promoter group has onboarded a full professional leadership team. The team is led by Managing Director & CEO Suresh Kalra, who brings nearly 28 years of global chemical sector and MNC leadership experience. Other senior appointments include a new Chief Commercial Officer & CHRO (Kamesh Joshi), a Chief Financial Officer with extensive pharmaceutical industry experience at Lupin, and experienced functional heads overseeing plant operations and global supply chain management.

Promoter Continuity & Transition Assurance

To safeguard core institutional knowledge and prevent operational disruption, the incoming management structured a 36-month formal consultancy agreement with the founding promoters. The outgoing promoter family will actively assist the executive team with research and development, key client relationships, and raw material procurement. Furthermore, the founding promoters retain 50% of their personal shareholding (reclassified under the non-promoter category), signalling strong alignment with the company's long-term value creation strategy.

Monopoly in Pharma/IP-Grade Boric Acid

The company holds a unique strategic moat as the sole domestic manufacturer of pharma/IP-grade boric acid in India, backed by mandatory BIS certification. IP-grade products command premium pricing, generating 8-10% higher realisations than standard technical grades. Currently accounting for 6-8% of revenue, this high-margin segment supplies critical excipients to pharmaceutical manufacturers, consumer personal care brands, cosmetics makers and specialised industrial lubricant producers.

Technical-Grade Boric Acid

Technical-grade boric acid is the foundation of Indo Borax's operations, accounting for ~80% of total sales volume. It is a key input for ramming mass and refractory materials used in steel manufacturing and induction furnaces, and a core raw material for the glass, fibre optic and ceramics industries.

Agricultural Micronutrient Growth (DOT)

Indo Borax manufactures disodium octaborate tetrahydrate (DOT), an essential soil micronutrient used to correct boron deficiencies in agricultural crops. DOT currently contributes 7-8% of total revenue. The Indian market for DOT is estimated at ~10,000 tonnes annually, and domestic demand relies heavily on imports (~8,500 tonnes a year). Indo Borax produced 900 tonnes last year and is ramping up production to 1,400-1,700 tonnes this fiscal year, against installed capacity of 4,000 tonnes, to substitute imports.

Organic Debottlenecking & Capacity Utilisation

The Pithampur facility has installed capacity of 20,000 tonnes per annum. Having produced ~15,000 tonnes in FY25, management is executing an organic debottlenecking programme to increase output to 17,500-18,000 tonnes by FY27. This aims to raise capacity utilisation to 90-95% without major capex, driving operating leverage and margin expansion.

Downstream Expansion into Boron Oxide

As part of Phase 1 of its downstream expansion roadmap, Indo Borax has initiated capex to set up local manufacturing of boron oxide. India currently relies entirely on imported boron oxide. This value-added derivative commands 2.5-3x the price realisation of standard boric acid. The project has a 12-18 month commercialisation timeline, with capacity utilisation planned at 30-40% in FY28 and 100% in FY29, alongside future captive boric acid expansion.

Product Pipeline & Future Derivative Phases

Beyond Boron Oxide, management is evaluating Phase 2 and Phase 3 downstream development programmes centred on zinc borate, a fire-retardant additive widely used in plastics, polymers, textiles, and coatings. Technical feasibility, process chemistry, and market entry strategies are currently undergoing detailed evaluation by internal commercial and technical teams.

Strategic Acquisition of Kronox Lab Sciences

In a major inorganic expansion move, Indo Borax acquired a 64.26% controlling stake in Kronox Lab Sciences Ltd, a publicly listed specialty chemicals manufacturer. Kronox adds a high-margin product portfolio of 185 high-purity chemical products supplying pharmaceutical excipients, active pharmaceutical ingredients (APIs), laboratory reagents, biotech applications, and nutraceuticals. The transaction was funded through a combination of internal cash reserves, liquidation of liquid mutual funds, non-core asset sales, and external acquisition finance.

Manufacturing Scaling & Dahej Capex Programme

To support Kronox Lab Sciences' medium-term growth trajectory, management has formally approved an INR 1.1 bn capex plan. The capex will be deployed on newly acquired land at the industrial hub in Dahej, Gujarat, establishing state-of-the-art infrastructure to significantly expand Kronox's manufacturing capacity and global client footprint.

Capital Discipline & Non-Core Real Estate Monetisation

Under new leadership, Indo Borax is enforcing strict capital allocation discipline by liquidating historical non-core real estate assets, including commercial office premises and residential apartments. Proceeds are being recycled directly into high-return chemical manufacturing operations. The remaining legacy office spaces are slated for sale, which will end the historical rental income stream and focus the revenue model on core chemical manufacturing.

Corporate Restructuring & Balance Sheet Streamlining

To reduce administrative overhead and optimise capital structure efficiency, the board of directors approved the formal amalgamation of its wholly owned subsidiary, Indo Borax Infrastructure Pvt Ltd. The merger consolidates balance sheet resources, simplifies corporate compliance, and concentrates management focus entirely on chemical operations.

Historical & Q1 Performance Benchmarks

Under the outgoing management, Indo Borax delivered FY25 revenue of ~INR 1.75 bn and PAT of INR 425 mn. Demonstrating early momentum under the new leadership, the company reported Q1 revenue of ~INR 700 mn and EBITDA of INR 198 mn.

Near-Term Guidance (FY26 & FY27)

For FY26, consolidated revenue is projected at ~INR 2.15 bn, with a PAT target of INR 500 mn. For FY27, revenue guidance is INR 2.5-2.65 bn, supported by higher debottlenecked volumes and an improved product mix.

Medium-Term Growth Targets (Standalone Units)

Over a 2-3 year horizon, management targets scaling standalone Indo Borax revenue to ~INR 4 bn through high capacity utilisation and boron oxide commercialisation. Kronox Lab Sciences, on a standalone basis, is targeted to grow from a baseline revenue of ~INR 1 bn to INR 4+ bn over the medium term as the new Dahej facility comes online.

Long-Term Vision (Consolidated FY30 Guidance)

Combining organic volume expansion, high-value downstream derivatives and the full commercial ramp-up of Kronox Lab Sciences, management has outlined a consolidated FY30 group revenue target of INR 7.5-9 bn.

Raw Material Dynamics & Global Sourcing

Because India lacks commercially viable natural boron ore deposits, raw material availability is a critical operational factor. Indo Borax mitigates supply chain risks through multi-year supply contracts with major global miners in Turkey (primary supply source), backed by secondary supply channels across North and South America to ensure uninterrupted plant operations.

Structural Protection from Chinese Imports

Indo Borax is naturally insulated from Chinese low-cost competition or dumping risks. Chinese chemical manufacturers also lack native commercial boron ore reserves and rely on imports from the same global mining hubs in Turkey and South America. Consequently, Chinese producers enjoy no raw material cost advantage, creating a balanced competitive environment in the domestic Indian market.

High Entry Barriers & Industry Protection

The business is protected by strong structural entry barriers. Unorganised downstream users of ramming mass and industrial borates are unable to backward-integrate due to the complex refining chemistry required for crude ore, highly restricted global raw material supply networks, stringent BIS and regulatory compliance and capital-intensive working capital cycles.

Indo Count Industries Ltd**Business**

- Indo Count has been a home textiles (bed linen) maker since 2006, with integrated spinning and weaving. It is the world's largest bed linen producer, with capacity of 153 mn metres.
- Exports go to 50+ countries, and the US is ~70% of exports. India holds ~60% of the US cotton bedsheet market, Pakistan ~20-22% and China ~8%. Indo Count's share is ~20-22%.
- The top 10 customers are ~70% of revenue. Purchase orders run quarterly or half-yearly under 1-2 year agreements. Working capital is ~100-120 days.

Indo Count 2.0 and the New Businesses

- Brands: Wamsutta (a US brand from 1846) was acquired in April 2024 and launched in D2C in July 2025, with more channels to follow. Three licensed brands, including Fieldcrest, sit alongside it. The brand business is profitable and its working capital is similar to the core's.
- Utility bedding (pillows and quilts): two US plants were acquired in September-October 2024, and a North Carolina greenfield plant started in January 2026. Capacity is now 31 mn pillows and 1.5 mn quilts, up from 13 mn pillows.
- New business revenue was INR 2.85 bn in FY25 and INR 7.92 bn in FY26. Q1FY27 was INR 3.87 bn, and FY27 is targeted at INR 15 bn.

Targets

- Management targets doubling revenue from INR 40 bn (FY25) to INR 80 bn by CY28. This comprises INR 55 bn from the core and INR 25 bn (~USD 275 mn) from new businesses, split between ~USD 100 mn from brands and ~USD 175 mn from utility bedding.
- EBITDA margin targets for CY28 are 15% for the core, 15% for utility and 16-17% for brands.
- FY27 guidance is revenue of INR 55 bn at an EBITDA margin of ~13%.
- Core volumes were ~105-106 mn metres in FY25 and 94 mn metres in FY26 (tariff-hit). FY27 guidance is 105-110 mn metres, and the CY28 aim is 140-145 mn metres (90-95% utilisation).
- Q1 core volume was flat YoY at ~25-26 mn metres; management noted that quarterly volumes fluctuate and that it is on track for the full year.
- Realisation has been flat at ~INR 365 per metre since FY24, because last year's tariff was shared with customers. Management focuses on profitability rather than realisation.

Capex

- No growth capex is needed for the INR 80 bn target. FY27 capex is ~INR 2.5 bn, spread over 12-18 months: INR 700-800 mn for maintenance, ~INR 850-900 mn for a zero-liquid-discharge facility at the Bhilad plant and ~INR 800-850 mn for spinning unit expansion and modernisation.
- No acquisitions are planned.

US Tariffs and Export Incentives

- Management says it lost no customer or order when tariffs hit 50% last year. The first 25% was not shared since competitor countries were at 18-20%. The additional 25% Russia-oil penalty was shared on a case-by-case basis.
- Management does not know whether a new tariff will come and says it will deal with it then.
- Government export incentives (~8-10% of value, depending on the product) run until 30 September. Management is confident of a ~5-year extension, since these schemes refund embedded taxes so that taxes are not exported.

UK and EU FTAs

- The UK FTA has been in force since 15 July. Indo Count has an office in Manchester and already ships to the UK.
- Indian exporters previously faced a 10-12% duty disadvantage in the EU, and a level playing field should lift orders. Customer meetings and inquiries have doubled, and benefits should show with a lag of 3-4 quarters.
- Management suggested the FTAs will be a big part of volume growth from ~105 mn metres to ~140 mn metres over 2-3 years.
- The rest of the world accounts for ~30% of exports and is expected to grow ~20% this year.

Vapi-Area Flood

- The Bhilad plant has capacity of ~45 mn metres, about a third of the total.
- It flooded on 22-23 July, restarted partially around 10-12 August and is now back to normal. Some processing was shifted to Kolhapur.
- Management expects no major annual impact. Inventory, plant and machinery and loss of profit are insured, and the claim is being filed.

Demand and Costs

- US demand is good, with no inventory glut or undercutting seen, and Chinese suppliers are not strong in this category.
- Yarn prices are higher on Chinese demand. Management plans inventory for two quarters and sees no supply issue.
- The company's sustainability index score rose from 45 to 78 out of 100 in two years, and it says it is well placed for EU rules.
- Management declined to give cost breakdowns, product-level realisation, competitor comparisons or customer names, and pointed to the annual report and investor deck.

Indo Gulf Crop Sciences Ltd

Outlook: Indo Gulf is focused on scaling crop protection, plant nutrition and biologicals through capacity expansion, geographical diversification, new product launches and exports. The new facility, expected to be operational by Q4, can support revenue of ~INR 18,000-20,000 mn over the coming years. Plant nutrition and biologicals, currently ~10% of sales, are targeted to reach ~15-16% over the next ~3 years.

Capacity Expansion & Capex

The company has invested ~INR 750 mn in the new manufacturing facility, with another INR 50-100 mn expected. Spread across ~17-18 acres, the facility will cater to both high-volume products and specialised formulations. Initial utilisation is expected at ~25-30%, while overall company utilisation currently stands at ~50-60%. The completed capex is expected to support growth for the next 7-8 years.

Plant Nutrition & Biologicals

Plant nutrition and biologicals remain key growth and margin drivers, with the addressable market growing at ~12-13% CAGR. The portfolio includes water-soluble fertilisers, micronutrients, specialty mixtures and biologicals such as humic acid, fulvic acid, seaweed and protein hydrolysates. The company has ~30-31 products and is developing nano, oil-dispersion and slow-release formulations.

Margin Expansion

Plant nutrition and biologicals generate ~53-60% gross margins in B2C versus ~30-34% for crop protection. Their contribution has increased from ~7% of sales in FY22 to ~10% in FY26 and is targeted at ~15-16% over the next ~3 years, supporting overall margin improvement.

B2C Expansion & Distribution

Indo Gulf has ~7,000-8,000 B2C channel partners, with AGPL supporting distribution expansion. AGPL has expanded from 5-6 states into Odisha and Chhattisgarh, while the company is strengthening its presence across South and Central India.

Demand Environment & Inventory

Demand remains impacted by weather conditions, particularly in Karnataka, Tamil Nadu, Andhra Pradesh and parts of Telangana, while Punjab, Haryana, Uttar Pradesh, Madhya Pradesh, Odisha and Chhattisgarh have performed relatively better. Channel inventory remains controlled following moderated placements post-March. Inventory stood at ~INR 3,480 mn, with management focused on improving inventory management and maintaining stable or improving inventory days.

Exports & International Expansion

Exports contributed ~13% of revenue in Q1FY27, with the company expecting a long-term contribution of ~10-11%. Indo Gulf has expanded into Venezuela and Taiwan, secured registrations in Sri Lanka and Saudi Arabia, and is pursuing additional registrations across Latin America.

Product Innovation & Growth Strategy

The company launches ~6-7 products annually and has ~1,000 product registrations and 6 patents. Growth will be driven by capacity utilisation, expansion in South and Central India, AGPL scaling, higher contribution from nutrition and biologicals, product innovation and international registrations. The company is also investing in farmer-level brand building and specialised formulations to strengthen product differentiation.

Indo SMC Ltd

Outlook: Indo SMC is transitioning from its traditional SMC/FRP base towards a broader electrical components platform, with CT/PT, LTCT, metering cubicles and switchgear emerging as key growth drivers. Management expects FY27 growth to remain at or above 40%, supported by the Nashik facility, expansion into VCB/RMU and increasing tender activity across utilities. The company is also focusing on improving cash-flow generation and maintaining profitability through shorter-duration orders and raw-material pass-through mechanisms.

Business Model & Positioning

- Indo SMC operates across SMC, FRP and electrical components, with four manufacturing facilities across Gujarat, Maharashtra and Rajasthan and presence across 20 states. Its electrical portfolio includes CT/PT, LTCT, metering cubicles, distribution boxes and switchgear.
- The company has long-standing relationships with utilities, including Torrent and UGVCL, which supported its transition from meter boxes into higher-value electrical products.
- The company is increasingly prioritising electrical products over composites, given stronger demand and better profitability potential.

Growth Guidance & Product Expansion

- Management expects FY27 growth to remain at or above 40%, supported by a broader electrical product portfolio and improving contribution from the Nashik facility. Tender activity remains strong across multiple states.
- VCB is expected to be introduced around October, while RMU, initially planned for the following year, is being accelerated due to customer demand.
- The company plans to gradually expand its voltage range from 11 kV/33 kV towards 66 kV and subsequently higher-voltage applications.

Order Book & Execution

- The company reported an order book of INR 1.42 bn in Q3FY26, with ~INR 540 mn of purchase orders/LoIs received during the quarter across 11 kV metering cubicles, FRP cable trays and SMC meter boxes.
- The FY26 closing order book stood at INR 2.37 bn, reflecting strong order inflow during Q4 and a meaningful increase from the Q3 position.

Margins & Product Mix

- Electrical switchgear products generally offer 15-20% EBITDA margins, with a target of around 18-20%, while higher-voltage products could provide better profitability.
- The company is shifting towards higher-value electrical products, which management expects to support overall margin improvement compared with the earlier product mix.

Capacity Expansion & Capex

- Management plans to increase SMC capacity to 6,000+ tonnes and add ~300 tonnes of FRP capacity. The expansion is supported by additional machinery and the utilisation of IPO proceeds.
- The Nashik facility remains an important part of the electrical expansion, with capacity being developed to support the company's broader product and voltage range.
- The company is also expanding testing and product-development capabilities to support new electrical products and utility approvals.

Ind-Swift Laboratories Ltd**Ind-Swift Laboratories Ltd**

Outlook: Management targets revenue of >INR 9 bn in FY27 and INR 11+ bn in FY28, with a 20-25% medium-term revenue CAGR. FY29 revenue is targeted at INR 12-14 bn, with peak revenue potential of INR 14-15 bn. Sustainable EBITDA margins are guided at 19-21%, driven by export growth, own brands and CDMO scale-up.

Business Transformation

- Ind-Swift has transformed into a pure-play finished dosage formulation company serving 85+ countries. The API and botanical business was divested to Synthimed for INR 16.5 bn in FY24, with proceeds used to repay all external debt. The company is now net debt-free and retains a 7.8% stake in Synthimed.

Own Brands & Domestic Business

- Own brands contributed 70% of Q1FY27 sales, with export own-brand sales rising to 57% of total sales. Export own brands generate 50-55% gross margins, while domestic ethical business generates 70-76% gross margins. Domestic growth is conservatively targeted at 10-15%, with management prioritising exports given stronger technical capabilities and market opportunities overseas.

CDMO

- CDMO revenue is expected to grow 3x over the next three years, with capacity utilisation targeted to increase from 70% to 90% by FY29. CDMO gross margins are 41-44%. Long-term partnerships with Viatris, Manx and Aotex are driving growth, with Viatris contributing through ibuprofen and clarithromycin granules, and Aotex through macrogol. Clarithromycin and omeprazole launches could add up to INR 2.2 bn of incremental revenue.

Out-Licensing & Product Pipeline

- Atorvastatin + Ezetimibe, developed entirely in-house, generated INR 250 mn of revenue in Q1FY27 through a 50/50 profit-sharing arrangement with Dieffenbacher. The company has identified 7-8 similar molecules, while its broader R&D pipeline includes 28-78 molecules across cardiovascular, gastrointestinal and urology therapies for FY28-FY29 commercialisation.

Exports & Registrations

- Exports account for 80-85% of revenue, with Europe contributing 50% of exports. Around 90% of CDMO revenue is directed towards Europe and Australia. The company has 866 active global registrations and 424+ market authorisations, with own-brand expansion underway across LATAM, UAE, CIS, Africa and Southeast Asia.

Capex & Capacity Expansion

- The company plans INR 2.5 bn of capex over three years, fully funded through internal accruals and without additional debt. The plan includes capacity expansion, a new warehouse, adjacent land development and upgrading the Samba facility. The Samba facility involves INR 450 mn of capex for an ointment section, with ANVISA, PIC/S and UK MHRA approvals being pursued.

Margins & Cost Protection

- Q1FY27 EBITDA margin stood at 17.9%, with full-year guidance of 19-21%. Management maintains a 50-52% blended gross-margin floor. Margin improvement has been driven by higher utilisation, export growth and operational efficiencies. Raw-material pass-through clauses provide protection against input-cost inflation, while the export-heavy business benefits from INR depreciation.

Working Capital & Capital Allocation

- Receivables have improved significantly following active collections, with management expecting further improvement in cash conversion and inventory days. The company holds INR 4.5 bn of cash, which will be deployed towards working capital and capacity expansion. Management does not plan to raise debt for the current expansion programme.

Synthimed Stake

- Ind-Swift retains a 7.8% stake in Synthimed. Following a promoter stake sale at an EV of INR 65 bn, Ind-Swift may monetise a small portion through its tag-along rights in Q3FY27, while retaining the majority of its stake for at least 15-18 months.

Inflame Appliances Ltd

Outlook: Inflame is targeting 40-50% revenue growth while scaling production capacity through the Panchkula expansion and further backward integration. The company expects the BLDC mix to remain elevated, with new products such as built-in ovens, microwaves and dishwashers adding to its OEM/ODM opportunity. Over the medium term, management expects BIS implementation for chimney motors and a gradual decline in China-led SKD/CKD imports to support domestic manufacturing. Key monitorables include Panchkula capacity ramp-up, 3-4x expansion in glass and sheet-metal capacity over 2-2.5 years, BLDC supply availability, execution of new products, gross margins of 25-30%, and the pace of China-to-India manufacturing shift.

Capacity Expansion

- Panchkula plant expansion is expected to be completed by early October, followed by shifting of existing facilities to the modernised assembly section.
- Glass manufacturing capacity has also been expanded with additional machinery and spares to reduce production disruptions.
- Production capability is expected to reach 1,200-1,300 units per day, with a further 15-25% capacity addition targeted.
- Management indicated that production is currently tracking at its highest levels, with 1,282 units produced in a single day during the month.
- Management indicated that a significant capacity enhancement announcement for the Panchkula plant could be made around November, with the next phase of expansion supporting the anticipated increase in domestic manufacturing demand.

BLDC Transition

- BLDC chimneys have seen a sharp increase in mix from ~55% earlier to 75-80% currently, creating temporary supply-chain pressure.
- Management highlighted the need for more frequent sourcing from China to ensure continuity and adherence to quality specifications.
- Container availability and freight delays have also required the company to advance purchases by 1-2 weeks.
- The near-term supply constraints have largely been addressed, while sourcing remains a key monitorable.

Product Expansion

- Inflame is adding dishwashers, built-in microwaves and built-in ovens to its product portfolio.
- Built-in ovens have already entered production, while supplies of new products are expected to start from October, with pilot lots targeted by December.
- Management sees the broader product suite as an opportunity to become a more comprehensive OEM/ODM partner for kitchen-appliance brands.
- Chimneys remain the core business, while adjacent products are being added to strengthen customer relationships and support the chimney franchise.

Working Capital

- Management disputed the assessment that a significant portion of receivables remains outstanding for more than six months.
- Customers generally provide up to 90-day LCs, which can continue to appear as outstanding in the books until realisation despite being discounted.
- Management stated that actual customer payments have generally been received within 60 days over the past 3-4 years.
- Specific receivable details can be clarified separately through the finance/IR team.

BLDC Premium

- Management indicated that BLDC variants typically carry an ASP premium of ~INR 300-800, depending on the product.
- Exact pricing and strategic commercial details were not disclosed.

Backward Integration

- Inflame has built significant backward integration across sheet metal, powder coating and glass manufacturing.
- Management highlighted that these capabilities help improve control over cost, quality, production and product design.
- Further backward integration is planned over the next 2-2.5 years.
- Management expects internal manufacturing capabilities to become increasingly important as imported SKD/CKD products face regulatory and logistical constraints.

SKU Complexity

- Chimney manufacturing requires frequent product/design changes, with management indicating 3-4 new designs introduced every month.
- Inflamm has roughly 350-400 SKUs, while individual SKU production volumes can be relatively low.
- This high SKU complexity and relatively fragmented production make the business structurally different from mass-market consumer appliances.
- Management believes its manufacturing infrastructure and backward integration provide an advantage in handling this complexity.

China Imports

- SKD imports from China remain present, but management expects the proposed BIS requirement for chimney motors to materially change the competitive landscape if implemented.
- Management expects the notification potentially by December and believes cheap imported motors could become less viable within roughly a year thereafter.
- Freight economics could further reduce the viability of importing bulky sheet-metal components from China.
- Management expects Indian manufacturers with stronger local component capabilities to benefit as the SKD/CKD model gradually declines.

Market Growth

- Management estimates the chimney market has maintained approximately 12-14% CAGR.
- Industry consumption is expected to exceed 4 mn units annually by 2030, according to management.
- Management estimates roughly 1 mn units are currently produced by brands with their own manufacturing facilities, while around 1.5 mn units represent the OEM opportunity.
- Inflamm's growth remains dependent on the volume and market-share progression of the brands it supplies.

Customer Base

- Inflamm currently supplies multiple brands, including Havells, Inware, Kaff, Lifepure, Sunflame, V-Guard, Crompton and IFB, among others.
- Management indicated that several additional large brands have recently approached the company, although names were not disclosed.
- Management estimated its current share within the outsourced manufacturing opportunity at roughly 20-25%, based on the stated market estimates.
- Increasing customer preference for Indian manufacturing could create an opportunity to expand wallet share.

Automation Drive

- Management highlighted ongoing investments in automation and process improvement across its manufacturing facilities.
- Over the next 2-2.5 years, combined glass and sheet-metal capacities are targeted to reach around 3-4x current levels.
- The objective is to reduce external dependency while improving production consistency, cost control and scalability.

Gross Margins

- Although gross margin recently reached ~40%, management reiterated a more conservative 25-30% target, depending on market conditions.
- Management indicated that ~25% gross margin remains acceptable as the business scales.
- Increasing competition could result in gross margins normalising toward the 25-27% range, while scale benefits are expected to support profitability.

Growth Guidance

- Despite supply-chain and operational challenges during June-July, management maintained its earlier 40-50% annual growth outlook.
- Management expects to recover the temporary disruption through September and October.
- Near-term execution and monthly production remain important monitorables.

Price Hike

- The company has implemented a price increase effective July.
- Management did not disclose the quantum of the increase.

Supply Risks

- Recent raw-material availability, costing, logistics and geopolitical disruptions have affected the industry.
- Management highlighted previous disruptions from gas shortages, which required conversion of certain furnaces from gas to electrical operation.
- The company continues to work on supply security and production flexibility to mitigate future disruptions.

Influx Healthtech Ltd

Outlook: Influx Healthtech remains focused on expanding its CDMO/third-party manufacturing business across nutraceuticals, cosmetics, Ayurveda, pet care and home care. Management expects growth to be driven by capacity expansion, new product development and increasing contribution from cosmetics, pet care and functional beverages. The IPO-funded nutraceutical and pet-care facilities are expected to become operational in the coming months, while the new beverage facility under Olahe Wellness is also nearing readiness. Management indicated that the expanded infrastructure could support approximately 2.5x the current capacity over time.

Financials

The company reported FY26 revenue of approximately INR 1.47 bn, representing around 40% year-on-year growth. EBITDA margin was around 20-21%, while management indicated a PAT margin target of approximately 14-15%, which it expects to maintain. Management highlighted that profitability could remain supported by its diversified customer base and mix of medium-sized and larger customers, although margins may vary as the company adds larger-volume clients.

Capacity & Capex

Post-IPO, Influx has continued to invest in manufacturing capacity and equipment, with additional facilities and machinery being added across nutraceuticals, cosmetics, pet care and beverages. The IPO-funded expansion has been delayed by roughly one to two months, partly due to the larger-than-planned facility, which has expanded to more than 70,000 sq ft. Management expects the new facilities to start contributing gradually, with a larger ramp-up expected in the following financial year. The company also has additional land/infrastructure that could support future expansion.

Business & Product Expansion

Nutraceuticals remain the core business, contributing roughly 85-90% of revenue, while cosmetics is growing and management sees significant potential in pet care and functional beverages. The company has a portfolio of 4,000+ products and is investing in differentiated technologies such as liquid-filled capsules, multi-mini tablets, effervescent products, BOV technology, functional beverages and pet-care products. Management expects pet care to develop rapidly over the next few years, while cosmetics is being positioned as an important complementary growth segment.

Customers, Exports & Growth Drivers

Influx operates predominantly as a B2B manufacturer, supplying prescription-based companies, D2C brands and other wellness businesses rather than selling its own brands. Management highlighted high customer stickiness, with more than 700 customers and a significant portion of business coming from repeat customers. New customers such as Fast&Up have recently been added, while export opportunities in Tanzania and Nigeria are progressing through product registrations; UAE approvals are also being pursued. Management expects exports to help improve capacity utilisation, although export margins are broadly similar to those of the domestic business.

Infollion Research Services Ltd**Business and Financials**

- Infollion is an expert network founded in 2009 and listed on the NSE. Clients include investment funds, consulting and research firms, and large corporates.
- Its edge is a research team of ~250 people, organised by sector, that maps industries and finds the right expert rather than just searching for titles.
- FY26 revenue was INR 1,003 mn (+29.8% YoY), EBITDA was INR 147 mn and PAT was INR 127 mn.
- Revenue has grown from INR 340 mn in FY23, a ~43.5% CAGR to FY26.
- The company is debt-free with ~INR 435 mn of cash. Operating cash flow was ~INR 105 mn, and DSO improved from 83 to 67 days.
- The network has 136,000 experts and delivered 20,700+ calls in FY26 across 55+ sectors. More than one-third of business was delivered through experts based outside India.
- Over 80% of revenue comes from pre-panelled experts, and ~15% of the panel is active in a year. Management says the active set keeps rotating.
- Over 95% of clients are repeat clients, and the top 10 have been clients for 10-12+ years.

Demand Trend

- In March, management cited a ~25% dip in volumes. Stress persists but has eased since March, and there were signs of recovery in September, though management is unsure whether this will hold.
- Management attributes the slowdown to the macro environment for consulting, research and funds, not one cause.
- On AI, management accepts it has hurt shallow, industry-overview calls. It says 92-95% of calls are deep domain and cannot be replaced by AI because the knowledge is undocumented.
- Management said it did lose some business to AI, but sees itself as less exposed because it operates at the premium end.
- Transcript subscriptions are offered selectively. Management does not see much value in them, and says deep-domain transcripts would be very costly.

Growth Levers

- Hooka (corporate L&D): Expert-led training. It added 40 logos last year and crossed INR 10 mn of revenue in FY26. The plan is to move to full-stack managed training services.
- US and MENA: each crossed INR 10 mn in FY26 (~1% each). The US team is ~50 people on US shifts, and there is a permanent resource in Germany.
- Management plans a permanent presence in the US, Europe and Dubai once it becomes viable.
- Third Eye: a new product in which domain experts validate AI outputs, plus AI integrations and APIs.
- No revenue targets for 3-5 years or US and MENA market sizing were shared. Segment-wise margins were also not disclosed, since growth takes priority over margin in new territories.

Margins and Capital Allocation

- Management says it kept margins steady and is reinvesting operating leverage in better expert payouts. It also cited some promotional calls for clients, and pointed to the annual report for details.
- Cash of INR 435 mn sits in liquid funds earning 6-7% and is earmarked for M&A. A small strategic investment has also been made.
- There are no dividend or buyback plans at present.

Model and Competition

- Experts are paid per project at honorariums they choose, with no fixed commitments. The panel is invitation-only, with an average of 25+ years of experience.
- Compliance includes NDAs and tool-based sign-offs. Infollion staff do not join client-expert calls, which limits disintermediation. Clients and experts rate each other.
- Competitors are the global networks Third Bridge, AlphaSights and GLG, plus the homegrown InsightAlpha and others.
- Management estimates it is the largest homegrown player, with the next three combined smaller in revenue. It does not consider Kavi a peer.
- Marketing relies mostly on client referrals, with some international visits and events.

Inox Wind Ltd

Management remains confident of the FY27 guidance despite the weak Q1, with stronger execution expected from Q3. The shift toward equipment supply should improve working-capital efficiency, while the strong order pipeline, new turbine platform and Inox Green acquisitions provide additional growth visibility. FY28 is expected to benefit from higher equipment supplies, with management targeting 1.2-1.5 GW and further expansion thereafter.

Guidance & Outlook

- Management maintains FY27 revenue growth guidance of 75% and consolidated EBITDA margin guidance of 20-22%, with an upward bias on margins.
- Q1FY27 was muted due to the shift from turnkey EPC to an equipment-supply model and temporary supply-chain disruptions; Q2 is expected to improve, with a stronger turnaround from Q3.
- The FY28 equipment supply target is 1.2-1.5 GW, while the FY29 target is ~2 GW.

Order Book & Demand

- The current order book stands at ~4.5 GW, providing execution visibility for more than two years.
- The company has secured 1.8 GW of new orders in the last 3-4 months, all on a turnkey basis.
- The current order book mix is ~40% turnkey and 60% equipment supply; management aims to move towards 75% equipment supply.
- India's wind installations are expected at 7-10 GW annually over the medium term, supported by demand for firm/round-the-clock renewable power.

Business Strategy

- The company is shifting towards equipment supply to reduce working-capital requirements, improve asset turnover and shorten execution cycles.
- Turnkey EPC will continue for group projects, PSU orders and selected relationship-driven customers.
- Management does not see the strategy as giving up market share, with continued bidding and strong order inflow.
- The FY28 supply target of 1.2-1.5 GW could support a ~15-20% market share, depending on industry installations.

Capacity & Technology

- No immediate increase in nameplate capacity is planned, as existing capacity is sufficient for the next 2 years.
- The new-generation 2.5 MW/4.5 MW turbine is expected to start commercial production around January-February after certification.
- The new turbine will use domestically sourced power-electronics components, reducing dependence on imports.
- The company has already started work on the next-generation turbine beyond 4.5 MW, with technology development taking around three years.

Inox Green & Acquisitions

- Inox Green is close to completing the acquisition of Enercon/WinWind's ~4.5 GW O&M portfolio, with closure expected shortly.
- Acquisition consideration for the WinWind O&M portfolio is INR 5.5 bn; a revenue contribution of ~INR 3 bn is expected in H2FY27.
- Another acquisition is expected to close by December, contributing ~INR 600-700 mn of revenue in Q4FY27.
- Total FY27 revenue contribution from acquisitions is expected at around INR 4 bn, or less than 5% of consolidated revenue.
- Management expects further cost and revenue synergies after integration.

Industry Outlook

- Wind demand is supported by the increasing requirement for firm renewable power, as solar plus battery storage cannot currently economically cover longer-duration requirements.
- Wind is estimated to form around 15-20% of FDRE projects at current battery prices.
- Management does not see industry-wide manufacturing capacity as a bottleneck for 7-10 GW annual demand.
- Offshore wind is not currently a focus, with sufficient onshore opportunities and limited tender activity so far.

Insecticides India Ltd

Outlook: Q2FY26 industry demand is expected to stabilise after the weak Q1 impacted by poor monsoons, with flat-to-positive YoY growth anticipated. Improved rainfall, soil moisture and reservoir levels across key regions are expected to support a stronger H2FY26 demand recovery.

Capacity & Expansion

The Dahej expansion has been completed and is ramping up towards optimum utilisation. The new Sautanala, Rajasthan facility will be developed in two phases, with formulation lines followed by technical manufacturing. Sautanala will focus on herbicides and specialty products, while insecticide formulations will remain concentrated at Chopanki.

Backward Integration

ILL currently manufactures 16-17 active ingredients in-house, meeting around 25% of its internal formulation requirements, with the balance sourced externally. While this model requires higher inventory than asset-light peers, it provides greater control over supply and supports long-term margin stability.

Global Partnerships

The company continues to deepen partnerships with Nissan Chemical, Shinwa and Corteva, with new products being added to the portfolio. Under the OAT Agrio JV, the first molecule has completed Indian registration and is expected to launch in around a year, while the second molecule could take 4-5 years for commercialisation.

Margins & Pricing

Maharatna products target a minimum gross margin of 35%. International products typically carry lower net margins in the first two years due to field demonstrations and product-seeding expenses, but margins are expected to improve significantly from the third year. Combination products are being developed to provide multi-pest control while improving differentiation and protecting margins.

Distribution & Brands

North India is largely served through high-volume distributors, while South India follows a more granular retailer-led model with capped volumes to limit credit and bad-debt risks. Subsidiary Kyros, led by the Dr. Dada brand, is targeting turnover above INR 1,000 mn in its first full year.

Demand Pull Strategy

The company is transitioning from a distributor-led "push" model towards direct farmer-driven demand through field plots, ROI demonstrations and brand awareness initiatives. The strategy is particularly focused on strengthening the flagship Tractor brand and creating sustainable farmer-level product pull.

Product Pipeline

Over 40 products are currently under development through in-house R&D and international partnerships, with 6-7 registered products expected to be commercialised annually. The pipeline also includes multi-crop formulations designed for use across 5-6 crops.

IOL Chemicals and Pharmaceuticals Ltd**IOL Chemicals and Pharmaceuticals Ltd**

Outlook: Management targets 15-20% annual revenue growth over the next 4-5 years, driven by expansion across APIs, CDMO formulations and specialty chemicals. By 2030, the company targets a revenue mix of 75% pharmaceuticals and 25% specialty chemicals, with blended EBITDA margins of 15-17%.

API Diversification

- Pharma revenue currently stands at INR 13 bn, with non-ibuprofen APIs contributing 43% in Q1FY27 versus 36% in Q1FY26. Management targets a 50% contribution from non-ibuprofen APIs. The portfolio includes paracetamol, metformin, pantoprazole, clopidogrel, fenofibrate, levetiracetam and others.

Ibuprofen Expansion

- Ibuprofen capacity is being increased from 12,000 MTPA to 18,000 MTPA, with the 6,000 MTPA expansion targeted for commissioning by December 2027. The plant will be 100% backward-integrated, with optimal utilisation expected during FY28-FY29. Existing capacity is operating at near-peak utilisation.

Paracetamol & Capacity Expansion

- Paracetamol capacity has been expanded from 3,600 MTPA to 10,800 MTPA, supported by in-house backward integration into acetic anhydride and PAP. Higher utilisation across non-ibuprofen APIs has been a key driver of recent margin improvement.

CDMO Formulations

- The CDMO facility has capacity of 1.5 bn tablets per annum, built with INR 1.15 bn of capex, and EU-GMP certification has already been secured. Commercialisation is targeted for Q3FY27, with 3-4 European anchor customers in advanced discussions. Management expects EBITDA margins of 18-20%+ and asset turnover of 2.5x.

Specialty Chemicals

- The company is setting up a dedicated specialty chemicals facility under a long-term tolling arrangement with a leading global chemical company. Key products include ethyl acetate, acetic anhydride, triacetin, IBB and MCA. Specialty chemicals are expected to contribute 25% of revenue in the long term.

Strategic Capex

- The three strategic projects (the ibuprofen expansion, CDMO facility and specialty chemicals facility) involve INR 5 bn of capex, fully funded through internal accruals. They are expected to generate 25-30% incremental revenue once fully operational. Routine annual capex remains INR 2-2.5 bn.

Margins & Market Environment

- EBITDA margins have improved from 9-11% historically to 15% recently, driven by higher utilisation of non-ibuprofen APIs and a shift towards regulated export markets. Global ibuprofen demand is growing at 3-4%, while pricing has stabilised after recent volatility. Raw material cost changes are passed through to customers.

Competitive Advantage & Exports

- IOL's key advantages include deep backward integration, product quality, supply reliability and long-standing customer relationships. The company has a strong presence in regulated markets and also exports certain API products directly to China.

Greenfield & ESG

- The company owns a 101-acre greenfield site along the Chandigarh-Bathinda Highway, providing long-term expansion potential. IOL has received the EcoVadis Gold Medal, operates zero liquid discharge and recycles 100% of its water.

IRCON International Ltd

Outlook: IRCON is currently in a flattish growth phase, with management expecting FY27 revenue and profit to remain broadly at FY26 levels as new orders take time to translate into execution. However, the company has a strong ~INR 250 bn order book, a large railway infrastructure opportunity, improving competitive intensity and multiple HAM/PPP assets approaching commissioning. Margin protection at 6-7%, asset monetisation and increasing international/PPP contribution should support earnings quality, while meaningful growth is expected to emerge over the next 2-3 years as new orders and HAM projects start contributing.

Order Book & Execution

- The order book stood at ~INR 250 bn as of March 2026, equivalent to around 2.5x FY26 turnover. Project execution timelines typically range from 2-5+ years.
- Management is focused on rebuilding the order book and expects to bid more aggressively over the next six months.
- Around 55% of the order book comes through competitive bidding, while the balance is from cost-plus/nomination projects.
- Management expects FY27 revenue and profit to remain broadly flattish, as new orders secured in FY27 will take time to convert into revenue. Growth is expected to become visible over the next 2-3 years.

Margins & Competition

- Management is targeting 6-7% PBT-level margins, with only 25-50 bps downside expected from current levels.
- Earlier cost-plus projects generated 8-8.5% margins, but the shift towards competitive bidding has brought margins closer to industry levels.
- Competition has moderated after tighter bidding norms, with the number of bidders in railway projects falling from ~25-30 earlier to ~10-12 serious players.
- Mandatory EMD and additional performance guarantees for significantly underbid projects are helping reduce aggressive bidding and improve pricing discipline.

Railway Opportunity

- Railway remains the core opportunity, with focus areas including track doubling/new lines, bridges, tunnels, DFCs, high-speed rail, signalling and Kavach.
- Around 50% of the annual railway budget of ~INR 2,000-2,500 bn is related to track work, translating into an opportunity of roughly INR 1,000 bn.
- Management expects railway infrastructure spending to remain strong for at least the next 5-10 years, supported by doubling, tripling, modernisation, bridges, tunnels and congestion-relief projects.
- Recent cabinet approvals include around INR 160 bn of railway tenders, while further opportunities are expected in areas such as USBRL and the Sikkim-West Bengal corridor.

HAM & PPP Portfolio

- Five HAM projects are currently under construction, resulting in higher debt, interest and negative operating cash flow at the consolidated level.
- Around INR 5 bn of negative OCF is attributable to investments in HAM assets, while overall negative OCF was around INR 6.8 bn.
- Management expects negative cash flow to continue for at least another year, with cash flow potentially turning positive over the next 1-2 years as projects become operational.
- Four operational road assets are being prepared for monetisation. The company has appointed an advisor and expects the process to take around 12-15 months.
- Proceeds from monetisation are expected to be redeployed into new PPP projects.

JV Performance

- JCRL is under construction and is expected to be completed in FY28, after which it should start generating profits.
- In Chhattisgarh, CERL2 and CEWRL are under construction, with one expected to be completed in FY27 and the other by mid-FY28.
- CERL1 is currently loss-making due to insufficient coal evacuation, but management expects it to break even from FY28 and turn profitable thereafter.
- Coal connectivity projects have a minimum return framework of around 14%, and management stated that current project IRRs remain above borrowing costs.

International Business

- International projects historically deliver better margins than domestic projects.
- Bangladesh generated margins of around 11-12%, with roughly 2-3% benefit from forex.
- Bangladesh is nearing completion, while projects are underway in Algeria, with potential opportunities in Sri Lanka, Africa, Central Asia and Eastern Europe.
- Management expects international business to support overall margins within the 6-7% range.

Capex & New Projects

- Consolidated capex/investment is expected at INR 5-7 bn in FY27, with a sizeable portion going towards PPP investments.
- Additional spending will be required for specialised plant and machinery for complex projects, including high-speed rail.
- Five HAM projects are expected to become operational during FY28, which should support consolidated revenue and earnings over time.
- The increase in depreciation and interest is primarily linked to these growth investments and project financing.

Renewable Energy

- The company's renewable subsidiary has commissioned 450 MW out of the planned 500 MW solar project.
- The remaining 50 MW is expected to be commissioned by March 2027.
- A long-term PPA has been signed with the Ministry of Railways at INR 2.57 per unit.
- Management plans to evaluate similar renewable opportunities after the project becomes fully operational.

Iris Clothing Ltd

Outlook: Management expects operating EBITDA margins to stay broadly stable at the current 16% this year. It targets raising online revenue to 25-30% of sales within three years and the infant wear category to 25% of the portfolio. It plans to open 150-200 exclusive brand outlets (EBOs) over three years, and a new greenfield plant next year will take capacity beyond the INR 4,000 mn revenue ceiling.

Financial Performance: Annual merchandise sales are about INR 2,000 mn, and revenue grew by more than 30%. Operating EBITDA margin fell from 21.6% to 16%. Two factors drove the decline: distributor target incentives and events, and higher raw material costs over the past 8-10 months.

Channel & Category Mix: Online channels such as FirstCry and dormy.in contribute about 10% of revenue. Infant wear has grown from about 10% of the portfolio two years ago to about 15% today. New products in the pipeline include kids' innerwear, woven shorts, trousers and denims.

Manufacturing Capabilities: The company runs a fully integrated in-house facility that can produce about 38,000 pieces a day. The plant has automated cutting machines from Italy, 10 M&R printing machines from the USA, 3 Tajima embroidery machines from Japan and more than 1,400 stitching machines. It can support revenue of INR 3,500-4,000 mn, about 1.75-2x the current scale, which leaves room for growth before the greenfield plant comes online.

EBO Rollout: After a pilot of seven stores in Eastern India, the company plans to open 150-200 EBOs cautiously over the next three years. A typical 1,000 sq ft store needs about INR 3 mn of capex and breaks even in 16-18 months. Store-level gross margin is about 65%, with rent at about 20% and overheads (electricity, maintenance and staff) at 8-10% of store revenue. Store-level EBITDA margin is 20-25%.

Geographic Expansion: Maharashtra, Gujarat and Rajasthan contribute about 40% of revenue. The company plans to deepen its presence in Tier-2 and Tier-3 towns in North India, especially Uttar Pradesh, and in South India across Kerala, Tamil Nadu and Karnataka.

Exports: The company supplies large retailers in nine countries, including Portugal, Mozambique and parts of the Middle East.

Working Capital: Distributors take about 140 days to pay. Inventory stands at 244 days, of which 80-90 days is finished goods and the rest raw materials and work in progress. Old-design inventory is usually sold off in the following season without formal write-downs.

Capital Allocation: Promoters have not sold any equity recently; the last transaction was the rights issue. The company has never paid a dividend, but management plans to set a dividend policy as the business scales.

Long-Term Potential: Rising online and infant wear contributions, an EBO network with attractive store economics and expansion into North and South India give the company several growth levers. Existing capacity can support about 2x the current revenue. Bringing working capital down from its high level of about 384 days (receivables plus inventory) will be the key monitorable for cash flow.

IRM Energy Ltd

Outlook: The company is targeting 10-15% YoY volume growth, supported by continued CNG expansion in Banaskantha and rapid ramp-up in Namakkal-Trichy. Management is targeting 27-28% gross margins and minimum EBITDA of INR 7 per SCM, while keeping spot sourcing low through long-term contracts. Key monitorables include the pace of CNG/PNG penetration in Namakkal-Trichy, utilisation of the planned INR 2.5 bn capex, industrial volume recovery at Fatehgarh Sahib following regulatory implementation, and the sustainability of margins after the Q1 one-off benefit.

Gas Sourcing & Margin

- ~67% of the gas sourcing portfolio comprises domestic gas and HPHT gas, which carry government-determined ceiling prices and provide greater cost visibility.
- Commercial and industrial volumes are largely sourced through long-term contracts with GAIL, IOCL, HPCL, RIL and BP, linked to benchmarks such as Brent and Henry Hub.
- Spot-market sourcing remained below 1% and was <0.5% in Q1FY27, supporting margin stability and limiting exposure to spot LNG volatility.
- Q1FY27 gross margin stood at 32%; however, the company is targeting a more sustainable 27-28% gross margin going forward.
- Selling prices are adjusted based on gas-cost movements, competition and alternate-fuel pricing to protect margins.

Volume Growth

- The company expects overall volume growth of 10-15% YoY, with incremental volumes primarily driven by Banaskantha and the ramp-up of Tiruchirappalli and Namakkal.
- Tiruchirappalli and Namakkal volumes have increased sharply, with Q1FY27 gas sales at ~6 mmscm versus ~2.84 mmscm in Q1FY26.
- Management expects volumes in these newer GAs to continue ramping up as the CNG ecosystem and infrastructure mature.
- Namakkal and Tiruchirappalli are expected to become meaningful growth contributors over the next 2-3 years.

Namakkal-Trichy Ramp-up

- The company has established 48-49 CNG stations across Namakkal and Tiruchirappalli, providing the infrastructure required for volume expansion.
- State transport buses are increasingly shifting from diesel to CNG, supporting the initial volume ramp-up.
- Around 90% of LPG/other-fuel three-wheelers targeted under the company's initiatives have been converted to CNG.
- Four-wheeler penetration remains at an early stage but is improving as station density and consumer confidence increase.
- Further growth is expected as pipeline infrastructure expands and PNG commercial/domestic connections are added.

Geographic Potential

- Banaskantha: The GA is mature but continues to deliver ~10-15% CNG volume growth, supported by agricultural activity, local mobility and increasing CNG vehicle penetration.
- Fatehgarh Sahib: Industrial volumes are currently around 200,000 SCM/day; further upside could emerge from implementation of NGT-related pollution-control measures.
- Diu & Gir Somnath: CNG volumes are supported by tourism and seasonal traffic, while conversion of commercial customers to PNG is providing additional growth.
- Namakkal-Trichy: Considered the key emerging growth engine, with significant headroom for CNG as well as future PNG penetration.

Capex & Infrastructure

- FY27 capex is planned at ~INR 2.5 bn, including ~INR 1.5 bn towards Namakkal and Trichy, with the balance allocated across other GAs.
- Capex will primarily focus on CNG stations and pipeline network expansion.
- In mature GAs such as Banaskantha, investments will focus on bringing high-volume stations online to improve station economics and reduce RTKM costs.
- In Namakkal and Trichy, the priority is network expansion to build CNG availability and accelerate ecosystem adoption.
- A CNG station typically takes 2-3 years to reach full utilisation, depending on the maturity of the underlying market.

Strategic Initiatives

- Organic growth remains the primary focus, particularly through the untapped potential in Namakkal and Trichy and continued CNG growth in Banaskantha.
- Management remains open to acquisitions, but only where valuation and regulatory economics are favourable; no concrete acquisition has been announced.
- IRM Energy is already present in LNG and LCNG, including LNG dispensing for long-haul trucks and LCNG stations in Trichy, Namakkal and Vairavanth.
- The company is also evaluating e-mobility and other green-energy opportunities, including integration of solar power with CNG stations.
- Capital allocation will remain focused on opportunities offering attractive returns relative to the existing CGD business.

CBG Economics

- Under the CBG mechanism, GAIL acts as the nodal intermediary, purchasing CBG from producers and supplying it to CGD companies.
- The additional cost paid to CBG producers is normalised across the domestic gas portfolio, resulting in only a modest increase in the effective domestic gas cost for CGD players.
- Management indicated that CBG remains economically beneficial for CGD companies under the current structure.

Margin Outlook

- Q1FY27 gross margin of 32% included an estimated INR 80 mn benefit from the industrial segment due to favourable market circumstances.
- Management does not expect Q1-level margins to sustain and is targeting 27-28% gross margin going forward.
- EBITDA is targeted at a minimum of INR 7 per SCM for the full year.
- The company intends to maintain low spot-market exposure by proactively entering into long-term gas contracts ahead of anticipated volume ramp-up.

Industrial Upside

- Management expects stricter implementation by the Punjab Pollution Control Board to potentially unlock additional industrial volumes.
- Most target industries are already connected, implying relatively limited incremental capex would be required to capture additional demand.
- In Tamil Nadu, the company is pursuing industrial opportunities including customers in the SIPCOT ecosystem, with enquiries currently under evaluation.

Customer Mix

- Namakkal and Trichy remain heavily CNG-led, with ~97% of Q1 sales volume coming from CNG.
- As pipeline infrastructure expands, management expects PNG commercial and domestic volumes to gradually increase.
- The company expects the customer mix in newer GAs to diversify over time, similar to the transition observed in Diu & Gir Somnath.

Jainik Power Cables Ltd

Outlook: Jainik Power Cables is poised for a structural transformation from a wire rod commodity supplier into an integrated, higher-margin cables and conductors platform. With a firm order book exceeding INR 1 bn, L1/L2 positions in Haryana tenders and vendor approvals across five states, the company enters FY27 with visible revenue momentum. Management expects PAT margins of 4-5% in FY27, expanding to 6-7% from FY28 as cable volumes scale, alongside annual top-line growth of at least 20%. The product mix is set to shift decisively, with cables and conductors rising to 20-30% of revenue in FY27 and over 50% by FY28. Peak revenue capacity of INR 7.5 bn at the Sonipat plant, targeted utilisation of 85% by FY28, an INR 450 mn working capital raise and a planned INR 500-600 mn CCV line for HT cables once revenue crosses INR 6 bn underpin the next phase of growth, with copper and export markets in Africa and the Middle East offering long-term optionality.

Revenue Growth

- Management targets sustainable annual top-line growth of at least 20% over the coming years.

Margin Guidance

- Management anticipates PAT margins of 4-5% in FY27 as cable and conductor order execution accelerates in the second half. From FY28 onwards, PAT margins are projected at 6-7% as higher-margin cable volumes scale. Legacy wire rod trading yielded EBITDA margins of 4.5-5%, while the new cables and conductors business achieves EBITDA margins of 9-10%.

Order Book

- The company has a firm order book exceeding INR 1 bn. In Haryana utility procurement, it emerged as L1 in two tenders and L2 in a third, with a cumulative value exceeding INR 250 mn.

Backward Integration

- Jainik operates a fully backward-integrated model across the aluminium electrical value chain, sourcing and importing aluminium scrap and ingots, converting them into wire rods, and processing those rods internally into finished cables and conductors. This delivers a 3-5% cost advantage over non-integrated regional competitors. While standalone cable producers operate at around 6% margins, Jainik captures value at multiple processing steps to achieve overall margins of approximately 8%.

Product Portfolio

- The company produces aluminium wire rods, aluminium wire, aluminium conductors, LT power cables, aerial bunched cables, HT cables and medium-voltage covered conductors. Captive consumption of internal wire rods transforms the business from a commodity supplier into an integrated electrical products platform.

Quality and Certifications

- Jainik operates a permanent NABL-accredited laboratory on-site. It is ISO-certified and holds multiple BIS certifications, including IS 398 Parts 2, 4 and 6, IS 7098 Part 1 and IS 14255.

Clients and Vendors

- The client base spans discoms, EPC contractors, infrastructure firms and institutional buyers. Key clients and pipeline partners include Adani Energy, Raghava Construction, Diamond Power, Andhra Pradesh discoms and MP discoms. Inquiries have come from Vikran Engineering, Ashoka Buildcon and Gold Bridge. Vendor registrations are secured in Andhra Pradesh, Maharashtra, Chhattisgarh, Gujarat and Madhya Pradesh, with approvals underway for Bihar, Uttar Pradesh and Power Grid. Qualification timelines range from 10 days in Madhya Pradesh to over six months for railway approvals. Power Grid qualification requires a proven supply track record of at least 1,000 kilometres of cable to state discoms.

Exports

- Jainik has received official inquiries for aluminium cables and conductors from African countries. Management views African and Middle Eastern markets as crucial long-term growth vectors driven by power infrastructure development and electrification demands.

Peak Potential and Utilisation

- The Sonipat plant operates on 2 acres of owned industrial land plus 1 acre of leased space. At full infrastructure utilisation, peak potential revenue capacity is INR 7.5 bn, achieved by capturing INR 4 bn of internal wire rod production and processing it into finished cables and conductors. Management targets plant capacity utilisation of ~85% by FY28.

Product Mix Transition

- In FY27, cables and conductors are expected to generate 20-30% of total revenue as order execution commences in the second half. By FY28, they are targeted to exceed 50% of total revenue, replacing standalone wire rod sales as the primary revenue contributor.

Future Expansion

- The company plans to invest INR 500-600 mn in a continuous catenary vulcanisation (CCV) line for HT cables once total revenue reaches INR 6 bn. HT cables offer EBITDA margins exceeding 10%. Once aluminium cables reach the INR 6 bn threshold, Jainik intends to evaluate entering the copper segment for copper wires, conductors, and LT and HT cables.

Capital Allocation

- The board approved an INR 450 mn capital raise via preferential allotment of 3 mn share warrants. The mandatory 25% upfront proceeds have been received, with an 18-month conversion window from September 2026. The entire proceeds are allocated towards operational working capital, not plant capex.

Geographic Expansion

- Historically, 90-100% of revenue came from Delhi, Haryana, Rajasthan, Uttar Pradesh and Uttarakhand. Tight margins on raw wire rods and high transportation costs previously restricted distribution. Higher-margin finished cables allow the company to absorb freight costs and expand pan-India into western and southern states.

Partnerships

- Jainik has established a strategic alliance with Saaga Industries, a cable manufacturer, to supply wire rods and utilise spare manufacturing capacity for conductor production.

Growth Drivers and Demand

- Demand is propelled by government initiatives in power distribution, smart cities, and national highway infrastructure. Management foresees strong industry demand over the next decade exceeding available national manufacturing capacity, even as major industrial groups enter the sector.

Raw Materials and Hedging

- To protect against aluminium price volatility on global exchanges, Jainik maintains a fixed baseline inventory and executes simultaneous back-to-back buying and selling or hedges positions on the LME and MCX. Raw material price fluctuations affect working capital requirements rather than eroding profit margins.

JD Cables Ltd

Outlook: JD Cables is entering a strong growth phase, supported by robust demand across power transmission, distribution, renewable energy and data-centre infrastructure. Management expects 40-50% revenue growth, with the new MVCC/HT cable and specialised conductor capacity supporting higher-value product contribution and 2-3% margin improvement as utilisation ramps up. While approvals, customer sampling and labour availability may delay the ramp-up by 3-4 months, management expects combined capacity to support INR 6-7 bn revenue in the next financial year, with further expansion to remain demand-led.

Financial & Growth Outlook

- Management expects 40-50% revenue growth in the current financial year, against revenue of around INR 3.65 bn in the previous year.
- Combined existing and new capacity is expected to support revenue of around INR 6-7 bn in the next financial year, subject to capacity ramp-up.
- New capacity is expected to contribute around INR 1 bn on average initially.
- Management indicated that demand remains strong and the key constraint is execution/capacity availability rather than demand.

Capacity Expansion

- Existing units are operating at around 80-85% utilisation, with limited scope to increase production materially beyond current levels.
- The company is ramping up its new facility, which includes MVCC/HT cables and HTLS/CCB-related capabilities.
- New capacity ramp-up is taking time due to labour availability, product sampling and customer approvals.
- Management expects operations to normalise over the next 3-4 months.
- Some new product lines are expected to start from around January, while other CCB-related capacity is expected to start shortly thereafter.
- Management expects 2-3% margin improvement from the new higher-value products, with the potential for further improvement as the new facility scales up.

Product Mix & New Opportunities

- The company is moving toward higher-value products, particularly MVCC/HT cables and specialised conductors.
- Data-centre demand is viewed as a potential opportunity because of increasing power generation, transmission and distribution requirements.
- Management is also evaluating entry into the household cable segment, although this remains under internal discussion.
- The company stated that it can manufacture conductors up to around 400 kV and is expanding capabilities across transmission and distribution segments.
- Private customers remain an important source of business, while the company also continues to pursue government and EPC orders.

Pricing & Raw Material

- Pricing has remained strong, with cable and conductor prices generally linked to raw-material price movements.
- Management indicated that raw material inflation is largely passed on through the pricing mechanism, limiting direct margin pressure.
- Inventory is largely maintained against confirmed orders, reducing the risk of significant inventory gains/losses from commodity price movements.
- The company had around INR 790 mn of inventory in FY26, which management indicated is required partly because of the inspection and certification process before dispatch.
- The company also makes some upfront supplier payments to obtain better discounts.

Capex & Funding

- Management indicated around INR 200 mn of capex for the current year.
- Capex is expected to be funded primarily through internal reserves, although debt funding could also be considered.
- Further capex will depend on demand, land/equipment availability and utilisation of the newly added capacity.

Working Capital & Receivables

- Government customers generally have a payment cycle of around 45-60 days, although it can extend toward 90 days depending on the state and the time taken for certification.
- Private customers generally offer easier/faster execution and communication and can place larger orders.
- Management highlighted that the business remains working-capital intensive, particularly because of inspection, certification and dispatch processes.

Jeena Seekho Life Care Ltd**Jeena Sikho Lifecare Ltd**

Outlook: Management is targeting INR 30,000 mn revenue over the next 3-5 years, supported by expansion across Ayurveda products, hospitals, clinics, wellness centres, virtual OPD and preventive healthcare. The company aims to build a 360-degree healthcare ecosystem, with growth driven by increasing bed capacity, direct-to-consumer product sales, health-insurance penetration, college-hospital partnerships and repeat/referral-led customer acquisition.

Products & Margins

- FY25 revenue was indicated at INR 8 bn, comprising INR 4.15 bn from products and INR 3.25 bn from services. Product gross margins have remained ~90%, with management expecting sustainable margins in the 85-90% range. Historically, manufacturing was largely outsourced with company-led quality control; the company is now moving towards dedicated manufacturing capacity, with an exclusive facility expected to commence operations shortly and plans to gradually shift production across seven locations.

Direct Distribution & E-Commerce

- Management is currently de-emphasising the traditional distributor/OTC model due to high channel costs, estimated at 60-65% of product economics after distributor, retailer, C&F and advertising margins. The focus is shifting towards owned centres, hospitals, e-commerce and direct online sales. Management highlighted sales of 95,000 units of Pure Yakrit Pliha and 70,000 units of sea buckthorn juice during the previous month, with direct sales providing materially higher margins and better control over product authenticity.

Hospital & Bed Expansion

- The company had 2,400 operational beds as of Q1, with management targeting 3,000-3,500 beds by year-end and a longer-term ambition of 7,000-10,000 beds. Q1 occupancy was 61%, with management preferring a sustainable 60% occupancy level rather than maximising utilisation at the expense of service quality. Average revenue per occupied bed (ARPOB) was indicated at INR 8,300 for the last quarter.

College-Hospital Model

- The college-hospital partnership model is a key component of the expansion strategy. Ayurveda colleges are required to maintain 100-bed teaching hospitals, many of which have historically operated with low patient utilisation. Jeena Sikho has taken over three such facilities across Mohali, Vrindavan and Mehkar, with management stating that these centres are operating at high utilisation. The model also provides access to trained manpower and reduces capital intensity. Management indicated that capex can decline from INR 0.3-0.4 mn per bed under the conventional model to INR 0.1-0.15 mn per bed under this model, with 20 additional opportunities reportedly in the pipeline.

Insurance & Preventive Healthcare

- Health insurance is becoming an important growth driver, with management indicating that 26% of revenue came from health insurance in the referenced period. Increasing acceptance of Ayurveda under insurance and government initiatives such as Ayushman Bharat are expected to support hospital and bed expansion. Management also expects greater adoption of preventive healthcare and Ayurveda to support long-term demand.

Customer Acquisition & Marketing

- Management highlighted a significant improvement in customer-acquisition economics, with marketing expenditure contained at INR 600 mn despite strong revenue growth. The company attributes this to referrals, repeat purchases and patient-led brand advocacy. The integrated model allows customers acquired through products to be converted into healthcare-service customers and vice versa, reducing incremental acquisition costs.

Research & Clinical Development

- Research is being scaled up through a dedicated research centre, with staff hiring and equipment procurement already underway. Management stated that the company has published 201+ research papers, with 150 papers in the pipeline. Collaborations mentioned include IIT Ropar and Punjab University, while discussions with ILBS were also highlighted. The company intends to strengthen clinical research, evidence generation and integration of Ayurveda with broader healthcare ecosystems.

Luxury Wellness

- Ekam Wellness, positioned as the company's luxury wellness offering, is expected to soft-launch on 31 October. The luxury segment is intended to complement the company's mainstream hospitals, clinics and wellness centres and provide an additional higher-end preventive-healthcare offering.

Oregano Acquisition

- The company acquired Oregano for INR 800 mn. Management stated that the acquisition brought five operating centres, additional centres in the pipeline, trained manpower and an established health-insurance business. Management also indicated that the acquisition helped accelerate earnings and reduced competitive pressure for trained manpower. The company remains open to further acquisitions where it sees strategic and financial synergies.

Capex & Funding

- Management expects future expansion to be largely funded through internal accruals and existing cash, with no current requirement for equity dilution or external capital raising. The low-capex college-hospital model is expected to further improve capital efficiency. Conventional hospital capex was indicated at INR 0.3-0.4 mn per bed, versus INR 0.1-0.15 mn per bed under the newer partnership model.

Buyback & Capital Allocation

- Management confirmed that a share buyback is under consideration, following discussions with shareholders, although no final decision was announced on the call. Management also indicated that surplus cash could be deployed towards acquisitions or expansion opportunities, while maintaining confidence in the company's growth prospects.

Jupiter Wagons Ltd

Outlook: Management expects FY27 revenue to remain broadly flat at ~INR 30 bn due to the delayed Indian Railway wagon tender, while Q3/Q4FY27 should see better execution and margins. The larger growth opportunity is expected from FY28 onward, led by the Odisha wheelset facility, BESS scale-up and recovery in wagon volumes. The company targets ~INR 80-90 bn revenue by FY29, with wagon and non-wagon businesses contributing roughly equally. Management's key focus areas are wagon manufacturing, wheelsets and BESS, while entry into the passenger segment is also at an advanced stage.

Order Book & Wagon Business

- Consolidated order book stands at ~INR 47 bn, including ~INR 35 bn wagon orders, ~INR 5 bn commercial vehicle load bodies, ~INR 7 bn wheelsets and ~INR 5 bn BESS orders.
- Wagon order book is currently ~80% private and ~20% Indian Railways, as the earlier railway orders are nearing completion.
- Indian Railways is expected to float large wagon tenders around the end of Q3FY27 or the start of Q4FY27; management expects an annual share of ~7,000 wagons if the expected tender materialises.
- Wagon production was ~1,100 units in Q1FY27; FY27 wagon sales are targeted at ~5,500 units, broadly in line with FY26.
- Current wagon capacity is ~900-1,000 units per month, with utilisation at ~50-60%.
- Private wagon orders carry ~12-12.5% EBITDA margins versus ~11% for Indian Railway orders.

Revenue & Margin Outlook

- FY26 consolidated revenue was ~INR 30 bn; management expects FY27 revenue to remain broadly at a similar level due to the timing of new railway orders.
- Management expects FY28 to show improvement as new businesses scale up.
- FY29 revenue target is ~INR 80-90 bn, supported by the Odisha wheelset plant, BESS and other emerging businesses.
- Management continues to target ~15-16% blended EBITDA margin over the longer term, with wagon revenue expected to contribute ~50% and non-wagon businesses ~50%.
- Q1FY27 EBITDA margin was ~12-13%; management expects margins to improve in Q3/Q4FY27 as private wagon and BESS orders contribute more significantly.

Odisha Wheelset Project

- The Odisha wheelset project involves total capex of ~INR 25 bn for capacity of 100,000 wheelsets.
- Funding is fully tied up, with ~35% equity (~INR 9 bn) and ~65% debt.
- Axle production is targeted to commence by March 2027, while the wheel line is expected to be operational by March 2028.
- FY29 is expected to be the first full year of operations, with the project targeted to generate ~INR 30 bn revenue at full scale.
- The facility is planned with ~50% capacity for exports and ~50% for the domestic market, including captive requirements.
- Lucchini RS and an Italian government-backed financial institution have invested ~INR 2.9 bn for a 25% stake, providing strategic, technical and export support.
- Management indicated a ~5-10% manufacturing cost advantage in India versus European production, supporting the export opportunity.

BESS & New Businesses

- The BESS order book currently stands at ~INR 5 bn, and management is targeting ~INR 10 bn by FY27-end and ~INR 20 bn subsequently.
- The BESS EBITDA margin target is ~14-15%.
- The recent ~400 MWh BESS order from the West Bengal Electricity Board is valued at ~INR 4 bn.
- Jupiter Electric Mobility (JEM) has tied up with eight dealers and is initially focusing on electric commercial vehicles in northern and western India.
- JEM reported an EBITDA loss of ~INR 340 mn in Q1FY27; management expects the business to move close to breakeven in FY27 and targets an EBITDA margin of ~12-13% from FY28 onwards.
- Stone India has commenced commercial production of its brake systems, with one product approved and another under trial.
- Management is evaluating entry into the passenger segment through a potential overseas technology partnership.

Justo Realfintech Ltd.**Justo Realfintech Ltd**

Outlook: Justo is transitioning from a traditional real estate mandate platform into a broader, technology-led, full-stack real estate services company. The company currently has a strong presence in Mumbai and Pune, with 46 live mandates worth INR 6,500 mn as of July 2026, and it has sold INR 11,500 mn of inventory across 15,650 units since inception. Management expects growth to be driven by geographic expansion, entry into premium real estate through Chestertons, higher-margin advisory businesses and new verticals.

Business Model & Scale

- Justo operates as a B2B, tech-enabled real estate mandate partner, providing developers with end-to-end services covering project strategy, product positioning, pricing, marketing, sales, CRM, home loans and collections. The company has 400+ employees, 6,000+ RERA-registered channel partners and a developer network of 750+ in Pune and 500 across the rest of Maharashtra/Mumbai. Justo's model converts developers' fixed sales and marketing costs into a variable, success-based cost structure.

Growth Track Record

- The company has delivered a 32% revenue CAGR, 51.9% EBITDA CAGR and 52.0% PAT CAGR. As of July 2026, Justo had sold INR 11,500 mn of inventory (15,650 units) since inception. Management did not provide specific FY27/FY28 revenue guidance but indicated expectations of robust growth, supported by expansion into faster-growing markets and segments.

Chestertons & Premium Real Estate

- Justo acquired rights in 2026 to operate Chestertons' IPC business in India, providing access to a premium segment beyond its existing core market. While Justo currently largely operates in the INR 6-30 mn ticket-size segment, Chestertons will target properties with minimum ticket sizes of INR 40-60 mn. Key segments include luxury residences, villas, branded residences, plotting, second homes and weekend homes.

New Growth Verticals

- Through Chestertons, the company intends to expand into capital markets, fundraising, JV/JD transactions, commercial leasing, hospitality, facility management, PMC and development management. Management has identified a cumulative target addressable market of INR 1,400,000 mn across the segments it plans to address. The company expects these businesses to contribute meaningfully to growth over the next 24 months.

Margin Expansion Strategy

- The current revenue mix is 80% through channel partners and 20% through direct sales. Management plans to increase the share of direct customer acquisition, which would reduce the commissions paid to channel partners and support profitability. In addition, the company is focusing on higher-margin businesses such as IPC and financial advisory to protect and potentially improve margins.

Technology & Project Manthan

- The company is developing its proprietary technology platform, Project Manthan, covering the real estate lifecycle from lead nurturing and pre-sales through field sales, collections and CRM. Phases 1-3 have been completed, while Phase 4 covering collections and CRM is under development. Deep-tech and AI capabilities are expected to be integrated into the later stages, with the complete technology stack targeted for release around January. Management has already observed some efficiency improvement from the deployed technology, although the larger benefits are expected after full implementation.

Geographic Expansion

- Justo's current operations are concentrated in Mumbai, Pune and Nashik, with Mumbai and Pune accounting for the majority of revenues. Over the next 12 months, the company plans to enter Gujarat/Ahmedabad, Bangalore, Hyderabad and Nagpur, while markets including Delhi/NCR, Kolkata, Raipur, Indore and Chennai are being considered over the next 24 months. Geographic expansion is aimed at reducing concentration in Mumbai and Pune and accessing faster-growing markets.

Receivables & Collections

- Management stated that there are no material recovery issues and considers the outstanding receivables to be good debt. Around 73% of outstanding receivables are less than 90 days old. Management highlighted that substantial collections were achieved during H1 and expects recoveries to remain in line with its commitments.

Seasonality

- Real estate remains a highly festive-driven business, with the majority of revenue captured during Q3 and Q4. Management broadly indicated a 30:70 H1:H2 revenue split, making the second half particularly important for annual performance.

Competitive Position

- Justo's key competitive advantages include its end-to-end delivery model, 6,000+ channel partner network, proprietary technology platform and experienced leadership. The Chestertons partnership further provides access to premium real estate and an internationally recognised brand.

Key Risks

- Key monitorables include the company's high current concentration in Mumbai and Pune, execution of its multi-city expansion strategy, successful scaling of the Chestertons/IPC business and the ability to increase direct sales contribution. The company's working capital and receivable cycle also remain important given the nature of the mandate business.

K2 Infragen Ltd

Outlook: K2 Infragen is transitioning from a subcontracting-led EPC player to a direct government and institutional contractor, with an order book of >INR 9 bn (~5x FY26 revenue) providing multi-year visibility. Management targets 20-25% YoY revenue growth in FY27, with EBITDA margins of 14-16% as the mix shifts towards higher-margin railway and power projects. Key monitorables include HAM project execution, working capital efficiency, order book replenishment and progress on solar/BESS opportunities.

Strategic Transition to Direct Contracts

- K2 Infragen is shifting from predominantly subcontracting/back-to-back execution toward direct government and institutional orders, which management expects to support better margins and stronger credentials.
- The company has successfully executed more than 50 projects since inception and currently has 11 ongoing projects across multiple states.
- Management highlighted that successful completion of the current order book will improve eligibility for larger projects going forward.

FY26 Performance & FY27 Guidance

- FY26 revenue from operations stood at ~INR 1.85 bn, registering ~26% YoY growth.
- FY26 EBITDA stood at ~INR 260 mn, with an EBITDA margin of approximately 12.5%.
- FY26 PAT was INR 133 mn, with a PAT margin of ~7.2%.
- Management expects to maintain a conservative 20-25% YoY revenue growth trajectory in FY27.
- Management indicated that the current order book can support revenue growth over the next ~3 years.

Order Book & Execution Visibility

- The current order book stands at >INR 9 bn, around 5x FY26 revenue.
- The order book is diversified across key infrastructure segments: roads (~43%), railways (~38%) and power transmission & distribution (~18-19%).
- The company currently has more than 70 construction machines and equipment, providing execution capabilities across multiple project locations.
- Management expects the existing order book to be executed over approximately 3 years, with individual projects having timelines of 24-36 months.
- The company has also bid for approximately INR 4 bn of additional tenders, providing further potential order-book replenishment.

Roads & HAM Opportunity

- The company has secured its first major HAM project worth ~INR 3.9 bn in Telangana from the Panchayat Raj Engineering Department.
- Management sees HAM as an important avenue for expanding into larger and more sustainable infrastructure opportunities.
- The HAM model would require equity contribution and project-level debt, with management expecting higher project and equity IRRs compared with conventional EPC contracts.
- Management is evaluating additional annuity-based opportunities as part of its strategy to diversify revenue and improve visibility.

Railways

- Railways has become one of the company's key growth segments, accounting for ~38% of the current order book.
- The company recently received a railway electrification order from Konkan Railway, with management indicating the order value at ~INR 1.35-1.58 bn during the conference.
- Management indicated that railway projects generally carry higher margins than road projects.
- The company is increasingly focusing on direct railway opportunities rather than executing primarily through subcontracting arrangements.
- Railway execution timelines are also relatively shorter compared with road projects, according to management.

Power Transmission & Distribution

- Power T&D contributes approximately 18-19% of the current order book.
- Management highlighted a large opportunity pipeline across power transmission and distribution, supported by ongoing government and utility-led spending.
- The company has already secured direct T&D orders, including an INR 850 mn contract from Karnataka Power Transmission Corporation Ltd (KPTCL).
- Management believes its existing execution experience provides an advantage while bidding for larger projects.

Margins

- FY26 EBITDA margin stood at approximately 12.5%.

- Management indicated that overall EBITDA margins could be maintained in the 14-16% range going forward.
- The shift from subcontracting to direct government/institutional projects is expected to support margin improvement through better project economics and lower royalty-related costs.
- Railway and power projects are expected to contribute a better margin mix compared with roads.
- Management stated that it remains focused on margin-led bidding rather than aggressive order acquisition.

Working Capital & Receivables

- Working-capital management remains an important focus as the company executes the significantly larger order book.
- Trade receivables stood at approximately INR 1.39 bn as of March 2026.
- Management clarified that around INR 220-230 mn represents retention money, which is not yet due and is expected to be collected over the relevant defect-liability periods.
- Management does not expect the absolute receivable number to necessarily decline as the business scales, but expects DSO/debtor ageing to improve.
- The company is increasingly receiving customer advances on direct projects, which management expects to reduce dependence on incremental bank funding.

Debt & Funding

- Management indicated borrowing costs are broadly in the 8.5-10% range.
- Working-capital funding will be required to execute the current order book, but management believes the company is adequately positioned to commence execution.
- Customer advances on direct government projects are expected to support working-capital requirements.
- Management indicated that the existing equipment fleet is sufficient for current execution requirements, reducing the immediate need for significant fleet-related capex.
- Incremental capex will depend on the number, size and geographical spread of new projects secured.

Solar, BESS & Renewable Opportunities

- K2 Infragen is selectively expanding beyond its core EPC operations into solar EPC and battery energy storage systems (BESS).
- Management highlighted that the company's current net worth and technical capabilities provide eligibility to participate in sizeable BESS tenders.
- The company is evaluating opportunities of up to around 100 MW in BESS, subject to tender-specific requirements.
- Management sees renewable energy and storage as adjacent opportunities that can broaden the company's EPC capabilities without materially changing its core infrastructure focus.

Bid Pipeline & Win Ratio

- Management indicated a current bid-win ratio of approximately 28%.
- The company expects the win ratio to remain around 28-30% going forward.
- Management is becoming more selective in bidding, with greater emphasis on project margins and execution feasibility rather than simply maximising order intake.
- Competitive advantage is supported by the company's prior experience as a subcontractor, which management believes provides knowledge of project-level efficiencies, execution requirements and optimisation opportunities.

JV Structure & Execution

- In certain JV-led projects, K2 Infragen holds a majority share of ~76% (76:24) with its partners.
- Management clarified that the execution of such projects is largely undertaken through K2 Infragen, with the company recognising the project revenue rather than simply sharing revenue in proportion to the JV holding.
- This structure allows the company to leverage partner credentials while retaining significant execution responsibility.

Kalpataru Projects International Ltd

Outlook: Kalpataru Projects International enters the remainder of FY27 with strong momentum across its core power T&D, B&F, and oil & gas businesses, underpinned by year-to-date order inflows of ~INR 180 bn plus an L1 pipeline of ~INR 80 bn, together representing ~INR 260 bn against a full-year guidance of INR 300+ bn, with potential for upward revision at Q2. Management remains confident of achieving ~15% revenue growth, ~75 bps margin expansion, working capital below 90 days, and further debt reduction, supported by better-margin orders, lower interest costs, and efficient execution. Growth visibility is reinforced by a strong Middle East oil & gas and water pipeline, a large HVDC and GIS substation opportunity in India, a fast-growing data centre vertical with end-to-end MEP capabilities, and the INR 1.5 bn Raipur captive rolling mill as the first step in backward integration. With capex likely to surpass the ~INR 8 bn guidance, non-core asset monetisation progressing, and the LMG Sweden stake sale completed, the company appears well-positioned to deliver on its full-year guidance while building a broader, higher-margin growth platform for FY28 and beyond.

Q1FY27 Performance and Full-Year Guidance

Kalpataru Projects International reported Q1 revenue growth of ~9% to INR 63.96 bn with EBITDA margin expansion of ~30 bps. Management reaffirmed full-year FY27 guidance of ~15% revenue growth, ~75 bps margin improvement, working capital below 90 days, significant debt reduction, and order inflow in excess of INR 300 bn. The company is on track to meet or exceed these targets, with order inflow plus L1 already at ~INR 260 bn against the INR 300 bn guidance, leaving room for a potential upward revision when Q2 results are announced.

Order Inflow and Tender Pipeline

Year-to-date order inflows stand at ~INR 180 bn, supplemented by an L1 pipeline of ~INR 80 bn, taking the total to ~INR 260 bn. Management indicated a possible upward revision of the INR 300 bn guidance given strong tendering activity across power T&D, B&F, and oil & gas. Notable wins include a ~INR 17-18 bn metal and mining processing plant order and a ~INR 40+ bn oil & gas order in the Middle East. The tender pipeline remains robust across all three core businesses, with HVDC opportunities of ~INR 500-600 bn expected over the next three to four years.

Debt Reduction and Working Capital

Consolidated net debt declined by ~INR 19 bn to ~INR 9.17 bn in Q1FY27. Management expects further improvement in working capital and debt metrics in Q2 and H2FY27, with no anticipated deterioration. The water segment's outstanding billed plus unbilled receivables remain at ~INR 14-15 bn, but collection intensity has improved compared to last year, with ~INR 3.8-4 bn collected in Q1 and similar amounts in Q2.

Oil & Gas and Middle East Expansion

The Middle East oil & gas market remains a key growth driver, with significant tender activity in Saudi Arabia and the UAE focused on onshore greenfield and brownfield projects, gas supply, and energy security. The company is executing its legacy Aramco project, which is ~60-65% complete and slated for completion in the next 12 months, providing confidence to scale the international oil & gas business. A second large oil & gas order in excess of INR 40 bn was recently secured in the Middle East, with further wins expected in H2FY27 and FY28.

Water Segment and Middle East Desalination

Water is not a new business, with prior international projects in the Maldives, Sri Lanka and Mongolia. The first Middle East water treatment order of ~INR 3.44 bn, secured in JV with a technology partner, opens a significant desalination and water supply opportunity over the next five to seven years. The margin profile in this segment is in line with the T&D and B&F businesses, nearing double digits. The company is qualifying with major Middle East clients and expects to scale this vertical meaningfully from next year.

Data Centre and B&F Opportunities

Within the B&F segment, data centres represent a growing opportunity with a civil-only addressable market of ~INR 150-200 bn, and 3-4x that if MEP is included. The company has completed two data centres on the civil front and is currently executing one in the Mumbai region, having developed end-to-end civil plus MEP capabilities. It has bid for two to three large data centre projects and expects to convert at least one, worth ~INR 10-20 bn, this year. Other B&F verticals include residential, commercial, airports, and industrial processing plants.

Backward Integration and Capex

The Raipur rolling mill, the first backward integration project, is entirely captive, with planned annual capacity of ~150,000 tonnes (~12,500 tonnes per month) at an investment of ~INR 1.5 bn. Payback is expected in one to two years, with benefits including lower inventory and greater flexibility in rolling billets into the required tower sections. FY27 capex guidance of ~INR 8 bn is likely to be surpassed, with ~INR 5 bn already incurred by Q2. Capex is directed towards the rolling mill, B&F staging and fabrication, oil & gas automatic welding and elevated metro projects.

Railways and ROW Scenario

The company remains cautious on conventional railways due to intense competition, smaller project sizes (~INR 1-2 bn), capital deployment concerns, and workforce availability issues. It continues to pursue metro projects, both underground and elevated. On right-of-way (ROW) issues in T&D, the situation has improved compared to seven to eight years ago, with large developers like PGCIL better equipped to resolve ROW challenges, and ROW is no longer significantly affecting progress.

Margin Improvement Drivers

Despite industry-wide margin pressures from commodity inflation, labour shortages, and logistics, Kalpataru expanded margins in Q1FY27. Drivers include better margins on newly bid projects, significantly lower interest costs over the last two to three quarters, efficient project execution and closure, and ongoing project optimisation. Management is confident of delivering at least ~70-75 bps margin improvement for the full year.

Labour and Execution Outlook

Labour shortages encountered in Q1 due to elections and festivals have fully resolved, with no labour-related issues in Q2. However, Q2 execution is seasonally moderated by monsoons, with H2 being the primary execution period for EPC businesses, consistent with historical patterns. On-ground execution in the Middle East remains satisfactory at ~85-90% of project plans, with minor disruptions not materially hampering progress.

Non-Core Asset Monetisation and LMG Sweden

All road projects have been divested or terminated except one expressway SPV, which has only ~2 years of concession left and will be handed over to NHAI upon completion. Shubham Logistics is working with consultants on monetisation, with old assets being divested to make the business asset-light; it currently has no external debt. The LMG Sweden IPO concluded last week, with a 30% stake divested and proceeds already received.

Karbonsteel Engineering Ltd

Outlook: Management targets 20-30% annual growth, supported by the expansion of capacity from 30,000 MTPA to 54,000 MTPA. It maintains its guidance of about 13% EBITDA margin. Of the current order book, INR 2,000-2,250 mn is expected to be executed this financial year and about INR 1,000 mn will spill over to the next.

FY26 Performance: Total revenue was INR 3 bn. Normalised EBITDA margin held at ~13%, with realisation of ~INR 95,000 per tonne and EBITDA of INR 12,300 per tonne. Labour migration, the West Asia crisis and cost pressures hurt performance by about 11%.

PAT & One-Offs: PAT fell about 26% because of non-recurring items and operational delays. These included a one-time bad debt write-off of INR 16.5 mn after an NCLT ruling on a pre-COVID case. A 20-day outage in LPG supply from Reliance in March also disrupted steel cutting and created an inventory backlog.

Order Book: The current order book is INR 3,000 mn, about 1x FY26 revenue. A further INR 1,500 mn of orders is in active negotiation across refineries, power plants and bridges.

Capacity Expansion: Current capacity is 30,000 MTPA. It is being expanded to 54,000 MTPA, with full commercial benefits from around November-December. Later phases aim to reach 70,000 MTPA from a single location.

Plant Consolidation: The smaller Khopoli facility has been merged into the main Umargam plant, which covers more than 20 acres and 0.85-0.90 mn sq ft. Consolidation improves technological consistency and operating margins.

Automation & Cost Initiatives: The company has installed an automated beam straightening and welding machine, an automated shot-blasting unit with 2,000 MT capacity and a German high-definition drilling and cutting machine. A 1 MW rooftop solar plant, due by 1 December, is expected to fully offset electricity costs.

Bullet Train Bridges: The company has been pre-qualified and trained by Japanese partners to build bridge spans for the Ahmedabad-Mumbai high-speed rail line, covering more than 30,000 MT of span projects.

Semiconductor Project: The company is in final negotiations to design and build the heavy, seismic-resistant steel structure for a chip manufacturing unit.

Other Projects: It has supplied 40,000 MT of structural steel to ArcelorMittal Nippon Steel for its plant expansion. It also works on refineries (IOCL Dumad and IOCL Paradip), thermal power plants, EV battery units, data centres and railway foot overbridges.

Raw Material Protection: Every client contract includes a price variation clause, so raw material price movements are passed straight to clients.

Working Capital: The working capital cycle averages about 150 days. Steel arrives from mills 45-60 days after an order is placed, fabrication and inspection take 60-90 days, and clients pay 30-60 days after delivery. Progressive billing on individual components keeps cash flowing through project lifecycles of 1.5-2 years.

Balance Sheet: Debt stands at INR 600 mn against a net worth of INR 1,150 mn, a debt-to-equity ratio of about 0.5x. The company is seeking approval to raise its borrowing limit to INR 4,000 mn, to give flexibility for expanding beyond 54,000 MTPA.

Industry Peers: Peers include Jindal Steel & Power (JSPL), Syska/Syscon and Goodluck Engineering.

Long-Term Potential: Capacity is increasing about 1.8x, and the company is entering high-specification segments such as bullet train bridges and semiconductor plants. Combined with pass-through pricing protection, this supports the 20-30% growth target. Further scaling to 70,000 MTPA and solar-led cost savings offer more room for growth and margin gains.

Karnika Industries Ltd

Outlook: Karnika is a vertically integrated kidswear maker running a B2B brand, Karnika, and a B2C retail brand, Kid City, on an asset-light model that keeps fixed investment low. Growth is anchored on scaling the Kid City shop-in-shop network and licensed character-led outlets at airports and premium malls, with the company guiding to consolidated revenue of ~INR 3.5-3.7 bn in FY27 and INR 5 bn by FY29, at an EBITDA margin of 15-18%.

Business Model

- The company keeps designing, cutting, finishing, quality checks, ironing, packaging and dispatch in-house, and outsources the time-intensive stitching, printing and embroidery steps, keeping asset investment light.
- B2B runs under the Karnika brand through an agent, wholesaler and retailer chain, at a net margin of ~10-12%.
- B2C runs under Kid City on a direct-to-consumer basis, at a net margin of ~17-20%, with the company carrying the inventory risk.
- The company also acts as the sole regional aggregator in Kolkata for online platforms such as Hopscotch and Bonsai and is signing on more clients.

Kid City and Retail Strategy

- Kid City was acquired to add a ready B2C retail platform to Karnika's strong backend manufacturing, framed as a win-win on cost and price.
- The network stands at ~75 shop-in-shop stores concentrated in Bihar, Odisha, Uttar Pradesh and West Bengal, with expansion planned into airports and high street malls through licensed character-based outlets.
- Around 80% of shop-in-shop stores operate on a sale or return basis and 20% on outright purchase.

Margins and Inventory

- B2B carries lower margins but no inventory risk as goods move to wholesalers, while B2C earns higher margins but holds inventory.
- Dead or unsold Kid City stock can be cleared at cost through the established Karnika B2B channel, which the company views as a cushion that pure retail players lack.
- White labelling is under 1%, with both B2B and shop-in-shop sales under own brands.

Competitive Position and Regions

- Against online-first players like FirstCry, the company positions itself as an offline kiosk led business in a different domain, with a Shopify website launched only recently.
- Revenue splits roughly 55% from north and central India and 45% from south and east.

Financials, Guidance and Capacity

- Q1 revenue was around INR 740 mn at a net margin of about 12%.
- The company guided to consolidated revenue of ~INR 3.5-3.7 bn in FY27 and ~INR 5 bn by FY29, at an EBITDA margin of 15-18%.
- There are no capacity constraints given the outsourced, asset-light model, with woven and value-added pieces taking ~90-120 days.
- Exports are limited to the Middle East with no major expansion planned for now given the war situation, while value-added toys and accessories under licensed characters are being explored for higher margins.
- Guidance & View: The Kid City B2C and licensed character retail expansion into airports and premium malls is the main growth and margin lever. The asset-light manufacturing model and the ability to clear unsold retail stock through the B2B channel cushion the higher inventory risk that comes with the direct-to-consumer push.

KEC International Ltd

Outlook: KEC's outlook hinges on a transitory disruption cycle normalising from Q3FY27, with the West Asia conflict, water project receivables, and railway and metro losses expected to fade over the next few quarters. The ~INR 410-420 bn order book plus L1, backed by a T&D tender pipeline above INR 1,000 bn and PowerGrid capex of INR 1,100-1,300 bn, supports 12-15% revenue growth guidance for FY27 and sustainable 12-15% growth thereafter, with T&D held at 65-70% of the mix and growing 15-20%. Margin recovery is the key lever: FY26's 7% is unlikely to be exceeded this year, but FY28 onwards should see normalised 8-9% consolidated margins as T&D's double-digit profitability stops being offset by losses in railways and civil. Debt reduction of at least INR 10 bn to ~INR 55 bn by March, driven by Afghanistan, Jal Jeevan, Saudi retention, and arbitration inflows plus ~INR 2 bn of inventory liquidation, should ease working capital to ~115 days. Cables & conductors is the main diversification story, targeted at INR 40-50 bn turnover in three to four years with potential monetisation or strategic investment, while renewables and civil grow at a steadier ~15-20% with lower margins.

Business Overview and Scale

KEC International is an eight-decade-old RPG Group company operating as a global EPC infrastructure major across five verticals: power transmission and distribution (T&D), civil, railways, renewables, and cables & conductors. T&D is the largest business at ~65-70% of the mix. The company runs eight manufacturing facilities (five in India, three international), six for towers and two for cables & conductors, and claims the world's largest tower manufacturing capacity at over 480,000 tonnes. It executes 250+ projects across ~15 countries spanning the Middle East, Africa, CIS, Far East, and the Americas through subsidiary SAE Towers.

Order Book and Pipeline Visibility

The combined order book and L1 pipeline stands at ~INR 410-420 bn, giving revenue visibility for six to eight quarters. The broader tender pipeline exceeds INR 2,000 bn, split roughly equally between T&D and non-T&D, with T&D alone above INR 1,000 bn. Order intake secured so far this year is over INR 75 bn plus an L1 pipeline of ~INR 80 bn, implying ~INR 150 bn of visibility against a full-year guidance of ~INR 300 bn, with large awards expected in H2.

T&D Outlook and Growth Drivers

India T&D is seeing strong traction from renewable evacuation lines, with multiple orders from private developers and two HVDC orders won this year. KEC is executing five HVDC projects for PowerGrid and Adani, with one more large HVDC expected during the year and seven to eight in the overall pipeline. A notable new win was a data-centre power evacuation order, reflecting emerging demand that benefits both T&D and civil. PowerGrid has announced capex of ~INR 1,100-1,300 bn over three years, where KEC holds 20-25% market share. In India, KEC targets INR 80-100 bn of order intake this year within a total T&D intake target of INR 180-200 bn. The annual India T&D pipeline is seen at INR 800-1,000 bn, with an addressable market of INR 500-600 bn and KEC's share at 15-20%.

International T&D and Regional Dynamics

The Middle East carries a ~INR 500 bn annual pipeline, but award finalisation is delayed by the conflict; KEC has conservatively assumed only INR 30-40 bn of intake from the region this year. Saudi projects are largely insulated as towers are procured locally under in-country value norms, and execution there is on schedule. The Americas are robust, with Brazil and Mexico factories fully loaded for one to one-and-a-half years; the SAE order book is INR 35 bn against annual revenue of ~INR 20 bn, aided by US data-centre and AI-driven demand. Africa is recovering post-COVID with more tenders, and SARC markets like Nepal and Bangladesh should improve with political stability, though KEC will only take funded orders backed by EXIM India or ADB.

Margins and Segment Profitability

T&D projects earn double-digit EBITDA margins with return on capital employed above 25% and net working capital under 100 days. India and international T&D margins are now largely at par in double digits, with earlier export advantages of lower capital cost having narrowed to ~50 bps. Cables & conductors and renewables operate at ~6-7% margins, while railways and civil are the sources of margin pain. Consolidated FY26 margin was 7%, and management does not expect to exceed that this year, with FY28 onwards seen as the point when normalised 8-9% margins emerge as T&D's double-digit profitability stops being offset by losses elsewhere.

Middle East Disruption and Recovery Timeline

The West Asia conflict caused a ~INR 3-4 bn revenue spillover in Q1 due to shipping lead times for imported equipment like transformers and GIS, with Q1 seeing a complete standstill in material movement. Movement resumed in Q2 though lead times remain elevated. KEC expects to recoup high-margin T&D revenues lost in Q1 and Q2 from Q3 onwards, making H2 growth and margin trajectory materially better than H1. Management views the disruption as transitory and largely resolved by Q3.

Civil, Railways and Arbitration Issues

Civil has an order book plus L1 of ~INR 90 bn, with 60-70% from buildings and factories at mid-single-digit margins. Water projects under Jal Jeevan Mission face ~INR 8 bn of stuck receivables and are being run on a cash-and-carry basis with no new orders being pursued. Metros have been loss-making across four DMRC and CMRL projects, with two completed but awaiting PMO inauguration and maintenance costs of INR 50-70 mn per project still being charged. Railways is being deliberately de-grown due to power-block dependencies and weak zonal railway contract capability, with arbitration cases expected to conclude by this year and profitability returning next year. Kavach is a modest opportunity with a tie-up with Kernex, targeting ~INR 10 bn annual revenue.

Diversification and Capital Allocation

T&D will be maintained at 65-70% of the portfolio with 15-20% growth. Renewables, including the new wind foray and a record 1 GW of solar commissioned last year, are targeted to grow above 20% but with lower margins. Civil should grow ~15% with share at 15-20%, focused on industrial and selective residential/commercial. Cables & conductors is the key diversification lever, with the aluminium conductor plant commissioned in March 2025 at 25,000 tonnes capacity generating INR 6-7 bn annually, plans to double capacity, and new products like elastomeric and HTLS conductors. The business is targeted to reach INR 40-50 bn turnover in three to four years, after which monetisation, listing, or a strategic investor may be considered. The segment's share is expected to rise from ~10% to ~15%.

Debt Reduction and Working Capital Levers

KEC guides net debt down to ~INR 55 bn by March, a reduction of at least INR 10 bn, driven largely by one-time inflows. These include ~INR 3 bn from Afghanistan backed by ADB letters (slipping from September to October), ~INR 7-8 bn from Jal Jeevan water receivables, ~INR 2 bn from completion of Saudi projects with higher retention in Q3-Q4, and ~INR 2.5 bn from claims and arbitration in transportation and metro projects. Inventory liquidation of ~INR 2 bn is also targeted, with elevated inventory due to high steel prices and Dubai factory buffers. Working capital, currently stretched by these stuck amounts, is expected to improve to ~115 days by year-end.

Guidance and Management Commentary

FY27 revenue growth guidance is 12-15%, though a continued Q3 war could bring it to ~10%. From next year, sustainable 12-15% growth is seen as achievable given the order book. Management characterises the current set of issues, including the West Asia war, water project concerns, and working capital stress, as transitory and expected to fade over the next few quarters, with normalised margins and T&D's double-digit profitability reflecting more clearly at the consolidated level from FY28 onwards.

Khazanchi Jewellers Ltd
Business and Financials

- Khazanchi is a Chennai-based gold jewellery maker operating since 1971. B2B wholesale to jewellers across South India is the core business and still accounts for 90-95% of revenue.
- It listed on the BSE SME platform in 2023 at INR 140 per share (valuation of ~INR 3.63 bn); its market cap is now ~INR 18 bn.
- FY26 revenue was ~INR 28 bn and PAT ~INR 890-900 mn. Q1FY27 was described as very good.
- FY26 gold volume sold was ~1,660 kg, mostly 22K. B2B volume is ~180-200 kg a month in a good season.
- No B2B client is more than 5-6% of volume.

Flagship Store (B2C)

- A 10,000 sq ft flagship opened in Chennai on 7 February 2026. Capex was ~INR 140 mn against INR 120 mn sanctioned in the IPO.
- Inventory is ~INR 1.5-1.7 bn, funded from existing B2B stock and a higher bank limit (INR 400 mn raised to INR 1 bn).
- The store is targeted at ~INR 5 bn of annual revenue, reachable next year. After about six months, it is running at ~70-75% of that pace, or ~INR 250-300 mn a month.
- B2C is ~10% of revenue today and is targeted at 25-30% over time.

Expansion Plan

- The plan is for two stores by 2028 and 8-10 by 2030, at a pace of 2-3 a year.
- Minimum size is 6,000-8,000 sq ft, with Chennai and South India first and locations to be announced.
- New stores are expected to reach ~70% of flagship sales.
- Funding is mainly internal accruals, with additional debt as required.
- Management targets INR 50+ bn revenue and INR 2.5+ bn PAT by FY30.
- It plans an e-commerce platform for lightweight jewellery shortly. The company has purchase and gold-savings plans (3-4 variants), and an ERP system for fast stock reorders.

B2B

- Management guides 25-30% growth for B2B, with 15-20% annual volume growth achieved since 2022. It cautioned that volume growth is hard to achieve if prices keep spiking, and said it is confident of 15-20% volume growth if prices stabilise.
- Manufacturing is contracted pan-India, and some factories do 80%+ of their work for the company.
- Own manufacturing is planned soon for ~25% of requirements, especially hard-to-source designs.
- B2B will expand pan-India through national trade shows.
- Stock is hedged on a replacement basis: gold is replenished as it is sold.

Margins

- EBITDA margin is ~10-12% in B2C and ~6% in B2B. Blended margins are expected to improve gradually as retail scales.

Gold Price and Demand

- Conversion is ~95% at low gold prices and ~78-80% in steep rallies. Demand slows 1-2 weeks after sharp spikes and then recovers.
- The company is cutting weights (80 g items are now 50-55 g) to hold budgets.
- Festivals are spread across all quarters in the South, and Q3 is a bit stronger with the marriage season. Bridal accounts for ~65% of jewellery sales.

Diamonds

- Natural diamond brand Vajra Diamonds by Khazanchi (IGI-certified) is pitched for bridal and everyday use, with minimalist pieces priced from INR 3,000-12,000. Sales numbers were not given.
- Management says demand for lab-grown diamonds is very low in the South because of buyback and resale value.
- Management said diamond jewellery is now about 75% gold, so buyers still benefit from gold price appreciation. It cited the industry's diamond share rising from 2% to 12% over 4 years and ~25% of marriage purchases going to diamonds.

Kheria Autocomp Ltd

Outlook: The company appears well positioned for sustained growth, supported by high current capacity utilisation, the upcoming 2,400-tonne capacity addition, strong customer relationships and continued demand from the Sanand-Ahmedabad automotive cluster. Near-term growth is expected to be driven by higher-value product mix, productivity improvements and better utilisation of existing capacity, while the new plant should provide incremental revenue from FY28 onwards. The potential shift towards sub-assemblies, turnkey programmes and EV-linked components offers additional avenues for value-chain expansion and margin protection. However, high customer concentration, limited near-term capacity headroom and the need to sustain its elevated 18-19% EBITDA margin remain key monitorables.

Company Overview

- Kheria Autocomp is a plastic injection-moulding auto ancillary supplying components primarily to Tier-1 suppliers, which further assemble and supply to OEMs.
- The company was established in 2009 and commenced production in 2011.
- Sanand, Ahmedabad remains a key automotive hub; management highlighted an industry opportunity from ~1.5 mn vehicles currently to ~3 mn vehicles by 2030 in the region.
- The company is focused on advanced machinery, consistent quality, delivery performance and faster customer response.

Capacity Expansion

- Current capacity utilisation is high, at ~94-97%.
- The new plant will add 2,400 tonnes of capacity, with the entire IPO proceeds earmarked towards capex.
- Management indicated that project execution is progressing ahead of the timeline outlined in the RHP.
- Existing capacity is ~5,400 tonnes, while the new plant is designed to eventually reach 6,000 tonnes over the next ~3 years.
- Of the INR 650 mn project cost, >INR 250 mn has already been funded through internal accruals, and ~INR 400 mn of IPO proceeds will be utilised towards capex.

Near-Term Growth

- The company has historically delivered ~38% growth; management remained positive on the current year's growth trajectory but did not provide formal guidance.
- Management indicated that growth should be visible in both revenue and profitability, despite high current capacity utilisation.
- Higher-value products and new product selection are expected to support growth from the existing facility.
- Management expects the new capacity to begin contributing from the next financial year.

Value-Chain Expansion

- The company is evaluating opportunities to move towards higher-value products and assemblies, rather than remaining limited to individual plastic components.
- Management is in discussions with OEMs regarding opportunities to undertake higher-value/turnkey programmes, including moulding and assembly.
- New machinery and additional vertical lines are expected to support the company's ability to serve more customers and undertake higher-value work.
- Management does not expect to manufacture the complete vehicle product but sees scope to increase its value addition and order-book potential.

Margin Drivers

- Management attributed its 18-19% EBITDA margin to multiple operational efficiencies rather than a single factor.
- Key drivers include selective product/customer selection, production efficiency, low rejection rates, automation, manpower optimisation, technology, power/solar savings and logistics optimisation.
- Goods-delivery cost was reduced from INR 22 per km to INR 18 per km through operational improvements.
- Fuel cost was reduced to 2.95% and machinery repair cost to 0.65%, while freight, bank charges/convenience fees and insurance costs also declined.
- Management highlighted very low rejection levels, with efforts to bring rejection below 5,000 PPM (~0.5%) versus an industry-level in-house rejection rate of ~1.5-2%.
- Raw-material consumption is maintained at ~67% of revenue, which management believes is structurally better than the broader industry.
- Management expressed confidence that 18-19% margins can be sustained, subject to operating performance.

Capacity Economics

- The INR 650 mn project is being designed beyond the initial 2,400-tonne machinery addition, with infrastructure planned to eventually support ~6,000 tonnes of production.
- The initial 2,400-tonne addition is expected to generate approximately INR 450-500 mn of incremental revenue at full utilisation.
- At the eventual 6,000-tonne capacity, management indicated potential revenue of approximately INR 1.3-1.4 bn from the plant.

- Further expansion beyond the initial 2,400 tonnes would require substantially lower incremental capex, as much of the plant infrastructure will already be established.

EV Exposure

- Kheria is already indirectly exposed to EVs through its plastic components supplied to passenger vehicles.
- Management indicated that ~20-25% of the company's components currently go into EVs, although these are largely common plastic components rather than EV-exclusive products.
- EV and ICE manufacturing processes for the company's plastic components are broadly similar in terms of raw materials, machinery and moulding processes.
- As OEMs in the Sanand region increase EV production, the company's EV-linked contribution should increase correspondingly.
- The company has recently manufactured an EV battery bottom, but EV-specific components are not yet part of standardised daily production.
- Management is currently negotiating with customers for additional EV-related components.

Assembly Opportunity

- The company is already undertaking some assembly work and is evaluating further sub-assembly opportunities.
- Management expects assembly to become more attractive with greater automation, which could improve revenue and profitability.
- The company is hopeful of receiving turnkey projects involving moulds and assemblies from customers.
- The extent of automation at the new facility will depend on customer requirements.

Customer Concentration

- The company's customer base is closely linked to OEMs operating in the Sanand/Ahmedabad region, as plastic components generally need to be supplied over short distances.
- Management indicated that approximately 75-76% of revenue comes from customers beyond the core Tata-linked platform, excluding the OEM where the company is geographically located.
- The company is already negotiating and submitting quotations for business relating to FY28-FY29.

Inventory Efficiency

- Management highlighted a highly lean inventory model, operating largely on a JIT basis.
- Finished-goods inventory is maintained at approximately 3 days, while most raw materials are maintained for around 1-3 days; certain grades may carry higher inventory.
- Inventory was temporarily increased around March due to an expected raw-material shortage.
- Management indicated inventory turnover of approximately 28.8x, reflecting high inventory efficiency.
- The company operates on a short-cycle supply model, with customers requiring components on a ~3-hour basis, supporting the low inventory structure.

Growth Visibility

- Management did not provide specific revenue-growth or order-book figures due to disclosure restrictions following the recent listing.
- Management stated that H1 performance is much better than the corresponding period last year.
- Exact H1 numbers and growth are expected to become visible through the upcoming financial results.
- Management indicated that the company already has sufficient orders supporting the new plant investment, while negotiations for FY28-FY29 orders are ongoing.

Knack Packaging Ltd

Knack Packaging delivered a strong Q1FY27 with revenue of INR 2.62 bn (+41.1% YoY), EBITDA of INR 590 mn (+53% YoY; margin 22.35%, +170 bps) and PAT of INR 305 mn (+47.96% YoY; margin 11.53%). Margin expansion is driven by solar cost savings (~1.15% contribution from the 11 MW solar farm) and a structural mix shift towards premium pinch-bottom products (21.1% of revenue vs 10% in FY24). Export share is 56.30% across 74 countries, and the new Mexico plant (commercial operations from April 2026) is running at full capacity on all 5 machines. Installed capacity is set to rise from 45,000 to 70,000 tonnes by October 2027 via a new owned plant that phases out rented facilities. Management expects ~40% YoY growth to continue in FY27 and Q2 EBITDA margins of 22-23%. Key monitorables are whether ~40% growth holds through the monsoon quarter, margin sustainability, and volume trends vs gross profit per kg gains.

Revenue Growth & Product Mix

Q1FY27 revenue of INR 2.62 bn grew 41.1% YoY (from INR 1.86 bn), with both domestic and export segments contributing; export share is 56.30% (up from ~50% in FY24).

Pinch-bottom (a higher-margin premium category) contribution rose from 10% in FY24 to 21.1% of revenue; management says the mix shift is structural and expects the trajectory to continue.

Knack added 50 new customers in Q1 (an annual run-rate of 100-120); total customers are 2,000+ (1,950 at FY26-end), with retention of 93.75%. Export countries rose from 71 to 74 (three added in Q1). The top-10 customers contribute ~40-41% of revenue and the top-15 ~50%; a US customer (Target) is growing very fast under an exclusive contract.

Gross profit per kg improved from INR 85 to INR 100 over recent quarters, attributed to solar cost savings, premium mix shift and better export realisations.

Volumes: Asked whether volumes are keeping pace with rising gross profit per kg, management did not directly address volume trends.

Margins & Profitability

Q1FY27 EBITDA grew 53% YoY to INR 590 mn (from INR 386 mn); margin expanded 170 bps to 22.35% (from 20.65%). The 11 MW solar farm (commissioned in FY25-26) contributed ~1.15% to EBITDA margin directly via electricity cost savings; solar covers 60-70% of electricity cost (2.1 MW rooftop plus 11 MW farm).

PAT rose 47.96% YoY to INR 305 mn (from INR 206 mn); PAT margin improved to 11.53% from 11.03%. EPS was INR 3.0.

Multi-year build: EBITDA margin 15.38% (FY24), 19.31% (FY25), 20.2% (FY26); PAT margin 6.98%, 9.88%, 10.99% over the same period.

Raw-material pass-through: 40-50% of raw-material price movement is passed to customers under agreements, with 98-99% pricing achieved on the production cycle; the company absorbs the balance. Polymers are easily available and no supply issues are expected.

Capacity Expansion & Mexico

Installed capacity is 45,000 tonnes across one owned and four rented plants; production is targeted at 40,000-42,000 tonnes this year, up from 36,000 last year.

The company plans to reach 70,000 tonnes by October 2027, with a new owned plant starting production that month; rented facilities will be phased out during FY28 as the new plant ramps through efficiency milestones of 60%, 70%, 80%, 85% and 90%.

The Mexico facility commenced commercial operations in April 2026, with all five machines commissioned and running at full capacity, adding a new growth leg alongside the 74-country export footprint.

Balance Sheet & Returns

Debt-to-equity improved to 0.59x from 0.74x; ROE is 37.45% and ROCE 54.73%.

Working capital is held at 86 days, with inventory at 65 days.

Competitive Positioning & Outlook

Management asserts India offers the cheapest pricing globally for textile and specialised packaging, sustaining competitiveness against Thailand, Vietnam and Cambodia.

Asked from whom it is gaining share, management did not name competitors or quantify share shifts.

The company runs digital-first, system-driven operations, having invested INR 47.5 mn in systems in 2017 (roughly one year of profit at the time).

Q2 outlook: management expressed 90-95% confidence, citing export focus across 18 countries including Germany as a buffer against domestic monsoon seasonality.

Guidance: ~40% YoY growth is expected to continue in FY27, with EBITDA margins of 22-23% sustained in Q2.

On contract types, durations and demand visibility, management did not provide specific contract or backlog metrics.

Key Monitorables

- Whether ~40% YoY growth holds through the monsoon quarter.
- Sustainability of 22-23% EBITDA margins and volume trends vs gross profit per kg gains.
- Execution and ramp-up of the new owned plant (70,000 MT by October 2027) and demand absorption.
- Customer concentration (top-10 ~40%) and the US exclusive contract.

Krishana Phoschem Ltd

Outlook: Krishana Phoschem is focused on expanding domestic fertiliser capacity and reducing import dependence through higher NPK/DAP capacity, balanced nutrition products and backward integration. The company recently added ~165,000 MT of NPK/DAP capacity, which management believes can support ~INR 10,000 mn of incremental revenue at optimal utilisation. Management expects to build on the strong growth trajectory while maintaining high capacity utilisation and leveraging operating efficiencies.

Capacity Expansion & Growth

The company has total fertiliser capacity of ~615,000 MT following the recent expansion. The additional 165,000 MT NPK/DAP capacity became operational in March 2026 and is expected to support capacity-led revenue growth. Management estimates potential incremental revenue of ~INR 10,000 mn at optimal utilisation. No major additional capex is planned currently, with focus remaining on ramping up the expanded capacity.

SSP Business & Raw Material Costs

SSP profitability has been impacted by higher sulphur and sulphuric acid prices. The company has increased SSP MRP from April to partially offset the cost inflation, while higher government subsidy support is expected to provide further relief. KPL uses internally produced BRP from low-grade rock phosphate, which provides some cost protection. Management currently expects SSP EBITDA of ~INR 1,500-1,700 per tonne, subject to the upcoming NBS/subsidy announcement and market conditions.

Backward Integration

KPL has integrated capabilities across BRP, phosphoric acid and sulphuric acid. Internal BRP production currently meets ~20% of requirements, with the balance sourced through imports. Phosphoric acid capacity is broadly matched to NPK production requirements. Captive sulphuric acid capacity can meet >75% of requirements at full utilisation; however, current utilisation is intentionally lower as sulphuric acid from external suppliers such as Birla Copper and Hindustan Zinc is currently available at a lower cost.

Green Ammonia

The company has secured 70,000 MTPA of green ammonia for 10 years, with supply expected to commence from 1 April 2029, implying a financial impact from FY30. The long-term fixed-price arrangement is expected to provide greater ammonia supply security and reduce exposure to volatility in imported grey ammonia prices. Management also expects the government compensation mechanism to maintain price parity in case grey ammonia prices fall below the contracted green ammonia price.

Import Substitution & Industry Opportunity

Management sees significant opportunity from India's dependence on imported complex fertilisers, with import substitution and balanced nutrition remaining key structural growth drivers. KPL aims to increase domestic availability of NPK/DAP and other nutrient products while utilising its existing manufacturing capacity. Even at 100% utilisation, the company's NPK production of ~415,000 MT remains small relative to India's overall fertiliser consumption, providing headroom for future growth.

Distribution & Market Expansion

KPL has a broad distribution network spanning ~11-12 states, with 2,500-3,000+ wholesalers and 30,000-40,000+ retailers. Management does not currently see a need for aggressive geographic expansion as existing capacity can be absorbed within the current markets. Once the recently expanded capacity is fully utilised, the company may explore new geographies, products and value-added opportunities.

Financial Performance & Working Capital

The company has delivered strong growth, with revenue CAGR of ~66% over the last five years and EBITDA margins generally sustained at ~13-14%. Fertiliser remains a working-capital-intensive business, with management indicating that ~45% of sales turnover is tied up in current assets. Working capital is largely funded through bank facilities, while limited incremental capex is expected to support cash generation going forward.

Capex & Capital Allocation

Management clarified that current-year incremental capex is expected to be ≤INR 600 mn, materially lower than the INR 6,000 mn figure referred to during the Q&A. With the major NPK/DAP expansion already completed, the company intends to focus on utilising existing capacity and deploying internal accruals toward value-added products, adjacent opportunities and future expansion.

Taxation

The company has transitioned from the earlier MAT regime to the revised corporate tax regime, resulting in reassessment of deferred tax assets and liabilities. Management indicated that the corporate tax rate going forward is expected to be ~25%, subject to any future changes in tax regulations.

Madhya Bharat Agro & Future Expansion

Krishana Phoschem and Madhya Bharat Agro Products have comparable manufacturing capabilities but operate across different geographies. Management stated that there is currently no merger plan due to regulatory considerations, although the matter could be revisited if the relevant regulatory issues are resolved. Future capital deployment could include new products, geographical expansion or adjacent fertiliser opportunities.

Krishival Foods Ltd**Business**

- Krishival operates in two segments: nuts and dry fruits under the Krishival brand, and ice cream under Melt & Mellow, a brand it acquired in 2024.
- Nuts revenue grew from INR 1,730 mn to INR 2,050 mn in FY26, and ice cream from INR 470 mn to INR 920 mn.
- Nuts sales are ~55% B2B and ~45% B2C. B2B sales cover Maharashtra, Karnataka, Delhi NCR, Madhya Pradesh and Telangana. Quick commerce and e-commerce were ~INR 50 mn of the ~INR 950 mn B2C business in FY26.
- Ice cream is sold in Maharashtra, Karnataka, Goa, Telangana and Andhra Pradesh. Current capacity of ~125,000 litres supports up to ~INR 6,000 mn of revenue at optimum utilisation.
- Exports were ~6% of FY26 revenue and are expected to reach ~USD 1 mn in FY27. Singapore ships monthly through ~300 touchpoints, including a new FairPrice listing.

Guidance

- FY27 revenue growth is guided at ~50%, with nuts at ~55% or more of revenue. The mix should move to ~50:50 between nuts and ice cream from FY28. Guidance for FY28 will be given on the Q2 concall.
- The target is ~INR 15,000 mn revenue by FY29, which implies a ~73% CAGR. Management expects most of the increase to come from ice cream, with nuts growing ~20-25% a year in FY27 and FY28.
- Nuts EBITDA margin is guided at 15% or more (Q1FY27: ~18%).
- Ice cream EBITDA margin is guided at ~8% for FY27 (Q1: ~10%, FY26: ~7%), rising to ~15% or more over 3 years as the plant reaches optimum utilisation. Marketing spend will be managed so the 8% floor is not breached.
- Consolidated EBITDA margin should be at least 15% at the ~INR 15,000 mn revenue level.
- Priorities for the next 2-3 years: taking nuts national across all metros, adding Tamil Nadu for ice cream in FY27-FY28, bringing Melt & Mellow fully under Krishival and securing more ice cream capacity in the next calendar year.

Ice Cream (Melt & Mellow)

- Freezers are placed under tripartite agreements between Melt & Mellow, the distributor and the retailer, which bar retailers from stocking other brands. Sales staff visit weekly to check planograms, train retailers and look for misuse.
- New launches include a premium "Marvel" range positioned against Magnum and other value-added products. The first Melt & Mellow outlet opens in October (delayed from Ganesh Chaturthi), followed by e-commerce, with quick commerce from January-February 2027.
- High-protein "better-for-you" products have received most FDA approvals and are due to launch in Q4FY27 in general trade and e-commerce. Management said margins are good but competitive pricing pressure is rising.
- Management expects capacity beyond ~125,000 litres to come from leasing a plant or adding to the existing plant, with work starting next calendar year. It said growth will not be held back by capacity.
- Management cited industry growth of ~16% and the 5% GST rate as tailwinds.

Nuts

- Quick commerce and e-commerce sales should grow ~3-4x in FY27 from ~INR 50 mn, with double-digit EBITDA and no cash burn. Management called growth-at-any-cost in these channels a "trap".
- B2C is expected to take a larger share of incremental growth.
- New capacity, mainly for makhana, is now operational, and management expects the related distribution to lift growth from FY28. A factory is under construction on 7 acres of company-owned land at Halkarni MIDC.
- Management said competition from Tata and others is not a concern because the market is large and lacks quality players. Krishival competes on quality, pricing at par or slightly above peers.

Corporate Structure and Team

- Krishival acquired 53% of Melt & Mellow in 2024. The rest is held by the founders and by Krishival's promoter, a structure management described as a risk-management choice at the time.
- An advisor will be appointed in H2FY27 to bring Melt & Mellow fully under Krishival, likely through a share swap. Management said it was too early to give details.
- The ice cream business is led by Abhishek Puranik (founder and CEO), Amol Palsikar (recipes and the in-house distribution software being integrated with SAP) and Sandesh Shelke (distribution). Jaydeep Banerjee joined about 2 months ago as VP Production after ~30 years at Kwality Wall's.
- The nuts business is led by its CEO and co-founder, with Deepayan Bhattacharjee running operations and e-commerce. He previously spent ~7 years at BigBasket and worked at DealShare and Laundromat. More senior hires are in progress and will be announced to the exchanges.

Funding

- The ~INR 1,000 mn rights issue has been completed through first and second calls since January.
- Management considers the company fully capitalised, with ice cream now contributing internal accruals. It expects no major external funding, and any further needs, such as freezer investments, would be met mainly through debt.

Exports

- A ~USD 5,000 trial shipment went to the US in April 2025, but US expansion is on hold because of tariff uncertainty. Entering the US would also need distributors, upfront investment and the right hires.
- Japan is still at the concept stage. Singapore will continue.

Management and Other

- A director has stepped down for personal reasons and has been replaced.
- The board is Karan Bansal (Whole-time Director and CEO), Michelle Bansal (Whole-time Director), Shalini Krihani (Non-executive Director) and Dheeraj Bansal (CMD).
- Management plans to start quarterly concalls.
- Management did not provide March receivable days, post-acquisition cash or the new versus old store revenue split, and said these will be shared in the next investor deck.

Kwick Forensic Solutions Ltd

Outlook: Kwick Forensic Solutions is an end-to-end forensic solutions provider catering primarily to government and law-enforcement agencies. The company operates across five verticals: forensic science & physical evidence, cyber & digital forensics, DNA forensics, mobile forensic vehicles and services. With >200 products/solutions, >130 customers and a debt-free balance sheet, the company is positioned to benefit from increasing government spending and regulatory focus on forensic investigation. Management targets 30-35% revenue growth going forward.

Business Model & Customer Base

~95% of customers are government entities, including police departments, FSLs, fingerprint bureaus and crime investigation agencies. Business is predominantly tender-driven through GeM, state e-procurement portals and direct government tenders. The company provides products ranging from crime-scene kits and forensic equipment to cyber/digital extraction tools, DNA equipment and mobile forensic laboratories.

Market Opportunity & Regulatory Tailwinds

The company estimates the current annual tender opportunity for its product categories at ~INR 5 bn. The government has allocated ~INR 300 bn under various schemes for forensic-related infrastructure over the next five years. Mandatory forensic investigation for offences carrying punishment of >7 years, along with BNS, BNSS and BSA, is expected to support demand for scientific evidence, digital evidence and chain-of-custody solutions.

Mobile Forensic Vehicles

Mobile forensic vehicles are a key growth driver, with the company converting vehicles into mini forensic laboratories equipped for crime-scene investigation and evidence collection. Over 1,000 vehicles are targeted across states, of which ~450 have already been supplied, ~300 of them by the company in some form. The segment contributed ~10% of FY26 revenue and is expected to reach ~25% of revenue over the current and next financial year.

DNA & Digital Forensics

DNA forensics is a rapidly growing segment, supported by increasing requirements for DNA profiling and evidence preservation. Cyber & Digital Forensics focuses on extraction, preservation and analysis of data from mobile phones, laptops, hard disks and other digital devices. Both segments are expected to benefit from the increasing adoption of forensic and digital evidence.

eForensic Suite & Make-in-India

The Android-based eForensic Suite is in the final stages of development, with POCs underway, and is designed to digitally record evidence collection, analysis and chain of custody. The company has also converted several previously imported products into Make-in-India products, supported by in-house R&D and global OEM tie-ups.

Financial Performance

Revenue increased from INR 300 mn in FY24 to INR 1,060 mn in FY26, with EBITDA rising from INR 50 mn to INR 190 mn and PAT from INR 20 mn to INR 135 mn. EBITDA margin has improved to ~18%. Operating cash flow turned positive at INR 76 mn in FY26 from negative INR 26 mn in FY24, supported by improved receivable collections.

Growth Guidance & Order Flow

Management targets 30-35% revenue growth and expects EBITDA margins to remain stable or improve by ~50-100 bps with operating leverage. The company has seen increasing order sizes, including individual orders of ~INR 110 mn and ~INR 50 mn in FY26. Management expects further opportunities from larger government projects but does not currently disclose its order book.

Export Opportunity

The company is evaluating African markets for its Make-in-India products, with a market survey planned in October 2026 and local tie-ups already initiated. Management does not expect material export revenue in FY27 but expects potential contribution from FY28.

Working Capital & Balance Sheet

The business is working-capital intensive due to H2/Q4-heavy government procurement and execution of larger orders. Current ratio stood at 2.9x, while trade receivable and net working capital days have improved. The company remains debt-free, with IPO proceeds supporting working capital requirements and execution of larger orders.

Growth Drivers

Key drivers include higher government spending on forensic infrastructure, mandatory forensic investigation, expansion of FSLs, mobile forensic vehicles, DNA and digital forensics, the eForensic platform and potential exports. Management expects the overall forensic market to expand as government focus on scientific investigation increases.

LAPL Automotive Ltd

The company is targeting 30-40% growth in FY27, with revenue expected at INR 1.05-1.2 bn, supported by ramp-up of new customers and higher utilisation of existing capacities. The new ~100,000 sq ft facility, backed by ~INR 200 mn capex, should create significant headroom for new products and customer additions. Growth in automotive lighting, starter/wiper motors and emerging applications such as drone motors provides further product optionality, while margin sustainability remains a key focus. Key monitorables include the pace of new-unit ramp-up, customer volume conversion and working-capital normalisation.

Growth & Outlook

- The company is targeting 30-40% revenue growth annually, with FY27 revenue expected at around INR 1.05-1.2 bn versus INR 820 mn in FY26.
- The company aims to scale revenue to above INR 5 bn over the next five years, supported by capacity expansion, new customer additions and increasing product content.
- With margins already at elevated levels, the near-term strategy is to drive growth through higher volumes, automation and product additions rather than relying on significant margin expansion.

Capacity Expansion

- A new manufacturing facility spread across ~100,000 sq ft is being developed, representing ~7-8x the size of the company's smallest existing unit. Construction is underway and completion is expected in the coming months.
- The new facility is expected to materially expand manufacturing capacity, with management indicating that the capacity addition could be ~6-7x the current capacity of the relevant unit.
- Capacity utilisation will build progressively as new products move through customer development, validation and volume production. Automotive lighting programmes typically require 6-12 months of development before commercial ramp-up.

Product Mix & Margin Expansion

- Automotive lighting carries gross margins of ~30%, while the motor segment generates ~20-22%. The company expects to sustain its overall margin profile.
- Recent margin expansion has been supported by shifting away from lower-margin products towards better-margin products, value engineering and increased manufacturing efficiency.
- Automation has materially reduced processing time on certain operations, with one operation reportedly reduced from ~60 seconds to ~18 seconds, supporting labour and productivity gains.
- Increased purchasing volumes for copper, aluminium, metals and plastics have improved bargaining power, with procurement negotiations contributing meaningfully to cost savings.

Automotive Lighting

- Lighting products are developed specifically for individual vehicle platforms and are largely proprietary to the particular application. Once developed, these products are generally supplied exclusively for that vehicle programme.
- The company cited an instance where a lighting project was completed in ~5.5 months versus an estimated 10-12 months by a larger incumbent, at 60-70% lower development cost.
- Smaller/new-age automotive companies are increasingly relevant customers as they seek faster development cycles and cost-effective solutions compared with larger established lighting suppliers.
- Lighting content remains relevant across ICE and EV vehicles, providing the company with exposure to vehicle electrification without requiring a fundamental change in its core lighting portfolio.

Motors & New Product Opportunities

- Beyond starter motors, the company is expanding into wiper motors and other DC motor applications. A typical passenger vehicle can have 15-25 different motor applications, providing a sizeable opportunity for product expansion.
- Five new customers have been added in the motor business, while new developments are underway with customers across motors and automotive components.
- The company is evaluating opportunities in drone motors, including a potential requirement of ~24,000 motors per month from a new customer.
- The company has started manufacturing multiple wiper applications and is developing additional variants, broadening its addressable motor portfolio.

Customer & Order Visibility

- Existing customers continue to undertake new product development with the company, providing scope for higher content per customer as their vehicle platforms scale.
- The company typically receives firm orders for one month and tentative orders for the following two months, with an order book generally fluctuating between INR 80-120 mn.
- The company highlighted instances where customer volumes increased substantially after successful product development and vehicle-market launch, providing operating leverage as programmes scale.

Working Capital & Balance Sheet

- Inventory has increased as the company needs to stock multiple motor variants and procure inputs such as copper and magnets in advance, particularly where imported materials require longer lead times.
- As newer customers achieve more stable order volumes, inventory requirements are expected to become more predictable and working-capital efficiency should improve.
- The company indicated supplier credit of approximately 55 days, which provides some support to the working-capital cycle.

New Unit: Strategic Role

- The new facility is expected to cater primarily to new customer programmes and new product introductions rather than merely duplicating existing capacity.
- Around INR 200 mn from the IPO proceeds has been allocated towards the fourth facility, with the company currently proceeding with the planned investment.
- The company indicated that the current capex plan is being executed through the funds already raised and did not indicate an immediate requirement for another equity raise.

Key Monitorables

- Ramp-up of Unit 4: The speed at which the large new facility gets commissioned, customer programmes are developed and utilisation ramps up will be critical.
- Conversion of new customers into volumes: Growth depends significantly on successful development and subsequent scaling of products with newer customers.
- Margin sustainability: Maintaining the current elevated margin profile while pursuing 30-40% growth will remain an important monitorable.
- Working-capital normalisation: Inventory build-up for new customers and imported components needs to translate into higher revenue and operating cash flow as volumes scale.
- Execution of new product pipeline: Expansion into wiper motors, drone motors and other motor applications could broaden the revenue base, but commercial scale-up remains dependent on customer adoption.

Outlook: Founded in 2013, with production commencing in 2015, Lead Reclaim and Rubber Products (LRRPL) has set a revenue target of INR 1.8 bn by FY29, driven by completed and ongoing capex.

- Management envisions expanding beyond tyre recycling over the next five years to establish a broader circular recycling group, exploring potential ventures in solar panel and metal recycling.
- LRRPL maintains strong commercial relationships, evidenced by a 99% customer retention rate since inception and direct vendor supply to major tyre OEMs such as TVS, JK Tyre and CEAT.
- The company's primary business model centres on collecting end-of-life scrap tyres and converting them into reclaimed rubber, crumb rubber powder, and by-product steel wires.
- Reclaim rubber provides a major economic advantage for tyre and rubber product manufacturers, as virgin rubber prices hover around INR 200 per kg while reclaim rubber costs ~INR 55-60 per kg.
- Accounting for rubber content technicalities, reclaim rubber delivers over 50% cost savings for buyers and lowers electricity consumption during rubber compounding.
- Additional revenues are generated by extracting and directly selling steel scrap and bead wires.
- LRRPL has shifted away from merchant third-party exporters toward direct vendor registration with international manufacturers, increasing direct exports to 20% of revenue.
- LRRPL has grown its core reclaim rubber capacity from 250 MT per month in 2015 to 1,150 MT per month, currently operating at 60-65% utilisation with a two-month backlog of pending orders.
- The company is actively expanding its manufacturing footprint by adding 950 MT per month of new crumb rubber capacity to its existing 960 MT per month facility by October.
- Construction is also complete for a 900 MT per month EPDM profile recycling plant using automated Chinese machinery that will go active by October.
- Furthermore, LRRPL is developing a 60 MT per day tyre input pyrolysis project expected to be operational by September 2025, producing roughly 750 MT per month of tyre pyrolysis oil and 700 MT per month of recovered carbon black.
- Once fully scaled, revenue is projected to be split evenly with 50% coming from reclaim rubber and 50% from pyrolysis oil.
- To optimise operating margins, LRRPL is addressing electricity expenses, its largest single cost driver, by installing a 1.2 MW captive solar power plant, which is projected to cut power costs by at least 60%.
- Profitability is further enhanced by securing government licences from MoEF and DGFT to import restricted scrap tyres, which yield higher gross margins than domestic scrap; management intends to increase its imported raw material share from 30% to 50%.
- The working capital cycle involves payment terms of 15-20 days for domestic raw material sourcing and 45 days for imports, with customer receivables averaging 45 days under letter of credit or document against payment terms.
- On the regulatory side, LRRPL benefits from Extended Producer Responsibility rules, earning 1.3 EPR credit units with a base value of INR 2.52 per unit for every kilogram of reclaim rubber sold, while expecting reclaim rubber blend ratios in tyre manufacturing to increase from 2-7% to 20% over the next two to three years.

Lodha Developers Ltd

Outlook: Lodha Developers aims to grow profits at a 20% CAGR to exceed INR 85 bn by FY31, while maintaining conservative leverage and targeting ROE of 20%. The company is pivoting towards a three-pillar business model comprising Devco (residential development), Rentco (rental assets) and Landco (surplus land in Palava) to unlock significant enterprise value.

Devco (Development Business)

- **Growth Targets:** Aiming for high-teens pre-sales growth and an EBITDA margin in the mid-30s (%) by the end of the decade.
- **Market Position:** Currently holds a 3.5% market share in the top six cities, providing significant headroom for expansion.
- **Inventory:** Over INR 2,000 bn of unsold GDV, including ready and under-construction inventory.
- **Pricing Strategy:** Targeting 6-8% price growth, intentionally keeping it below white-collar salary growth (10-12%) to maintain affordability.
- **Regional Expansion:** Following a two-phase "pilot then expansion" strategy; currently in the pilot phase in NCR with two JDA projects.

Rentco (Rental Business)

- **Revenue Goal:** Scaling annualised rental income from INR 3 bn to over INR 30 bn by FY32.
- **Warehousing & Industrial:** Targeting INR 4 bn of rental income by FY32 across five locations.
- **High Street Retail:** Shifting from selling to retaining retail assets, targeting INR 6 bn by FY32.
- **Data Centres:** The primary growth driver, targeting INR 20-25 bn of rental income by FY32.

Data Centre Strategy

- **Infrastructure:** 660 acres earmarked in Palava; Phase 1 (360 acres) includes 3 GW of power connectivity.
- **Business Model:** Transitioning from selling powered land to "powered shell" (a concrete shell with power and water) and eventually "turnkey shell".
- **Build-to-Suit (BTS):** Developing 1 GW of powered shell on 90 acres, divided into eight 125 MW boxes; the first sign-on is expected in FY27, with rents starting in FY29.
- **Funding:** The INR 100-110 bn capex for the 1 GW shell will be self-funded via the sale of the remaining 140 acres in Phase 1.

Landco (Palava Land Bank)

- **Asset Scale:** ~3,700 acres remaining in Palava, representing over 600 mn sq ft of developable area.

Infrastructure Triggers

- **Palava to Airoli Freeway:** Expected to be commissioned by December, reducing travel time from 45 to 20 minutes.
- **Bullet Train:** A planned station in Palava will enable a 20-minute ride to BKC.
- **Valuation:** The estimated NPV of this land bank over the next 3-4 decades is INR 750-800 bn.

Financial Metrics & Risks

- **Leverage:** Net debt has been reduced from 3.5x equity to less than 0.23x; Devco is expected to be net cash positive in 2-3 years.
- **Interest Rate Sensitivity:** Management views the premium/luxury segment as low-risk due to low LTVs (20-30%) and high buyer savings.
- **Competitive Landscape:** Management believes "credible supply" from Grade A developers remains low despite high redevelopment activity in Mumbai.

Lokesh Machines Ltd

Lokesh Machines is a Hyderabad-based manufacturer of CNC and special purpose machines (SPMs), with additional verticals in auto components (forgings) and defence (small arms). FY26 was impacted by US (OFAC) sanctions that disrupted the supply chain, exports and overseas business, leading to a drop in topline; however, the CNC division grew ~29%, costs were reduced by over 10% and EBITDA margin improved to ~18% from ~12.5%. The sanctions were lifted on 30 June 2026, restoring overseas supply chains. The order book stood at over INR 2.71 bn as of 12 August 2026, higher than the entire FY26 topline, with defence contributing close to INR 1.0 bn. Three hot forging lines are expected to be productionised by December 2026, with results visible in Q4FY27. Management aims to get close to its previous peak revenue in FY27 while holding margins, and sees defence becoming an INR 2 bn+ business in 2-3 years. The key factors to monitor are order book execution, export revival, forging ramp-up, defence order inflows, commercialisation of 5-axis machines, working capital release and debt reduction.

Business Model & Positioning

- The company is a leading CNC machine and special purpose machine (SPM) manufacturer based in Hyderabad, with operations since 1985. It was founded by Mr Lokeshwar Rao, a technocrat and the current Managing Director; the third generation of promoters (qualified engineers) has now joined the business.
- The business operates across three verticals: machine tools (CNC and SPMs), auto components (where three hot forging lines are being commissioned for backward integration) and defence (small arms).
- The company has 5,000+ customers across seven countries and has delivered 9,000+ machines in India to date.
- Installed capacity stands at ~1,500 CNC machines per year and 15,000-18,000 small arms per year, both of which are scalable. Management indicated that existing capacities can support combined revenue of INR 5 bn+.

FY26 Performance & Sanctions Update

- FY26 was described as a year of the "3 Rs": resilience under constraint, rebuilding the operating base and readiness for reopening.
- US sanctions stopped the supply chain, exports and overseas business during the year, resulting in a drop in topline.
- Despite this, the CNC division grew ~29%, costs were reduced by more than 10%, EBITDA margin improved to ~18% from ~12.5% in preceding years, and PAT improved significantly.
- The sanctions were lifted on 30 June 2026 with support from the Ministry of External Affairs; the company was among the first Indian entities to be delisted. Overseas supply chains have been restored and exports are expected to resume, albeit from a low base.
- The company has put in place MNC-style compliance policies (with Indian and US legal advisors) to screen prospective customers and suppliers for sanctions exposure. Management noted that defence and dual-use technology exports will continue to face restrictions for non-US/EU type geographies.

Order Book & Execution

- The order book stood at over INR 2.71 bn as of 12 August 2026, significantly higher than the entire FY26 topline and among the best in the company's history.
- The majority of the order book is from CNC machines/SPMs, while defence accounts for close to INR 1.0 bn.
- Around INR 580 mn of the defence order book is expected to be executed next year, with the balance to be executed in FY27.
- CNC machine deliveries typically have quarter-on-quarter lead times, so the order book is expected to keep accruing through the year.

Defence Business

- The company collaborated with DRDO to develop and deliver India's first 100% indigenous submachine gun (ASMI machine pistol) in the private sector, and has set up a greenfield small arms plant with all clearances from MHA and MoD.
- The defence order book includes an INR 582 mn Army order for 7.62 mm MMG modification kits; apart from this, INR 400 mn+ of other current defence orders are to be delivered in FY27. Orders under execution this year include ~INR 150 mn of additional MMG kits and orders from AWEIL, SSB and Assam Rifles, and the company has participated in further tenders.
- DRDO has committed the ASMI technology to two agencies: Lokesh Machines and AWEIL. As the company carried out the entire development and established the supply chain, management expects the business to remain mostly with Lokesh.
- Defence is expected to carry the highest margins among the three verticals.
- The company has indigenised more than three weapon platforms and is developing one to two more platforms this year, with work underway on platforms between 9 mm and 30 mm. It holds a DPIIT licence for 12.7 mm to 30 mm weapons and has received DGQA registrations for some defence products.
- Beyond MoD and DPSUs, the company is pursuing central armed police forces such as BSF, Assam Rifles and SSB. Management indicated that defence can become an INR 2 bn+ business in 2-3 years through a diversified set of platforms.

Machine Tools (CNC & SPM)

- Management expects double-digit growth in machine tools, supported by PLI schemes, Atmanirbhar initiatives, continued auto industry capex, EV proliferation (housings, battery structures), aerospace capacity additions (12-14 year order backlogs at OEMs), defence and the electronics/white goods sector.
- SPM customers include OEMs such as Ashok Leyland, Volvo Eicher and Mahindra & Mahindra, and reputed tier-1s/others such as Cummins and Sundaram (TVS group). The SPM order book comes from ~6-10 customers for ~10-12 machines, with machine values ranging from ~INR 10 mn to INR 100-120 mn.
- The company is moving from traditional SPMs towards higher-technology products such as special horizontal machining centres customised to client requirements, with a healthy inquiry pipeline.
- 5-axis machines and multi-axis turn-mill centres have been launched; the first machines have gone to the aerospace industry with encouraging results. A second machine, developed with IIT Madras, will be launched shortly. FY27 contribution will be slow, with scale-up thereafter; management noted that even 50-60 machines a year would be a significant number.
- With RRCAT, the company launched an 80%+ indigenous metal additive manufacturing machine; the first unit has been sold to IIT Indore. Of ~13 products worked on by R&D, ~5 machines have been productionised.
- AS9100 (aerospace and defence) certification has been restored after the sanctions period. Azad Engineering is a customer with open orders at any given time.

Auto Components & Forging

- Three hot forging lines are expected to be productionised by December 2026, with results visible in Q4FY27.
- The forging backward integration is aimed primarily at control, reducing outsourcing dependency, quality and logistics efficiency, and enabling customer diversification; margin improvement is expected to be nominal.
- The auto component business was earlier dependent on a single customer (M&M); the company is now diversifying towards more tier-1 suppliers and, over time, non-automotive engineering customers.
- Business with M&M has not yet returned to earlier levels; discussions are ongoing for the next business cycle for both auto components and machine tools.

Funding, Balance Sheet & Outlook

- Promoters have infused ~INR 350 mn of capital; total preferential issue proceeds are expected at ~INR 740 mn.

- Initial proceeds are being deployed towards working capital and partial debt repayment, ~INR 200 mn towards capex in the CNC division (insourcing of outsourced capacities), and the balance towards debt repayment. Defence and forging capex is largely complete.
- Financial priorities include better working capital management (liquidation of earlier built-up inventory), debt reduction through accruals and preferential proceeds, and further margin improvement.
- The credit rating remains BBB- (investment grade) and has been removed from rating watch.
- For FY27, management aims to get close to the previous peak revenue and continue growing in a similar fashion thereafter; margins are expected to be maintained, with internal efforts to improve them further.

Business and Q1FY27 Performance

LT Foods is a 70+ year-old basmati and specialty rice company. Revenue CAGR is ~17% and PAT CAGR ~18% over the last 5 years. Q1 revenue grew 26%, gross profit ~19% and EBITDA ~20%. EBITDA margin was ~11.2%. Basmati and specialty rice is ~84% of business. Organic and food ingredients are ~12%. Ready-to-heat (RTH) and ready-to-cook (RTC) are a small but growing segment. Own brands (Daawat and Royal) are 85%+ of business. Royal was acquired in 2007 at ~USD 35 mn and is now ~USD 600 mn. Geography: US 48%, India 30%, Europe and UK ~12%, Middle East and RoW ~9%. Gross margin was flat YoY despite higher realisations. Management attributes this to the lower-GP jasmine rice business, which is consolidated from June 2025 (it was earlier a JV). Excluding that, GP margin improved.

Guidance and Targets

Growth guidance is 11-12% (7-8% volume plus 4-5% value). EBITDA margin is targeted at ~14% from ~12%, and ROCE at ~23% from ~20%. The 15% EBITDA aspiration is a 4-5 year target. Near-term margin stays around 11%, with improvement over 2-3 years as loss-making segments break even. Excluding the investment-phase segments, basmati and specialty already earns 14%+ EBITDA. Management says the combined basket of organic, RTH/RTC, UK and Europe can reach 13.5-14% EBITDA.

Segment-Wise Margin Roadmap

UK and Europe: These are in the investment phase. The UK is expected to lose ~USD 2-2.5 mn at EBITDA this year and Europe ~USD 2 mn, with losses continuing through the year.

Organic: It was loss-making last quarter after the restructuring into a CPG model. Year-end EBITDA margin is expected at ~8% and ~10% the year after.

RTH/RTC: revenue is ~INR 2 bn with an investment loss of ~INR 200 mn. Breakeven is expected in about two years at double the sales, then INR 6-7 bn of revenue in 4-5 years at a ~10% EBITDA margin.

RTH/RTC is ~1.5-2% of the portfolio today, targeted at 4-5% in 4-5 years.

India Demand

India value grew 23% and volume 12.5% in Q1.

Basmati is only ~5% of India's rice consumption, and ~70% of it is still sold loose. The shift to branded products and higher price points is driving growth.

E-commerce and quick commerce are ~17-18% of India business (6-7% 3-4 years ago). Margins are within 1-2% of general trade. There are no D2C plans.

India launches include Daawat biryani kits, Thai curry kits and Kapaar rice. In the US, the focus is RTH (rice with lentil, chana or ghee).

US and Tariffs

The 50% US tariff ran until about February this year and is now 10%.

LT's US import share rose to ~70% during the 50% tariff period because its US base let it keep importing, while peers could not. Part of the tariff refund was received in Q1, but it is not recognised in P&L. A portion may have to be passed back to customers, so the accounting treatment is pending.

Middle East

The Middle East is ~5-6% of revenue. Freight is up as much as 10x in some lanes, and transit times are up 30-90 days.

Management could not pass on the higher cost and margin took a slight hit. Working capital also rose.

Exposure is limited, so management says the impact is smaller than for peers.

Raw Material and Inventory

Last year's crop prices rose 20-25% on supply constraints. New-crop paddy is also currently 20-25% higher YoY.

Acreage is up 2-3% and basmati areas are well irrigated, so management expects prices to be broadly stable with 5-6% inflation. It considers it too early to call, since the crop runs until December.

Inventory is kept at a minimum of 7-8 months. In June it was ~160,000 tonnes of paddy and ~346,000 tonnes of rice (versus ~316,000 tonnes last year).

Permanent cost changes are passed on to consumers, but temporary swings are absorbed through the P&L. No inventory gains are booked, and inventory is valued at the lower of cost or market.

Long-term pricing is modelled at 4-6% inflation.

Capex

FY27 capex is INR 5+ bn, including doubling US RTH capacity (~USD 15-16 mn), US land and own warehouses (~USD 18-20 mn), an organic greenfield plant in India (~INR 1.3 bn) and basmati capacity expansion (~INR 600 mn).

Normal capex from FY28 is ~INR 1.7-1.8 bn a year. That is INR 1.8-2 bn for ~10% volume growth, implying ~4.5-5x asset turn.

Paddy-to-rice capacity is ~88-90% utilised, and 8-10% capacity is being added this year.

The return hurdle is ROCE of 20%+, which US investments may not meet.

Madhusudan Masala Ltd

Outlook: Management targets revenue of about INR 4.0 bn for FY27 and says it is fully on track after strong Q1 sales. It guides a long-term revenue CAGR of 30-35%, with the aim of capturing 1% of the Indian spices market, or about INR 30 bn in revenue, by 2030. EBITDA margin is guided at 11-11.5%.

- **Capacity Expansion:** Phase 1 of the new Samosara facility (6,000 MT capacity, INR 150-170 mn capex excluding land) is set to be commissioned by end-Q3FY27. Management expects it to reach 100% utilisation quickly because existing demand already exceeds current capacity. Phase 2 will scale ground spices capacity 6-7x to 30,000-35,000 MT on land the company has already acquired.
- **Manufacturing Strategy:** Expanding in-house production at Samosara is meant to cut dependence on third-party outsourcing for core ground, blended and whole spices. This should give tighter quality control and shorter turnaround times, and support margins. Non-core grocery SKUs will remain selectively outsourced to keep capital use efficient.
- **Product Mix:** The company is shifting its mix sharply toward higher-margin branded spices and away from non-branded sales. This is a key lever for sustaining margins as the business scales.
- **Distribution Expansion:** Retail distribution is being deepened across North India, with a focus on Punjab and wider penetration in Uttar Pradesh. To drive retail pull against larger competitors, the company offers higher trade margins: 22-25% PTR on ground spices and up to 50% on blended spices.
- **Digital Channels:** E-commerce sales are growing about 100% month-on-month across Amazon, Flipkart, Meesho and Reliance. A new D2C mobile app adds a further direct-to-consumer channel.
- **Procurement Advantage:** The company buys raw materials in bulk during key harvest seasons. This keeps colour, aroma and taste consistent through the year and reduces exposure to raw material price volatility.
- **Funding & Working Capital:** Working capital and expansion needs for the next 3-4 years will be funded entirely from internal accruals and operating cash flows, with no planned equity dilution or new debt. Regional super-stockists who pay in advance further reduce working capital intensity.
- **Main Board Migration:** The company completed its three-year SME listing milestone at the end of September. It plans to migrate from the NSE SME platform to the main board shortly, which could improve liquidity and widen the investor base.
- **Long-Term Potential:** A capacity increase of more than 6x, the shift to branded products, distribution expansion in North India and fast digital growth support the 30-35% CAGR target and the INR 30 bn ambition for 2030. Growth funded from internal accruals, without dilution, adds to the investment case.

Madhya Bharat Agro Products Ltd

Outlook: Madhya Bharat Agro is entering a significant capacity-led growth phase, with total fertiliser capacity already increased to around 900,000 tonnes and further expansion planned over the next few years. The Dhule plant is expected to add around INR 4-5 bn of revenue in FY27, while higher NPK pricing, additional trading volumes and improving utilisation are expected to support the company's INR 35 bn FY27 revenue target. Margins will remain dependent on nutrient-based subsidy rates and raw-material prices, particularly sulphur and ammonia. Backward integration, lower logistics costs at Dhule and the planned green-ammonia arrangement from FY29 could provide additional support to cost efficiency. Near-term execution will depend on timely regulatory approvals and commissioning of Dhule, while the pace of capacity utilisation will be an important factor for the company's earnings growth.

Dhule Plant

- Dhule plant commissioning has been delayed by around 15-20 days due to pending regulatory approvals.
- Management expects the plant to contribute around INR 4-5 bn of revenue in FY27.
- EBITDA per tonne is expected to remain at Q1FY27 levels, although EBITDA margin percentage could moderate due to a higher sales-price denominator.
- Dhule's proximity to ports is expected to reduce transportation costs by around INR 1,000 per tonne versus the Sagar plant.

Strong Revenue Growth and FY27 Target

- FY26 revenue stood at around INR 19 bn, up 76% YoY.
- Management highlighted more than 50% CAGR in revenue over the last five years, while EBITDA delivered around 40% CAGR.
- Management is targeting around INR 35 bn revenue in FY27 and expects this target to be exceeded, supported by capacity expansion, higher MRP and additional NPK/MOP trading.

Higher NPK Pricing Supports Revenue Growth

- NPK selling price increased from around INR 26,000 per tonne to INR 41,000 per tonne from April.
- Current MRP of INR 41,000 per tonne is supported by around INR 20,000 per tonne of government subsidy, taking the total nutrient value to around INR 61,000 per tonne.
- Management indicated that pricing is adjusted based on input costs, subsidy levels and the required EBITDA level.

Capacity Utilisation Expected to Improve

- Existing facilities achieved around 100% utilisation last year.
- Utilisation has been lower in the current year due to ammonia availability and other temporary constraints.
- Management expects overall utilisation to reach around 90% by the end of FY27.
- For the Dhule plant, management expects initial utilisation of around 40-50%, rising to around 80% in the following year and potentially above 100% thereafter.

Backward Integration to Support Margins

- The company is strongly backward integrated across key raw materials, including phosphoric acid and sulphuric acid.
- The phosphoric acid plant is expected to meet the company's requirement even at full capacity utilisation.
- Sulphuric acid requirements will be partly sourced externally, including through an agreement with Birla Copper.
- Rock phosphate remains fully dependent on imports from Jordan and Egypt, while ammonia will be sourced through a mix of domestic and imported supplies.

Raw Material Prices Remain a Key Margin Variable

- Ammonia prices have declined from ~INR 100,000 per tonne to below INR 70,000 per tonne.
- Sulphur prices have not declined materially, creating pressure on input costs.
- Management expects potential government support/subsidy adjustments to offset the impact of higher raw-material costs.
- Management also expects higher nutrient-based subsidy to offset the impact of higher-cost inventory.

Working Capital and Liquidity Are in Place

- Management indicated that the fertiliser industry typically requires working capital equivalent to around 45% of turnover.
- For the FY27 estimated turnover, the company has sanctioned working-capital limits of around INR 12.25 bn.
- The company has also received more than INR 3 bn through preferential allotment, providing additional liquidity for working capital and capex requirements.

Product Mix to Remain Focused on EBITDA

- NPK 20:20:0:13 has historically been an important product for the company.
- Management stated that product mix can change depending on raw-material availability and EBITDA margins.
- The company shifted toward variants requiring less ammonia during periods of limited ammonia availability and is now focusing on products based on EBITDA contribution.

Maharashtra to Become a Key Growth Market

- Maharashtra is expected to be an important growth market because of its high NPK consumption.
- The Dhule plant is strategically positioned to serve Maharashtra and expand the company's presence in Western and Southern India.
- Andhra Pradesh and Telangana will also remain focus markets.

Mafatlal Industries Ltd

Outlook: Mafatlal Industries is transitioning from a traditional textile house into a specialised uniform solutions provider and digital infrastructure partner. The company is pursuing an asset-light model to scale its customer base across the corporate, healthcare and education sectors, while maintaining a healthy adjusted ROCA of ~20%.

Uniform Solutions (Textiles)

- **Market Expansion:** Moving beyond school uniforms into workwear and specialty uniforms for airlines, automobile companies, and service industries (e.g., Zomato, Swiggy, PVR).
- **Healthcare Entry:** Expanding into medical scrubs, patient gowns, and surgical gowns.
- **Value-Added Services:** Providing end-to-end solutions including design collaboration and a digital portal for employee-direct ordering.
- **Operational Model:** Utilises a hybrid approach with an in-house manufacturing unit in Nadiad and an extensive national vendor network to remain asset-light.
- **Risk Mitigation:** Eliminates commodity price risk by fixing prices at "Day 0" for large projects and manages working capital by aligning vendor credit periods with customer credit terms.

Digital Infrastructure

- **Core Offering:** Provides a bundled ecosystem of hardware (laptops, tablets, interactive panels), software (LMS, ERP, AI-enabled learning), and after-sales services.
- **Revenue Mix:** Typical contracts consist of ~50% hardware, 20-25% software, and 20-25% after-sales services.
- **Growth Potential:** Targeting the B2G (business-to-government) segment to digitise public sector schools, noting that only 15-20% of primary schools are currently digitised.

Consumer Durables

- **Strategic Role:** Operates as a complementary "bundle" service (e.g., providing bags, shoes, or furniture alongside uniforms) rather than a primary revenue driver.
- **Financial Profile:** Characterised as a low-margin, high-turnover category that generates free cash flow with minimal working capital investment.

Financial Metrics & Guidance

- **Order Book:** As of 30 June 2026, the order book stood at INR 8.9 bn, comprising ~INR 4.8 bn from uniforms, ~INR 1.1 bn from digital infrastructure and ~INR 3 bn from consumer durables.
- **Execution Timeline:** The current order book is expected to be executed within 4-6 months.
- **Margins:** While current margins are competitive to gain market share from unorganised players, the company is seeing year-on-year improvements in the textile portfolio.
- **Profitability:** Adjusted ROCA is maintained at approximately 20% after removing non-operating investments.
- **Export Exposure:** Primarily domestic; exports are limited to the Middle East, totalling ~INR 300-350 mn of annual turnover.

Strategic Priorities

- **Market Penetration:** Deepening reach within the uniform umbrella across corporate and manufacturing sectors.
- **Digital Scaling:** Executing larger-scale projects within the digital infrastructure space.
- **Competitive Positioning:** Balancing the need to remain competitive against unorganised players while gradually improving the margin profile.

Magellanic Cloud Ltd

Outlook: The company's near-term outlook is centred on scaling e-surveillance execution, converting the ~INR 3.5 bn order wins, expanding drone/defence manufacturing and commercialising its AI-led technology portfolio. Key monitorables include execution of the railway/PSU order book, drone order conversion, Magray Extend commissioning, preferential-issue approval and completion, promoter-pledge reduction, working-capital improvement and the pace of international sales expansion.

E-Surveillance Growth

- E-surveillance has emerged as the largest strategic focus area, with ~INR 3.5 bn of recent orders largely from railways and the public-sector ecosystem.
- The business combines video management, AI-powered analytics, command centres, quick-response teams and field-asset management through the Scanalytics platform.
- Management expects the e-surveillance market to expand significantly as railways, banks, PSUs and large asset owners increase digital surveillance deployment.
- International expansion is also being pursued after initially focusing on banking and subsequently expanding into PSU customers.

E-Surveillance Margins

- Opex-based e-surveillance contracts generate EBITDA margins of ~50%, supported by recurring monthly billing.
- Capex-based installation projects typically generate ~20% EBITDA margins.
- Management indicated that the blended margin profile could be ~30-35% depending on the business mix.
- For the next ~INR 3 bn order book, management indicated EBITDA margins of ~15-20%, while the ~INR 1.5 bn recurring business could carry ~50% EBITDA margins.

Drone Business Outlook

- Scandron has developed logistics, surveillance, agriculture and defence-oriented drones, with payload capabilities ranging from ~5 kg to 200 kg.
- Management indicated ~INR 150-200 mn of current drone order book and ~INR 250 mn of orders booked during the previous year.
- FY27 revenue from the drone business is expected to increase materially, with management indicating potential growth of 50-100%+ and further scale-up thereafter.
- Drone procurement has seen some delays due to the increasing requirement for electronic-warfare compliance and associated product modifications.

Defence Drone Deployment

- The company has deployed/tested drones across multiple defence locations, including J&K, the Northeast and other military formations.
- Applications include surveillance, tracking and ammunition-dropping capabilities.
- Management indicated cumulative execution/deployment in the defence drone segment of approximately INR 200-250 mn.
- Defence remains a strategic growth area, supported by increasing focus on indigenous drone capabilities.

Magray Extend JV

- The manufacturing facility for the Magray Extend JV has already been secured, with technology-transfer activities currently underway.
- Management expects manufacturing operations to become operational within approximately one quarter, subject to technology transfer, quality testing, validation and regulatory compliances.
- The first production batch is also expected to commence within approximately one quarter.
- The JV intends to manufacture multiple drone variants, subject to applicable government approvals and product-specific clearances.

Preferential Issue Status

- The ~INR 4.92 bn preferential issue is currently awaiting in-principle approvals from the exchanges.
- Management expects the approval process to be completed within the next few weeks, subject to responses to exchange queries and receipt of approvals from both NSE and BSE.
- Following in-principle approval, management indicated that the allotment process could commence within ~2 weeks.
- Funds are intended to support business expansion, order execution and the company's capital requirements.

Promoter Pledge

- Management attributed the increase in promoter pledge primarily to lower share prices, margin requirements and the need to maintain funding while awaiting the preferential issue.
- A portion of the borrowing is at the promoter level, while current borrowings also include company-level funding.
- Management expects promoter pledging to decline materially after completion of the preferential issue and repayment/release of loans.
- Management indicated that the pledge could reduce significantly over the next quarter as funding conditions improve.

Working Capital Improvement

- Working capital requirements have been elevated due to EMDs, deployment cycles and inventory held pending certifications and approvals.
- Management highlighted that certain materials were procured but could not be deployed immediately due to certification and compliance requirements.
- Material deployment and clearance have improved, with management indicating that the working-capital cycle in e-surveillance is currently improving.
- Vendor approvals and inventory-streamlining processes are being monitored by the CFO and finance team.

Capex Requirements

- Management expects substantial investment requirements over the next two years across drones, e-surveillance and other growth initiatives.
- Total funding requirement was indicated at ~INR 5-10 bn over the next two years, depending on project execution and deployment.
- E-surveillance alone could require >INR 1 bn of annual capex, while upcoming projects may require another INR 1-1.5 bn of deployment.
- Funding is expected to be met through a combination of debt and equity, with the preferential issue forming part of the equity component.

Competitive Positioning

- Management highlighted Scanalytics and its end-to-end technology stack as key differentiators in e-surveillance.
- International product players such as Milestone and Genetec, along with domestic system integrators including CMS and SIS, operate in adjacent segments.
- PSU-led players such as RailTel, RTI and BESIL also participate in surveillance projects but typically partner with technology providers.
- Management believes its combination of technology, service delivery and domain expertise provides an advantage in integrated surveillance projects.

Defence Capex & R&D

- The company has invested approximately INR 700-800 mn in defence-related R&D and product development.
- Some developed products have started moving into commercial deployment, with associated development expenditure being amortised through the books.
- Management indicated that detailed fixed-asset information for defence manufacturing would be provided separately.

Fintech Expansion

- Fintech currently contributes approximately INR 400 mn of revenue.
- The company is developing solutions across e-KYC, banking, trading and related financial technology applications.
- Management is expanding the sales engine across GCC/UAE, Europe and the US to commercialise its broader technology portfolio.
- The strategy is to leverage the existing technology stack and AI capabilities to cross-sell multiple solutions across international markets.

Quarterly Investor Calls

- Management confirmed plans to conduct investor/earnings calls on a quarterly basis going forward.
- The initiative is intended to provide investors with regular updates on business performance and strategic developments.

Maharashtra Seamless Ltd

Outlook: The company's near-term outlook remains supported by normalisation of operations, replenishment of the order book, improving export demand and stronger oil & gas drilling activity. Q2FY27 margins are expected to improve sequentially, while the Telangana finishing line is expected to start contributing from the December quarter and be fully commissioned by March 2027. Key monitorables remain order-book replenishment, EBITDA/tonne trajectory, export momentum, rig activity, finishing-line commissioning and any developments around the anti-dumping duty after January 2027.

Operations Normalised

- Management clarified that there were no labour issues, while the gas-related disruption was resolved in April.
- Q2FY27 is expected to be a normal operating quarter, with production expected at 105,000-110,000 tonnes.
- Q1FY27 production/dispatch was below optimum levels; hence, Q1 EBITDA/tonne should not be considered a normalised base.
- Management indicated that Q2 margins should improve sequentially.

Order Book Healthy

- The order book remains on track, with necessary replenishment received as anticipated.
- The current order book is considered sufficient to support the next quarter.
- Management reiterated that the earlier indicated higher-margin order traction remains intact.
- Customer-wise order book details will not be disclosed.

Finishing Line on Track

- The Telangana finishing-line project remains on schedule, with partial commissioning expected in the December quarter.
- Full commissioning is expected by 31 March 2027.
- The earlier indicated production capacity of 425,000-430,000 tonnes includes the contribution from the finishing line.

Exports Strengthen

- Export momentum remains intact, with no decline in exports seen recently.
- Higher oil & gas activity in international markets is driving demand for seamless pipes.
- Global rig counts have increased by ~10% between January and August-September 2026, supporting higher drilling activity and export demand.
- US and Canada remain key export markets; the company is not actively focusing on the Middle East due to strong Chinese participation.
- In the US and Canada, anti-dumping duties apply to Chinese products, while MSL's applicable duty and freight are borne by customers.

Premium Threading

- The GFE collaboration for the premium threading unit commenced in the previous quarter.
- Capacity stands at ~10,000 tonnes per annum.
- The entire mill is reportedly booked until May-June 2027.
- Premium/value-added products command higher margins but have a lower demand base than regular products.

Oil & Gas Exposure

- Around 60-70% of revenue is linked to the oil & gas sector.
- A significant portion comes from the upstream/drilling segment, where seamless pipes are used in drilling activities.
- Oil & gas exposure also includes refineries, while pipes are additionally supplied to the power, boiler and general engineering sectors.
- Demand for seamless pipes is primarily linked to drilling activity, particularly in high-pressure/high-temperature applications and offshore drilling.

EBITDA per Tonne Outlook

- Management agreed that the Q1 EBITDA/tonne figure should not be viewed as the normalised base due to lower production and dispatches.
- Q2 EBITDA/tonne is expected to improve sequentially from Q1 levels.
- Management did not provide full-year EBITDA/tonne or margin guidance.
- The company reiterated that previously communicated earnings-call guidance remains unchanged.

Demerger Review

- The proposed demerger was withdrawn as management felt the operational aspects required deeper evaluation.
- Management did not provide a timeline for any potential reconsideration of the proposal.

Green Hydrogen

- Green hydrogen-related initiatives remain in the R&D phase.
- Management does not expect the initiative to materially impact the order book in the near term.
- The opportunity is positioned as a value-added product, with lower volumes but potentially higher margins than regular products.

Capex Discipline

- Management indicated that the company has the financial ability to undertake additional capex.
- However, capacity expansion will depend on actual growth in industry demand.
- Management does not intend to add significant capacity merely on the expectation of higher future oil & gas activity.

Anti-Dumping Duty

- The existing seamless-pipe anti-dumping duty remains valid until January 2027.
- Management has received no indication regarding a possible extension.
- Chinese dumping into India was indicated to be broadly at the same level as six months ago.

Treasury Investments

- Management will not provide quarterly disclosure of realised/unrealised gains or losses or detailed treasury composition beyond the earnings presentation.
- Investors can refer to the annual report, including page 91 of the standalone financial statements, for scheme-wise investment details.

Manaksia Coated Metals & Industries Ltd

Manaksia Coated Metals & Industries manufactures value-added coated steel products (Aluzinc coated steel and pre-painted steel coils) at its port-based facility in Kutch, Gujarat, located ~40-60 km from Mundra and Kandla ports. Under Phase 1, the galvanising line was upgraded to Aluzinc and expanded from 132,000 MTPA to 180,000 MTPA in January 2026, while the new colour coating line (raising pre-painted capacity from 86,000 MTPA to 236,000 MTPA) and a 7 MW captive solar plant (savings of ~INR 70 mn per annum) are set to commission next month. Phase 2 involves INR 3.5 bn of capex for a 360,000 MTPA cold rolling complex (INR 2 bn) and a second 180,000 MTPA Aluzinc line (INR 1.5 bn), to be completed in FY28, with full capacity available by FY29. Management targets 3x volumes (over 300,000 MT) and over 3x revenue by FY29 versus FY26 levels of ~100,400 MT and INR 9 bn, with EBITDA growing by more than 3x. EBITDA per tonne doubled from INR 5,000 to INR 10,000 in Q1FY27, while exports rose to ~68-70% of revenue and the order book stands at over INR 4.2 bn. The key factors to monitor are commissioning and ramp-up of the new colour coating line, Phase 2 execution and funding, the export-domestic mix, sustainability of EBITDA/tonne and working capital reduction from backward integration.

Business Model & Positioning

- The company has a legacy of over 30 years in manufacturing and is primarily engaged in value-added coated steel products, supplied pan-India and to export markets.
- Value chain: The company buys cold-rolled (CR) steel and coats it with an aluminium-zinc alloy to produce Aluzinc coated steel, which is either sold as is or further value-added by painting into pre-painted Aluzinc coated steel.
- Aluzinc coated steel offers ~3x the corrosion resistance of galvanised steel and commands a premium in the market.
- The company focuses on extreme customisation (thicknesses, widths, coatings and performance guarantees), with USPs of small MOQs, just-in-time delivery and specialised requirements that large primary steel producers focused on volumes cannot offer.
- ~90% of sales are direct to OEMs (B2B), across pharma clean rooms, HVAC, refrigeration, metal wall and ceiling, drywall partitions, bus bodies and insulated sandwich panels, rather than the trade segment.
- The port-based location enables efficient logistics, raw material imports, exports and coastal shipping to southern states such as Kerala and Tamil Nadu at costs potentially lower than mills in Maharashtra.
- Distribution footprint includes a service centre in Hyderabad, stockyards in Jammu, Cochin, Bhopal and Guwahati, and branch/marketing offices across India, supported by an experienced team with 20-30 years in the steel industry.

Phase 1 Expansion: Capacity & Technology Upgrade

- Metal Coating: In January 2026 (FY26), the galvanising line was upgraded from 132,000 MTPA to 180,000 MTPA along with a technology conversion from regular galvanising to Aluzinc coating.
- Pre-Painted Steel: Capacity of 86,000 MTPA is running at very high utilisation; the new colour coating line will raise capacity 2.7x to 236,000 MTPA and is set to commission next month (management declined to comment on its current status, as it is price-sensitive information).
- The new colour coating line will enable specialised finishes such as SMP, SDP and PVDF, demanded by European customers and Indian OEMs requiring 20-30 year warranties, as well as three-colour printed and hot lamination products, which only 1-2 lines in India currently produce.
- Captive Solar: A 7 MW plant, targeted to commission next month along with the colour coating line, will convert over 55% of plant energy requirements to renewable energy and generate power cost savings of ~INR 70 mn per annum from day one.
- All Phase 1 projects have been funded and are nearing completion.

Phase 2 Expansion: Backward Integration

- Total Phase 2 capex is INR 3.5 bn, to be funded through a balanced mix of equity, internal accruals and debt.
- Cold rolling complex: 360,000 MTPA capacity at an estimated capex of INR 2 bn, comprising a slitter, pickling line, acid regeneration plant, rewinding line and cold rolling mill; described as the most critical capex for the company.
- Second Aluzinc Line: Capex of INR 1.5 bn, doubling metal coating capacity from 180,000 MTPA to 360,000 MTPA to match the cold rolling capacity and support the expanded colour coating line in-house.
- The new Aluzinc line is being designed with an option for zinc-magnesium (ZAM) coating, which offers ~2x the corrosion resistance of Aluzinc and is increasingly used in the solar/photovoltaic industry; this is still work in progress.
- The shift from CR steel (a customised product) to hot-rolled (HR) coil (a commoditised product) cuts lead times from 45-60 days (domestic) and 90+ days (imports) for CR to ~2 weeks (domestic) and 30-45 days (imports) for HR, drastically reducing raw material inventory.
- Raw material SKUs are expected to fall from over 1,000 to only 4-5 HR SKUs, with all thicknesses and widths produced in-house.
- The conversion cost currently paid to suppliers is INR 4,500-5,000 per tonne, versus an estimated INR 3,000-3,500 per tonne in-house, adding ~INR 1,500-2,000 per tonne to EBITDA.
- Backward integration is expected to shrink working capital and inventory ageing; Phase 2 projects are targeted for completion in FY28, with full capacities available by FY29.

Volume, Revenue & Margin Outlook

- FY26 production and sales stood at ~100,400 MT with revenue of ~INR 9 bn; historical volume CAGR has been over 12%.
- FY29 target: over 300,000 MT of sales (3x FY26), revenue of over 3x FY26 and EBITDA growth of far more than 3x.
- The share of pre-painted steel in the mix has increased consistently from 2023 to 2026 despite rising volumes.
- Blended EBITDA/tonne has increased from INR 5,000 to INR 10,000 in Q1FY27; management believes this is sustainable and sees potential for a further 10-15% uplift from better utilisation, niche OEM/export products and solar power savings.
- EBITDA margins have moved from mid-single digits to early double digits over the last 4-5 years; management believes ~13% EBITDA margin is not far-fetched with a focus on niche, value-added products.
- Ramp-Up: The new colour coating line is expected to take ~1 quarter to stabilise, with no material change to the earlier indication of 50-55% utilisation by FY27 exit; the Aluzinc line is at 70-75% utilisation, targeting 80-85% in the coming quarter.

Export vs Domestic Mix & Demand

- Export share has grown from 21% to over 68% in FY26 and is currently at a ~70% revenue run-rate; a participant noted ~87% of the current order book is exports.
- With capacity increasing ~3x over the next 12-18 months, the mix is expected to become more balanced at ~55-60% exports.
- Export EBITDA has been higher at ~INR 11,000-11,500 per tonne, versus ~INR 8,000-8,500 per tonne in the domestic market, though this is dynamic and depends on demand-supply.
- The export focus so far was driven by capacity constraints (demand has been ~2x capacity); management believes domestic OEM and niche customers can deliver similar margins.
- The India-EU FTA is expected to be favourable, providing tariff-free access and larger quota allocation for Indian value-added steel.
- Domestic demand drivers include urbanisation, infrastructure (airports, metros, bullet trains, railway overhaul), FMCG growth and rising consumption of appliances, cars and consumer durables, with steel consumption growing in double digits.
- India's addressable market for Aluzinc and pre-painted steel is ~4 mn tonnes, growing at 11-12% per annum, excluding export opportunities.

Balance Sheet & Funding

- The company is A-rated by credit agencies and has reduced net debt, keeping leverage and borrowing costs in control.
- The order book stands at over INR 4.2 bn across domestic and export customers and is growing, supporting utilisation of new capacities.
- Interest cost appears high relative to gross debt (~INR 1.5 bn debt vs ~INR 300 mn annual interest, as highlighted by a participant) due to non-fund-based limits (letters of credit) used for domestic and imported raw material procurement.
- Management clarified that the company is a standalone entity with its own shareholding and management, unrelated to any other company with similar expansion plans.

Marathon Nextgen Realty Ltd

Outlook: Marathon Nextgen Realty is consolidating operations through a merger to create a clean corporate structure and is leveraging an INR 9 bn QIP to accelerate project growth and acquisitions. The company is transitioning towards a high-growth phase, with a significant land bank and a pipeline of upcoming launches across Mumbai and the MMR.

Financials and Growth Metrics

- QIP Fund Utilisation: INR 9 bn raised; INR 3.4 bn used for debt repayment, INR 3 bn for accelerating existing projects and INR 3 bn for new acquisitions.
- Profitability: PAT grew to ~INR 2.05 bn last year, with an average EBITDA margin of 35% across the portfolio.
- Sales Performance: Pre-sales were ~INR 10 bn last year, and are expected to exceed this figure in the current year.
- Investment Target: The company targets an IRR of 25-30% for new acquisitions.

Portfolio and Pipeline

- Inventory Value: Total inventory in the listed entity is ~INR 130 bn, consisting of INR 12 bn ready-to-move-in, INR 20 bn launched/ongoing and INR 100 bn yet to be launched.
- Upcoming Launches:
 - Bhandup: INR 5.5 bn of GDV planned for launch within 1.5 years.
 - Versova & Sewri: Two acquired projects totalling INR 9 bn of GDV, expected within 1.5 years.
 - Monte South (Byculla): Commercial inventory launch with GDV of ~INR 34 bn within 1.5 years.
- Current Assets:
 - Monte South: Four towers; Tower A has an OC, Tower B has a partial OC (up to 45th floor), and Tower C is at 30-32 floors.
 - Panvel: Developing 25 acres with 19 towers; 15 are already developed.
 - Bhandup: 20 acres of land primarily for slum rehabilitation.

Merger and Corporate Structure

- Merger Scope: 418 acres of land and commercial assets in Lower Parel are being merged into the listed entity.
- Timeline: The merger is expected to close within 6-8 months, with an effective date of 1 January 2025.
- Current Status: Equity shareholders and unsecured creditors have approved the merger; the file has been refiled with the NCLT and is awaiting a court hearing.
- Ownership: Promoter holding is currently 55% (none pledged) and is expected to increase to 75% post-merger.

Operational Strategy

- Construction Model: Construction and procurement are managed in-house via an internal PMC (600+ engineers), reducing idle charges and escalation costs compared to outsourcing.
- Land Strategy: Most projects are owned outright (including 150 acres of private SRA land in Bhandup), though some are JVs (e.g., Monte South with Adani Group) or society redevelopments.
- Commercial Model: The company focuses on selling commercial assets rather than generating long-term annuity rental income.

Master Trust Ltd

Outlook: The company is focused on strengthening its broking and proprietary trading franchises while diversifying earnings through MTF, technology-led products and the clearing business. Proprietary trading and allied income streams should provide some cushion against subdued derivatives activity. The planned INR 3-4 bn investment in clearing offers a medium-term growth opportunity, although funding costs and returns on capital remain key monitorables. The rollout of retail algos and other digital products could improve client monetisation, while the mutual fund business remains deferred pending better capital and market conditions.

Business Profile & Earnings Mix

- Master Trust has a diversified business model spanning retail broking, proprietary trading, NBFC and PMS, with a client base of ~400,000 and ~30,000-35,000 monthly active clients.
- Proprietary trading and broking are the key earnings drivers, historically contributing ~40% and ~60% of PBT, respectively, with the former cushioning volatility in broking revenues.
- Q1FY27 PBT contribution was skewed towards proprietary trading at ~70%, supported by elevated market volatility.

Broking Business & Regulatory Impact

- Master Trust has ~0.25% market share in cash equities and ~1.5% in equity derivatives, with brokerage revenue split across derivatives (50%), cash equities (40%) and commodities (10%).
- Brokerage contributes ~25% of total revenue, while MTF interest and float income provide additional revenue diversification.
- Despite a ~25% decline in exchange-level derivatives volumes during August-September, management expects Q2FY27 F&O brokerage to decline only 7-8% QoQ, partly offset by higher MTF interest and float income.
- Management estimates that a 15-20% decline in overall market volumes could result in a ~5% revenue impact, with a lower impact on PBT.

MTF & Funding

- The combined MTF and T+5 funding book stands at ~INR 2-2.2 bn, with management targeting an incremental INR 1.5 bn over the next 6-8 months, subject to funding availability.
- The company plans to raise INR 750 mn through NCDs at a ~10.5% coupon in October 2026 to support MTF expansion.

Technology-Led Growth

- ~70% of revenue is generated through digital channels, with automation helping improve operating efficiency and contain employee costs.
- The company plans to launch its retail algorithmic trading platform around Diwali 2026, followed by chart-based trading and US investing, aimed at improving client engagement and revenue per customer.

Mutual Fund Business Deferred

- Master Trust has deferred its mutual fund business for the next couple of years, citing higher capital requirements, rising employee costs, intense competition and a longer path to profitability.
- The business would involve annual cash burn of INR 250-300 mn for 3-4 years or longer, while regulatory changes to bank-guarantee funding have increased the need to conserve capital.

New Growth Driver: Clearing Business

- The company has soft-launched its clearing business for institutional clients, including FIIs, AIFs and PMS investors trading in derivatives on NSE.
- Management plans to deploy INR 3-4 bn over the next two years, targeting ~18% return on capital through clearing services and associated funding facilities.

Maximus International Ltd

Outlook: Under Vision 2030, management targets a top-line CAGR of 25-30% through 2030, with 25% as the baseline. It also aims to hold EBITDA and PAT margins stable over the long term while scaling across the Middle East and Africa.

Business Overview: Maximus is a Vadodara-based maker of specialty lubricants, base oils and petrochemicals. It was incorporated in 2015, is listed on the BSE Main Board, and its parent is Optimus Finance Ltd. Promoters hold 57.58%.

Business Verticals: The company runs three verticals: lubricant manufacturing, petrochemical trading and toll blending. Its portfolio covers seven core product lines: automotive, metalworking fluids, textiles, general engineering, refrigeration oils, electrical oils and specialties.

Global Footprint: Four international subsidiaries operate across the UAE and Kenya. The company serves 400+ customers in 25+ countries with 200+ products.

Financial Performance: Revenue grew from INR 1,560 mn in FY23 to INR 1,850 mn in FY24. PAT margin expanded from 6.63% to 8.12% over the same period. The company has been profitable every year since 2015.

Capacity & Plant Upgrades: Total blending capacity is 15,000 KL across the UAE and Kenya. Upgrades include automated batch blending, automated filling lines and larger tank farms, which should improve efficiency and scalability.

East Africa Expansion: A grease manufacturing unit is being added in Kenya. The company is also expanding into Tanzania, Uganda, Rwanda, Zambia and the DRC, broadening its regional distribution.

India Manufacturing Entry: Maximus is acquiring a stake in Cubic Petroleum Resources Ltd, subject to approvals. This would give it a manufacturing base in India.

Market Positioning: The company is using Middle East and freight disruptions as an opportunity, replacing imported lubricants with locally blended products across the Middle East and Africa. This local-for-local model improves supply reliability and competitiveness.

Long-Term Potential: The African expansion, the new grease vertical, the potential India plant and the import-substitution opportunity together support the 25-30% growth target through 2030. Consistent profitability and stable margins add to earnings visibility.

Maxvolt Energy Industries Ltd

Maxvolt Energy is pursuing an aggressive capacity-led growth strategy, transitioning from a battery-pack manufacturer into a broader integrated battery and energy-storage platform. The company currently operates at around 600-800 MWh of capacity and is targeting ~2.5 GWh by December 2026, equivalent to approximately 40,000 batteries per month. Management has announced INR 7,000 mn of capex for a 10 GWh expansion in two 5 GWh phases, with ~5 GWh earmarked for C&I/BESS, 2.5 GWh for mobility including three-wheelers and 2.5 GWh for four-wheelers. Management sees consolidated revenue potential of up to INR 100 bn over 6-7 years. The company works with 8-10 OEMs and has a retail network of 1,000+ dealers across 16 states, targeting a 60:40 retail-to-OEM sales mix. Backward integration is underway, with an in-house AI-based BMS, a black-mass extraction laboratory and a recycling facility targeted within 8-10 months. The key factors to monitor are capacity commissioning timelines, capex funding and potential equity dilution, traction in BESS and four-wheelers, the retail-OEM mix and the commissioning of the recycling facility.

Business Model & Positioning

- The company is transitioning from a battery-pack manufacturer into a broader integrated battery and energy-storage platform.
- Growth is supported by rising EV adoption and expansion into BESS and four-wheeler batteries.
- Backward integration into battery recycling is expected to build a closed-loop battery ecosystem.
- Management sees consolidated revenue potential of up to INR 100 bn over 6-7 years.

Capacity Expansion

- Current operating capacity stands at around 600-800 MWh.
- The company expects to reach ~2.5 GWh by December 2026, equivalent to approximately 40,000 batteries per month.
- The expanded capacity will cater to two-wheelers, three-wheelers and ESS applications.

Capex & 10 GWh Roadmap

- The company has announced INR 7,000 mn of capex for a 10 GWh capacity expansion, split into two phases of 5 GWh each.
- Phase I requires around INR 4,000 mn, while Phase II requires ~INR 3,000 mn.
- Funding is expected through a combination of internal accruals, bank/project financing and potentially equity.
- The capex is spread over multiple years rather than being an immediate funding requirement.

End-Market Diversification

- Around 5 GWh of the planned capacity is targeted towards C&I/BESS applications.
- About 2.5 GWh is targeted towards mobility including three-wheelers, and another 2.5 GWh towards four-wheelers.
- The diversification should reduce dependence on a single EV segment and expand the addressable market.

Distribution: Retail & OEM

- The company is currently working with 8-10 OEMs.
- Its retail presence spans 16 states with 1,000+ dealers.
- Management intends to maintain a mix of approximately 60% retail and 40% OEM sales.
- The retail channel is expected to support the company's margin profile.

Margins & Backward Integration

- Management expects margins to remain sustainable despite the ongoing expansion phase.
- Margin improvement potential exists from higher repurposability and a closed-loop battery ecosystem.
- The company is developing its own AI-based BMS and has established a laboratory for black-mass extraction.
- The backward-integration facility is targeted within 8-10 months, and its timely commissioning will remain a key monitorable.

MBL Infrastructure Ltd

Management expects MBL to move into a growth phase after resolving its legacy issues and financial restructuring. New order targets of INR 10 bn by March 2027 and INR 20 bn by March 2028, along with arbitration recoveries and subsidiary cash flows, should support the next phase of growth. The company remains selective on new projects, with a focus on profitability, cash generation and gradual debt reduction.

Financial & Balance Sheet

- Promoter holding stands at 74.57% after an INR 1.12 bn infusion.
- Existing non-fund-based limits stand at INR 3.04 bn, with approval for an additional INR 2.5 bn of non-fund-based and INR 1 bn of fund-based facilities.
- Management expects tangible net worth to exceed INR 14 bn by FY27-end.

Debt

- Total debt stands at INR 10.58 bn, of which INR 8.37 bn carries a nominal 0.10% coupon, while the balance carries around 9.4% interest.
- FY27 interest cost is expected at around INR 220 mn and should gradually decline with scheduled repayments.
- Debt repayment will continue as per the 10-year resolution plan, with arbitration recoveries expected to support deleveraging.
- Management does not currently plan to accelerate repayment of the low-cost debt unless sufficient surplus cash is available.

Arbitration Claims & Recoveries

- Total arbitration claims stand at INR 31.15 bn, with INR 2.24 bn of awards currently in hand.
- Management expects to recover at least INR 22.5 bn over the next five years.
- Two major Uttarakhand awards of around INR 800 mn and INR 820 mn are progressing through the legal process.

Order Book & Order Inflow

- Current executable order book stands at INR 2.54 bn, mainly comprising maintenance and change-of-scope works.
- Management is targeting new orders of INR 10 bn by March 2027 and INR 20 bn by March 2028.
- The company remains focused on profitable orders rather than aggressive bidding.

Revenue Outlook

- FY27 revenue is expected at INR 1.8+ bn.
- Revenue is expected to cross INR 10 bn in the following year as new orders start contributing.
- Current annual toll revenue is around INR 600 mn.

Subsidiaries & Toll Projects

- Six of eight subsidiaries have become debt-free.
- The Suratgarh-Bikaner Toll Road resolution is under lenders' voting and is expected to be resolved during FY27.
- The subsidiary generates ~INR 500 mn of annual toll revenue, with future cash flows expected to be upstreamed to MBL.

EPC & New Business Opportunities

- MBL is targeting opportunities across roads, highways, railways/metro, industrial infrastructure and urban infrastructure.
- The company remains open to HAM/BOT projects, but plans to follow a conservative approach with equity partners.
- Bidding conditions have improved, with some HAM/BOT projects now being bid at 5-10% premiums versus heavy discounts earlier.

Working Capital & Funding

- All legacy projects have been completed, with no major stuck projects.
- Current receivables from new projects are expected to remain below 90 days.
- Growth is expected to be funded largely through arbitration recoveries and internal cash generation.

Megatherm Induction Ltd

Outlook: Megatherm aims for long-term revenue growth of 20-25% and EBITDA growth exceeding 25% through FY31-FY32. The ultimate objective is to reach turnover of INR 10 bn, primarily driven by global expansion in the induction segment.

Transformer Segment Growth & Capacity Scaling

- Near-term growth is anchored by the transformer business, projected to generate INR 800-900 mn of revenue in the current financial year.
- Execution is back-ended, with H2 contributing approximately INR 700 mn as product deliveries ramp up.
- Revenue from transformers is projected to reach INR 1,500 mn in the next financial year.
- The Kharagpur facility operates at a 2,000 MVA capacity (scalable to 3,000 MVA), with civil work underway for a fourth shed to add an additional 2,000 MVA.
- Capex for adding INR 1.5 bn of transformer production capacity is estimated at INR 250-300 mn.
- Demand drivers include renewables, solar transformers, battery energy storage systems (BESS), and data centres, supported by vendor approvals from Tata Power, Sprng Energy (Shell Group), Hero Future Energies and Plus.

Global Footprint & Strategic Joint Ventures

- Megatherm is expanding its dealership network and entering strategic partnerships to position itself as a global alternative to market leader Inductotherm.
- The company has established a joint venture with Spanish firm Sikex for high-frequency pipe and tube welding equipment.
- It has also formed a US joint venture to facilitate direct entry into the US market.

Export Pipeline Activation

- Pending Middle East export orders of approximately INR 1,000 mn are currently on hold due to elevated regional shipping and insurance costs.
- These orders remain active and are expected to deliver a single-year revenue surge once regional geopolitical stability returns.

Profitability & Margin Outlook

- Near-term net margins reflect front-loaded growth investments: marketing expenses increased by 17% and HR/talent recruitment costs by 23%, alongside initial price undercutting to secure key entry orders.
- Management targets medium-term EBITDA margins of 15-18% and PAT margins of 10-12% as revenue scales.

Business Verticals & Intellectual Property

- The company operates two main business lines: induction equipment (melting, heating, forging and welding for steel, foundries, auto, defence and railways) and electrical transformers.
- All technology and IP are developed entirely in-house, qualifying Megatherm as an electronics manufacturer eligible for a 25% government capital subsidy on power sources.

Order Book & Market Dynamics

- The active order book stands at over INR 3,000 mn (excluding pending Middle East orders).
- The company serves an addressable domestic transformer market estimated at INR 25-30 bn and an Indian induction equipment market of ~INR 15 bn.

High-Margin Spares & Working Capital

- The recurring after-sales spares business generated INR 600 mn out of INR 3,500 mn in total revenue last fiscal year, consistently representing ~20% of total turnover.
- Spares provide predictable cash flow to absorb raw material price swings in copper and transformer oil, while enabling competitive pricing on new equipment contracts.
- The transformer working capital cycle is maintained at 3-4 months to secure advance inventory of copper, magnetic core, and transformer oil.

Competitive Differentiation

- The company competes against Inductotherm and Electrotherm by offering lower specific energy consumption, higher equipment durability under harsh Indian/tropical operating conditions, rapid technological adaptability, and prompt owner-driven service support.

Meghmani Organics Ltd

Outlook: Management targets double-digit top-line CAGR over the next 3-5 years, with faster bottom-line growth driven by asset sweating, new product registrations and international expansion. No major capex is planned for the next 1-2 years as the focus remains on improving utilisation and reducing debt.

Crop Protection

The segment operates four plants with ~56,000 MTPA capacity and maintained ~63% utilisation in Q2. The technicals-to-formulations mix has improved from 70:30 to 60:40, with a long-term target of 50:50. Existing assets can generate INR 25,000-30,000 mn revenue at 85-90% utilisation, with peak utilisation targeted over the next 2-2.5 years. Exports span 75+ countries, while the Brazil subsidiary is expected to accelerate registrations and direct market access.

Pigments

The Pigments business operates three plants with ~33,000 MTPA capacity and generates INR 6,000-6,500 mn annual revenue. Management targets higher single-digit EBITDA margins of 7-8%. Q1 margins of 12% benefited from higher product prices, lower-cost inventory, cost optimisation and US tariff normalisation, with tariffs on ~INR 1,000 mn of US exports declining to 10%.

Crop Nutrition

The company has expanded beyond Nano Urea with eight products across bio-fertilisers, bio-stimulants and micronutrients, including Nano DAP, Nano Zinc and Nano NPK. Management expects Crop Nutrition to become a key long-term growth driver with ~20% steady-state EBITDA margins, although significant farmer education and field trials are required before meaningful scale-up.

TiO₂ / Kilburn Chemicals

Operations at Kilburn's TiO₂ plant remain suspended, as sulphur prices above INR 100 per kg have made production uneconomical, while the company is pursuing reinstatement of anti-dumping duty protection. The plant incurs ~INR 10 mn of monthly fixed costs and INR 7.5-10 mn of monthly finance costs, translating into an annual cash loss of ~INR 200-240 mn. Management is also evaluating alternative product conversion options.

Capex & Deleveraging

With the major capacity expansion completed, annual maintenance capex is expected at INR 200-300 mn, while global product registrations require ~INR 100 mn annually. Consolidated term debt stood at INR 2,900 mn at FY26-end, with INR 1,280 mn repayment planned in FY27 and the balance targeted at ~INR 1,600 mn by March 2027 and below INR 1,000 mn in FY28. Working capital utilisation remains at INR 4,000-4,500 mn.

Margins & Asset Utilisation

Crop Protection margins have stabilised at industry-average/double-digit levels, while Pigments is targeted at 7-8% EBITDA margins and Crop Nutrition at ~20%. Management expects Crop Protection utilisation to reach 85-90% over the next 2-2.5 years, after which fresh capex will be evaluated.

Corporate Restructuring

The merger of Kilburn Chemicals and Meghmani Crop Nutrition into the parent is in the final stages, with the NCLT order awaited. The merged structure is expected to be reflected on a standalone basis from Q3FY27, simplifying compliance, eliminating duplicate costs and improving administrative efficiency.

Mehul Telecom Ltd

Outlook: The key growth driver remains rapid store expansion, particularly the increasing COCO mix, which offers higher revenue and profitability potential than FOFO. The asset-light FOFO model should limit working-capital intensity, while the EOL/refurbished/demo-phone business provides an additional margin lever. Execution on the 150-store FY27 target, ~50% revenue growth and the subsequent 300-store Gujarat expansion will remain key monitorables.

Store Expansion

Store count increased to 98 from 80 stores at the time of IPO listing in April 2026; management targets 150 stores by FY27-end. Of the planned 150 stores, 20 are expected to be COCO and 130 FOFO, with the initial focus remaining on Gujarat. Management targets 300 stores in Gujarat by FY28, while maintaining ~50% revenue growth. Expansion outside Gujarat is planned only after reaching INR 6,000-7,000 mn revenue within Gujarat.

COCO Economics

COCO stores are company-operated and require approximately INR 20-25 mn capex depending on store size. A mature COCO store can generate ~INR 20-25 mn of monthly revenue, with a 6-7% operating margin and ~5% net profit margin. COCO currently contributes ~60% of revenue, while FOFO contributes ~40%; management intends to increase the COCO mix given its higher profitability.

FOFO Model

Under FOFO, franchisees operate the stores while Mehul Telecom supplies inventory against a deposit and earns around 2-3% revenue-linked margin/royalty.

Franchisees are incentivised through higher margins of around 8-10%, alongside quicker access to inventory and sales support. Inventory is recorded in the company's books but is largely backed by franchisee deposits, limiting the company's working-capital requirement.

Growth Outlook

Management targets approximately 50% YoY revenue growth, while maintaining profitability levels. H2 is expected to be stronger than H1 due to the festive season.

FOFO stores are growing at ~20%, while COCO stores are growing at ~30%, supporting the planned shift toward COCO.

Margin Drivers

Margin expansion is supported by the company's end-of-life (EOL), refurbished and demo-phone inventory business, where bulk purchases from brands enable better procurement economics.

This business contributes around 25-30% of revenue and carries relatively healthier margins than standard branded-phone sales. Strong social-media reach of 1.1 mn followers is used to drive customer footfall and monetise such inventory.

Working Capital

Management indicated that FOFO expansion requires limited incremental working capital as inventory is supplied against franchisee deposits.

For COCO stores, inventory requirement is the key working-capital component; the company typically receives 8-10 days of supplier credit.

Management expects to remain largely debt-free, with no major working-capital funding requirement up to the targeted Gujarat revenue scale.

Geographic Strategy

Gujarat remains the immediate growth market, with management estimating the state's mobile/accessories market at around INR 20,000 mn.

The company currently generates ~INR 250-300 mn of monthly revenue from Gujarat and intends to scale significantly before pursuing a pan-India expansion.

Recent COCO additions include two stores in Ahmedabad, with further expansion planned across Gujarat.

Merritronix Ltd

Outlook: Merritronix is a Tier 2 defence electronics and EMS player moving up the value chain from build-to-print towards higher-margin build-to-spec and full-lifecycle work, with obsolescence management, a chip design consortium and a pending NADCAP certification as the main growth levers. The company maintained its full-year revenue guidance of ~INR 2 bn and is counting on the December NADCAP outcome to lift order sizes in line with what peers have seen.

Business Model

- The company works across three areas, all on customised projects: build-to-print on customer designs, design plus material and prototype delivery, and end-to-end component lifecycle management.
- The lifecycle and design-led work, where it designs from sketch to accepted prototype, carries the larger margin and is the focus area.

Obsolescence Management

- Five semiconductor products have been submitted and are under evaluation, with supplies of three parts already made.
- The business has generated ~INR 100 mn so far, with further inquiries and a likely order position in about four tenders. Each component carries potential of INR 80-120 mn.

Chip Design Consortium

- The company has partnered with two others, Chrysimi and TechNet, to consolidate capabilities and pitch independently to their own customers, with a signed agreement imminent.
- An early requirement is a ruggedised power supply for a ground checkout system, for which a build-to-spec order has been received.
- Chip manufacturing will be done outside India through a route that consolidates requirements and lowers initial costs, and is not a JV. The first chip is still about 2-2.5 months away, after which the first delivery will serve as a showcase case study.

DPSU Orders and Certification

- The company has continuous DPSU orders across LCA, radar identification systems, thermal imaging cameras and seeker electronics assemblies.
- It is pursuing NADCAP to move up the global aerospace tier, having submitted its internal audit report to a consultant, with further audit reports to follow before a formal NADCAP audit invite, and is targeting certification in December.
- The company pointed to peer Vinyas, whose order sizes rose from INR 200-300 mn before NADCAP to single orders of INR 500-800 mn after it, as the kind of uplift it is hoping for.

Financials and Guidance

- H1 revenue was ~INR 1 bn, helped by the execution of orders delayed at the end of the prior year, and the company maintained full-year guidance of ~INR 2 bn.
- Build-to-spec revenue is expected at ~INR 200-250 mn in FY27, roughly 10% of revenue, with RFSoC work accelerating in the last quarter.
- EBITDA margins are ~27-35% for build-to-spec and 16-18% for build-to-print.

Working Capital and Margins

- Trade receivables of INR 370 mn against customer advances of INR 250 mn give unusually low net receivables for a defence business, helped by advances from a major customer, Apollo Micro Systems.
- The company is confident of holding margins despite steel and freight inflation, since products are customised rather than high-volume standard parts, and the global memory shortage has limited impact given small order quantities.
- Order execution typically runs 120-180 days, with import-led component lead times of 25-50 weeks making the business working-capital-intensive, in line with the industry.
- Guidance & View: The company maintained full-year revenue guidance of ~INR 2 bn, with H1 at ~INR 1 bn, build-to-spec revenue of INR 200-250 mn in FY27, and EBITDA margins of 27-35% for build-to-spec versus 16-18% for build-to-print. The December NADCAP certification is the key re-rating trigger, given the order size uplift peer Vinyas saw after certification. Obsolescence management and the chip design consortium add optionality on top of the steady DPSU order flow.

Meta Infotech Ltd

Outlook: The company is transitioning toward a higher-margin, services-led cybersecurity model, supported by new vendor partnerships, rising engineering capacity and international expansion. Management targets $\geq 30\%$ PAT growth over the next three years, with FY27 focused on services mix improvement and margin expansion. Key monitorables include services revenue conversion, margin trajectory, ~INR 2 bn of FY27 order intake, international traction and working-capital discipline.

Business Transition

- Meta Infotech is shifting from a predominantly product-led model toward a services-led cybersecurity business.
- Product revenue contribution is targeted to decline from ~85% historically to ~70% in FY27, with the longer-term objective of reaching a 50:50 product-services mix.
- The company has added six focused cybersecurity vendors over the past 6-8 months, taking its focused vendor base to eight, alongside four other vendors.
- Employee strength has increased from ~250 engineers to ~300, with management targeting 325-350 engineers by FY27-end.

Margin Expansion

- Management expects EBITDA and PAT margins to improve as low-margin product revenue is reduced and higher-margin services scale up.
- Product orders previously accepted at 4-5% margins now have an ~8% minimum margin threshold, while management indicated a broader 8-10% margin focus for the product-led trading business.
- Cybersecurity services generate materially higher margins, with management indicating ~50% gross margin on services.
- Management expects PAT growth of at least 30% YoY over the next three years, describing 30% growth as a worst-case scenario.

Services Scaling

- Services revenue was broadly flat YoY despite the addition of vendors and senior resources, reflecting the gestation period required to build new vendor relationships.
- Management indicated that new vendor sign-ups typically require 6-12 months to translate into sustainable revenue, given the complexity of enterprise cybersecurity deployments.
- The services-led mix is expected to increase partly through a reduction in product revenue and partly through higher engineering capacity.
- The company is targeting a services order book of ~INR 800 mn over the next three years.

Order Visibility

- Management indicated a current order book of ~INR 2.5 bn, excluding a previously highlighted INR 1+ bn component.
- The company is targeting ~INR 2 bn of orders for FY27, with the order mix expected to move toward a more balanced product-services composition.
- Growth is expected to be increasingly driven by services, supported by new vendor partnerships, higher engineering capacity and geographic expansion.

AI Security

- Meta has started evaluating AI-security offerings and is currently training its teams on solutions launched by select vendors.
- AI security is expected to contribute less than 5% of revenue in the current year, reflecting the early stage of adoption.
- Management noted that enterprise customers, particularly banks, remain cautious about deploying AI agents, while cybersecurity spending continues to rise due to increasing threat levels.
- AI security remains a medium-term opportunity rather than a material near-term revenue contributor.

Customer Concentration

- The company is reducing dependence on product trading with ICICI Bank, while continuing to maintain a sizeable services presence across the ICICI group.
- Meta currently has ~80-85 engineers deployed across the ICICI group, with the services relationship continuing despite the reduction in product business.
- The company has also diversified its vendor base from two focused vendors historically to eight focused vendors, reducing dependence on any single OEM.
- Management stated that most customers have relationships of 8-10+ years, supporting customer retention and recurring services opportunities.

Vendor Diversification

- The previous Imperva disruption highlighted the risk of vendor consolidation, following its acquisition by Thales and subsequent changes in the vendor ecosystem.
- Management indicated that Meta has since diversified across ~12 vendors, comprising eight focused and four non-focused vendors.
- The company is also entering partnerships with large system integrators that lack sufficient in-house cybersecurity services capabilities.
- Management expects these partnerships to expand Meta's reach across both Indian and international customers.

International Expansion

- Dubai is currently the most developed international market, with six contracts signed and another 4-5 contracts expected over the next six months.
- Management is targeting ~12 Dubai contracts, with international services carrying significantly higher pricing than comparable India-based engagements.
- The US is emerging as a key expansion market, with Meta partnering with a ~USD 2 bn system integrator to support its global customers on cybersecurity.
- Europe is expected to become a focus area, while Australia remains at an early stage. Management expects international operations outside Dubai to start contributing more meaningfully from FY28.

Competitive Position

- Meta's positioning is centred on specialised cybersecurity services rather than competing directly with large IT services companies across the broader technology stack.
- Management highlighted its 15+ years of cybersecurity experience and domain expertise in BFSI as key differentiators.
- The company focuses on large enterprise deployments, particularly customers with 50,000+ employees, where cybersecurity implementation and ongoing infrastructure management require specialised engineering capabilities.
- Meta is also exploring partnerships with cybersecurity distributors, where it would provide technical services and ongoing infrastructure support to their partner ecosystem.

Receivables Discipline

- Management stated that the working-capital issue that caused the earlier spike in receivables and borrowings has been addressed.
- The company indicated that payment-related controls have been strengthened and expects the earlier situation not to recur.
- Improvement in working-capital discipline remains an important monitorable as the company scales its services and order book.

International Structure

- The Dubai and Australia entities were established before the current expansion phase and are currently being used to build international services operations.
- Management intends to merge these entities with Meta once they achieve approximately USD 1 mn of services revenue.
- Dubai is expected to reach this threshold potentially in FY28, while Australia remains at an earlier stage.

MMP Industries Ltd

MMP Industries has built a diversified aluminium portfolio across aluminium powders, electrical conductors/cables and aluminium foil, with the group increasingly focused on higher-growth electrical applications. The company generated revenue of ~INR 8.5 bn in the previous year, including ~INR 4.5 bn from the core powder business, which management expects to grow at a minimum of 8% annually, with margins of ~11-12%. Management's medium-term growth strategy is increasingly dependent on newer electrical businesses rather than the mature powder and foil segments.

Electrical Segment to Become the Key Growth Engine

- The company is expanding aggressively across the electrical value chain through LT cables, aluminium wire rod, conductors and composite silicon insulators. MMP Cables has established 18,000 TPA wire-rod capacity, with the majority expected to be consumed internally, while LT cable capacity is being expanded from the existing 100 TPA to 600 TPA, including a new 500 TPA facility expected to commence production in H2FY27. LT cable revenue is expected at around INR 150-180 mn in the current year, with management indicating potential to reach approximately INR 500 mn next year.

New Businesses Provide Significant Medium-Term Revenue Upside

- MMP Electricals is developing composite silicon insulators, with product approvals and customer audits at an advanced stage. The company is also evaluating further downstream opportunities such as aluminium forging, although these remain at an early stage. Management indicated that the major growth over the next three years is expected from insulators, cables, wire rod and conductors, while the mature foil business is already operating at relatively high utilisation and is unlikely to be the primary growth driver.

Capacity Utilisation Provides Operating Leverage

- Current utilisation remains relatively high in the established businesses, with the powder division at ~80-85% and foil at ~75%, while the conductor division is operating at around 45-50% utilisation, leaving room for volume growth without proportionate near-term capacity additions. The powder business is also shifting towards AAC powder, which management identified as the fastest-growing and more margin-accretive part of the portfolio, supported by rising exports and a record export order book across multiple geographies.

Integrated Manufacturing & Downstream Expansion to Improve Economics

- The company is increasing vertical integration by manufacturing aluminium wire rod internally for its conductor business, while the larger LT cable capacity is being developed under MMP Cables. The use of recycled aluminium is expected to be particularly relevant for wire rod, unlike powder applications where purity requirements favour primary aluminium. With electrical demand supported by renewable energy, EVs and broader infrastructure spending, management expects the newer businesses to materially increase the contribution of higher-value products and drive the group's medium-term revenue expansion.

Mobavenue AI Tech Ltd

Outlook: The company is focused on scaling its AI-native, outcome-led advertising platform across India, emerging markets and developed markets. Management expects growth to be driven by organic expansion, increasing cross-sell across its full-funnel platform, premiumisation into CTV/streaming/Apple/digital OOH, AI-native product development and selective M&A. The company is targeting a 30% growth framework with ~20% EBITDA margins, while international expansion and proprietary technology remain key strategic priorities.

AI-Native Ad-Tech Platform

- Mobavenue positions itself as an AI-native advertising and consumer growth platform, helping brands identify the right customers, reach them and drive measurable business outcomes.
- The platform is built around three pillars: Intelligence, Intent and Impact, with a focus on outcomes rather than impressions or clicks.
- The company was established in 2017 and listed on the BSE in 2025; it currently serves 155 brands across 12 countries with 200+ employees.
- Its seven proprietary platforms collectively reach 2.6 bn devices and process ~1.3 bn consumer signals per day.
- The company raised ~INR 500 mn in February 2026 to fund global expansion, technology investments and potential inorganic opportunities.

Large Open Digital Opportunity

- Mobavenue targets the fragmented digital advertising ecosystem outside major walled gardens such as Meta and Google.
- The company aims to unify apps, websites, gaming, CTV/OTT, OEMs and digital OOH through a single AI-driven platform.
- Management highlighted India's digital advertising market at ~INR 1,370 bn, with digital advertising growing at ~19% CAGR.
- The platform seeks to address fragmentation, limited transparency, inefficient targeting and inventory bias in the open digital ecosystem.

Full-Funnel A3 Framework

- Mobavenue's platform covers the complete customer journey across Awareness, Acquisition and Activation.
- **Awareness:** PRIZMX and DiscoverX target audiences across CTV, mobile, OTT, websites and digital billboards.
- **Acquisition:** SearchX, PiX, OrbitX and AmplifyX focus on customer acquisition across search, social, mobile and partner-led channels.
- **Activation:** ResearchX and PiX support remarketing, retargeting and retention.
- Management sees significant cross-sell and upsell potential by expanding existing clients across the three stages.

Outcome-Based Business Model

- Mobavenue follows an "Outcomes as a Service" model, where clients pay based on predefined and verified outcomes such as installs, registrations, leads, add-to-cart and purchases.
- The company does not charge traditional software licence fees; technology is embedded within the outcome-based pricing model.
- 97% of revenue comes from the outcome-led model, while 73.9% of FY26 revenue was generated from direct clients.
- Management believes the model provides alignment between customer spending and measurable business outcomes.

Proprietary Neural Engine

- The platform handles around 40-50 bn ad opportunities per day and processes ~1.3 bn signals per day globally.
- Response time is stated at <15 milliseconds, with models and data retrained hourly using ~50 TB of data.
- The Neural Engine combines neural networks, statistical models and machine learning to identify consumer behaviour, intent and appropriate advertising opportunities.
- AI-led workflows have reduced campaign launch time to <5 minutes, according to management.
- Technology is fully proprietary and built internally without third-party white-label solutions.

Asset-Light Technology Model

- Mobavenue does not own media inventory or provide minimum guarantees to media owners.
- Inventory is purchased in real time based on expected outcomes, making the model asset-light and inventory agnostic.
- Management highlighted that the platform prioritises expected customer outcomes rather than specific media inventory.
- The company is also developing AI-native workflows and agentic AI across its modular platform.

Strong Growth in Q1FY27

- Q1FY27 outcome volumes increased 57.3% YoY to 14.16 Mn, while revenue per outcome increased 11% YoY to INR 49.94.
- Outcome-based revenue increased 74.6% YoY to INR 707 Mn, driven by both higher volumes and revenue per outcome.
- FY26 revenue stood at INR 2,185 Mn, EBITDA at INR 454 Mn and PAT at INR 293 Mn.
- FY26 EBITDA margin stood at 20.8%, while PAT margin was 13.4%.
- Q1FY27 revenue increased 56.9% YoY to INR 728 Mn, EBITDA grew 77% YoY to INR 154 Mn, and PAT increased 95% YoY to INR 117 Mn.
- EBITDA margin expanded to 21.2%, while PAT margin reached 16.1%, indicating operating leverage.
- International markets contributed 20.7% of Q1FY27 revenue, across 12 countries.

M&A Pipeline and Expansion

- Management confirmed that M&A is part of its growth strategy, with potential targets already identified, although no transaction has been finalised.
- In India, the focus is on distribution-led acquisitions and additional client relationships.
- Internationally, the company is evaluating technology/platform opportunities, particularly for expansion into the US and other developed markets.
- Management emphasised that growth will remain primarily organic, with M&A acting as an additional growth lever.

30% Growth Framework

- Management stated that the 30% growth benchmark is primarily anchored around organic growth, with potential M&A capabilities providing an additional contribution.
- The company is working towards a "Rule of 50" framework, targeting ~30% growth alongside ~20% EBITDA margins.
- Management indicated that the 30% benchmark has been set conservatively considering global market volatility.

Acquisition Valuation and Funding

- Management stated that acquisitions will be evaluated based on strategic fit, expected financial contribution, revenue synergies and EBITDA potential, rather than a predetermined valuation range.
- The ~INR 500 Mn capital already raised will be used partly for strategic acquisitions.
- Depending on deal size and structure, future acquisitions could be funded through a combination of additional equity and/or debt.

Technology Moat amid Rising Competition

- Management highlighted that shifting towards outcome-based advertising requires significant changes to infrastructure, historical data architecture and modelling capabilities.
- Mobavenue believes its advantage comes from having built its signal-based infrastructure, models and data capabilities natively over several years.
- The platform is inventory-agnostic and uses proprietary neural networks, statistical models and cost/payout frameworks to optimise outcomes profitably.
- Management cited rapid response times, proprietary technology and absence of minimum media commitments as additional differentiators.

Privacy-Compliant Targeting

- Management stated that the platform operates in a privacy-compliant environment and is compliant with GDPR and CCPA, while working towards additional regulatory requirements.
- The company largely avoids PII such as names, phone numbers and email IDs.
- Targeting primarily uses advertising IDs, consented signals and aggregated behavioural data from the open internet ecosystem.
- Management highlighted privacy compliance as an ongoing process as regulatory standards evolve.

Software Revenue Mix

- Management clarified that Mobavenue does not separately charge software licence fees.
- Technology is embedded within its outcome-based advertising model.
- Around 97% of revenue comes from the outcome-led engine, covering its seven platforms across awareness, acquisition and activation.
- Clients can use one or multiple platform modules depending on their requirements.

Modi Naturals Ltd

Outlook: Modi Naturals is targeting FY27 consolidated revenue of INR 9,250-9,650 mn, with EBITDA above INR 1,000 mn and PAT of INR 660-700 mn. The expanded ethanol capacity of 300+ KLPD is now fully operational, and management expects Q2FY27 to reflect an improvement in both revenue and profitability following the plant shutdown in Q1. Management remains confident of achieving its stated FY27 guidance.

Ethanol Expansion with Diversification to Mitigate Volatility

- The expanded ethanol business has an annualised revenue potential of around INR 8,000 mn, based on management's indicated 3.5-4.0x asset turns, although the full benefit is expected to flow through largely from next year. Given the potential for industry oversupply, the company is pursuing permissions for additional products, by-products, value-added and downstream applications, which should provide flexibility in product mix and capacity utilisation.

FMCG Growth Led by Food & Snacking

- The company is increasingly shifting its FMCG growth focus towards food and snacking, while the branded oil business remains an execution-led opportunity. Upcoming launches include ready-to-eat snacks, health and indulgence products, along with further extensions within pasta. Pasta has been performing strongly, with management indicating up to ~24% market share in some leading e-commerce channels, while e-commerce and quick commerce are being used as important platforms for product discovery, testing and subsequent wider rollout.

Profitable FMCG Growth & Distribution Expansion

- FMCG margins are higher and more stable than the B2B oil business, with management following a profitable-growth strategy rather than prioritising topline at the expense of profitability. General trade currently contributes ~45-50% of FMCG sales, while modern trade, e-commerce and quick commerce provide additional growth avenues. The company has a pan-India sales presence and plans deeper penetration in relatively weaker geographies, while new product launches should support growth across existing channels.

Strong Cash Generation Supports Growth & Capital Allocation

- Modi Naturals generated over INR 600 mn of operating cash flow in the previous year, with management expecting cash generation to increase following the ethanol expansion. Long-term debt was around INR 1,500 mn last year and is expected to decline following repayments, while working capital remains comfortable. The company intends to use ethanol-generated cash flows to support FMCG expansion, including selective acquisitions in food, while also remaining prepared to pursue further ethanol capacity expansion opportunistically.

Modis Navnirman Ltd

Outlook: The FY27 launch pipeline carries a GDV of more than INR 8,000 mn across four projects. Management expects margins to stabilise and improve in Q3/Q4FY27 after a temporary contraction in Q1. Rashmi Square and Rashmi Signature are both due for delivery in FY27, and realisations are expected to rise as projects near completion and the company enters premium micro-markets.

- **FY26 Performance:** FY26 was the company's peak year to date. Revenue grew 84% YoY to INR 1,893 mn, EBITDA rose 35% to INR 385 mn and PAT increased 26% to INR 292 mn, with EPS of INR 14.89. H1FY26 profit alone matched the whole of FY25 profit.
- **Q1FY27 Performance:** Revenue rose 29.5% YoY to INR 582.6 mn from INR 450 mn. EBITDA was INR 116.5 mn and PAT INR 85.4 mn, a PAT margin of 14.7%. Operating margin eased to 19.8% from 22.3% in Q4FY26. Geopolitical disruptions pushed up raw material costs on the advanced-stage Rashmi Square and Rashmi Signature projects.
- **Portfolio Overview:** The company has 25 premium residential projects with a total footprint of about 3.0 mn sq ft across Mumbai. Of these, 14 are completed (0.75 mn sq ft), 6 are under construction (1.20 mn sq ft) and 5 are in the upcoming pipeline (1.05-1.10 mn sq ft).
- **Sales Momentum:** Q1FY27 sales were ~44,000-45,000 sq ft, led mainly by Rashmi Square.
- **Project Execution:** Each ongoing project is at a different stage:
 - **Rashmi Square:** Slabs are complete and the project is in finishing stages. It is about 80% sold, with strong interest from NRI buyers, and is due for delivery in FY27.
 - **Rashmi Signature:** Residential slabs are close to completion, with delivery due in FY27.
 - **Rashmi Delight and Rashmi Manorath:** Construction is progressing through RCC slab stages.
 - **Rashmi Icon and Rashmi Avenue:** Both were launched in late FY26 or early FY27 and are currently at plinth level.
- **Launch Pipeline:** The upcoming launches are:
 - Rashmi Paradise in Q3FY27.
 - Rashmi Gold and Rashmi Sheetal in Q4FY27.
 - Neil Kiran on SV Road, Khar/Santa Cruz, in Q4FY27 or Q1FY28. This project alone adds INR 2,500 mn of GDV.
- **Realisations:** Average realisation was INR 25,000-27,000 per sq ft in FY26. Management targets INR 28,000-30,000 per sq ft for projects close to completion and INR 45,000-50,000 per sq ft in high-end suburbs such as Khar and Santa Cruz.
- **Geographic Expansion:** The company is moving beyond its core western suburbs of Borivali, Kandivali and Malad into higher-value micro-markets, including Santa Cruz, Khar, Vile Parle and Dadar. It has been shortlisted in prime society redevelopment tenders. Over the longer term, management is evaluating township and gated-community projects outside Mumbai.
- **Risks & Mitigation:** Redevelopment timelines depend on society tender processes and government approvals. For example, the Govind Dalvi project in Kandivali East was delayed by a government stay linked to a defence area. Management reduces this risk by choosing societies with clear land titles and minimal litigation. It also keeps a zero-net-debt balance sheet and makes conservative commitments.
- **Long-Term Potential:** Two FY27 deliveries, a pipeline of more than INR 8,000 mn of GDV and the move into premium micro-markets that command INR 45,000-50,000 per sq ft give the company strong revenue visibility. A zero-net-debt balance sheet adds resilience against approval-related delays.

Monarch Surveyors and Engineering Consultants Ltd

Outlook: Monarch is shifting its focus from order acquisition toward execution and billing, supported by a ~INR 7,500 mn order book and ~INR 6,000 mn active bid pipeline. Management expects FY27 growth to improve over the historical 12-15% range, while the Australian acquisition is expected to provide incremental revenue and profitability from FY28. However, revenue conversion remains dependent on project execution, government approvals and milestone-based billing, with a more visible acceleration in top-line growth expected after FY27.

Diversified Infrastructure

- Monarch has evolved from a survey-focused company into a multidisciplinary infrastructure consulting provider with ~34 years of operating experience.
- Key segments include transportation (roads, railways, metros and high-speed rail), buildings & architecture, urban planning, water and energy transmission.
- Service offerings span surveys, detailed project design, geospatial mapping and land acquisition.
- The company completed land acquisition for the 710-km Samruddhi Mahamarg project.

Large Projects

- Current major projects include a Northern Railways project worth INR 1,300 mn and the Rajkot-Dwarka road project worth ~INR 1,000 mn.
- The order book stands at ~INR 7,500 mn, with management increasingly focused on execution and conversion into billing.
- Management indicated that order-book churn has accelerated over the last two years.

Australia Acquisition

- Monarch has completed the 100% acquisition of an Australian company, with the acquired entity having annual billing of ~USD 2.2 mn.
- The acquisition was funded through ~USD 1.8 mn of internal funds.
- Management expects limited contribution during FY27 due to the initial gestation period, with a more meaningful impact on revenue and profitability expected by FY28.
- The company intends to evaluate similar acquisitions across international markets, including Europe.

Financial Profile

- Revenue stood at INR 1,740 mn, while operating profit was INR 510 mn.
- Revenue growth has been around 11-12% YoY over the last two years, with management expecting improved growth in FY27.
- EBITDA margin currently stands at ~30-32%, while EBIT/PAT margins are in the 22-24% range.
- Net worth stood at INR 2,310 mn, with debt-equity at ~0.21x.
- Management highlighted a strong balance sheet and negligible dependence on external working capital.

Order Conversion

- Management clarified that order book, manpower additions and billing do not have a one-to-one correlation.
- Billing depends on project milestones, execution progress and subsequent government approval/acceptance processes.
- Government projects can face delays or temporary holds; however, management indicated that receivables are largely secure given the predominantly government-led business model.
- Management highlighted that it has not faced material bad-debt issues, although collection timelines can extend due to project delays.

Manpower Ramp-Up

- Management stated that newly hired skilled manpower typically takes 6-10 months to contribute meaningfully to billing.
- Billing is milestone-based and requires completion, acceptance and approval by the relevant government department.
- Hence, manpower additions should not be directly compared with near-term revenue growth.

Revenue Outlook

- Management expects revenue growth to be better than historical levels, supported by higher execution and consolidation of the Australian acquisition.
- Management did not provide a specific growth percentage, citing regulatory restrictions around providing commitments that may not subsequently be met.
- The company has shifted its focus from primarily acquiring orders toward execution and billing.
- Management indicated that a more visible acceleration in top-line growth could emerge after FY27.

Growth Strategy

- Management reiterated that execution in government projects involves multiple dependencies, including approvals, manpower, machinery and government-led project timelines.
- The company remains focused on maintaining profitability alongside growth, with an EBITDA margin of ~32%.
- Management indicated that revenue growth should remain around the historical 12-15% range or improve from these levels, while avoiding a specific numerical commitment.

Order Tenure

- DPR and related consulting projects generally have a 12-18 month execution timeline.
- Land acquisition projects typically take 12-24 months, but current government-side restrictions may extend timelines to 30-36 months.
- Management expects a sharper improvement in top-line growth as execution and billing accelerate.

Business Mix

- Monarch primarily operates in B2G, with government projects forming the majority of business.
- B2C contributes ~10% of revenue, largely from builders requiring field-survey services.
- Management stated that the company also addresses B2B opportunities but remains focused on government projects due to relatively low bad-debt risk.

Integrated Offering

- Management highlighted its integrated service model covering DPR, surveys, geospatial/field surveys and land acquisition.
- Unlike specialists focused on individual activities, Monarch provides multiple services under one platform, enabling it to bid for integrated projects.
- Management views this integrated capability as a key differentiator in its target market.

Bid Pipeline

- Management indicated a historical bid-to-order conversion rate of ~30% or more (roughly 3-5 wins out of every 10 bids).
- The company is becoming more selective in bidding and is focusing on projects with stronger profitability rather than pursuing all available opportunities.
- The current active bid pipeline is estimated at ~INR 6,000 mn.
- Management indicated that projects are now being evaluated for their margin potential, with bidding-stage margins targeted at ~40-50% and execution-stage EBITDA generally settling around 30-35%.

Dividend Rationale

- Management stated that the reported cash-flow position was affected by the classification of fixed deposits.
- Around INR 220 mn of fixed deposits was classified under other current assets, while additional deposits were classified across cash equivalents and investments based on maturity.
- Management stated that, excluding these classification-related items, underlying cash generation was positive.
- The company plans to improve disclosure around these classifications in upcoming financial statements.

Security Deposits

- Management explained that security deposits are generally adjusted against running bills over the project period.
- A further 2-5% may be retained as a performance-related amount until project completion.
- Performance guarantees generally do not require an equivalent cash outflow.
- Management expects security deposits to be released after completion, limiting the long-term working-capital impact.

Execution Focus

- Management acknowledged that execution had been slower historically despite strong order inflows.
- The strategic priority has now shifted toward order execution, milestone completion and billing.
- Management expects the combination of the existing order book, selective bidding and the Australian acquisition to support stronger growth going forward.

Moneyboxx Finance Ltd

Moneyboxx is pivoting from a single-product MSME lender to a multi-engine platform with four distinct verticals: secured MSME (LAP), livestock/dairy finance, rooftop solar and digital lending. The past 18 months were difficult, with AUM stagnation, stress driven by MFI guardrails and a large ARC clean-up of the legacy unsecured book. However, the company has used this period to fundamentally reshape its underwriting standards, build partnership-led origination channels (Akshayakalpa, Loom Solar and Bachatt) and secure FLDG/guarantee-backed structures. AUM stands at ~INR 8.3 bn, with 69% secured by mortgage, and GNPA has dropped to 0.73% following the ARC transaction. The next few quarters will be about proving that the new engines can deliver disbursement and AUM growth.

Business Model: Four Growth Engines

- Secured MSME (LAP): The core engine, with ticket sizes of INR 0.8-3 mn (average INR 0.75 mn), a 7-8 year tenor and 22-23% yield. It is a branch-led model, with opex expected at ~8% at scale once AUM doubles from here.
- Livestock/Dairy Finance: INR 16 bn has been disbursed cumulatively. Under a new partnership with Akshayakalpa (India's first certified organic dairy, ~INR 10 bn revenue, backed by BII and Rabo Foundation), Akshayakalpa provides leads and transfers funds for collection, backed by FLDG, with zero sales cost and near-zero collection cost. The average ticket is INR 0.25 mn, with a ~28-month tenor and yield of 26-27% (internal) / 22-23% (partner).
- Rooftop Solar: A partnership with Loom Solar (~INR 10 bn company) is disbursing ~INR 50 mn per month with no sales team, backed by a 10% second-loss guarantee from Shell Foundation; an MOU has also been signed with SIDBI for lending. The average ticket is INR 0.45 mn, with a 4-year tenor, yield of 23%+ and opex of 2-3%. The book has reached INR 100 mn of AUM, and an INR 1 bn term sheet has been received. The segment helps offset weak Q1 seasonality.
- Digital Lending: A partnership with Bachatt (the country's largest small-savings platform, backed by Accel, Info Edge and Lightspeed, with 2.5 mn customers) started in September 2026. The average ticket is INR 50,000, with a 3-12 month tenor and yield of >36% net of credit cost, backed by 5% FLDG.

AUM & Asset Quality

- AUM is ~INR 8.3 bn, down from the peak due to the ARC transaction and a deliberate stop on unsecured re-lending. 69% of the portfolio is secured by mortgage and 5% by FLDG.
- ARC Transaction: INR 1+ bn of legacy stressed assets (secured and unsecured) were sold at a ~50% take rate. Recovery efforts have been aggressive, with 1,600 warrants issued in under three months and 8,000 Section 138 cases filed between October and March.
- GNPA improved from 3.59% (March 2026) to 0.73% (June 2026), largely driven by the ARC sale. Underwriting standards for the new book have been significantly tightened: a 650+ CIBIL score cut-off, no new-to-credit or low-score borrowers, and no secured loans below INR 0.5 mn. Collateralised houses are worth INR 1.5-2+ mn.
- FY26 credit cost was 3.32%, against a medium-term target of <2%; FY27 is realistically expected at 2-3% as some legacy pain lingers.

Disbursement & Partnership Ramp-Up

- Partnership-led disbursements are targeted at INR 400 mn per month through the four partnership channels alone, entering Q3FY27.
- Loom Solar disbursements have already reached ~INR 200 mn in total. The Akshayakalpa and Bachatt partnerships started in September 2026, with encouraging early traction.
- Additional EPC partners are being onboarded for solar (currently 90:10 Loom Solar versus others) to diversify.

Liquidity & Capital

- Liquidity remains strong, and CRAR is adequate. The company recently raised funds through an NCD issue, and further fundraising is planned.
- The company has raised funds continuously over seven years and expects no challenges on the capital front.

Guidance

- No specific revenue/AUM guidance was given. The company expects disbursements to pick up very significantly in the coming months, driven by the four partnership engines.
- Credit cost is targeted at <2% over the medium term (FY27 could be 2-3%), and no further major ARC-type pain is expected.

Motilal Oswal Financial Services Ltd**Asset Management (AMC)**

- AUM has crossed INR 2,000 bn. The business is equity-focused, with flow market share improving sequentially.
- Six active schemes have completed three years, and 10 more funds will do so within the next 15 months, nearly all ranked #1 in their categories. The small cap fund completes three years in December, and a significant uptick in flows is already visible.
- Industry category coverage is at 87%, with further expansion planned through new launches (active and passive).
- Yield profile: 58-59 bps on AUM, translating into a PAT yield of ~35 bps. Embedded growth (closing AUM versus last year's average) is already ~30%.
- AIF/PMS (Cat III and PMS) is now seeing positive net flows after a muted period.

Alternates (Private Markets)

- Alternates AUM has doubled YoY after raising a USD 1 bn fund (10-year life). PAT is expected to nearly double from ~INR 2.2 bn to INR 4+ bn this year.
- All products are delivering IRRs of >20% versus hurdle rates of 10-12%, supporting strong carry revenue accruals.
- Private Credit Fund: The first fund has raised INR 25 bn of commitments and will close at INR 30 bn in Q3. A Commercial Credit Fund (~INR 20 bn) is planned for launch in Q3, and a real assets line for next financial year.

Private Wealth

- The RM count has doubled to 400+, and the average ticket size is now INR 250 mn, with a UHNI platform built over the last three years.
- ARR is growing at a 35-40% CAGR, driven by a deeper product basket (co-investments, private debt, advisory-driven products and offshore advisory).
- Key hires include a Head of HNI from ICICI Securities (25-year tenure), Akash Ariani from Kotak Private Banking for the family office, and Sandipan as CIO from Credit Suisse.
- Lending book (NBFC) for private wealth clients now at INR 40 bn+, supporting bridge/leverage finance needs.
- Significant co-investment deals include Inox Clean Energy (~INR 15 bn transaction) and JBM Ecolife, where the fund writes INR 3 bn and family office clients subscribe the rest.

Retail Wealth & Broking

- Distribution AUM is ~INR 500 bn, growing at a 40-45% CAGR, with a cross-sell ratio of 18%.
- The MTF book has crossed INR 110 bn (gross), with a spread of ~550 bps (lending at 13.5%, cost of funds at 8%) and a net interest-earning book of ~INR 90 bn.
- Cash and derivative market shares have grown this year. F&O is only 40% of brokerage revenue (lower than for the industry), making the business relatively insulated from regulatory headwinds.
- Retail brokerage is just 15-16% of group revenue, with F&O at ~5-6% of the group. Two-thirds of costs are variable (channel partner model with 98%+ PIN code coverage).

Capital Markets & Institutional Business

- Investment banking ranks #2 in the QIP and IPO league table, and the team has expanded from 20 to 70+. An M&A line is being built, and the revenue pipeline from promoter blocks and primary issuances is healthy.
- Institutional equities: Coverage of 400 stocks (the highest in the industry), targeting 500; the company considers its research capability the best in the industry.
- A custody licence has been obtained (the first non-bank player in ~15 years), completing the full institutional suite.

Home Finance & Treasury

- Home finance AUM is growing at a 25-30% CAGR and profits at a 20-25% CAGR. Cost of funds is 7.9%, and the rating has been upgraded to CRISIL AA+ (one notch below AAA).
- The company may look to monetise the home finance business at an appropriate scale. It is the only non-synergistic segment.
- The treasury book is 95% equity, with 85% in own group products (60% AMC, 25% alternate PE funds and 15% direct equities) and no foreign exposure. It has delivered an IRR of ~19%, ~350 bps of alpha over the index.
- Net worth has grown at a 28% CAGR over 5-6 years, and the stock has delivered a 38% CAGR over six years (16-17% alpha over the Nifty 500).

Guidance

- Base-case guidance is for 20%+ YoY operating profit growth, supported by the annuity nature of asset- and wealth-led revenues; no explicit revenue/PAT figure was guided.
- AMC embedded growth of 30%, a doubling of alternates PAT, private wealth ARR growth of 40% and a strong investment banking pipeline form the growth pillars for FY27.

M-Safe Equipments Ltd

Outlook: M-Safe Equipments is pursuing an integrated manufacturing, sales and rental model for aluminium and steel scaffolding, supported by a pan-India warehouse network. The company is focused on scaling capacity, gaining market share in the fragmented scaffolding industry and entering the aluminium formwork segment. It has reiterated revenue growth guidance of 50-70% and PAT growth of 40-50% for the current year and the next 1-2 years, supported by capacity expansion and new product additions.

Business Model & Rental

The company manufactures, sells and rents aluminium and steel scaffolding, with rental contributing ~46% of total revenue and sales contributing a similar proportion. Aluminium scaffolding generates a rental yield of ~60-66% with an economic life of 5-6 years, while steel scaffolding generates ~32-38% yield with a 15-20 year economic life. Rental and sales are expected to remain broadly at a 50:50 mix. Around 95-98% of products are standardised, allowing redeployment across projects.

Capacity Expansion

Aluminium scaffolding and ladder capacity is being expanded from 1.5 mn kg to 2.5 mn kg, with the new facility expected to be ready by May 2027. Steel scaffolding capacity has increased from 3 mn kg at the time of IPO to 6.285 mn kg and is planned to reach 9 mn kg. The company believes the planned capacity provides sufficient room for growth over the next 2-3 years.

Aluminium Formwork

The company is entering the aluminium formwork segment, with production expected to commence in October 2026. The initial facility has a capacity of ~500 tonnes per month, while substantially higher capacity is planned at the upcoming owned facility. The company intends to introduce a rental model in a segment that is currently predominantly sale-based. Customer overlap with the existing scaffolding business is expected to support cross-selling, although revenue contribution in FY27 is likely to remain limited due to a 4-6 month order execution cycle.

Revenue Mix & Growth

FY26 revenue stood at ~INR 1,040 mn, including ~INR 800 mn from aluminium scaffolding and ~INR 140 mn from steel scaffolding. For FY27, the company expects aluminium scaffolding revenue to reach ~INR 1,100 mn and steel scaffolding revenue to increase to ~INR 400 mn, while formwork contribution is expected to remain small initially. The company has historically delivered ~51% revenue CAGR since inception and reiterated 50-70% revenue growth guidance.

Market Share & Competitive Positioning

The aluminium scaffolding market was estimated at ~INR 13,000 mn in 2024 and is expected by the company to reach ~INR 24,000 mn by 2030. M-Safe's market share has increased from ~4% in 2024 to ~5-6% currently, with a target of 10-15% by 2030. The company operates 21 warehouses across India and serves ~2,500 customers, providing a pan-India solution to contractors. Management highlighted the fragmented and largely unorganised nature of the market as an opportunity for organised players.

Distribution & Customer Base

The company operates 21 company-owned warehouses across India and adds ~3-4 warehouses annually to improve serviceability and logistics economics. Around 50% of contractors are estimated to operate across multiple locations, making M-Safe's pan-India presence an important advantage. Major customers/potential customers include large infrastructure and construction companies such as Reliance, L&T, KEC, Ahluwalia and Tata Projects.

Margins & Operating Leverage

The company indicated current PAT margins of ~23%, while steel scaffolding carries a lower margin of ~5% and aluminium formwork is expected to generate ~10% PAT margins. With increasing contribution from lower-margin steel scaffolding and formwork, PAT growth is expected to trail revenue growth. The company expects PAT growth of 40-50% versus revenue growth of 50-70%. Management also highlighted operating leverage as incremental capacity is added.

Capex & Debt

The company expects to incur additional debt during the current year as IPO proceeds are insufficient to fully fund land and machinery requirements. Continuous investment in scaffolding inventory is also required to support growth, with the company planning to add ~INR 30-40 mn of steel scaffolding capacity/inventory every month. Incremental capital requirements are expected to be funded primarily through debt in the near term.

Growth Drivers

Growth is expected to be driven by market-share gains in aluminium scaffolding, rapid scaling of steel scaffolding, entry into aluminium formwork, expansion of the warehouse network and increasing penetration among multi-location contractors. Rising infrastructure activity across data centres, semiconductor plants, airports, bullet train stations and other construction projects provides additional demand opportunities.

Muthoot Microfin Ltd

Outlook: For FY27, management targets disbursements of INR 120,000 mn and portfolio growth of 18-20% YoY. It guides average ROA of 3.0-3.3%, with exit ROA above 3.5%, and expects NIMs to expand by 30-40 bps on lower cost of funds. The long-term AUM target is INR 300,000 mn, against current AUM of INR 145,000 mn.

Operating Performance: Quarterly disbursements rose 49% YoY to INR 26,440 mn, keeping the company on track for its full-year target. It serves 3.2 mn active borrowers, all of them women, through 670 branches across 20 states/UTs.

Portfolio Diversification: The mix has shifted from 97% JLG 18 months ago to 77% JLG and 23% non-JLG today. The near-term target is 70:30, moving to 55:45 over three years. The individual unsecured portfolio of INR 35,000 mn is built on high-CIBIL (>700) customers, with 30+ DPD at just 0.2%.

Secured Lending Growth: Micro-LAP AUM stands at INR 700 mn, with monthly disbursements of INR 150 mn at 18-22% yields. Gold loan disbursements exceed INR 1,000 mn per month through a 60:40 co-lending partnership with Muthoot Fincorp. Management sees untapped gold loan potential of INR 110,000 mn within the existing borrower base.

Asset Quality: Collection efficiency has normalised to about 98%, and current-bucket (X-bucket) efficiency is 99.8-99.9%. GNPA fell from 4.85% to 3.7%, with NNPA at 1.05%. Credit cost has come down from a peak of 9.5% in FY25 to 3.5% in FY26 and 2.6% in Q1FY27.

Margins & Funding: CRISIL upgraded the credit rating to A- (Stable) in Q1, alongside a top ESG score. This is expected to deliver a further 25-40 bps benefit in cost of funds, on top of the guided 30-40 bps NIM expansion in FY27.

Capital & Liquidity: CRAR is 23.99%, entirely Tier-1 with no Tier-2 debt, and balance-sheet leverage is 3.3x. The company holds INR 10,000 mn of free liquid cash and INR 40,000-50,000 mn of undrawn sanctioned lines from banking partners.

Risk Management: Natural calamity insurance covers 91% of borrowers, at an annual premium of INR 180 for INR 0.1 mn of cover. The new-customer rejection rate is 50-55%, reflecting tight underwriting. Insurance fee income was INR 790-800 mn in FY26.

Promoter & Governance: The company is part of the 138+ year-old Muthoot Pappachan Group, which earns about 95% of its revenue from financial services. Promoters hold 55%, and C-suite members have an average tenure of more than 10 years.

Long-Term Potential: A falling credit cost trajectory, a steady shift toward secured and individual lending, and funding benefits from the rating upgrade together support an improving ROA profile. The INR 110,000 mn gold loan opportunity within the existing customer base and the path to INR 300,000 mn AUM give the company a long runway for growth.

My Mudra Fincorp Ltd

Overview: My Mudra is positioning itself as a capital-light, phygital corporate DSA platform, with the strategy centred on expanding its distribution network, increasing in-house sourcing and diversifying into adjacent financial products. Management remains focused on building a broader customer ecosystem and increasing revenue per customer, while continuing to operate without taking direct lending/credit risk.

Branch expansion remains a key growth lever: The company is adding branches across Tier-2/3 and emerging markets, where rentals and employee costs are relatively lower. Management believes this can gradually improve branch-level profitability.

Franchise network continues to scale: New franchisees are being added regularly, with a focus on experienced ex-bankers and financial professionals. The company intends to train and nurture these partners to build a wider distribution ecosystem.

Greater focus on owned distribution: Management is working towards increasing the proportion of in-house branches, employees and call centres, which should provide better control over customer acquisition and economics.

Reducing sub-DSA dependence: Historically, a large portion of commissions was shared with sub-DSAs. The longer-term objective is to internalise more sourcing, potentially improving the economics of the business.

Gold loans are a near-term addition: Management is preparing to launch gold loan distribution, with an ambition to leverage its existing network and eventually build a pan-India presence.

Mutual funds as a recurring product: The company sees mutual fund distribution as an important long-term, recurring revenue opportunity, initially targeting its existing customer base and subsequently new customers.

Cross-selling is becoming more important: Management highlighted the ability to offer credit cards, insurance and other products to the same customer, increasing the revenue generated per relationship rather than relying only on new customer acquisition.

MSME finance is a strategic opportunity: The partnership with UGRO Financial for solar/green MSME financing is being used as an entry point into the broader MSME segment. Management intends to expand gradually into other sectors rather than pursuing aggressive diversification.

Focus on underserved markets: Management sees considerable opportunity outside major metros, where credit awareness and formal financial penetration remain relatively low. The company believes its physical presence can help bridge this gap.

Phygital model remains central: While technology is important for efficiency and customer reach, management does not see a purely digital model as sufficient. It believes physical distribution combined with technology will be the more effective model for Bharat.

No direct credit risk: My Mudra continues to operate as an intermediary between customers and lenders. Banks/NBFCs take the lending and default risk, allowing My Mudra to remain relatively asset-light.

Strong lender ecosystem: The company works with a broad base of banks and NBFCs, allowing it to match customers with different lenders/products depending on their requirements and credit profile.

Approval rates vary by geography: Management noted that approval rates are better in more financially aware/tech-savvy markets, while emerging markets face challenges around credit awareness and understanding of CIBIL/credit behaviour.

Long-term industry opportunity remains favourable: Management is structurally bullish on India's credit penetration, supported by urbanisation, entrepreneurship, housing demand, rising financialisation and increasing use of formal credit.

Overall takeaway: The key theme is "build the distribution first, then monetise the customer through multiple products." Branch/franchise expansion, higher in-house sourcing and cross-selling could be the main drivers of the company's next phase of growth.

Namo E-Waste Management Ltd

Outlook: Namco E-Waste Management has set ambitious guidance to scale consolidated revenue to INR 3.5-4 bn in FY27, driven by INR 2-2.5 bn from e-waste (at 60-70% utilisation) and up to INR 2 bn from battery recycling (at ~80% utilisation), with blended EBITDA margins targeted at 17-20%. Over the next 18-24 months (by FY28), management aims for roughly 100% YoY growth to reach INR 8-9 bn of consolidated revenue and INR 400-450 mn of PAT. On reaching this scale, the company plans to migrate from the SME platform to the NSE main board within ~18-24 months.

Hyderabad Facility Expansion

- The new 25,000 MT/year plant in Telangana gives direct access to South India's ecosystem (which generates ~22% of India's e-waste). The facility is currently carrying out volume reduction while awaiting final state pollution board approval, significantly optimising reverse logistics costs.

Battery Recycling Ramp-Up

- The lithium-ion battery plant in NASC is targeting 80% capacity utilisation (~10,000 tonnes) in FY27. Operating at gross margins of 18-25%, the 12,000 MT capacity can be doubled in the future by introducing a second shift.

Hydrometallurgy Plant & Critical Mineral Recovery

- Namco is transitioning from selling black mass to refining it in-house for high-value critical metals (lithium, cobalt, nickel and manganese). A 1 tonne/day (TPD) pilot plant starts in Q4FY26 (projected to add INR 500-600 mn top-line), leading to a 5 TPD commercial plant requiring ~INR 1 bn capex (funded primarily via debt) over 18-24 months. The hydrometallurgy plant commands superior gross margins of 25-30% with a potential revenue upside of INR 5-10 bn.

Financial Performance and Operational Highlights

- In FY26, total income grew 29% YoY to INR 1,951.3 mn (from INR 1,511.8 mn in FY25), EBITDA rose 56% to INR 231 mn (margin of 11.87%) and PAT grew 70% to INR 143.5 mn (PAT margin of 7.35%). EPS rose to INR 6.28 (from INR 3.70), net worth increased to INR 1.03 bn, and operating cash flow was a positive INR 51.8 mn.
- Operationally, Namco manages 82,000 MT/year in total installed capacity (70,000 MT e-waste, 12,000 MT battery) across 4 recycling plants and over 26 collection centres. The company maintains a disciplined operational model where 80% of raw material procurement comes directly from OEMs and manufacturers, operating with zero creditors and a working capital conversion cycle of 60-75 days. Revenue currently comes from recycling (~60-70%), IT refurbishment (~20%) and EPR compliance credits (~15%), with battery recycling expected to scale to 30-50% of total revenue share going forward.

Nanta Tech Ltd

Outlook: Nanta is targeting $\geq 30\%$ FY27 revenue growth, with robotics & AI expected to grow $\sim 50\%$ and drive a favourable revenue mix. Near-term execution will be led by hospitality, while warehousing and defence could become larger contributors over the next 1-2 years. Key monitorables include POC-to-commercial conversion, conversion of the 15+ existing POC customers, order-book additions, 700-robot implementation target, progress on in-house assembly, R&D intensity and AMC-led recurring revenue.

Robotics Adoption Gradually Scaling

Customer adoption typically begins with 1-2 robots through a POC, followed by larger deployments after 3-6 months of evaluation.

The company is primarily targeting upper-level MSMEs, where labour availability and efficiency issues provide a clear ROI case for automation.

Large-scale deployments are still developing in India, while international customers are adopting robotics at a faster pace.

Cleaning robots currently see the strongest traction, particularly across manufacturing, pharma, airports and hospitality.

Hospitality and warehousing are emerging as key growth verticals, with defence also expected to become meaningful over the medium term.

POC Conversion Remains Strong

The company conducts paid POCs, which helps filter customers with genuine implementation intent.

Management indicated an $\sim 85\%$ POC-to-order conversion rate.

Three Indian customers have already moved into large-scale implementation.

More than 15 customers have completed POCs and deployed initial robots, and are currently evaluating feasibility and ROI.

Management expects potential conversion from these customers into larger orders by end-FY27 or early FY28.

Domestic Manufacturing Roadmap

Nanta currently relies on external manufacturers, with key robot components such as batteries, chips, actuators and motors largely sourced from China/global suppliers.

Management expects most components other than chips to be locally sourced within the next 2-3 years, while semiconductor localisation could take longer.

The company is exploring Indian suppliers for motors and actuators, particularly for customers requiring Make-in-India content.

A longer-term objective is to develop 100% Make-in-India robots as domestic semiconductor capacity scales up.

Amtron Partnership Strengthens Supply

Nanta has entered into an MOU and large contract with Amtron, including exclusivity for specific robot models.

Amtron will manufacture the specified models exclusively for Nanta under the agreed arrangement.

Management is also evaluating additional opportunities with Amtron to expand the partnership.

R&D Focused on Physical AI

R&D is primarily focused on physical AI and hardware models, including customer-specific co-development and Nanta's own products.

The company currently has three dedicated employees working on physical AI R&D.

Software-related R&D is supported by Nanta's broader software capabilities.

Increasing engagement with global customers could result in higher-than-initially planned R&D spending through TRN India.

Elderly Care Still Early in India

Elderly-care robotics is more commercially developed in overseas markets, while adoption in India remains at an early stage due to the relatively higher cost of robots versus human caregivers.

Potential applications include companionship, surveillance, security and routine assistance for elderly individuals.

Management sees future potential through home healthcare providers integrating robotics with human-led services.

International markets, including the US and Dubai, are already seeing more tangible elderly-care opportunities.

Order Book and Execution

The order book stood at $\sim$ INR 450 mn as of March, with around INR 300-350 mn of orders already publicly disclosed, largely related to robotics and AI.

Management expects to disclose the updated order book by H1FY27-end.

Large robotic deployments currently take ~ 75 days (2.5 months) from receipt of payment to implementation.

Standard orders can generally be executed within ~ 3 months, while highly customised/R&D-intensive projects can take 5-6 months.

Differentiation through Integration

Nanta's proposition is not limited to supplying robots; its key capability lies in robot design, software/AI integration and customer-specific implementation.

Robots are integrated with existing HRMS, VMS, ERP, SAP, attendance and billing systems to generate measurable business ROI.

Management highlighted that this integration capability differentiates Nanta from players focused primarily on trading/importing robots.

The company does not manufacture the robots currently but provides detailed specifications to manufacturing partners and controls the design and integration layer.

FY27 Growth Guidance

Management expects overall revenue growth of at least 30% YoY in FY27.

Within the mix, robotics & AI revenue is expected to grow ~50%, while the AV business is expected to grow around 15%.

The higher robotics contribution is expected to improve PAT margin by around 50-100 bps due to favourable product mix.

Not all of the existing order book will be recognised in FY27, as several large projects involve phased implementation and monthly billing, resulting in some revenue spillover into FY28.

Hospitality Leads Near-Term Growth

Hospitality is expected to remain the key growth driver in FY27, supported by both Indian customers and international opportunities.

Outside India, customer decision-making and deployment cycles are faster, with POCs potentially converting into 10, 20 or 50-robot orders.

Warehousing is expected to become a larger contributor, although larger warehouse deployments are expected from FY28 onwards.

Defence is viewed as a medium-term opportunity, with larger deployments potentially emerging over the next 1-2 years.

Competitive Landscape

In India, management identified four key competitors, including Kodi Technolab, Alpha Droid and VIS, excluding the defence segment.

International competition is largely from Chinese robotics companies such as Pudu, Unitree and Keenon.

Management highlighted China's established robotics ecosystem and cost competitiveness as a major competitive factor.

US competition is currently more visible in warehousing, although management expects broader participation from US robotics players over time.

Scaling Robot Deployments

Nanta expects around 700 robots to be implemented at customer sites in FY27, versus approximately 400 in FY26.

Growth is expected to be driven significantly by lower-ticket cleaning robots, which are seeing faster customer adoption.

Management's longer-term product strategy targets around 50 physical-AI SKUs that can be standardised and scaled globally once validated at customer sites.

The company expects this product standardisation and scaling exercise to take approximately 2-3 years.

Assembly to Improve Economics

Nanta plans to establish mid-level assembly capabilities in-house, while continuing to outsource complex manufacturing.

Management indicated that in-house assembly becomes increasingly important as annual deployments potentially scale from 700 units to 10,000-20,000 units.

Cost savings from assembly are expected to be largely passed on to customers through competitive pricing, supporting higher volumes.

AMC revenue from hardware and software, alongside assembly efficiencies, is expected to provide additional support to margins over the medium term.

Neetu Yoshi Ltd

The company is targeting revenue of INR 2 bn in FY27 and INR 3.5 bn in FY28, driven by the ramp-up of its newly commissioned facility, higher utilisation of existing capacities and an expanding railway product portfolio. The company's focus on larger components and complete assemblies, supported by 20-25 products under approval, provides scope for improved scale and product diversification. PAT margins are targeted at around 25%, with a debt-free balance sheet and internal accruals expected to support future expansion. Key monitorables include execution of the revenue guidance, timely product approvals and maintaining quality and working capital discipline during the scale-up.

Revenue Growth & Management Guidance

- The company is targeting revenue of INR 2 bn in FY27, supported by the ramp-up of its new manufacturing facility and higher production at existing facilities.
- Revenue is expected to increase to INR 3.5 bn in FY28, driven by capacity utilisation, new product approvals and an expanding portfolio of railway components.
- Revenue contribution from the new facility is expected to commence meaningfully in H2FY27, alongside a gradual increase in production at the existing facilities. The second half is expected to witness a sharper growth trajectory than H1.
- No material seasonality: Business performance is largely expected to follow a gradual growth trajectory, with April typically witnessing relatively lower activity. H1FY27 has been better than the corresponding period in the previous year.

Capacity Expansion & New Facility

- The recently commissioned facility enables manufacturing of larger components weighing up to 1,000 kg, compared with the earlier facility's capability of handling components weighing up to 100 kg.
- The new facility is expected to generate revenue of around INR 600 mn in the remaining part of FY27, with its full-year revenue potential estimated at approximately INR 2 bn.
- The facility has commenced production and secured sufficient orders to support the targeted ramp-up. Revenue contribution in H2FY27 is expected to reflect approximately 50% utilisation of the facility's capacity.
- The original facility, with revenue capacity of approximately INR 1 bn, is operating at 90-95% efficiency. The additional capacity created through the previous expansion, estimated at INR 500-600 mn, is also being progressively utilised.
- With capacity and orders in place, the key operational priority is to ramp up production while maintaining product quality and delivery schedules.

Margins & Cost Competitiveness

- The company is targeting PAT margins of approximately 25% over the next 2-3 years, supported by cost efficiencies, product mix and a debt-free balance sheet.
- The company expects margins to remain broadly similar as new products are introduced, while indicating a potential margin range of 31-33% for its evolving product portfolio. The timing and product-level applicability of this target were not specified.
- Lower power costs in Uttarakhand, proximity to sand suppliers and access to railway scrap provide cost advantages. The company also benefits from tax incentives available under Section 115BAB.
- Railway tenders include a price variation clause (PVC), allowing changes in prevailing metal prices to be factored into billing. Scrap prices typically fluctuate by INR 3-4 per unit, according to the prevailing market scenario.

Product Approvals & Portfolio Expansion

- The company currently supplies over 70 product lines to the railway sector, including components for wagons, coaches and tracks. Product-specific RDSO, company or grade approvals determine the eligibility to supply.
- Applications have been submitted for approximately 20-25 additional products, primarily larger components that can support the transition from individual components to complete assemblies.
- The company expects to receive approximately 1-3 product approvals every month, supporting progressive portfolio expansion.
- The company is moving beyond smaller components towards manufacturing complete assemblies, including couplers and bogies. Existing capabilities across machining, fabrication and larger-component manufacturing provide the foundation for this transition.
- The pipeline includes locomotive components, track products such as switches and crossings, and new-generation wagon components. Product development is being prioritised based on infrastructure compatibility and commercial potential.

Bogie Manufacturing & Integrated Solutions

- The new facility supports the manufacture of larger components and the assembly of complete bogies, marking an expansion beyond the company's traditional component-focused business.
- The facility could manufacture approximately 500 bogies per week, with an indicative realisation of INR 0.2-0.3 mn per bogie. However, the facility is not exclusively dedicated to bogies and can manufacture multiple products within its capabilities.
- Most metal components are expected to be manufactured in-house, while spring and rubber components will be procured externally. The stated procurement cost for these components is approximately INR 35,000-40,000 per bogie.
- The strategic objective is to combine smaller components, larger fabricated parts and assembly capabilities to supply complete railway systems rather than individual components.

Nelcast Ltd**Business**

- Nelcast is a ferrous foundry making grey and ductile iron castings for CVs, tractors, off-highway, PVs and railways. Castings typically weigh 70-200 kg for both domestic and export markets, with select parts up to 500 kg.
- Management says it has the only moulding line in India for 500 kg castings. Customers include Ashok Leyland and Tata Motors, and some of those castings may end up in defence vehicles, but there is no direct aerospace or defence supply.
- Capacity is ~160,000 TPA, with a practical peak of ~135,000 tonnes at 85% utilisation. Company-level utilisation is ~55%, and the Pedapariya plant is at ~25%.
- Exports were ~30% of Q1 revenue. They go ~85% to the US and ~15% to Europe, and ~70% of US exports are for CVs, with the rest for pickups and SUVs.
- Last year's export slowdown came from North American weakness and tariffs, not loss of customers or share. Management sees global OEMs diversifying sourcing to India.

Guidance

- FY27 volume is expected to exceed 100,000 tonnes (Q1: ~22,500 tonnes), with ~15% volume growth in FY28.
- FY27 EBITDA is guided at ~INR 15 per kg (Q1 was below INR 10 per kg). Management targets ~INR 18 per kg in 3 years once volume reaches ~135,000 tonnes and exports exceed 50% of revenue.
- Peak volume of 135,000 tonnes would mean revenue of ~INR 19,000 mn, targeted within 3 years.
- Export share is expected to rise from ~30% in Q1 to ~35% by FY27-end and above 50% in 3 years, depending on how fast domestic grows.
- Pedapariya utilisation is expected to reach ~40% by Q4FY27. Management says plant profitability becomes very good once utilisation crosses ~35%.
- Management sees good export demand, with no macro headwinds and Q2 tracking to plan.

Margins and EBITDA per Kg

- Current EBITDA is ~INR 10 per kg for domestic and ~INR 20 per kg for exports. The move from INR 15 to INR 18 per kg will come from product mix, better realisations and operating leverage at higher volume.
- Raw material pass-through has a one-quarter lag in both directions. In Q1, raw material costs rose more than INR 5 per kg (the Middle East war was cited), and this was recovered from customers in Q2, so management expects Q2 margins to be good.
- Q2 raw material costs rose only ~INR 1-2 per kg, to be recovered in Q3. The exact price increase varies by customer.
- Forex gains in other income are included in EBITDA per kg because management treats them as operational (timing between invoice and realisation). Management says it can reach INR 18 per kg even if the rupee stays stable, with volume as the key driver.
- Management did not give a fixed vs variable cost split and tracks performance by EBITDA per kg.

New Products

- The large-casting new products have completed sampling and customer approvals. Ramp-up is underway, with bulk production by Q4FY27.
- New products should add ~250-300 tonnes a month at peak, and management expects the peak schedule to be sustained.
- The RFQ process began ~15 months ago and development ~1 year ago. Management says there was no unusual delay, since typical approval cycles are 6 months to 1.5 years depending on complexity.
- When asked about the INR 2,000-2,500 mn of new business, management only reiterated the ~300 tonnes a month addition.
- No capacity capex is needed for the new products because capacity is already available.

Capex and Balance Sheet

- Maintenance capex is ~INR 300-350 mn a year, ranging from ~INR 250 mn to ~INR 400 mn depending on balancing equipment, furnaces or automation. Last year was lower because little balancing equipment was added.
- Debottlenecking Pedapariya from ~160,000 to ~200,000 TPA would need ~INR 600 mn on top of maintenance capex. The maximum on existing lines is ~210,000 TPA, and a new moulding line would bring a step-up beyond that.
- Further capex will be decided once volume crosses ~120,000 tonnes.
- The term loan should be repaid this year, leaving only short-term borrowings. These will rise with turnover (an extra ~INR 1,000 mn was indicated), but management expects them to stay similar as a percentage of revenue despite the longer export cycle.

Competition and Processes

- Management sees limited competition in large and complex castings. Craftsman Automation is mainly in machining and is not a direct competitor.
- Green sand uses sand, water and additives without chemicals and allows faster, higher-volume production. No-bake uses resin binders and suits castings from 300 kg to 3 tonnes, but only ~6-7 castings can be made per cycle.
- Management is not targeting new niche segments.

Other

- US exports fall under Section 232 at a 25% tariff, and management expects no change.
- Only ~5-10% of export receivables are hedged, as the company currently benefits from dollar strength. Hedging is decided based on currency moves.
- Labour shortages in April-May came from election-related migration across the country and are seasonal, lasting 1-2 months a year.
- Management did not give a scrap vs pig iron ratio because it depends on grade and product mix. Scrap cost pressure is industry-wide.
- Management sees no material customer concentration risk after diversifying across products and customers.

NeoChem Bio Solutions Ltd

Outlook: NeoChem Bio Solutions is executing a long-term strategic transformation, moving from a local partnership model and white-label manufacturing to a proprietary, high-margin branded business. With a 48-year heritage, the company is expanding beyond its core textile chemicals into non-textile segments, including home care, personal care, paints and coatings. Management aims to achieve a 5x revenue expansion over five years (~35% CAGR), driven by higher capacity utilisation, deeper export market penetration and an increasing revenue contribution from higher-margin silicone and bio-based ester products.

Corporate History & Business Model Shift

Founded in 1978 in Ahmedabad as a local business, the company scaled from ~INR 3.2 mn of revenue in 2006 to ~INR 130 mn by 2013 under Managing Director Mr Swapnil Lalitbhai Makati. Historically reliant on white-label manufacturing for multinational corporations, NeoChem pivoted in 2021 towards developing its own branded portfolio. As a result, the revenue mix has shifted from 75% white label before 2021 to 75% branded currently, while the non-textile portfolio is 100% branded.

Product Segments & Diversification

The company operates across four core product segments with an aggregate manufacturing capacity of 22,000 MTPA. Silicones and bio-based esters carry higher margin profiles, with bio-based esters utilising plant derivatives like soy and palm sourced competitively from Southeast Asia as base materials for fabric softeners and conditioners. Conversely, polymers and surfactants serve as volume-based, standard-margin products used in textile processing as well as personal care and home care applications. Currently, company revenues are split ~75% in textiles and ~25% in non-textiles, though management targets a balanced ~50:50 revenue split across both verticals within the next 3-4 years.

Financial Performance & Margin Expansion

EBITDA margins expanded to 18-20% in FY26, from historical levels of 7-15% between FY22 and FY25, primarily driven by the structural shift towards branded products and specialty categories. Gross margins across the product blend average ~35-40%, supporting PAT margins of 10-12%. Branding and marketing spend is budgeted at ~3-4% of revenue. On pricing, NeoChem has demonstrated its ability to pass through costs, successfully passing on ~10-12% raw material price increases.

Capacity Utilisation & Debottlenecking Capex

The manufacturing facility operates 11 interchangeable reactors, with current capacity utilisation of ~53%. Historical growth (~35% CAGR) is expected to continue until utilisation reaches its operational ceiling of ~85-87% by FY28-FY29. Incremental debottlenecking involves replacing existing units with larger reactors at a modest cost of ~INR 2.5-3 mn per reactor over 3-4 months. For long-term expansion, NeoChem holds a land parcel 10x larger than its current footprint, where a greenfield expansion estimated at ~INR 300-400 mn will be initiated once current capacities reach peak utilisation.

5x Growth Strategy & Target Revenue Mix

Management expects its multi-year ~5x revenue expansion strategy to be anchored by deliberate segment, product and customer realignments. The segment goal targets a ~50% textile and ~50% non-textile split, while the product mix is projected to shift toward ~50% silicones and bio-based esters alongside ~50% polymers and surfactants. Customer contribution to this incremental revenue expansion is anticipated to come ~60% from new client acquisitions and ~40% from organic volume growth with existing accounts.

Global Operations & Geographic Expansion

Exports currently account for ~5% of sales across 12 international markets, including Australia, Indonesia, Thailand, Canada, Singapore, Vietnam, Egypt, Ukraine and Turkey. The company plans to increase the export contribution to 10% by the end of FY26 and eventually to 15-20% over the long term. Export margins are in line with domestic margins due to competitive dynamics across Southeast Asia.

Working Capital Dynamics

Working capital days temporarily expanded to ~160 days, with receivables reaching ~INR 1,610 mn, driven by strategic raw material buffer stocking using IPO proceeds to mitigate global supply volatility, alongside adherence to MSME payment compliance rules. Management has initiated operational normalisations to optimise cash flows, targeting a reduction in working capital days to 120 days by March 2026 (end of FY26).

Key Growth Drivers & Risks

Primary growth drivers include scaling plant capacity utilisation toward 85%+, expanding non-textile branded penetration, increasing export market wallet share, low-cost reactor debottlenecking, and the eventual development of the 10x land parcel. Key monitorables include the execution pace of reducing working capital days to 120 days, execution timelines and funding structure for the planned ~INR 300-400 mn greenfield capex, input price volatility in bio-based raw materials like palm and soy derivatives, and maintaining margin discipline while expanding into competitive non-textile markets.

Neogen Chemicals Ltd

Neogen Chemicals, a bromine and lithium chemistry specialist (bromine since the 1970s and lithium since 1985), is transitioning into a battery materials player through its subsidiary Neogen Ionics. The base business is at a ~INR 10 bn revenue run-rate across bromine derivatives, advanced intermediates and contract manufacturing, organolithium and inorganic lithium, with FY27 revenue guidance of INR 10.5 bn versus INR 8.5 bn in FY26. Battery capex of ~INR 18 bn is nearing completion and is due to be completed by the end of this year, comprising the Pakhajan greenfield site (30,000 t electrolyte using Mitsubishi technology and 3,000 t electrolyte salt via the 80:20 Neogen Morita JV) and the Dahej site (2,000 t electrolyte, with salt and additive capacity being raised to 2,500 t). Battery revenue is targeted to scale from ~INR 0.35 bn in FY26 to ~INR 3 bn in FY27, over INR 10 bn in FY28 and INR 25-30 bn in FY29, taking consolidated revenue to INR 35-40 bn by FY29. The model is electrolyte for India and electrolyte salts and additives for the world, with Dahej approved by 4 of 5 US electrolyte makers. The key factors to monitor are commissioning of ~60 GWh of Indian cell capacity, offtake from global salt customers, PLI support, debt repayment from QIP proceeds and working capital normalisation.

Business Overview & History

- The company was founded by the MD's father, one of the first in India to make bromine from seawater in the 1970s; the plant near Morbi was destroyed in the Morbi dam failure in the late 1970s, after which he restarted in 1985 with bromine derivatives, the first being lithium bromide, which began the company's lithium journey.
- Growth journey: revenue of ~INR 10 mn by FY91, ~INR 1 bn by 2016, followed by a plant acquisition in Vadodara that took revenue to ~INR 3 bn in 3 years, a greenfield plant at Dahej and an organolithium acquisition in Hyderabad 3 years ago.
- The parent company makes bromine derivatives, specialty bromine derivatives, inorganic (non-battery) lithium compounds, advanced intermediates and contract manufacturing products for pharma, agrochemicals, semiconductors, flavours & fragrances and engineering sectors; Neogen Ionics caters to battery customers in India and internationally.

Base Business

- The base business is expected to cross ~INR 10 bn of revenue this year: bromine derivatives INR 3-4 bn, advanced intermediates and contract manufacturing INR 3-4 bn, organolithium INR 1-1.5 bn and inorganic lithium ~INR 1.5 bn.
- FY27 revenue guidance stands at INR 10.5 bn versus INR 8.5 bn in FY26.
- The earlier capex was premised on agrochemicals, which slowed down; the company pivoted to flavours & fragrances and semiconductors to fill volumes, before a fire at one of its pharma manufacturing blocks at Dahej disrupted operations.
- Post-fire, the plant is expected to restart very soon; the company aims for near-full utilisation this year and full utilisation next year, with a focus on stabilising the business by FY28.

Battery Materials: Capacity & Technology

- R&D on lithium-ion battery materials began in 2017 (focusing on electrolyte); all electrolyte components were made in the lab by 2021, and gigascale electrolyte production started in 2024.
- Dahej (existing): 2,000 t electrolyte capacity, already supplying one of India's gigafactories, plus two smaller units; electrolyte salt capacity of ~200 t until last year is being increased to 2,500 t of salt and additives.
- Pakhajan (greenfield, 65 acres): starting capacity of 30,000 t electrolyte using Mitsubishi technology and 3,000 t electrolyte salt via Neogen Morita New Materials Ltd (NML), a step-down subsidiary and 80:20 JV with Japan's Morita.
- Total capex of ~INR 18 bn for 30,000 t electrolyte and 5,500 t salt (equivalent to ~45 GWh) is to be completed by the end of this year, with full utilisation targeted within the next 2 years.
- Business model: electrolyte, which has a short shelf life, will be sold in India, while electrolyte salt, lithium additives and purified solvents will be sold to international markets.
- The Mitsubishi agreement is non-exclusive, though Neogen is the preferred choice; the Morita JV is the main (exclusive) vehicle for Morita's lithium salt sales.

Battery Revenue Guidance & Unit Economics

- Battery revenue: ~INR 0.35 bn in FY26, targeted at ~INR 3 bn in FY27, over INR 10 bn in FY28 and INR 25-30 bn in FY29; consolidated revenue is targeted at INR 35-40 bn by FY29.
- Realisation assumptions at stable lithium prices: electrolyte at ~USD 8 per kg initially (up to 30,000 t) and USD 6-7 per kg thereafter; salt and additives at USD 20-22 per kg with lithium carbonate at ~USD 20 per kg. If most salt is consumed internally, ~1,000 t would be sold internationally.

- Incremental capex is estimated at ~60-70% of the base investment (~INR 10-11 bn for the next integrated phase), with brownfield expansion possible at the existing site up to ~100 KT.
- If fully utilised by FY29, a brownfield expansion from 30 KT to 60 KT would be required; salt capacity may need to be added as early as next financial year, especially if the battery material PLI comes in.
- Downside scenario: even with zero electrolyte sales in India, selling salt and solvents (the second-highest value component) would take the business to breakeven or better next year and ~INR 13-14 bn or more of revenue by FY29.

Demand Outlook: India & Global

- Six Indian gigafactories are under construction, adding ~60 GWh of cell capacity: Ola has commissioned, Exide has commercialised, Amara Raja has set up its own plant, while Waaree, Reliance and Tata are at advanced installation stages targeting completion before March. Management expects most of the 60 GWh to be installed by March-June 2027.
- Plants typically take 1-2 years to reach full utilisation; at full output, the 60 GWh would need over 60,000 t of electrolyte, so even ~50% utilisation by FY29 would be enough to fully utilise Neogen's 30,000 t plant. Total targeted capacity of these players is ~250-260 GWh, with scale-up expected from FY30.
- India imported ~30 GWh of cells last year, and the Ministry of Heavy Industries expects this to rise to 90 GWh next year; Indian demand is expected to exceed 100 GWh by FY29.
- Indian cell demand is estimated at 600-700 GWh over 10 years, plus 20-25% exports, taking it to ~900 GWh by 2036-37 (China's current level) and implying ~900 KTA of electrolyte demand; a 30-50% share would mean ~270-450 KTA for Neogen.
- Global battery demand of 1,500+ GWh (China 70-80%) is expected to reach 6,000-7,000 GWh in 10 years, with energy storage (ESS) emerging as a key growth driver.
- Neogen has electrolyte recipes for 5 of the 6 gigafactories and will demonstrate them during trial production with Mitsubishi; tech-partner mandates are being addressed through validation clauses in agreements and electrolyte designs that outperform imports.

Global Opportunity: US & Non-China Supply

- The Dahej site has been approved by 4 of the 5 US electrolyte makers, and the fifth is expected to approve once the new packaging facility is online next year, giving access to the entire US market.
- US 45X tax credits require battery makers to source China-free materials; there are only 3-4 non-China electrolyte salt suppliers (Neogen-Morita being one) and only 2 non-China electrolyte additive producers.
- Contracts in place already exceed capacity, and the company expects to keep investing in the battery business over the next 7-8 years.

Policy Support & Competition

- The INR 181 bn ACC PLI is for cell manufacturers; Neogen is an indirect beneficiary as cell makers must meet localisation requirements. Reliance and Ola have qualified, and the government is re-auctioning 10 GWh with a cap of 3-4 GWh per player, so most of the six players should get some benefit.
- A battery material PLI is under consideration, under which Neogen could be a direct beneficiary; the government is considering this instead of customs duty to avoid raising costs for cell makers.
- Electrolyte is difficult to import, with a shelf life of 1-3 months on paper but a practical desired shelf life of only ~14 days; it is also typically a customised recipe for each cell maker.
- Chinese electrolyte prices can be 50-60% of Neogen's at times, sometimes only 10-15% lower and sometimes higher; importing all raw materials and blending locally brings costs close to China, while full localisation implies a ~30-40% delta.
- Leading Chinese electrolyte makers operate at 300-350 KT, so scaling to 50-100 KT will narrow the scale gap.
- One other Indian company has announced plans for cathode, anode, additives, electrolyte and electrolyte salts.

Contracts, Debt & Working Capital

- There are no take-or-pay contracts; electrolyte volumes rely on the need for local supply, while international salt customers have committed to buy at least 40% of volumes directly or indirectly, implying 70-80% salt utilisation and INR 7-8 bn of revenue, which underpins confidence in over INR 10 bn of battery revenue next year.
- Bonds and Vivriti debt were raised during the major capex and after the Dahej fire (with insurance proceeds coming in slowly); most long-term debt is expected to be repaid from the recent QIP proceeds, leaving only working capital debt.
- The battery business is expected to run a ~90-day working capital cycle given only 2-3 products, while the base business is expected to return to ~120-140 days over the next 1-2 years, significantly improving cash flows.

NIIT Learning Systems Ltd**AI-Led Transformation Creating a Large Growth Opportunity**

- NIIT Learning Systems sees a significant opportunity from the transformation of Learning & Development (L&D) as AI changes both the nature of work and how employees need to be trained. Management expects organisations to move from incremental upskilling towards transformative reskilling, increasing the intensity and frequency of training even if overall employee headcount declines. The company believes this can materially expand its addressable market over the next 3-5 years.

Strong Position in Managed Learning Services with Significant Headroom

- NIIT operates as an end-to-end managed learning services provider, offering learning delivery, content development, learning administration, technology-enabled learning, strategic sourcing and consulting. Management highlighted that outsourcing penetration in L&D remains below 10%, compared with over 90% penetration in IT services, against a global L&D spend of around USD 400 bn. This provides significant headroom for further outsourcing and supports the company's long-term growth opportunity.

AI Adoption Gaining Traction & New Service Model Emerging

- More than 13% of NIIT's business is already AI-enabled, with six clients having undertaken enterprise-wide AI rollouts. Management expects the traditional course-and-facilitator model to gradually evolve towards AI-enabled learning built around simulations, sensing mechanisms and coaching, which can reduce time to proficiency and improve learning outcomes. The transition is expected to take place progressively over the next 4-5 years, with the pace varying depending on the regulatory intensity and readiness of individual clients.

Organic Growth, Acquisitions & Expansion to Support USD 600 mn Target

- Management remains focused on achieving its long-term USD 600 mn revenue target, compared with around USD 240 mn currently, through a combination of organic growth, AI-led transformation of existing clients, increasing wallet share, expanding the addressable market and continued acquisitions. Recent additions such as MST and SweetRush have expanded geographic reach, industry exposure and capabilities, while further acquisitions are expected to remain part of the growth strategy.

Margin Trajectory & Near-Term Volatility

- Management has guided to 18-20% margins for the current year and expects margins to reset towards approximately 20% over the long term. While investments in AI capabilities and ongoing transformation may create some near-term volatility, management expects AI-enabled delivery and greater outsourcing penetration to support operating leverage over time. The company also highlighted that economic uncertainty can increase outsourcing activity, although the timing and pace of transformation may create short-term unpredictability.

Nisus Finance Services Co Ltd

Nisus Finance operates an integrated urban infrastructure platform spanning capital origination, asset management, investment banking and EPC execution across India and the UAE. The company has scaled its AUM from INR 4.71 bn in FY23 to INR 26+ bn currently, targeting ~INR 40 bn by FY25-end (~77% CAGR) and USD 1 bn over the next 2-3 years. Revenue crossed INR 1.41 bn in FY24, supported by EBITDA margins of 40-50% in core financial services and EPC margins that have expanded to 3-4%. Strategic growth drivers include a pre-leased UAE portfolio (NAV up 50%), an INR 25 bn domestic yield fund (rated AIF1), a USD 500 mn GIFT City dollarised feeder, and an INR 210 bn order pipeline in its 80-year-old construction subsidiary (NCCL), which is targeted for an IPO in 3-4 years. Promoter share-pledge debt has been reduced from INR 1.1 bn to INR 380 mn (cover reduced to 2x, or ~17-18% of shares), with full repayment and pledge release targeted within 1-2 quarters.

Integrated Operating Platform & Scalability

- The platform addresses urban infrastructure delivery bottlenecks through an end-to-end framework: origination (400+ transactions a year), fund management, advisory and execution.
- Revenue surpassed INR 1.41 bn in FY24. Core financial services command EBITDA margins of 40-50%, while EPC margins have expanded to 3-4%.
- AUM has grown from INR 4.71 bn (2023) to INR 26+ bn currently, targeting ~INR 40 bn by FY25-end and USD 1 bn in 2-3 years.

UAE Strategy & Middle East Product Pipeline

- The UAE strategy focuses strictly on pre-leased residential/commercial assets with no off-plan or construction risk. Portfolio NAV is up 50%, with stable rental yields.
- Banking credit lines are in place with Emirates NBD, Emirates Islamic Bank and Dubai Islamic Bank.
- The company is rolling out a USD 50 mn tokenisation platform (USD 500 ticket, 10-12% yield), a DIFC private credit fund manager licence and a REIT structure.

Domestic AIF & Offshore Capital Channels

- The company has launched an INR 25 bn AIF1-rated yield fund targeting a 25-26% net IRR across Tier-1/2 urban infrastructure, data centres and warehousing.
- It is raising USD 500 mn (USD 100-200 mn in the first tranche) via GIFT City, targeting 14-16% dollarised net returns with currency hedging.

Construction Subsidiary (NCCL): Value Unlock

- An operational turnaround delivered ~5x growth in EBITDA and PAT over 12 months, backed by an active ~INR 210 bn pipeline and Nemetschek 3D building technology.
- NCCL is positioned as an investment asset, slated for an IPO in 3-4 years.

De-Leveraging & Capital Allocation

- Acquisition debt has been reduced from INR 1.1 bn to INR 380 mn, lowering share-pledge cover from 3x to 2x (~17-18% of shares). Full repayment and pledge release are expected within 1-2 quarters.
- Cash flows are prioritised towards high-ROI AUM expansion over equity buybacks.

Northern Arc Capital Ltd

Northern Arc is a diversified lender spanning credit solutions (B2B lending to NBFCs), funds, debt syndication and a fast-growing direct-to-customer book across consumer, MSME and microfinance, with total AUM of ~INR 170 bn. The company holds its FY27 guidance of 22-23% growth, an ROA approaching 3% and credit cost of 2.6-2.8%, with interest rate sensitivity largely neutral given a matched asset-liability structure. Direct-to-customer is now ~65% of the book and heading to 70%, built on a capital-efficient fintech partnership model.

Franchise and Scale

Northern Arc was founded after the 2007-08 MFI crisis to help microfinance institutions raise funds, and later expanded into MSME, consumer, affordable housing and vehicle finance. It has worked with 350+ NBFCs and built its own direct-to-customer franchise from 2017. The business comprises credit solutions (B2B, AUM ~INR 65 bn), funds (AUM ~INR 30 bn) and debt syndication (INR 120-130 bn of annual volume at a ~25 bps placement fee).

Direct-to-customer AUM is ~INR 96 bn, and total AUM ~INR 170 bn. The company has been profitable every year, through COVID, the IL&FS crisis and the over-leveraging cycle; its 15-year AUM CAGR is ~29% and PAT CAGR ~24%.

The fintech digital lending book is ~INR 55 bn, with 35+ live partners. Rural finance (from the slump sale of 150 Smile Microfinance branches with INR 2.5 bn of AUM) now has 430+ branches and INR 12 bn of AUM. The MSME book is ~INR 36 bn (LAP INR 17 bn, merchant loans INR 10 bn, and mid-market and supply chain INR 10 bn).

Interest Rate Positioning and Guidance

Banks have quietly raised MCLR by ~15 bps over six months without an RBI move, and market benchmarks (G-Secs, T-bills) are up 30-35 bps, so the trajectory is upward; a 50 bps repo increase is expected across October and December, adding 15-20 bps to the cost of funds over six months.

Liabilities are ~40% fixed and 60% floating, of which ~30% is T-bill and repo-linked (immediate reset) and 30% MCLR-linked (mostly resetting in March). On the asset side, B2B credit solutions are floating via an in-house FPLR benchmark reset monthly, while direct-to-customer loans are largely fixed but short-tenor (12-15 months), so they reprice on fresh lending. Net interest margin is largely protected, as lending rates move with the cost of funds.

The company holds FY27 growth guidance of 22-23%, with ROA moving from 2.6-2.7% towards 3% by year-end and credit cost of 2.6-2.8%, even as the direct-to-customer share rises from 50-55% last year to 65% now, against a 70% target. The CFO is already pushing business teams to raise lending rates ahead of the hikes.

Risk Management and Portfolio

The risk framework has evolved from wholesale FI lending to a product-specific and enterprise-level approach, with separate policies for MFI and MSME LAP, internal scorecards, annual RBI inspection inputs and internal audit review. GNPA and NNPA are among the lowest in 15 years.

Over the last two months, there has been no deterioration across consumer, MSME or microfinance. MFI disbursements have recovered from a low of INR 300 mn per month to INR 1,100-1,150 mn, aided by CGFMU cover and MFIN over-leveraging compliance; MSME has held up despite war-related apprehensions, and consumer (largely urban) continues to outperform.

Capex is light and mainly on technology (LOS, LMS, bonds, funds and co-lending platforms, amortised over five years); the lending business invests capital in growing the book rather than in fixed assets. Existing products offer enough headroom for 3-5 years, with inorganic opportunities evaluated continuously.

Fintech Partnership Economics and Capital

Partners such as MobiKwik, Kissht (OnEMI) and MoneyView source loans and act as agent and FLDG provider (5% under RBI norms), while Northern Arc owns the customer, underwrites, disburses, collects and signs the agreement. On an illustrative 15% risk-adjusted yield with a 25% customer IRR, ~10% passes to the partner as a servicer fee; MobiKwik yields can reach 32-33%, partners earn a 6-7% net fee for the 5% FLDG, and the business has delivered 4%+ ROA and a 30%+ CAGR.

Pricing is risk-based: if partner losses run at 7% against a 5% FLDG, pricing is lifted (for example, to 17%) to preserve the target 15% net yield. Customers are largely urban and bureau-gated, distinct from rural MFI borrowers; ~95% of the consumer book is partner-sourced. Partners have a vintage of 5+ years, and Northern Arc has in-house collection infrastructure and has taken over portfolios from underperforming partners.

Guidance

The company held FY27 guidance of 22-23% growth, ROA approaching 3% from 2.6-2.7%, credit cost of 2.6-2.8% and a rise in direct-to-customer to 70% of the book, with ROE improving from 11% to ~13% this year and 15% next year, and no capital need for 7-8 quarters.

Nupur Recyclers Ltd

Nupur Recyclers is a non-ferrous metal scrap importer and recycler (zinc die-cast, stainless steel and aluminium scrap) that has forward-integrated into zinc and aluminium ingots, aluminium extrusions and auto components through its subsidiaries, with a 6,000 TPA LFP battery recycling plant to commence in the next 2-3 months. The company imports ~800-1,000 tonnes per month, selling 40-50% to its subsidiaries. Management expects FY27 revenue of ~INR 4 bn with PAT of INR 350-400 mn, rising to ~INR 8 bn in FY28 (~INR 10 bn including the battery plant) with PAT of INR 700-800 mn, supported by plants currently running at only 30-40% utilisation. Auto component subsidiary Tycod Autotech has scaled from ~INR 10 mn to ~INR 60 mn monthly sales within a year of acquisition, with ~60% from Tata Motors. The LFP plant (capex INR 500-700 mn) uses in-house hydrometallurgy technology and could generate INR 1.2-2.0 bn revenue at 20-45% PBT margin. A lead-acid battery recycling acquisition (adding ~INR 3 bn revenue) is targeted for Q3FY27, funded from ~INR 1.2-1.3 bn of cash. The key factors to monitor are LFP plant commissioning and yields, utilisation ramp-up, Tycod customer diversification, the lead acquisition, LME price volatility and margin consistency.

Business Model & Positioning

- The company imports non-ferrous metal scrap (zinc die-cast, stainless steel and aluminium, including extrusion grade) as shredded scrap from the Gulf, Southeast Asia, Europe, the US and Canada.
- Imports are ~800-1,000 tonnes per month; 40-50% is sold to its own subsidiaries and the rest is traded to buyers who sort the material or manufacture alloys.
- The promoter has ~30 years of experience in the business; Nupur Recyclers was formed in 2018-19, listed on the SME platform in 2020-21 and migrated to the main board the following year.
- The forward-integrated model (scrap import, sorting, melting, billets/ingots, die-casting/extrusion and machining) allows the company to consolidate margins across four to five stages.

Subsidiaries & Operations

- Frank Metals Recyclers (80% owned; 19% promoter, 1% promoter's daughter): a 4-acre plant in Faridabad producing ADC12 aluminium alloy (~100-150 tonnes per month, for captive use), zinc die-cast ingots (Zamak 3, 5, 7, 12 and oxide grades; ~300-400 tonnes per month) and aluminium extrusions (~150 tonnes per month from a 4-inch, 700-tonne automatic press). A 6-inch press is arriving from China and will be installed in a month. Monthly business is ~INR 200-250 mn.
- Extrusion profiles are sold for construction shuttering, solar framing and commercial items such as doors, windows and handles.
- Tycod Autotech (51% owned): a 5.5-acre plant in the Tata Vendor Park, Rudrapur (Pantnagar), and an authorised vendor to Tata Motors, with other customers including Sundaram and Havells. It sources ~80% of its ADC12 from Frank Metals.
- Nupur Extrusion (70% owned): a 2-acre plant in Sampla, Haryana, with a 5-inch automatic extrusion press, doing ~INR 50-60 mn per month in domestic sales to traders and manufacturers.
- Nupur Recyclers' own trading business is ~INR 250-300 mn per month. Plants are located in Faridabad, Sampla (Haryana) and Rudrapur, and are open for investor visits.

Auto Components (Tycod Autotech)

- Tycod was acquired last year at an enterprise value of ~INR 240-250 mn, when it had monthly sales of ~INR 10 mn; within a year, it now does ~INR 60 mn per month.
- Capacity is ~INR 240-260 mn per month, with current utilisation of ~25-27%; the company runs 68 CNC/VMC machines.
- It is the single vendor for 43 aluminium engine parts for the Tata Ace (Tata produces 12,000-15,000 units per month at Pantnagar), supplying Tata's Rudrapur, Jamshedpur and Pune plants.

- Of ~INR 60 mn monthly sales, ~INR 35 mn (~60%) comes from Tata and ~INR 25 mn from others. Tata offers 45-day credit, with Tata Capital discounting at ~8-9%, so payments are received within 3-4 days.
- Audits are underway with Endurance and Bajaj, with business expected in 4-6 months. ADC12 consumption is expected to rise from ~150 to 400-500 tonnes per month in two years.
- Auto business margins are ~10%, potentially higher at full capacity and 7-10% otherwise. Tycod revenue is expected to rise from ~INR 600-700 mn currently to ~INR 1.5 bn next year.

LFP Battery Recycling

- A 6,000 TPA (~500 tonnes per month) LFP battery recycling plant is being set up on 5.5 acres in Sampla, Haryana, with capex of INR 500-700 mn (including land, building and machinery, of which INR 200-250 mn is for hydro plant and machinery). Land and shed are ready, machinery is ordered, and operations should start in 2-3 months.
- The pyro process recovers aluminium, copper and brass; the hydro process extracts industrial-grade lithium carbonate (~3-3.5% of black mass), graphite (~20-25%) and iron phosphate (~20-25%).
- The hydrometallurgy technology comes from a company Nupur invested in two years ago (developed by a scientist), with a pilot plant run over two years and a patent in process.
- Revenue potential is INR 1.2-1.5 bn without EPR and INR 1.75-2.0 bn with EPR/second-life batteries; PBT margin is expected at 20% (minimum) to 40-45% (maximum).
- LFP battery availability was ~137,000 tonnes last year and is expected to be 3-4x this year, so procurement is not an issue. Industrial-grade lithium carbonate currently sells at ~INR 2,200 per kg (range of ~INR 675-7,500 per kg over two years).
- Management believes most peers focus on NMC/LCO batteries or sell black mass, and few extract lithium carbonate, graphite and iron phosphate from LFP via hydrometallurgy, which differentiates Nupur.

Guidance & Margins

- FY27 revenue is expected at ~INR 4 bn with PAT of ~INR 350-400 mn, within the company's 7-10% margin band.
- FY28 revenue is expected at ~INR 8 bn as utilisation rises from 30-40% to 60-70%, and ~INR 10 bn (±10%) including the LFP plant; FY28 PAT is expected at ~INR 700-800 mn.
- Indicative FY28 mix: aluminium INR 5 bn+, auto components ~INR 1.5 bn and battery recycling ~INR 1.5 bn.
- The company targets 7-10% margins (PBT), with PAT of ~7%; actual margins can range from ~6% to ~12% due to commodity cycles. Q1FY27 EBITDA margin of ~15.5% reflected the aluminium price rise from ~INR 220 per kg to ~INR 315-320 per kg.
- All plants are running at only 30-40% capacity, providing significant room to grow without major new capacity.

Acquisitions, Capex & Funding

- The company is in the process of signing an MOU to acquire a lead-acid battery recycling company, which could add ~INR 3 bn to the top line at a margin of ~2-3%; completion is targeted in Q3FY27.
- Capex over the next two years is expected at ~INR 1.0-1.5 bn.
- Nupur Recyclers has ~INR 1.2-1.3 bn of cash and no interest burden; expansion and acquisitions will be funded from cash and annual accruals of ~INR 200-400 mn.
- No equity raise is planned this year; it may be considered next year after the LFP plant and lead acquisition, if required, via the preferential route.

Procurement & Other Initiatives

- The Middle East accounts for only ~15-20% of scrap sourcing, while 50-60% comes from Europe (Belgium, France, Austria, Germany), New Zealand and Australia, so there has been no procurement disruption.
- A rare earth (magnetic rare earth oxide) plant is planned in the next 6-8 months; PCB recycling can also be considered, as imported stainless steel scrap contains 1-2% PCBs.

Nuvoco Vistas Corporation Ltd

Outlook: Nuvoco Vistas is on a growth trajectory to reach 35 MTPA of capacity by FY28. Despite significant inflationary pressure from rising fuel costs (petcoke and coal), the company remains optimistic about medium-to-long-term demand driven by government capex and housing spend.

Capacity Expansion & Timeline

- **Current Status:** Operating at 27 MTPA.
- **FY28 Target:** 35 MTPA.
- **Recent Milestones:** 2 MT grinding capacity at Surat was operationalised in July 2026, ahead of the Q3FY27 schedule.
- **Upcoming Projects:**
 - **Wadraj (Kutch):** 3.5 MT clinker capacity by end of Q3FY27; 2.5 MT grinding capacity by April 2027.
 - **Sachana (Gujarat):** 1.5 MT bulk terminal for cement handling by Q2FY28 to serve the Ahmedabad market.
 - **East Region:** Adding 4 MT capacity by FY28.
- **Future Growth:** Potential expansion to 44-45 MTPA by FY29/30 through greenfield projects in Gulbarga (5-5.5 MT grinding) or Western UP/MP (3.5 MT grinding).

Operational Metrics & Strategy

- **Market Mix:** ~74-75% of volume is sold in the trade segment.
- **Premiumisation:** Premium category cement sales increased from 34% to 43% over five years.
- **Utilisation:** Currently hovering around 81%, which is higher than several industry peers.
- **Resource Security:** Limestone reserves are sufficient for the next 40 years.

Cost & Pricing Dynamics

- **Inflationary Pressures:** Petcoke prices have risen to USD 175-180 per tonne, and domestic coal prices have increased due to diversion to the power sector.
- **Pricing Action:** The industry saw price hikes in March and April 2026, followed by stability through July and a brief moderation in August. A new hike was initiated around 15 September.
- **Margin Protection:** Management suggests a net price hike of ~INR 15-20 per bag is necessary to offset current input cost increases.
- **Trade vs. Non-Trade:** The price gap between trade and non-trade segments is currently ~INR 40-50 per bag.

Sustainability & Efficiency

- **Renewable Energy:** Currently meeting ~20% of power requirements via WHRS and solar.
- **New Initiative:** Partnership with CleanMax to add 46 MW of hybrid renewable power in Rajasthan, expected to be operational in 15 months.
- **Cost Saving Target:** Internal target to achieve savings of INR 110-120 per tonne over the next 2-2.5 years through efficiency and renewables.

Risks & Market Challenges

- **Logistics:** Railway rake shortages in Q1FY27 led to a loss of 200,000 tonnes in sales volume.
- **Regional Demand:** Heavy rainfall in Chhattisgarh and West Bengal has negatively impacted demand in the East, while North and West regions have shown better growth.
- **Geopolitical Risk:** Middle East conflicts continue to drive volatility in fuel and freight costs.

Om Power Transmission Ltd

Strong Growth Momentum & FY30 Growth Ambition: Om Power Transmission delivered its strongest-ever FY26 performance, with revenue from operations growing 61% YoY to INR 4,490 mn, EBITDA increasing 60% to INR 570 mn, and PAT rising 81% to INR 400 mn. Over FY23-FY26, revenue, EBITDA and PAT recorded CAGRs of 55%, 69% and 86%, respectively. Management expects to sustain ~50% CAGR for the next three years, supported by increasing opportunities in the power transmission EPC sector.

Healthy Order Book & Strong Pipeline Visibility: The company closed FY26 with an order book of INR 6,210 mn, while Q1FY27 order intake stood at INR 678 mn, resulting in an order book of INR 5,675 mn as of June 2026. In addition, the company has a bid pipeline of around INR 9,000 mn, including more than INR 2,700 mn of L1 orders, providing visibility for future execution. Recent wins include transmission lines, underground cabling and substation projects.

Transmission Segment to Remain the Core Growth Driver: Transmission lines remain the company's key area of expertise and are expected to contribute around 55-60% of the business over the growth period. Management indicated that transmission projects carry a higher margin profile compared with underground cabling, substations and O&M. The company is also positioned to participate in higher-voltage opportunities, including 765 kV transmission projects, where management indicated margins are comparatively higher than 220 kV/400 kV projects.

Geographic Diversification & Renewable Energy Entry: While Gujarat remains the company's core market, the order book has expanded into Rajasthan, Punjab and Dadra & Nagar Haveli/Daman, with further expansion planned into states such as Odisha and Delhi. The company has also proposed setting up OPTL Green Energy Pvt Ltd to pursue renewable energy EPC opportunities, with the subsidiary structured at 55% ownership by Om Power Transmission and 45% by the promoter group. Management expects the renewable business to contribute meaningfully over the next two years, with EBITDA margin guidance of around 10-12%.

IPO Proceeds to Support Working Capital & Leverage: The company raised approximately INR 1,500 mn through the IPO, with around INR 880 mn as the fresh issue component and the balance through OFS. Of the proceeds, approximately INR 550 mn is allocated towards long-term working capital, INR 250 mn towards repayment of borrowings, INR 112 mn towards capex and INR 281 mn towards general corporate purposes. Management stated that the existing capital base is expected to support the planned growth without additional fundraising in the near term, while working capital is expected to remain within the normalised range.

One Point One Solutions Ltd

Management remains focused on scaling the business through 20-25% organic growth, Netcom integration, US expansion, strategic M&A and increasing adoption of Resolix. The company expects AI-led revenues to become a material contributor, with 40-45% of revenue targeted from AI business over time, while the INR 20,000 mn FY30 revenue objective remains unchanged. Further margin expansion is expected as AI adoption increases and acquired businesses stabilise.

Agentic AI-Led CX Platform

- One Point One is positioning itself as a customer experience and digital experience company, with growth driven by domain expertise and its proprietary agentic AI platform, Resolix.
- Resolix was formally launched in May 2026 and currently includes multiple AI enablers such as Omvia, RightFit, Nets, Frequency, PenPal and ProWise.
- The company has completed ~12 deployments within 3-3.5 months of launch and is pursuing a healthy pipeline across existing and new clients.
- The company recently won Adani Electricity Mumbai as a client, covering the customer experience and digital experience lifecycle.

IT Cube & Netcom Integration

- IT Cube has been fully integrated and is growing organically at ~20-25%.
- Netcom BCC has been consolidated from Q1FY27, with integration currently underway.
- The company expects consolidated revenue to double in FY27, supported by Netcom consolidation and 20-25% organic growth.
- Netcom is currently growing at ~10-12% YoY, while the company expects to leverage its excess capacity and pipeline to accelerate growth toward ~25%.
- Netcom has already deployed Resolix across two local banks and has an AI revenue opportunity of >USD 3 mn expected to start contributing from January 2027.

US Expansion

- The US business has onboarded three sales personnel and is progressing multiple AI-led POCs.
- Some opportunities have moved into the contracting stage, with revenues expected to start contributing over the next 3-4 months.
- Management expects the US business to reach an inflection point during the next year.

Revenue Base & Growth

- Q1FY27 revenue of ~INR 1.6 bn is considered a reasonable quarterly base, including Netcom.
- Management expects the business to sustain 20-25% growth across the consolidated platform.
- Excluding Netcom, organic growth is expected at 20-25% in FY27.

M&A Strategy

- The company continues to actively evaluate additional acquisitions in the US and subsequently Europe.
- Focus remains on EPS-accretive acquisitions, rather than turnaround opportunities.
- Target companies are expected to bring strong client relationships, particularly Fortune 500 access, which can be leveraged for technology transformation and agentic AI cross-selling.
- The company is evaluating a few additional targets, with acquisition funding expected to depend on the size and profile of the target.

Margin Expansion

- International operations currently operate at margins broadly similar to the existing business, but AI deployment is expected to improve margins by ~4-5 percentage points.
- AI-led business is expected to generate 25-30% margins domestically and 45-60% in the US, depending on the nature of work.
- Management expects ROCE to normalise and potentially return to 20%+ levels by FY28 as the acquisitions stabilise.
- By 2030, management expects ~40-45% of revenue to come from AI-led business, supporting margin expansion.

Resolix GTM Strategy

- The company is shifting clients from traditional BPM outsourcing toward a hybrid BPM + agentic AI model.
- The GTM strategy focuses on managing the entire customer experience ecosystem rather than individual touchpoints.
- Adani Electricity was cited as an example where multiple vendors previously managed physical experience centres, contact centres, social media and AI workflows separately.
- Resolix aims to consolidate these functions under a single platform and service provider, improving consistency and end-to-end ownership.
- The company intends to increasingly position Resolix as a complete CX agentic AI ecosystem rather than a standalone technology platform.

One Point One Solutions Ltd**Industry Mix**

- BFSI contributes ~55-56% of consolidated revenue and client-logo share.
- Other key sectors include utilities, retail, e-commerce and healthcare.
- The company continues to diversify its client base while BFSI remains the largest vertical.

Vision 2030

- Management estimates that 40-45% of the CX outsourcing industry could shift toward agentic AI over time.
- The company aims to expand further across the US and Europe, supported by strategic M&A.
- The stated FY30 revenue target of INR 20 bn remains intact.
- The company aims to build relationships with large enterprises and Fortune 500 clients, with contracts potentially covering operations across multiple geographies.
- Management also plans to develop industry-specific proprietary LLM modules, creating a more integrated and sovereign AI ecosystem for clients.
- The broader objective is to capture a larger share of the global CX outsourcing opportunity, which management estimates at USD 269 bn.

Acquisition Funding & Debt

- The company has an INR 2.2 bn acquisition-related debt facility from Axis Bank.
- The debt carries a maximum tenure of approximately 5-5.5 years.
- Part of the INR 2.2 bn facility relates to a performance-linked payment to the Netcom sellers; the entire facility has not yet been drawn.
- The performance-linked payment is structured over a three-year period and is linked to achievement of committed EBITDA.
- Management indicated that debt repayment will be supported by the cash flows and profitability of the acquired businesses.

Resolix Revenue & Economics

- Resolix is currently operating at an annual revenue run-rate of ~INR 40 mn.
- Management targets 2.5-3x growth in annual run-rate by FY27 exit.
- AI deployment is expected to increase the company's wallet share rather than reduce revenue despite lower human-agent volumes.
- Management illustrated that AI can be deployed across the broader customer-interaction funnel, allowing One Point One to capture a larger share of overall client volumes.
- AI-led cost savings can also release client budgets for additional outsourcing activities, supporting incremental wallet share.

Acquisition Dilution

- The company indicated that future acquisitions may be funded partly through equity issuance.
- Management stated that planned dilution would not exceed 10% of the promoter holding, translating into ~5% dilution based on the current promoter holding of ~52.3%.

Brand Architecture

- Management acknowledged the suggestion to create stronger linkage between the parent brand and individual Resolix enablers.
- Resolix is being developed as a broader CX suite covering the complete AI lifecycle:
 - RightFit: Hiring
 - Nets: Training
 - Omvia: Multi-channel customer interaction
 - Frequency: Monitoring
 - PenPal: Content/writing assistance
 - ProWise: Human-in-the-loop support
- The objective is to build an integrated AI-led alternative to the traditional BPM operating model.

Onward Technologies Ltd

Outlook: The company remains focused on scaling its pure-play ER&D business through deeper wallet share with large OEM customers, rather than aggressively expanding the customer count. Industrial, long-term customer relationships, domain-led engineering capabilities and increasing contract duration remain the key growth pillars. Management continues to target double-digit revenue growth and EBITDA margin with an upward bias, while monitoring AI adoption, subcontracting costs and the evolving GCC landscape.

Pure-Play ER&D

- The transition to a pure-play ER&D company, initiated in 2021, has been completed.
- FY26 revenue stood at INR 5,500 mn, with EBITDA margin at 13.2%.
- Management maintained its guidance of double-digit revenue growth and EBITDA margin, with an upward bias on margins.
- Focus remains on Industrials, Transportation & Mobility, and Healthcare & Life Sciences, with Industrials as the key growth driver.

Client Rationalisation

- The customer base has been reduced from 250+ to ~70-72, with the focus shifting towards larger, scalable OEM accounts.
- The long-term objective is to build a base of 40-50 customers, with key accounts potentially contributing USD 10+ mn annually.
- Rationalisation is focused on customers with lower growth potential, while new accounts can still be added through references.

Revenue Visibility

- Although the business is largely project-based, projects are linked to customers' ongoing R&D budgets.
- Onward acts as an extended R&D arm, enabling continuity across projects.
- Longer contracts and POs are improving revenue visibility over the next 1-2 years.

Growth Verticals

- Industrials is expected to remain the fastest-growing vertical.
- Automotive/Transportation & Mobility demand is improving, but growth is expected to remain below Industrials.
- The company will focus on existing verticals rather than entering aerospace at present.

Competitive Edge

- The company focuses on domain-specific capabilities rather than participating in every RFP.
- Key areas include power management, IoT/digital twins, ADAS and SDV.
- Long-standing customer relationships, domain expertise and a lean structure support competitiveness.

ER&D Positioning

- Management emphasised that Onward serves CTOs rather than CIOs, differentiating it from traditional IT services.
- Customer case studies are increasingly being included in presentations to demonstrate the company's engineering capabilities.
- The latest presentation included an IoT asset-utilisation monitoring case study.

GCC Opportunity

- Management expects GCCs and outsourcing vendors to coexist, given the scale of engineering requirements.
- Routine work may remain internal, while niche engineering requirements can continue to be outsourced.
- GCC expansion is therefore not viewed as a significant constraint on the addressable market.

ER&D Growth

- ER&D revenue increased from around INR 1,740-1,750 mn in FY21 to ~INR 5,500 mn currently.
- Management indicated >20% CAGR over the past 4-5 years.
- Consolidated growth had been impacted by the gradual exit from legacy IT services.

Wallet Share

- All 18 customers with revenue above USD 1 mn are considered capable of reaching USD 5-10 mn+ over the next five years.
- Faster scaling requires appropriate investment and execution.
- Management remains committed to its existing double-digit growth outlook.

AI Impact

- AI is expected to augment ER&D services and improve productivity, rather than materially reduce engineering demand in the near term.
- Efficiency gains could support margins, although customers may seek to capture part of these benefits through pricing.
- Management expects AI to expand overall market opportunity rather than materially shrink it.

Margin Outlook

- EBITDA margins are expected to improve over the next three years.
- Management maintained double-digit EBITDA margin guidance with an upward bias.

- No specific annual margin expansion target was provided.

Growth Outlook

- Double-digit revenue growth remains the stated outlook for the current and coming financial year.
- Management indicated that Q2 would be an appropriate point to reassess guidance if required.

Order Visibility

- The company does not disclose order book figures.
- Management indicated that confirmed orders are higher YoY, providing better near-term visibility.
- Exact order-book quantum and coverage of FY27 revenue were not disclosed.

Customer Retention

- Most MSAs have 3-5 year terms.
- Management expects existing top customers to continue their relationships in the near term.
- Vendor concentration at individual customer accounts is not disclosed.

North America

- US manufacturing and industrial activity is supporting demand.
- Data-centre infrastructure investments are also driving engineering demand.
- Onward provides services to infrastructure providers supporting data centres.

India Billing

- Around 47-48% of revenue is billed from India, primarily through Indian entities of US/European-headquartered customers.
- Work remains similar to overseas engagements, mainly involving digital engineering, design and R&D.
- INR billing eliminates forex volatility, unlike international billing.

GCC Economics

- Management believes GCCs and vendors compete more on capability and delivery than simply cost per engineer.
- Niche domain expertise remains a key reason for outsourcing.
- A recent contract renewal retained pricing with expanded scope.

Subcontract Costs

- Subcontracting expenses remain elevated due to faster growth and temporary constraints on deploying internal talent.
- Management has not yet seen a reduction in subcontracting costs.
- Internal onsite deployment is being increased progressively.

Visa Impact

- Management expects limited near-term impact from higher H-1B costs.
- Onward relies more on L-1 visas, given its niche engineering requirements.

M&A Strategy

- The company remains open to M&A opportunities within its existing verticals.
- Potential acquisitions must strengthen customer relationships and be margin-accretive.
- No ongoing discussions regarding an acquisition of Onward were indicated.

RFQ Pipeline

- Multiple RFQs are under evaluation, with some already converted into contracts.
- Individual RFQ sizes were not disclosed due to their relatively smaller scale.
- Material opportunities may be disclosed once they cross the company's disclosure threshold.

Oriental Rail Infrastructure Ltd

Oriental Rail Infrastructure is transitioning from a wagon and railway component manufacturer into an integrated, technology-driven rail freight solutions platform. FY26 and Q1FY27 were about execution and efficiency, with margins rebuilt through backward integration and in-house component manufacturing. A consolidated order book of ~INR 16.92 bn gives 18-22 months of revenue visibility, while four new initiatives (smart wagons, high-axle-load wagons, leasing and refurbishment) frame the next phase of growth, albeit at a nascent stage.

Business and Capacity

- The company operates across rolling stock interiors for passenger coaches (around 30% share in the organised seat and berth segment) and freight wagons and components through subsidiary Oriental Foundry, with backward integration into artificial leather, PU foam, silicone foam and engineered boards.
- Freight wagon capacity is around 2,400 wagons per annum at roughly 50% utilisation in FY26, leaving headroom to scale; four facilities span around 100 acres.

Financials

- FY26 consolidated revenue was INR 5,733 mn, with EBITDA up 21.8% to INR 854 mn (margin of 14.9%, from 11.6% in FY25), PAT up 44.6% to INR 422 mn (7.4% margin) and diluted EPS of INR 6.37.
- Q1FY27 revenue was ~INR 1,376 mn, up 16.7% YoY; EBITDA rose 43.7% to INR 209 mn, with margin up 286 bps to 15.2%, and PAT rose 83% to INR 107 mn, with margin up 283 bps to 7.8%; diluted EPS was INR 1.60.
- Profitability improvement was driven by better execution, product mix, operating leverage and cost absorption, with smaller components such as springs and couplers now made in-house.

Order Book

- The consolidated order book as of 11 August 2026 was ~INR 16,920 mn, of which ~INR 15,260 mn sits with Oriental Foundry for freight wagons and ~INR 1,660 mn with Oriental Rail for seat, berth and allied products, executable over 18-22 months.
- Most of the order book is from Indian Railways; private player orders for wagon manufacturing are not yet significant, and bulk Railways tendering has been limited since 2022.

Four Growth Initiatives

- Smart Wagons: Via an exclusive JV with HUM Industrial Technology (USA), moving monitoring onboard for real-time diagnostics; an RDSO bid for 300-400 smart wagons is out, with an estimated market of ~INR 100 bn, and a dedicated New Delhi testing facility is expected by the end of FY28.
- High-Axle-Load Wagons: A collaboration with Russia's United Wagon Company (design arm VNICT) to develop next-generation 25-tonne high-axle-load wagons for Indian conditions, with design and prototype submissions in process at RDSO and clarity expected by February or March next year.
- Wagon Leasing: A leasing platform with regulatory approvals in hand, aligned to the Railways' privatisation push, to be scaled step by step given its capex-heavy nature, as wagons sit on the balance sheet.
- Refurbishment: Refurbishment and turnkey projects through the ABUR Projects LLP JV with AB Composites, diversifying revenue using existing interior capabilities; the JV has already participated in 4-5 tenders.

Cash Flow and Production Ramp

- Weak cash generation historically stemmed from sub-optimal capacity utilisation and working capital tied up amid steel price, gas and wheelset supply disruptions; the plan is to lift utilisation to 60-65% and then 75-80% to turn operating cash flow positive.
- Wheelset supply from Indian Railways has largely normalised; the Q2 target of 500 wagons (from 300 in Q1) may slip by a quarter or two, with Q4 at ~560-570 rather than the earlier 600.

Guidance & View

The company guided to stable to improving margins around current levels; freight wagon utilisation rising to 60-65% and then 75-80% to turn operating cash flow positive; production ramping towards 500 wagons a quarter, with Q4 at ~560-570; and capex for new initiatives funded largely from internal accruals. Revenue guidance for the new verticals was withheld until a few orders are executed.

The core order book provides solid near-term visibility and the margin recovery is real, but the growth optionality in smart wagons, high-axle-load wagons and leasing is early and dependent on RDSO approvals and the pace of railway privatisation. Capex discipline and the normalisation of wheelset supply are the swing factors for the cash flow turnaround.

Orient Bell Ltd

Outlook: Management guides double-digit volume and revenue growth for the current fiscal year. It expects a favourable demand environment for the next two years, as real estate projects launched in 2023-24 reach completion. Margin expansion is supported by narrowing pricing gaps with unorganised Morbi producers, a richer product mix and rising utilisation.

Record Q1 Performance: Q1 revenue grew 43% YoY to above INR 2,000 mn. This is the first time Q1 has crossed the historical baseline of INR 1,500-1,600 mn. EBITDA margin expanded to 8.7%, up from 5-6% in Q1 last year and 6.4% for the full prior year. Gross margin stayed strong at 38-39%, compared with 36-38% earlier.

Capacity Utilisation: Utilisation across the three manufacturing locations rose to 70-75% from about 60% a year ago, giving operating leverage.

Working Capital Discipline: Working capital days fell to 18 from 25-26 in earlier periods, a sign of strict cash discipline.

Product Innovation: New products launched over the past 7-8 quarters contribute 28-30% of revenue, up from 26%. Key innovation categories include Sinkers, Super Gloss and specialised GVT surfaces. Vitrified tiles now make up more than 60% of the mix, up from 40% five years ago.

Distribution Reach: The network has more than 2,000 distributor touchpoints nationwide. Tier-3 and smaller cities contribute 61% of revenue, up from 58-59%. North and East account for about 70% of sales and South and West about 30%; the company is targeting growth in South and West, supported by the Dora GVT capacity.

Digital & Sell-Out Push: Call centres and AI-based visualisation tools help dealers drive secondary sales. Company-driven sell-out initiatives now account for about 40% of total sales, up from 26% last year.

Morbi Dynamics: High gas and propane prices have shut down non-viable unorganised plants in Morbi. Morbi 2x4 tile prices have risen from INR 20 per sq ft to INR 27-28 per sq ft. Orient Bell sells at INR 32-33 per sq ft, plus INR 5 per sq ft freight from Sikandrabad. The price gap has therefore narrowed from INR 10 per sq ft to INR 5 per sq ft, and dealers have shifted 10-15% of their sourcing to organised players.

Energy Cost Advantage: Orient Bell's natural gas cost was INR 60 per unit in Q1 and is projected at INR 61-62 per unit in Q2. Morbi's equivalent propane cost is INR 80 per unit. Kilns run only on natural gas, while spray dryers use biofuels that cost less than half as much as natural gas.

Tile Adhesives (MasterBond): The adhesives business generated INR 24 mn in Q1 from pilot operations in North India. The company plans to extend distribution across North and East India, opening an adjacent growth category.

Export Headwinds: Industry-wide ceramic tile exports fell from INR 200 bn to INR 180 bn, hit by the Russia-Ukraine conflict and disruption to Red Sea and Suez Canal shipping. This has redirected supply into the domestic market.

Long-Term Potential: Market share gains from Morbi's cost disadvantage, a higher share of vitrified and new products, and expansion into South and West India support sustained growth. Rising utilisation, an energy cost advantage and a working capital cycle of 18 days point to continued margin and return improvement.

Orient Technologies Ltd

The company is expected to focus on improving profitability and increasing recurring revenue through a higher contribution from managed services, ARR-led contracts, OHMS 2.0, cybersecurity and AI-led offerings. With an order book of ~INR 4,000 mn, ongoing integration of Red Hat, Athena and AIT, and scope for further synergies, execution and margin improvement remain key monitorables. Management's near-term priorities are working-capital discipline, service-led growth and better utilisation of the acquired capabilities, while international expansion is likely to remain secondary to scaling the India opportunity.

Business Strategy & Positioning

- Orient is positioning itself as an integrated technology solutions provider across infrastructure, cloud, connectivity, cybersecurity and managed operations, rather than focusing solely on individual product transactions.
- The company has expanded capabilities through investments in Red Hat, Athena IT and EIT Internet Services, adding connectivity, SD-WAN, telecom integration and last-mile capabilities.
- Cybersecurity remains a key strategic pillar, with the next-generation SOC at Turbhe strengthening managed security and continuous monitoring capabilities.
- AI is viewed as a meaningful opportunity, with the focus on helping enterprises become AI-ready through infrastructure, cloud, data and security.
- The company aims to increase the share of recurring service revenue and build longer-term customer relationships across the technology lifecycle.

Q1FY27 Improvement & Order Visibility

- Consolidated Q1FY27 revenue increased to INR 2,019 mn, with EBITDA of INR 154 mn and PAT of INR 52 mn, indicating sequential improvement in operating performance.
- The company entered FY27 with approximately INR 4,000 mn of orders in hand, billable by March 2027.
- Four-year revenue CAGR stands at 17%, with management focused on consistent execution and sustainable profitable growth.
- Priorities include improving operating margins, strengthening collections and working-capital discipline, and increasing higher-value recurring services.

Order Book & Revenue Mix

- Of the ~INR 4,000 mn order book, ~INR 2,000 mn is linked to ARR, with the balance coming from sale-and-bill/project orders.
- Gross margin is around 10-12% for products and >15% for services.
- The company is increasingly focusing on ARR-led revenues rather than a pure sale-and-bill model.

OHMS 2.0 & Service Margins

- OHMS 2.0 is primarily a services-based model and generates gross margins of approximately 27-30%, significantly higher than traditional services.
- Penalty exposure under contracts varies depending on the specific RFP/contract and the services being provided; there is no standard fixed penalty structure.

DaaS Credit Discipline & Contract Tenure

- For DaaS, Orient evaluates customer creditworthiness through CRIF reports, annual reports and publicly available information.
- The company typically takes a 10% security deposit, while insurance for the equipment is borne by the customer.
- Rental payments are generally made in advance.
- DaaS was launched only last year; management indicated no contract terminations or customer defaults so far.
- Around 90% of DaaS contracts have a three-year tenure, with some extending to five years.
- Lock-in periods are generally >24 months for three-year contracts and 30 months for five-year contracts.

Athena & AIT Stakeholding

- Orient holds a 46% stake in Athena and AIT, while it has acquired 100% of Red Hat.
- The 46% stake was structured because the promoters of Athena/AIT wanted to retain a controlling stake, whereas the Red Hat promoter was willing to sell the entire business.
- Red Hat was consolidated from 1 November, while Athena and AIT were consolidated from 1 December.
- Red Hat contributed for five months, while Athena and AIT contributed for four months during FY26.

Acquisition Synergies & Margin Accretion

- Red Hat is already margin-accretive, with EBITDA margin of >27%.
- Athena and AIT are expected to become fully margin-accretive by early next year, supported by operating synergies and cost reductions.
- Management remains focused on integrating the acquired businesses and generating operational and commercial synergies.

Business Model & Customer Segments

- Orient operates across IT infrastructure products and technology services, including data-centre infrastructure, end-user computing, FMS, managed services, cloud and data management.

Orient Technologies Ltd

- Infrastructure offerings include laptops, desktops, workstations, servers, storage and connectivity products.
- Services include end-to-end cloud migration, data management and facility management.
- Depending on the customer, Orient may provide infrastructure plus AMC/FMS, infrastructure alone or services alone.

Margin Pressure in FY26

- Management clarified that the decline in operating margins from ~8% to ~4% was not primarily due to a higher infrastructure mix.
- Higher product prices could not be fully passed on to customers, while employee costs and administrative expenses also increased.
- The SOC deployment was still in the ramp-up phase and was not fully live by March 2026.

Competitive Positioning

- Orient primarily focuses on mid-market enterprises and BFSI customers.
- In contrast, Dynacons has a greater focus on government and PSU customers.
- Government/PSU contributes approximately 18-20% of revenue, with the majority coming from mid-market and BFSI customers.
- Revenue is predominantly India-focused, with approximately 99.5% generated domestically and ~0.5% from Dubai and Singapore.

Contract Acquisition & OEM Partnerships

- For government and PSU opportunities, Orient participates through GeM/RFP processes and reverse auctions.
- Enterprise and mid-market contracts are sourced through OEM relationships, references, direct customer engagement and lead generation.
- BFSI and mid-market contracts generally do not require bank guarantees, whereas government/PSU contracts may involve such requirements.
- Orient maintains regular engagement with OEMs through programmes and quarterly meetings to access market opportunities and larger deals.
- OEMs provide the products, while Orient handles installation, AMC and maintenance/service requirements, particularly for larger contracts.

Installation vs Services Revenue

- Product/installation revenue is generally recognised when the product is installed/sold.
- AMC/service revenue is recognised over the service period, typically one year.
- The product-to-service split varies by contract, with examples ranging from 60:40 to 80:20 and 90:10.
- Management is actively increasing the contribution of ARR/managed services, given the recurring nature of these revenues.
- Orient operates both NOC and SOC centres at Turbhe.

AI-Led Services

- AI-led revenue models have been initiated through OHMS 2.0, with Orient also becoming an Anthropic partner.
- AI revenue contribution remains insignificant currently, but the company intends to scale data and AI-led businesses during FY27 and beyond.
- The near-term focus is on building the underlying infrastructure and service capabilities required for enterprise AI adoption.

IPO Funds Utilisation

- Approximately INR 350 mn of IPO proceeds remained unutilised.
- Management expects the balance amount to be fully utilised by 31 December 2026.
- The funds are earmarked primarily toward the DaaS contract/order requirements.

International Expansion

- While Orient has entities/offices in the UAE and Singapore, international expansion is not a major focus currently.
- The Singapore entity is primarily used for USD billing where customers require it.
- Management intends to first scale the India service opportunity before increasing its focus on the Middle East and Singapore markets.

Gross Margin & Profitability

- Q1FY27 gross margin was in the 15-16% range, while EBITDA margin stood at 7.28%.
- Management indicated that contracts are being executed above the minimum gross-margin threshold required for viability.
- The focus remains on improving the overall margin profile through higher-margin services, ARR-led revenues and operating synergies.

Oswal Pumps Ltd

Near-term growth may remain uneven due to delays in government tenders and PM-KUSUM, while tender pricing continues to pressure margins. Management expects Q3/Q4 improvement and a stronger FY28 as PM-KUSUM activity resumes. Diversification into rooftop solar, private projects, exports and state projects, along with backward integration, should support growth and profitability over the medium term.

Solar Pumping Business

- Solar pumping remains the key growth opportunity, supported by PM-KUSUM and state-level schemes.
- Management expects PM-KUSUM 2.0 activity to pick up from Q4FY27, with FY28 expected to be stronger.
- Tender pricing remains competitive, but demand potential remains strong due to the large addressable farmer base.
- Oswal has a strong position in solar pumping, with direct government supply as well as supplies to EPC players such as Tata and L&T.

Business & Integration

- Oswal manufactures pumps, motors and controllers in-house, with backward integration across foundry, casting, machining, winding, fabrication and testing.
- Solar module manufacturing is through its wholly owned subsidiary, with 570 MW capacity currently operational.
- Solar structures and BOS are also manufactured in-house, supporting an integrated solar solution offering.
- The company is diversifying into rooftop solar, private projects and projects in Telangana and Rajasthan.

Revenue & Growth

- FY26 revenue was INR 5.64 bn.
- FY27 revenue growth may remain challenging due to delays in PM-KUSUM and government tenders.
- Management expects better sales visibility in Q3FY27 and Q4FY27, with stronger growth expected from FY28 as government schemes restart.
- The company is targeting diversification through private solar projects, exports and state-level projects to reduce dependence on PM-KUSUM.

Margins & Competition

- Solar pump margins remain under pressure due to tender-based price competition and raw material volatility.
- Management expects profitability to improve as geopolitical and raw material pressures normalise.
- Backward integration and value engineering are expected to provide some protection to margins versus peers.
- Management expects profitability to remain broadly stable despite near-term industry pricing pressure.

Working Capital & Cash Flow

- Government receivables remain elevated, with improvement expected from Q3FY27 and stronger collections in Q4FY27.
- FY25 operating cash flow was negative INR 1.53 bn, improving to negative INR 770 mn in FY26.
- Management expects cash flow to turn positive by FY27-end, although quarterly cash flows may remain volatile.
- PM-KUSUM projects generally have a better working-capital cycle than certain state government projects.

Capex & Capacity

- Management is comfortable with existing capacity and is prepared to add capacity as demand visibility improves.
- The 570 MW solar module capacity is largely used for captive consumption, with additional capacity available for diversified projects.
- The company has around 1.8 GW total module capacity across its facilities.
- Future capex will be linked to confirmed opportunities rather than building excess capacity ahead of demand.

Oval Projects Engineering Ltd

Strong Growth Outlook & Healthy Order Visibility

- Oval Projects Engineering delivered ~INR 1,530 mn revenue in FY26, up from ~INR 1,020 mn in FY25 and ~INR 780 mn in FY24, reflecting strong growth momentum. The company has an order book of around INR 7,800 mn, of which ~INR 5,340 mn remains unexecuted, providing multi-year revenue visibility. Management is targeting ~30% revenue growth in FY27 and remains focused on scaling towards INR 5,000 mn revenue by FY28.

Oil & Gas Infrastructure to Drive Next Phase of Growth

- Oil & gas contributes around 50% of the current order book, with projects typically executed over 2.5-3 years. Management sees significant opportunities across upstream, midstream and downstream infrastructure, including gas processing facilities, storage tanks, pipelines, CGD infrastructure and related services. The company has also expanded its qualification capabilities, including eligibility for larger projects of up to ~INR 4,500 mn, which could support a meaningful increase in project size going forward.

Margin Expansion Supported by Project Execution & Higher-Value Projects

- FY26 EBITDA stood at around INR 283 mn, with EBITDA margin improving to ~18.4% from ~13.7% over the previous two years, while PAT reached ~INR 148 mn. Management continues to target around 10% PAT margin, with the focus shifting towards higher-value and higher-margin projects rather than only pursuing topline growth. The company also indicated that its ADB/World Bank infrastructure projects offer attractive economics due to better payment terms and compensation for higher compliance and execution requirements.

Broadening Capabilities across the Oil & Gas Value Chain

- Oval has built capabilities across the upstream, midstream and downstream segments over the past 13 years, with experience spanning processing plants, pipelines, CGD and storage infrastructure. Recent completion of technically complex storage tank projects and a 12-inch pipeline project is expected to improve eligibility for larger storage and pipeline opportunities, including 24-inch pipelines and longer-distance projects. Management is also focusing geographically on the Northeast, Jharkhand and Bihar, while continuing its presence across multiple states.

Working Capital & Balance Sheet to Remain Key Execution Focus

- The company follows different billing structures depending on the contract, with milestone-based billing for larger technical/EPC projects and monthly billing for rate contracts and manpower services. Management indicated working capital requirements of around 20-30% of turnover, with higher requirements for processing-plant projects. As of FY26, the company had around INR 295 mn of cash-credit limits and ~INR 150 mn of term/unsecured loans, while higher bank guarantee limits primarily reflect project bidding and performance requirements. Management expects positive operating cash flow in FY27, supported by execution and collections.

Paisalo Digital Ltd

Paisalo is a three-decade-old, collection-first NBFC lending to micro enterprises and the MSME-SME segment. It is now on a three-year plan to double AUM, revenue and PAT (within a six-year cycle) before returning to a five-year cadence, targeting AUM of INR 115-120 bn. The strategy pairs an AI-led lending franchise with new products and geographies, while maintaining pristine asset quality with credit cost below 2%. The company targets a 25-30% CAGR, FY30 ROE of 20% and ROA of 4-4.5%, with ROE guidance of 13-14% for the current year.

Capital Structure and Performance

Paisalo raised INR 1.84 bn of fresh equity via a foreign issuance; promoters added 5% a year from 2022 to Q1FY25, raising their stake to 46.71% undiluted in Q1FY27 (42.88% fully diluted). The first FCCB of USD 50 mn was completed three quarters ago, followed by a debut ECB of USD 15 mn last quarter, and SEBI has approved INR 9 bn of public debt (the first INR 3 bn has been raised).

From 1992 to 2016, the company doubled AUM every 10 years, and from 2017 to 2026 every five years; it is now on a three-year doubling cycle for six years. The highest-ever credit cost was 3.8% during COVID, cut to under 2% within eight quarters; current credit cost is 0.9%, GNPA 0.70% and NNPA 0.49%.

AUM stands at INR 67.07 bn, up 28% YoY. Q1 disbursements rose 128% to a record INR 17.3 bn, total income rose 20% to INR 2.6 bn, and PAT grew 30% to INR 610 mn on net interest income up 16% to INR 1.44 bn. Headcount fell 2% to 3,018 despite the growth, showing early operating leverage. The company added 696 touchpoints to reach 5,995 across 23 states (424 branches, 3,997 distribution points and 1,574 BC points) and has served 18 mn customers.

AI Transition and Products

The company is shifting from a high-tech, high-touch model to an AI-led franchise across sourcing, underwriting, servicing and collections. It processes ~180,000 applications per quarter via AI onboarding (up from 160,000), along with 175,000 servicing and 225,000 debt management cases through AI. Monthly AI activity includes 20 campaigns, 25 videos, 0.2 mn outbound calls, 60,000 facial matches and 0.3 mn OCR scans. 80% of new code is tested by AI, and all legacy system maintenance and test case generation is AI-driven.

Opex is expected to be higher in the near term as distribution and AI investments run ahead of benefits; six new products launched last quarter are expected to deliver by year-end. Micro enterprise is ~30% of AUM and MSME-SME ~70% (split 30-30, with a 10% treasury reserve), with themed sub-products in vehicle, equipment and micro-LAP financing across OEM tie-ups, including Hero, Bajaj, Escorts, Mahindra, Adani and Philips.

93% of the portfolio is secured by movable or immovable collateral; the balance 7% carries a deed of hypothecation over current assets. No single sector exceeds 25% of AUM: food and hospitality ~23%, agriculture ~15%, street vendors ~15%, industries ~11%, health and education 6-7%, and vehicles ~4%.

Market Sizing and Collection Discipline

The market is framed from a population of 1.4 bn, with a credit history base of 150 mn and a PAN base of 420 mn; the differential of informal MSMES across retail, SME and MSME at a weighted ticket of INR 0.5-0.6 mn implies a market of INR 9,600 bn, validated against the INR 800-900 bn annual priority sector lending shortfall parked with NABARD. At INR 115-120 bn, Paisalo would hold just above 1% of this market.

Paisalo positions itself as a collection-first, not disbursement-first, NBFC; it has delivered a 20-22% CAGR over 30 years because it treats lending as a collection business. Discipline rests on low LTVs, good FOIR and a strong on-ground team, plus in-house geospatial PIN code mapping across ~19,383 postal codes, updated fortnightly to tighten triggers, pause onboarding or adjust credit parameters by default band.

Lending is based on income assessment rather than consumption, with no personal or consumption loans at scale. A cooling-off period applies between two Paisalo loans, and separate categorised loan accounts are required rather than new accounts to service existing ones, protecting against capital loss; strong debt management recovers within three to four quarters after any weak collection cycle.

Geographic Exposure and Provisioning

Maharashtra is ~19% of the portfolio, with no single activity above 20% of that; on an INR 60 bn book, this implies exposure of ~INR 2.4 bn to any single activity, where a 2% default would be ~INR 48 mn, already covered given a liquidity coverage ratio of 600% against the RBI minimum of 85%. Provisioning is maintained at 2% against actual credit cost of 0.9%, held conservatively since provisions can be rolled back but not forward and are not tax-deductible.

Guidance

The company guided to doubling AUM, revenue and PAT over three years (AUM of INR 115-120 bn), a 25-30% CAGR, credit cost below 2%, FY27 ROE of 13-14% and cost of funds of 10.5%, with FY30 ROE of 20% and ROA of 4-4.5%.

Pajson Agro India Ltd**Business and Financials**

- Pajson Agro is an integrated cashew processor covering global raw cashew nut (RCN) sourcing, processing, and B2B and B2C distribution. Its consumer brand is Royal Maya.
- Processing volume rose from ~7,000 MT in FY24 to ~16,000 MT in FY26. Existing capacity is 18,000 MT.
- FY26 total income was INR 2,569.2 mn (+37% YoY), EBITDA grew ~25% and PAT ~21%. EBITDA margin was ~14%.
- Q1FY27 revenue was ~INR 680 mn versus INR 450 mn in Q1FY26 (+51% YoY).
- It sells in 19 states, and ~80% of revenue comes from repeat customers.

Capacity and Expansion

- Current plant utilisation is ~93-94%.
- The new Vizianagaram plant adds 35,000 MT, roughly tripling capacity. Trial production is expected in December 2026/January 2027, with only a few weeks of delay from the cyclone.
- Utilisation is guided at 60-70% in FY28 and 85-90% in FY29.
- Management guides ~20% revenue growth in FY27 from the existing plant, plus incremental volume from the new plant. It then expects 40-45% YoY growth for the next 2-3 years, which it called modest.
- Management agreed with an analyst view that FY28 volumes could effectively double.
- Customers for the new capacity are not yet contracted, since India does not do long-term contracts. Management says current and new customers are excited about the capacity.
- No fundraise is planned and the company says it is well funded. Capex was not disclosed.

Sourcing

- ~90% of RCN is imported (West Africa: Ivory Coast, Nigeria, Benin, Togo, Ghana, Guinea-Bissau) and ~10% is local.
- Sourcing is direct from farmers, cooperatives and local agents, bypassing intermediaries. Management calls this its main moat and sees no sourcing risk in doubling volumes.
- Kernel outturn is typically 24-25% of RCN.
- Freight adds only ~0.5% to total cost. Management sees no need for long-term shipping contracts.

Margins and Currency

- INR depreciation is pressuring margins. The rupee moved from ~83-84 to ~87-89+ against the dollar.
- Mitigation is partial hedging and paying suppliers in advance, which acts as a natural hedge.
- FY27 EBITDA margin is guided down a few bps from FY26's ~14%. Operating leverage from the new plant should improve margins excluding currency. Even with currency pressure, margins should stay in the historical range.
- PAT margin is expected to stay in line.
- ASP should improve, though it depends on the market. Management cited W320 realisation of ~INR 820 per kg.

Working Capital and Cash Flow

- FY26 cash flow was negative because large supplier advances were paid in February-March ahead of expected INR weakness.
- It expects to turn cash flow positive this year or next.
- Working capital and finance cost will rise somewhat with the revenue jump.

Products and Brand

- Byproduct processing (e.g., oil) will be added in space earmarked at the existing plant after Q4FY27. It is expected to be ~10% of revenue at a couple of points higher margin, though this is early-stage.
- Phase 3 is cashew milk and paste. Whether to make them in-house or outsource will depend on demand.
- B2C expansion is selective, focused on profitability rather than chasing revenue. H1FY27 B2C sales already exceeded all of FY26. B2C is targeted at ~15% of revenue in 2-3 years.

Labour and Automation

- The current plant has ~470 workers, ~90% of them women. About 300 do manual peeling on a piece-rate basis, as in Vietnam.
- Core workforce is ~170, down from ~350 at half the capacity. Labour per kg is expected to fall further at the new plant.
- Monthly wages in India and Vietnam are similar, so cost per kg is comparable to Vietnam on the strength of automation.

Global and Industry

- Africa-based processing is taking share from Vietnam, not from India.
- The company plans to set up processing in Ivory Coast to serve the US and Europe. Management expects some international footprint by FY28.
- There are no central government benefits, but the state offers subsidies for setting up new plants.
- Seasonality: there is no fixed H1/H2 pattern. It depends on festival and wedding timing.

Paluck Technologies Ltd

Outlook: The company is positioning itself for a 20-30% near-term growth trajectory, with stronger growth potential from FY28 as recently raised funds are fully deployed. The key growth engines remain construction equipment rental and telecom, supported by long-duration contracts, improving fleet utilisation and strong customer retention. RMC expansion and genset-compliance conversion provide additional growth opportunities, while continued deleveraging should support profitability and cash-flow quality.

Business Overview

- Paluck Technologies operates across telecom services and construction equipment rental, with a pan-India presence and a fleet of 190+ units.
- The company works with major OEMs and customers across telecom, construction and automobile engineering, with ~20,000 customers/relationships.
- FY26 revenue stood at ~INR 1,110 mn, with EBITDA margin at ~22% and PAT of ~INR 140 mn.

Segment Mix

- Automobile engineering services contributed ~INR 560 mn, while construction equipment rental contributed ~INR 540 mn in FY26.
- Construction equipment fleet includes 92 transit mixers, 13 concrete pumps and 23 logistics trucks, with ~192 employees supporting operations.

Margin Expansion

- EBITDA increased from ~INR 140 mn to INR 250 mn, despite relatively stable revenue, while PAT improved from ~INR 21.7 mn to INR 140 mn over the last four years.
- Margin improvement was driven by better material-cost efficiency and significant debt reduction, which improved cash conversion and profitability.
- ROE improved to ~30% from 14%, while ROCE increased to ~45% from 17%; debt-equity declined to ~0.28x.

Growth Focus

- Future expansion is expected to remain focused on construction equipment rental and telecom, rather than adding multiple unrelated verticals.
- Management indicated an addressable infrastructure opportunity across real estate, highways, tunnels and railways, with industry growth estimated at ~20-23%.
- The company targets 20-30% growth going forward, supported by increasing utilisation of recently raised funds.

FY27-FY28 Outlook

- Revenue is expected to grow by over 20-25% in FY27, while FY28 growth is expected to exceed 40%, led by full utilisation of funds.
- Management indicated that both top line and bottom line could potentially grow at ~40% in FY28.

Telecom Contracts

- Telecom contracts are typically long-term, with 3-5 year tenures, and include price-escalation clauses.
- Price escalation is particularly favourable for difficult terrains, while annual POs are generally issued at prevailing prices, providing visibility on revenue and cost recovery.

Fleet Utilisation

- Construction equipment fleet utilisation currently stands at 70-80%, with peak practical utilisation estimated at ~80-85%.
- Equipment generally has a long useful life, with average life estimated at ~15-18 years, while payback is around 3.5-4 years.

RMC Expansion

- The company is commissioning RMC plants with revenue expected to commence in Q4FY27.
- Each plant is expected to generate ~INR 350 mn at peak, implying ~INR 700 mn potential revenue from two plants.
- One plant is expected to operate at ~80-90% utilisation based on planned capacity.

Genset Conversion

- Genset conversion to pollution-compliant systems represents a significant opportunity, particularly in North India due to pollution-related restrictions.
- Potential addressable customer base is estimated at ~200,000, while current conversion penetration remains <1%.
- Average ticket size is ~INR 0.5 mn, with typical margins of 18-20%; government subsidies of ~20-25% are available for eligible conversions.

Customer Retention

- The majority of contracts are long-term, typically 1-5 years, providing revenue visibility.
- Around 80% of customers are retained upon contract renewal, reducing the requirement for fresh customer acquisition each year.

Panache Digilife Ltd

Outlook: Panache Digilife is positioned for strong growth over the next 2-3 years, supported by AI and digital transformation momentum, China-plus-one supply chain realignment, Make in India and PLI initiatives, and rising demand across digital healthcare, smart cities and surveillance. Management reaffirmed its earlier guidance of ~50% CAGR over three years and expects to expand the DLM mix from ~20-25% to ~30-40% with DLM EBITDA margins of ~12-15%, while the ~INR 1 bn Technofire capex and the Hong Kong-based Quantron entity build contract manufacturing and global supply chain capabilities. With a healthy balance sheet, ROCE of ~25.6%, ROE of ~18.9% and net debt-to-equity of ~0.21x, the company is well placed to fund growth through internal accruals or a potential fundraise, though formal FY27 and FY28 guidance is expected in coming quarters.

Business Overview and Product Portfolio

Panache Digilife operates as an ODM with a diverse IT hardware portfolio spanning computing platforms, AV and displays, digital signage, telecom equipment including firewalls, switches and routers, device management software, set-top boxes, medical devices for digital X-ray machines and surgical displays, IoT gateway devices, and surveillance products such as CCTVs and NVRs. The company has built seven SNOCs across India with more in progress and has partnered with a Taiwan brand for manufacturing and distribution of touch displays in India.

Revenue Model and DLM-CLM Mix

Revenue is generated under three models: the client model, where sourcing and design come from the client; a collaborative approach, where the client brings the device and Panache handles manufacturing and sourcing; and the Panache ecosystem, where design, sourcing and IP creation happen locally. DLM currently contributes only ~20-25% of the mix, and management targets ~30-40% over the next 2-3 years with capex support, while CLM remains the larger share, with efforts to convert CLM clients to DLM.

Industry Tailwinds and Growth Drivers

Management highlighted AI and digital transformation momentum post-pandemic, import substitution under China plus one, Make in India initiatives including PLI, digital healthcare, and smart city opportunities as key tailwinds. Global brands, including Taiwanese and other international customers, are diversifying supply chains toward India, which is becoming a manufacturing base for electronics and computing platforms, driving adoption across signage, banking, airport automation, baggage scanning, and healthcare digitisation.

Financial Performance

Revenue grew at a ~58.6% CAGR from FY24 to FY26, with gross profit growing at a ~69.5% CAGR and gross margin reaching ~16.9% in FY26. Operating EBITDA grew ~109.5% in FY26, and PAT grew ~441%. Net debt-to-equity declined to ~0.21x from ~0.98x, while ROCE stood at ~25.6% and ROE at ~18.9%. For Q1FY27, revenue was ~INR 508.4 mn, operating EBITDA ~INR 52.1 mn and PAT ~INR 38.1 mn, a PAT margin of ~7.4%.

Company Scale and Capabilities

Panache has over 25 years of experience, more than 150 customers across over 15 countries, and an operating facility of over 50,000 sq ft. The company describes 360-degree ODM capabilities covering ideation, industrial design, prototyping, production, quality checks, packaging, logistics, and after-sales support including end-of-life support.

Capacity and Order Book

There is no rated capacity, since lines are interoperable across products, and capacity utilisation cannot be measured precisely, though the current facility will suffice for ~1-2 years of growth. The company does not maintain an order book, given short cycles, imported components and dollar pricing, and converts designs into POs on a monthly to quarterly basis.

Capex and Subsidiary Strategy

Technofire Digital's ~INR 1 bn capex is intended for contract manufacturing, with the entity being spun off as a subsidiary to house the CLM business, meet separate compliance requirements and deleverage Panache overall, allowing the parent to focus more on design and manufacturing. Technofire is expected to be primarily CLM with potential component PLI additions depending on qualification, and management is evaluating whether to fund via internal accruals or a fundraise.

Capital Allocation and Margins

R&D expenditure runs at ~1-2% of revenue and is not capitalised, with potential increases depending on product mix. Capital allocation prioritises working capital and utilising spare capacities of ecosystem partners, with capex focused on protecting design IP in manufacturing. DLM EBITDA margins are indicated at ~12-15%, with CLM lower and blended rates reflecting the mix.

Defence and Government Exposure

Panache does not directly focus on defence but participates indirectly through customers who supply components to defence as a supply chain. The company does not directly engage in government tenders, selling instead to OEM brands who sell to system integrators or distributors who handle bidding, with surveillance identified as a high-growth area expected to see significant growth by 2030.

Export Strategy and Global Expansion

Exports span over 15 countries, and the recently announced Hong Kong entity, Quantron, is focused primarily on building a component supply chain ecosystem from China, Taiwan and other global markets into India, with a secondary goal of business development into Asian markets. The strategy involves a make-in-China via Hong Kong shipment and make-in-India via India shipment model, with additional countries being evaluated for local manufacturing to serve global customers.

Working Capital Management

Management cited two decades of experience, tight ecosystem and vendor relationships, selective customer choices, shorter design cycles and MOQs, better customer forecasting amid component shortages, cleaner payment cycles, and linkage to government payments as factors enabling effective working capital management.

Guidance and Outlook

Management reaffirmed alignment with prior guidance of ~50% CAGR over three years given in 2024, with FY27 and FY28 guidance still being worked out and expected in coming quarters. Management expressed confidence in delivering strong numbers, described the business as on track, with significant near-term growth expected, and highlighted passion for designing and manufacturing from India with ambitions to lead both Indian and global markets.

Parag Milk Foods Ltd**Business and Financials**

- Parag Milk Foods is a dairy company, listed since 2016, with four in-house brands: Gowardhan (cow ghee, ~22% share of branded cow ghee at a premium price), Go (cheese), Pride of Cows (farm-to-home milk) and Avvatar (sports nutrition).
- The company says it is India's largest whey protein producer. Whey was historically a cheese by-product, and now management treats it as a strategic product in its own right.
- FY26 turnover was ~INR 38 bn, with gross block of ~INR 9+ bn.
- EBITDA margin is ~8-8.5%. Management expects double digits in the medium term and the early teens at INR 100 bn revenue. It declined to give a segment-wise EBITDA split.
- The distribution network has 29 depots, 4,500+ distributors and 460,000 outlets pan-India, with 300+ bulk milk coolers (BMCs).

New-Age Business (Avvatar)

- New-age is ~13% of Q1FY27 turnover. It grew 90% last year and 59% in Q1.
- Avvatar volume growth is ~84-85%, so it is not driven by pricing alone. Whey isolate prices have risen from ~INR 3,000-3,500 per kg to INR 7,000+ per kg.
- Gross margin for new-age is roughly double the company average.
- Bars are ~8% of Avvatar revenue. Newer formats are protein wafers, ready-to-drink coffee, a 26 g protein RTD coming soon, and protein pop chips launched about 10 days ago. Chips and bars are subcontracted.
- Newer formats are expected to reach ~40-45% of Avvatar in 2-3 years. No chip revenue target was given.
- About two-thirds of Avvatar sales come from its own website and marketplaces, with the website and quick commerce growing fastest. General trade is being added for the newer formats.
- Marketing is ~INR 1.4 bn a year, mostly performance marketing, plus KBC (5 years) and India's Got Latent. Avvatar searches rose ~250%, and 550% on episode days.

Paneer and Cheese Expansion

- Paneer: Capacity will rise 4x from 20 to 80 MT a day for ~INR 1 bn, with commissioning by June 2027 (a conservative estimate). Paneer has grown ~28% YoY for two years.
- Management cites the regulatory crackdown on analog paneer as a tailwind. It says India consumes ~4 mn kg a day, of which ~70% is analog. Parag expects strong HoReCa demand and 60-70% utilisation on commissioning.
- Cheese: Capacity will double from 60 to 120 MT for ~INR 1.05 bn as a brownfield project. Guidance is for completion by March 2028, but the project has been fast-tracked.
- Industry growth rates are ~12% for paneer, 25-35% for cheese and ~20% for dahi. India's per capita cheese consumption is ~0.5 kg versus 17 kg in the US.
- Ice cream is under consideration, but only with unique positioning.

Milk Procurement and Pricing

- Farmer prices rose after the summer shortage. Parag passed on the cost with calibrated price hikes across flagship products and schemes, and held blended gross margins.
- Festive demand may keep pressure on until Diwali, with stabilisation expected after.
- Procurement is ~2 mn litres a day against 3.5 mn litres of capacity. About one-third comes via own BMCs, with similar landed cost from aggregators.
- Management says it needs ~4 mn litres a day at INR 100 bn of revenue. It collects only 11-12% of the milk available in its areas, so supply is not seen as a bottleneck.

Margin Levers

- A mix shift towards new-age and premium products (Greek yogurt and lactose-free milk).
- Better by-product realisation, such as edible-grade lactose with pharma-grade lactose next.
- Cost optimisation projects with consultants, and fixed-cost leverage from scale.

Capex and Balance Sheet

- Capex is INR 2.05 bn for the two expansions plus INR 800-900 mn a year of routine capex (including cow sheds), or ~INR 5 bn over three years. No asset-turn target was given, and management says capex is not a constraint to the INR 100 bn aspiration.
- Net debt fell to INR 4.85 bn at 31 March. Debt-to-EBITDA improved from 3.2x to 1.6x, and debt-to-equity is ~0.4x.
- Another ~INR 1.2 bn of preferential warrant money is expected around November 2026 (INR 400 mn received in May 2025). Management may raise debt toward ~2x EBITDA for the expansions.

Industry and Competition

- The dairy industry is ~INR 10,000 bn, of which 41% (~INR 4,000 bn) is organised. About 35-40% of milk is retained by farmers, and loose milk and paneer dominate the unorganised part.
- Management does not see a new listed dairy entrant as a threat, since the competition is organised versus unorganised, not brand versus brand.

Paramount Communications Ltd

Outlook: Paramount Communications is targeting revenue of ~INR 50 bn by FY31, implying a CAGR of under 25%, with ~INR 25 bn each from the new Narmadapuram plant and existing facilities. The ~INR 3 bn Phase 1 greenfield capex, focused on EHV cables up to 132 kV and HTLS conductors, is expected to contribute ~INR 12 bn by FY29 at 75% utilisation, with Phase 2 adding 220 kV and 400 kV capabilities. FY27 top-line growth is guided at ~15% with sequential margin improvement to exit near FY25 levels. The company plans to maintain debt-to-equity below 0.3, having already raised ~INR 1.22 bn in equity, and expects volumes to double to ~55,000-60,000 tonnes at peak. Key risks are US tariff volatility (though contracts are now structured to shield margins) and execution of the greenfield expansion.

Company Background and Legacy

Paramount Communications, established in 1955 by S.S. Agrawal as a micro-scale housewire maker, evolved into a leading Indian wire and cable player across telecom, railways, and power segments. It developed axle counter cables for Indian Railways, indigenised EPABX exchange cables for Alcatel exchanges, pioneered aerial bunched cables for discoms, and was among the first Indian firms to set up optical fibre cable and jelly-filled copper cable units. It acquired UK-based AEI Cables in 2007, the world's oldest cable company, as a gateway to global markets.

Financial Restructuring and Turnaround

The 2008 Lehman crisis and commodity crash pushed the highly leveraged company into CDR by 2010, forcing an exit from new Indian plants and the UK subsidiary by 2014. It became NPA in 2015, debt was sold to ARC in 2016, and promoters infused ~INR 1.25 bn between 2016 and 2023. The company returned to profit in 2019 but faced a working capital ceiling of ~INR 6 bn until 2022. Promoters liquidated personal assets to keep the company afloat, demonstrating strong commitment.

US Market Entry and Export Trajectory

Leveraging the China-plus-one opportunity, Paramount entered the US supply chain when no Indian company was exporting cables there. US sales grew from ~USD 1 mn each in 2020 and 2021 to ~INR 1.2 bn in FY22, ~INR 4 bn in FY23, and ~45% of Q1FY26 sales. The company operates on a DDP basis, bearing tariff risk, and faced a sharp setback when the US imposed 25% reciprocal plus 25% Russian oil tariff (effective ~54%) on India in August 2025.

Tariff Impact and Mitigation

The FY26 US tariff shock turned exports EBITDA-negative for the year, but a strong domestic pivot helped deliver ~3.5% operating margin. Customers shared tariff burdens in varying ratios, and refunds following the US Supreme Court's cancellation of reciprocal tariffs began only in Q2FY27. The company has since renegotiated contracts so that tariff changes during shipment are borne by customers, and some customers shifted from DDP to FOB. It has adopted a wait-and-watch approach for October tariff decisions, with production for US orders paused.

Domestic Pivot and Growth Resilience

In FY26, H1 sales were ~INR 8.5 bn, with 43% from the US; H2 sales were ~INR 11 bn, with only 15% from the US, demonstrating sales channel fungibility. Domestic sales grew from ~INR 4 bn to ~INR 8 bn year-on-year. Revenue grew from ~INR 5.9 bn in FY22 to ~INR 8 bn in FY23, ~INR 10.7 bn in FY24, ~INR 15.5 bn in FY25, and ~INR 19.5 bn in FY26, a three-year CAGR of ~34-35%.

Margin Recovery and Guidance

Q4FY26 operating margin was ~5% and Q1FY27 ~6.5%, with sequential improvement guided each quarter. The company expects to exit FY27 with margins similar to FY25. FY27 top-line growth guidance is ~15%.

Greenfield Expansion at Narmadapuram

The company is investing ~INR 3 bn in Phase 1 capex for a greenfield plant near Bhopal for specialised cables and transmission conductors, including EHV cables up to 132 kV and HTLS conductors. Phase 1 is expected to complete in two years and generate ~INR 12 bn revenue by FY29 at 75% utilisation (~INR 15 bn potential). Phase 2 will expand into 220 kV and 400 kV cables with an additional ~INR 2-3 bn capex, targeting an asset turn of ~6x.

Long-Term Vision and Capital Structure

The company targets sales of ~INR 50 bn by FY31, implying a CAGR of under 25%, with ~INR 25 bn from Narmadapuram and ~INR 25 bn from existing plants. Current plants are capped at ~INR 22 bn revenue potential. Volume is expected to double to ~55,000-60,000 tonnes at peak. The company raised ~INR 1.22 bn in equity (INR 900 mn from investors, INR 300 mn from warrants), with INR 650 mn earmarked for capex and the rest for working capital. It plans to keep debt-to-equity below 0.3, with total debt at ~INR 1.2 bn against net worth of ~INR 9 bn.

Capacity and Utilisation

Current metal consumption is ~29,600 tonnes (up ~12% YoY), with FY27 volume growth guided at ~5-7%. Utilisation is practically 100%, with every new machine immediately deployed. The company prefers throughput in tonnes over kilometres as a capacity measure due to its wide product range from 1 sq mm to 1,000 sq mm cables.

Competitive Landscape and US Market Nuances

Competition in the US comes more from Vietnam and South Korea than Indian peers, with Chinese companies setting up transshipment units in Vietnam and Cambodia. US qualification took ~3 years from approval in 2019 to meaningful volumes in 2022, with certification taking 6-12 months but not guaranteeing sales. The company sees no benefit in setting up overseas units due to geopolitical uncertainty across Mexico, Canada and the Gulf, and believes India remains cost-competitive.

Management Philosophy and Risk Appetite

Management emphasises being "cautiously and responsibly aggressive," having learned from past over-leverage. It prioritises a balanced debt-equity mix and internal accruals, with the first bank limits after restructuring obtained only in August-September 2025 from Union Bank and Axis Bank.

Park Medi World Ltd

Outlook: Park Medi World is focused on scaling its hospital network while maintaining a capital-efficient operating model. The company plans to add 750 beds in FY27 and has a visible path toward 6,590 beds by September-October 2028, with incremental capex of INR 700-750 mn for the currently identified expansion plan. Occupancy at 57-58% provides headroom for revenue growth as new hospitals ramp up. Management expects revenue to grow at 22-23% CAGR over the coming years while maintaining EBITDA margins of 26-27% and PAT margins of 16-17%. The high government-payer contribution remains a key feature of the business model, while management expects the company to remain relatively insulated from potential affordability-related regulatory changes.

Strong Operating Scale-up

- Park Medi World has expanded to 17 operating hospitals with 4,290 beds across six states; 11 hospitals have been added through acquisitions. The company targets 5,040 beds by FY27-end.
- Management expects to reach 6,590 beds by September-October 2028, supported by new hospitals and the Narela acquisition.

Financial Performance

- FY26 revenue stood at INR 16.79 bn, EBITDA at INR 2.63 bn and PAT at INR 1.67 bn.
- Q1FY27 revenue grew 19% YoY to INR 4.76 bn, while EBITDA was INR 1.27 bn and PAT was INR 860 mn. Management indicated that profitability was slightly ahead of earlier guidance.

750-bed Capacity Addition in FY27

- The company plans to add 750 beds across four projects, taking total capacity to 5,040 beds by FY27-end.
- Key additions include 100 beds at Palam Vihar, 150 beds at Zirakpur and a 550-bed potential capacity at Narela. The Palam Vihar and Zirakpur facilities are expected to be commissioned in November 2026.

High Capital Efficiency

- Portfolio capex stands at only INR 3.7 mn per operating bed, with acquired hospitals at INR 4 mn per bed and greenfield hospitals at INR 2.7 mn per bed.
- Break-even is achieved at 30% occupancy, while capital deployed in a new asset is typically recovered through revenue within 10-12 months. EBITDA payback is around 3.5 years.

Occupancy Provides Room for Growth

- Occupancy was 63-64% in FY26 and moderated to 57% in Q1FY27 following a 32% increase in bed capacity. Individual hospitals continue to show sequential improvement in occupancy.
- Management expects blended occupancy to remain around 57-58% through FY28 as new capacity is added, providing headroom to increase revenue from existing assets.

Affordable Healthcare Model with Integrated Services

- The company follows an integrated hospital model with 100% ownership of its hospital assets, which management believes provides a 6-7% revenue advantage versus asset-light structures where part of revenue is shared with asset owners.
- Around 40% of beds are general wards, 30% critical care and 30% private/semi-private, allowing the company to serve a larger patient base at relatively affordable price points.

Large Patient Base and Government Payer Exposure

- The company treated more than 2.5 mn patients in Q1FY27 and expects to serve around 1.2 mn patients during FY27.
- Government schemes contributed 77% of revenue in Q1FY27, while cash/TPA contributed 23%. Management said the business model is designed to serve patients across the income pyramid rather than target a specific payment mechanism.

Growth Guidance Remains Strong

- Management expects FY27 revenue growth of 24% YoY and revenue growth of 22-23% CAGR thereafter. EBITDA margin is expected at 26-27% and PAT margin at 16-17% over the coming years.
- Management indicated FY29 operating revenue could reach INR 21 bn, with EBITDA margin of 26-27% and PAT margin of 16-17%.

Patel Chemical Specialities Ltd

Outlook: Patel Chemical Specialities is an Ahmedabad-based manufacturer of pharmaceutical excipients, with a product portfolio spanning microcrystalline cellulose (MCC), croscarmellose sodium (CCS), sodium starch glycolate (SSG), calcium CMC and other cellulose-based excipients. The company operates plants at Vatva and Talod, with a new 6,000 TPA Indrad facility under development. It is targeting ~20% revenue growth in the current year and aims to reach INR 5,000 mn revenue by 2030.

Manufacturing & Capacity Expansion

Vatva has 3,250 TPA mixed-product capacity and is operating at ~95-98% utilisation. The Talod facility has 4,500 TPA MCC capacity and is ready for commercial production, with utilisation targeted at ~30-40% initially and >90% next year. The upcoming Indrad plant will have 6,000 TPA capacity, comprising ~3,000 TPA CCS, ~2,500 TPA SSG and ~700 TPA calcium CMC. Trial runs are targeted for July-August 2027, followed by commercial ramp-up.

Product & Margin Profile

MCC margins are currently lower as the company entered the segment in 2022 and is still building scale. Sodium CMC margins are also relatively lower due to competition from Chinese suppliers, while CCS, SSG and calcium CMC offer better margins. The Indrad plant, with its higher-margin product mix, is expected to support margin improvement.

MCC Opportunity & Competitive Position

MCC is used across pharmaceuticals, nutraceuticals and food applications, with demand expanding into newer food and nutraceutical applications. Management believes its 4,500 TPA MCC capacity remains small relative to the overall market and does not currently see significant oversupply or pricing pressure. The company also indicated that established players face supply constraints, supporting opportunities for additional capacity.

Customer Base & Capacity Utilisation

Around 60% of Talod's targeted utilisation is expected to come from existing customers and customers currently under discussion, while another ~30-35% is expected from new customers. Vatva's high utilisation currently limits the company's ability to cater to incremental demand from existing customers, which the new Indrad capacity is expected to address.

Export Expansion

The company exports to 20+ countries, including the US, Russia, Egypt, Europe, Korea, Japan, Malaysia and Thailand. It has signed an exclusive marketing agreement for MCC in Italy, an exclusive distributorship agreement for calcium CMC in Japan and a non-exclusive marketing agreement for MCC in Egypt. The company is also expanding its distributor network and participating in international exhibitions.

Certifications & Manufacturing

Vatva has GMP certification and has been inspected by the US FDA. The company exports to the US through Patel Chem North America. Certifications for the Talod plant are currently under process. The Indrad facility is planned to use an ethanol-based manufacturing process, with the required licensing process underway.

Financial & Margin Outlook

Operating margin declined from ~15% in FY25 to ~12% in FY26, primarily due to expansion-related raw-material procurement and higher operating costs. Management expects margins to remain around previous levels but did not provide a firm EBITDA margin target due to volatility in fuel and raw-material prices. MCC prices have increased by ~10%, supported by higher fuel and raw-material costs.

Working Capital & Funding

Current working-capital requirement stands at ~INR 220 mn, with an additional ~INR 35 mn enhancement already applied for with banks. Further funding may be required for the Indrad project if there is a shortfall. Management also indicated that the business will require higher working capital as the expanded capacities ramp up.

Growth Guidance

Management targets ~20% revenue growth in the current year, with growth initially driven by the Talod MCC facility and subsequently by the Indrad plant. For the long-term INR 5,000 mn revenue target, management indicated a conservative ~10% net profit margin assumption. The company expects export expansion, higher utilisation and the shift towards higher-margin products to support growth.

Patel Engineering Ltd

Outlook: Patel Engineering is poised for steady growth over the next 3-5 years, driven by a strong hydropower and pumped storage pipeline worth INR 8,000-10,000 bn, of which it will selectively bid for INR 2,000-3,000 bn. With an order book of ~INR 140 bn, annual order inflow guidance of INR 80-100 bn, and a conversion ratio of 15-20%, revenue is expected to grow at 13-15% CAGR while maintaining EBITDA margins of 13-14%. Debt is targeted to remain below INR 15 bn, supported by INR 1.5-2 bn annual non-core asset monetisation, including land parcels and arbitration claims. The company's seven-decade expertise in hydro, tunnelling and irrigation, strong PSU relationships, and emerging opportunities in desalination and STP plants position it well to capitalise on India's infrastructure push and deliver consistent, margin-accretive growth.

Business Profile and Order Book

Patel Engineering is a seven-decade-old infrastructure company focused on hydropower, irrigation and tunnelling projects, with central PSUs such as NHPC, NTPC, SJVN and NEEPCO as primary clients. The order book stands at ~INR 140 bn, with ~65% from central PSUs and 30-35% from state governments and civic bodies. Hydro, tunnelling and irrigation together account for ~90% of the order book, with the balance 10% from urban infrastructure and roads.

Growth Guidance and Order Inflow

Revenue has grown at a CAGR of over 15% in the last five years, with profits growing similarly. The company targets INR 80-100 bn of new orders this year and expects this run-rate to continue for the next four to five years, driven by the hydropower and pumped storage push. Revenue is guided to grow at a CAGR of over 10-12%, with margins maintained at 13-14%. For the next five years, management sees at least 13-15% CAGR.

Hydro and Pumped Storage Opportunity

The government has a strong pipeline of hydropower projects, with ~30 GW expected in the next couple of years, translating to ~INR 1,500 bn of opportunity. Pumped storage adds another ~INR 2,000 bn opportunity with 40-50 GW expected. The company has already bid for over INR 200 bn of work in recent months, with another INR 300-400 bn in the pipeline to be bid by the end of this year. The overall opportunity is seen at INR 8,000-10,000 bn, of which INR 2,000-3,000 bn will be selectively targeted. The conversion ratio is expected at 15-20%.

Segment Margins and Retention

Hydro projects carry margins of ~15%, irrigation and tunnelling ~12-13%, and other segments ~8-10%. Blended margins are maintained at 13-14% due to hydro's dominant share. Retention money is generally 5% of project value, with some projects allowing retention to be drawn against bank guarantees. Mobilisation advance is typically 5% against bank guarantees, plus equipment advances of 5-10% of project value.

Bank Guarantees and Surety Bonds

Bank guarantee limits stand at ~INR 40 bn, with ~INR 30 bn utilised. BG costs are ~1-1.5% per annum. Surety bonds from insurers like New India Assurance, ICICI Lombard and Bajaj Allianz are increasingly being used for bid bonds and performance guarantees, backed by international reinsurers. Costs are currently similar at ~1%, but may decline as more insurers enter. Contingent liabilities of ~INR 30 bn are largely performance and retention bank guarantees.

Debt and Finance Cost

Consolidated debt rose to ~INR 12.93 bn, including working capital of ~INR 9.69 bn and term debt of ~INR 3.44 bn. Borrowing costs have reduced from 11-11.5% to 10.5-11% following credit rating improvement. The company targets keeping overall debt below INR 15 bn even as new projects require additional working capital. There are ~14-15 banking relationships, and pledge has been reduced to ~66% across the lender pool.

Non-Core Asset Monetisation

The company plans to generate INR 1.5-2 bn annually from non-core assets over the next 4-5 years, using proceeds for debt repayment. This year, ~INR 700-800 mn has already been realised from one land sale and sale of equity in a road project. Land bank is ~INR 8-9 bn, with Nagapattinam land at ~INR 3 bn not being actively pursued. Arbitration claims and awards total ~INR 30 bn, with INR 7 bn awarded and ~INR 23 bn under arbitration. Arbitration timelines are ~5 years, with dedicated teams for arbitration, legal recovery and real estate monetisation.

Land Monetisation

A 27-acre land parcel near Hyderabad was sold at ~INR 10 mn per acre, and discussions are ongoing for the balance ~400 acres in the same region. Bangalore land monetisation is targeted for closure this financial year. The 1,500 acres in Tamil Nadu are being explored for joint development rather than outright sale due to low immediate value.

Tunnelling and Emerging Segments

The company has completed ~11.95 km of tunnel, demonstrating TBM capability. Tunnelling opportunity in India is ~INR 10-15 bn across railways, roads and water segments. In desalination and STP plants, the company is exploring tie-ups with overseas players, particularly from the Middle East and Israel, combining their pre-qualifications with Patel Engineering's balance sheet. The strategy is to take 60-70% of projects from core areas and selectively evaluate other segments.

Competitive Positioning

Hydro projects have 4-5 competitors. Patel Engineering's edge lies in seven decades of experience in J&K, Himachal Pradesh and the Northeast, understanding of local geology and people, tie-ups with local contractors and crushers, and equipment already positioned near project sites for quick mobilisation.

Promoter and Management

Following the death of Mr Rupen Patel, his wife Janaki Patel serves as Chairperson and Non-Executive Director, involved in strategic decisions. Day-to-day operations are handled professionally by the board and management, with collective decision-making. The promoter family remains engaged in business growth.

Capital Allocation and Buyback

The company has not yet proposed a stock buyback but will take up the matter with the board. Management remains open to the idea given undervaluation, improving working capital and expected free cash flows.

PDS Ltd**Business and Q1FY27**

- PDS is a global fashion supply chain company with design-led sourcing (DLS), sourcing as a service (SAS), manufacturing and brand management. It sources from Bangladesh, India, Sri Lanka, Turkey, China and Vietnam and sells mainly to the UK, Europe and the US.
- FY26 GMV was ~INR 200 bn, revenue ~INR 130 bn and EBITDA ~INR 3.85 bn (~2.9%).
- Q1 revenue grew ~15% and PAT ~43%. The order book was up 23%+, and management says it is converting into revenue this quarter.
- UK and Europe are ~70-75% of business. In Q1, the US grew 45%+ and Europe 20%+. Top UK customers include Primark, Asda, Tesco and Sainsbury's.

Guidance

- Revenue guidance was earlier in the high single digits. Management hinted the historical 13-15% growth could return, but said it was too early to commit. The board will review after Q2 results.
- New-vertical investment is being cut by ~INR 400 mn a year, and management says it is on track for the full year despite quarterly blips. The US business should be profitable this year.
- Management says the 333/555 targets (INR terms not given) remain internal goals but may take 1-2+ years longer. The USD 5 bn GMV target would also move out, and 5% PBT would take more years. Mature verticals already earn 5-7% PBT.
- PAT margin was ~1.4% in FY26. Management called 3% achievable on a run-rate basis next year, said this year may be difficult, and asked for patience until the Q2 results.

Unit Economics

- DLS earns ~4-5% PBT, and mature verticals earn 5%+.
- SAS earns a 2-2.5% fee on GMV. About half goes to cost and half to PBT, so INR 10 bn of GMV yields ~INR 250 mn of revenue and ~INR 120 mn of PBT.
- SAS needs zero capital employed. The USD 5 bn GMV target was framed as ~USD 3-3.5 bn DLS and USD 1.5-2 bn SAS.
- SAS wins are chunky: a French supermarket contract of ~USD 250-260 mn a year over 5 years, and a US customer at ~USD 50 mn a year.
- Management says it avoids counterparties with credit risk, such as private-equity-owned retailers that will not give bank guarantees.
- DLS growth will come from share-of-wallet gains and new customers, which take 12-24 months. The UK is near saturation, Europe is next and the US is open.

Balance Sheet and Costs

- Net debt fell ~INR 1.05 bn in March. Long-term debt is only ~USD 15 mn (UK property, plus an India facility repaid this quarter).
- Finance cost rose YoY and QoQ in Q1 on higher factoring. Management says absolute interest cost this year will stay at or below last year's despite growth.
- Working capital days are low single digit and were zero or negative excluding New Lobster. Some pressure is showing as advances are given to stressed sourcing partners.
- Employee cost (~INR 3.4-3.5 bn a quarter) and other expenses (~INR 2.55-2.6 bn) are expected to stay flat at current run-rates through this year.
- Other income was ~INR 90 mn in Q1, mostly interest on ~USD 12 mn of QIP cash. This will fall as that cash is used.

New Lobster (Ted Baker)

- Q1 loss was ~USD 2.5 mn (~INR 240 mn).
- Plan A is to shrink the business to breakeven, and Plan B is a strategy review by ABG. No details were given.

Other

- Busana (Indonesia) JV: orders will be diverted to PDS's Bangladesh factories, with Busana training staff. A Hong Kong JV entity is being formed, and numbers are expected from Q1 next year.
- BCG project: now in implementation. E-auctions and the Coupa platform are live in a few verticals, with some gross margin benefit already.
- Incentives: subsidiary heads hold minority equity (e.g., 20-25% in Poetic Gem) and get dividends from their units. There is also a PDS ESOP and a joint-PL scheme.

PNGS Gargi Fashion Jewellery Ltd**Business and Financials**

- The company was carved out in November 2021 from the P N Gadgil & Sons group (190+ year legacy, plain gold jewellery topline of ~INR 50 bn). It is not directly promoted by the group, and it listed on the NSE SME platform through a ~INR 720 mn IPO.
- Revenue grew from ~INR 150 mn at carve-out to ~INR 1.45 bn in FY26. FY25 was ~INR 1.25 bn, which included a one-time ~INR 250 mn inventory sale to the parent's shop-in-shop (SIS) stores.
- That sale converted the SIS stores from FOCO to FOFO, because the GST service-tax portion under FOCO piles up and cannot be claimed as a cash refund.
- Products are 925 silver fashion jewellery and gifting, 14K natural diamond (launched November 2024) and 9K gold (launched last festive season).
- 14K natural diamond is ~INR 470-500 mn of revenue and 9K gold ~INR 30-35 mn. Silver is the balance.
- Target customers are millennials, Gen Z and working women under ~40. The average ticket size is ~INR 3,500-7,500. Silver ranges from INR 500-600 to INR 15,000, diamond from INR 8,000-10,000 to INR 35,000, and 9K gold averages INR 10,000-30,000.
- Customers typically visit 3-4 times a year.

Q1FY27 Performance

- Revenue grew only ~10% YoY, which management called disappointing.
- The cause was the parent changing to just-in-time inventory transfer (about 7 days ahead) instead of push sales. Consumer-level sales at the 34 SIS stores rose from ~INR 160 mn to ~INR 270 mn.
- Management also cited weak April-May demand (West Asia conflict, inflation, job uncertainty), with recovery in June during the monsoon sale.
- Management says the company's own inventory procurement is unaffected and that the policy change has no profit impact.

Network and Expansion

- The network is now 100+ outlets. It started with 34 SIS stores at the parent's showrooms and has added third-party SIS (Shoppers Stop) and EBOs in malls and on high streets.
- There are four models: company-owned COCO, FOCO with the parent, parent SIS on FOFO, and Shoppers Stop SIS on FOFO.
- Management guides 20-25 new locations this year, with 12 done and 3 more due within 1-2 weeks.
- Same-store growth is expected at 25-30% for new stores and no lower than ~15% at maturity. The oldest parent store is ~20 years old.
- Management expects 20-25% YoY growth, barring extreme conditions.
- Seasonality: Q3 and Q4 are the strongest (Dussehra, Diwali, Christmas, Valentine's Day), Q1 is a little better and Q2 is the weakest.

Unit Economics and Margins

- SIS stores under the parent operate on a fixed-margin arrangement, with the company selling to the parent at a 37.5% discount to the retail price.
- Company-run EBOs keep the full retail margin but bear rent, power, hospitality and staff costs. They break even in 15-18 months, and sales are ~2-2.5x inventory.
- EBO costs will drag EBITDA and PAT margins by ~200-300 bps over the next 2-3 years. Management expects margins to recover to earlier levels once EBOs mature and fewer new ones are added.
- The stated priority is profitable growth, not cash burn.

Strategy and Positioning

- The focus is silver, 14K natural diamond and 9K gold, positioned as a lifestyle brand backed by the Gadgil legacy.
- Management has no celebrity or heavy brand-marketing plans.
- There are no plans for lab-grown diamond. Natural diamond in 14K gold keeps buyback value.
- Management said BlueStone is a higher-end player (INR 40,000-75,000 AOV) and the company's diamond AOV is ~INR 30,000.

PNGS Reva Diamond Jewellery Ltd

Outlook: The company is targeting a 70% revenue CAGR over the next three years, supported by strong traction in diamond jewellery, a minimum 40% SSSG guidance for FY27 and the planned addition of 15 stores over the next 1-2 years. The company intends to gradually increase its EBO presence while leveraging the established PNGS SIS network to drive customer acquisition and geographical expansion. Management reiterated its long-term EBITDA margin guidance of 18-20%, with store-level profitability dependent on inventory turnover, brand acceptance and operating leverage. Key monitorables include execution of the store rollout, inventory productivity, working capital requirements, sustainability of SSSG and the pace of expansion beyond Maharashtra.

Growth Strategy & Guidance

- Management reiterated its target of 70% revenue CAGR over the next three years, driven by strong diamond jewellery demand, improving store productivity and expansion of the retail network.
- Diamond jewellery B2C sales increased from INR 1.95 bn to INR 2.58 bn and subsequently to INR 3.8 bn, reflecting growing consumer preference for studded jewellery amid elevated gold prices.
- Diamond jewellery's contribution to sales at PNGS stores has increased from ~7% to 12-13%, indicating improving customer conversion and product acceptance.

Store Expansion & Economics

- The company plans to open 15 stores over the next 1-2 years, including three already operational and three in the pipeline, followed by an addition of 5-7 stores annually through FY30.
- Average capex per store is estimated at INR 15-20 mn, with an additional inventory requirement of ~INR 120 mn.
- Management expects Maharashtra stores to achieve inventory turnover of ~1.5x within 3-4 years, while stores outside Maharashtra may take up to five years to mature.
- Expansion will be funded primarily through IPO proceeds and internal accruals, with borrowings or further capital raising considered for attractive growth opportunities.

Margins & Operating Performance

- Long-term EBITDA margin guidance is 18-20%, with quarterly margins expected to fluctuate based on product mix and operating expenses.
- The company reported a sharp improvement in Q1FY27 gross margins, supported by a favourable product mix and higher diamond carat sales.
- Management expects minimum SSSG of 40% in FY27, supported by growth in the existing SIS network and improving diamond jewellery penetration.

Distribution & Market Expansion

- ~95% of revenue currently comes from Maharashtra, highlighting significant headroom for geographical expansion.
- The company aims to gradually reduce its dependence on the PNGS SIS network by expanding EBOs, while leveraging the brand-building experience of PNGS Gargi to enter northern India.
- The e-commerce platform was launched shortly before the management interaction, providing an additional channel for customer acquisition.

Inventory, Working Capital & Related-Party Transactions

- Management indicated limited exposure to diamond price declines, as its inventory predominantly comprises smaller diamonds, which have witnessed relatively stable pricing compared with larger stones.
- Gold exchange sales increased to ~25% of sales from 13-17% previously, supporting affordability and customer conversion.
- The INR 3.8 bn IPO proceeds will primarily fund store expansion and marketing, while existing short-term borrowings are expected to decline through internal accruals.
- The blended commission paid to PNGS for SIS sales is ~4%, with no royalty payable for the use of the PNGS brand.

Polite Powertech Ltd

Outlook: Polite Powertech is positioned for strong growth over the next few years, underpinned by an order book of INR 11.3 bn, a dominant underground cabling opportunity across Gujarat and other states, and a government push toward underground cabling and GIS substations through 2032. The recent acquisition of a cable manufacturing unit enables backward integration, captive consumption and margin protection, while the emerging operation and maintenance division and GIS substation vertical add higher-margin, recurring revenue streams. With FY25 revenue of INR 3.41 bn and PAT of INR 130 mn, and a stated target of INR 6.5 bn topline for the current year, the company expects to sustain over 100% growth while maintaining PAT margins of around 11%. Key monitorables include the timing of the IPO, conversion of L1 orders into LOAs, working capital discipline as operating cash flow turns positive, and execution ramp-up in the newly acquired cable business.

Company Overview and Positioning

Polite Powertech Ltd is a Gujarat-focused EPC player incorporated in March 2023, with operations concentrated in underground cabling and GIS substations. The company has an order book of INR 7.3 bn in hand plus INR 4 bn where it is L1 with LOA pending, taking total visibility to INR 11.3 bn. Of this, roughly 85% is underground cabling work involving ST, NLT and LT cables. The company recently acquired a house wire and flexible cable manufacturing company, handed over in the last week, marking backward integration into cable manufacturing.

Backward and Forward Integration Strategy

The acquired cable manufacturing unit is located in Baroda near other cable companies such as Ahrar Cable, GAC, Diamond Power and Waltemp. Existing house wire and flexible cable capacity can generate approximately INR 1.5 bn revenue at full utilisation. A new expansion of INR 300 mn is underway for a 630 sq mm single core LT cable plant, targeting total revenue capacity of INR 3 bn. Further expansion of INR 500 mn is planned for FY27-FY28, including elastomeric cable manufacturing, which could take total capacity to INR 8-9 bn revenue. The strategic rationale is captive consumption of cables for EPC projects, which currently account for 2-3.5% of purchase cost, helping maintain PAT margins of around 11% in a competitive environment.

Order Book and Execution

The current order book of INR 11.3 bn carries an average PAT margin of approximately 11%. Execution timelines vary by order, broadly divided into 12-month, 15-month and 18-month categories. The company qualifies for single orders up to INR 1.5 bn directly, and participates through JVs where it does not independently qualify. The major customer base includes Gujarat state PSUs such as BGVCL, UGVCL, DGVCL, GETCO and MGVL, along with private clients including Siemens, Suzlon and Polykem India Ltd. Competitors include Rajesh Power, Park Electrical, Viviana Powertech and Edwin Energy. The company holds GETCO A-Class approved contractor status and participates in GIS substation tenders up to INR 2 bn.

GIS Substation Opportunity

Management highlighted GIS substations as a major forward integration focus, replacing ageing AIS substations across metro and mega cities. GIS offers 70-80% land savings, a 40-year lifespan versus 25 years for AIS, lower annual maintenance shutdown requirements, higher reliability and better safety. The company has already won a GIS substation project and is bidding for another tender in Daman involving build-install-maintain over 35 years with 100% subsidy and a distribution licence requirement. The GIS vertical is cited as the highest-margin vertical, with a 30% gross margin.

Operation and Maintenance Division

A new recurring revenue division is being built around operation and maintenance of RMUs and HT connections. Gujarat currently has approximately 20,000 RMUs, of which 5,000 are in the DGVCL area of South Gujarat. The current INR 11 bn order book includes 2,000 RMU installations, with maintenance targeted at INR 80,000-90,000 per RMU per year, implying roughly INR 170-180 mn annually. Additionally, around 4,000 private HT customers in South Gujarat are targeted for annual maintenance contracts of approximately INR 0.1 mn each. This division carries 45% gross margin and provides recurring revenue visibility.

Financial Performance and Cash Flow

FY25 revenue stood at INR 3.41 bn with PAT of INR 130 mn, while H1FY26 revenue was INR 970 mn with PAT of INR 107 mn. The company reported over 100% revenue CAGR over the past two years. Operating cash flow has remained negative at INR 4.646 mn and INR 81.6 mn respectively, which the CFO attributed to the inherent working capital intensity of EPC businesses, including retention money and tender-related margins. Management expects the operating cycle to trend toward zero and turn positive over time as the business matures. Inventory days are around 6-7 days. Current fund-based limits are INR 200 mn and non-fund-based limits are INR 800 mn, totalling INR 1 bn. The company has not availed mobilisation advances despite eligibility, preferring to use internal accruals and working capital. Payment cycles from Gujarat government PSUs are 45-60 days, and management noted no historical payment delays from these profitable PSUs.

Risk Mitigation

The company avoids overhead transmission line work, which constitutes less than 1% of the order book, because of right-of-way and private property objections that cause project delays. Underground cabling is laid along highways, municipal roads and panchayat roads, making approvals easier. Price escalation clauses are built into most government tenders and are typically closed, insulating margins from metal price fluctuations. Insurance covers theft, third-party damage and force majeure for large orders.

Market Opportunity

Gujarat has an 11 kV network with ~1 mn kilometres pending underground cabling, while Maharashtra has ~600,000 kilometres pending. The government targets underground cabling across India by 2032, with tenders worth approximately INR 3,000 bn expected. Recently, INR 60 bn of tenders were floated in West Bengal and Bihar, with another INR 60 bn expected in Gujarat next month. Management views the next 20 years as having no shortage of underground cabling market.

Capital Allocation and IPO Plans

The cable manufacturing expansion is being funded through term loans for plant and machinery and working capital loans. The EPC project side is funded through IPO proceeds, including repayment and capital expenditure. The company had previously raised INR 220-230 mn at a INR 2 bn valuation through a 10.89% equity dilution, against a PAT of approximately INR 130 mn and revenue of INR 1.55 bn at the time. Management had committed to investors that revenue would exceed INR 2.5 bn and PAT INR 270 mn by March, and achieved INR 3.41 bn revenue and INR 370 mn PAT. No investor has sought an exit or OFS. The company is planning an IPO this year, with exact timelines to be finalised in consultation with merchant bankers.

Prataap Snacks Ltd**Strong Volume-Led Growth & Positive FY27 Outlook**

- Prataap Snacks delivered ~20% YoY revenue growth in Q1FY27, with ~17-18% growth driven by volumes, indicating improving underlying consumption and traction from new launches. Management remains confident of double-digit revenue growth in FY27, supported by stronger performance across product categories, deeper distribution, quick commerce and improved execution.

Structural Margin Expansion Remains a Key Focus

- Despite significant inflation in key inputs such as palm oil (~20%) and packaging material (~30-35%), management has largely protected margins through calibrated pricing, cost control and operational efficiencies. The company is targeting 9-10% sustainable operating margins over the next 2-3 years, with a 2-3% structural cost-saving opportunity across operations, logistics and distribution.

Namkeen to Drive Product Mix & Higher Price-Point Growth

- Namkeen is a major focus area, with its contribution already increasing from ~18-19% three years ago to ~22% currently, versus ~45% of the overall organised snacks market. Management expects namkeen to grow faster than company revenue, supported by new product launches, expansion within the existing retail network and increasing penetration of family packs and higher price points through quick commerce, modern trade and exports.

Distribution Leverage & Manufacturing Optimisation

- With a reach of ~2.5 mn outlets, management is focused on monetising the existing distribution infrastructure rather than making significant incremental investments. Product-category penetration remains relatively low for namkeen, creating an opportunity to expand its presence across existing outlets, while manufacturing consolidation, including the new namkeen line in Kolkata and the planned automated Indore facility, is expected to reduce inter-plant transfers and logistics costs.

Operating Leverage & Cost Efficiency to Support Profitability

- The company has already invested significantly in building its distribution network, which should allow future growth to translate into operating leverage. Management is targeting 75-100 bps savings in logistics costs, while channel margins have reduced from ~14% historically to ~9.5% currently, with further calibrated optimisation possible; together with plant automation and lower freight costs, these initiatives are expected to improve profitability over the next 1-2 years.

Prime Cable Industries Ltd

Outlook: Prime Cable Industries is positioned for strong growth, guided by 40-50% near-term revenue growth and a minimum 40% CAGR through FY29-FY30, supported by a projected 5x expansion of the Indian cable market by 2030 and a persistent five-year supply deficit across LV, MV and HV segments. The company is expanding its MV presence from 7 to 21 states, commercialising a new INR 1.5 bn MV facility with peak potential of INR 2.5 bn by March 2027, and targeting 85% utilisation across three plants by FY28. With a balanced 50:50 LV-MV revenue mix by FY28, a growing EPC-driven order book, 80% of orders protected by price variation clauses, zero bad debts and a conservative funding policy based on internal cash generation, Prime Cable appears well-placed to capture India's underground cabling, solar and grid modernisation demand while sustaining blended EBITDA margins of 12-12.5%.

Revenue and Guidance

- Prime Cable Industries targets 40-50% near-term revenue growth and a minimum 40% CAGR through FY29 and FY30. The company quadrupled manufacturing capacity by 2020 and has broadened approvals across 20+ state transmission and distribution boards, all Navratna companies, and every operating oil refinery in India for LV cables.

Market Size and Demand

- The 2024 Indian cable market was valued at ~INR 1,000 bn, with MV cables representing 30% or roughly INR 300 bn. The total market is projected to expand 5x by 2030. A structural demand-supply gap exists across LV, MV and HV segments, expected to persist for five years. Key demand drivers include the government's shift from overhead to underground cabling for disaster resilience, exemplified by the Robust Gujarat project requiring approximately INR 220 bn in MV cables, alongside sustainable energy, grid modernisation, and nationwide electrification.

Revenue Mix and Customer Channels

- By FY28, the target mix is 50% LV cables (solar, conductors, power, control, instrumentation) and 50% MV cables (3.3 kV to 33 kV). EPC contractors now generate over 50% of revenue, up from 30% two years ago. The strategy involves supplying state power boards and Navratna companies first to build track records, then unlocking higher-volume EPC orders on superior payment terms. MV utility presence expanded from 1 to 7 states, with plans to enter 14 more over two years.

Product Portfolio and Certifications

- The company manufactures LV and MV cables from 3.3 kV to 33 kV across 600+ SKUs, with third-party quality verification for nearly all MV SKUs. It secured in-house NABL certification for its MV testing laboratory, enabling testing of sensitive cables for state utilities and Navratna enterprises. In solar cables, against an INR 50-60 bn domestic market, Prime Cable obtained a BIS licence after a 365-day accelerated UV ageing test, generating initial orders of INR 70-80 mn. BIS certifications were expanded across aluminium conductor standards IS 398 (Parts 2, 4, 6), with AL59 conductors developed, STLS conductors under research, and covered conductors added.

Margins and Cost Savings

- LV cables yield 9-12% EBITDA margins; MV cables yield 14-15%. At peak utilisation across all three plants by FY28, blended EBITDA margin is projected at 12-12.5%. Continuous process optimisation, material polymer experiments, and R&D design efforts aim to minimise production costs and maintain price competitiveness.

Order Book and Breakup

- Prime Cable holds MV orders from four major Navratna companies. In LV, it serves 600+ EPC contractors, maintains approvals in 20+ state transmission and distribution boards, and is approved with every operating oil refinery in India. Initial order sizes in new institutional segments are capped until a proven utility supply track record is built. PQRs, type testing, third-party lab validations, and BIS licences are prerequisites.

Capacity, Utilisation, and Expansion

- LV capacity was quadrupled by 2020 and reached over 350 units by 2024, with MV entry in 2025. The Ghiloth campus in Rajasthan is at 80% utilisation. Management targets 85% peak utilisation across all three plants by end-FY28. A new MV expansion goes live next month, adding INR 1.5 bn initial revenue capacity, with peak potential of INR 2.5 bn by March 2027.

Working Capital and Receivables

- The MV manufacturing cycle is 40-45 days, plus 40-60 day client payment terms, creating an 80-100 day baseline working capital cycle. Increasing EPC revenue contribution is expected to shorten this to approximately 70 days. State utility receivables have improved substantially over five to six years due to power distribution reforms, resulting in zero bad debts. Payment cycles are being optimised via the TReDS portal and vendor financing.

Capex and Debt

- Prime Cable completed INR 300 mn of capex during FY26 and is investing an additional INR 100-150 mn in the current year. Management maintains a conservative debt stance, keeping leverage low and funding future expansions through internal cash generation.

Raw Materials and Commodity Price Protection

- To shield profitability against copper, aluminium, PVC, and XLPE price fluctuations, approximately 80% of the order book is covered under price variation clauses. Fixed-price contracts manage metal price risk through back-to-back vendor orders or MCX hedging. While raw material inflation may slightly compress percentage margins on a higher revenue base, absolute rupee profits remain protected.

Competitive Moats and Entry Barriers

- Emerging entrants such as UltraTech (Aditya Birla Group) target the retail housing wire market rather than institutional B2B power cables. Entering B2B power cables requires extensive type testing, third-party lab validations, BIS licences, PQRs, and multi-year utility performance track records, creating barriers that take three to five years to establish regardless of capital backing.

Prime Fresh Ltd

Outlook: Prime Fresh is transitioning from a legacy service business to a scalable fruit and vegetable (F&V) supply chain model, targeting top-line growth of 30-35%. The company is focusing on geographical expansion, product diversification and a shift towards a third-party distribution model to improve margins and reduce operating costs.

Business Operations

- **Core Segments:** The company operates a legacy service business (10% of sales) and a primary F&V supply chain business focused on procurement, processing and placement.
- **F&V Model:** Procurement is 55%+ direct from farms, utilising a network of 130,000+ farmers and 200+ aggregators.
- **Sales Channels:** An omnichannel strategy spanning APMC partners, modern trade, e-commerce and food processors.
- **Product Portfolio:** Primary products include onion, pomegranate, orange, grapes, banana, sweet lime, potatoes, apple and mango, with new entries into green chilli, green peas and tomato.

Financial Performance & Guidance

- **FY26 Results:** Consolidated sales of INR 2.75 bn and PAT of INR 140 mn, handling ~65,000 tonnes.
- **Growth Targets:** Medium-term tonnage growth is projected at 20-25%, with value growth expected between 30-35%.
- **Margin Guidance:** 3PL EBITDA margins range from 9.5% to 12%, while F&V margins range from 4.5% to 9%.
- **Working Capital:** Targeting a cycle of 85-90 days.

Growth Strategy & Expansion

- **Geographical Focus:** Sourcing expansion into Madhya Pradesh, Uttar Pradesh and Karnataka, and sales expansion into northern, north-eastern and southern markets.
- **Value Addition:** Moving into frozen products and expanding the imported fruit vertical.
- **Distribution Shift:** Transitioning to a third-party distribution model to leverage existing relationships and reduce costs related to wages and travel.
- **Exports:** Exports are expected to become a key growth driver within the next 3-5 quarters.

Risks & Mitigation

- **Seasonality:** Q3 is historically the weakest period; the company is adding categories like orange, potato, and green peas to eliminate this volatility.
- **Perishability:** Manages stock loss (1-5% at various stages) through a strict "landing cost plus margin" pricing model and maintaining a fast stock churn of 10-16 days.
- **Market Risks:** Mitigates export bans and climate volatility through product and geographical fungibility.

Capital Expenditure & Ownership

- **Capex Plan:** Investing INR 450 mn over the next 18-24 months in the NASIC cluster development project, with INR 200 mn expected as a grant and INR 200 mn as debt.
- **Promoter Holding:** Expected to increase to approximately 50-55% in FY27 following the conversion of warrants.

Priority Jewels Ltd

Priority Jewels is positioned to benefit from the structural shift towards affordable, lightweight and everyday-wear jewellery, supported by its 8,000+ annual design launches and expanding customer base. Capacity expansion to ~1,000 kg, alongside higher utilisation and broader Tier-2/3 penetration, should support growth over the medium term. Export and lab-grown capabilities provide additional optionality, while gold hedging limits commodity-price risk. Sustaining Q1FY27 margins and converting the additional capacity into higher volumes remain the key monitorables.

Business model: Priority Jewels is a pure-play B2B, design-led diamond-studded jewellery manufacturer with end-to-end capabilities from design to manufacturing, serving 200+ customers across India, the Middle East, Europe and the US.

Affordable jewellery focus: The company is focused on lightweight, affordable and everyday-wear diamond jewellery, using design and technology to offer larger-looking products at lower price points.

Strong design engine: The company develops 8,000+ new designs annually, supported by customer sell-through data, market research and trend analysis, which remains a key competitive differentiator.

India-led business: India contributes ~50% of revenue, with the balance coming from the Middle East, US and Europe. Q1FY27 export contribution was also ~50%.

Studded jewellery dominates: Studded jewellery contributed ~80-85% of Q1FY27 revenue, while the company also has a growing presence in plain gold and lab-grown diamond jewellery.

Customer diversification: The top five customers contributed ~33% of overall revenue, while the contribution of the largest customer declined from INR 800 mn to INR 560 mn in FY26 as the company expanded its customer base.

Affordable category growth: Everyday affordable jewellery is growing at ~14% CAGR, with rings and earrings being the fastest-moving categories. Management expects continued opportunity from Gen Z and working-women segments.

Gold carat shift impacts volumes: Gold production declined from 580 kg in FY24 to 567 kg in FY25 and 458 kg in FY26, primarily because the mix shifted sharply from 18-carat to 14-carat and 9-carat jewellery as gold prices increased.

Capacity utilisation: Although installed capacity is ~700 kg, management indicated that the facilities are currently fully utilised; lower reported gold volumes reflect the reduced caratage rather than weak piece-level production.

Capacity expansion: The company plans to add two floors to its existing MIDC facility, taking capacity towards ~1,000 kg over the next 18 months, subject to Airport Authority approval. Capex is estimated at ~INR 100 mn.

Healthy margin profile: Q1FY27 PBT margin was ~4.4%, versus ~3.5% in FY26, while management indicated that the improved margin level is sustainable, although it does not provide formal forward guidance.

Strong financial trajectory: FY26 revenue stood at INR 5.38 bn, while Q1FY27 revenue was INR 1.46 bn. EBITDA grew at a 31.8% CAGR during FY24-26 and PAT at a 57.1% CAGR.

Improving returns and leverage: ROE improved to 18% and ROCE to 27.7% in Q1FY27, while the debt-equity ratio declined materially from 1.32x to 0.76x.

Gold price risk largely hedged: Gold is procured through Gold Metal Loans from banks, with ~118 days available to complete the transaction. The company fixes the gold price with the bank when jewellery is invoiced, resulting in minimal gold-price exposure; GML cost is ~4% per annum.

Working capital: Domestic receivables are ~60-75 days, export receivables ~100 days, inventory ~60-70 days and payables ~45 days. Management expects the working-capital cycle to improve going forward.

Diamond business economics: Jewellery sales carry ~12% gross margin, while diamond sales generate materially higher gross margins of ~20-30%. Diamond sales also partly arise from residual inventory and customer-specific procurement requirements.

Exports offer runway: The company has customers across the US, Middle East and Europe, including both Indian-origin retailers and local customers. Management has not seen any material geopolitical impact on Q1FY27 exports so far.

Expansion into higher-value jewellery: The company is partnering with industry experts to address the higher-value studded jewellery segment, particularly products using 0.5-carat-plus diamonds, complementing its existing lightweight/smaller-stone proposition.

Lab-grown optionality: Priority is already manufacturing lab-grown diamond jewellery for export customers and can shift production for domestic customers as demand develops. Management highlighted that the price gap versus natural diamonds is much wider in larger stones, while smaller stones currently have limited price differentiation.

Tier-2/3 opportunity: The company plans to expand into Tier-2/3 markets and increase exposure to 22-carat, 18-carat, 14-carat and 9-carat jewellery. Importantly, changing gold colour/caratage does not require significant incremental machinery.

Competition and differentiation: Management sees design capability, rapid newness and the ability to deliver affordable lightweight products as the key differentiators amid increasing B2B jewellery competition.

Pro FX Tech Ltd

Outlook: Pro FX Tech is positioned for steady growth on the back of at least 20% year-on-year revenue guidance, a hybrid distribution model, and an 800-strong reseller network spanning metro to tier-three India. The upcoming experience centres in Chennai, Mumbai, Delhi, Ahmedabad, Pune and Kolkata should deepen market reach, while the domestic assembly plant, operational by December, is expected to cut import duties by 10-11% and restore COGS toward 70%, lifting margins. With a premium HNI/UHNI focus, exclusive rights to 14 global brands, and upfront execution fees protecting working capital, the company is well-placed to navigate forex volatility and an unorganised competitive landscape, though near-term margin pressure and currency risks warrant monitoring.

Revenue

- Management guides to at least 20% year-on-year revenue growth, backed by steady consumer demand for audio-visual products in residential and commercial segments.

Revenue Mix and Distribution

- The company runs a hybrid model: direct-to-consumer showroom sales contribute about 30% of turnover, while B2B sales through authorised reseller partners bring the remaining 70%. Residential clients dominate at 85% of revenue. Product sales make up 95-96% of revenue, with after-sales support, installation, and maintenance contracts contributing 4-5%.

Reseller Network and Reach

- Pro FX Tech covers metro, tier-two, and tier-three cities via over 800 authorised reseller partners. These dealers offer local language fluency, cultural familiarity, and local follow-up, enabling wide market penetration without company-owned stores in every market.

Target Clients and Pricing

- The business serves HNIs and UHNIs, including Indian corporate leaders. Affluent HNI clients form the core base, UHNI clients account for the top 10% of revenue, and upper-middle-class buyers contribute roughly 10% at the lower end. The company avoids commoditised low-cost products and sets a minimum solution entry price of about INR 0.1 mn for a complete audio setup including speakers, music source units, and amplifiers.

Product Portfolio and Imports

- The portfolio spans high-end audio-visual equipment: speakers, amplifiers, specialised cabling, source devices, projectors, and large projection screens across nearly 800 SKUs. Standard televisions are excluded due to commoditisation. Imported items account for 95% of product sales, billed mainly in US dollars, with some purchases in British pounds.

Brand Partnerships

- Pro FX Tech handles 16 brands: 14 international and 2 Indian. It holds exclusive Indian distribution rights for 14 brands; only two international brands follow dual-distributor policies in India. Key partners include Denon and JBL, working with Samsung and Harman's Indian operations for specialised home audio installations.

Experience Centres and Expansion

- Four active experience centres operate in Bangalore, Mysore, Coimbatore and Kochi. Expansion this financial year includes Chennai, Mumbai, and Delhi, followed by Ahmedabad, Pune, and Kolkata next financial year. Each centre averages 3,500 sq ft with capex of INR 25-35 mn. The company also builds corporate experience centres for clients like Tata, Adani, and Manipal University.

After-Sales Support

- A dedicated network of 31 service centres across India handles post-sales technical support, repairs, and maintenance. For premium residential and institutional clients, Annual Maintenance Contracts offer scheduled quarterly or semi-annual checkups.

Forex, Pricing, and Margins

- The company absorbed an approximate 12% adverse forex impact from US dollar appreciation, which also raised import duty base values and ocean freight. It mitigates cost inflation through quarterly price revisions, with at least 10% overall price increases in stages, including hikes in December and April. COGS rose from ~70% in FY25 to ~74% in FY26, causing a temporary margin hit; management expects normalisation back toward 70% this financial year. Gross margins exceed 35% for direct D2C showroom sales and are 20-25% for B2B dealer sales.

Domestic Assembly and Duty Benefits

- An 8,000 sq ft domestic assembly plant is being built with initial capex of ~INR 15 mn, expected operational by December. Importing complete speakers attracts 22% duty, while importing components for local assembly attracts 11%, yielding 10-11% direct duty savings. Local assembly boosts bottom-line margins, meets "Make in India" prerequisites for government projects, and prepares for potential future import caps on finished electronics.

Prostarm Info Systems Ltd

Prostarm Info Systems is a power electronics manufacturer of UPS systems, inverters, hybrid solar inverters, lithium batteries and BESS, competing largely with global MNCs (Schneider, Vertiv, Eaton, Hitachi) rather than local players in its critical/customised UPS segments. The company recently won a single 3 MW UPS order, its largest standalone installation to date, and is deepening its presence in metro, airport, railway, defence and oil & gas verticals, with data centre as an emerging opportunity. On BESS, the earlier utility-scale "top band" project has been cancelled amid sector-wide disruption from volatile lithium cell pricing and China-driven supply-chain curbs; the company has pivoted toward C&I BESS orders (~INR 330-340 mn taken, against ~INR 350 mn billed) and is working on a non-Chinese supply chain and a potential BESS export opportunity. Management guides to ~20-25% BESS-segment growth for FY27, EBITDA margins of 13-14%, and per-vertical UPS revenue potential of INR 1-1.5 bn over the next 1-2 years. Operating cash flow was negative INR 480 mn at March-end, improving to negative INR 150 mn in June. Key monitorables are lithium pricing and China supply-chain developments, execution of the Bihar and Karnataka BESS projects, data centre/export order conversion, and margin trajectory.

Business Model & Positioning

- Prostarm has operated since 2008, initially focused on IT and BFSI (banks, ATMs), before broadening into UPS, inverters, hybrid solar inverters, lithium batteries and, more recently, energy storage systems.
- A 2020 acquisition of a Pune-based UPS technology company enabled entry into metro, airport, railway, healthcare, toll and defence applications, with installations at Patna metro, Bengaluru and Nagpur airports, and UPS/storage supply to Northern and Western Railways.
- The company also supplies customised UPS for continuous-process machinery (laser cutting, laser welding) and complex oil & gas applications requiring transformers, servo stabilisers and control panels; few Indian players compete in this segment.
- Management's stated strategy is to compete mainly against global MNCs (Schneider, Vertiv, Eaton, Hitachi, Fuji) in these critical/customised verticals rather than local players, which it sees as an easier position once initial qualification barriers are cleared.
- A new Ahmedabad UPS factory now builds large-capacity UPS in-house; the company has supplied 1.2 MW and 1.8 MW installations and most recently won a 3 MW UPS order, which management describes as unmatched by any other Indian company on a standalone basis.
- The lithium-ion assembly business began in 2020, initially supplying batteries for the company's own UPS/inverter/solar applications; a 1.2 GWh BESS assembly plant was subsequently added.

BESS: Strategy Reset & Current Order Book

- The earlier utility-scale "top band" BESS project has been cancelled as not economically viable; management declined to give further details, citing a pending, undisclosed non-Chinese supply-chain development and export-market discussions (including factory visits) still in progress.
- Given sector-wide disruption, the company has deliberately slowed aggressive BESS manufacturing to focus on the C&I segment instead of utility-scale projects.
- Current BESS-related orders total ~INR 330-340 mn (~INR 215 mn of BESS to be executed this year, plus ~INR 135 mn of C&I UPS-with-lithium), against ~INR 350 mn already billed from the newly commissioned infrastructure.
- Two new facilities have been announced: a 1.2 GWh BESS assembly plant at Jhajjar (focused on C&I with some utility exposure) and a UPS facility at Bakrol spanning 1 kVA to 500-600 kVA capacity.

BESS Developer Projects (Bihar & Karnataka)

- The Bihar developer project has completed site inspection and testing and remains on track to go live by the end of this financial year.

- The Karnataka developer project has a timeline extending to October 2027; management is simultaneously evaluating a possible hive-off of this project, with a decision expected once discussions mature.
- Margins on both projects have compressed versus original expectations but remain positive, and management believes completed execution will strengthen the company's qualification credentials for larger future orders.

Guidance: Growth & Margins

- FY27 BESS-segment growth guidance stands at 20-25%, plus incremental upside from a potential export order that management believes could be materially additive once sample approval (~10 units) is secured.
- EBITDA margin guidance has moderated to 13-14% (from an earlier 14-15% range) due to rising freight and local input costs, which management characterises as a "passing phase."
- FY28 guidance was not provided, with management indicating more clarity will emerge with Q4 results once input costs and government spending stabilise.
- Management reiterated a target of INR 1-1.5 bn of revenue per UPS vertical over the next 1-2 years, unchanged from prior guidance.
- Data centre UPS demand is expected to scale meaningfully over the next 2-3 years (India's data centre market estimated at ~USD 13.1 bn, or ~10-12 GW by 2030, implying UPS sizing of roughly 2-3x that in GWh terms), though execution timelines are slower than in defence or railways.

Lithium Pricing & Supply Chain

- Lithium cell/BESS bid pricing has moved from as low as ~USD 1.5/kWh a year ago to a recent Maharashtra utility bid at ~USD 2.35/kWh; management does not consider USD 2.35/kWh fully workable given ongoing supply-chain disruption.
- China has imposed incremental duties on lithium cell exports (6% from January, a further 4% from April) and is reducing export benefits toward nil by January 2027, driving price volatility; recent pricing has moved as high as ~USD 67-70/kWh-equivalent versus an expected ~USD 43-44.
- Management does not consider current utility-segment BESS bidding economically viable given these dynamics, and reiterated it is working toward a non-Chinese, reverse-integrated supply chain for both lithium cells and PCS (power conversion systems), which are currently sourced from China/other external suppliers.

Margin Drivers

- Margin profile varies by product: customised, highly engineered orders (e.g., metro railway UPS, competing against MNCs) carry higher margins than standard C&I orders, and incorporating lithium (UPS-plus-lithium/BESS-style offerings) also lifts margins, as few MNC UPS players offer an integrated lithium basket.
- Management flagged that quarterly revenue mix (system integration, manufacturing power solutions, BESS EPC) can swing materially based on order execution and ticket size, and advised viewing performance on a year-on-year rather than quarterly basis.

Cash Flow & Working Capital

- Operating cash flow was negative INR 480 mn at March-end (FY26 year-end), improving to negative INR 150 mn in June, with further improvement expected by FY27 year-end.
- The negative cash flow reflects back-ended billing, elevated inventory held as a buffer against West Asia freight disruption, and higher lithium vendor advances (now ~INR 300 mn+, up from ~INR 70-100 mn), given procurement requires advance payment and transit exceeding 90 days.

Other Items

- The company recently bid for a ~INR 1 bn UPS order, the outcome of which remains pending.

- Management does not disclose specific export geographies for the planned non-Chinese BESS export product at this stage.
- The Western Railway BESS contract already executed was relatively small in value, though management views this railway entry (replacing diesel gensets) as strategically significant, with larger tenders (requiring prior experience) expected to follow.

PSP Projects Ltd

Strong Order Inflow Outlook & Visibility: Management reiterated its full-year order inflow guidance of INR 5,000-6,000 mn, with additional order wins expected to be announced toward the end of Q2. Large opportunities are emerging from government, private-sector and specialised projects, including potential Commonwealth-related infrastructure projects, while the company continues to see strong opportunities from the Adani Group.

Adani Relationship Supports Long-Term Growth: PSP Projects continues to have significant order-book visibility from the Adani Group, while management indicated that it intends to maintain a broader mix of Adani, non-Adani and government projects. The company highlighted a 30-35% growth opportunity from the Adani ecosystem, particularly across Ahmedabad and Mumbai, while retaining the flexibility to selectively pursue large private and government projects.

Margin Profile & Project Mix: Management indicated that non-Adani projects typically carry margins of around 9-10%, compared with approximately 7-7.5% for Adani Group projects. The company expects to participate selectively in larger government and private-sector projects, with project selection increasingly based on execution capability, scale and strategic fit.

Scaling Execution Capabilities: PSP is strengthening its organisational and execution capabilities to support its targeted expansion. Management highlighted an increase in technical manpower from around 1,500 to 2,500, strengthening of senior management, planned appointment of a CEO, greater use of technology/software and BIM, and clearer accountability across project management, planning, procurement and execution functions.

Large-Scale Project Opportunities & Execution Model: Potential Commonwealth-related stadium projects could represent sizeable EPC opportunities, although the final tender structure, qualification criteria and scope are yet to be confirmed. PSP's core capabilities include civil and MEPF execution, while specialised fabrication/steelwork and certain specialised activities may be outsourced to experienced partners; management believes the evolving GC/EPC model can accelerate project execution by giving contractors greater control over detailed design and execution.

Pune E-Stock Broking Limited**Pune E-Stock Broking Ltd**

Pune E-Stock Broking presented itself as a BSE SME-listed broker transitioning into a diversified financial services platform, with a planned move to the main board by April and a clear strategic tilt towards fee-based income. The core broking and MTF franchise continues to anchor revenue, while newer verticals across insurance broking, merchant banking and a Category III AIF are positioned as the next leg of growth. Near-term profitability leaned on a scaled-up proprietary book, and much of the discussion addressed the sustainability of that contribution, elevated debtor days and the pace at which the new fee-based businesses will show up in reported numbers.

Business Profile and Main Board Migration

- The company has been listed on the BSE SME platform for about two and a half years, will be eligible for main board migration within six months and is targeting the move by April.
- It has a team of ~200 across five cities, with Pune as the head office and the Mumbai office running the merchant banking vertical, alongside offices in Delhi, Ahmedabad and Rajkot.
- Its client base of over 65,000 investors spans retail, HNI, ultra-HNI and family offices, supported by a network of 180+ sub-brokers.
- The company was incorporated in 2007, with promoter experience of over three decades, and converted to a public limited company on listing in 2024.
- It is evolving from a pure broking house into a full-service financial platform covering insurance broking, merchant banking and AIF.

Revenue Mix, MTF and Proprietary Book

- Broking contributes about 70% of total income, while MTF interest income runs at ~15-20% and moves with market conditions and book size.
- The MTF book has been scaling on the back of public listing, IPO fundraising, warrant issuance and debt raising, all of which strengthened the capital structure.
- Proprietary trading was expanded using bank guarantees and is spread across multiple traders under a defined risk management framework.
- Proprietary desk contribution rose meaningfully in 2026, driven by fund flows from warrant issuance that expanded available bank limits.

Receivables

- Debtor days stood at 417, which the company attributed to the closing balance on the balance sheet date rather than steady-state operations.
- Receivables are largely MTF debtors, with the MTF book at ~INR 930-950 mn as of September.

Fee-Based Verticals: Insurance, Merchant Banking and AIF

- IRDAI corporate agency approval came through in July with operations starting in September, so the insurance contribution is currently nil in reported financials.
- Insurance revenue is expected to flow gradually from H2 of this year, with a full-year contribution visible next year.
- Merchant banking is focused on the IPO space, with three to four SME IPOs in the pipeline for the current year alongside pre-IPO deals, and a build out planned into FY28.
- The Category III AIF, run by promoters with over three decades of market experience, was launched on 28 October and delivered a 24% post-tax return in its first ten months, earning both management and performance fees.

Wealth Management and Distribution

- Already present through mutual fund distribution, the company has added a fixed income desk for debt products.
- It is hiring experienced talent to scale the wealth management offering more aggressively.

Growth Roadmap and Capital Allocation

- Over a three to four year horizon, the company is targeting a balanced split of roughly 50% broking and 50% fee-based income from AIF, merchant banking and insurance.
- New verticals are expected to add over 10% to PAT in the current year.
- The company was explicit that it will not burn cash to acquire users, with personnel and marketing costs rising modestly while it relies on alternative acquisition strategies.
- Broking and MTF continue to scale through technology upgrades and app launches.
- Citing SEBI restrictions, the company declined to give explicit profit forecasts but guided to stronger year-on-year performance.

Balance Sheet and Related Party

- Cost of debt is currently around 11%.
- Working capital is partly funded through unsecured loans from promoters taken on a need basis at a 9% rate, primarily to support MTF growth.
- Other related party items cover promoter broking accounts and salaries, with no loans or advances extended to promoters.
- Technology spend runs at ~15-20% of revenue.

Regulatory and Operational Notes

- Options trading is no more than 10% of total revenue, so the company does not see the recent F&O regulatory changes as a material threat.
- The research desk has six to seven permanent members supplemented by interns.
- An algo trading platform is live as a value-added service for broking clients.
- Social media across Facebook, Instagram, X and LinkedIn is handled by an internal team rather than outsourced.
- Guidance & View: The company guided to a main board migration by April, new verticals adding over 10% to PAT this year, and a balanced 50:50 broking versus fee-based income mix over three to four years, with insurance revenue starting in H2FY27 and cost of debt near 11%. The shift towards annuity-style fee income strengthens earnings quality, yet near-term profitability still leans on a cyclical proprietary book, and the 417 debtor days need close monitoring. Execution on the SME IPO pipeline, AIF scaling and a clean main board transition are the main swing factors for any re-rating.

Punjab National Bank

Outlook: PNB remains confident of achieving its FY27 guidance, with continued QoQ improvement in margins expected as deposit repricing and balance-sheet optimisation progress. The bank targets gross NPA below 2.5%, net NPA below 0.3% and a cost-to-income ratio of 47-48% by FY27-end. Credit growth is expected to remain strong, led by retail, MSME and agriculture, while continued recoveries, disciplined underwriting and digital transformation should support profitability and asset quality improvement.

Business & Growth

Global business grew 10.2% YoY to INR 29,980 bn, while advances grew 12.7% YoY to INR 12,730 bn. Excluding IBPC, core advances grew 15.4%; retail, MSME and agri grew 17.5%, 19.8% and 16.4%, respectively. The credit pipeline remains strong, with INR 95.5 bn of sanctions during Q1 and INR 138 bn pending disbursement.

Deposits & Profitability

Global deposits grew 8.5% YoY to INR 17,250 bn, while individual savings balances grew 9.3%. Domestic NIM improved to 2.64% from 2.61% QoQ, while global NIM increased to 2.50% from 2.47%. NII stood at INR 107.98 bn, operating profit at INR 75.19 bn and net profit at INR 52.53 bn.

Asset Quality

Gross NPA improved to 2.78% from 3.78% YoY, while net NPA improved to 0.28% from 0.38%. Slippage ratio stood at 0.68%, below the FY27 guidance of <0.9%, with Q1 recovery at INR 27.89 bn. PCR remained strong at 97.23%, while capital adequacy stood at 18.13%.

Digital & Growth Initiatives

Digital credit sanctions exceeded INR 190 bn in Q1, with every second loan now sanctioned digitally and over 95% of transactions conducted digitally.

Retail, agriculture and MSME remain key growth segments, supported by digital-first delivery and the planned addition of 250 branches.

Credit cards, cash management and supply chain finance are emerging as additional growth drivers.

Puravankara Ltd

Outlook: Puravankara is transitioning from a loss-making entity to consistent profitability, driven by a disciplined growth process and a strong land bank. The company is aggressively expanding its footprint in the Mumbai redevelopment market and entering the NCR region, while diversifying into commercial asset classes.

Financial Performance & Metrics

- FY26 Performance: Pre-sales of INR 74.07 bn, total income of INR 38.46 bn and collections of INR 42.58 bn.
- Q1 Performance: Pre-sales of INR 14.39 bn, revenue of ~INR 10.59 bn and collections of INR 11.99 bn.
- Future Guidance: Targeting pre-sales of ~INR 112 bn, an increase of over 35% on the previous year.
- Portfolio Scale: The current portfolio exceeds INR 600 bn, providing a sufficient launch pipeline for the next three years.
- Land Bank: The company holds 73.49 mn sq ft of land.

Regional Growth & Pipeline

- Mumbai & West:
 - Established as a leading redevelopment player, with a portfolio of ~INR 180 bn.
 - Recent success in Andheri (Lokhandwala), with INR 9 bn of sales over six months at prices 5-8% higher than competitors.
 - A new mandate has been won for 4 acres of redevelopment in Goregaon West (Bangur Nagar), expected to launch in Q2 or Q3 of the next financial year.
- North India (NCR):
 - Entered the NCR market with a project in Greater Noida targeting ticket sizes of INR 15-25 mn.
 - Launch expected within the current financial year or Q1 of the next.
- South India:
 - Recent launches include Purva Heritage (West End) and a new phase of Equinox.
 - Equinox continues to sell INR 0.7-1 bn per month.

Strategic Diversification

- Asset Classes: Expanding beyond residential into commercial development.
- Commercial Milestones: OCs received for 2.3 mn sq ft of the commercial portfolio this financial year, with a new commercial launch planned in Hebbal, Bangalore.
- Transaction Update: A transaction with ISSA Prudential is nearing conclusion.

Risks

- Approval Delays: Some Bangalore launches were delayed due to an "approval glut" affecting over 80 projects under the GBA, though management views this as a temporary administrative issue rather than a statutory problem.
- Market Supply: Acknowledged oversupply in specific Mumbai micro-markets (e.g., Worli and pockets of Thane), but maintains that high-quality, rightly priced products continue to see robust demand.

Raama Finance Ltd

Outlook: The company is positioned to benefit from the growing demand for short-tenure digital personal loans, supported by a large underserved customer base, increasing digital penetration, repeat borrowers and expansion across Tier-1/2/3 cities. The sharp Q1FY27 improvement demonstrates the scalability of the model; however, sustainability of growth remains unproven as management has not provided forward guidance. Asset quality, NPAs, funding costs and collection efficiency will remain key monitorables, particularly given the unsecured portfolio and high customer APRs.

Business Model

- The company focuses on short-term, unsecured personal loans under the "Fast Salary" brand, with ticket sizes of INR 5,000-120,000 and average ticket size of ~INR 45,000.
- Loan tenure is 30-60 days, with a fully digital journey enabling disbursement within 45-60 minutes.
- Target customers are salaried individuals aged 25-45 years, earning INR 25,000-100,000 per month, primarily in Tier-1/2/3 cities.
- It uses AI, APIs, KYC automation and rule-based underwriting to assess customers and process loans digitally.

Q1FY27 Performance

- The company disbursed INR 440 mn to 10,373 customers in Q1FY27, with loans processed of INR 485.2 mn.
- Revenue stood at INR 213.1 mn, including INR 174.3 mn of interest income; PBT was INR 65.9 mn.
- Business was supported by renewed focus on the segment and greater use of digital customer-acquisition tools.

Collection Efficiency

- Around 40-45% of customers pre-close their loans before the due date, while ~50% repay on the due date.
- Overall, ~90% of scheduled collections are received by/on the due date, with the remaining ~10% requiring additional collection efforts.
- Loans are entirely unsecured, with no collateral/security taken.

Customer Proposition

- The competitive advantage lies primarily in speed, convenience and digital execution, rather than lower interest rates.
- The company targets customers underserved by banks who require quick, short-tenure credit for needs such as medical emergencies, weddings, home renovation and other exigencies.
- Repeat customers account for ~70% of the customer base, supporting lower acquisition friction and repeat business.

Growth Opportunity

- Raama Finance is currently focused on the short-term personal-loan segment, with no immediate diversification indicated.
- Its presence has expanded to 500 cities and 6,700+ PIN codes, with 1,200+ employers integrated into the platform.
- Management highlighted a large underserved market, with digital lending expected to expand significantly and NBFC participation gaining share from banks.

Growth Outlook

- Management indicated that the business should improve but did not provide forward-looking guidance on quarterly performance, loan-book growth or customer additions.
- The strong Q1 performance was attributed to renewed business focus and better utilisation of available digital tools.
- Management's current priority remains scaling the existing business rather than entering new lending segments.

Interest Economics

- Customer APR currently ranges from 470% to 500%, varying based on credit history and prior relationship with the company.
- Management could not provide the current cost of borrowing, stating that the data would be shared subsequently.
- High customer APR reflects the short-tenure, unsecured nature of the product and the risk profile of the target segment.

Asset Quality

- Management did not disclose the current NPA level or expected impairment cost during the call and committed to revert with the numbers.
- Given the unsecured nature of the portfolio, asset quality and collection performance remain key monitorables.

Digital Platform

- Loan disbursement currently happens through the company's website, rather than a mobile application.
- A dedicated app is under development and is expected to be introduced subsequently. The digital journey covers application, KYC, documentation, e-signing, e-mandate, approval, disbursement and repayment.

Competition

- Management believes the addressable market remains sufficiently large, with a significant portion of customers still underserved. Rather than competing aggressively for an existing customer pool, the company is focused on penetrating the untapped Tier-1, Tier-2 and Tier-3 customer base.
- Management did not comment specifically on competitors such as Apollo Finvest.

Raj Rayon Industries Ltd

Raj Rayon Industries is a polyester filament yarn turnaround story, taken over by the SVG group about three years ago, with integrated value addition from polymer to chips, chips to POY and POY to DTY. The company added ~50 TPD of capacity during a brief shutdown in April 2026 and is now running at ~400 TPD, with all capacity sold out. An expansion to ~700 TPD over the next two years has been announced, with a capex of ~INR 6.5 bn funded through ~INR 3.5 bn of primary equity (also bringing promoter holding down to 75%), INR 1.5-2.0 bn of debt and internal accruals. EBITDA margin has improved from ~1% to ~6% over three years and is targeted to rise to 10-12% as value-added products scale up. Management targets revenue of ~INR 30 bn within 2-3 years (at earlier, pre-hike prices). Raw material price increases have been fully passed on so far, and Q2FY27 is expected to be better than Q1 on both volume and realisation. The key factors to monitor are the equity raise and its timing, capex execution, crude/PTA price volatility and spreads, value-added product mix, export ramp-up and related-party dependence on SVG.

Business Model & Positioning

- Raj Rayon is a turnaround story, taken over by the SVG group about three years ago; since then, production, topline and bottom line have increased significantly.
- The company is integrated across multiple value-addition stages (polymer to chips, chips to POY and POY to DTY), with further downstream processing done by SVG, which provides insulation in sales and pricing.
- SVG is a market leader in polyester athleisure and athletic wear, known for customised textile solutions for high value-added clients; Raj Rayon aims to follow the same culture and lead in value-added products rather than volume.
- Raj Rayon's product is well established and sought after in the market, with a value-added and customised product basket comparable to top industry players; all capacity is currently sold out.

Capacity & Expansion Plan

- ~50 TPD of capacity was added during a brief shutdown in April 2026; the company is now running at ~400 TPD, with the added capacity reflecting in Q2FY27 along with value addition.
- An expansion plan has been announced to increase capacity to ~700 TPD over the next two years, effectively doubling capacity, with value addition increasing alongside.
- New machinery being added is for value-added products, vertical integration and value addition at each stage.
- Growth over the past three years has come from a mix of volume increase, value addition and product mix, and this trend is expected to continue over the next two to three years.

Funding & Shareholding

- Total capex is ~INR 6.5 bn, of which ~INR 3.5 bn will be raised as primary capital, with the balance through debt of ~INR 1.5-2.0 bn and internal accruals.
- Promoter holding is high and must be reduced to 75%; the primary capital raise will help achieve this.
- The dilution is planned over the next ~6 months; the route (QIP, rights issue or similar) is being finalised with merchant bankers, with the aim of bringing growth capital into the company.

Related Party Transactions

- SVG produces ~40 TPD, of which ~25-30 TPD is bought from Raj Rayon at arm's length, which is very small relative to Raj Rayon's ~400 TPD production.
- Going forward, not more than ~15% of Raj Rayon's production is expected to go to SVG.
- Raj Rayon and SVG do not compete with each other; competition from SVG's followers is seen as normal and not a concern for marketing.

Raw Material, Spreads & Demand

- Crude-led raw material price increases have so far been fully passed on to customers; if prices keep rising, demand could plateau and pressure margins. New upstream paraxylene capacity in China could narrow supplier spreads and ease raw material prices.

- Spreads compressed in April-May 2026 as players booked inventory gains and sold cheaply, expecting the price rise to be temporary. In the next price upswing, industry inventories were at bare minimum, so all 13-14 PTA/MEG-to-POY converters passed on cost increases.
- During June-September 2026, price increases were passed on as they coincided with rising demand from the pre-Diwali season and peak export shipments in September.
- Demand typically sees a ~15-day lull around Diwali, followed by the winter and wedding season demand, which is expected to stretch until March, before a small year-end dip.
- The September quarter is expected to be better than Q1 on both volume and realisation; however, maintaining percentage margins on higher pass-through prices will be difficult.

Margins & Revenue Outlook

- EBITDA margin has improved from ~1% to ~6% over the past three years, and is expected to rise to 10-12% with volume additions, value-added machinery and vertical value addition.
- Management targets ~700 TPD capacity and revenue of ~INR 30 bn within 2-3 years, based on earlier (pre-hike) prices rather than current prices.
- The company plans to produce import-substitute performance products currently imported from China, Taiwan, Korea and Japan, many of which SVG itself imports today.

Industry Outlook

- India imports ~2.4 mn tonnes of PTA; MEG is not structurally short. GAIL and IOC Paradip PTA capacities (expected in ~6 months) should make India self-sufficient in 2027, and Reliance's ~3.2 mn tonne Dahej plant (end-2027 or early 2028) would create a surplus.
- With self-sufficiency, domestic PTA pricing is expected to move from import parity to below import parity, which could widen spreads for Raj Rayon by ~1-2%, along with a possible price war and consolidation favouring newer, efficient plants.
- No significant polyester capacity is expected in the next 1-2 years after Sanatan; IOC's announced ~1,000 TPD Odisha plant and Reliance's plans are unlikely within 2-3 years. India could be ~2,000 TPD short, similar to current import volumes, so oversupply risk is low.
- Polyester demand grew 7-8% last year (versus 5-6% historically), and polyester is the only fibre that can meet incremental global demand. India is expected to expand capacity as the main alternative to China.

Exports & Sustainability

- Export enquiries are increasing; India currently faces a ~2-4% price disadvantage versus China, and domestic realisations are better, so the company prefers the domestic market for now.
- As domestic raw material surplus emerges, exports are expected to rise sharply, with value-added and customised products exported first; management expects significant exports to start by end-2027. Newer plants such as Raj Rayon are expected to gain the lion's share.
- FTAs (UK, EU) will benefit fabric exporters and indirectly lift yarn demand as customers export more, rather than impacting Raj Rayon's yarn sales directly.
- SVG has recycled 300 mn+ bottles through a certified, traceable process over two decades; Raj Rayon is planning recycled and responsible manufacturing, targeting a net-zero waste and emissions plant, and will meet SVG's recycled yarn demand along with broader brand demand.

Rajshree Polypack Ltd

Rajshree Polypack is a rigid food packaging manufacturer (operating since 2011) across extrusion, thermoforming and injection moulding, with ~99% of its business from food categories such as dairy, sweets, savouries, beverages, FMCG and bakery. Q1FY27 revenue grew 24% YoY, of which 7-8% came from volumes and the balance from raw material-led price increases and product mix. Gross margin contracted to ~38% (vs ~43% in H2FY26) due to the polymer price spike from geopolitical tensions, though EBITDA per kg improved. Exports are soft due to the war situation and high sea freight, while domestic demand remains strong. Management guides for 10-15% volume-led growth in topline and bottom line in FY27 (potentially 20%+ including raw material inflation). Injection moulding capacity has reached 5,800 MTPA at 55-60% utilisation, the captive wind-solar project is on track for October 2026, and an eastern India expansion (Phase 1 capex of INR 250-300 mn) will be triggered once existing capacities near full potential. The key factors to monitor are polymer prices and pass-through, export recovery, injection moulding utilisation, Olive Eco Pack turnaround, working capital and the eastern India expansion.

Business Model & Positioning

- The company manufactures rigid food packaging through extrusion, thermoforming and injection moulding, catering to dairy, sweets, savouries, beverages, FMCG, agricultural produce, bakery and confectionery; ~99% of business comes from food.
- It operates three manufacturing facilities in Daman and Gujarat, plus one injection moulding and tool manufacturing facility, and has a joint venture, Olive Eco Pack, in Gujarat.
- Capacity stands at ~27,000 MTPA in extrusion and ~12,000 MTPA in thermoforming, with injection moulding scaled up from 1,000 MTPA to ~5,800 MTPA.
- Key customers include Amul, Hindustan Unilever, Britannia, Nestle, Tata Consumer (beverages) and Haldiram's.
- Rajshree was the first integrated manufacturer in India to produce rigid barrier sheets (installed in 2021), which extend food shelf life and support channels such as quick commerce and exports of Indian sweets.

Q1FY27 Performance & Margins

- Q1FY27 revenue grew 24% YoY, with 7-8% from volume growth and the balance from raw material price increases (due to the war situation) and changes in product mix.
- Gross margin declined to ~38% from ~43% in H2FY26 due to sharp polymer price spikes; however, EBITDA per kg improved, and Q1 EBITDA margin was ~16%.
- Barrier packaging delivers the highest margins, followed by segments such as confectionery packaging; the company is working to increase volumes from higher-margin segments.
- Management expects gross margin to recover to the 42-43% range once polymer prices return to pre-war levels.
- Compared with 21-22% margins in FY17-18, the current ~13-13.5% margin reflects a much larger revenue base and higher raw material prices, which reduce percentage margins even at similar absolute profit levels.

Raw Material & Pricing

- Polymer prices remain volatile and elevated; the company passes on raw material price changes to customers, mostly on a month-on-month basis.
- Customers understand the situation and absorb price increases; any margin impact is expected to be limited to a month or a quarter and recovered thereafter, not a permanent loss.

Exports

- The company exports to 13 countries across regions including Europe, the Middle East and China; the Middle East and US are currently affected, while other regions continue.
- Exports declined in Q1FY27 due to the geopolitical situation and high sea freight; injection moulding export volumes, which surged ~80% in H1FY26, were flat in Q1FY27 due to the war situation.
- Most export customers are repeat customers; US customers have continued despite 50% tariffs. Strong domestic demand is offsetting export softness.

Injection Moulding & New Products

- Injection moulding utilisation is ~55-60% following the recent capacity addition, and is expected at 55-70% over the next one to two quarters as new product categories are added to reduce export dependence.
- Further capacity expansion in this segment will be considered once utilisation crosses ~85%.
- In-mould labelling (IML) was started about a year ago and is being scaled up as a growth segment. Injection moulding carries lower interest and depreciation, making its margins at the bottom line broadly at par with established products.

FY27 Outlook & Growth Drivers

- Management guides for 10-15% volume-led growth in both topline and bottom line in FY27; including raw material-led price increases, revenue growth could exceed 20%.
- The company has historically grown at ~12-15% annually, with annual volume growth of ~10-12%, and adds capacity accordingly.
- Domestic demand remains strong, led by barrier packaging and dairy. Online food delivery is seen as the key structural driver for rigid food packaging demand.
- The company keeps adding new customers, products, SKUs and designs every year to sustain volume momentum.

Capex, Eastern India Expansion & Sustainability

- The company has acquired land in eastern India; Phase 1 capex of ~INR 250-300 mn is expected to generate ~INR 700-800 mn of annual revenue, serving existing segments and customers.
- The investment will be triggered once current facilities approach their full revenue potential of ~INR 4.25-4.40 bn, injection moulding utilisation scales up and Olive Eco Pack turns positive; management indicated this could be considered after about a year.
- Large food companies such as Nestle and ITC are expanding in eastern India, creating packaging demand.
- The captive wind-solar project is on schedule for commissioning in October 2026, with benefits visible from the November billing cycle.

Balance Sheet & Customer Concentration

- The earlier target of reducing working capital by INR 100-150 mn could not be achieved due to a 20-30% rise in raw material prices; however, working capital has been held at the same level.
- Olive Eco Pack is already EBITDA positive and is targeted to reach PAT breakeven in FY27.
- The top 10 customers accounted for ~40% of revenue; concentration is expected to reduce gradually, with a target of ~3-4% of revenue per customer.

Ramkrishna Forgings Ltd

Outlook: Ramkrishna Forgings expects 15-20% volume growth over last year, supported by strong domestic CV demand, a recovering export market, and ramp-up in casting sales from ~26,000 tonnes to 40,000-50,000 tonnes this year and 65,000-70,000 tonnes next year. The product mix is targeted to shift from 78:22 to 70:30 auto-to-non-auto by FY28, led by railways scaling to 10% of sales, oil and gas supplies to Caterpillar and Baker, and a PV foray expected to contribute 5-10% by FY28, while aerospace remains 12-24 months away. Exports, which fell to ~30% of sales last year, are normalising with tariffs treated as a pass-through and demand seen strong for the next four to six quarters. EBITDA margins are expected to sustain at 17-18% and improve with a better export mix, while the company maintains its guidance of INR 5 bn of debt reduction this year and INR 2.5-3 bn next year, alongside capex of INR 4.5 bn this year and ~INR 3 bn next year.

Business Overview and Capacity

Ramkrishna Forgings is a four-and-a-half-decade-old forging company with roughly 333,000 tonnes of forging capacity across 11 plants, complemented by a casting facility of ~62,000 tonnes and machining operations in Jamshedpur and Mexico. It also has a JV, Ramkrishna Titagarh Rail Wheels, to supply 80,000 wheels per annum to Indian Railways over 20 years, with a Chennai unit being set up with capacity of 228,000 wheels per annum. An additional ~15,000 tonnes of casting capacity is expected to commence within a month or two.

Product Mix and Diversification Strategy

The company is primarily an auto component player, with the current mix at roughly 78% auto and 22% non-auto. Management targets a 70:30 mix by FY28, with a longer-term ambition of 60:40. The thrust areas for diversification are railways, farm equipment, oil and gas, and eventually aerospace, to mitigate cyclical risk from the auto-heavy portfolio.

Railway Segment

Railways currently contributes ~6-7% of total sales, with an immediate target of reaching 10%. The company expects to close this year at ~7.5-8% and reach 10% next year, driven by bogie frame assemblies and bogie frames. Railway margins are similar to current company levels at 17-18%, and payments are timely, with 98% received within one month of supply and 2% retained for quality.

Aerospace and Defence

Aerospace is at a very nascent stage and will take ~12-24 months before any concrete development is announced. No defence business exists currently, and no specific products or certifications are being disclosed at this stage.

Oil and Gas and Other Non-Auto

Significant orders have been won from Caterpillar and Baker, with supplies having started this year, which should visibly improve oil and gas sales this year and further next year. Farm equipment and off-highway segments are making steady progress.

Export Outlook

Exports, historically ~40% of sales, fell to ~30% last year due to tariff-related disturbances and weak demand in North America and Europe. The situation has now stabilised, with the 25% Section 232 tariff on auto components treated as a normalised position and costs successfully passed on to customers. Export margins are better than domestic margins, and management expects exports to remain strong for at least the next four to six quarters.

Margin Performance

EBITDA margin improved to ~17.96% in Q1FY27, driven by a better export mix, operating leverage and cost normalisation. Management believes 17-18% is the normalised sustainable margin band and expects improvement going forward, supported by a recovering export mix and internal improvement initiatives. Margins are expected to be largely sustained in the coming quarters.

Capacity Utilisation and Growth Guidance

Forging capacity utilisation is ~70%, with expectations of reaching 75-80% this year. The company has guided 15-20% volume growth over last year. Last year, forging production was ~194,000 tonnes, and casting sales are expected at 40,000-50,000 tonnes this year versus ~26,000 tonnes last year, potentially rising to 65,000-70,000 tonnes next year.

Capex and Debt Reduction

The company is undertaking ~INR 4.5 bn of capex this year and ~INR 3 bn next year, funded through long-term debt with overall debt being fungible. It maintains a guidance of reducing INR 5 bn of debt this year and INR 2.5-3 bn next year. The March net block plus CWIP was ~INR 37 bn, supporting ~INR 90 bn of revenue at 100% utilisation, or ~INR 72-75 bn at realistic 80-85% utilisation.

Mexico Operations

The Mexico plant is currently loss-making and is expected to break even only by Q4FY27, turning profitable next year. The company sees good traction and growth plans in the Mexico market with multiple customers.

PV and Two-Wheeler Foray

Recent capex has been announced on the PV side, with cold forging, warm forging, and EV-related products already supplying to PV. PV is expected to contribute 5-10% of sales by FY28. Two-wheeler sales, acquired through ACIL, are currently INR 500-600 mn per annum and may reach INR 2 bn, which would be ~2% of overall sales.

End-Market Demand

Domestic CV demand is strong with high single-digit industry growth expected, and management sees no softness, with strong OEM forecasts. Passenger vehicles are also strong, though the company has limited exposure. US Class 8 weakness is not a concern as the company is diversified across LCV, Class 6-7, oil and gas, PV, and off-highway, with overall export demand described as strong for the next four to six quarters.

Raw Material Pass-Through

In the domestic market, raw material price changes are passed on almost immediately, with at most a one-month lag for some customers. In exports, prices are adjusted as per international indexes, which also factor in scrap and forex adjustments. The lag is not material.

JV Wheels Business

The Titagarh JV manufactures railway wheels for Indian Railways for passenger and loco segments, while RKFL standalone manufactures bogie frames and bogies. The two businesses are distinct, and the JV is expected to supply 30,000-35,000 wheels this year against an initial target of 40,000, with testing expected to complete within this month and COD declared by the end of next month.

Order Book Disclosure

The company does not have a traditional order book as business is schedule-based, with regular supply schedules received from customers. Railway is tender-based, with wins disclosed quarterly. New orders and new customer/product wins are disclosed periodically, but regular orders are not.

RateGain Travel Technologies Ltd

The company remains focused on profitable growth through a combination of organic expansion and acquisitions, with FY27 revenue targeted at ~INR 31,000 mn and adjusted EBITDA margin of 22.5-23.5%. MarTech is expected to remain the key growth engine, supported by Sojern and newer AI-led offerings, while Distribution should gradually scale through the Uno platform. Over the medium term, management is targeting 15-20% organic growth, supported by a large addressable market, increasing AI-led productivity and continued product expansion, while free cash flow is expected to support deleveraging and create capacity for future acquisitions.

Business Overview

- RateGain is a B2B travel technology platform serving the broader travel and hospitality ecosystem, including hotels, OTAs, airlines, car rentals and destination management organisations (DMOs).
- The company focuses on helping customers acquire, engage and retain travellers, while expanding wallet share through an integrated technology stack.
- Key customer segments include global hotel chains, Booking.com, Expedia, MakeMyTrip, Hertz, Avis, Singapore Airlines, Air India, IndiGo and multiple global tourism boards.

Integrated Platform

- RateGain operates across three segments: Data-as-a-Service (DaaS), Distribution and MarTech.
- DaaS provides competitive pricing and rate intelligence to help hotels optimise revenue and pricing decisions.
- MarTech provides travel-focused advertising and performance marketing capabilities; it now contributes >81% of revenue and is the largest business segment.
- Distribution provides connectivity between hotels and OTAs/GDS platforms, while the Uno direct stack enables direct bookings through hotel websites.
- The company is increasingly building capabilities across the entire traveller journey, including guest acquisition, booking, engagement and ancillary monetisation.

Growth Journey

- Revenue increased from INR 3,650 mn in FY22 to INR 18,200 mn in FY26, implying a ~49.5% CAGR over the period.
- Adjusted EBITDA margin has expanded from 7-8% at listing to >21% currently, reflecting operating leverage and profitable growth.
- For FY27, RateGain has guided for revenue of around INR 31,000 mn and adjusted EBITDA margin of 22.5-23.5%.
- The company aspires to reach USD 1 bn revenue by FY31, implying ~27% CAGR, with organic growth targeted at 15-20% and the balance expected from acquisitions.

AI Pricing Model

- RateGain sees a gradual shift from traditional SaaS/subscription models towards outcome-based pricing, where revenue is linked to the value generated for customers.
- Its hotel commission product follows an outcome-based model, with RateGain earning 11-14% of direct booking value generated through its marketing campaigns.
- This product contributes around 40% of MarTech revenue.
- The company is also evaluating similar commission-led models for the Uno direct booking platform.
- No fresh pricing pressure from customers due to AI is currently visible across the other business lines; earlier pricing discussions have already played out.

Data Moat

- Management highlighted its 15+ years of proprietary data accumulation across DaaS and MarTech as a key competitive advantage.
- The company has built a large data lake and proprietary know-how around travel intent, pricing intelligence and campaign optimisation.
- RateGain believes the combination of historical data, domain expertise and customer relationships creates a meaningful entry barrier despite faster software development through AI.
- At the same time, the company continues to use AI to accelerate product development, with development cycles reducing from months to weeks.

Organic Growth

- Management expects FY27 organic growth of around 10-12%, based on a pro-forma combined revenue base including Sojern.
- Over the medium term, the company aspires to sustain 15-20% organic growth.
- Management indicated that the overall addressable market across its three segments is approximately USD 9 bn, versus current revenue of >USD 300 mn.
- Free cash flow conversion is guided at around 75% of EBITDA for FY27.
- Q1FY27 free cash flow stood at approximately INR 1,350 mn.

RateGain Travel Technologies Ltd**Capital Allocation**

- Near-term free cash flow is expected to be directed towards debt repayment, with management targeting a net debt-free position by next year.
- Beyond deleveraging, RateGain intends to build a cash war chest for future acquisitions.
- Acquisitions remain a key component of the growth strategy, with the company having completed five acquisitions over the last seven years.

Margin Leverage

- Management indicated that margins could potentially approach 30%, but the company is deliberately reinvesting incremental profitability into growth.
- Investments are primarily directed towards sales and go-to-market capabilities to commercially scale newer products.
- The engineering/product/technology team has ~600 employees, with a hiring freeze and no replacement hiring for natural attrition currently underway.
- AI-driven productivity is enabling the company to develop products with fewer resources and improve overall engineering efficiency.
- R&D investment remains at around 3-4% of revenue.

Loyalty Opportunity

- RateGain views loyalty and customer engagement as a natural extension of its existing hotel technology portfolio.
- The company already supports direct guest acquisition, booking engines, reputation management and ancillary monetisation through its AI concierge.
- A CRM product will be developed to enable email marketing and repeat bookings, with a potential loyalty solution as the next layer.
- The company could either build organically or pursue an acquisition, depending on the opportunity and valuation.

DMO Exposure

- A significant portion of the DMO business is exposed to the US, including state and city-level tourism organisations.
- Management acknowledged that an extreme travel disruption such as a geopolitical event or pandemic could negatively impact DMO spending.
- However, in a softer demand environment, RateGain's performance-marketing capabilities could become more relevant as customers seek better ROI and more targeted customer acquisition.
- Management therefore sees potential resilience in the MarTech business even under moderate demand pressure.

MarTech Momentum

- Sojern has been fully integrated for the last two quarters, with its revenue now fully reflected in RateGain's reported numbers.
- Sojern is largely classified under MarTech, contributing to the increased share of MarTech in overall revenue.
- MarTech is currently the fastest-growing segment, with management expecting mid-teens growth in FY27.
- Management expects MarTech to remain the largest revenue contributor over the next 12-24 months.
- Distribution growth is expected at low-to-mid single digits in FY27, with potential to move into double-digit growth from FY28.

Organic-Inorganic Mix

- FY27 organic growth is expected at 10-12% on the pro-forma combined base.
- Over the medium term, management sees 15-20% sustainable organic growth.
- The contribution from acquisitions cannot be quantified at this stage as it will depend on the size and timing of future acquisitions.
- Sojern was substantially larger than RateGain's own revenue base at the time of acquisition, highlighting the potential impact of inorganic growth.

AI Deployment

- AI is being deployed across engineering, operations, MarTech and product development to improve productivity and efficiency.
- RateGain launched Viva, an AI-powered voice agent capable of handling hotel guest queries and taking reservations in real time.
- AI is also being used for travel-intent audience segmentation and automated campaign optimisation.
- More than 11,000 customers are currently supported through ongoing campaigns, with limited manual intervention.
- The AdOps team of ~78-79 people manages this customer base through significant AI/LLM-driven automation.

Google Competition

- Management does not currently view Google's AI-led dynamic pricing initiatives as a direct competitive threat.
- RateGain's competitive pricing intelligence is built from publicly available pricing information collected at significant scale, rather than Google's proprietary search ecosystem.
- The company processes billions of data points monthly and believes its accumulated domain knowledge, data infrastructure and operational expertise provide differentiation.

Rathi Steel and Power Ltd

Rathi Steel and Power, incorporated in 1971 and a licensee of the Rathi brand, manufactures stainless steel products and TMT bars at its 12.5-acre facility in Ghaziabad (NCR), with ~85,000 MTPA of steel melting capacity and 200,000 MTPA of rolling capacity. Q1FY27 total income grew 24% to ~INR 1.93 bn, EBITDA grew 24.8% to INR 77 mn and PAT rose ~84% to INR 34.8 mn, driven by ~30% volume growth to 28,372 MT, with TMT volumes more than doubling to 18,677 MT. Rolling mill utilisation improved to ~51% in FY26 and is targeted at 60% in FY27, while trial runs to integrate the melt shop with the TMT mill have been completed to enable Fe 550D grade production. Interest rates with the existing lender have been reduced from 16% to ~11.5%, and carry-forward losses of ~INR 2 bn imply no tax outgo for the next 2-3 years. Management has reiterated 20%+ revenue CAGR guidance for 3-4 years on an FY25 base. The key factors to monitor are utilisation ramp-up, melt shop-TMT integration and Fe 550D scale-up, EBITDA margin improvement from ~4%, melting capacity and value-added product expansion, and working capital and debt levels.

Business Overview

- The company has been in the steel industry for over five decades since its incorporation in 1971; it is a licensee of the Rathi brand, owned by a family trust, for a nominal annual fee (indicated at up to ~INR 500 per annum).
- Manufacturing operations are located in Ghaziabad (NCR) across ~12.5 acres, with installed steel melting capacity of ~85,000 MTPA and rolling capacity of 200,000 MTPA.
- Key products are stainless steel products and TMT bars, serving construction, infrastructure, engineering and other industrial sectors.
- The company has flexibility to allocate production between stainless steel and TMT based on demand and margins; in Q1FY27, TMT contributed ~45-48% of revenue, with the balance largely from stainless steel.
- Management positions the company as a pure-play steel manufacturer with a business model different from brand-led peers such as Kamdhenu.

Q1FY27 Performance

- Total income stood at ~INR 1.93 bn, up 24% YoY; EBITDA was INR 77 mn, up 24.8%; PAT rose ~84% to INR 34.8 mn.
- Total volumes grew ~30% YoY to 28,372 MT from ~21,000 MT in Q1FY26.
- TMT bar volumes more than doubled to ~18,677 MT from 8,200 MT in Q1FY26, supported by infrastructure, real estate and construction activity in NCR.
- EBITDA margin has remained range-bound at ~4% over the last few quarters, while PAT margin improved as depreciation and interest do not rise in proportion to volumes and there is no tax outgo.

Utilisation, Integration & Capex

- Rolling mill utilisation improved to ~51% (50-52%) in FY26, and the company targets ~60% in FY27, with stainless steel at ~one-third and TMT at ~two-thirds of volumes.
- Trial runs integrating the steel melting shop with the TMT mill have been completed successfully; this is a strategic move to produce higher-grade Fe 550D TMT with better realisations and quality control while mitigating fuel costs, though stabilisation will take time.
- Melting capacity is only ~40% of rolling capacity, so full integration requires melting expansion; the company will evaluate expansion once melting utilisation reaches 70-75%.
- The company is also evaluating additional refining equipment to grow its value-added product (VAP) portfolio, possibly ahead of capacity expansion; capex has not been quantified but is expected to be below industry standards as it is brownfield.
- FY27 regular and modernisation capex is expected at INR 150 mn+, largely funded through internal accruals.
- With idle capacity, incremental volumes (including Fe 550D, even at margins at par with or below stainless steel) help absorb overheads and improve overall margins.
- The company is EBITDA and PAT positive even at ~50% rolling mill utilisation.

Demand & Market Presence

- TMT demand in NCR is robust, driven by infrastructure, real estate, large townships and commercial/corporate parks, with developers from outside NCR (e.g., Prestige) entering, and strong activity in Gurgaon and Noida.
- Institutional and large corporate buyers are quality-conscious; GreenPro certification is increasingly relevant in vendor selection and differentiates the company from local producers.
- Stainless steel saw an increase in supply after certain plants were acquired under IBC a couple of years ago; demand-supply parity is gradually being restored, and the company is not pushing stainless volumes aggressively to protect margins.
- TMT sales are largely concentrated in NCR due to logistics costs; stainless steel sales are concentrated in NCR and the northern belt, with some volumes in Gujarat and nominal volumes in Maharashtra.
- Stainless steel rebars have not picked up as the industry expected, though approvals and infrastructure are in place; new products are under evaluation and will be disclosed to exchanges when ready.

Cost Structure

- Raw material constitutes ~80% of costs, with fuel, electricity and other costs making up the balance.
- Fuel costs have almost doubled due to the Iran war; the stainless steel operations use a process that largely eliminates fuel consumption, giving a cost advantage over competitors, while the TMT mill largely runs on fuel until integration is stabilised.

Balance Sheet, Financing & Working Capital

- Carry-forward losses stand at ~INR 2 bn, implying no tax outgo for the next 2-3 years.
- Interest rates with the existing lender were reduced from 16% to ~11.5% this month; benefits should start from Q3, partly offset by additional need-based facilities, and interest as a percentage of sales is expected to decline. The company continues to explore further reductions.
- Banking debt, including working capital and long-term borrowings, stands at ~INR 740 mn; management considers the company among the least leveraged in its space.
- Operating cash flow was negative; the company will avail need-based working capital only if pricing is cheaper than credit from operational creditors.
- Trade receivables are within ~1 month of sales, against a monthly revenue run-rate of ~INR 650-660 mn.
- Matters related to the Odisha plant are largely resolved; certain contingent liabilities remain but the cases have been stayed, and there is no financial liability towards lenders.

Growth Guidance

- Revenue grew ~35%+ during FY25 and FY26.
- Management reiterated guidance of 20%+ revenue CAGR over 3-4 years using FY25 as the base year and believes the company is well positioned to achieve it.
- Priorities: higher utilisation of existing assets, volume scale-up, deeper integration across operations and an optimised product mix.

Ratnaveer Precision Engineering Ltd

Outlook: Ratnaveer Precision Engineering is diversifying from its core stainless steel business into copper clad laminates (CCL), aiming for consolidated revenue of INR 25 bn by FY29. The company is establishing India's first CCL project to substitute imports, with the first production line expected to begin trial runs in late November or early December 2026.

Base Business Performance & Targets

- Current Status: FY26 top line was INR 10.8 bn with an EBITDA of INR 1.21 bn and PAT of INR 640 mn.
- Growth Roadmap: Targeting INR 13.5 bn for the current year and INR 18 bn by FY28 for the legacy stainless steel business.
- Market Position: The company is a leading producer of stainless steel washers with over 4,000 SKUs and a presence in 31 countries.
- Integration: Operates a fully integrated model from scrap melting to finished products across six vertical lines.

CCL Project Diversification

- Total Plan: Five CCL lines with aggregate capacity of 8 mn sheets per year.
- Line 1: Trial production in November/December 2026; commercial production in January/February 2027.
- Lines 2-3: Expected to start May-June 2027.
- Lines 4-5: Expected to start in December 2027-January 2028.
- Financial Targets (CCL only): Targeted revenue of INR 7.5 bn by FY29, with a 20% EBITDA margin and 13% PAT margin.
- Pricing Dynamics: Selling prices have risen from INR 1,250 per sheet (at project inception) to approximately INR 4,000 per sheet currently.
- Strategic Moat: First-mover advantage in India; current PCB industry relies on Chinese imports with lead times of 9-12 months.

Financials & Capital Structure

- Fundraising: A recent INR 3.3 bn rights issue was used for working capital and capital expenditure for both the stainless steel and CCL businesses.
- Promoter Holding: Currently at 38.7%; promoters plan to increase this to 45-46% through the conversion of warrants and further fund infusions by May-June 2027.
- Capex: Total investment in the CCL business is INR 4.72 bn (INR 3.9 bn for the lines plus INR 820 mn of additional investment).

Strategic Initiatives & Risks

- Acquisitions: The company is exploring a brownfield acquisition in France, specifically targeting the aerospace segment, though due diligence is still in progress.
- Competitive Landscape: While Wipro is also setting up CCL facilities, management views Wipro as primarily focused on captive consumption, whereas Ratnaveer will serve the open market.
- Risk: Return on capital is currently lower due to heavy investment in greenfield projects, but is expected to improve drastically by FY29 as plants become operational.

Raymond Lifestyle Ltd**Business and Financials**

- FY26 revenue crossed INR 70 bn for the first time (+11.5% YoY) and EBITDA was INR 8.05 bn (+23-24%).
- Branded textiles is ~50% of revenue and ~70% of EBITDA. Raymond holds ~65% of the worsted fabric market.
- Branded apparel is now reported as only four brands: Park Avenue, ColorPlus, Raymond Ready-to-Wear and Parx.
- Emerging businesses (ethnic, innerwear and others) are now a separate segment, as is B2B (garmenting exports and domestic cotton shirting).
- A new management team is in place: CEO, CMO, CFO (joined January 2026), supply chain, ESG and information security heads.

Q1FY27

- Revenue was INR 15.6 bn (+6%), against a higher base because last year's cyber attack had pushed sales into later quarters.
- EBITDA was INR 1.35 bn (+11%, 8.6% margin).
- Growth was led by garmenting. Branded apparel growth came mainly from LFS and e-commerce, which hurt EBITDA through adverse channel mix.
- Net cash is ~INR 1.54 bn and working capital improved from 90 to 75 days.

Guidance and Targets

- FY27 revenue growth is guided at low double digits and EBITDA growth at high double digits. The year is described as one of consolidation.
- The internal goal is to double turnover in ~4 years with high double-digit EBITDA growth. EBITDA margin should reach 10%+, but the exact target comes with the Q2 results.
- A consultant-led 5-year strategy (Kearney) will be shared at an investor day with the Q2 results.
- ROCE is 12-13% now, with a 20% target in 3 years. FY27 capex is ~INR 2.4 bn.
- The aim is INR 5 bn of net cash over about 4 quarters, with INR 3-3.5 bn by year-end. Working capital is targeted at 60 days, with an aspiration of 30 days.
- No buyback is planned for now, and the promoter holds ~60%.

Garmenting (B2B)

- The order book is full until February, and March-April bookings are in progress. Garmenting is expected to grow ~25% this year.
- The UK FTA is in force and the EU FTA is to follow. New inquiries convert to orders in ~6 months, so a strong order flow is expected from Q4.
- About 55% of exports still go to the US, so tariff risk remains. Diversification into the UK, EU and Australia is under way.
- UK and EU margins are lower than US margins because lot sizes are smaller.

Raw Materials and Pricing

- Input costs are up year-on-year: wool ~100%, cotton yarn ~70%, polyester and viscose ~40%.
- Q1 orders were pre-booked at old prices, yet the margin drop was under 1% on cost-control measures.
- Price increases for SS27 are 6% (polyester, viscose) to 20-25% (wool), with impact from Q3 onwards.
- Wool volumes are falling and the company is working on coarser counts to make wool more affordable.

Stores and Brands

- Q1 saw 133 closures against 85 openings. The total network is ~1,627 stores: 112 TRS, 52 MTM and 463 EBOs, with the rest franchised.
- Branded apparel EBOs had a net closure of 34 (~9% fewer stores) while revenue still grew.
- FY27 is expected to see ~30 net store additions. Aggressive but calibrated expansion follows from next year, with stores of 2,000 sq ft+ in tier 1 and 2 cities. These will be company-operated at first and later franchised.
- Park Avenue is #2 in formal wear in LFS but weak in EBOs, where small stores in tier 2-4 hurt it.
- Casual wear is 15-17% of the mix in the formal brands, targeted at 20% and then 25%.
- Premiumisation: The Chairman's Collection (shirts from ~INR 25,000), the Lux range in Park Avenue, and Rio Italia and Bella Italia fabrics.
- Channel inventory is 6-7 months. E-commerce margin is ~10 points below offline because of a different product mix. Fabric pricing is the same across channels.

Ethnic Wear

- FY26 revenue was ~INR 1.2 bn with an EBITDA loss of ~INR 700 mn, due to small stores in the wrong places.
- High-end (above INR 50,000) is moving to a made-to-measure model with 7-10 day delivery. A new online sub-brand at INR 2,500-3,000 has sold well.
- Management has given it two years and may exit if it does not work. Sleepwear has been shut.

Outlook: Raymond's aerospace and defence business is poised for a structural re-rating, with the order book at ~INR 59.6 bn over ten years providing strong revenue visibility and a stated aspiration to reach ~INR 14-15 bn in aerospace revenue in the near term from ~INR 5 bn currently. The combination of global supply chain diversification away from China, defence offset tailwinds, a severe engine backlog, and the capital infusion from Raymond positions the company to grow at a 25% CAGR with sustainable EBITDA margins of ~25-27% and ROCE of ~25% on a steady-state basis. The new 45-acre facility near Bangalore airport, operational by December next year, will unlock capacity for structural assemblies and special processes, while inorganic acquisitions funded by recent preferential raises could further accelerate capabilities into sub-assemblies and systems. Precision engineering is expected to grow at a steadier ~12-14%, contributing meaningfully given its ~INR 17 bn base.

Business Complexity and Product Positioning

Raymond's aerospace component business spans medium to high complexity parts, with roughly 40% of its portfolio in high-complexity components close to the engine heat zone. While the company possesses the technical capability to produce N1-level rotating components, it has not yet received such orders, a situation common across most manufacturers. The current focus remains on N2 and N3 complexity tiers, with a stated aspiration to move toward N1 over time. The complexity mix comprises ~17% simple components, ~43% medium complexity and ~40% high complexity.

Defence Business Expansion

The company already supplies defence components across both aerospace and precision engineering segments, having commenced mass production for a defence OEM in the recent quarter. The recent appointment of a senior defence executive from BEL signals a strategic push toward moving up the value chain into assembly, sub-assembly, and system-level work. While specific programmes remain undisclosed, management indicated that multiple initiatives are on the drawing board and further announcements will follow in due course.

Capital Raise and Inorganic Strategy

Raymond has completed preferential fundraises, with proceeds largely earmarked for inorganic opportunities in aerospace, defence, and precision engineering. The company is seeking acquisitions that bring incremental technology, enable migration from complex engine parts to sub-assemblies or assemblies, or open new areas such as structural parts and systems.

Aerospace Order Book and Growth Trajectory

The current order book stands at ~INR 59.6 bn over ten years, predominantly comprising confirmed orders rather than anticipated scope. The shift from a five-year to a ten-year disclosure reflects the long-duration nature of aerospace contracts. With revenue running at ~INR 5 bn annually and a 25% CAGR guidance, the order book is expected to increase quarter-on-quarter. Growth is being driven by multiple tailwinds: global supply chain diversification away from China, defence offset programmes that have showcased India's capabilities, a significant engine backlog relative to aircraft backlog, demographic advantages with a younger workforce, and Raymond's capital infusion enabling faster capacity expansion.

Recent Programme Win and Revenue Visibility

The indigenous fighter aircraft programme award is expected to generate early revenue within six to nine months, though management refrained from quantifying the lifetime revenue potential at this stage. For the aerostructure order, manufacturing will initially leverage HAL's facility due to space constraints at the existing ~3-acre Bommasandra plant. The new ~45-acre facility near Bangalore airport is expected to be operational by December next year, with ~15 acres earmarked for special processes. Margins on the structural order are not expected to significantly dilute the aerospace segment's overall profitability.

Margin Outlook and R&D Accounting

The aerospace segment currently reports ~22-23% EBITDA margins after writing off all R&D expenses, which management estimates depresses margins by ~3-5 percentage points. On a steady-state basis, margins could be ~26-28%. The company has chosen to expense R&D rather than capitalise it until the business scales to ~INR 15-20 bn in revenue. At a steady state, with backward integration, operating leverage, and a larger base, management sees a sustainable margin of ~25-27%. The long-term vision for aerospace remains a framework of 25% revenue growth, 25% EBITDA margin and 25% ROCE.

Capacity and Near-Term Revenue Potential

The existing Bommasandra facility can reach a peak revenue of ~INR 6.5 bn, up from ~INR 3.92 bn last year, with an additional ~INR 500-700 mn capex planned this year. The new 45-acre facility is expected to add significant capacity, with asset turns of ~1.7-2x on plant and machinery. Management indicated a near-term revenue potential of ~INR 14-15 bn for the aerospace business, roughly three times the current run-rate, supported by the new facility and ongoing order wins.

Precision Engineering Growth

The precision engineering segment, which includes a significant automotive component, is expected to grow at ~12-14% annually. The business recorded ~INR 17 bn in revenue last year and is likely to approach ~INR 19 bn at the stated growth rate. While this pace is lower than aerospace, the large base makes it a meaningful contributor to overall top-line expansion.

Make-versus-Buy and Process Integration

The company is evaluating which processes, such as surface treatment and certain cleaning operations, to bring in-house versus continue outsourcing. Some RFQs require in-house processes for eligibility, which is a key consideration beyond pure EBITDA returns. While ~15 acres of the new facility are earmarked for special processes, management emphasised that decisions will be driven by return maximisation, RFQ eligibility, and partnership dynamics, with existing outsourced partners viewed as extended partners rather than vendors to be abandoned.

Raymond Realty Ltd

Outlook: Raymond Realty has transitioned from a Thane-centric land bank company to an asset-light, MMR-focused developer with total gross development value (GDV) of INR 520 bn. The company is targeting 20% growth in both pre-sales and revenue for FY27, supported by a strong pipeline of unsold and unlaunched inventory valued at over INR 390 bn.

Business Model and Portfolio

- **Strategic Shift:** The company has moved from owning land parcels to an asset-light joint development agreement (JDA) model; 52% of current GDV is now JDA-based.
- **Market Focus:** Concentrated on the Mumbai Metropolitan Region (MMR), specifically "deep volume markets" near the BKC job hub (e.g., Bandra, Vadala, Mahim, Kandivali) to ensure sales velocity regardless of market cycles.
- **Product Segmentation:**
 - 10X: Aspirational lifestyle brand (1BHK/2BHK).
 - The Address by GS: Premium brand (3BHK/4BHK).
 - Invictus by GS: Luxury brand with larger sizes and premium finishes.
- **Pricing Range:** Ticket sizes range from INR 15 mn to INR 150-180 mn, avoiding both the mass market and uber-luxury segments.

Financial Performance and Guidance

- **FY26 Metrics:** Revenue of INR 30.39 bn and EBITDA of INR 4.95 bn.
- **Profitability:** EBITDA margins are guided at 17-19%.
- **Capital Efficiency:** Debt-to-equity is a disciplined 0.6x, with an internal ceiling of 1x.
- **Cash Flow Visibility:** Estimated project-level cash flows of approximately INR 100 bn to be realised over the next few years from the current portfolio.
- **Growth Targets:** Aiming for a pre-sales target of INR 65-70 bn by FY30.

Operational Strategy and Governance

- **Execution:** The company has delivered over 3,500 homes, all on time.
- **Governance:** Two-thirds of the board consists of independent directors from top-tier financial institutions.
- **Systems:** Implemented SAP for finance and Salesforce for CRM to ensure long-term business scalability.
- **Project Selection:** Targets an IRR of ~25% and aims to sell the entire inventory within 3-4 years.

Risks and Financial Considerations

- **Margin Compression:** EBITDA margins are optically lower due to the recognition of "rehab portion" revenue (free housing for existing society members) at a 5% notional margin and the inclusion of JDA partner shares in the P&L.
- **Cash Flow Cycle:** New JDA projects typically experience negative cash flow for the first two years due to upfront approval and relocation costs, becoming positive in the third year.
- **Capitalisation:** The company is raising INR 4 bn via warrants from the promoter family, ensuring the balance sheet is well capitalised for upcoming project approvals and growth.

Project Pipeline

- **Current Status:** Executing 20 projects across the MMR.
- **Upcoming Launches:** Two Mahim projects scheduled for Q3 and Q4 of the current year; Parel and Kandivali projects planned for Q1/Q2 of FY28.

RBZ Jewellers Ltd**Business**

- RBZ is an Ahmedabad-based manufacturer of antique and bridal gold jewellery that is moving into retail. It supplies national retailers across ~70-72 cities, and the promoter, who has been in the business since the age of 17, has personally visited most of them.
- The first retail store opened in Ahmedabad in 2021 without a legacy brand. Management says it has grown from ~INR 240 mn to ~INR 4,000-4,800 mn in about 4 years and is still in its growth phase. A second large-format store has just opened in Surat.
- Manufacturing capacity is ~2 tonnes a year at ~50% utilisation. In value terms that capacity has grown from ~INR 14,000 mn at IPO-era gold prices (INR 60,000-70,000 per 10 g) to ~INR 30,000 mn at ~INR 0.15 mn per 10 g, without adding kilos.
- FY26 reported revenue was INR 6,360 mn. Including ~550 kg of job work, total merchandise value was ~INR 12,500 mn.
- Retail inventory is ~20% made in-house and ~80% outsourced, with RBZ supplying designs to its vendor manufacturers. All stores are company-owned, so RBZ funds the inventory.

Guidance

- No numerical guidance was given. Management expects bottom line to stay roughly flat in FY27 because of heavy brand investment, while revenue keeps growing. Q1 and Q2 were positive, and Q3 and Q4 are seen as critical with new stores opening.
- Store Pipeline: Rajkot before Diwali, and Gandhinagar and Maninagar in Q3FY27 (sites signed and interiors under way), with a few more stores next year.
- Expansion will not be limited to Gujarat, and franchising may come later.
- Management targets capex breakeven within ~1 year per store. The Surat store is expected to match Ahmedabad's potential, growing for 2-3 years and maturing in 3-5 years.
- Priorities for the next three years: becoming fully hedged on inventory (starting this quarter and rising each quarter), moving inventory funding to gold metal loans (GML) and building the brand.

Retail Model and Store Economics

- Large-format stores have ~10,000 sq ft of carpet area, against ~2,500-5,000 sq ft for typical peer stores. Management says one large store does the work of 2-3 mid-format stores.
- The Surat store is a fully display-led walk-through format: customers browse and select jewellery themselves instead of sitting while salespeople show trays. Management says this targets Gen Z and new buyers who avoid traditional sit-down stores.
- RBZ follows a no-discount, no-bargaining, no-cash policy. Making charges are fixed at what management calls the right price, instead of being marked up and then discounted in season as peers do.
- The range covers diamond, gold, daily wear and occasion wear in 14K, 18K and 22K. The new store leans towards studded, lightweight, daily wear and diamond jewellery.
- Management classes a store as mature at 12-15% same-store sales growth and as growing at 20-25%, with hyper-growth in years 1-3.
- Management said it does not focus too closely on unit economics for now, accepting some profit impact while building a brand that can later be franchised.
- The Surat store is one of several possible locations across Surat's ~465 sq km, but the near-term priority is entering new cities rather than adding stores within one city.

B2B

- B2B demand is still rising. National retailer customers have not raised concerns about RBZ's own stores, and management sees no cannibalisation so far.
- B2B will stay in the occasion and bridal categories, with no plans to add other B2B products. In-house production for retail is being piloted for other categories.
- Manufacturing expansion will be considered only once utilisation reaches ~70-75%.
- Management wants RBZ to be seen as a manufacturer-retailer with cost leadership and deep merchandise knowledge, not as a B2B business with a few stores.

Funding and Hedging

- Equity was ~INR 3,000 mn at FY26-end and is expected to reach ~INR 3,500-3,600 mn in FY27 after brand-building spend.
- Moving from cash credit at ~8-9% to GML at ~3.5-4.5% halves the interest rate. That would let RBZ run ~2:1 debt-to-equity for about the same interest cost as its usual 1:1. GML is a small fraction of inventory today, and the finance team is working to raise GML sublimits.
- Management will fund inventory by value, not weight. For example, if INR 1,500 mn is budgeted for ~100 kg and gold rises from INR 0.15 mn to INR 0.2 mn, it would deploy ~85-90 kg instead of spending ~INR 2,000 mn. Rising gold prices will not pause expansion.
- No equity dilution is planned in the near term, and management called it a last resort. Debt, internal accruals and franchising are the preferred routes.
- Management said that over two decades, rising gold prices have not hurt footfalls, and it treats volatility as something to monitor rather than a major worry.

Other

- Bollywood actor Vicky Kaushal opened the Surat store. Management chose him for alignment with the brand's values rather than the target audience's demographics, and called it the start of celebrity tie-ups.
- RBZ uses SAP S/4HANA, and management says it has invested in processes alongside the system. It tracks process discipline (no split bills), team quality and data.
- Investors are invited to visit the Surat store, with visits planned around 9-10 October.
- B2B and B2C EBITDA will be reported separately in future.

Industry

- The organised market is ~40-45% today and management expects it to reach ~60-80% over the next decade. Organised players are growing at ~20-30% against ~10% for the industry.
- Management expects manufacturing to stay fragmented with shrinking margins, because large retailers will not let suppliers consolidate. It sees retail as the right side of the industry to be on.

Recode Studios Ltd**Business**

- Recode is a colour cosmetics and personal care brand with an asset-light model: all products are made by third-party private-label manufacturers under the Recode brand.
- It started in 2018 as a partnership (Lush Looks) and became Recode Studios Pvt Ltd in 2021. It appeared on Shark Tank India (Season 2, Episode 1) in 2023 and crossed ~INR 350 mn of revenue in 2024.
- It has ~350 SKUs, a number that stays roughly steady as new launches replace withdrawn products. The range focuses on face and eyes, plus lip, body care and accessories (brushes, sponges, puffs). New launches will also be face and eye products, and nails are not planned.
- Distribution is omnichannel and pan-India: Stores are a mix of franchise (FOFO) and company-owned (COCO) outlets. Franchisees also act as distributors for assigned areas. Online, it sells through its own website and iOS/Android apps, Amazon, Flipkart, Myntra, Nykaa and AJIO. It also runs 6-7 kiosks in high-footfall malls in Delhi NCR and Kolkata.
- Nykaa's B2B purchases are made upfront and counted as offline (B2B) sales, not online.
- The head office is in Ludhiana, with a ~3,000 sq ft store and warehouse. Central, South and West India are growing fastest.
- Recode runs makeup masterclasses and self-grooming classes for students, partly as a touch-and-feel channel for its products.

Guidance

- FY27 revenue growth is guided at ~50% for Recode alone, excluding the acquired brand, in line with its past trajectory. Management would not commit to beating this.
- H1 is seasonally weak because humid monsoon months hurt cosmetics demand, while October-December and the festive period through Valentine's Day drive the year.
- Management will try to hold PAT margin at last year's level (~10%). Margins are expected to stay steady, with extra cash going into advertising and customer acquisition.
- Priorities for the next 2-3 years:
 - Keep receivables below 120 days, then bring them back to 75-90 days.
 - Raise the stake in the acquired premium brand to 51% within FY27.
 - Commission the IPO-funded warehouse in FY27, where two floors are already built.

Acquisition (Premium Brand)

- Recode bought ~33% of a premium colour cosmetics brand about 3 months ago. A second tranche in February 2027 will take its stake to 51% within FY27.
- Management is stopping at 51% so the founders stay invested and run the business alongside Recode. The brand is ~7-8 years old.
- The brand is expected to grow ~60-75% in FY27, helped by the extra cash now on its balance sheet. The deal was funded from Recode's surplus cash.

Channels and Expansion

- Management called its own website, app and Recode-only stores the most important channels.
- Store expansion: Distributors are opening new points of sale daily across Tier 1 to Tier 4 cities, from small towns to Akhnoor in Jammu & Kashmir. A store opened in Pune about 20 days ago, a dedicated Kolkata team has been hired, and one COCO store in Mumbai was closed for low revenue. Dark stores are used to test demand before FOFO stores open, and strong online traction in a city also triggers store openings. Details of new areas will be shared by 10 October.
- Quick commerce: Recode is live on Nykaa Now, which delivers within 60 minutes. Its own quick commerce pilot starts on 1 November 2026 in Mumbai and Kolkata, and branch GST registrations are already in place. It is in talks with Flipkart Minutes but avoiding the large quick commerce platforms for now, because emerging brands have to fund heavy cash burn there.
- Channel mix: Online share should fall slightly as offline grows faster, and offline uses more working capital.
- Marketplaces: Recode sells directly on Flipkart, Myntra and Nykaa. On Amazon, a reseller (Arcane InfoComm) stocks hot sellers across its warehouses, while slow movers ship from Recode's own warehouse. Margins are broadly similar either way.

Working Capital and Accounting

- The IPO was raised mainly for working capital, not because the company needed cash. Receivable days will rise as the offline chain builds out, which is ~90% done in H1 (Maharashtra and Kolkata are cited).
- Management says sales are recognised only on secondary sales, meaning when goods are sold on to retailers rather than when shipped to distributors. Returns are rare, and unsold products are given away at classes instead of being allowed to expire.
- Management said the company is cash-rich and needs no fresh fundraise in the near term.

Products and Positioning

- Recode tracks international trends and has the products made in India, and says it competes with international brands rather than Indian ones. A recent example is a rose grip spray, which management called unique in India.
- Premium products will come mainly through the acquired brand.
- Classes are to double from ~4 to ~8 a day, which will raise spending on free products.

Refex Industries Ltd**Strong Growth Outlook in Coal & Ash Handling**

- Refex Industries continues to strengthen its position in the coal and ash handling business, with operations across 42 power plants and an order book of around INR 16,350 mn as of June 2026. The company currently handles ~70,000 MT per day and is scaling towards 100,000 MT per day, supported by increasing government focus on utilisation of fly ash and legacy pond ash. Management expects the coal and ash business to deliver around 20-25% YoY growth, with standalone PAT margin maintained at approximately 10-12%.

Large Structural Opportunity from Legacy Ash Utilisation

- India generates around 340 mn MT of fly ash annually, while approximately 1,677 mn MT of pond/legacy ash remains accumulated at power plants. Government regulations and ESG requirements are increasingly mandating the utilisation and disposal of this legacy ash, creating a significant addressable opportunity. Refex is expanding beyond transportation into integrated ash utilisation, silo O&M and end-destination management, which management expects to provide more integrated and potentially higher-margin revenue opportunities.

Wind Business Scaling with Technology-Led Differentiation

- The wind turbine business has an initial order book of around INR 18,500 mn, of which approximately INR 16,000 mn remains to be executed in FY27. The business currently operates at 1-2% EBITDA margin due to imported equipment and its early stage, with margins expected to improve towards 5-6% following indigenisation. Refex plans to establish around 3 GW of manufacturing capacity in India, involving approximately INR 4,500 mn capex, funded through a mix of debt and equity. The company is positioning itself as a technology-led player, initially focusing on higher-capacity 5.3 MW turbines and gradual localisation of components.

Mobility Business Pivot & Demerger to Improve Consolidated Profile

- The corporate mobility business generated ~INR 1,000 mn of revenue in FY26 but incurred a PBT loss of ~INR 350 mn due to its asset-heavy model. Management has shifted the business towards an asset-light EV++ model, including CNG vehicles and contract-based vehicle deployment, with revenue expected to reach around INR 1,700-1,800 mn in FY27. The demerger process has received the required approvals and is expected to be completed by December 2026 or January 2027, which management expects to improve the consolidated return profile by separating the mobility business.

Improving Business Mix, Returns & Integrated Growth Opportunities

- Refex is transitioning towards a more focused business mix, with legacy trading activities being phased out and coal & ash handling becoming the core standalone business. Management indicated that the pure coal and ash business can generate ~30% ROE, while working capital remains structurally elevated at 100+ days due to advance payments to transport partners and collection cycles of around 110-120 days from large customers. The company is also exploring ready-mix concrete (RMC) as a forward-integration opportunity linked to its ash ecosystem, although management has not yet provided revenue or margin guidance for this business.

Regaal Resources Ltd

Outlook: Regaal Resources is entering a significant growth phase following the doubling of its processing capacity, with FY28 expected to be the first full year of operations at the expanded facility. Revenue growth will be supported by higher volumes and a rising contribution from value-added derivatives, targeted to reach ~38% in FY28. An improved product mix, captive utilities and procurement advantages could support profitability, although the benefits will depend on capacity utilisation, conversion spreads and customer ramp-up. Timely stabilisation of the new plant, execution of the product launch pipeline and management of elevated debt and working capital requirements remain key monitorables.

Capacity Expansion & Utilisation

- The company doubled its corn wet-milling capacity from 825 TPD to 1,650 TPD on 26 May 2026, making it the largest corn-processing plant in eastern India.
- Capacity utilisation has historically remained above 95%, with the expanded facility expected to complete its ramp-up by October 2026.
- FY28 will be the first full year of operations at the expanded capacity, with management targeting revenue of INR 16-18 bn.

Value-Added Product Strategy

- The company is transitioning from a conventional starch and co-products business towards higher-margin derivatives, with value-added products expected to contribute ~28% of revenue in FY27 and ~38% in FY28.
- The company has commissioned liquid glucose (180 TPD) and maltodextrin powder (50 TPD) capacities, catering to food, confectionery and baby-food industries.
- Further product launches include modified starches, dextrose monohydrate and dextrose anhydrous, targeting food, pharmaceutical and industrial applications.
- Management is expanding its product portfolio through existing customer relationships, with several customers already purchasing newly introduced derivatives alongside conventional starch.

Procurement & Raw Material Advantage

- Maize accounts for ~70% of the company's production costs, making procurement efficiency and conversion spreads critical to profitability.
- Regaal's direct farmer procurement programme has scaled to 150,000-200,000 tonnes annually, supported by farmer engagement, awareness initiatives and incentive schemes.
- Bihar's strong maize availability, proximity to the Gulabghat mandi and government incentives provide procurement and cost advantages.
- Maize prices in eastern India were ~INR 25 per kg, and procurement visibility extends through January, supported by local availability and inventory.

Margins & Operating Performance

- The company is increasing its focus on value-added derivatives to improve product mix and profitability, while maintaining its established starch and co-products business.
- Starch prices have been increasing, while co-product prices have moderated marginally; management indicated that the prevailing starch-maize price spread remained stable.
- The company benefits from revenue diversification across food, pharmaceuticals, paper, textiles, adhesives and animal nutrition, reducing dependence on any single end-market.

Financial Performance

- FY26 revenue grew 23.9% YoY to INR 11,342 mn, while operating EBITDA increased 12.2% to INR 1,266 mn and PAT rose 16.6% to INR 556 mn.
- Q1FY27 revenue declined 18% YoY to INR 2,022 mn, primarily due to the discontinuation of low-margin trading sales.
- Q1FY27 value-added revenue increased 30.3% YoY to INR 805 mn, while operating EBITDA grew 26.6% to INR 310 mn and PAT rose 47% to INR 133 mn.
- The company reported a decline in fixed-asset turnover following the capacity expansion, with improvement expected as the new facility ramps up.

Debt, Working Capital & Capital Expenditure

- Debt increased to INR 7.35 bn in FY26 from INR 4.54 bn in FY25, primarily due to capacity expansion, funded through a combination of debt and internal accruals.
- Long-term debt is approaching its peak in FY27, with repayments already underway on existing and new borrowings.
- The company has INR 2.41 bn of sanctioned working-capital facilities and has applied for an additional INR 500 mn to support seasonal procurement requirements.
- A substantial portion of scheduled-bank term loans qualifies for interest subvention under Bihar's industrial investment policy, lowering the effective cost of borrowing.

Other Highlights

- A turbine issue at the new plant temporarily disrupted operations, with management expecting restoration by around 5 October 2026.
- The company operates a 15.8 MW captive power facility and a zero-liquid-discharge plant, supporting energy self-sufficiency and environmental compliance.
- Risks include potential upward pressure on maize prices from adverse weather and ethanol demand, although current procurement visibility provides near-term comfort.
- Successful ramp-up of the expanded facility, demand absorption for new derivatives and working-capital management remain key monitorables.

RHI Magnesita India Ltd

RHI Magnesita India, part of the Austria-based RHI Magnesita group (one of the world's largest refractory producers outside China), is India's market leader in refractories, serving mainly steel and cement, along with glass, non-ferrous metals and EPC projects. Management targets volume growth of ~8% (2% above the ~6% steel and cement consumption CAGR) by expanding ironmaking market share from ~13% to ~30%, scaling its 4PRO solutions model (33% of revenue, targeted at 40% in 1-2 years) and improving cost competitiveness via product transfers to India, recycling and operational excellence. FY27 EBITDA margin is conservatively guided at ~13% (FY26: 11.7%; Q1FY27: ~14%), as new industry capacity, including Caldersys' ~240 KT plant next year, may intensify pricing pressure. Capacity utilisation is ~67%, so no capex is needed for the next 3-4 years. Management clarified that Dalmia's ~11% stake sale was its own portfolio decision and not a distressed sale. The key factors to monitor are margin delivery against competitive capacity additions, raw material and FX costs, ironmaking and flow control market share, 4PRO scale-up and steel production growth.

Business Model & Positioning

- Refractories protect customers' equipment wherever heat is required; ~12 kg of refractory is consumed per tonne of steel, and refractories are also essential for cement, glass and non-ferrous metals.
- The company is India's market leader, with the majority of customers in steel and also cement. The group entity is based in Austria and listed in London.
- RHI Magnesita offers an end-to-end portfolio from ironmaking to casting in steel, and alumina, basic and castables in cement, unlike competitors with depth only in certain categories (e.g., Vesuvius in casting).
- India's steel capacity ambition of ~300 mt by 2030 (from ~169 mt) and cement capacity additions provide strong long-term demand.

Strategy

- Outgrow the market: steel and cement consumption is expected to grow 5-6% CAGR until 2030, and the company targets ~2% above this, i.e., ~8% volume growth over the medium term.
- Ironmaking, a key bottleneck for steel growth, is the main lever: market share has risen from ~3% to ~13% in 2-3 years without capex, aided by the group acquisition of Seven Refractories, with an ambition to reach ~30%.
- 4PRO (performance, product, people, planet) evolved from Total Refractory Management to a consulting-led model addressing customer productivity, sustainability and cost, including digitisation, robotics and automation, to de-commoditise refractories.
- Cost competitiveness rests on aggressive Make in India product transfers, mineral processing (reusing secondary material) and an Operational Excellence programme to improve OEE.
- Sustainability: ~20% of recipes use recycled material; the company buys customers' used refractories (avoiding landfill), passes on cost benefits and carbon credits, and has a dedicated recycling unit via a JV. Digitisation and technology programmes target planning, sourcing and process automation.

4PRO Model

- 4PRO contracts range from 1 to 3 years depending on the customer and portfolio, with the company investing in working capital and robotics.
- Product margins are flattish to slightly lower than direct product supply due to competitive pricing, but operational flexibility (timing purchases, kiln utilisation, manpower) adds ~1-2% EBITDA.
- 4PRO is ~33% of revenue currently and is targeted at ~40% in the next 1-2 years; it is positioned as a de-commoditisation and volume partnership tool rather than a margin enhancer.
- It also enables more trials, better product performance and investments in automation and digitisation for customer productivity.

Dalmia Stake Sale & Acquisitions

- The Dalmia acquisition in 2023 was at ~INR 632/share (implying ~INR 130 bn equity value); Dalmia's recent ~11% block sale at a ~43-45% discount was entirely its own portfolio decision.
- Management said it was not a distressed sale, noting the block was completed in less than ~10 minutes and bought by long-term institutional investors, and views the stock as undervalued.
- Since the acquisition, the environment changed: group sanctions restrictions prevent business in Russia, Syria and Iran; INR depreciated; and geopolitical uncertainty and intense competition (three-digit number of alumina players in cement) shifted the market to a buyer's market, leading to balance sheet adjustments.
- Cement market share rose from ~3% pre-acquisition to ~43%. Cement brick realisations are about one-third of Bhiwadi plant products, so lower percentage margins were expected.

- The Dalmia business had ~7% reported EBITDA (~3% excluding one-offs) pre-acquisition and now consistently delivers double-digit (10-11%) margins after safety upgrades and operational excellence. Misses included embargoed markets, export contraction (Europe, Middle East, CBAM) and commoditisation, addressed through recipe harmonisation, product selection and technology transfers from China and Europe.
- The company is open to acquisitions but has nothing on the cards; it prefers consolidation over greenfield expansion and will first sweat existing assets.

Margins & Guidance

- EBITDA margin was 11.7% in FY26; FY27 is conservatively guided at ~13%, driven by price increases, operational excellence and volume share gains. Q1FY27 EBITDA margin was ~14%.
- The conservative stance reflects evolving competition and the time needed for product transfers to materialise.
- Volumes declined YoY as the company consciously exited value-destructive business; management noted peers (e.g., Vesuvius) have seen margins drop while RHIM is showing incremental improvement.
- The company does not give revenue guidance; it guides on volume growth of ~8% (market growth plus 2%) over the medium term.

Capacity & Competitive Landscape

- Overall capacity utilisation is ~67% on a capacity of ~370-385 KT; optimum utilisation is ~82%. At ~6-8% growth, no capex is required for the next 3-4 years.
- The most expensive production line is booked for the next two years from October 2026 due to large orders received.
- Industry utilisation was ~68% last year, yet brownfield/greenfield capacity is being added; Calderys' ~240 KT single plant next year is expected to create significant pricing pressure in an already commoditised sector.
- Competitors (Calderys, Vesuvius, TRL Krosaki) are expanding in low-margin, non-flow-control areas. Possible new avenues include mineral sales (e.g., quartzite).

Flow Control & Product Mix

- Flow control market share is ~34%, neck and neck with Vesuvius; the company has regained share, especially in mini steel/induction furnaces lost ~1.5 years ago, by adapting recipes via R&D for competitive pricing and enhancing performance for integrated plants.
- Flow control contributes ~33-35% of revenue; by revenue, bricks rank first, followed by flow control and mixes/masses.
- Flow control has the highest fixed cost, followed by burnt bricks.
- RHIM is a leader in refractories for electric arc furnaces; green steel is an opportunity, demonstrated by the Tata Ludhiana green steel contract with carbon credits under 4PRO.

Raw Material & Demand Outlook

- Raw material costs have risen due to INR depreciation (the industry imports from China), higher Chinese magnesia and alumina costs after China harmonised day and night electricity tariffs, and higher logistics costs from the Middle East war.
- Competitors are not fully passing on cost increases due to new capacity, but RHIM successfully passed on a wartime surcharge in Q1FY27 for at least a quarter, helped by supply chain resilience while some suppliers declared force majeure.
- Group-level global procurement provides scale benefits; raw material volatility is expected to continue due to currency, energy and geopolitical factors.
- Steel production slowed in Q1 (partly due to a blast furnace incident at RINL and some demand slowdown), but customers expect at least ~6% YoY production growth, supported by PLI schemes and safeguard tariffs.
- Steel price increases do not directly drive refractory prices but create momentum for refractory price increases.

RIR Power Electronics Ltd

Outlook: The Odisha silicon carbide (SiC) project will be executed in three phases: epitaxial production starts by Nov-Dec 2026, packaging follows within a year, and the full fab is due within 1.5-2 years. Commissioning delays have pushed the INR 300 mn/quarter SiC revenue run-rate back by one quarter, so FY27 SiC revenue will be about half the original projection. The legacy business is projected to grow at a 20-25% CAGR over the next three years.

Odisha SiC Project: The INR 6,180 mn project benefits from a 50% government capex subsidy. It covers end-to-end SiC semiconductor manufacturing: epitaxial (Epi) coating, chip fabrication, packaging and power modules/systems. The company is targeting the emerging domestic market for power semiconductors.

Infrastructure: Two Epi reactors have been installed, one 6-inch and one 8-inch. The Epi and packaging operations will run from a leased flatted factory provided by the Odisha government, and 6 acres of nearby land have been set aside for the future fab.

Capex Deployment: About INR 1,200 mn has been spent so far on clean rooms, Epi reactors and back-end equipment. A further INR 1,000 mn is allocated to the packaging phase and INR 2,000-4,000 mn to the fab.

Project Timeline: Epitaxial commercial production is expected to start in late November or December 2026. That is about 1-2 months behind schedule because back-end qualification trials and statutory NOCs are still pending. Commercial packaging is targeted within one year, and the fab within 1.5-2 years.

Bridge Strategy: Until its own fab is running, the company will sell coated Epi wafers to third-party fabricators and buy back the finished chips to package in-house. This lets it earn revenue before the full facility is ready.

Funding Structure: The company previously raised INR 850 mn of equity as its own contribution. It is negotiating a INR 700 mn bank term loan, which will be matched by a INR 700 mn government grant, giving INR 1,400 mn to complete Phase 1. The fab will be funded by a new round of equity and debt, matched equally by government funds. The company currently holds INR 200 mn in cash and fixed deposits, plus INR 25 mn of undrawn bank lines.

Value Addition Economics: Processing raw SiC wafers into finished devices adds 12-13x value over the cost of the raw wafer. Asset turnover across the global semiconductor industry ranges from 0.6x to 0.75x.

Niche High-Voltage Focus: The company is deliberately staying out of the low-voltage (<1,200V) mass market, such as standard EV drivetrains, where Chinese and Taiwanese suppliers compete hard on price. It focuses on 1.2 kV and above, with the main emphasis on 3.3 kV+ applications in HVDC transmission, heavy industry, data centres and railways. Its global competitors include ABB, Mitsubishi, Infineon and Hitachi.

Order Pipeline: The company has won an export order from the US for 120 units of 125 mm, 5 kV silicon-based devices for HVDC applications. It has received preliminary approval for an Army module and expects an initial order for 30-40 units shortly, after successful lab inspections. Rectifiers for green hydrogen applications already contribute 11% of total sales.

Long-Term Potential: The company would be one of India's first end-to-end SiC power semiconductor manufacturers, aimed at the high-voltage segment where it faces less competition. That positioning, the 50% capex subsidy and 12-13x value addition give it a strong strategic position. Execution on timelines and Phase 2 funding remain the key monitorables.

RITES Ltd**Key Outcomes**

RITES Limited is targeting double-digit revenue growth for FY27, supported by a record order book of approximately INR 95 bn. The company aims to maintain a strategic revenue blend favouring high-margin consultancy and leasing over low-margin turnkey projects to sustain an EBITDA margin of ~20% and a PAT margin of ~15%.

Business Model and Revenue Streams

- RITES operates as a multidisciplinary infrastructure consultancy across various sectors, excluding oil and natural gas.
- **Consultancy:** The primary revenue driver (50%+ target), covering high-end niche areas like metros, tunnels, and bridges.
- **Turnkey:** Cost-plus consultancy projects; while they represent ~50% of the current order book, the company targets a long-term revenue share of 25-30% due to low margins (1-3%).
- **Export of Rolling Stock:** Exporting locomotives and coaches to Latin America, Africa, and Southeast Asia. Current orders include locomotives for Mozambique and coaches for Bangladesh.
- **Leasing:** High-margin business involving the lease of ~100 locomotives to industrial plants (steel, power, cement).
- Financial Position and Capital Allocation.
- **Balance Sheet:** The company is debt-free with a low CAPEX model.
- **Cash Reserves:** Total reserves of ~INR 30 bn, consisting of ~INR 8-8.5 bn in own funds and ~INR 22 bn in client-specific funds.
- **CAPEX Plan:** Annual outlay is limited to approximately INR 1 bn, primarily for adding locomotives to the fleet.
- **Dividends:** Maintains a high dividend payout ratio of approximately 95%.
- Market Risks and Challenges.
- **Competition:** Fierce competition in domestic highway consultancy from small players and international competition in rolling stock exports from China and Southeast Asian nations.
- **Funding:** The unavailability of Government of India lines of credit for overseas projects has forced a shift toward global competitive bidding.
- **Human Capital:** Acquiring and retaining expert talent is a constant challenge in the consultancy sector, though current attrition remains low at 2-3%.
- Operational Metrics
- **Order Book Composition:** As of March 31, 2026, the INR 95 bn order book consists of ~50% turnkey, ~INR 20+ bn consultancy, and ~INR 18 bn export business.
- **Client Base:** Indian Railways and related industrial railway networks account for more than 30-35% of the order book.
- **Working Capital:** Low requirement for consultancy/turnkey due to the "deposit work" model where clients fund execution. Receivables typically range between INR 8-9 bn.

RMC Switchgears Ltd**Strong Order Pipeline & FY27 Growth Outlook**

- RMC Switchgears is witnessing improving order momentum, with the company currently participating in tenders worth over INR 10,000 mn and an order book of more than INR 10,000 mn as indicated by management. After slower execution in H1FY27 due to supply-chain disruptions and seasonal factors, management expects execution and billing to accelerate in H2, targeting ~15-20% revenue growth in FY27.

Electrical Products to Support Revenue & Margin Mix

- Management expects FY27 revenue to be driven by a mix of electrical EPC, solar EPC and electrical products, with electrical products estimated at around INR 800-1,000 mn and contributing higher margins than the EPC business. Electrical products generated approximately INR 600-700 mn revenue in FY26, while the company expects around INR 2,500 mn from electrical EPC and ~INR 1,000 mn from solar EPC under the discussed revenue scenario.

Margin Profile Expected to Remain Healthy

- Q1FY27 margins benefited from the milestone-based billing structure, where profitability varies across different project stages. Management expects margins to remain sustainable, with PAT margin in the 8-10% range, although the earlier ~10% PAT margin is considered challenging. The previous year's profitability was impacted by unexpected input-cost inflation and supply-chain disruptions linked to solar-cell dependency and geopolitical developments.

Pulse Box Provides a New Technology-Led Growth Opportunity

- RMC has completed around 10 Pulse Box pilot projects across multiple states, with two utilities currently showing serious buying interest. Management estimates a theoretical TAM of around INR 1,250 bn, with an initial focus on urban/high-loss and high-accident areas. The Pulse Box is designed to provide real-time LT network monitoring, remote programmability, transformer health monitoring and electrocution/fault protection, with the product currently capable of serving transformers up to 750 KVA.

Receivables Expected to Improve, While Execution & Working Capital Remain Key

- Management expects around INR 1,000 mn of retention money to be released over the next six months, including approximately INR 450 mn from Jalna and Satara and another INR 400-500 mn from the MahaGenco project. Regular project payments are continuing, although larger projects and government orders can require higher working capital due to limited or no advances. As execution scales up, managing receivables, project milestones and working-capital requirements will remain important for cash-flow generation.

Sadhav Shipping Ltd

Outlook: Sadhav Shipping remains well positioned to benefit from the strong offshore and maritime cycle, with ~INR 3.5 bn order book, 80-85% offshore utilisation and ~95% port-service utilisation providing good operating visibility. Higher offshore charter rates, new pilot-boat contracts, ONGC EPC opportunities and increasing focus on specialised marine services should support growth, while management targets ~20% revenue growth and >15% profitability growth in FY27. The key upside drivers are stronger charter rates and EPC conversion, while JNPA debarment, execution of the Odisha project and disciplined capital allocation remain important monitorables.

Order Book & Growth

- Current order book stands at ~INR 3.5 bn, providing visibility for the near-term business.
- Management has guided for ~20% revenue growth in FY27 and >15% growth in profitability, supported by better asset utilisation and operating efficiencies.
- Growth will be driven by higher charter rates, EPC contracts, offshore logistics, port services and selective expansion into specialised marine operations.
- Management is targeting growth from around INR 1 bn revenue towards INR 2 bn, supported by higher charter rates and increasing contribution from EPC contracts.

Offshore Logistics

- Offshore logistics contributes around 60-65% of revenue and remains the key business segment.
- Fleet utilisation is currently around 80-85% in offshore logistics.
- Offshore charter rates remain strong due to limited vessel availability globally and sustained demand from oil & gas companies.
- Management indicated that charter rates are significantly higher than levels seen around three years ago.
- Offshore contracts with ONGC typically range between 3-5 years, while EPC-related work is generally contracted for 8-month seasons, with opportunities for 2-3 seasons.

Port Services

- Port services contribute around 25% of revenue, with utilisation at approximately 95%.
- The company has secured 7-year pilot boat contracts with Mumbai Port and JNPA, valued at around INR 170 mn each.
- The company has ordered 4 new pilot boats, with an option for another 2 vessels, from A.H. Wadia Boat Builders.
- These vessels are expected to become operational around January-March 2027.
- Management sees pilotage as a recurring business, with port contracts typically ranging from 5-10 years.

ONGC & EPC Opportunity

- The company is increasingly moving beyond pure vessel chartering towards EPC contracts, where it can undertake the overall engineering scope along with vessel deployment.
- Management expects EPC contracts to provide better value addition and improve revenue and profitability compared with only chartering vessels.
- The company has secured a 120-day contract, with an option for another 56 days, with L&T Energy for ONGC's pipeline replacement project.
- The contract value is estimated at USD 13-18 mn; the transcript did not provide an INR conversion.

Fleet & Asset Utilisation

- The company primarily owns its offshore fleet, while some vessels are also chartered in.
- Overall utilisation remains healthy at 80-85% for offshore vessels and ~95% for port-service vessels.
- Management is focused on improving utilisation rather than adding vessels purely for scale.
- Any new vessel acquisition will be considered based on visible demand, expected utilisation and attractive returns.
- Management is actively evaluating acquisition opportunities but currently does not see an attractive deal in the market.

Offshore Market

- Offshore vessel supply remains tight globally, supporting higher charter rates.
- Oil & gas companies are increasing the acceptable age of vessels from around 15 years to 20 years due to limited vessel availability.
- Management expects the supply-demand imbalance to support offshore charter rates.
- However, higher charter rates are accompanied by higher vessel acquisition prices, which could impact returns on new asset purchases.

United Sadhav JV

- United Sadhav is a JV between United Petro Group and Sadhav Shipping, with Sadhav holding 26%.
- The JV is evaluating development of an offshore supply base, shipyard and ship-repair hub on the east coast.
- Around 850 acres of land have been identified, with land studies and government-level discussions underway.
- Management indicated that the project is still at an early stage and requires substantial infrastructure development before operations can commence.

- Importantly, management stated that the capital requirement for the project will be funded by the United Petro Group, with Sadhav not expected to contribute the required project capital.

Odisha Expansion

- The proposed Odisha project continues to face delays due to government processes and the relatively nascent Odisha Maritime Board.
- Management expects land acquisition to potentially happen within the next ~3 months, although timelines remain dependent on government approvals.
- Once land is acquired, commencement of operations could take another 2.5-3 years because of the scale of the infrastructure.
- The company is also exploring shipbuilding and ship-repair opportunities around the Odisha/Dhamra region.

International Operations

- The company currently operates one vessel in the Middle East for emergency-response services.
- The vessel provides emergency support to vessels operating in the region.
- Management indicated that international operations remain part of the broader specialised marine-services strategy.

Safe Enterprises Retail Fixtures Ltd

Safe Enterprises is entering a capacity-led growth phase, with Pune expansion and the Amarnath facility expected to support 25-30% FY27 growth and INR 4+ bn revenue ambition for FY28. The organised-retail expansion opportunity, high customer wallet share and entry into jewellery fixtures provide additional growth avenues. Over the medium term, Wave/RFID and Evolve could increase revenue per store and diversify the business beyond conventional fixtures, although Evolve's distribution build-out remains a key execution monitorable.

Business evolution: Safe Enterprises has operated since 1936 and has been focused on retail fixtures since 1991, evolving from conventional store fit-outs to modular, electrified and technology-enabled smart-store solutions.

Core proposition: The company uses a proprietary component-based model, with 3,000+ shop-fitting components developed through ~5,000 hours of development and ~15,000 hours of R&D, enabling faster and customised store execution.

Capacity remains the bottleneck: Management highlighted that sales, rather than demand, have been the key constraint over the past three years due to limited manufacturing capacity.

FY27 growth guidance: Management expects 25-30% revenue growth in FY27, supported by incremental capacity at Pune and the ramp-up of the Amarnath facility.

Amarnath expansion: The Amarnath facility is targeted to commence production in December, with FY27 primarily being a build-up year and meaningful contribution expected from FY28.

FY28 ambition: Management is targeting INR 4+ bn revenue in FY28, with capacity expansion, customer additions and business development being pursued simultaneously.

High customer stickiness: The company typically captures 70-80% wallet share of a customer's store-fixture spend, supported by proprietary components, consistency across stores and execution capabilities.

Large addressable opportunity: Management estimates the retail-fixture opportunity at ~INR 160 bn by applying a ~20% fixture share to an estimated INR 800 bn retail-interior-design market.

Organised retail tailwind: Continued formalisation of retail and expansion of organised/value retailers into Tier-2/3/4 cities should drive demand for organised, scalable fixture suppliers.

Differentiation beyond price: Safe does not compete primarily on price; its proposition is based on design, creativity, proprietary components, speed of execution and the ability to deliver customised stores at scale.

Manufacturing model: The company follows a "standard engineering with customised skins" approach, keeping components semi-finished and using different fabrics, laminates, metals and wood finishes for customer-specific applications.

Competitive entry barriers: Management believes the key barrier is not merely manufacturing capacity but the combination of R&D, proprietary designs, mass production, project management, installation capabilities and long-term customer trust.

New Evolve vertical: Evolve extends the existing component platform into home applications without requiring significant fresh manufacturing investment, but will require a much broader distribution network.

Evolve strategy: The company plans to scale its franchise network from the current ~5 pilots towards ~50 franchises, with inorganic opportunities also being evaluated to accelerate distribution. Meaningful Evolve contribution is expected post-FY28.

Jewellery opportunity: Jewellery is emerging as a key target segment as retailers expand aggressively, including lab-grown diamond brands. The company is already working with a few jewellery players and is pursuing additional opportunities.

Wave/RFID opportunity: RFID-enabled fixtures and self-checkout solutions have successfully completed pilots with customers, with larger rollouts across 100+ stores under discussion. A POC is also underway in Saudi Arabia.

Technology-led revenue opportunity: Wave could increase revenue per store through RFID, self-checkout, IoT, kiosks and potentially recurring software revenue, while also creating opportunities across warehouse inventory and omnichannel fulfilment.

RFID adoption: Management expects adoption to be stronger initially among mid-segment and mid-luxury retailers, where customer experience is important but value-for-money remains critical; value retailers may take longer to adopt due to lower margins.

Margin profile: Management believes the existing 30%+ margin profile is sustainable, supported by the company's solution-oriented proposition, proprietary component base and asset-light manufacturing approach.

Raw-material pricing: Projects are individually priced rather than locked for long periods, allowing the company to adjust quotations to prevailing raw-material costs. Management therefore does not view commodity-price volatility as a major structural margin risk.

Working capital/customer advances: Customers generally pay 30-50% upfront, mostly around 50%. Reported advances can fluctuate depending on dispatch timing, as advances are adjusted against invoices once material is dispatched.

Safety Controls & Devices Ltd

Outlook: Safety Controls & Devices is positioned for strong revenue growth, with management guiding for INR 1.8-2 bn revenue in FY27 and INR 2.75-3 bn in FY28, supported by its ~INR 5.9 bn order book and additional INR 2.5-2.75 bn bid pipeline. The shift towards central PSUs should improve payment cycles and gradually reduce working-capital intensity, while entry into 765 kV and transmission-line projects can expand the addressable market. Key monitorables remain high customer concentration with NTPC, negative operating cash flow and execution of the large order book, although management expects PAT margins to remain at 12-13% over the next 2-3 years.

Order Book & Execution

- Current order book stands at ~INR 5.9 bn, of which ~INR 3.5 bn is currently under execution.
- Key orders include INR 1.37 bn and INR 1.12 bn 400 kV pooling substations, along with projects from NTPC, RVNL, Power Grid and TUSCO.
- The company has already bid for additional tenders worth ~INR 2.5-2.75 bn, largely from central PSUs.
- Most projects have an execution timeline of 2-3 years, with larger projects generally around INR 1 bn in size.
- Revenue recognition is back-ended as civil work and drawing approvals happen first, while equipment supply forms around 70% of project value and drives higher revenue in the second and third years.

Revenue & Profit Outlook

- FY26 revenue stood at INR 1.17 bn, compared with INR 1.03 bn in FY25.
- Management expects FY27 revenue of INR 1.8-2 bn and FY28 revenue of INR 2.75-3 bn.
- Management expects revenue to reach around INR 6 bn over the next five years, supported by the current order book and new tender wins.
- FY26 PAT was INR 144 mn, versus INR 76 mn in FY25, indicating significant margin expansion despite moderate revenue growth.
- Management expects PAT margins to remain around 12-13% over the next 2-3 years, with potential for further improvement.

Shift towards Central PSUs

- The company is actively shifting its focus from state PSUs to central PSUs due to better payment terms and lower retention.
- State PSU contracts carry around 30% retention, compared with 15% for central PSUs.
- Central PSUs also provide payment availability throughout the year, unlike state PSUs where billing is more concentrated towards the final two months.
- The company is currently working with NTPC, Power Grid and Railways, while actively targeting additional central PSU customers.

Working Capital & Cash Flow

- High receivables are primarily due to retention money rather than collection issues.
- Under state PSU contracts, around 30% of billed value is retained, with 20% released through milestones and 10% after project completion.
- Under central PSU contracts, retention is around 15%, with 10% released through milestones and 5% after project completion.
- Management expects debtor days to gradually improve by March 2027 or September 2027 as the order mix shifts towards central PSUs.
- Operating cash flow has remained negative since FY22, but management expects improvement as the current state PSU receivables are released.

Substation & Transmission Opportunity

- The company remains focused primarily on transmission and distribution EPC, particularly substations.
- Solar park development is creating additional demand for pooling and transmission substations, with the company already executing multiple solar-linked substation projects.
- The company is executing its first transmission-line project through TUSCO, which could help it qualify for larger transmission-line tenders in the future.
- The company has also started qualifying for 765 kV projects and has participated in tenders issued by Power Grid.
- Management sees transmission as the primary long-term growth area rather than becoming a solar EPC player.

Customer Diversification

- NTPC remains the largest customer, with around INR 2.5 bn of ongoing projects and another INR 800-900 mn of tenders awaiting evaluation.
- NTPC contributed roughly 70-75% of FY26 revenue, highlighting the current customer concentration.
- Management is actively targeting Power Grid, Railways and other central PSUs to reduce dependence on NTPC.
- Power Grid currently contributes through a smaller ~INR 220 mn project, while the company is targeting larger INR 1+ bn opportunities with the utility.

Margins & Cost Structure

- FY26 EBITDA margin was around 18%, while PAT margin improved sharply versus FY25.

- Central PSU contracts have price variation clauses, allowing the company to pass on changes in raw-material prices.
- State PSU projects are generally fixed-price contracts, creating relatively higher raw-material price risk.
- Management expects margins of at least 12-13% PAT over the next 2-3 years and does not expect significant margin compression.

Capex & Diversification

- The company does not plan any major capex over the near term, apart from normal office and IT-related expenditure.
- The company is exploring entry into manufacturing, although this remains at a preliminary stage.
- Fire protection, the company's original business, now contributes only around INR 10-20 mn orders and is not expected to be a major growth driver.
- The company has previously executed an EV charging project involving 15 chargers of 140 kW each, but has not pursued new EV charging tenders after that project.

Sahaj Solar Ltd

Sahaj Solar is a diversified solar EPC and products company, with solar water pumping (PM-KUSUM) historically the largest contributor, now diversifying into C&I EPC, off-grid/BESS and international projects. FY26 consolidated revenue stood at INR 4.19 bn with PAT of INR 280 mn+, up ~20% YoY, as management prioritised cash-flow discipline over new business. The order book stood at ~INR 3 bn, including ~INR 2 bn+ from PM-KUSUM, while receivables of ~INR 3 bn saw over INR 1.7 bn collected in the last six months. Management guides to 30-35% revenue growth in FY27 with margins normalising to 9-10% in H2FY27, aided by BESS diversification, the IDMC partnership, and a hybrid solar-plus-battery mix expected to reach ~50% of revenue. Key monitorables are receivables collection, PM-KUSUM 2.0 timelines, BESS/IDMC order conversion, Zambia and UAE execution, and margin recovery.

Business Model & Positioning

- Sahaj Solar was incorporated in 2010 as a solar system integrator, commissioning its first panel assembly plant in Surat in 2011.
- The current management took over in 2014, relocating to Ahmedabad and adding a 25 MW plant in 2015 and a 100 MW plant in 2018.
- The business spans solar water pumping (PM-KUSUM), C&I EPC, off-grid battery-storage products and subsidy-linked installations across Gujarat, Maharashtra, Assam, Tripura and Uttar Pradesh.
- The company has executed projects in Uganda, Malawi and Zambia over six years and continues to explore further Eastern Africa opportunities.
- Solar water pumping remains the largest segment at 70-75% of turnover, though its share has declined from ~82-85% in FY25 to ~73-74% in FY26 as the company diversifies.
- The company has also begun BESS projects with the Border Security Force (BSF) for solar-plus-battery installations at eastern and western border outposts.

Financial Performance & Growth Trajectory

- FY26 consolidated revenue stood at INR 4.19 bn with PAT of INR 280 mn+, up ~20% over the prior year.
- Revenue growth had earlier been guided at a 30-33% CAGR but moderated to ~25-28% in FY26 as management prioritised cash-flow management over new business.
- Management reiterated FY27 revenue growth guidance of 30-35%, in line with FY26, alongside a 12% EBITDA margin target.
- Margins have been volatile (~10-15%), pressured by rising finance costs and cash-flow stress; management expects normalisation to 9-10% in H2FY27, when ~75% of the year's business is executed.

Receivables & Working Capital

- Of FY26 revenue, ~INR 3 bn was outstanding as receivables, mainly from solar water pumping, with the largest exposures in Maharashtra and Gujarat.
- ~90-95% of Gujarat receivables and over 60% of Maharashtra receivables have been collected in the last six months, taking total collections to over INR 1.7 bn of the INR 3 bn outstanding.
- Management attributes the improvement to deliberately diversifying revenue across states and segments rather than relying on any single one.
- Within the solar water pumping order book, 60-70% of collections have already been received; this 100% government-funded segment was flagged as a positive sign.

Order Book & Segment Mix

- The order book stood at ~INR 3 bn as of the post-results update, down from an original ~INR 4.03 bn after ~INR 1 bn was executed.
- PM-KUSUM orders account for ~INR 2 bn+ of the current order book, though FY27 guidance is not dependent on further PM-KUSUM 2.0 orders given the scheme's extended timeline.

- The top five customers contributed over 80% of FY26 revenue, and 85-90% of business came from repeat customers across government/PSU and private C&I clients.
- Payment cycles vary by customer type: ~1-1.5 months for private/distributor clients and ~2.5-3 months for government clients, stretching to 4.5-5 months in some states.
- Management expects the hybrid solar-plus-battery business to reach ~50% of revenue from next year, growing further thereafter, driven by C&I, BESS/off-grid and the IDMC partnership.

BESS, IDMC Partnership & New Initiatives

- BSF-related solar-plus-BESS orders received over the last six months total ~INR 350-400 mn.
- Two new products have been developed for IDMC over the last two quarters (a mobile BMC unit on Sahaj-supplied batteries and a 100% off-grid system), with the first two 150-litre units deployed in Uttar Pradesh.
- A pipeline of enquiries from IDMC-linked dealers is building, with order sizes rising from single-digit to 40-50 units; management declined to disclose the pipeline value.
- Management is developing an independent BESS/technology partnership, with technology already identified and an announcement expected in due course; initial BESS focus will be on products (BMS, controllers) rather than full EPC/turnkey projects.
- The proposed 10,000-unit bulk milk chiller solarisation opportunity with IDMC is expected over FY26-FY31; near-term order value is limited, and ~45-day payment terms from PO should avoid cash-flow strain.

International Projects

- The Zambia project (~INR 550 mn pipeline guided earlier) has been delayed by the country's August 2026 elections; final approval is expected around October 2026, with execution targeted for Q4FY27, after which margin and funding guidance will follow.
- The 750 MW UAE module plant remains on hold as the Jebel Ali and Khalifa ports are non-operational due to the regional conflict, though machinery design and planning are ready pending port normalisation.

Capacity & Capital Allocation

- The planned 1,500 MW module expansion at the Dahej (Dakor) facility has been on hold since January 2026 owing to domestic panel oversupply, with management now exploring ESS opportunities instead.
- Term loan debt for expansion stands at ~INR 130 mn (down from INR 150 mn), while project-specific loans for BSF/PM-KUSUM execution have reduced from INR 1.25 bn to ~INR 800 mn, against BSF receivables of INR 1.3 bn+.
- Rising finance costs affected FY26 profitability versus FY25, though operating cash flow is expected to improve versus the H2FY26 run-rate.

Module Pricing

- Non-DCR module prices have corrected recently, tracking softer Chinese pricing; DCR prices have corrected less so far, though early indications suggest DCR supply pricing could fall ~10% from current levels.

Other Items

- Management attributed the ~70% share-price correction from peak to broader market sentiment, FII outflows and SME-segment weakness rather than weaker fundamentals, citing FY24-FY26 revenue and profit growth of ~2.5x.
- The company plans to evaluate migrating from the SME platform to the main board after completing three years of listing in July 2027, subject to board/advisor input, having already met eligibility criteria.

Sanathan Textiles Ltd

The company is entering a strong earnings growth phase as Punjab ramps toward full utilisation and Phase 2 adds further capacity, while technical textile expansion provides an additional growth lever. Management targets EBITDA of INR 5.3-5.5 bn in FY27, INR 7+ bn in FY28 and >INR 8 bn in FY29, with declining debt supporting cash-flow conversion. Tight industry utilisation, limited near-term capacity additions, domestic PTA availability and improving export opportunities provide further upside to margins. Key monitorables remain polyester spreads, raw-material pass-through and execution of the Punjab Phase 2 and MP cotton projects.

Strong growth visibility: FY26 revenue was ~INR 38 bn, while FY27 revenue is targeted at ~INR 57 bn and EBITDA at INR 5.3-5.5 bn; management is currently on track to surpass the EBITDA target.

Punjab ramp-up: The greenfield Punjab filament yarn facility has reached ~90% utilisation in Q2 and is expected to reach 95-96% next quarter, broadly matching Silvassa operating levels.

Further capacity addition: Phase 2 at Punjab will increase capacity from 700 TPD to 900 TPD and is targeted for commissioning by April-May 2027.

Technical textiles expansion: Technical textile yarn capacity has doubled from 9,000 TPA to 18,000 TPA, with the company expecting eventual incremental revenue of ~INR 1.5-2 bn.

FY28 growth: With Punjab Phase 2 and full utilisation of technical textile capacity, management targets revenue of ~INR 67-68 bn and EBITDA of INR 7+ bn in FY28.

Cotton expansion: A new cotton yarn facility at PM MITRA Park in MP is expected to commence construction by December 2026, commission by December 2027 and reach full production by FY29.

FY29 target: With cotton capacity and full ramp-up of existing expansions, management targets revenue of ~INR 73-74 bn and EBITDA above INR 8 bn.

Punjab cost advantage: The Punjab plant benefits from lower power costs, agri-based heating and automation, with management targeting EBITDA of INR 14,000-15,000 per tonne versus ~INR 9,000 per tonne at Silvassa.

Logistics advantage: Punjab allows delivery to key northern markets within ~3 hours versus ~7 days transit from western India, enabling customers to reduce freight and inventory costs while providing Sanathan an estimated INR 1,500-2,000 per tonne benefit.

Industry utilisation tight: Polyester filament yarn industry utilisation is currently ~80%, close to historical peak levels of 80-83%; management sees most plants operating near full capacity.

Demand outlook: Domestic polyester filament yarn demand is growing ~6-8% annually, with industry demand potentially rising from ~4.5 mn tonnes currently to ~5.5 mn tonnes over the next three years.

Limited near-term capacity: No major filament yarn capacity has been announced in India for the next 2.5-3 years, although management expects some industry players to announce expansions that would take another 2-3 years to come on stream.

Market position: Post completion of both Punjab phases, Sanathan expects to become the third-largest player by capacity, with an estimated 12-14% market share.

Raw-material tailwind: Upcoming domestic PTA capacity from GAIL and Indian Oil could shift India from a PTA-deficit to surplus position, potentially reducing landed raw-material costs by ~INR 3,000-4,000 per tonne.

Better cost pass-through: Q1 saw some difficulty passing through volatile crude-linked raw material costs, but management said most of the cost increase has been passed on in Q2.

Debt reduction: Peak net debt was ~INR 13 bn, but management does not plan to take additional debt for Punjab Phase 2 or the MP cotton project; peak debt is expected to decline annually.

Export opportunity: UK/EU FTAs are generating inquiries, with the EU agreement expected to provide a stronger boost to direct and indirect textile exports from next year.

Filament applications: Filament yarn is increasingly replacing cotton across garments and athleisure, while also serving luggage, seatbelts, home textiles, labels, laces and belts.

Cash-flow inflection: With the major Punjab capex largely behind, management expects operating cash flows to significantly exceed investing outflows in the coming years as capex intensity declines.

Sathlokhar Synergys E&C Global Ltd

The company is targeting 70%+ revenue growth in FY27 to ~INR 14 bn, supported by its executable order book of INR 9.34 bn and anticipated order inflows from existing and new clients. The commissioning of its PEB facility from November 2026 is expected to strengthen execution capabilities, improve control over project delivery and contribute to incremental revenue, with management targeting INR 1.5 bn annual revenue from the facility. Repeat orders from existing customers, expansion into new geographies and the planned addition of PEB facilities provide medium-term growth opportunities. However, timely order conversion, working capital requirements, cash flow management and execution of the aggressive growth plan remain key monitorables.

Business Profile & Execution Capabilities

- Sathlokhar is an integrated turnkey EPC player focused on industrial factory construction, providing end-to-end solutions across civil construction, pre-engineered buildings (PEB), electrical, mechanical, plumbing, fire-fighting, utilities, interiors and landscaping.
- The company has executed over 105 factory buildings across India over the past 12 years, with exposure to sectors such as footwear, beverages, auto components, semiconductors, pharmaceuticals, chemicals and steel.
- The company's key differentiation lies in its integrated execution capabilities, in-house design and detailing, civil construction teams, PEB manufacturing facility and electrical, plumbing, fire-fighting and interior execution capabilities.
- It primarily caters to manufacturing-sector clients and does not undertake high-rise or residential construction projects, allowing it to maintain a focused industrial EPC business model.
- The company has executed projects for large corporates, including Reliance and PepsiCo, and has secured repeat business from existing clients, including follow-on phases of factory projects.

Financial Performance & Growth Guidance

- Revenue stood at INR 8.23 bn in FY26, following a significant scale-up from INR 860 mn in FY23, INR 2.47 bn in FY24 and INR 3.72 bn in FY25.
- Management has guided for revenue growth of over 70% in FY27, targeting approximately INR 14 bn, supported by the existing executable order book and anticipated order inflows.
- The company reported an order intake of INR 11.39 bn as of the conference date, including approximately INR 2.04 bn booked during Q1FY27.
- Management indicated that it expects to secure an additional INR 3 bn of orders by October 2026 to support its FY27 revenue guidance.
- The company is targeting an additional INR 10+ bn of order inflows between November 2026 and March 2027, with a portion of these orders expected to contribute to FY28 revenue.

Order Book & Revenue Visibility

- The company reported an executable order book of INR 9.34 bn, excluding GST, against total orders booked of INR 11.39 bn as of the conference date.
- The INR 230-240 bn pipeline represents the cumulative value of quotations submitted for prospective projects and is not a confirmed order book.
- Management indicated that even a 10% conversion of the quoted pipeline could translate into approximately INR 23 bn of orders, although the timing and actual conversion remain uncertain.
- The company expects to complete the currently disclosed executable order book by 31 March 2027, providing near-term revenue visibility.
- Management expects repeat orders from existing clients, particularly Phase II and Phase III expansions of ongoing factory projects, to support order inflows and revenue visibility beyond FY27.

Segment Mix & PEB Expansion

- Civil construction contributes approximately 35% of revenue, while PEB accounts for 35-40%; the balance is generated from electrical, mechanical, plumbing, fire-fighting, data and voice systems, CCTV, utilities, interiors and finishing works.
- Sathlokhar has commissioned a new PEB manufacturing facility with ~170,000 sq ft of built-up area, which is currently undergoing trial runs and regulatory approvals.
- Commercial production at the new PEB facility is expected to commence from November 2026, subject to receipt of the required Consent to Operate and fire-safety approvals.
- Management is targeting approximately INR 1.5 bn of annual revenue from the PEB facility, with an expected net profit margin of 9-10% for the PEB business.
- The company plans to establish five additional PEB manufacturing facilities over time, targeting one new facility annually from FY28, with the objective of reducing transportation costs and improving execution timelines.
- Management highlighted that in-house PEB manufacturing will reduce dependence on third-party suppliers, improve control over project execution and strengthen customer confidence in its turnkey offerings.

Margins, Solar & International Opportunities

- Contractual arrangements generally provide for sharing or managing raw material price movements within a 3-5% range, although the precise protection mechanism and its impact on margins were not quantified.
- Solar contributes less than 5% of overall revenue, with the company targeting an increase to approximately 10% through its Tata Power Solar channel partnership and expansion into residential and commercial installations.
- Sathlokhar has commenced its first overseas project in Sri Lanka, secured through an existing client relationship, and management expects opportunities to execute additional projects in the country.
- The company expects to leverage its existing relationships with large beverage and FMCG clients, including Reliance Consumer Products, for potential new manufacturing projects, with management indicating the possibility of securing another Campa Cola or food-park-related project in Q3FY27.

Satin Creditcare Network Ltd

Outlook: FY27 AUM growth guidance has been raised from a standalone 20-25% to a consolidated 25-30%, with credit cost projected at 3.0-3.5%. The FY30 group AUM target has been raised from INR 250 bn to INR 320 bn. The target portfolio mix is 70% microfinance (unsecured) and 30% non-microfinance (secured), with the secured part split into 17-18% MSME/general NBFC and 12-13% housing finance.

- **AUM Composition:** Group AUM stands at INR 160 bn. Microfinance (SCNL standalone) accounts for INR 133 bn, about 81%. The rest comes from Satin Finserv, which serves MSME/NBFC (INR 13.6 bn), and Satin Housing Finance (INR 12.6 bn). The group also includes a technology consulting subsidiary formed in August 2024 and an alternative investment fund, Satin Growth Alternatives, formed in August 2025.
- **Q1FY27 Performance:** AUM grew 22% YoY. ROA was 3.5%, or 4.3% excluding management overlays. SCNL has now been profitable for 20 consecutive quarters, outperforming peers through the industry downturn.
- **Credit Cost & Overlays:** Q1 credit cost was 3.0%, or 1.98% excluding the voluntary management overlay. Satin's credit cost compares well with the sector: 4.6% versus ~12% for the industry in FY25, and 3.8% versus ~8% in FY26. In Q1, the company built an initial overlay buffer of INR 360 mn, and it plans to expand this permanent buffer to INR 900-1,000 mn.
- **Asset Quality:** GNPA fell 80 bps QoQ to 2.18%, helped by faster write-offs. PAR 1+ dropped from 5.8% to about 3.0% over four quarters, of which PAR 90+ is just over 2.0%. PAR 1-90 is held at 0.70-0.80%. Overall PCR is about 115%, and PCR on PAR 90 is 83%, compared with a loss given default of 67-68%.
- **Collections:** Overall collection efficiency is about 97%, and X-bucket efficiency is above 99.8%. Recoveries from written-off accounts average INR 350-400 mn a year.
- **Satin Finserv (MSME):** AUM of INR 13.6 bn is targeted to exceed INR 20 bn by the end of FY27. The product is a secured individual loan against immovable property, with average ticket sizes of INR 0.15-0.25 mn. Unit economics are a blended yield of 24-25%, opex of 5-6% and credit cost of 2.0-2.5%, which deliver an ROA of 3.5-4.0%.
- **Satin Housing Finance:** AUM stands at INR 12.6 bn. Blended yield is 17-18%, made up of about 15% for affordable housing and about 23% for micro-housing. With opex of 3-4%, the business targets an ROA of about 3%.
- **AIF Platform:** Satin Growth Alternatives recently made an anchor investment of INR 50 mn and targets AUM of more than INR 10 bn by FY30.
- **Branch Expansion:** The company opened 392 branches in FY26 and plans to add 60-70 in South India in FY27. A new branch costs INR 0.2-0.3 mn to set up and breaks even in about three quarters, at roughly 1,000 customers. About 200 recently opened branches are still sub-optimal and are expected to break even within two quarters. The ideal opex ratio is 6.0%, with 6.5% achievable in the near term.
- **Underwriting Discipline:** Rejection rates exceed 65% nationally and 80% in the southern expansion states. SCNL is the sole lender to 45-50% of its borrowers. Sector guardrails cap total borrower indebtedness at INR 0.2 mn. Across the industry, the share of borrowers with more than three lenders has fallen from 30% before the crisis to 6-7%, while Satin held its own exposure at 5% even before the regulations came in.
- **Funding Costs:** Borrowing costs have fallen by more than 90 bps. SCNL raised INR 10 bn under special liquidity schemes at rates below 10%, and recent bank sanctions came 100 bps cheaper than earlier facilities. The draft regulations capping credit-life insurance distribution income have no financial impact, because the company earns no distribution or commission income on policies.
- **Industry View:** At its peak, the microfinance industry had a loan book of INR 4,300 bn and about 80 mn borrowers. The sector contracted sharply during the stress period but grew 14% last quarter. Management estimates it is about three quarters away from full recovery.
- **Long-Term Potential:** Consistent profitability through the cycle, a credit cost advantage over the sector, a growing overlay buffer and a falling cost of funds support improving earnings quality. The shift toward 30% secured lending and the higher FY30 AUM target of INR 320 bn give the group a long growth runway with a less risky portfolio mix.

Sattva Engineering Construction Ltd

Outlook: Sattva Engineering Construction is executing a multi-year expansion, transitioning from a regional partnership firm into a listed infrastructure contractor. Drawing on 25-30 years of experience in water infrastructure, the company is expanding across southern and eastern India while diversifying into higher-margin industrial construction and specialised environmental technologies such as odour control systems (OCS). Supported by standalone qualifications, strategic joint ventures (JVs) and long-term operation and maintenance (O&M) contracts, management targets a 35-40% CAGR over the next three years while maintaining a disciplined capital structure.

Foundational Heritage & Operational Focus

Founded in 2005 as a partnership firm and converted into a limited company in September 2025, Sattva operates primarily across municipal and industrial water treatment ecosystems. The core business spans four major segments including water supply schemes with household pipeline connections, sewage treatment plants (STPs) integrated with biogas power generation, water treatment plants (WTPs), and long-term O&M contracts of 7-10 years. Additionally, the company recently restarted its industrial division to construct turnkey factory buildings, securing an initial ~INR 100 mn order from Bimbo Bakers in August 2026.

Earnings Profile & Return Ratios

FY26 revenue from operations grew 32% YoY to ~INR 1,430 mn. EBITDA margin was 15.4%, down from 17.1% in FY25 due to initial set-up and ramp-up costs on new WTP projects, while PAT margin was 9.1%. Return metrics remained strong, with ROE of 19.9% and ROCE of 32.7%. Management has guided to a sustainable long-term EBITDA margin of 15-16% across its operating divisions.

Backlog Visibility & Tender Pipeline

As of 30 June 2026, the company's total order book reached ~INR 5,300 mn (excluding the ~INR 100 mn industrial order bagged in August 2026), incorporating ~INR 140 mn in recurring O&M contracts. Recent wins feature a major expansion into Karnataka with ~INR 1,080 mn in orders for the Bangalore Water Supply Scheme (covering 120 MLD and 110 MLD STPs), with revenue translation expected to begin in Q4FY27 following design approvals. Sattva also secured a ~INR 1,000 mn order in Q1 for a 46 MLD STP in Thirupathi, Tamil Nadu, and is actively participating in ~4 upcoming tenders before December 2026.

Environmental Technology: Odour Control Systems (OCS)

Sattva is currently executing an initial OCS project covering 46 sewage pumping stations in Chennai. Driven by state Pollution Control Board regulations requiring OCS implementation across 50-60% of new pumping station tenders, management views OCS as an emerging, medium-term growth vector that carries healthy EBITDA margins comparable to standard STP and WTP projects (~15-16%).

Top-Line Guidance & Site Pacing

Management has aligned its FY27 revenue growth guidance to ~35% YoY (calibrated from previous AGM expectations of 50-60%) to account for brief site possession and land handover pacing adjustments. This 35% target serves as a conservative baseline for FY27, with revenue expected to compound at a 35-40% CAGR over a 3-year horizon. Furthermore, enhanced corporate visibility post-listing has expanded inquiry volumes and bidding eligibility for larger regional project slates.

Territorial Outreach & Joint Ventures

While consolidating its core presence in Tamil Nadu and Karnataka, Sattva holds standalone qualifications for large-scale STP contracts. To bid for larger multi-state infrastructure projects in Uttar Pradesh, Rajasthan, Haryana, and Andhra Pradesh, the company is deploying a JV partnership framework. Leadership is also actively exploring market entry into Patna (Bihar) to evaluate municipal WTP, STP, and pipeline networking prospects alongside local partners.

Balance Sheet Health & Cash Generation

Working capital metrics continue to normalise, with 95% of pending receivables as of March 2026 successfully collected prior to June 2026, maintaining the target working capital cycle within 90-100 days. Management aims to achieve positive operating cash flows for FY27 and plans to cap bank debt by maintaining its existing ~INR 250 mn cash credit limit without incurring additional borrowings. No further equity dilution or share buyback programmes are currently under evaluation.

Investment Catalyst & Key Monitorables

Primary growth drivers include the execution of the ~INR 5,400 mn order backlog, revenue realisation from Karnataka STP projects starting Q4FY27, scaling the industrial segment, and rising regulatory adoption of Odour Control Systems. Key monitorables include the pace of land handovers and site access, maintaining working capital efficiency within 90-100 days, execution timelines for multi-state JV projects, and sustaining 15-16% EBITDA margins amidst commodity cost variations.

SEAMEC Ltd

Outlook: SEAMEC is positioned for a structural tailwind driven by rising offshore exploration activity and a shrinking global pool of diving support vessels (DSVs), with only ~60-65 DSVs worldwide and ~9-10 operating in India. Management guides to revenue growth of 10-12% and bottom-line growth at a 15-18% CAGR over the next four to five years, supported by EBITDA margins of 40-42% and blended ROCE of 20%+. Fleet expansion is underway, with one vessel being added in October and a second targeted by financial year-end, though one older vessel may retire next year, largely offsetting near-term additions. Day rates are expected to strengthen to USD 80,000-85,000 for full-scope contracts, and the company retains significant debt headroom, with net debt currently negative and net worth of ~INR 15 bn.

Business Overview and Asset Base

SEAMEC is part of the MMG Group, which acquired the company in 2014 from France's Technip. The company owns six specialised DSVs, manages two DSVs for ONGC and holds one supply vessel. DSVs are critical for offshore oil field maintenance, including inspection, repair and installation work. The company primarily operates along the Indian coast but has expanded to Saudi Aramco fields through a two-year charter with Safin, an MDC group company, which concludes around April or May next year. SEAMEC works closely with ONGC, L&T and GR Infra, among others.

Debt Position and Capital Structure

Gross debt stands at ~INR 2 bn, with net debt negative after accounting for treasury investments. The vessel Anand, costing ~INR 7 bn, will be funded ~INR 3.5 bn through debt and ~INR 3.5 bn through internal accruals. An additional vessel is targeted by the end of the financial year, potentially adding ~INR 6-7 bn of debt, so debt is expected at ~INR 9-10 bn by year-end. Net worth is ~INR 15 bn, keeping debt-to-equity well within 1x and debt-to-EBITDA at ~3x. Cost of debt is targeted below 8%, given the strong credit rating and MMG Group relationships. The company uses multiple banking rather than a consortium approach, with project-specific term loans for each vessel.

Fleet Expansion and Contract Strategy

One vessel is being acquired in October, already running on contract, at a day rate of ~USD 45,000 for a bare vessel charter without diving scope. A second vessel may be acquired by financial year-end, at day rates of ~USD 80,000-85,000 including diving, consumables and fuel. Contracts are pursued either as long-term IMR contracts directly with ONGC for 3-5 years, or as EPC contracts on a seasonal basis from November to May in India. Long-term contracts provide revenue visibility for 2-3 years and are counted in the order book, while EPC contracts are spot business renewed annually. One older vessel may retire next year, with the decision taken around May or June based on demand and seaworthiness certification.

Market Dynamics and Demand Drivers

The global DSV population is ~60-65 vessels, with ~9-10 DSVs working in India at any given time, including ONGC-owned and parent company vessels. Demand is driven by increased offshore exploration activity globally and in India, coupled with limited vessel availability as older vessels retire without equivalent new builds. These vessels are not built on speculation, given heavy capital expenditure and long payback periods. Asset prices have moved up with charter rates, though these are negotiated deals rather than active trading markets. Day rates have grown 5-10% YoY, with full-scope contracts rising from USD 66,000 five years ago to USD 75,000 two years ago, and an expected USD 80,000-85,000 next year.

Financial Guidance and Returns

Revenue growth guidance is 10-12% over the next four years, with bottom-line growth at a 15-18% CAGR over four to five years. EBITDA margins are sustainable at 40-42%, with operating leverage improving as newer vessels replace older ones. ROCE is targeted at 20%+ on a blended basis. The payback period for second-hand vessels is 6-7 years in the current capex cycle, potentially shrinking to 5 years if day rates continue rising. The company benefits from tonnage taxation, with qualifying vessel profits taxed at a marginal rate under a 10-year scheme. The net asset value of the fleet is estimated at ~INR 14-15 bn.

Competitive Positioning and Peer Comparison

SEAMEC does not face direct competition, as it owns most of the DSVs in its market. Shipping Corporation and GE Shipping operate in the lower offshore segment with supply vessels, not competing at the niche DSV level. The company positions itself in the oil and gas sector rather than as a shipping company, with vessels functioning as main machinery for oil field maintenance. Unlike typical OSVs traded based on market cycles, DSVs are specialised assets with no active buy-sell market. One small vessel in the fleet is insignificant to top line and bottom line, with no competition against GE Shipping's similar fleet.

Recent Developments and Outlook

A vessel stranded in the Gulf due to war has returned and resumed charter. A recent EPC contract announced at USD 19.02 mn for 200 days translates to an effective day rate of ~USD 0.1 mn including diving, consumables, and fuel, substantially above domestic averages. The European subsidiary floated earlier has seen limited progress due to geopolitical situations, with plans to partly vacate the investment and bring money back to India, involving ~INR 150-180 mn of forex gain adjustments on a prudent basis. The company remains focused on DSVs while opportunistically exploring aligned activities, with contemplation of building a new vessel that may be available in three years.

SG Finserve Ltd

Outlook: The company is targeting 25-30% AUM CAGR over the next 2-3 years, supported by new anchor additions, deeper ecosystem penetration and expansion of supply-chain products. Supply-chain financing is expected to remain the key growth engine, while factoring and digital lending will be scaled gradually based on credit performance. With >99% collection efficiency, nil NPA, ~13% portfolio yield and planned leverage expansion toward 3x, management expects profitability to compound at 35-40% CAGR and ROA to remain around 4.5-5%. The key monitorables remain asset quality as newer products scale, the pace of AUM growth and the ability to maintain spreads amid potentially higher funding costs.

Growth & AUM

- Management is targeting 25-30% AUM CAGR over the next 2-3 years, while profitability is expected to grow faster at 35-40% CAGR.
- Q1FY27 AUM stood at INR 45 bn, with management reiterating INR 55 bn as the minimum FY27 closing AUM target, which could be achieved earlier given the current growth funnel.
- Management expects quarterly AUM growth of around 8-12%, with ~10% QoQ growth considered a reasonable trajectory during the current growth phase.
- Around 60% of incremental growth is coming from new business, while the remaining 40% is driven by deeper penetration of the existing ecosystem.
- The company added 10+ new anchor corporates YTD, including Microtek, Apar Industries and Bajaj, supporting continued customer and ecosystem expansion.

Supply Chain Finance – Core Franchise

- Supply chain finance will remain the core/hero product for the next 2-3 years, with management targeting 70-75% of business from supply-chain financing during this period.
- The company estimates the overall supply-chain financing opportunity at ~INR 30,000 bn, including ~INR 25,000 bn of receivables of the top 1,000 corporates and ~INR 5,000 bn currently financed, indicating substantial headroom for penetration.
- SG Finserve follows a multiple-banking model, typically financing only 10-20% of a dealer's total requirement, positioning itself as the incremental/last financier rather than competing directly for the entire wallet.
- This model results in lower utilisation of sanctioned limits at ~50-60%, but also supports faster collections, with the balance sheet churning every ~45 days.

Diversification & New Products

- Factoring was operationalised in March and the company commercialised its TReDS business in May, while digital lending has also commenced through LSP partnerships.
- Digital lending and the newer lending products currently constitute only ~2% of AUM, with management potentially scaling this contribution toward ~10% as AUM reaches INR 100 bn, subject to credit performance.
- Digital lending will focus on merchant/business loans rather than retail loans, leveraging transaction and collection data available through LSP partners such as BharatPe.
- Management intends to test new products conservatively, assess their credit-cost and ROA profile and only then scale them materially.

Asset Quality & Risk

- Management continues to maintain a nil-NPA portfolio, with collection efficiency remaining above 99%, despite geopolitical, oil and monsoon-related demand pressures.
- ~99% of collections are received on or before the due date, while overdue accounts generally move back into collection within 30-75 days.
- Management stated that the company has cumulatively lost only ~INR 50 mn over four years, against >INR 200 mn of money-at-risk in the relevant cases, after recovering ~INR 150-160 mn.
- The stop-supply mechanism with anchor corporates remains an important recovery tool and has helped prevent incremental NPAs over the last two years.
- For digital lending and LAB, management expects higher probability of default to be offset through pricing/collateral cushions, with both products currently kept at a small proportion of the overall book.

Margins, Cost of Funds & Profitability

- Portfolio yield is currently ~13%, comprising ~12.5% interest income and 0.5% fee income, with management aiming to sustain the blended yield around this level.
- The yield differential between supply-chain and non-supply-chain businesses is around 2 percentage points, while non-supply-chain exposure is expected to remain broadly within 25-30% of AUM.
- Average borrowing cost is currently below 8% against ~13% lending yield, providing a spread of ~7.5%, which management expects to broadly protect even if funding costs rise.
- Q1 EBITDA stood at INR 720 mn, up ~26% QoQ, while management indicated a sustainable 4.5-5% ROA as leverage increases toward 3x.
- Management expects PBT to run at ~INR 3 bn, broadly reflecting the Q1 annualised run-rate.

Capital & Leverage

- SG Finserve has an equity base of ~INR 15 bn, supported by borrowings from 18+ banks, and management expects equity to reach ~INR 17 bn by FY27-end.
- Management does not currently see a need for an equity raise and intends to sweat the existing equity base before considering dilution.
- The company plans to increase debt-to-equity leverage from ~2x toward 3x over the next two years, while maintaining a ceiling of 3x.
- Management believes the existing capital base can support AUM growth to around INR 100 bn over the next 2-3 years without requiring fresh equity.

APL Apollo & Ecosystem

- APL Apollo's contribution to AUM has reduced from 100% at inception to ~25% currently, demonstrating the progress in diversifying the anchor base.
- Management expects APL Apollo's share to decline to below 20%, potentially around 15%, as AUM approaches INR 100 bn.
- The company continues to leverage existing anchor relationships by adding new products and penetrating deeper into their dealer, distributor and vendor ecosystems.

Other Highlights

- Management is exploring an ARC, AIF and insurance broking business to build additional fee-income streams around its existing corporate ecosystem.
- Insurance broking has already been incorporated and an application has been filed with the regulator, while the AIF entity has also been set up and the application submitted; AIF commencement could take up to ~six months, subject to approval.
- The ARC remains at an earlier stage, with no application filed yet, and management expects this initiative to be at least ~one year away.
- The company is also evaluating a minority investment in a technology company to develop more captive digital capabilities and reduce dependence on external technology providers.

Shankesh Jewellers Ltd

The company is positioned to benefit from organised retail expansion, rising corporate customer contribution and increasing demand for customised handcrafted jewellery. Growth in 18-carat offerings and the asset-light manufacturing model provide opportunities to scale while maintaining operational flexibility. However, reported profitability remains sensitive to gold inventory gains, making the sustainable 5-7% PAT margin range a key monitorable. Volume growth, corporate customer concentration and the conversion of retail partner expansion into repeat orders will be critical to sustaining the growth trajectory.

Growth Outlook: Management expects 20-30% growth over the medium term, supported by expansion of organised jewellery retailers, deeper corporate relationships and increasing wallet share, while refraining from providing formal FY27-FY28 guidance.

Margin Outlook: Management indicated sustainable PAT margins of 5-7%, with quarterly fluctuations driven by product mix, seasonality and gold inventory gains; higher corporate customer contribution is expected to support margins through repeat orders and manufacturing efficiencies.

Q1FY27 Performance: Revenue grew 55% YoY to INR 4.24 bn, while EBITDA increased 92% YoY to INR 610 mn, reflecting improved profitability, favourable product mix and the impact of gold price movements.

Corporate Customer Mix: Corporate customers contributed 66% of Q1FY27 revenue, up from 50-55% around three years ago, reflecting increasing business from organised jewellery retailers and strengthening the company's position as a strategic vendor partner.

Business Model: The company operates an asset-light, B2B manufacturing model focused on handcrafted gold jewellery, leveraging 72 contract manufacturing units and approximately 500-600 karigars to support flexible production capacity and limit fixed costs.

18-Carat Jewellery: Revenue from 18-carat jewellery increased from INR 180 mn in FY24 to approximately INR 2.21 bn in FY26, with its contribution reaching 20% of Q1FY27 revenue; management expects continued growth, supported by increasing demand and design capabilities.

Growth Drivers: Expansion of corporate jewellery retailers, increasing wallet share from existing customers, customised product development and the ongoing shift from unorganised to organised retail are expected to drive business growth.

Geographical Presence: The company has a pan-India presence, with West India contributing 32% of sales, followed by East India at 28%, South India at 21% and North India at 18%, providing access to diverse regional jewellery markets.

Gold Price & Inventory Gains: Reported profitability has benefited from gains on accumulated gold inventory, with management clarifying that underlying sustainable PAT margins remain around 5-7%; the average gold-costing method can result in quarterly margin volatility as gold prices fluctuate.

Volume Growth & Seasonality: Revenue growth is influenced by gold prices, product mix and the timing of festive demand, with jewellery manufacturing requiring 20-25 days; management indicated that FY26 volumes did not decline substantially despite elevated gold prices, although growth was partly supported by pricing.

Working Capital & Balance Sheet: The company is debt-free following repayment of bank borrowings from IPO proceeds, with inventory turnover of approximately 7-8x and an overall working capital requirement, including receivables, of around 45 days.

Operational Controls: Manufacturing is outsourced to long-standing contract partners under formal agreements, while insurance coverage and a nine-stage quality-control process, including XRF testing and hallmarking, help manage gold security and product-quality risks.

Capital Allocation & Expansion: Management currently has no plans to enter B2C retail or machine-made jewellery, preferring to focus on the sizeable opportunity in handcrafted B2B jewellery; the asset-light model provides flexibility to scale without significant manufacturing capex.

Technology & Design: AI-enabled design tools and digital catalogues are being used to improve product discovery, customisation and customer selection, while craftsmanship-led manufacturing remains central to the company's operating model.

Share India Securities Ltd

Share India is a 30-year-old, broking-led financial conglomerate, differentiated by a strong in-house backend technology stack and a large proprietary algo trading engine. The strategic direction is to diversify the profit pool away from prop trading (currently ~50%) towards broking, led by MTF, and a newly carved-out wealth management business, with prop guided down to 30-35% over three years. The company guides to high-teens profit growth with gradual ROE expansion, and sees itself as materially less exposed to market cyclicity than peers.

Business Model and Positioning

The company has been in the industry since 1995 and listed in 2017-18; it is predominantly a broking entity that has diversified into multiple revenue streams since 2015-16. Its edge is an in-house tech team of 250+ engineers focused on backend, low-latency and nanosecond technology rather than front end, serving large institutions, AIFs and boutique hedge funds doing derivative trading. Its exchange turnover market share peaked at 7% in 2018-19 and is currently 3-3.5% overall, with ADTO of ~INR 90 bn last quarter spread across cash, F&O and commodities.

Proprietary algo trading is ~50% of the profit pool; the balance 50% is broking and allied services (NBFC, investment banking, tech as a service, insurance broking and wealth management). Algo grows at 8-9%, and other businesses at a 20-25%+ CAGR.

Algo Trading Engine

A pyramid structure of 3,000+ traders on the company payroll (fixed plus bonus) operates within pre-designed algos; no one-sided or unhedged trades are allowed, and all positions are squared off intraday. The business has been built organically over 13 years since 2013-14.

The business performs well even when markets do not, giving a very different cycle from cyclical broking; the company expects performance per employee to rise further with AI, though real impact is a couple of quarters away.

Diversification and Growth Drivers

Share India acquired majority stakes in three tech companies, adding 100+ tech staff: Silverleaf (HFT), AlgoWire (low latency) and Utrade (retail interface). Employee strength is ~3,700, the investment banking arm has completed 23 IPOs, and the NBFC asset book is ~INR 2.7 bn, with 68-70 branches.

MTF is the biggest broking growth driver: the book stood at INR 4.65 bn in Q1 and is targeted at INR 10 bn in two years; it was maintained even in weak markets and built organically. Broking and wealth will take the larger profit share over three years.

Wealth management is being carved out into a separate subsidiary led by a senior industry hire as CEO, with committed capex of ~INR 1.2 bn over three years and board approval for a fundraise (likely equity dilution) drawn on milestones. It is currently housed under broking, so wealth growth will show up in broking MIS until FY28-FY29.

On the INR 10 bn MTF target: a NIM of 3-5% on borrowed capital (~INR 5 bn) and 15-17% yield on internal capital (~INR 5 bn), plus an extra 1.5% yield from cross-selling, targeting INR 150-200 mn of incremental profit. MTF contribution flows directly to PBT, with strong operating leverage.

Segment Economics and Guidance

Allied businesses are high-margin but small: NBFC contributes ~2-2.5% of profit, and insurance broking and tech ~1.5-2%. By 2030, contributions can rise (IB to mid-to-high single digits, NBFC to the mid-teens), but growth will be led by broking and wealth.

Segment growth: MTF and related businesses at a 25%+ CAGR, IB at 25%+ (cyclical), NBFC at 15-17% (ROE-driven, ~INR 3 bn loan book), and prop at high single to low double digits, so its profit share falls. Q1 PAT was ~INR 1.25 bn, with a healthy Q2 run-rate; management declined to guide to an annualised EBITDA of INR 8 bn, as it avoids forward-looking statements.

Balance Sheet and Regulation

Investments of ~INR 3 bn and cash equivalents of ~INR 30 bn are largely FDs pledged with the exchange as margin, effectively working capital in cash form. Trade payables of ~INR 6 bn are mainly client float deposited onward with the exchange, plus INR 1-1.5 bn of NCDs.

Promoter pledge is given only as collateral comfort to lending institutions, not to extract liquidity. On regulation, most derivative market headwinds of the last three years are seen as passed; the recent CAS circular signals a more cohesive regulator. Prop is capital driven, so any top line drop flows with a commensurate cost drop, protecting the bottom line; prop is now an ROE story rather than a profitability story.

Guidance

The company guided to maintaining the strong Q1 run-rate through the year and high-teens profit growth over three years, with prop falling from ~50% to 30-35% of profit as broking (MTF-led) and wealth take share, and gradual ROE expansion.

Sheela Foam Ltd

Management expects growth to be driven by higher mattress and foam volumes, expansion of the branded mattress market, EBO additions and new categories such as furniture. The company continues to target 15-18% mattress growth, 8-12% foam growth and around 15% operating margin by FY28. Limited incremental capex requirements should support stronger cash generation and improvement in ROCE as revenue scales.

Business & Raw Material

- Raw material availability is currently not a concern as sourcing has diversified across the US, China, Japan, South Korea, Malaysia and Indonesia.
- Foam volumes are growing faster than mattresses, while mattress growth remains in line with expectations.
- The business is seasonal, with Q3 the strongest quarter due to the festive and wedding season, while Q1 and Q2 are comparatively weaker.

Pricing & Volume Growth

- The company has taken multiple price hikes since February, with mattress prices up around 20-22% and foam prices up around 40%.
- Management does not view price hikes as a growth driver, as higher prices can lead consumers to shift towards lower-priced models.
- Over a 3-5 year period, management expects mattress growth to be broadly two-thirds volume and one-third price in a normal environment.
- Long-term growth guidance remains 15-18% for mattresses and 8-12% for foam.

EBO & Market Opportunity

- India's bedding market is estimated at INR 450-500 bn, with modern mattresses accounting for around one-third.
- Sheela Foam has around 30% share of the branded organised mattress segment, leaving significant room for market conversion.
- EBO expansion remains a key focus for both Sleepwell and Kurlon, supported by the company's existing distribution network.

Margins & ROCE

- Management has maintained a target of around 15% operating margin by FY28, supported by volume growth and better utilisation of existing infrastructure.
- The company expects ROCE to improve towards 20-25% over the next few years as profitability grows without significant incremental capex.
- Current capex requirement remains around INR 1-1.25 bn annually, mainly for maintenance, debottlenecking and new showrooms.

International Business

- Australia and Spain have improved profitability through supply-chain integration and sourcing from Asian suppliers.
- Management considers around 12% margin sustainable for these businesses, while the recent 14-15% level partly benefited from inventory gains.
- Combined overseas debt is around INR 3 bn and is expected to be repaid over 3-5 years through subsidiary accruals.
- No immediate refinancing or JV partner is planned.

Rural & New Categories

- Tarang and Aaram continue to grow, with management targeting around INR 1.8-2 bn revenue by year-end.
- The company is entering furniture through sofa beds, recliners and related products, using Kurlon's manufacturing, logistics and distribution capabilities.
- Furniture is seen as a large opportunity, with the Indian market estimated at around INR 1,500 bn.

Sheetal Cool Products Ltd

Outlook: Sheetal Cool Products is focused on strengthening its core dairy and ice cream business through deeper distribution, higher freezer deployment, quick-commerce expansion and product premiumisation. Dairy contributes ~80% of revenue, while exports and ready-to-eat/ready-to-cook products provide additional growth avenues. The company is also focusing on cost efficiencies through backward integration, captive renewable power and in-house logistics.

Distribution & Retail Expansion

The company has 60+ super stockists, 600+ distributors and 40,000+ retail outlets across 15+ states, with Gujarat contributing ~50-60% of revenue versus ~80% five years ago. Freezer deployment remains a key growth driver, with ~8,000 freezers deployed annually over the last five years. The company plans to increase this to ~12,000-15,000 in the current year and further scale deployment from the following year. Each freezer generates ~INR 0.2 mn of annual revenue on average.

Quick Commerce & Channel Expansion

Quick commerce is currently at an early stage, with products recently listed across 300+ Blinkit stores. The company is in discussions with Zepto and Swiggy Instamart and plans to expand aggressively across platforms. Domestic sales remain largely driven by general trade, contributing >98% of domestic revenue, while quick commerce is expected to support broader brand availability over time.

Manufacturing & Capacity Utilisation

The company operates two manufacturing units, with the main Amreli facility having ~200,000 litres per day of milk processing capacity, alongside capacities of ~1.7 mn candies, 1.1+ mn ice cream cups and ~700,000 cones per day. Overall capacity utilisation is ~75% annually and reaches ~100% during summer. A small expansion is underway, while a new plant may be considered as demand increases.

Product Portfolio & Innovation

Ice cream remains the core and highest-margin business, with 200+ SKUs across cups, cones, candies, novelties and take-home packs. The company is expanding premium products such as 3D-shaped and fruit-shaped ice creams and is developing high-protein and low/no-sugar variants. High-protein flavoured milk and lassi products are also being introduced, while fruit juices are currently not under consideration.

Exports & Ready-to-Eat Products

Exports contribute ~7-8% of revenue and have grown consistently since entry post-COVID, with Japan, the Middle East and the US among key markets. Growth is primarily driven by ready-to-eat/ready-to-cook and frozen products. A dedicated facility has recently been commissioned for this segment after the existing plant reached peak capacity.

Cost Efficiency & Integration

The company has undertaken backward integration across corrugated boxes, packaging sleeves, biscuit cones and chocolate syrup/toppings, while directly procuring milk from farmers and bulk unions. It operates 70+ refrigerated vehicles, helping manage distribution costs, with freight expenses targeted at ~5-8% of revenue. More than 75% of electricity requirements are met through captive renewable assets, supporting cost efficiency.

Margins & Milk Procurement

Ice cream remains the company's highest-margin business, while the company continues to focus on dairy as its core segment. Recent milk price increases were attributed to higher demand for regular paneer following restrictions on analogue paneer in Gujarat and Maharashtra. The company has been able to pass on higher milk costs through price increases and pack-size adjustments, while paying farmers/bulk unions within 3-4 days to secure cash discounts.

Growth Strategy

Revenue has remained broadly flat at ~INR 3,400-3,500 mn over the last five years, impacted by slower general trade expansion, higher freezer deployment costs and the time required to establish new markets. Going forward, growth is expected to be driven by aggressive freezer deployment, expansion across core and newer markets, quick-commerce penetration, premiumisation, exports and scaling of ready-to-eat/ready-to-cook products. Recently raised funds are being deployed towards freezer expansion, advertising and branding.

Shera Energy Ltd

Shera Energy is a Jaipur-based non-ferrous metals company and one of India's largest winding wire producers, manufacturing PICC, enamelled and superfine enamelled wires, bunched conductors and busbars, with the group spanning copper, aluminium and brass across recycling (Rajputana Industries), processing and finished products, and exports to 15+ countries. Consolidated revenue grew at ~33% CAGR from INR 6.96 bn in FY23 to INR 16.4 bn in FY26, with EBITDA rising from INR 400 mn to INR 940 mn and PAT from INR 90 mn to INR 370 mn (~60% CAGR), while production grew ~20% annually to ~36,500 MT and utilisation reached 78% of ~46,000 MTPA capacity. Q1FY27 was the highest-ever quarter, with revenue of INR 4,877.7 mn (+26% YoY), EBITDA of INR 309.1 mn (+57%) and PAT of INR 126.4 mn (+79%), and H1FY27 revenue has crossed INR 10 bn. Management's FY30 vision is 25-30% annual revenue growth, aided by new value-added products (CTC, bunched PICC, PV ribbon) and the Zambian copper cathode project, where trial production yielded 8.6 MT of 99.99% pure cathode, with revenue of ~INR 0.9-1.0 bn expected in the first year and INR 3-4 bn in the following year. The credit rating was upgraded to A- (Stable) in July. The key factors to monitor are commercialisation of Zambia (ore sourcing, sulphide recovery and capacity expansion), PGCIL approval for CTC, resumption of Hitachi Energy supplies, the Rajputana amalgamation, main board migration, PAT margin expansion and operating cash flow.

Business Model & Positioning

- Established in Jaipur in 2003 by the CMD, who had worked with transformers, the company began by making winding wires for the electrical industry and is today a Jaipur-based non-ferrous metals company exporting to more than 15 countries.
- Product range includes paper insulated copper and aluminium conductors (PICC), enamelled winding wires, superfine enamelled wires, bunched conductors and busbars; the group also produces rods, tubes and sections of copper and brass.
- Group structure: Shera Energy holds 85.55% in Shera Metal Pvt Ltd (forward integration), 51.01% in listed Rajputana Industries Ltd (recycling and upstream) and 99.5% in Shera Zambia Ltd (copper cathode).
- Rajputana recycles non-ferrous scrap into usable metals, wires and rods, helping the group recover value and control part of its supply chain; India's developing Extended Producer Responsibility (EPR) framework for non-ferrous metals offers a further opportunity for qualified recyclers.
- End markets include power transformers, T&D equipment, motors, appliances, industrial machinery, automobiles and solar modules; ~80-85% of revenue comes from transformer manufacturers (mainly low and medium voltage) and ~15-20% from other applications.
- Winding wires contribute ~80% of revenue; the closest listed peers are Precision Wires, RR Wires and Vidya Wires, though the company also does aluminium, in-house recycling and brass, which limits like-for-like comparison.
- Copper price risk is hedged through a hedging desk that books all daily sales back-to-back with suppliers on LME basis, with no open positions, so profitability is not affected by copper price movements.

Financial Performance

- FY23-FY26: consolidated revenue grew from INR 6.96 bn to INR 16.4 bn (~33% CAGR), EBITDA from INR 400 mn to INR 940 mn (~33% CAGR) and PAT from INR 90 mn to INR 370 mn (~60% CAGR).
- Production rose from ~21,300 MT to ~36,500 MT (~20% CAGR); management attributed the ~33% revenue CAGR to ~20% volume growth and ~13% value upgradation.
- Capacity utilisation reached 78% in FY26 versus 74% in FY25, on a total capacity of ~46,000+ MTPA, which includes the recycling and forward integration businesses.
- Q1FY27 consolidated revenue stood at INR 4,877.7 mn (+26% YoY, highest-ever quarter), EBITDA at INR 309.1 mn (+57%) and PAT at INR 126.4 mn (+79%), entirely from existing operations, as new value-added lines and Zambia are not yet in commercial production.
- PAT margin improved from ~2.25% in FY26 to over 2.5% in Q1FY27; management expects further improvement from operating leverage and value-added products but did not quantify a target.

- The external credit rating was upgraded to A- with a stable outlook in July, recognising the strengthening of the balance sheet.

Growth Outlook & Guidance

- FY30 vision: 25-30% annual revenue growth, supported by capacity additions, new products and exports.
- The company has announced that H1FY27 revenue has crossed INR 10 bn; H2 has historically been stronger than H1, as government tenders initiated in H1 are largely executed in H2, and the same trend is expected this year.
- Volume growth of ~20% per annum is expected to be maintained or exceeded with the addition of new product lines.
- Management declined to comment on peak revenue potential from current capacities (a participant estimated ~INR 22-23 bn) but expects the ~30% growth trajectory to continue.
- Major revenue growth in FY28-FY29 is expected from winding wires and increased solar ribbon capacity; near-term growth will be mainly domestic, with Zambia contributing meaningfully after about a year.

New Products: Forward Integration (Shera Metal)

- Shera Metal is developing continuously transposed conductors (CTC) for larger power transformers, bunched PICC, PV ribbon for solar modules and other specialised conductor products, which are progressing towards commercial production.
- These capabilities will add EHV-grade transformer customers to the existing base of distribution and medium voltage transformer manufacturers.
- CTC approval has been applied for with PGCIL; as the company is already an approved Power Grid vendor, approval is expected within 5-6 months.
- Hitachi Energy has approved the company as a vendor and orders have been received, but they are on hold as US tariffs on Indian goods make imports commercially unviable; supplies will begin once the tariff issue is resolved.
- The solar division has commenced and sales have picked up.

Zambia: Copper Cathode Project

- Shera Zambia is developing the ability to process locally sourced copper ore into copper cathodes under a mineral processing licence (not recycling); the first trial batch produced 8.6 MT of 99.99% pure cathode and was fully sold.
- Rationale: margins in Indian winding wire conversion are limited as metal prices are visible to all; processing near the source in a copper-rich region allows participation in the upstream value chain, better group profitability and greater control over copper, the largest raw material cost.
- Recovery from copper oxide ore has been achieved and commercial production on oxides is about to start; copper sulphide processing is expected to be added within 6-7 months.
- Initial capacity is ~1,200 MTPA, with trials running consistently for the last 2 months; once utilisation reaches 60-65%, capacity will be upgraded to ~5,000 MTPA, with the upgrade expected by the end of next year.
- Output guidance: ~700-800 MT from the existing set-up next financial year, scaling to ~300-400 MT per month (~3,000-4,000 MTPA) from FY28-FY29 post expansion.
- Revenue guidance: ~INR 0.9-1.0 bn in the first year and INR 3-4 bn in the following year; EBITDA margin of ~15-20% in the first year, with the product capable of 18-25% depending on ore source; margins are expected to be much better than the Indian business.
- Investment so far is only ~INR 350-400 mn; post commercial production, the company plans to invest ~INR 1.5-2 bn to enhance capacity, funded through a combination of debt and equity, with equity to be raised once the economics are proven.
- If funded through internal cash flows alone, capacity would be enhanced by ~100 MT per month each year; faster growth is possible with equity. Management expects Zambia could become a very large part of revenue over 2-3 years but did not quantify it.

Zambia: Ore Sourcing & Unit Economics

SPML Infra Ltd

SPML Infra is an experienced water EPC player, ranked among the top 15 water companies globally (GWI, London) and the top 5 in India in water EPC, that is building a specialised, integrated position across water and battery energy storage systems (BESS) under its SPML 2.0 strategy. In BESS, Phase-I (2.5 GWh) of the Pune battery-pack facility is complete, and the company has received all global certifications and NTPC approval. The ~INR 2.38 bn facility investment is funded entirely through equity and internal accruals and is eligible for incentives under the Maharashtra Mega Electronics Policy, expected to offset the entire investment over 10 years. The company is progressively shifting from EPC to OEM, with battery-pack capacity expanding to 5 GWh and beyond and container manufacturing capacity of 600 units a year. Management has reiterated FY27 order inflow guidance of over INR 50 bn: INR 12.93 bn has been received so far this year, the company is L1 in a further INR 2.12 bn, and it is tracking ~134 upcoming projects worth ~INR 987 bn across 11 states in water, power and BESS. Sizeable inflows are expected in Q2 and Q3. On the balance sheet, NARCL dues of INR 3.75 bn are fully linked to arbitration awards worth INR 6.78 bn, with a further ~INR 45 bn of claims in the pipeline. New projects have a collection cycle of ~2 months, supported by escrow arrangements. The key factors to monitor are order inflow conversion against guidance, execution of the NTPC BESS order, ramp-up of the OEM business, arbitration realisations and an early NARCL exit.

Business Model & Strategy (SPML 2.0)

- SPML is building a strong, specialised and integrated position across water and BESS, rather than becoming another volume-driven EPC player.
- The strategy is designed to let the company focus on larger customers, command better margins and build a more sustainable business model.
- Bidding remains selective, with internal criteria on margin, price-variation protection and funding certainty, so that order inflow translates into the same quality of earnings delivered so far.

Water EPC – Competitive Edge

- Decades of experience in water EPC have built strong execution capabilities and extensive pre-qualification credentials, which themselves are a significant entry barrier for new EPC players.
- SPML ranks among the top 15 water companies globally (GWI, London) and among the top 5 in India in water EPC.
- Order selection is highly disciplined, focusing on profitability and cash-flow visibility rather than order-book growth at the expense of margins. The company bids only for projects that are operationally executable, have clear funding arrangements and offer adequate profitability.
- The company has no exposure to JJM-1.
- All projects are executing on time. Escrow support from suppliers means there is no working capital constraint, and in certain cases the company has not even availed the full mobilisation advance because it was not required.

BESS – Manufacturing, Certifications & NTPC Order

- Phase-I (2.5 GWh) of the battery-pack manufacturing facility in Pune is complete; the company has received all global certifications and NTPC approval.
- The ~INR 2.38 bn facility investment is funded entirely through equity and internal accruals, with no debt.
- The investment is eligible for incentives under the Maharashtra Mega Electronics Policy, which are expected to offset the entire investment over the next 10 years.
- The company is also moving into container manufacturing, which is likely to become a major supply constraint in the industry.
- Management stated that SPML is the only company with a technology tie-up with a renowned US BESS developer, backed by a strong execution team at Pune and Supa MIDC.
- The NTPC (Barauni) BESS order includes a price variation (PV) clause, protecting margins against movements in foreign exchange, lithium prices and other major BESS component costs, and giving better visibility on project margins.

BESS – Transition from EPC to OEM

- The company is progressively shifting from EPC to OEM, to serve larger demand and support the indigenisation of BESS.
- Battery-pack manufacturing capacity at Pune is expanding to 5 GWh and beyond, alongside container manufacturing capacity of 600 units a year.
- Management believes this gives SPML the flexibility to become the largest OEM supplier of battery packs.
- BESS is not merely an EPC play for SPML. The manufacturing capability, global certifications and NTPC approval strengthen its ability to participate in large and technically demanding BESS projects.

Order Inflow Guidance & Bid Pipeline

- FY27 order inflow guidance remains at more than INR 50 bn, and management is optimistic about surpassing it.
- Order inflow received so far in the current financial year stands at INR 12.93 bn, and the company is L1 in projects worth a further INR 2.12 bn.
- The active pipeline covers ~134 upcoming projects worth close to INR 987 bn across 11 states, spanning water, power and BESS.
- Management expects sizeable order inflows in Q2 and Q3.

Leadership

- Mr Abhinandan Sethi, Managing Director, leads operations with a strong professional team, driving both the water and BESS businesses under SPML 2.0.
- He works under the guidance of Mr Subhash Sethi, Mr Sushil Sethi and the other board members.

Legacy Debt (NARCL) & Arbitration

- Total NARCL outstanding is INR 3.75 bn including interest, and it is fully linked to arbitration awards.
- The company currently holds arbitration awards worth INR 6.78 bn (including interest accrued up to July 2027). Several are at a very advanced stage, and substantial receipts are expected within 2 years.
- These recoveries provide visibility for servicing the NARCL obligation and could enable an earlier exit from NARCL, subject to the timing and realisation of the awards.
- In addition, the company has future claims of ~INR 45 bn, a substantial part of which could convert into awards.
- Management sees no difficulty in servicing NARCL dues; after they are settled, substantial cash inflows from awards and claims will be available for the business.

Working Capital, Liquidity & Tax

- The company has sufficient cash and fixed deposits as well as sizeable sanctioned bank working capital limits, and its banks are willing to provide further support if needed to meet BESS working capital requirements.
- Surety bond limits of over INR 3 bn provide an additional cushion.
- The company takes only orders where funding is not an issue and uses escrow mechanisms with most pipe suppliers, so there is no working capital pressure on any new project.
- For new projects, the average collection cycle is ~2 months, giving relatively good working capital visibility.
- Receivables include arbitration-related receivables, which are expected to be realised progressively and are also relevant to the NARCL repayment strategy, as well as project-related debtors, including certain JCO-related receivables, against which corresponding creditor arrangements are in place.
- Substantial carry-forward losses shield the company from tax liability for the next few years.

Shoppers Stop Ltd

Outlook: Shoppers Stop's strategy is premiumisation across brands, locations and the shopping experience. Q1 results were described as healthy, with positive like-for-like growth in InTune.

- New and Upcoming Stores: Sindhu Bhavan (Ahmedabad), Pune Pavilion and Jabalpur (opened two weeks ago, ahead of forecast); Pacific Mall Jaipur (an exclusive department store, opening within a month), DLF Goa and Jhansi are signed.
- The Mumbai and other flagship stores were renovated with new brands such as Boss and Baume & Mercier watches.
- Management gave no Q2 numbers and said results are due in 2-3 weeks.

Guidance

- FY27 retail revenue growth is guided at high single to low double digits, with high single-digit LFL growth. Loss-making stores were closed last year, and profitability should grow 30-40%.
- Consolidated revenue growth is guided at low double digits, and GSSB (the beauty distribution subsidiary) should grow 50%+.
- Medium term (3-4 years): consolidated revenue CAGR of 14-15% and EBITDA CAGR of 30-35%.

Margins

- Gross margin percentage is expected to stay flattish. Brands share margin, so input cost inflation has not hurt it.
- Mix shift to power categories (watches, handbags, footwear) carries a lower margin percentage than apparel, but absolute gross profit grew in Q1.
- EBITDA improvement came from productivity, technology (IoT for electricity), space optimisation and better real estate, not manpower cuts.
- Average ticket value is holding, with product price growth of 5-6% and cross-selling.

Rent and Stores

- About 80% of stores are in malls and 20% are standalone. Leases run 15-20 years with ~12-15% escalation every 3 years (~4-4.25% a year), against LFL growth of ~6%.
- Renewals typically escalate 4-6% a year. Management asks for relief, such as converting minimum guarantees to revenue share, where productivity is weak.
- Management reports ~120 department stores and 250+ stores across formats.

Private Label and Brands

- Private label is ~12-15% of the business overall and 18-19% in apparel, with margins above branded. It also carries inventory risk and extra cost.
- The focus is on women's and kids' wear. Men's formal wear stays brand-led.
- Beauty private labels are ~2% (Arcelia and Geology). Partnerships, such as Stop by Peter England, are used where own brands fall short.
- Exclusive and first-to-market brands are a small part of retail, with some exclusive ranges (a ~10% share cited for one brand).

InTune and Online

- InTune is fixing unit economics this year, with loss to fall significantly, and breakeven needs about one more year. There is no exit or scale-back scenario.
- Online is growing faster, but off a small base, after consolidating two platforms. Fashion returns are 20-22%, beauty is lower, and offline returns are minuscule.
- Online losses should fall further and are near breakeven next year. Online marketing returns INR 5-6 of sales per INR 1 spent.
- Marketing and loyalty together are ~2.5-3% of sales, with about half going to loyalty.

GSSB (Beauty Distribution)

- GSSB holds exclusive rights to brands such as Clarins, Nars, Prada and Armani. It has been profitable from day one at a high single-digit EBITDA margin.
- Revenue has grown 70-80% a year, and growth of 30-35% a year is expected over 2-3 years.
- About half of Shoppers Stop's beauty business goes through its own stores.

Balance Sheet

- Net debt fell from ~INR 2.6 bn in FY25 to ~INR 1.5 bn in FY26. The company plans to be debt-free by the end of FY27, mostly repaid in Q3, with annual interest of ~INR 100 mn.
- Everything, including GSSB investments, is funded from internal accruals.

People

- Direct headcount is ~5,500-6,000, plus ~13,000-14,000 brand promoters, so ~20,000 at stores.
- Store incentives are performance-linked on topline, bottom line and loyalty enrolment.

Shree Refrigerations Ltd

Shree Refrigerations is scaling as a defence-focused HVAC&R player, with management confident of maintaining a ~40% revenue CAGR over the next 3-5 years. FY26 revenue reached INR 2.53 bn, and the company closed the year with an order book of ~INR 2.7 bn, providing visibility for near-term growth. The existing two plants can support revenue of ~INR 4 bn, implying that another facility could be required in ~1.5 years if the company continues to grow at a 40% CAGR. Defence marine remains the core growth driver, with ~INR 1,500-1,600 bn of government-approved shipbuilding orders expected to flow down to vendors, while another similar pool is awaiting approval. Data centres represent an incremental opportunity, with billing expected to start from FY28. The company is also expanding into sub-zero cooling applications through its new Aquilon subsidiary, targeting the food & beverage, pharma and chemical industries. Working capital days improved sharply from 570 to 370 in FY26, and management targets 325-330 days in FY27 and ~250 days over the next 3-5 years.

Growth & Revenue Guidance

- Management maintained its target of ~40% revenue CAGR for the next 3-5 years, which it has sustained over the past few years.
- FY26 revenue reached INR 2.53 bn, compared with INR 500 mn in FY23, implying a strong growth trajectory.
- The existing Plant 1 and Plant 2 together can support ~INR 4 bn of revenue at optimal utilisation.
- At the current 40% growth trajectory, management expects the company to outgrow the existing capacity in ~1.5 years, potentially requiring another plant.
- Any new product opportunity identified over the next 2-3 years could also lead to additional capacity creation.

Order Book & Execution Visibility

- The current order book stands at ~INR 2.7 bn. The company received INR 2.08 bn of orders in FY26 and executed ~INR 1.53 bn during the year.
- The company expects to maintain an order-book-to-projected-invoicing ratio of around 1.5-2.0x.
- The company has sufficient working capital, capacity and manpower to execute the existing order book.
- H1FY27 is expected to be less muted than H1FY26, with lower lumpiness as a larger portion of orders has already moved beyond design, QAP and approval stages.

Defence & Marine Opportunity

- Defence marine remains the company's primary growth opportunity.
- Of the ~INR 1,500-1,600 bn of government-approved shipbuilding orders, vendor orders are expected to flow down towards the end of FY28.
- Another similar pool of orders is currently awaiting government approval, which could begin translating into vendor opportunities from FY28-FY29.
- Management uses ~1% of ship project value as the relevant opportunity for its HVAC&R products.
- The company currently holds 60%+ market share in its key naval air-conditioning segment, supported by established registrations, type-tested products and more than a decade of experience with the Indian Navy.

Data Centre Opportunity

- Management is in advanced discussions with a few data-centre operators, but currently has no confirmed data-centre order.
- The company is targeting chip-cooling systems through its technology collaboration with Smardt, Canada.
- Initial revenue contribution is expected from FY28.
- Data-centre revenue is not included in the company's current 40% CAGR guidance, making it an incremental opportunity if commercial orders materialise.
- The data-centre cooling market can support more than 10-12 major players, rather than being dominated by a single player.
- Management believes that capturing ~10% market share would provide significant additional growth.

Manufacturing & Capacity

- The company now operates two plants with a combined manufacturing area of ~70,000 sq ft.
- The new facility has significantly increased in-house manufacturing capabilities, including laser cutting, CNC bending, welding and electrical panel manufacturing.
- Backward integration should reduce dependence on external suppliers and improve control over quality, inspection and execution.

Margins

- Revenue has grown at around 45% CAGR over the past four years, while EBITDA has grown at around 40% CAGR.
- FY26 EBITDA margin moderated from 27% to 21%, primarily due to a change in revenue mix.
- Spares and service revenue declined from 30% of revenue in FY25 to 7% in FY26, which was a key reason for margin moderation.
- Management expects the spares and service contribution to recover towards 15-20%, which could support margins.
- Higher operating leverage is also expected as FY26's elevated expenses related to new-order design, type testing and approvals normalise.

Working Capital

- Working-capital days improved significantly from 570 days in FY25 to 370 days in FY26.
- Receivable days declined from ~350 to 250. Management targets a further improvement in working capital days to 325-330 in FY27 and ~250 over the next 3-5 years.
- The company currently has around INR 330 mn of loans and INR 50 mn of long-term machinery debt.
- Management expects to maintain the current margin profile even if incremental debt is raised.

New Business Opportunities

- The newly incorporated Aquilon subsidiary will target food & beverage, pharma and chemical industries requiring sub-zero temperature cooling.
- The company plans to develop a dedicated product range for applications such as reactor cooling.

Exports & Aftermarket

- Direct defence exports remain relatively limited because most countries have their own localisation policies.
- However, spares and service revenue can become an export opportunity.
- Management expects to increase the contribution of spares and services from the current 7% towards 15-20%.

Shri Kanha Stainless Ltd**Business**

Shri Kanha makes stainless steel coils, sheets and circles at Ringas, ~55 km from Jaipur. The promoter family has 35+ years in steel, the company was incorporated in 2015, and it listed in December 2025 at an IPO price of INR 90.

Capacity is ~14,000 tonnes a year, with utilisation of ~60-70%. Coils are ~90-95% of sales.

It rolls from 0.08 mm to 2 mm thick. Management says only 1-2 Indian makers go as thin as 0.08 mm, against ~0.15-0.2 mm for most, which earns a price premium. Material of 0.08-0.2 mm is ~25-30% of sales.

Customers span textiles, automotive, electronics, utensils, sinks and elevators. About 90% of sales go through distributors, many with 10+ year relationships, and the top 10 make ~70% of repeat orders.

FY26 revenue was ~INR 2,050-2,100 mn (+41%) and PAT ~INR 90-110 mn (+51%). EBITDA margin is ~9-10%, up from ~3-3.5% before the IPO after the move into thinner gauges. The promoter family holds ~68-69%.

Guidance and Capex

A 1,250 mm 4-high AGC rolling mill is being installed for ~INR 120 mn, with the machine advance already paid and no further fundraise needed. Management says it will be the third such mill in India.

It is expected to be operational by ~September 2027.

Management agreed that revenue could reach ~INR 3,000-3,600 mn after the expansion, without providing formal guidance. Utilisation of ~80-85% is targeted by end-FY29.

PAT margin is expected at ~5-7%, and the capex payback at ~4-5 years.

Future plans include a solar mounting structures plant, a return to exports (Europe and Latin America, paused because of taxes) and backward integration into melting scrap at ~40,000 tonnes of demand.

Working Capital and Balance Sheet

The order book is ~INR 120-130 mn and executes in 4-5 weeks. Orders are not taken beyond ~2 months, and prices are locked at the time of order.

Pass-through of steel price changes is achieved by repricing new orders. Management uses stock levels as its only hedge.

Debtors are ~INR 890 mn, of which ~INR 240 mn is older than 6 months, with credit periods of 15 days to 4 months. Management says all of it is recoverable.

Debt is ~INR 530 mn at ~8-9% interest.

Raw material comes from Jindal Stainless and importers. BIS quality control orders on stainless steel imports support domestic demand.

Listed peers cited include Hisar Metal.

Shriram Properties Ltd

Outlook: Shriram Properties is targeting 20-25% growth across revenue and profit metrics for the full year. The company is shifting its Kolkata strategy from land monetisation to active development to maximise realisations. While Q1 and Q2 are expected to be weaker due to low-margin project completions and approval delays in Bangalore, significant revenue recognition and higher margins are expected in Q3 and Q4.

Financial Performance & Guidance

- **Revenue & Sales:** FY26 closed with revenue of ~INR 13.57 bn and sales of INR 26 bn. Targets for the current year include sales of INR 33 bn and collections of INR 21 bn.
- **Profitability:** Q1 net profit fell ~46% YoY due to the completion of low-margin projects in Kolkata and high launch expenses for three new projects.
- **FY28 Mission:** Targeting INR 25 bn in revenue and INR 2.5 bn in PBT, with an EBITDA margin of 20-24%.
- **Debt Profile:** Net debt is expected to rise to approximately INR 6-6.5 bn from current levels (~INR 4.5 bn) following a buyout of a joint venture partner (ASK).

Operational Status & Pipeline

- **Project Volume:** Currently executing 26 projects totalling ~16 mn sq ft.
- **Launch Pipeline:** Planned launches of 7-8 mn sq ft (GDV ~INR 70 bn) for the year; however, several Bangalore projects were delayed to Q3/Q4 due to government approval halts.
- **Delivery Targets:** Planning to deliver 4-4.5 mn sq ft across 7-8 projects nearing completion.
- **Upcoming Pipeline:** Total pipeline of 17 mn sq ft with a potential value of INR 115.6 bn.

Regional Strategies

- **Kolkata Strategy Shift:** Moving from selling land parcels to plotted development and residential apartments to increase per-acre realisation from INR 30-40 mn to over INR 60 mn.
- **Kolkata Progress:** 17 acres of plotted development launched in Q1 (70% sold), with delivery targeted by December.
- **Kolkata Potential:** Expects a total surplus of ~INR 15 bn from the Kolkata land bank.
- **Bangalore:** Facing temporary supply-side challenges due to a 6-7-month freeze on new approvals.
- **Chennai:** Two launches completed this year, with the "Getaway SEZ" project shifted to Q3 awaiting approvals.
- **Pune:** Recently entered as a new market.

Risks & Market Outlook

- **Interest Rates:** Management believes housing decisions are generally not driven by minor interest rate fluctuations, though higher rates impact customer cash flows.
- **Input Costs:** No serious price escalations reported for core materials; minor increases (10-20%) seen in paints and plastics, which are considered insignificant to overall project costs.
- **Market Demand:** Outlook remains positive with strong sales momentum, particularly in Bangalore, despite supply constraints.

Simplex Castings Ltd

Simplex Castings is a heavy engineering castings and fabrication company (founded in 1970) with two units in Chhattisgarh (a foundry at Bhilai and a fabrication/equipment-building unit at Tedesara, Rajnandgaon district), capable of single-piece castings up to 65 tonnes and fabricated pieces up to 80 tonnes. The company reported revenue of INR 2+ bn in FY26 and is targeting INR 3+ bn in FY27 and INR 5+ bn in FY28, driven by thermal power, steel and railways. The order book stood at ~INR 1.5 bn at the end of Q1FY27, deliberately maintained at this level to avoid liquidated damages (LD) risk. Railway bogie orders (targeted at INR 500 mn for FY27) have been delayed, but management has made the Bhilai unit fungible with BHEL-approved fabrication capacity and maintains FY27 guidance of INR 3 bn with ~19% EBITDA margin, with or without railways. Management is targeting ~40% growth through FY31, supported by completed capex, an INR 470 mn preferential issue and a recently announced ~INR 1 bn fundraise. The key factors to monitor are railway order inflows, thermal order execution, commodity price pass-through, inventory levels, captive solar implementation and margin sustainability.

Business Model & Positioning

- The company was founded in 1970 as a partnership firm and converted into a private limited company in 1980. It operates a dedicated foundry with machine, fabrication and CNC shops at Bhilai, and a fabrication/equipment-building unit at Tedesara (Rajnandgaon district) making large equipment such as torpedo ladle cars and sucker rod pumps.
- Simplex is known for heavy castings, ranging from a few kilos to 65 tonnes in a single piece, and fabricated pieces up to 80 tonnes; it is recognised for import substitution products.
- It is the only company apart from L&T making torpedo ladle cars, and is the market leader in zero-leakage coke oven doors supplied to steel plants in India and abroad.
- The company has supplied 12,000+ bogies running on Indian Railways, has exported to GE and Electro-Motive Diesel (USA), is a star export house and has been part of the bogie design standards committee.

Revenue Guidance & Segment Mix

- Revenue was INR 2+ bn in FY26; the company targets INR 3+ bn in FY27 and INR 5+ bn in FY28 with the addition of thermal power projects.
- Management is targeting a similar ~40% growth rate till FY31, while acknowledging it as a challenge.
- Targeted segment mix: ~40% steel, ~40% thermal (till 2032) and ~20% shipbuilding, defence, machine tools and others. Railways are expected to scale up to ~40% to replace thermal after 2032.
- The strategic aim is to have ~40-50% repetitive railway items in both units (cast and fabricated) for shorter working capital cycles and fixed-line utilisation, with the balance capacity used for higher-margin niche products.

Thermal Power & Steel

- Thermal power is seeing a strong upcycle with projects awarded to BHEL and L&T; tendering is via GeM, with 9,000-10,000 tonnes of orders released every month. Around 48 power plants are to be established by 2032.
- Both units are approved for thermal orders for four years; the company has previously won BHEL's best supplier award. The Bhilai fabrication division is approved by BHEL, with Adani and L&T approvals in the pipeline.
- Demand exceeds industry capacity, with the industry approaching the PMO for imports from China, which was declined. Only four to five players operate in heavy technological structures (e.g., Simplex Engineering among others), while other companies are also expanding.
- In steel, Simplex has won the door bodies in all four recent coke oven work orders released in India (a virtual monopoly in zero-leakage doors); one order has gone to ThyssenKrupp, and management is confident of winning that as well.
- Nuclear is a future opportunity, where the company has supplied certain materials.

Railways

- Railway business was targeted at INR 500 mn for FY27, but no bogie orders have been received yet; orders from wagon builders and Indian Railways are expected around October 2026 following delays after the new West Bengal government.
- To fill the gap, the Bhilai unit (capacity built for railway bogies) has been made fungible for fabrication work, approved by BHEL; ~5 acres of land and an extended fabrication shop are being added. Management expects to cross INR 3 bn in FY27 even without railway orders.
- Following bogies, the next step at the casting unit will be couplers, draft gears and other wagon parts.
- Target customers include wagon builders (Texmaco, Titagarh, Jupiter, Jindal Rail, Braithwaite), Indian Railways, SAIL plants and export markets. No long-term supply agreements are in place, as demand historically exceeded supply.

Shipbuilding & Defence

- The company is executing MDL orders for naval ships (stern bosses, A-brackets, B-brackets), with another INR 80-120 mn order expected.
- In defence, three smaller products are under development for an ordnance factory in Jabalpur, starting at ~INR 50-100 mn before approaching other defence factories.
- JVs in machine tools and defence are still under discussion. Of 100+ machine tools, ~10-15 are being targeted for defence work. Defence, shipbuilding and others will remain a smaller part (~20%) of total revenue.

Order Book, Pricing & Margins

- The order book stood at ~INR 1.5 bn at the end of Q1FY27; management deliberately caps bookings at ~3-4 months of execution to avoid 5-10% LD penalties, booking INR 500-600 mn of new orders as equivalent turnover is executed.
- Roughly 50% of the order book carries price variation clauses (thermal and railway orders), while steel sector orders are fixed price, typically executed within 6 months.
- Steel prices have risen ~15% recently; the company holds ~50% of inventory for 1-2 months, which covers part of the inflation. Management does not expect a material impact on Q2/Q3 margins.
- Management is targeting ~19% EBITDA margin for FY27, described as industry-best and expected to sustain for a couple of years given market conditions, through a mix of regular and niche high-margin products.
- Electricity is 7-8% of costs; captive solar (cost of INR 2-3 per unit versus INR 9-10 per unit from the state grid) is expected to add these savings to the bottom line over 2-4 years. Current power requirement is 5.5 MW, rising to 7.5-8 MW with expansion; a PPA arrangement is in place in the interim.

Capex, Funding & Working Capital

- Capex of ~INR 400 mn has been done, with ~INR 300 mn in CWIP; the cast bogie portion will be capitalised once commercial dispatches begin after railway orders. No major further capex is needed to reach INR 5 bn, beyond debottlenecking.
- The INR 470 mn preferential issue will be used for thermal and fabricated bogie expansion.
- The recently announced ~INR 1 bn fundraise (preferential and warrants, ~50:50) is for captive solar and working capital needs for FY27-29; warrant money (within 18 months) will be allocated >50% to solar and the rest to working capital beyond INR 5 bn revenue. Management stated no further dilution will be required.
- The planned acquisition was dropped due to high valuation multiples, as the completed capex is sufficient to reach INR 5 bn.
- Receivable and payable days have improved; inventory days remain high as raw materials were stocked to manage price fluctuations. With PVC clauses in new orders, the company aims to keep inventory levels flat while growing topline.
- The company plans to list on NSE and resume dividend payments.

Singhal Recyclers Pvt Ltd

Outlook: The company is focused on scaling its tyre-recycling operations through capacity expansion, higher utilisation and increased recovery of value-added products. The next major growth driver is the planned continuous pyrolysis line, which is expected to diversify revenues into pyro oil and carbon black. Key monitorables remain execution of the expansion, raw-material availability, working-capital requirements, customer concentration and the economics of the new pyrolysis business.

Business Strategy & Positioning

- SRPL processes end-of-life tyres into rubber chips, crumb rubber/granules, steel scrap and fibre.
- Current installed capacity is 85,000 MT per annum, with 58,205 MT of tyres processed in FY26.
- The company aims to transition from tyre shredding into a vertically integrated recycling platform with pyrolysis capabilities.

Financial Performance

- Revenue: INR 948.2 mn.
- PAT: INR 215.2 mn.
- Manufacturing EBITDA: INR 200 mn, implying ~28% margin.
- EPR revenue: INR 28.5 mn.
- Shareholders' funds stood at INR 605.6 mn at FY26-end.

Product Mix

- Rubber Chips: INR 483 mn.
- Steel Scrap: INR 151.7 mn.
- Crumb/Granules: INR 87.4 mn.
- Trading Revenue: INR 177.3 mn.
- EPR Credits: INR 28.5 mn.
- Rubber chips currently remain the largest revenue contributor.

Capacity Expansion

- FY27: ~10,000 MT per month installed capacity at ~80% utilisation.
- FY28: 12,500 MT per month at 80% utilisation.
- FY29: 16,000 MT per month including continuous pyrolysis.
- Expansion is expected to materially increase throughput and revenue.

Continuous Pyrolysis

- Planned from FY28-FY29.
- Around 30,000-35,000 MT of tyre material is expected to be routed into pyrolysis.
- Projected output includes approximately 13,500-15,750 MT of pyro oil and 12,000-14,000 MT of carbon.
- Reactor gas is expected to be reused internally, reducing incremental energy requirements.

Growth Projections

Management projections indicate revenue increasing from approximately INR 1.4 bn in FY27 to INR 2.25 bn in FY29, with PAT projected at INR 314.5 mn (FY27), INR 343.3 mn (FY28) and INR 545.9 mn (FY29).

The enhanced capacity model indicates potential sales of approximately INR 1.5 bn in FY27 and INR 3 bn in FY28, subject to timely commissioning and utilisation of the new capacity.

EPR Opportunity

EPR regulations provide an additional revenue stream through tradeable waste-tyre credits. Management projects EPR revenue of approximately INR 80 mn in FY27 and INR 100 mn in FY28.

Promoters & Management

The promoters come from a long-established steel-trading background. Ramesh Agarwal has over five decades of experience in steel trading, while Amit Agarwal has approximately 25 years of experience in the family's stainless-steel distribution business.

SIS Ltd

SIS is a diversified business services company spanning security, facility management (FM) and cash logistics in India, along with a large international (Australia-led) security business. FY26 marked a return of growth momentum along with the AP Securitas acquisition, consolidated in H2FY26. Q1FY27 grew ~20% YoY and management expects ~18-20% growth for FY27, with PAT expected to rise 18-20% to ~INR 4.35-4.40 bn. India security is growing ~15%, FM ~11-12% (with EBITDA growth of over 15%) and international over 20% on currency tailwinds and large domestic wins in Australia. Management sees stable margins of ~5.5% in India security (from 5.1%), ~4.4% in international (from ~4%) and ~6% in FM. FCF of ~INR 4.5 bn is expected in FY27, with at least 30-33% to be returned to shareholders and the balance largely for debt reduction. The new labour codes are expected to accelerate formalisation and market share gains for organised players. The key factors to monitor are AP Securitas margin integration, gratuity recovery from clients, state-level labour code implementation, working capital, capital allocation between buybacks and debt reduction, and the UDS stake.

Business Overview & FY27 Outlook

- FY26 was a strong year with business growth momentum returning and the AP Securitas acquisition consolidated in H2FY26; its full effect is visible in Q1 and Q2 of FY27, after which the base resets from Q3.
- Q1FY27 was ~20% higher YoY, and Q2 is expected to show similar growth. Management expects ~18-20% growth for FY27, which it considers "in the bank".
- India security is growing ~15%; FM growth is picking up at 11-12% with EBITDA growth of over 15%; international is expected to grow over 20%, aided by currency tailwinds and large wins in the domestic Australian market.
- While the company does not give formal guidance, management is confident of 18-20% PAT growth in FY27, implying PAT of ~INR 4.35-4.40 bn as the quarterly run-rate inches up.
- Pricing in the business is stable with no erosion or increase; growth is driven by volumes and new wins.

Segment Margins

- International: margins fell to ~3.5% after client attrition and a management change at a high-margin subsidiary, and recovered to ~4%. Management models ~4% as stable in the near term, returning to the historical ~4.4-4.5% in about a year.
- FM: margins had dropped to ~4%; after renegotiating or exiting low-margin contracts, FM is now operating at ~6%, which management considers optimal, with scope to go higher over time.
- India security: historically ~5.5%; currently ~5.1% due to consolidation of the lower-margin AP Securitas (~4%). Management expects to lift AP Securitas margins by ~100 bps to ~5% over two years, taking India security back to ~5.5%.

AP Securitas Acquisition

- AP Securitas was acquired at ~4% EBITDA margin; it has ~INR 1.2 bn of monthly revenue and has grown at an ~18% CAGR over the last five years (15%+ YoY currently).
- It is one of the top six to seven security companies in India, with a stable management team and strong BFSI clients (such as HDFC Bank), filling SIS's gap in BFSI exposure. Management stated it was a value acquisition, not a distressed purchase.
- The current structure is 51:49; SIS is obligated to buy out the remaining 49% by the end of FY28.
- The brand will continue separately, while back-office and HR functions will be integrated over the next two to three years.

Capital Allocation & Cash Flows

- SIS has maintained 70%+ OCF/EBITDA since listing and generates 100%+ of PAT as FCF; FCF of ~INR 4.5 bn is expected in FY27, with a larger number next year.
- FY27 EBITDA is expected at ~INR 8.5 bn, with 70-75% conversion into OCF.

- At least 30-33% of cash generated is expected to be returned to shareholders through dividends, buybacks or a mix; buybacks remain opportunistic, as recent ones were driven by the stock being deeply undervalued.
- With interest rates rising, the company will focus on reducing debt through organic cash flows over the next two years, and will review its buyback/dividend policy in the next quarter given the trade-off with debt reduction.
- There are no active acquisition plans in India or overseas; the focus is on integrating AP Securitas, though the company would react to attractive opportunities.

Labour Codes & Gratuity Provision

- Following the labour code notification in November, the company took a conservative upfront gratuity provision in Q3FY26 (initially INR 2.8 bn, revised to INR 2.4 bn), as the definition of basic wage was revised to 50% of total emoluments, creating a retrospective liability.
- The provision is non-cash and not an immediate liability. The labour codes came into legal effect from 9 May 2026.
- The company is renegotiating ~25,000 contracts in line with the new codes. Recovery is expected from continuing customers over time, while recovery from discontinued customers is uncertain. High attrition means part of the liability may never crystallise, and some customers may reimburse on actual payout. The split between continuing and discontinued customers was not available.
- States have not yet formally enacted the labour code rules (draft model rules are out); management expects notification within two to three months.

Working Capital

- Overall DSO is ~63-65 days: international ~45 days (automatic payments), India security ~75 days from start of duty (~45 days post bill submission) and FM ~85-90 days.
- Clients have not yet started paying earlier. To comply with the requirement to pay wages by the 7th of the month, SIS is proposing to move the wage cut-off to the 20th-25th so that invoices are processed and paid by the 5th-6th; negotiations are ongoing and adoption will be gradual.

Cash Logistics & Other Businesses

- ATM exposure is only ~15-18% of the cash business; SIS does not own ATMs and has no managed service provider model, acting as a pure service provider on fixed-price bank contracts.
- The business focuses on bank and retail cash movement, which is growing in line with GDP. MDR implementation from 15 October is expected to bring more cash back into the economy.
- Growth in cash logistics has slowed but not declined. The SIS Prosecur IPO has been deferred given the sharp fall in the market leader's (CMS) stock.
- Vprotect (electronic security) saw tenders largely stall over the last 1-1.5 years due to the STQC certification requirement for cameras; the long-term outlook remains positive, as remote surveillance costs ~INR 6,000-7,000 per month versus INR 60,000-70,000 for two fully compliant guards.

Industry Dynamics & Strategic Stake

- The security market is ~INR 1,000-1,500 bn, of which only ~20% is organised; the top 10-15 players account for INR 200-250 bn, with SIS at INR 80-90 bn in security.
- Labour code digitisation (single challan, Labour Identification Number, Shram portal visibility for clients) is expected to make low-margin informal players unviable, shifting business to large organised players.
- Rising minimum wages (e.g., 50%+ increase in Haryana) are positive for SIS, as its management fee is charged as a percentage of wages.
- SIS's FM business is at ~INR 28 bn, expected to become an ~INR 30 bn pure-play FM business next year. SIS acquired a ~10% stake in UDS (INR 20+ bn FM plus ~INR 10 bn other services) at an attractive price, seeing long-term consolidation potential; management clarified there has been no communication with UDS and all options, including exit, remain open.
- AI is not seen as a direct threat; it could indirectly affect demand via slower commercial real estate build-out, but tech-enabled solutions (cameras, access control, robo dogs, monitoring centres) make services more effective, though ROI does not yet justify replacing manpower. SIS works with defence establishments in Australia but there is no such opportunity in India.

SJS Enterprises Ltd

Outlook: The company is positioned to sustain growth at 1.5-2x underlying industry growth, supported by increasing content per vehicle, premiumisation, cross-selling and a broader technology portfolio. The newly commissioned chrome plating facility and Bangalore capacity expansion should support domestic growth and the targeted increase in export contribution to 14-15% by FY28, with exports offering a 4-5 percentage-point EBITDA margin advantage. The display business, expected to commence commercial supplies in Q2FY28, presents a meaningful opportunity to increase automotive content per vehicle, although its contribution will depend on customer wins and capacity ramp-up. Sustaining EBITDA margins above 25% while executing these expansion initiatives will remain a key monitorable.

Growth Outlook and Guidance

- The company expects to deliver 1.5-2x the underlying industry growth on a blended basis, driven by increasing content per vehicle, premiumisation, cross-selling and new product introductions.
- It remains focused on sustaining high growth while maintaining EBITDA margins above 25%, with FY26 EBITDA margin at 29.6%.
- Revenue growth is expected to benefit from rising four-wheeler content, the ramp-up of chrome plating capacity, exports and the upcoming display business.

Business Mix and Content per Vehicle

- SJS has diversified its revenue mix, with four-wheelers contributing 42%, two-wheelers 38% and white goods and other consumer segments accounting for the remaining 20%.
- Content per vehicle currently stands at INR 4,000-5,000, reaching INR 6,000 in certain vehicles, and is expected to increase to INR 10,000-12,000 with the addition of display and cover glass products.
- The display opportunity could further increase content per vehicle through multiple screens, rear-seat entertainment, roof displays and other automotive applications.
- Management estimates its domestic market share at ~20-22%, while its share of the estimated USD 4 bn global addressable market remains negligible, providing significant headroom for expansion.

Optical Glass and Display Business

- The optical glass and display subsidiary, Display Electronics, is expected to commence commercial supplies in Q2FY28, with customer discussions at an advanced stage.
- The company has entered into a technology licensing agreement with BOE to manufacture displays, leveraging the partner's technology and supply-chain cost advantages.
- The initial phase will involve one production line with an annual capacity of 200,000 displays, with further investments linked to business growth and customer demand.
- Management is adopting a phased investment approach, prioritising technical expertise, product testing and quality before expanding capacity.

Chrome Plating and Capacity Expansion

- SJS DecoPlast's chrome plating business has grown nearly 4x over the past five years, while EBITDA margins improved from approximately 12% at acquisition to ~20% in FY26.
- The newly commissioned Ranjangaon facility, backed by an investment of ~INR 1,000 mn, will support incremental growth in chrome plating and painting.
- The facility offers Chrome 3, Chrome 6 and multiple finishing capabilities, positioning the company to address a broader range of domestic and international customer requirements.
- The Bangalore parent plant expansion, involving an investment of ~INR 450 mn, will increase capacity by around 40% and is nearing completion.

Export Opportunity and Margin Profile

- Exports currently contribute ~10% of revenue, with management targeting a 14-15% contribution by FY28.
- Export business generates ~4-5 percentage points higher EBITDA margins than domestic business, supported by India's cost competitiveness in labour-intensive and complex printing products.
- SJS supplies products to more than 22 countries and serves ~170 customer locations globally, with established relationships across automotive and appliance customers.
- The company is expanding its international reach through customer cross-selling, sales representation in Germany and a variable-cost agency model, supported by recently added manufacturing capacity.

WalterPack and Technology Integration

- WalterPack has strengthened SJS's capabilities in IML, IMD and IMF technologies, including precision tooling, five-axis punching and robotic insert placement.
- WalterPack's growth is partly dependent on OEM model launches and the adoption of higher-end features, given the relatively high value of its products.
- The company is addressing customer concentration at the subsidiary level by adding OEMs, expanding product offerings and pursuing export opportunities.
- SJS should be evaluated as an integrated entity, given fungible manufacturing capacity, shared technologies and cross-selling opportunities across its businesses.

Innovation and New Product Opportunities

- SJS has developed technology demonstrators for in-mould electronics (IME), but commercial adoption remains dependent on OEM integration and the launch of compatible vehicle platforms.
- Management expects IME adoption to accelerate once an OEM introduces the technology, while continuing customer discussions and product demonstrations.
- The company is also evaluating the aftermarket opportunity through its dormant Transform brand, with e-commerce potentially addressing historical distribution and dealer-credit challenges.
- SJS intends to leverage its broad capabilities across stamping, moulding, IML, chrome plating and painting to develop automotive accessories and aftermarket products.

Financial Performance and Capital Allocation

- FY26 revenue stood at INR 9,550 mn, with an EBITDA margin of 29.6%, while Q1 revenue grew 24% YoY to INR 2,610 mn, with an EBITDA margin of 30%.
- ~75-80% of EBITDA converts into operating cash flow, supporting investments in capacity expansion and new technologies.
- Following two acquisitions over the past five years, the company is currently prioritising organic growth through the display business, chrome plating and Bangalore capacity expansion.
- Management remains focused on sustaining high margins despite investments in new technologies and maintaining disciplined capital deployment, with incremental capacity additions aligned to demand.

SKP Bearing Industries Ltd**Revenue Growth & Outlook**

- 15% organic growth target: Management expects revenue to grow at ~15% organically, with margins remaining sustainable. Growth could improve further if external factors turn favourable.
- FY27 revenue trajectory: Despite discontinuing low-margin trading sales that had adversely impacted profitability, management expects revenue to increase over FY26 levels, with improved margins.
- India revenue potential: At full plant utilisation and the targeted product mix, the Indian business could generate revenue of ~INR 1,500 mn. Management expects a steady increase in utilisation and revenue over the next 2-3 years.
- Export growth ambition: Exports are targeted to increase from ~4% of revenue currently to 10% by FY28, supported by new global customer relationships and cross-border sourcing opportunities.

India Capacity Expansion & Utilisation

- Roller capacity ramp-up: The expanded roller capacity is operating at ~78% utilisation, with further capacity additions planned during FY27. Management indicated that the business is already operating at healthy utilisation levels.
- Ball capacity ramp-up: Ball plant utilisation stands at ~17%, but management expects a sharp improvement during FY27. Three customers are expected to account for ~75% of the newly added capacity.
- OEM approvals driving growth: The company has secured approvals from major OEMs for its ball products, with commercial volumes expected to ramp up as customers increase production. The timing and pace of volume conversion remain key monitorables.
- High-return capacity additions: Management highlighted attractive returns on incremental investments, with capacity expansion being undertaken alongside customer demand visibility. However, the ball division's low current utilisation indicates scope for operating leverage as volumes scale up.

France Acquisition

- Revenue recovery remains the key priority: The French subsidiary, acquired in 2024, was generating annual revenue of ~EUR 8-8.5 mn before the acquisition, while incurring losses of ~EUR 2 mn. Management is targeting a recovery towards EUR 16 mn revenue as quickly as possible.
- Customer re-engagement progressing: Several legacy customers discontinued supplies following the ownership transition. Management indicated that discussions with these customers have continued, with some customers already returning and others undergoing supplier evaluation.
- Turnaround largely focused on revenue recovery: Management stated that cost-optimisation initiatives are nearing completion, with the focus now shifting towards higher volumes, customer reactivation and improved capacity utilisation.
- ~EUR 3 mn cash outflow to date: Cumulative cash outflow from India towards the French entity is approximately EUR 3 mn, including the operating losses and associated investments over the three-year period. Management stated that the acquisition itself involved no upfront purchase consideration, with employee liabilities and subsequent operating/upgrade costs constituting the financial commitment.
- Significant operating leverage potential: The French facility has substantial installed capacity and a large asset base, including ~400 machines/assets. Management is prioritising higher utilisation through customer orders and operational improvements rather than asset disposal or fresh capacity expansion.

India-France Synergies & Global Customer Strategy

- Dual-continent manufacturing proposition: The India and France facilities provide global customers with manufacturing options across Asia and Europe, supporting supply-chain diversification and risk mitigation. Management believes this is particularly relevant for multinational OEMs seeking to reduce dependence on China.
- Technology and cost synergies: The company is integrating manufacturing capabilities across India and France, including sourcing materials and services from India to optimise costs at the French facility. Certain machines from France have also been redeployed to India.
- Cross-selling opportunities: SKP intends to leverage its combined product portfolio and geographic footprint to access multinational customers operating across multiple countries. Management highlighted that global sourcing decisions involve lengthy qualification and approval processes.
- Legacy customer recovery remains gradual: While customer discussions and evaluations are progressing, the timing of order conversion remains uncertain, given the stringent requirements of global OEMs and their focus on supplier stability.

Margin Outlook & Product Mix

- Standalone margins expected to remain sustainable: Management indicated that Indian business margins are broadly sustainable at historical levels, excluding the weaker Q4FY26, which was affected by an unsuccessful product initiative and associated spillover costs.
- Ball margins structurally lower than rollers: Management highlighted an approximately 30% margin differential between balls and rollers, with balls being relatively more commoditised. The product mix will therefore be important as ball capacity utilisation increases.
- Trading sales discontinued: The company has exited certain trading activities that were not economically beneficial and had adversely affected margins. The resulting improvement in profitability is expected to support margin expansion despite potentially lower incremental revenue from trading.
- Renewable energy supports profitability: The company's wind and solar assets are fully depreciated and debt-free, according to management. Captive renewable power provides a cost advantage and contributes positively to profitability.

Slone Infosystems Ltd

Outlook: The company is expected to gradually shift towards higher-margin and recurring businesses, with COE, rentals and IT services emerging as key growth drivers. Management expects COE revenue to commence from September-October 2026, with margin benefits becoming more visible from FY28 as the initial investment is recovered. Management expects substantial revenue growth and improvement in EBITDA/PAT, but has not provided specific FY27 guidance. Key monitorables include COE ramp-up across three centres, contribution from rentals/services, EBITDA margin improvement, geographic diversification beyond Maharashtra, and working-capital/cash-flow discipline.

Integrated Solutions

- Slone operates as an end-to-end IT hardware solutions provider, covering hardware sales, rentals, installation, maintenance, cloud management, networking, cybersecurity and lifecycle support.
- The company is an authorised sub-dealer for HP, Dell and Lenovo and serves 50+ clients across logistics, BPO, pharma, e-commerce, education, insurance, media and recruitment.
- Management highlighted its ability to cross-sell multiple products and services to existing customers, moving beyond a conventional hardware trading model.
- Operations are currently concentrated in Maharashtra, with presence across Gujarat, Tamil Nadu, Delhi, Karnataka and Haryana.

COE Ramp-up

- The Centre of Excellence (COE) business is being developed across educational institutions, with facilities covering EV labs, robotics, embedded systems and intelligent hardware integration.
- Slone funds and installs the infrastructure, while colleges provide the physical space and student base; operations are managed under 5-year contracts.
- Management indicated that the initial investment is expected to be recovered over around 1-1.5 years, with the subsequent contract period offering higher-margin revenue.
- COE revenue is expected to start flowing from September-October 2026, with three centres already initiated.
- Management expects the margin benefit from COE to become more visible from FY28, rather than FY27.

Growth Outlook

- Management expects substantial revenue growth going forward but did not provide specific FY27 revenue or margin guidance.
- FY27 performance visibility is expected to improve with the release of H1FY27 results in October 2026.
- Management indicated that both PAT and EBITDA are expected to increase, while efforts are underway to improve respective margins.
- COE contribution is expected to support further margin expansion over the medium term.

Business Mix

- Hardware trading remains the core business but carries relatively lower margins; management acknowledged the need to increase the contribution from services and rentals.
- The company is expanding its services and rental offerings alongside the COE business to improve revenue quality and profitability.
- Management indicated that additional initiatives are also in the pipeline, although details were not disclosed.
- Rental and service revenues are expected to become an increasingly important part of the business mix.

Customer Stickiness

- Around 30-40% of FY26 revenue was generated from corporate customers, with the balance largely coming from dealers and other channels.
- Management stated that several customers have been associated with the company since its inception, supported by maintenance and other recurring service requirements.
- The company provides post-sale support, warranty assistance, upgrades and hardware maintenance, helping deepen customer relationships.
- Customer names and detailed top-client concentration were not disclosed.

Geographic Expansion

- Maharashtra remains the largest market, while the company is working to expand its presence across other states.
- Management highlighted a dedicated marketing team travelling across regions for customer meetings and order acquisition.
- New customer additions are also being driven through industry references and existing business relationships.
- Expansion across states is expected to gradually reduce dependence on the Maharashtra market.

Rental Economics

- Management acknowledged rapid technology obsolescence as a key consideration in the rental business.
- Rental assets can remain useful for around 5 years or longer, with some machines continuing in service for 7-8 years after maintenance.
- Older equipment returned by corporate clients can potentially be redeployed to schools and colleges, where lower-specification equipment is often sufficient.
- This provides a secondary utilisation channel and can extend the economic life of rental assets.

Working Capital

- Management stated that there is currently no cash-flow crunch, with most customers paying on time.
- Corporate IT hardware typically involves 45-60 days of credit, which management considers standard industry practice.
- The company believes its after-sales support differentiates it from competitors that primarily focus on supplying equipment without providing comprehensive post-sale support.
- Working-capital intensity remains an area to monitor as the business scales.

Margin Outlook

- IPO proceeds have been deployed towards capital expenditure and repayment of bank loans, with the relevant certificate disclosed on NSE.
- Management acknowledged that EBITDA margins had declined previously but stated that EBITDA margin improved from 5.9% in FY25 to 6.9% in FY26.
- The company is targeting further EBITDA margin improvement, although no specific margin target was provided.
- PAT margins are also expected to improve as the COE business scales.

SMC Global Securities Ltd**Business**

- SMC has been in broking for 30 years and runs four businesses: broking (full-service SMC Global and discount broker StocksCart), an NBFC (Moneywise Financial Services), insurance broking (SMC Insurance Brokers) and wealth management and distribution.
- The group has ~2 mn clients in total. Full-service broking has ~1 mn, StocksCart ~0.4 mn, and other entities the rest. The group opens ~15,000-20,000 demat accounts a month.
- Broking DP AUA is ~INR 1,650 bn, and the broking margin trading (MTF) book exceeds INR 11,000 mn, separate from the NBFC.
- Clients are ~40% in the North, ~30% East, ~20% West and below 10% South. There are 190+ branches.
- Group net worth is ~INR 12,500 mn: ~INR 5,000 mn in the NBFC, ~INR 7,500 mn in broking and wealth, and ~INR 200-250 mn in insurance.
- FY26 ROE was 8.2% and ROCE 11.5%.

Guidance

- FY27 revenue is budgeted to grow ~20% YoY (as given in the annual report), and management is confident of meeting it. No EBITDA margin guidance was given.
- The 5-year target is a ~20% CAGR, led by broking and wealth plus the NBFC once its portfolio rebalancing is complete. Insurance will contribute, but not as the main driver.
- NBFC AUM is expected to stay flat for about a year during rebalancing, then grow at more than 20% CAGR.
- Wealth AUM of more than INR 60,000 mn is targeted to quadruple in the coming years.
- Capital allocation will stay at ~35-40% for the NBFC and ~60-65% for the other businesses. The NBFC is expected to raise its own capital in future.

Broking

- Q1 fee and commission income and MTF interest income rose, lifting standalone broking profit.
- StocksCart revenue grew ~250% YoY. It was the fourth-largest broker on the NSE by active clients added in FY26.
- StocksCart is India's first subscription-based discount broker, charging a subscription for unlimited trading instead of a per-order fee.
- Full-service SMC focuses on research (20+ SEBI-registered analysts), physical presence and doorstep service.
- Full-service broking has a client acquisition cost of ~INR 2,000-3,000 and revenue of ~INR 25,000 per client a year. For StocksCart, these are ~INR 800-1,000 and ~INR 11,000, respectively.
- SMC has 3-in-1 account tie-ups with six banks, including South Indian Bank and PNB, to build presence in the South. This channel already adds ~2,000-3,000 accounts a month.

NBFC (Moneywise)

- Moneywise is a middle-layer NBFC with AUM of INR 10,250 mn as of June 2026, down from INR 11,910 mn. It operates in five states, with ~40 branches and 500+ employees.
- Products are micro-LAP, gold loans, healthcare equipment finance, MSME business loans and onward lending to smaller NBFCs.
- The AUM decline reflects deliberate rebalancing: unsecured loans are now ~20% of the book (down from ~50% three years ago), new LAP lending has shifted to small tickets of ~INR 1.5 mn (from ~INR 20 mn earlier), and yields on new LAP loans are ~18% (versus ~30% earlier).
- On the new secured retail book (micro-LAP and gold loans), yield is above 18% and incremental cost of funds ~10.1%. That gives an unlevered spread of ~8%, a levered NIM of ~12% and opex of ~6%. Blended yield should rise ~1-1.5% as the book shifts.
- Gross NPA is 2.99% and net NPA 1.9% (June 2026), similar to a year ago. Most NPAs are backed by collateral, so management expects good recoveries. Unsecured loans are written off at 180+ days past due, and provisioning follows Ind AS ECL.
- Management said it has no plans to sell or partner the NBFC, as monthly secured disbursements are rising.

Insurance Broking

- The business places ~INR 30,000 mn of premium a year. Motor insurance is ~90% of volume, and the mix is ~90% general and ~10% life.
- Most general insurance comes from motor insurance service provider (MISP) tie-ups with Honda and Kia. Cross-sell overlap with broking clients is below 1%, so it runs as an independent channel.
- Q1FY27 revenue was INR 1,670 mn, up from INR 1,150 mn (+~45% YoY), but PBT was only ~INR 21.7 mn. Management said Q1 is seasonally weak, since business peaks in Q4, and the quarter also carried investment in distribution and technology.
- SMC received a reinsurance broking licence from IRDAI last year and is building reinsurance and corporate teams, which is adding to opex for now. Management expects these costs to be recovered over the full year.

Wealth and Distribution

- Wealth AUM exceeds INR 60,000 mn, including mutual fund AUM of INR 47,000 mn.
- SMC says it is India's largest mobiliser of corporate FDs, raising ~INR 50,000-60,000 mn a year.
- Distribution revenue is ~INR 1,100 mn a year, of which mutual funds are ~INR 400-500 mn.
- The company is hiring to scale the business.

NCD issue

- The issue is ~INR 750 Mn with a ~INR 750 Mn greenshoe, opening 5 October and closing 16 October 2026. It is rated ICRA A (Stable), with coupons of 9.5–10% depending on the series.
- It is being issued by the broking holding company. About 75% of proceeds go to working capital, mainly MTF funding, and 25% to general corporate purposes.

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Costs and Other

- Expenses rose because the IT team grew from ~20 to ~230 people and the NBFC is in transition. Management expects revenue benefits to follow with a lag.
- Proprietary trading is treasury management of surplus funds through hedged arbitrage, with no dedicated capital and no loss year in the company's history.
- Subsidiaries could be listed separately once they reach scale. Management is open to acquisitions if the right opportunity comes.

Solarium Green Energy Ltd

Solarium Green is positioned for continued growth through a combination of large-scale EPC execution, residential rooftop expansion and the ramp-up of its 1.2 GW module manufacturing facility. Captive module consumption should improve supply and price control, while the all-in-one solar kit provides an additional scalable channel in the highly fragmented residential market. The deliberate shift towards private-sector EPC customers and larger projects could support execution quality, although margins may remain below the historical residential-led levels. Key monitorables remain module utilisation, conversion of the EPC order pipeline, residential kit ramp-up and working-capital discipline.

Strong Growth Trajectory

- FY26 revenue stood at INR 3.68 bn, with 3-year revenue CAGR of 55%; EBITDA was INR 350 mn, with 3-year CAGR of 83%.
- Management remains confident of sustaining a strong growth trajectory but is refraining from providing formal FY27/FY28 revenue guidance given the company's relatively young operating history.

Module Manufacturing Ramp-up

- The 1.2 GW fully automated module facility was commissioned in March 2026 and received ALMM certification in July 2026; the company is focused on 725 Wp+ G12 TOPCon modules and is applying for 745 Wp certification.
- Around 50-60% of module output is targeted for captive consumption, primarily supporting the EPC business, while the balance can be sold to external customers/export-oriented players.

EPC Scale-up

- The company is moving towards larger 50-100 MW ground-mounted projects, with two 65 MW projects currently in the pipeline/execution.
- Execution of ~250 MW of orders by FY26-end is expected to strengthen technical and financial eligibility for larger government tenders; margins remain lower than residential projects but are considered sustainable.

Shift towards Private Sector

- Government project contribution has been deliberately moderated after FY26, with greater focus on private developers and agencies with stronger cash positions to reduce payment-cycle risks.
- This shift should improve working-capital quality, although the larger-ticket ground-mounted business carries structurally lower margins than residential rooftop projects.

Residential Rooftop & Solar Kits

- Solarium remains the second-largest vendor under PM Surya Ghar, with >450 Sarthi partners across 25 cities and ~250-270 partners generating orders each month.
- The all-in-one solar kit addresses the fragmented residential market by bundling ~25-30 SKUs under one brand, along with warranty, insurance and remote-monitoring support.

Kit Distribution Opportunity

- Residential EPC plus kit distribution is expected to reach INR 150-160 mn of monthly revenue over the next 3-4 months, although standalone residential EPC has faced execution-related constraints.
- The kit model provides an opportunity to scale through city-level distributors without extending credit, as customer payments are collected directly by Solarium.

Module Cost & Margin Outlook

- Aluminium is the most relevant commodity exposure, with frames accounting for ~10-15% of module cost; the company does not expect direct commodity-price movements to materially determine margins.
- Captive module production should provide better price and supply control, although the overall margin benefit may be moderated by the increasing contribution from large ground-mounted EPC projects.

Backward Integration

- There are currently no near-term plans to backward integrate into solar cell manufacturing, with management expecting domestic cell capacity to increase sufficiently over the next 6-12 months.
- The company intends to first stabilise its module facility and assess market conditions before considering further integration or related capex.

Energy Storage

- The company has executed a small 2 MW energy-storage project and is monitoring the BESS opportunity, but is currently cautious on bidding for larger storage tenders.
- Sharp increases in lithium battery prices and uncertainty around project economics are key reasons for waiting until the market stabilises.

Balance Sheet & Working Capital

- No major equity fundraise or large capex is currently envisaged over the next 12-18 months, with growth expected to be supported through internal accruals and bank financing.
- Elevated receivable and inventory days are partly due to the shift towards C&I/government projects and year-end revenue concentration.

Solex Energy Ltd

Solex Energy, an early renewable energy player (since 1995), has transformed into a solar PV module manufacturer after a change in control in 2019, building towards ~4 GW of module capacity, including a fully automated 2.2 GW line (one module every 14 seconds) set up with LONGi's support. Around 70-80% of manufacturing is for IPPs such as KPI Energy, Sprng Energy and Zelestra, and the company has done OEM manufacturing for Jinko Solar and LONGi. The order book stands at ~INR 33-34 bn, of which ~INR 12-13 bn is backed by POs and advances. Management targets FY27 revenue of INR 22-24 bn, heavily H2-weighted, after Q1 was impacted by uncertainty around ALMM List-II for cells. Non-DCR G12R module prices have softened to INR 12.5-13 per Wp, while DCR modules sell at ~INR 22 per Wp. Backward integration includes a 2.2 GW cell line (~INR 10.5 bn) targeted by December 2027 and a further 3 GW by 2030, with a long-term vision of 10 GW cells, 2 GW ingot/wafer and 10 GW BESS involving ~INR 40 bn of capex over FY27-FY30 at 70:30 debt-equity. The key factors to monitor are ALMM-II timelines, module pricing, cell import and freight costs, conversion of stage 2/3 orders, cell line execution and the BESS foray.

Business Overview & Journey

- Started in 1995 by Mr Kalpesh Patel, the company was initially engaged in solar thermal equipment and EPC projects (streetlights, ground-mounted and rooftop), including several government projects.
- Listed on the NSE SME platform in 2018; in October 2019, current CMD Dr Chetan Shah, Mr Vipul Shah and other investors acquired a majority stake.
- The company launched a 4 GW module giga-facility, with the first 700 MW mono PERC line commencing manufacturing in October 2022.
- Solex did OEM manufacturing for Indian module makers and for Jinko Solar (100+ GW capacity in China); after ALMM, it manufactured for LONGi, whose team inspected and approved the factory, with material procured from LONGi on LC and supplied to LONGi's customers such as Welspun and Zelestra. Management stated it is the only company globally to manufacture for both Jinko and LONGi.
- The company benchmarks itself on quality, cell breakage and compliance parameters against large global Tier-1 manufacturers rather than domestic peers.

Manufacturing & Technology Edge

- Solex was the first to implement a manufacturing execution system (MES) in its facility, integrated with machinery and providing end-to-end traceability (raw material source, breakage, efficiency), enabling customers to carry out inline inspection remotely.
- G12R modules (620+ Wp) were launched in October 2024, a year ahead of larger peers with 10+ GW capacity (October 2025), with megawatt-scale production since September 2025.
- An expansion was announced in March 2025 (800 MW followed by ~2.5 GW of TOPCon module capacity); the latest 2.2 GW line, with equipment procured with LONGi's support, is AI-enabled, fully automated (zero-touch) and produces one module every 14 seconds.
- An in-house lab performs testing similar to UL India (without the NABL tag yet), with NABL accreditation expected by next year-end; this allows full-scale ramp-up without waiting on independent lab results for first lots.
- The company holds certifications for the US (top performer in Kiwa PVEL testing) and European markets; US exports are currently not possible due to US policy, while a dedicated resource has been appointed for Europe, and small export quantities have been executed on 100% advance.

Customers & Order Book

- Since last year, 70-80% of revenue/manufacturing has been for IPPs, and Solex is among the top 5 vendors for IPPs when allocating orders.
- Key customers include KPI Energy (350 MW order in February 2025 when the company's capacity was only 700 MW), Sprng Energy (a Shell subsidiary, now acquired by the Aditya Birla Group) and Zelestra (a Spanish group operating in 12 countries).

- Order book of ~INR 33-34 bn: Stage 1 (PO and advance received) ~INR 12-13 bn; Stage 2 (LOI received, MSA at signing stage, advance due) ~INR 3.4 bn; Stage 3 (advanced negotiation, near technical closure with only price and capacity allocation pending) ~INR 20 bn.
- The ~INR 6 bn order from Sprng Energy is entirely non-DCR, as is the order book up to March 2027; the company will target the DCR market from April 2027, for which cell tie-ups of ~1 GW with one company have been done and another ~750 MW is about to close.

Pricing & Raw Materials

- Non-DCR G12R modules currently sell at ~INR 12.5-13 per Wp, having declined over the last 3 months, while DCR modules sell at ~INR 22 per Wp.
- The entire cell requirement is currently imported from China and South-East Asia, except a few DCR orders executed on the first mono PERC line.
- Freight costs from China rose from ~USD 1,000 to ~USD 5,000 per container as containers moved towards the US following US import duties; any unusual movement in freight or the Middle East war could affect execution.

Performance & FY27 Guidance

- Q1FY27 was weak as uncertainty over ALMM List-II (cells) led to orders and deliveries being put on hold; management noted that peers also reported lower PAT margins (~11% versus ~12% usually).
- H1 is seasonally weak, with most turnover and margins coming in H2 (management cited a historical ratio of ~1:4), and the same trend is expected in FY27.
- FY27 revenue target of INR 22-24 bn, mainly from modules.
- EPC is expected to remain at only 5-10% of revenue, restricted to a known close circle in Gujarat, as the company does not want to compete with its IPP and C&I customers and remains cautious given the short installation window.

ALMM Policy Update

- ALMM-I was introduced in 2019 and implemented in 2022 after four extensions, when module capacity reached ~40 GW against ~20 GW of demand.
- Module demand is currently 65-70 GW, while domestic cell production is only ~15 GW.
- ALMM-II was not extended when it became effective on 1 June; after ~45 days it was extended to December (announced on 15 July), and there is now talk of a further extension to March, keeping the market in wait-and-watch mode.
- The monsoon has limited field activity, with ground availability for piling and structures expected from October onwards.

Backward Integration: Cell Line

- Initial cell plan of 5 GW in two phases: Phase 1 of 2.2 GW with DCCO targeted by December 2027, and a further 3 GW by 2030 after Phase 1 ramp-up.
- Project cost of ~INR 10.5 bn: ~INR 3.5 bn through CCDs (in a 100% subsidiary) and NCDs (INR 2 bn in the listed company), with the CCD term sheet received and sanction expected shortly; the balance ~INR 7 bn through term loans, for which banks have been approached.
- Technology tie-ups with a Tier-1 Chinese cell manufacturer (involved from design, vendor negotiation and plant operation, on a revenue-sharing basis) and ISC Konstanz (a German research institute that developed back-contact technology), targeting high efficiency from day one.
- The cell line was delayed due to land acquisition challenges in Gujarat (land, water and power), which are now cleared; management expects to ramp up within ~3 months of commissioning to Chinese and IPP standards.

BESS Foray & Long-Term Vision

- BESS will be housed in a separate company, Solex BESS Pvt Ltd, with separate equity and debt raising; no funds from the existing business or the cell line will be used.
- A technology partner (providing cells and technical know-how) has been identified; the cell-side announcement will come first, followed by BESS within about a month.
- Initially, BESS will be OEM-based with parts manufactured by the partner and assembly in India; the first 6 months will focus on market building and the next 6 months on installation and operations.
- Long-term vision: ~4 GW of modules (with additions as required), 10 GW of cells, 2 GW of ingot and wafer and 10 GW of BESS, involving ~INR 40 bn of investment over FY27-FY30, funded at a 70:30 debt-to-equity ratio.

Somany Ceramics Ltd

Outlook: Management targets an FY27 EBITDA margin of 11.3%, about 200 bps higher than last year. Volume growth is guided at 5-6% (mid-single digits) for FY27. A new South India greenfield plant will add 9 mn+ sq m of 100% GVT capacity, commissioning by the end of FY28 and contributing revenue from FY29. Over the long term, management aims to raise GVT's share of revenue to 70-75%.

Q1 Margins & Pricing: Q1 EBITDA margin was 11.6%, helped by restricted outsourced supply from Morbi. It is expected to normalise over Q2-Q4 to the full-year target of 11.3%. The company has held on to the 17-18% price hike it took in Q1, passing 95-96% of gas cost inflation through to consumers. It also plans to increase advertising and promotion (A&P) spending to win share from unorganised players as the price gap narrows.

JV Turnaround: The joint ventures lost about INR 110 mn in each of Q1 and Q2 last year (INR 110-120 mn in Q2) and INR 50 mn in Q3. They turned profitable in Q4 and delivered a net profit of INR 30 mn in Q1FY27, even though Q1 is usually the weakest quarter because of plant shutdowns. The recovery came from a better product mix at the Max plant, following investments made in Q4, and from plant and equipment upgrades that come into commercial use in Q3 and Q4.

Volume & Demand Trends: Q1 volume grew about 3% (2.5-2.7%), and Q2 growth is expected to roughly double to 5-6%. Domestic demand is stable to decent. Receivables continue to improve without the company offering extra credit terms. Private institutional projects make up 10-12% of the business, and management is deliberately limiting further growth in this segment to an additional 3-4% to protect the balance sheet from longer working capital cycles.

Capacity Base: Total capacity is 56-57 mn sq m across four hubs: Haryana/Kassar (about 25 mn sq m), Kadi in Gujarat (11-12 mn sq m), the Morbi JVs and outsourcing (about 12 mn sq m), and the South cluster at Chittoor.

Capacity Expansion: Balancing equipment at existing plants will add 4-5 mn sq m, coming into commercial use in mid-Q3 and Q4. In addition, the greenfield South plant will add 9 mn+ sq m of GVT capacity, placing the company closer to key demand markets.

GVT Mix Shift: GVT makes up about 60% of capacity. Including double charge, the share is about 65%, and adding Duragres/Durastone takes it to about 70%. By the end of FY27, 2.5 mn sq m of wall ceramic capacity will be converted to flexible GVT capacity.

Fuel Flexibility: The plants can run on LPG, propane or natural gas. The Haryana plant has pooled natural gas supply agreements with GAIL and can switch 20-25% of its fuel to LPG. Propane is currently INR 11-12 per SCM cheaper than natural gas, a cost advantage of about 15%, and 80-85% of Morbi production has switched to propane. Management expects gas prices to remain high and volatile for the next 6-8 months, driven by winter demand in the West, replenishment of global reserves and geopolitical conflicts.

Morbi Cluster Stress: Exports, which used to be 35% of Morbi's output, have collapsed, causing severe inventory and working capital stress. About 15-20% of Morbi capacity has shut down long-term, and another 25-30% of units will close for a month from mid-October to reduce inventory and force a price increase. That takes total Morbi capacity offline to about 50%. An industry-wide price hike is expected in November, after Diwali.

Organised Share Gains: As the historical price gap between unorganised Morbi suppliers and national brands narrows, organised players are winning market share.

Competitive Landscape: Management dismissed "lab-grown marble" tiles as a marketing gimmick for standard tiles. It noted that the effect needs standard machinery costing INR 200 mn, slows plant speeds and gives poorer aesthetics than natural marble at INR 400-600 per sq ft. The anti-dumping duty on Chinese tiles comes up for a sunset review in February 2027. Indian production is currently more cost-competitive than Chinese production because of China's energy costs and global freight economics.

Long-Term Potential: Morbi capacity going offline, a narrowing price gap and higher A&P spending support organised share gains. The JV turnaround, a richer GVT mix and 13-14 mn sq m of new capacity point to margin expansion and growth through FY29.

Spandana Sphoorty Financial Ltd

Outlook: The company is focused on rebuilding its loan book through customer acquisition while maintaining stringent underwriting standards, with FY27-end portfolio guidance of ~INR 65 bn and an FY28 target of INR 90 bn. Improving collection efficiency, lower borrowing costs and branch rationalisation should support gradual margin expansion and operating leverage. Management is targeting a 2% ROA over FY28-FY29, driven by yields of around 25% and operating costs declining towards 7.5% of assets. Key monitorables include the sustainability of asset-quality improvement, execution of growth targets amid elevated rejection rates, normalisation of credit costs and the pace of individual lending expansion.

Asset Quality & Collections

- Sustained improvement in asset quality: X-bucket collection efficiency of over 95% over the past 18 months, with Q1FY27 collection trends improving further in Q2FY27.
- Q2FY27 collections remain stable: Collection efficiency in July and August was broadly in line with Q1FY27, while the last two months showed an improvement over June levels.
- Low reported delinquencies: Loans overdue by more than 90 days accounted for approximately 0.4% of the balance sheet, with the company highlighting strong repayment behaviour across the current portfolio.
- State-level trends remain stable: Collection efficiency across the top five states, which contribute 60-65% of business, was broadly stable or better in Q2FY27 compared with Q1FY27.
- Weather-related disruptions remain localised: Heavy rainfall may temporarily disrupt collections in certain pockets, but management expects repayments to normalise within one to one-and-a-half months as conditions improve.
- Recoveries from written-off loans remain steady: Recoveries are currently ~INR 150 mn per month, below management's initial expectations, with an ambition to increase this to INR 170-180 mn per month.

Growth & Disbursement Strategy

- Disbursement momentum remains intact: The company has been disbursing ~INR 5 bn per month, in line with its H1FY27 plans, despite elevated rejection rates of ~70-75%.
- Customer acquisition remains a key growth driver: New borrower additions increased from 60,000 in Q3FY26 to 113,000 in Q4FY26 and 140,000 in Q1FY27, with management targeting over 150,000 additions in Q2FY27.
- New customers account for a rising share of disbursements: ~60% of Q1FY27 disbursements were directed towards newly acquired borrowers, reflecting the company's focus on expanding its borrower base.
- FY27 growth guidance remains intact: Management expects the portfolio to reach approximately INR 65 bn by FY27-end, followed by a target of ~INR 90 bn in FY28.
- High rejection rates reflect tighter underwriting: Rejections remain elevated due to stricter KYC checks, borrower indebtedness and delinquency screening, with management prioritising credit quality over volume-led growth.
- Competitive intensity remains manageable for Spandana: Management believes its relatively smaller portfolio and presence across ~1,300 branches should support the achievement of near-term growth targets, although sustaining similar growth beyond FY28 may become more challenging.

Operating Efficiency & Cost Rationalisation

- Branch rationalisation supports operating leverage: The company closed or merged 357 branches during FY26, reducing operating expenses from ~INR 2 bn to INR 1.55-1.6 bn.
- Operating cost reduction remains a key earnings lever: Management expects operating expenses to decline from ~10% of assets currently to 7.5% in FY28, supported by improved productivity and a leaner branch network.
- Growth will require limited incremental costs: Higher disbursements may entail some additional operating expenditure in H2FY27, but management does not expect a corresponding increase in branch count or headcount.
- Balance-sheet optimisation is improving profitability: Lower excess cash balances have reduced negative carry and supported the overall cost structure, while maintaining adequate liquidity.

Margins, Cost of Borrowings & Profitability

- Portfolio yields stood at ~24.6% in Q1FY27, with management targeting ~25% by FY28, supported by normalisation of legacy portfolio-related pressures.
- Marginal borrowing costs have reduced by ~170-180 bps from the Q3FY26 peak of ~13.2%, with further improvement expected in Q2FY27.
- NIMs currently stand at ~13-13.5%, with management expecting a gradual improvement through H2FY27 as funding costs decline.
- Management is targeting a 2% ROA over the medium term, supported by higher yields, lower funding costs, operating leverage and normalisation of credit costs.
- Credit costs could remain marginal this year, although they may increase in FY28 as recoveries from older delinquent and written-off portfolios moderate.

Individual Lending & Business Diversification

- The subsidiary currently has ~INR 5 bn in individual and loan-against-business lending, compared with ~INR 45 bn in the MFI portfolio.
- Spandana is assessing opportunities to transition eligible microfinance borrowers to individual loans, subject to checks on banking history, income, cash flows and business stability.
- The pool of existing MFI borrowers eligible for larger individual loans may be limited, requiring the company to acquire customers beyond its existing microfinance base.
- The current portfolio mix remains comfortable from a qualifying-asset perspective, while the scope to expand non-qualifying assets will depend on the composition of the overall balance sheet.

Regulatory Environment & Credit Discipline

- The revised microfinance framework restricts borrowers to a maximum of three MFI lenders and total MFI indebtedness of INR 0.2 mn, contributing to elevated rejection rates.
- The share of borrowers with loans from four or more lenders has declined from ~28% a year ago to 3.78%, reflecting tighter lending discipline.
- Management believes lenders will remain cautious following the recent industry stress, supported by monitoring from self-regulatory organisations.
- The annual regulatory inspection has been completed, and no concerns were raised regarding its lending rates, disclosures or adherence to stated policies.

Other Highlights

- The company is not currently a corporate insurance agent and does not earn material commissions from credit-life insurance policies, limiting the potential impact of proposed changes to insurance distribution commissions.
- The premium payable under the CGFMU scheme is ~1.56% for Spandana, which management currently considers insufficiently attractive relative to the potential benefits.
- The company is evaluating whether a portion of its portfolio could be covered under the scheme, subject to the economics and potential reduction in credit losses.
- The merger process is awaiting RBI approval before proceeding to the NCLT, with management expecting the consolidation to rationalise support functions and enable the individual lending business to leverage Spandana's existing network.
- Over 98% of the equity issue has been subscribed, with only a small portion of the retail subscription remaining.

Sri Lotus Developers & Realty Ltd

Outlook: Sri Lotus enters FY27 with strong operating momentum, a sizeable INR 175-180 bn project pipeline and a targeted INR 18-20 bn of pre-sales. Near-term growth is expected to be supported by four additional launches during FY27, including commercial projects, while the company continues to focus on luxury and ultra-luxury redevelopment opportunities in Mumbai. The asset-light redevelopment model, strong balance sheet with INR 6.23 bn of net cash and disciplined project selection should support capital efficiency. Management has guided for 55-60% growth in revenue and PAT in FY27, along with maintaining a strong EBITDA margin profile. Over the medium term, continued redevelopment opportunities in Mumbai, expansion into selective micro-markets and the upcoming Juhu and GIFT City projects provide visibility for growth.

Large Project Pipeline Supports Growth Visibility

- Ongoing residential projects have an estimated GDV of INR 47 bn, while upcoming residential projects represent INR 80 bn of GDV.
- Commercial projects add another INR 50 bn, taking the overall pipeline to around INR 175-180 bn.
- Management expects the margin profile across the pipeline to remain broadly similar to existing projects.

Asset-Light Redevelopment Model Remains the Core Strategy

- 17 of the 22 projects are redevelopment projects, while four are under joint development arrangements.
- The asset-light model reduces upfront land acquisition requirements and allows the company to deploy capital more efficiently.
- Management stated that margins for redevelopment and joint-development projects are broadly similar at the project and corporate level.

Strong FY27 Pre-Sales Pipeline

- The company is targeting FY27 pre-sales of INR 18-20 bn.
- Of six projects planned for FY27, two were already launched in Q1, with another four projects lined up for launch during the year.
- Total GDV of the six planned launches is estimated at around INR 55-60 bn. Management expects the two commercial projects, Trident and Lotus Sky Plaza, to be among the larger contributors.

Healthy Project Economics and Disciplined Project Selection

- Management targets gross margins of around 40-45% and EBITDA margins of around 35% at the project level.
- For every INR 100 of project GDV, total project cost is generally around INR 55-60.
- The company selectively acquires projects that meet its margin and sales-velocity criteria and avoids projects where competition pushes economics below its targeted returns.

Capital-Efficient Cash Flow Profile

- For redevelopment projects, only around 10-15% of total project cost is generally spent during the initial stage on approvals, member rentals and corpus payments.
- Construction increases the initial capital requirement, with around 35-40% of total project cost invested before the project reaches the plinth stage.
- Collections accelerate after the plinth stage, making projects generally cash-flow positive thereafter.

Strong Balance Sheet Supports Expansion

- The company had net cash of around INR 6.23 bn on the balance sheet.
- Management plans to fund upcoming projects through internal accruals, existing balance-sheet cash and collections from ongoing projects.
- The company does not currently plan to raise additional debt for the upcoming expansion.

Premium Positioning Supports Pricing Power

- Sri Lotus is focused on luxury and ultra-luxury projects, particularly in premium Mumbai micro-markets.
- Management highlighted premium realisations of 20%+ over peers in some micro-markets, supported by product positioning, location and brand.
- Most projects are located near the coastline or are garden-facing, with limited unit counts, which management believes supports healthy demand.

Demand Remains Healthy, While Competition Is Being Managed Selectively

- Management continues to see strong demand for its premium coastal projects, while supply remains relatively limited in these micro-markets.
- Around 15-20% of the company's saleable units are typically purchased by existing society members or their references, while the remainder comes from existing customers and channel partners.
- Competition remains high, with around 20-25 developers potentially participating in redevelopment opportunities, but the company remains selective rather than overbidding for projects.

Mumbai Redevelopment Opportunity Remains Significant

- Management highlighted that around 90,000 buildings in Mumbai are potentially eligible for redevelopment.
- The company estimates that it would require only around 300 buildings over the next 10-15 years to support its targeted growth, indicating a large addressable opportunity.
- Management continues to target annual growth of around 50-55%.

New Projects Provide Medium-Term Visibility

- The recently announced Model Town project has an estimated GDV of around INR 3.3 bn, with pre-sales expected in H1FY28.
- The INR 16 bn Juhu development is expected to start within about a year, followed by an estimated 3.5-4 years of construction.
- The GIFT City project is at an advanced approval stage and is expected to launch in Q1FY28.

Srivari Spices & Foods Ltd

Outlook: FY27 is expected to be a strong growth year, with revenue growth of >50% YoY, led by continued traction in atta and spices and a sharp ramp-up in oil, for which revenue is targeted at INR 300-350 mn versus ~INR 50 mn in FY26. Key monitorables include oil scale-up, main board migration within 2-3 months, proposed equity fundraise/DRHP filing, export conversion and initial traction from the puja product.

Business Expansion

- Revenue increased from INR 780 mn in FY24 to INR 1.14 bn in FY25 and INR 1.75 bn in FY26, implying ~50% growth in FY26.
- Product portfolio expanded from three spice products in 2019 to 88+ SKUs currently.
- Portfolio now includes spices, chakki atta, masalas, groundnut oil and soya chunks, with a focus on household kitchen essentials.
- Capacity stands at 14,400 TPA for atta, 3,600 TPA for spices and 7,200 TPA for oil.
- Distribution spans 18,000 retail/general trade stores, alongside modern trade and e-commerce platforms.

Product Mix

- FY26 revenue contribution included INR 930 mn from chakki atta, INR 730 mn from spices and ~INR 50 mn from oil.
- Oil was launched recently and contributed ~INR 50 mn in FY26, including ~INR 30 mn in the last three months.
- Management expects atta, spices and oil to collectively drive growth, with oil emerging as the next major growth contributor.
- Product sourcing is concentrated in key agricultural markets, with quality testing conducted before procurement.

Oil Growth

- Oil is positioned as a household-consumer product rather than a commercial/refined oil offering.
- Portfolio includes double-filtered and cold-pressed groundnut oil.
- Management indicated strong market response and expects oil revenue to reach ~INR 300-350 mn in FY27 versus ~INR 50 mn in FY26.
- Oil is expected to become a key contributor to FY27 growth.

Main Board Migration

- Migration from the SME platform to the main board is already under process.
- Management stated that the company is eligible and expects the process to be completed within the next 2-3 months.

Fundraise

- A proposed equity fundraise is in process, with the company having intimated the stock exchange in January.
- Management indicated that the DRHP filing is expected shortly, potentially within 10-15 days.
- The fundraise size was not disclosed during the conference and is expected to be disclosed through the formal filing.

Puja Opportunity

- The company plans to enter the puja and devotional products segment with a limited-capex approach.
- Management highlighted the highly fragmented nature of the category, with ~90-95% of the market estimated to be unorganised.
- Initial focus will be on a broader branded portfolio rather than pursuing significant revenue contribution.
- Products are expected to be low-ticket items, supporting low initial capex while building consumer awareness.
- Management views the segment primarily as a branding and consumer-acquisition opportunity, with potential for future scale-up.

Manufacturing Control

- The company does not intend to follow a third-party manufacturing or white-label model.
- Management highlighted sourcing and product quality as key priorities and prefers manufacturing products internally where it can ensure quality.
- New products are expected to be introduced only when the company has adequate manufacturing and quality-control capabilities.

Export Pipeline

- The company has received export leads and is evaluating opportunities in international markets.
- Management indicated that export plans were temporarily affected by geopolitical developments in the UAE/Dubai region.
- The company remains prepared to pursue exports once the operating environment becomes more conducive.

Competitive Landscape

- Management sees limited direct competition from Madhusudan in its core South Indian markets, citing Madhusudan's stronger presence in Gujarat.
- HOAC is viewed as having limited overlap in Srivari's retail-focused South Indian market.
- Management highlighted quality and increasing consumer awareness around food safety as key competitive differentiators.
- It expects stricter food-quality awareness and regulatory enforcement to create opportunities for organised branded players.

Distribution Mix

- General trade remains the dominant distribution channel, contributing ~80% of revenue.
- Modern trade and e-commerce together contribute the remaining ~20%.
- The company has a presence across modern trade and major e-commerce platforms, supporting gradual channel diversification.

Star Cement Ltd

Outlook: Star Cement is maintaining its leadership in the Northeast, with a 25-26% market share, while executing a strategic expansion into Rajasthan to diversify its geographic footprint. The company is managing short-term volume volatility caused by floods in Assam and a reduction in government subsidies, while targeting a thermal substitution rate of 25% through AFR and bamboo.

Expansion Plans

- **Rajasthan Project:** Planning a 3.3 mn tonne clinker plant and 5 mn tonnes of cement capacity across two locations (Nimbol and Ayer Rajajar).
- **Timeline & Budget:** Groundbreaking is expected between 1 November and 1 December, with production targeted for June/July 2028. Total capex is estimated at ~INR 30 bn.
- **Northeast Strategy:** Future expansion in Umrangso and Durhada is planned for 2-3 years down the line, depending on demand growth.
- **Siliguri & Bihar:** Prioritising expansion in Siliguri, West Bengal, subject to attractive government incentive policies, before pursuing plans for Bihar.

Operational Status & Metrics

- **Capacity:** Current total capacity is 9.7 mn tonnes (7.7 mn tonnes in the Northeast and 2 mn tonnes in Siliguri).
- **Volume Growth:** FY27 volume growth guidance has been revised to 8-9% (down from 10-12%) due to flood impacts.
- **Capacity Utilisation:** Seasonal peaks in the March quarter often exceed 100%.
- **Financials:** EBITDA per tonne for the current year is expected to remain at ~INR 1,600.
- **Non-Cement Revenue:** Targeting INR 800-900 mn this year, with expected EBITDA margins of 15-20%.

Resource Management

- **Coal Sourcing:** 60-70% of requirements are met via Fuel Supply Agreements (FSA); the remainder is sourced from Nagaland or upcoming scientific mining in Meghalaya.
- **Limestone:** Secured reserves of 80-100 years for current capacity in the Northeast and 64 mn tonnes via auction in Rajasthan.
- **Green Energy:** Currently substituting 17-18% of fuel; targeting 25% thermal substitution.

Risks

- **Subsidy Reduction:** Profitability has been impacted by a reduction in subsidies due to the GST rate dropping from 28% to 18% and new caps imposed by the Assam government.
- **Environmental Clearances:** The Rajasthan project is awaiting final Environmental Clearance (EC), expected by the end of October.
- **Weather Disruptions:** July volumes saw a 12% decline due to flooding in Assam, though recovery was noted in August and September.

Financial Strategy

- **Funding:** Rajasthan expansion will be funded through internal accruals and debt.
- **Debt Target:** Aiming to keep net debt-to-EBITDA at 1.5-1.7x.
- **Peak Debt:** Peak debt is expected not to exceed INR 15 bn.

Steelcast Ltd

Steelcast's board has approved an 8,500-tonne capacity addition (~30% above the 29,000-tonne base) to be commissioned by March 2028, with total capex of ~INR 2.25 bn through FY29 funded entirely by internal accruals. The plan is underwritten by customer projections and guided utilisation of the existing facility rising from 48% in FY26 to 60% in FY27, 79% in FY28 and 90% in FY29, implying a ~24% three-year volume CAGR from the FY26 base, with new capacity expected to generate ~INR 3 bn of sales over ~3 years from commissioning. Current EBITDA margins of 28-29% are lifted by rupee depreciation and other benefits that may not persist; the sustainable band is 25-26%. Diversification is progressing (mining down to 27% of sales, nine end-user industries), but firm orders cover only four months and the expansion rests on customer outlook rather than contracts. Key monitorables are conversion of the volume ramp into reported sales and whether customer procurement tracks the three-year horizons being underwritten.

Capacity Expansion & Utilisation Roadmap

The board has approved 8,500 tonnes of additional capacity (~30% above the current 29,000-tonne installed base) on 100,000 sq m of land (INR 186 mn, from the Gujarat government) 12 km from the present facility; commissioning is targeted by March 2028, compressed from a normal two-year timeline.

Total capex is ~INR 2.25 bn through FY29 (INR 1.2 bn for the new facility plus ~INR 1 bn for the existing facility), fully covered by cash accruals over FY27-FY29, with reserves of INR 1.22 bn maintained at current levels. The company has been debt-free since FY23.

Utilisation of the existing facility is guided at 60% in FY27, ~76-79% in FY28 and 90% in FY29, beyond which bottlenecks make going higher imprudent.

New capacity is expected to generate sales of ~INR 3 bn over ~3 years from commissioning; it will serve the same nine end-user industries, with no segment considered high or low margin.

The ramp-up is underwritten by new parts developed over the last two years entering serial supply, rupee depreciation, China-plus-one share gains with existing customers, and three-year procurement horizons shared by customers.

Visibility gap: Firm orders cover only four months; the 12-month forward view is refreshed monthly from customer indications, not a contracted backlog. Management acknowledged that customer projections have often diverged from actual procurement over the last decade, but argued that on a 3-5 year lens, "by and large, whatever the customer says does happen".

Growth Trajectory

The plan implies a ~24% volume CAGR over three years from the FY26 base (FY28 volume growth ~32%, FY29 ~15%), a sharp acceleration from the ~7% PAT CAGR over FY23-FY26 (PAT of INR 700 mn in FY23 to INR 880 mn in FY26).

Management attributes the muted last two years to the industrial cycle and new parts not yet in serial supply; it did not directly reconcile the gap between past and projected growth.

End-user industries are expected to grow 5-6% YoY for the next 2-3 years, supported by Indian infrastructure spending and high commodity prices. Exports are expected to stay at 50-55% of sales through FY29.

Management urged a 3-5 year lens rather than the immediate two years.

Margin Structure & Sustainability

EBITDA margins are running at 28-29%, lifted by rupee depreciation and a few other benefits that may not persist; the long-term sustainable band is 25-26% and the current year is expected to be similar to last year.

Higher utilisation could push margins above 25-26%, but management did not commit to it. The 9.5 MW captive power project (commissioned 23 March) provides a continuous cost benefit.

Margin strength is attributed to material procurement efficiencies, productivity, quality assurance and world-class facilities, not niche positioning. The company tracks only percentage margins (not EBITDA per tonne); peer margins are unknown as most competitors are closely held.

Raw material costs were flat QoQ. The company does not hedge forex or raw materials; raw material inventory is 40-45 days and pass-through is reviewed quarterly. All sales are ex-works, so freight increases pass to customers.

Diversification: Progress & Limits

Mining equipment fell from 84% of sales in FY13 to 27%, while earth moving rose to 43% and construction to 15% (top three industries 85%, expected to ease to 82% by FY29).

Steelcast now serves nine end-user industries, 54 customers (versus ~20 in FY13), 350+ parts (versus ~150) and ~16 countries (versus 3-4). The six smaller industries account for 14% of sales, expected at 17% by FY29; locomotive and railway are major focus areas.

Export countries are expected to rise from 16 to 18 as existing customers direct shipments to their own facilities in more countries (no new customer contracts).

Defence is 1-1.5% of sales with no aggressive pursuit planned; steel castings are not used in aerospace. The recent IRIS certification for European railways was obtained, though European railway sales are not expected before FY29.

US railroad approvals have been deprioritised for better opportunities elsewhere; the market (4.5-5% of sales) is not being abandoned.

Management believes no engineering industry escapes cyclicity; the aim is to reduce the amplitude and duration of cycles through diversification.

Macro & Trade

Management's personal view is that the US-Iran and Russia-Ukraine situations will be resolved in the next couple of months, leading to "a very quiet 2027".

On tariffs, sales are ex-works so customers bear the cost; management cited the Commerce Minister's statement that India-US trade negotiations are at an advanced stage.

Key Monitorables

- Conversion of the implied ~24% volume CAGR into reported sales growth.
- Whether customer procurement tracks the three-year horizons underwritten, given only four months of firm orders.
- Sustainability of 28-29% EBITDA margins versus the 25-26% long-term band as rupee support and other benefits normalise.
- Progress of the greenfield (March 2028 commissioning) and railway/locomotive diversification.

Steel Exchange India Ltd

Outlook: Management guides blended EBITDA of INR 10,000 per tonne, up from its earlier guidance of INR 7,000 per tonne. It expects EBITDA margins to expand by 200-500 bps as higher volumes absorb fixed costs. Revenue is expected to rise from the current run-rate of INR 10,000-12,000 mn to INR 13,000-15,000 mn over the next six months. After the expansion, turnover is projected to exceed INR 50,000 mn within 3-4 years.

Capacity Expansion: The company runs a 0.50 mn tonne steel plant. The newly commissioned reheating furnace has effectively doubled output. A three-phase expansion with capex of more than INR 50,000 mn will raise capacity to 1.50 mn tonnes. The company has signed an MoU with the Government of Andhra Pradesh for industrial incentives.

Expansion Timeline: The three phases are:

- Phase 1: Capacity rises to 1.0 mn tonnes through a new rolling mill, targeted for late 2027 or March 2028.
- Phase 2: Adds round bars, wire rods and an electric arc furnace (EAF) by March 2029.
- Phase 3: Targeted for completion by late 2030.

Volume Ramp-Up: Output was about 0.18 mn tonnes in FY25/FY26. August-September production reached 50,000 tonnes after the reheating furnace was commissioned, an annualised run-rate of 0.30 mn tonnes. Daily output is currently 800 tonnes and should rise to 1,200-1,300 tonnes after the festive season, or about 40,000 tonnes a month. The FY27/FY28 volume target is 0.36 mn tonnes, about 70% utilisation.

Steel Pricing: Finished steel prices rose 20-25% in Q2 to above INR 70,000 per tonne, compared with the usual range of INR 50,000-55,000 per tonne, driven by regional power and coal shortages.

Premium Products: The company has been re-approved for five years to supply CRS/HSCRM defence-grade steel across coastal India, at a realisation premium of INR 3,000 per tonne. Its move into special green steel alloys adds a further margin premium of about 2% over standard products.

Demand Catalysts: The company is empanelled with Adani for the flagship Google data centre project in Visakhapatnam. It also supplies hotel projects in Visakhapatnam, where 10-15 new hotels have signed up. It is positioned to benefit from steel demand in the INR 1,000 bn Amaravati capital region build-out.

IMR Partnership: The company has partnered with IMR Resources, a global commodities major. IMR's owner, who runs a USD 3.5 bn enterprise across 20 countries, has joined the company's board. IMR provides letter-of-credit support for working capital, global sourcing of coking coal and raw materials, billet trade access, export network integration and support for low-cost debt refinancing.

Balance Sheet & Funding: About INR 2,000 mn of balance warrant money is expected within 3-6 months. The operating cycle has shortened from 161 days toward 120 days, with a target of 60-90 days within two years. A credit rating upgrade to BBB+ has opened talks with banks on single-digit interest rates for borrowings and working capital facilities.

Logistics Park & Land Bank: The company owns a 500-acre land bank with a three-lane railway siding connected to Visakhapatnam Port. Under an initial MoU with the AP government, it is setting aside 100-150 acres for a logistics industrial park and goods shed terminal. This will run as a wholly owned logistics and trading subsidiary with estimated revenue potential of INR 10,000 mn.

Sales Mix & Geographic Expansion: About 90% of revenue currently comes from Andhra Pradesh. Of total revenue, 70% is B2C through the Simhadri TMT brand and 30% is B2B. In the short term, the company aims to raise sales outside AP to 20-30%, and within two years to reach a 50:50 split between AP and other regions plus exports.

Long-Term Potential: The expansion to 1.5 mn tonnes, higher EBITDA per tonne, the IMR partnership and infrastructure-led demand in Andhra Pradesh support a path to more than INR 50,000 mn of turnover. The logistics park and an improving balance sheet add further levers for value creation.

Sterling Tools Ltd

Sterling Tools' standalone fastener business grew ~25% YoY in Q1FY27 on strong volumes, while the EV subsidiary (SEM) absorbed the loss of Ola as a customer, which management called a "huge revenue loss" (the matter is sub judice). FY27 is a margin-squeeze year, with strong steel and petroleum-linked input inflation compressing spreads; customer compensation is under negotiation but arrives with a lag. Management is forward-spending on capacity (INR 800 mn committed in FY27, with a further INR 250-300 mn possible) to reach INR 10 bn of standalone fastener revenue by FY29, while consolidated FY27 revenue is guided to be very close to INR 10 bn. EV business revenue is guided at ~INR 1.5 bn, with full-scale supplies of new localised products expected only in Q4FY27. Newer growth options include DC contactors/HVDC (15%+ share target by FY30), ADAS partnerships and rare-earth-free motors. Key monitorables are customer compensation for input inflation, the Ola legal proceedings and conversion of SEM's new customer wins before the Q4 validation window.

Standalone Fasteners: Growth, Capex & Target

Q1 revenue grew almost 25% YoY; management expects to do slightly better than the broader market through FY27 but did not give firm numerical guidance ("we have a good year ahead of us").

The target is INR 10 bn of standalone revenue by FY29; current capacity supports >INR 8 bn. Capacity lead time is ~12 months, hence the forward spending now.

FY27 capex of INR 800 mn is committed (across Bangalore and NCR facilities), to be spent through the year; an additional INR 250-300 mn may be deployed later depending on market conditions.

Confidence is based on customer traction, the acquired business and customer-supplied production-level guidance.

Consolidated revenue was ~INR 8+ bn in FY26 and is expected to be "very close to INR 10 bn" in FY27.

FTAs are expected to create export opportunities but will play out over ~24 months with no near-term impact; exports are 1-2% of business.

There are no plans to enter aerospace fasteners; adjacent product lines within existing customers and capex are being explored.

Margins: The Commodity Squeeze

Margins sit at the higher end of the auto-component range but remain below pre-COVID levels as commodity prices have stayed elevated since.

FY27 is described as a unique year: steel is strengthening, and petroleum-based oils and chemicals used in production are seeing very sharp inflation.

Customer compensation is under negotiation but always comes with a lag.

Management is confident of offsetting the pressure through price increases passed on to customers and internal efficiency measures.

Sterling E-Mobility (SEM): Reset, Rebuild, Ramp

Ola is no longer a customer, causing a "huge revenue loss". The matter is sub judice, and management declined to comment beyond public-domain court records.

SEM revenue (EV motor control unit) was ~INR 3.8 bn in FY25; FY27 EV business revenue is guided at ~INR 1.5 bn. Revenue growth is currently slow, though management is positive on an uplift in revenue and profitability very soon.

The business has been renamed from SGEM to SEM and has started localising DC-DC converters and 3-in-1, 4-in-1 and 5-in-1 integrated units.

Five customers have been onboarded for DC-DC converters and integrated units across 10 different products, plus a motor control unit order from a leading two-wheeler manufacturer for a new platform.

Utilisation of the MCU/electronics facility is "not very high", as new products await customer validations; full-scale supplies are expected in Q4FY27, making the H2 ramp back-end loaded.

New lines add multi-function units selling at >INR 0.3 mn versus ~INR 10,000 for a basic low-voltage MCU, with flexibility to shift capacity between lines. MCU capacity is ~300,000-400,000 units across all product lines (down from 720,000 low-voltage MCU units originally).

DC Contactors & HVDC

Business has been won from the largest EV passenger vehicle maker for DC contactors across new vehicles launching in December this year, plus a three-wheeler OEM, a premium e-motorcycle maker, battery pack and BDU manufacturers and the largest charging station manufacturer in India.

HVDC contactors are already in production.

The addressable market is expected to grow from ~INR 3.5 bn to INR 8-10 bn over the next 4-5 years.

The company is targeting 15%+ market share by FY30, as there is no local alternative (almost 90% of the product comes from one overseas supplier).

ADAS & Technology Partnerships

A tie-up with Miniac for truck ADAS and in-cabin technologies (driver and occupant monitoring for passenger vehicles); separate partnership with How Hang for two-wheeler radar and camera-based perception ADAS.

Draft regulations for truck ADAS have been notified, with implementation expected in the next 1-1.5 years. ADAS products straddle both EV and ICE markets.

Six partnerships have been finalised across the autonomous, connected and electric space to launch products in India.

Rare-earth-free motor technology: efficiency is very good, but the product as sold in Europe is "not a great fit for India" because average urban speeds of ~10 km/hour expose efficiency gaps; performance is being proven on Indian road conditions.

China dependency is managed, not exited: non-Chinese technology alternatives are often commercially unviable; the strategy is to localise technologies, build on licensed IP and reduce dependency over time.

Key Monitorables

- Progress on customer compensation for input-cost inflation and margin trajectory through FY27.
- Update on the Ola legal proceedings.
- Conversion of SEM's new customer wins into revenue before the Q4 validation window.
- Execution of the INR 800 mn fastener capex and demand visibility for the INR 10 bn FY29 target.

Suba Hotels Ltd**Strong Growth Momentum & Positive FY27 Outlook**

- Suba Hotels delivered FY26 revenue of INR 1,143 mn, EBITDA of INR 268 mn and PAT of INR 180 mn, while Q1FY27 revenue grew 34% YoY to INR 268 mn, supported by a 5 percentage-point improvement in occupancy to 53% and a 5% increase in ARR to INR 3,140. Management expects to maintain its historical ~30% revenue CAGR, with FY27 growth supported by new hotel openings and improving performance of recently added properties.

Large Committed Pipeline to Drive Multi-Year Growth

- The company currently operates 101 hotels with 4,652 keys, while its committed network stands at 142 hotels with 7,000+ keys, providing visibility for the next 2-3 years. Around 1,000-1,100 additional keys are targeted to become operational in FY27, of which approximately 450-500 keys were already operational by the time of the call. The expansion is predominantly focused on Tier 2 and Tier 3 markets, where management sees significant scope for organised hospitality penetration.

Asset-Light Model Supports Capital-Efficient Expansion

- Suba follows a diversified operating model across franchise, lease/revenue share, management and owned hotels, with franchise accounting for around 45% of operational properties, followed by lease/revenue share at ~24% and management at ~20%. Lease and revenue-share properties contribute roughly 70% of revenue and provide a capital-light route to scale, while allowing the company to consolidate revenue. Management indicated EBITDA margins of around 25-30% for lease/revenue-share properties, depending on individual contracts and hotel performance.

RevPAR Growth & Operating Leverage to Support Margins

- Average room rate increased from INR 2,981 in FY24 to INR 3,850 in FY26, while RevPAR increased from INR 1,710 to INR 2,637, reflecting improvement in both pricing and occupancy. FY26 EBITDA margin was impacted by the change in GST structure, which management estimated had an EBITDA impact of ~INR 35 mn, along with hotel renovations and weaker Dubai operations. Management expects margins to gradually recover over the next 2-3 years, potentially moving above the previous 26-27% range, supported by operating efficiencies, better commercial terms and the addition of higher-margin properties.

Tier 2/3 Expansion & Multi-Brand Strategy Remain Key Growth Drivers

- Around 65% of Suba's portfolio is concentrated in Tier 2 and Tier 3 markets, covering business centres, industrial corridors, tourism destinations and pilgrimage markets. The company operates multiple brands including Click Hotels, Comfort, Quality, Clarion, Suba and GenX, enabling it to address different customer segments and asset profiles. Management's strategy remains focused on the mid-scale and upper-mid-scale segments, with future growth expected from deeper penetration of Tier 2/3 markets, higher property density and the ability to structure new hotels through multiple operating models.

Sumeet Industries Ltd**Strong Growth Outlook & Capacity Expansion**

- Sumeet Industries is targeting 30%+ top-line growth in FY27, with management reiterating its 5-6% EBITDA margin guidance despite near-term raw-material volatility. FY26 revenue stood at around INR 10,500 mn with EBITDA of INR 607.7 mn, while the company expects revenue to more than double over the next 3-4 years, supported by capacity expansion, higher utilisation and increasing contribution from value-added products.

Nakoda Acquisition to Add Significant Revenue Scale

- The recently acquired Nakoda CP plant, with capacity of 140,000 TPA (~400 TPD), is expected to be commissioned by Q1FY28, with ramp-up targeted by Q2FY28. Management expects the plant to generate ~INR 12 bn of annual revenue at optimum utilisation with 5-6% EBITDA margins. The unit will manufacture bottle-grade PET chips, where around 40% of domestic demand is currently imported, providing a ready market and additional export opportunities.

Value-Added Yarn to Drive Margin Expansion

- Management is actively shifting the product mix towards higher-margin value-added yarns, targeting 50-60% of FDY production in value-added products. Around 50% of current FDY production has already been converted, with products such as cationic, bright and coloured FDY yarns gaining traction. Management expects EBITDA margins to improve from the current 6-7% level to 8-10% over the next 2-3 years, supported by value-added products, better operating efficiency and operating leverage.

Renewable Power to Provide Structural Cost Savings

- Power cost is expected to become a significant profitability driver, with the company having already commissioned a 14 MW solar plant and secured a 4.2 MW wind PPA, while another 12 MW solar plant is expected to be commissioned by November 2026. Renewable power is expected to cover a substantial portion of the company's requirements, with management estimating savings of INR 80-100 mn in FY27 and ~INR 200-220 mn a year from FY28. Combined with lower finance costs and improved procurement, this should support margin expansion.

Healthy Balance Sheet & Strong Industry Opportunity

- The INR 2,000 mn rights issue has strengthened the company's financial position, with around INR 1,000 mn allocated towards working capital, INR 90 mn towards debt repayment and the balance supporting the Nakoda acquisition. Management expects debt to reduce gradually as repayments continue, while working capital remains manageable. With polyester weaving demand in Surat growing around 8-10% annually, domestic supply remaining tight and exports offering around 5% better realisation than domestic sales, Sumeet sees significant scope to scale production and deepen its value-added product portfolio.

Sunlite Recycling Industries Ltd**Business**

Sunlite was set up in 2012 in Kheda, Gujarat, to make copper products from recycled scrap. Its products are copper rods (FRHC and OFC), wires, strips, ATC wire for solar and busbars for transformers and switchgear.

In 2026, it acquired Sunlite Aluminium (aluminium rods) as a wholly owned subsidiary.

Copper capacity is ~30,260 tonnes a year and aluminium ~12,000 tonnes. About 85% of rod output is sold as rod, and ~15% is processed further into higher-value products.

FY26 revenue grew ~98% on ~50% volume growth, and Q1FY27 revenue grew ~75% on ~15% volume growth, mostly from higher copper prices. Aluminium revenue was ~INR 1,550 mn in FY26.

ROE is ~36% and ROCE ~34%. Working capital is ~10 days, with inventory turning ~42 times a year.

Guidance and Capex

A busbar expansion adds ~1,000 tonnes a year for ~INR 130 mn, against current value-added capacity of ~2,500 tonnes.

A ~20,000-tonne copper plant will be built in the aluminium subsidiary for ~INR 240 mn, to use its income tax, capital and interest subsidies.

Machinery is ordered, with commissioning targeted for February-March 2027 and first-year utilisation of ~30-40%. Management expects a significant ramp-up from FY28.

The earlier copper cathode plant plan was dropped, because many large cathode plants are coming up and margins may not justify the capex.

Revenue and volume should both grow in Q2. Management would not give H1 margins ahead of results.

Margins and Hedging

EBITDA is ~INR 25-30 per kg. Rod EBITDA margin is ~2.1-2.2%, and ATC wire gross margin is ~4.5-5% (~3.5-4% at low utilisation).

Utilisation is ~90% for rods, ~60-65% for ATC wire (which management says is close to full practical capacity) and ~40-45% for busbars.

Margin percentage falls when copper prices rise even though absolute profit grows.

The company is fully hedged: every purchase is matched by a sale, and import prices are fixed against sales close to when the container arrives. Aluminium is priced off the M6 benchmark.

Procurement

About 40% of scrap is imported and ~60% domestic, but the mix shifts with relative prices and imports can reach 70-80%. Copper scrap carries no import duty, and shipping cost is passed on.

Supplier contracts run 15-25 days, and management sees no shortage of scrap so far. Sharp price spikes cause only 1-2 days of disruption.

The company runs on green energy with no oil-fired furnaces, and its scrap yard is in Nadiad. A GST provisional attachment on the Kheda factory was removed about a year ago.

Any benefit from the April 2026 EPR rules awaits government guidelines.

Sunteck Realty Ltd

Outlook: Sunteck Realty is experiencing strong growth, with total gross development value (GDV) of INR 427 bn. The company is expanding its presence across 10 micro-markets in the Mumbai Metropolitan Region (MMR) and diversifying its revenue through a significant expansion of its annuity (rental) business.

Financial Performance & Metrics

- **Annual Growth (FY26):** Pre-sales reached INR 31.57 bn (up 25% YoY), collections were INR 14.33 bn (up 14% YoY) and revenue stood at INR 11.24 bn (up 32% YoY).
- **Profitability:** EBITDA margin was 27% (INR 3.05 bn) and PAT was INR 2.02 bn with an 18% margin.
- **Q1FY27 Results:** Pre-sales grew 20% to INR 7.87 bn, and collections grew 17% to INR 4.09 bn.
- **Cash Flow:** Operating cash flow surplus for Q1FY27 was INR 1.93 bn, a 79% YoY increase.
- **Debt Profile:** Maintains a low debt-to-equity ratio of 0.07x, with a management philosophy of prioritising debt-to-cash flow over debt-to-equity.

Portfolio & Market Strategy

- **Market Segmentation:** Operates across three tiers: Uber Luxury (BKC, Nepean Sea Road, Downtown Dubai), Premium Luxury (Goregaon, Mira Road, Vasai) and Aspirational Luxury (Naigaon, Kalyan).
- **Development Models:** Utilises outright acquisition (26%), joint development agreements (50%), joint ventures (21%) and redevelopment (3%).
- **Recent Acquisitions:** Added ~INR 50 bn of GDV over the last 12 months through projects in Mira Road, Andheri Kurla (Sahar) and Andheri Western Express Highway.

Annuity Business Expansion

- **Current Status:** Earns ~INR 800 mn of unencumbered rental income from two commercial assets at the BKC junction.
- **Growth Target:** Aims to increase rental income to ~INR 4.5 bn by the end of the decade.
- **Key Project:** Developing a 1.5-1.6 mn sq ft asset in the Oshiwara District Centre, Goregaon West, targeting an ROIC of 25%+.
- **Funding Strategy:** Construction will be funded through cash flows from the Altavia residential phase (Tower 1 GDV is INR 15-17 bn).

Project Status & Risks

- **Nepean Sea Road:** Approvals are in process; further clarity is expected by the end of Q3FY27.
- **Dubai Project:** The company is "launch-ready" despite systemic risks and regional instability; there is currently no cash outflow for this project.
- **Revenue Recognition:** Expected from the Sunteck One World project in Naigaon (OC received) and ready-to-move-in inventories in BKC and Goregaon.

Other Matters

- **Collection Gap:** The gap between pre-sales and collections is primarily due to the Nepean Sea Road project, where construction has not yet started.

Suraj Estate Developers Ltd

Outlook: Suraj Estate Developers is maintaining a balanced growth strategy across residential and commercial segments in South Central Mumbai, with a focus on high-margin redevelopment and strategic vacant land acquisitions. The company is targeting INR 7 bn of pre-sales for the current financial year and plans to launch INR 16 bn of gross development value (GDV).

Financial Metrics & Guidance

- **Pre-sales Target:** INR 7 bn for the full year, with INR 1.4 bn already achieved in Q1.
- **EBITDA Margins:** Guidance is set at 35-37%, a slight drop from 40% due to a product mix shift toward vacant land acquisitions, which typically offer lower margins than redevelopment.
- **Leverage:** Current debt-to-equity is ~0.6x, expected to peak at 0.8x due to recent acquisitions before normalising as projects reach completion.
- **Investment Criteria:** The company targets an IRR of 30-35% for new projects.

Commercial Segment: Suraj One Business Bay

- **Current Status:** 63,000 sq ft sold out of a total of 360,000 sq ft.
- **Pricing:** Currently achieving INR 52,000-55,000 per sq ft on lower floors, with an expected average of INR 60,000 per sq ft by project completion.
- **Expansion:** Development rights for a backside plot have been acquired, increasing the total potential top line to INR 20 bn.
- **Sales Target:** Aiming to sell 150,000 sq ft in FY27.

Residential Portfolio & Pipeline

- **Value Luxury:** 1-2 BHK apartments (ticket size of INR 20-40 mn) targeting professionals aged 35-45.
- **Luxury:** Flagship projects Ocean Star and Palette with ticket sizes of INR 55-250 mn.
- **Upcoming Launches:** 5-6 projects planned for this year, including Madonna Wingby, Bodega House and Lobovilla, contributing INR 8 bn to the development pipeline.
- **Strategic Land Bank:** A large 2.5-acre parcel in Bandra is planned for launch in approximately 1.5 years.

Operational Status & Risks

- **Project Delivery:** Six to seven projects (including Palette, Ocean Star and Saraswat Bank Bhavan) are expected to be delivered within the next 6-9 months.
- **Inventory:** Total unsold inventory is ~126,200 sq ft, the majority of which is in the commercial segment.
- **Construction Costs:** Inflation has increased costs by 10-20%, but the impact is minimal as most costs were incurred previously; future pricing will factor in these increases.
- **Market Position:** The company leverages a 40-year brand history and strong relationships with the tenant community to secure redevelopment proposals.

Suryoday Small Finance Bank Ltd

Outlook: The bank is tracking in line with plan across its three pillars of microbanking, retail assets and digital, and reiterated guidance of roughly doubling FY27 profit on a growing paying book and improving credit quality, aided by CGFMU claims. Microfinance is ~50% of the book in the near term and will be gradually pared down while remaining a key revenue engine. Collections are better than in the prior quarter, with isolated stress in drought-affected Maharashtra, and the bank retains an exit ROA target of ~1.5-1.6% with credit cost of 1-1.2%.

Performance and Pillars

The bank has received ~INR 8 bn of CGFMU claims over the last two years, pertaining to the last three base years, with all anticipated levers playing out. The three pillars of microbanking, retail assets (CV and mortgage) and digital are all delivering; micro mortgage saw a small slippage that is now under control, while CV is seeing good growth.

Digital is showing strong traction, with 30-40% of incremental deposits raised through digital channels and customer acquisition through partner tie-ups (including a BC and CLOU model) growing 20-30% per month. Headcount was barely added in Q1; growth will come from productivity and existing customers.

The bank is running at an annualised partner customer acquisition rate of 2.7+ mn, plus 0.5 mn through internal channels, and is targeting 3+ mn additions for the year. Branch expansion is deliberately limited, with the focus on leveraging existing branches.

Profit Trajectory and Margins

Q1 PSLC gains, while one-off within the year, recur every year; the doubling of profit versus last year rests on paying book growth and credit cost improvement expanding operating income, with the same trend expected in Q2.

Deposit rates remain elevated for small finance banks, so funding uses a mix of retail deposits (85%+ of the total), refinancing and revived IBPC transactions over the next three quarters. A 25 bps rate hike is seen as possible by December.

LAP is fully floating; the fixed-rate book sits in MFI, where pricing will be reviewed and repriced if a hike materialises. Yield on the loan book fell ~110 bps QoQ to ~16% and NIM fell ~70 bps, largely due to impairment; in Q2, the impaired book should be written off (helped by trust guarantee claims) and a rising paying book should lift yields.

Insurance, Asset Quality and Digital Economics

Insurance is not material: total insurance income in the P&L is INR 200-300 mn, of which the IRDAI impact is ~INR 100-150 mn at the PBT level. Credit-attached products account for a little over half of insurance income, largely MFI credit life; the bank would rather forgo commission and charge a slightly higher fee, with leeway on the asset-attachment side.

Collections are better than in the prior quarter; drought pockets in Maharashtra show a ~50 bps impact on collection efficiency (35-40% of AUM is in Maharashtra), but April and May were decent and no deterioration is seen. The post-November 2024 book, built on propensity and scorecard-based lending, is intact, and exposure to the northern floods is limited.

The bank positions itself more as an individual lender than a group lender, with JLG under 25% of microbanking; customers are new-to-loan and new-to-bank, with standing instructions in place, and three-fourths pay on time through savings accounts, effectively the top end of the microbanking segment.

Digital partner economics are ROA-accretive, above the bank's average ROA; one partner's live retail asset base is ~INR 11 bn. Conversions on early assisted journeys are in single digits and are expected to reach double digits. UPI MDR is a double-edged sword: it is accretive on network volumes, but FDs booked digitally through UPI are not yet exempt from MDR, making it broadly a zero-sum game.

Capital, Mix and Outlook

The board approved a Tier 2 raise of INR 2 bn at a coupon of a little over 10%, as flagged on the Q1 call; more may be discussed on the Q2 call. There are no plans for a universal banking licence in the near or medium term, although an AD Category I licence may be added later.

The AUM mix of inclusive finance to retail assets is to stay at ~50:50 in the near term, with microfinance pared down over time but still a leading revenue engine. On MFI industry asset quality, ~75-80% of customers pay regardless of the cycle; current strength reflects tighter selection amid limited capital, with the industry customer base down by ~20 mn and borrowers migrating to gold loans and other products.

Guidance

The bank reiterated guidance to roughly double FY27 profit on paying book growth and credit cost improvement, with an exit ROA of ~1.5-1.6%, credit cost of 1-1.2% and a near-term 50:50 mix of inclusive finance to retail assets; Q2 is expected to be in line with the FY27 trajectory.

Susan India Electronics Ltd

Outlook: For FY27, management plans to shift the mix sharply toward HT cables and MVCC, targeting 30-35% of revenue from about 5% today, as these carry the highest margins. Installed capacity supports annual revenue of INR 6,000-7,000 mn, more than 2x the FY25 base. Commissioning the CCV line will unlock qualification for large state tenders, and revenue from UP alone is expected to double.

Q1FY27 Performance: Revenue grew about 3.8x YoY (+278%) to INR 950 mn from INR 250 mn. PAT was INR 60 mn, a turnaround from a loss in Q1FY26. FY25 turnover was INR 2,700 mn, with a historical PAT margin of about 6.5%.

Order Visibility: As of 30 June, the unexecuted order book was INR 1,420 mn. Active tenders are expected to bring further wins of about INR 1,500 mn, taking total order visibility to INR 2,920 mn.

Segment Margins & Mix: EBITDA margins are 9-10% for LT cables and conductors, 10-11% for winding wires and strips, and 12-13% for HT cables and MVCC. The FY27 target mix is 30-35% HT cables and MVCC, about 35% winding wires and strips, and 25-30% LT cables and conductors.

Raw Material Protection: Contracts use variable, pass-through pricing for copper, aluminium, XLPE and PVC. This shields operating margins from commodity price swings.

Capacity Expansion: Capacity has been raised from 7,500 km per annum to 12,000 km per annum through additional Sioplas lines, ahead of the timelines given in the RHP. The target is 13,000-14,000 km per annum by December. The plant runs 24/7 on double shifts at 70-80% utilisation.

CCV Line: The company built its continuous curing vessel (CCV) line in-house for INR 70 mn, compared with about INR 140 mn at market prices. It has a 100-metre nitrogen dry-curing tube that needs 120 metres of floor space, and commissioning is expected within 1-1.5 months.

CCV-Linked Tender Access: A CCV line is a mandatory supply qualification in major states, including UP, Rajasthan, Karnataka, Uttarakhand, Gujarat and Haryana. The company previously missed an INR 10,000 mn tender in UP because its CCV line was not yet commissioned.

Customer Mix: Revenue is split evenly between state discoms and private EPC contractors such as Raja Electricals, Roy Construction, Parth Electricals and Offshore Ltd. Vendor registrations are in the final stages with NTPC, BHEL, IOCL and Power Grid, in addition to the existing registration with Indian Railways.

Geographic Footprint: The company supplies in Punjab, Haryana, Rajasthan, Gujarat, Madhya Pradesh, Jharkhand, Bihar, Andhra Pradesh and Telangana. Vendor registration in Maharashtra is under way.

HTLS Conductors: High-tension low-sag (HTLS) conductors, a high-margin product, are under active R&D. The company imports core materials, which avoids INR 200-250 mn of capex on in-house core manufacturing. Samples enter type testing within 10-15 days, and the company targets trial orders of INR 20-50 mn this fiscal year.

Entry Barriers: Pre-qualification requirements demand 2-3 years of proven supply history covering 20-40% of a tender's volume. The company holds 10 BIS licences and type-test certifications from CPRI, ERDA and NTH.

Long-Term Potential: Capacity that supports more than 2x current revenue, access to state tenders through the CCV line and a mix shift toward higher-margin HT cables and MVCC together point to strong revenue growth and margin improvement. PSU onboarding and HTLS conductors add further growth options.

Symphony Ltd

Outlook: Symphony enters FY27 with its core India air cooler business on a clean slate after full trade inventory normalisation, though the September and December quarters will be cautiously managed amid elevated raw material costs and a ~12% price hike, with consumer demand confined to March-July. The BISP portfolio, already roughly one-fourth of standalone revenue and ~48-49% of consolidated revenue, is the key growth and de-risking engine, with calibrated entry into RAC, BLDC fans and air purifiers from the December quarter under an asset-light outsourcing model targeting reasonable ROIC rather than price-led scale. The ~INR 50 bn air cooler market, with ~19% penetration, is expected to double in 5-7 years at ~8-10% CAGR, aided by a shift from unorganised to organised players and BIS and energy-rating regulatory tailwinds where Symphony is already largely compliant. Overseas, Mexico and Australia are diversified and on cleaner footing, while China has turned around and repaid its intercompany loan. Overall, Symphony is positioning for steadier, less weather-dependent growth with both ISP and BISP engines firing, though near-term margins may stay mixed as new categories scale.

India Summer Portfolio Normalisation and Demand Outlook

Symphony's core domestic household air cooler business enters FY27 from a clean slate, with trade inventory fully normalised across channel and company after a strong summer in 2026. The company took a price hike of up to ~12% across models in the core category post-July to offset raw material inflation, with plastics being the key input linked to crude and forex movements. Management is cautious on the September and December quarters, balancing advance collection from dealers against billing at elevated input costs, to avoid creating high-priced inventory if commodity prices normalise later. Consumer sales for air coolers remain confined to March-July, so Q2 and Q3 revenue depends on advance orders and billing against them for the next summer season.

BISP Portfolio as a De-Risking and Growth Engine

The beyond-Indian-summer-products portfolio, comprising large venting cooling, water heaters, tower fans and kitchen cooling fans, contributes roughly one-fourth of standalone revenue with positive EBITDA. Symphony has announced entry into three new India categories from the December quarter: residential air conditioners, BLDC fans and air purifiers. All three will follow an outsourcing, asset-light model with no in-house manufacturing capex, and entry will be highly calibrated by SKU, geography and channel, scaling only if predefined operational and commercial parameters are met. Management expects the product mix to tilt toward BISP over the medium to long term given the far larger addressable market of INR 500+ bn versus ~INR 50 bn for air coolers. On a consolidated basis, BISP already stands at ~48-49% of revenue on a TTM basis.

Residential Air Conditioner Entry and Competitive Positioning

Management clarified that RAC is classified under BISP and not ISP because ~62% of RAC sales occur in summer while ~38% happen off-season, unlike air coolers where nearly 100% of consumer sales are summer-linked. The RAC market is mature and crowded with 80+ brands, but Symphony argues the manufacturing and sourcing ecosystem, distribution overlap with ~1,000+ distributors and 90%+ alternate channel partners, and its authorised service provider network covering 95%+ PIN codes provide leverage. The stated intent is not to buy scale through a price war but to offer superior price-value, especially on after-sales service, and to earn a reasonable ROIC on incremental working capital only, with initial category-level losses being negligible in absolute terms.

Air Purifier and BLDC Fan Opportunity

The air purifier market is currently small at ~INR 5-6 bn but is seen as having exponential runway across household, commercial and industrial use, with no clear domestic leader and a less crowded competitive field, giving Symphony a potential shot at leadership over the medium to long term. Margins in these new categories will initially be below the air cooler business, but management sees scope to leverage brand, sourcing and distribution relationships, and to capture operating leverage at the EBITDA level over time as fixed costs remain largely fixed under the outsourced model. BLDC fans are noted as a fast-growing category with a large runway and year-round sales, further reducing weather dependence.

Overseas Business Diversification and Balance Sheet Reset

In Mexico, a weak summer has been offset by a diversified portfolio now including stand fans, room heaters, washing machines and RAC alongside room coolers. In Australia, legacy issues and the balance sheet reset were addressed in the March quarter, leaving the business on a cleaner slate with a diversified mix including room heaters and RAC, with RAC already contributing roughly one-fifth of revenue. In China, the business has turned around and repaid its intercompany loan to the parent, making capital efficiency comparable to Symphony India.

Air Cooler Industry Structure and Regulatory Tailwinds

The household air cooler market is ~INR 50 bn with penetration of only ~19%, and management expects it to double over the next 5-7 years, implying a CAGR of ~8-10%. The unorganised segment still commands ~65% of the market, mostly metal cooler fabricators, but a consumer shift from metal to plastic coolers is underway on aesthetics and performance. BIS certification became mandatory from 1 November 2025, and energy rating standards become mandatory from 1 July 2027; Symphony already has ~75-80% of its portfolio at 5-star rating, giving it a compliance advantage over both branded peers and unorganised players.

Market Share and Substitution Dynamics

Management stated Symphony has maintained its organised market share close to ~50% and is not losing share to new entrants. On cheaper ACs, management argued there is minimal cannibalisation because air cooler and AC buyers have different mindsets and recurring cost considerations, and even high-income households with centralised ACs buy air coolers for air circulation and non-uniform cooling areas.

Q2FY27 Business Trend

For the core air cooler category, there are practically no consumer sales in the September quarter, and the quarter's revenue depends on advances and billing. For BISP categories such as large venting cooling, water heaters, tower fans and kitchen cooling fans, Symphony is witnessing decent traction in primary and secondary sales post-July. No specific volume or revenue guidance was provided for the new RAC, BLDC fan and air purifier categories, though management confirmed a concrete internal business plan exists for sourcing, distribution and medium-to-long-term scale.

Systematic Industries Ltd

Outlook: Systematic Industries projects a 20-25% top-line CAGR, targeting total revenue of INR 10-12.5 bn by FY28 (March 2028), a 1.5-2x scale-up from current levels.

- Sales volumes are expected to reach 150,000 tonnes as expanded capacity achieves full utilisation.
- Growth will be driven largely by its high-margin new-age business segment, comprising optical fibre cables (OFC), optical ground wire (OPGW) and aluminium clad steel (ACS) wire, which is forecast to generate INR 2-2.5 bn of revenue with EBITDA margins of 15-20%.
- Macroeconomic demand drivers include INR 12,200 bn of planned government infrastructure capex, INR 9,616 bn of power transmission build-outs and accelerating national fibre roll-out and data centre expansion.
- To support this trajectory, the company is scaling its total steel wire manufacturing capacity from 75,000 tonnes to 172,000 tonnes by November 2026.
- This expansion is driven by the operationalisation of a 48,000 tonne facility in Tilara, Chhattisgarh, and the acquisition of Wire Brigade Industries in Kolkata (24,000 tonnes) for INR 210 mn.
- Following these expansions, Systematic Industries will operate six manufacturing units across India (located in Gujarat, Silvassa, Chhattisgarh and West Bengal), with annual installed capacities of 48,000 kilometres of OFC and 12,000 kilometres of OPGW.
- Systematic Industries stands out as India's only fully vertically integrated OPGW manufacturer (controlling production from steel wire to finished cable), providing strong pricing power and technical control.
- The company holds over 20 Bureau of Indian Standards (BIS) licences and key approvals from BSNL, RDSO (Indian Railways) and power utilities.
- Its EPC contract strategy focuses strictly on projects tied directly to its own products, where in-house product supply accounts for over 60% of contract value, with execution handled through joint ventures to safeguard working capital.
- Backed by a presence across 25+ Indian states and exports to over 30 countries under Star Export House status, the company continues to expand proprietary brands such as Galva (zinc-aluminium wire) and Dura Fibe.

Talbro Automotive Components Ltd

Outlook: The company is targeting revenue growth of approximately 18% in FY27 and 20% in FY28, driven by new programme ramp-ups, recovery in forging and continued growth in the gas-related and Magneti Marelli businesses. The Kia heat shield programme, new Maruti orders and incremental forging business provide near-term growth visibility, although customer-led launch delays remain a key execution risk. With capacity utilisation already at 85-90%, incremental capital expenditure may be required to support the targeted growth trajectory. Successful execution of new orders, improved capacity utilisation and a favourable business mix will be critical to achieving the targeted 100-200 bps margin expansion over the medium term.

Product Portfolio & Diversification

- The company has expanded beyond its traditional gasket business into suspension components through a JV established in 2011 and anti-vibration products through a JV with a Japanese partner in 2012. The portfolio has further diversified into heat shields and products across plastic, rubber and glass categories.
- The diversified businesses are expected to benefit from operational synergies, although the specific financial contribution from these synergies was not quantified.

Growth & Financial Targets

- Management is targeting ~18% revenue growth in FY27, followed by around 20% growth in FY28, supported by new order execution and growth across existing businesses.
- The company aims to double its revenue over the next four years, with management also indicating the potential for a 100-200 bps improvement in EBITDA margins, subject to business conditions.
- The forging division is expected to recover from the stagnation witnessed over the past 1.5 years, with management targeting revenue of ~INR 3 bn over the next 3-4 years, compared with INR 1.45 bn in the previous year.
- The gas-related business continues to register double-digit growth, while the Magneti Marelli JV and forging operations are expected to remain key contributors to the company's medium-term growth.

New Orders & Project Ramp-up

- The company expects revenue from newly introduced Kia heat shield products to reach INR 150-200 mn in FY27, with the contribution projected to increase to ~INR 900 mn in FY28.
- New Maruti-related business is expected to commence from October, while additional projects across the gasket, heat shield and Magneti Marelli businesses are expected to support revenue growth.
- The company has received a forging order worth ~INR 900 mn, which management described as representing ~50% of the customer's total requirement, subject to successful execution.
- The company is working on gas-related projects targeted for SOP around FY28, with samples currently undergoing validation. Further revenue contribution is expected as these projects move into commercial production.
- The Stellantis order, initially expected to contribute ~INR 1 bn, faced some execution-related issues, including packaging and painting. The Magneti Marelli JV is expected to generate ~INR 4.75 bn in FY27, compared with INR 3.6 bn in FY26.

Magneti Marelli JV & Strategic Opportunities

- Management is targeting continued growth in the Magneti Marelli JV over the next three years, supported by new orders and the ramp-up of existing programmes.
- The company is actively evaluating the opportunity to acquire the remaining stake in the Magneti Marelli JV, subject to the applicable rights and availability of the stake.
- The company has received additional orders from Magneti Marelli, including a forging-related order, although management has prioritised successful execution of existing wins over providing a long-term revenue estimate for the opportunity. Capacity utilisation across manufacturing facilities is currently ~85-90%, leaving limited headroom for incremental volumes at existing utilisation levels.
- The capacity expansion and production ramp-up would be undertaken as required to support business growth, although specific investment requirements and timelines were not disclosed.
- Order execution delays have primarily arisen from customers postponing vehicle launches, particularly in the EV segment, rather than from the company's inability to supply. The company has already submitted samples and installed the required equipment for these programmes.
- The company has secured orders worth ~INR 2 bn in FY26, compared with INR 160 mn in FY25. However, the conversion of these orders into revenue will depend on customer launch schedules and production ramp-up.

Customer Concentration & Order Visibility

- The company has established single-source supply relationships with several customers, including Bajaj, Volvo Eicher, John Deere and JCB, as well as for certain products supplied to JLR and other OEMs.
- The commercial vehicle customers generally provide limited long-term visibility, with business planning largely based on a three-month outlook despite annual discussions and indicative forecasts.
- The company maintains inventory at customer locations and warehouses, including ~two months of inventory for certain customers, to support uninterrupted supplies.

Emerging Opportunities & Margin

- Data centres represent a new opportunity for the company, with its products being supplied for engine-related applications requiring reliable backup power. Management did not provide a specific revenue or margin outlook for this segment.
- Commodity price pass-through benefits are expected to flow through in the coming quarters of FY27, although the timing and mechanism vary across OEM contracts.
- The company expects margin improvement alongside revenue growth, but profitability will remain dependent on the evolving business mix, as individual divisions operate at different margin levels.

Tamilnad Mercantile Bank Ltd

Outlook: For FY27, management guides advances growth of 21-22%+, deposit growth of 18%+ and full-year NIM of 4.00%+. It has set a minimum ROA of 2.00% and aims to keep the cost-to-income ratio below 45% despite ongoing IT and branch investments.

Q1FY27 Performance: TMB reported its highest-ever quarterly net profit of INR 4,120 mn, up 35% YoY. NII rose 32% YoY on the back of 23% YoY overall business growth, about 7% ahead of industry growth and well above the bank's 10-year CAGR of 8.82%. NIM was 4.29%, ROA 2.14%, ROE 15.93%, EPS INR 25.99 and the cost-to-income ratio 39%.

Asset Quality: GNPA stood at 0.67% and NNPA at 0.17%. Slippage ratio and credit cost were each below 10 bps. The book is almost entirely secured, with a strong emphasis on primary security and collateral across MSME lending.

Portfolio Mix: Gold loans make up 46-47% of total advances, against an internal cap of 50%. This gives the bank a highly collateralised, low-risk lending profile.

Credit Centralisation: Underwriting, appraisal, documentation and credit administration have moved out of branches into 13 regional Credit Management Centres (CMCs). This should improve underwriting consistency and free up branch capacity for business sourcing.

Workforce & Distribution Expansion: The bank is recruiting 27 Senior Relationship Managers, 152 MSME Relationship Managers and 200 Business Development Executives, of whom 80+ have already joined. It plans 60 new branches in FY27, with seven opened in Q1FY27, after adding 44 branches in FY26.

Technology Investment: IT capex of INR 2,800 mn has been allocated for FY27. Phase 1 of the IT upgrade is about 70% complete.

Capital & Liquidity: CRAR is 32.31% and the leverage ratio is 12.50%, against the RBI minimum of 3.50%. Tier 1 and Tier 2 capital equals 13.24% of total liabilities. Management sees no need for an external capital raise for at least the next five years.

Deposit Franchise: The CASA ratio fell to about 26% from about 29% in FY25, reflecting systemic deposit pressures. Sustaining NIM of 4.00%+ while deposits grow 18%+ remains a key monitorable.

Legal Overhang: Bucket 1 court cases cover 8.5% of total shareholding. The PMLA matter has been cleared by the appellate tribunal, while the FEMA matter remains under RBI review.

Long-Term Potential: The bank combines a 105-year record of uninterrupted profits and 104 years of dividend payouts with ample capital headroom, best-in-class asset quality and an expanding distribution and MSME franchise. This positions it to sustain above-industry growth with ROA of 2%+, while CASA recovery and the resolution of legal cases are further triggers.

Tarachand Infra Logistics Solutions Ltd

Outlook: The company is targeting 20-25% revenue growth in FY27, led by equipment rentals and specialised services, supported by an executable order book of INR 2,048 mn and continued deployment in renewable energy and power. While Q1FY27 profitability was affected by project-related losses, subdued steel logistics activity and prior-period charges, management expects margins to recover in H2FY27 towards its 37-38% medium-term band. The expected settlement of the disputed project, improving fleet utilisation and the contribution from recent capex are key earnings drivers. Moderating capex, improving receivable days and disciplined leverage management remain important to sustaining growth and cash-flow generation.

Revenue Growth & Guidance

- Management has guided for 20-25% YoY revenue growth in FY27, driven primarily by equipment rentals and specialised services, supported by recent capex and a healthy executable order book.
- Executable order book stood at INR 2,048 mn as of July 2026, of which 74% was contributed by equipment rentals and specialised services, providing revenue visibility for FY27.
- Growth is expected to be driven by both market expansion and market-share gains, with renewable energy and power emerging as key end-market opportunities.

Equipment Rentals: Utilisation & Margins

- Equipment rental utilisation stood at 79% in Q1FY27, while standalone rental EBITDA margin declined to 54% from the usual 58-62% range, primarily due to project-related demobilisation costs.
- Specialised services margins declined to 10% from 18% following a unilateral scope reduction by a client after machinery mobilisation, resulting in revenue and profitability losses.
- Management expects the affected project to be settled by Q3FY27, with the machinery already redeployed to another project; the settlement proceeds are expected to provide a potential earnings benefit.
- Renewable energy and power contributed 31% and 26%, respectively, of rental revenue in Q1FY27, taking their combined share to 57% versus 24% in FY26, reflecting the company's increasing exposure to these sectors.

Warehousing & Transportation: Recovery Outlook

- Segment revenue declined to INR 187 mn in Q1FY27 from INR 295 mn in Q1FY26, while EBITDA margin contracted to 1% from 16%, reflecting subdued steel movement, the absence of an earlier RINL contract and the ramp-up of the new SAIL Dhankuni contract.
- Higher fuel costs, which could not be passed through under existing contracts, further affected transportation activity and profitability; management indicated that revised contractual provisions would address such cost escalations going forward.
- The segment is expected to recover in H2FY27, with Q3 and Q4 traditionally representing stronger quarters for steel handling and transportation volumes.

Capex, Fleet Expansion & Asset Productivity

- The company incurred INR 428 mn of capex in Q1FY27, taking the gross block to INR 6,010 mn, with FY27 capex targeted at ~INR 800-1,000 mn.
- Management expects annual capex to moderate to INR 600-700 mn from FY28 onwards, including replacement of older equipment, subject to business opportunities and deployment visibility.
- Equipment rental yields currently range between 2.8% and 3.0% of the deployed fleet's gross block, with utilisation generally ranging from 79% to 85%.
- The fleet has an average age of approximately five years, with equipment typically replaced after 8-10 years and a targeted resale value of 50-60% of the original purchase cost.

Profitability & Earnings Trajectory

- Q1FY27 revenue grew 11% YoY to INR 676 mn, while EBITDA stood at INR 210 mn, translating into a margin of 30.7%; PAT was INR 17 mn and cash profit was INR 176 mn.
- Management expects H1FY27 EBITDA margins to remain below its earlier 37-38% medium-term band, with recovery anticipated in H2FY27 as specialised services stabilise, equipment deployment improves and the disputed project is settled.
- The company also recognised ~INR 22 mn of prior-period charges, including a revenue write-off of INR 18.6 mn and an exceptional charge of INR 3 mn relating to an old earnest money deposit.

Balance Sheet & Working Capital

- Net debt-to-equity stood at 0.87x at Q1FY27, compared with 0.90x in the previous year, despite continued fleet expansion.
- Management is targeting a reduction in receivable days from ~97 days to 80 days, which should support operating cash flow and reduce working-capital intensity.
- Equipment purchases are partly funded through interest-free supplier credit, typically involving 20-25% upfront payment and the balance payable after 1-2.5 years; the outstanding amount subsequently converts into bank debt, with loan tenures of 4-5 years.

Other Highlights

- Following the scope-reduction incident at a public-sector power client, management is strengthening contractual protections, including upfront compensation for equipment idling and demobilisation, to mitigate future project-related losses.
- The company intends to maintain a fungible fleet that can be redeployed across sectors depending on demand and returns, while continuing to focus on financially disciplined expansion.

Tars Aerospace

Outlook: Tars Aerospace is developing a modular missile system designed to provide a long-range, low-cost alternative to existing Indian systems such as Pinaka. The company is pre-revenue, operating at TRL 3 and moving towards TRL 4. It is seeking a seed round of INR 100 mn as part of a larger funding requirement of ~USD 3 mn to reach its third year of development.

Product Suite & Technology

- **Modular Design:** A single design platform that can be configured into three variants: unguided rockets (200 km range), guided precision missiles (160 km range) and ground-launched glide vehicles (250 km range).
- **Technical Approach:** Focuses on surface-to-surface strikes using INS/GPS guidance for stationary targets, with future plans for seeker-based capability against moving targets.
- **Development Status:** Has completed the configuration phase and is moving into the detailed design phase.
- **IP Strategy:** Aims to secure ~30 IPs across various subsystems.

Business Model & Market Strategy

- **Revenue Streams:**
 - **B2G (Primary):** Direct sales and upgrades for the Indian Armed Forces.
 - **B2B (Secondary):** Sale of subsystems, such as solid rocket propulsion for assisted launches, to drone companies.
- **Market Positioning:** Aims to bridge the gap between current systems (120 km range) and future DRDO requirements (200+ km range) through a Make-II (suo motu) proposal to ensure IP retention and assured procurement.
- **Competitive Edge:** Focuses on faster R&D iterations and shorter development times than traditional players, and avoids the high-risk, high-cost market for aircraft-integrated glide bombs.

Financial Projections

- **Revenue Targets:** Initially projected cumulative revenue of USD 2 bn over nine years, although analysts flagged this as potentially unrealistic compared with established firms such as BDL.
- **Margins:** Expects ~50% margins per unit, with higher margins anticipated on international exports.
- **Production Plan:** Intends to use existing vendors initially to minimise capex, with a long-term goal of in-house production of 50-100 missiles per month.

Risks

- **Regulatory:** Requires various licences (including from DPIIT) within the next 1.5-2 years.
- **Supply Chain:** Explosives will be outsourced to established partners in Hyderabad due to high compliance and safety risks.

Tarsons Products Ltd

The company is positioned to benefit from its leadership in domestic plastic labware, rising import substitution and a capacity base that has nearly doubled after the Panchla and Amta expansions. Growth is expected to outpace the industry, supported by a wider product range, new categories such as cell culture and bioprocess, and recovering export enquiries. However, margins remain under pressure from the sharp rise in polymer prices, with only partial pass-through so far, while US tariff risk, freight disruption and the multi-year ramp-up of new capacity remain key monitorables. Utilisation of the new plants, gross margin recovery and deleveraging will be critical to sustaining the growth trajectory.

Growth Outlook

- Management expects the strong Q1 trend to continue, supported by healthy order inflow, rising SKU count and industry momentum; historically the company has grown at ~15% against ~12% industry growth and expects to keep outpacing the industry, while refraining from giving a year-wise ramp-up plan.

Margin Outlook

- Management expects company-level EBITDA margins of 35-37% over time, assuming ~15% annual growth and better utilisation of new capacity, with gross margins of 65-70%; current standalone EBITDA margin is ~28-30%, with consolidated margins lower due to the trading subsidiary.

Q1FY27 Performance

- Revenue grew ~20% YoY at both standalone and consolidated levels, with growth seen across domestic and export markets; FY26 standalone revenue stood at ~INR 3.3 bn and consolidated revenue at ~INR 4.5 bn.

Raw Material & Pricing

- Polymer prices rose 40-60% from end-FY26; the company absorbed costs in FY26 and took partial price hikes in the domestic market from FY27, leading to a 2-3% dip in gross margin, while export prices were kept unchanged due to competitive pressure and currency benefit; Q2FY27 gross margin is expected at 65-67%.

Product Mix

- Consumables (cryo vials, centrifuge tubes, pipette tips) contribute ~55% of revenue, reusables (bottles, carboys, measuring ware) ~35% and benchtop instruments 5-7%; reusables carry better margins, with gross margins varying from 45% to 90% across 3,000+ SKUs.

Customer Mix

- The domestic business is fully B2B through 150 distributors, with pharma and biotech contributing ~45% of revenue, research ~15%, diagnostics 10-12%, academia ~10% and hospitals and IVF 5-10%.

Export Business

- The company works with ~245 overseas distributors, with ~55% of export revenue from white-label and ~45% from branded products; the US contributes 40-45% of export revenue, followed by Europe, Latin America and Southeast Asia; enquiries that were paused due to US tariffs have revived, with some converting into large orders.

US Tariff Risk

- The company did not lose any customers when US tariffs rose to 50%, though it offered discounts, and tariffs were subsequently reduced to 25%; US revenue is ~INR 300-400 mn (~10% of consolidated revenue), and management indicated that a 100% tariff would effectively halt India-US trade.

Capacity Expansion

- The company has seven manufacturing facilities in West Bengal, with Jangalpur contributing ~55% of revenue; Panchla is a manufacturing hub for cell culture, bioprocess and pipette tips, while Amta houses an in-house irradiation plant, domestic and export warehouses and a 37,000 sq ft unit for serological pipettes and tubes.

Capex & Utilisation

- Investment of ~INR 3.5-4 bn at Panchla and ~INR 1.5 bn at Amta is expected to generate INR 4-4.5 bn of additional revenue at full utilisation over 3-5 years; CWIP of ~INR 1.52 bn and capital advances of ~INR 200 mn remain, with all capacity expected to be operational by year-end, and future capex limited to INR 200-300 mn per year.

Return Ratios

- Industry asset turnover is ~0.6-0.7x, and management expects ROCE and ROE to improve meaningfully once the new capacity reaches full utilisation in 3-4 years; fixed employee costs for the new plants are already in the P&L, with variable wages to rise only alongside revenue.

Tarsons Products Ltd**Debt & Balance Sheet**

- Gross debt stands at ~INR 3.8 bn against net worth of ~INR 6.5 bn, with annual repayments of INR 600-700 mn and cash profit of ~INR 1.2 bn; management expects the debt to be fully repaid in 3-4 years.

Competitive Positioning

- Tarsons holds ~25% share of the domestic market and is the only player with 3,000+ SKUs; global MNCs such as Thermo Fisher and Eppendorf have no manufacturing in India, and the company offers MNC-comparable quality at prices 10-15% lower, in line with domestic peers.

Acquisition Synergies

- The 2024 acquisition of a Hamburg-based German distributor (turnover of EUR 7-8 mn, EBITDA margin of 8-10%) was strategic, with 60-65% product overlap; supplies to the subsidiary will ramp up gradually as new capacity stabilises and customer approvals are secured.

Geopolitical Impact

- Raw materials are sourced from the US, Europe, Taiwan, Japan and Korea, limiting supply risk from the Middle East, which contributes less than 10% of revenue; higher freight costs are largely borne by customers, though prolonged disruption could push buyers toward other sourcing geographies.

Margin Normalisation

- COVID-era gross and EBITDA margins of ~84% and ~55% were driven by high-value PCR products, and current margins reflect a return to normal operating levels.

Technocrats Plasma Systems Ltd

Outlook: Technocrats Plasma Systems is transitioning from a specialised manufacturer of plasma cutting and welding systems to a high-end automation and defence technology provider. The company is leveraging two critical technology transfer agreements with BARC and RRCAT to develop indigenous laser sources and plasma gasifiers, targeting the defence and energy sectors to drive significant future revenue growth.

Business Performance & Metrics

- **Financials:** Revenue of INR 1,313 mn, EBITDA of INR 260 mn (20% margin) and PAT of INR 149.3 mn (11.4% margin).
- **Operational Scale:** Operates a 20,000 sq ft facility in Vasai, Maharashtra, with a current capacity utilisation of 50.1%.
- **Customer Base:** Serves over 2,500 clients through 17 dealers, with primary revenue generated from Maharashtra and Gujarat.
- **Market Reach:** Supplies key sectors including automotive, power, railways, defence, shipbuilding, and oil and gas.

Product Portfolio & Segments

- **Machines without Automation:** Manual plasma cutting and welding machines.
- **CNC & Automated Systems:** Automatic plate and pipe profile cutting, including a unique combined laser and plasma cutting solution.
- **Customisation & Retrofit:** On-site assembly and upgrading of existing controllers, robots or sources.
- **Lifecycle Support:** Installation, commissioning and post-warranty services.

Strategic Technology Initiatives

- **RRCAT Agreement:** Focused on the indigenous development of fibre laser sources for the defence sector to replace imports from China, Germany and the US.
- **BARC Agreement:** Development of plasma gasifiers and incinerators; a prototype is currently under manufacture and expected to undergo trials in 3-6 months.
- **Defence Applications:** Developing high-power laser sources for defence, utilising RRCAT's branding and guidance to accelerate government approvals and commercialisation.
- **Energy Solutions:** Targeting the coal gasification sector to address issues with coal fines and tar formation using plasma technology.

Growth Strategy & Future Outlook

- **Capacity Expansion:** Moving into an additional 20,000 sq ft space from 15 October to bring on-site manufacturing activities back in-house.
- **Market Expansion:** Targeting new distributor partnerships in Africa and the Middle East to increase exports.
- **Technological Evolution:** Integrating AI and robotics into machinery to reduce production times, specifically for the shipbuilding industry.
- **Revenue Potential:** Plasma gasifier systems are estimated to range in value from INR 100 mn to INR 5-6 bn per system.

Competitive Landscape

- **Direct Competitors:** Ador Welding and ESAB compete in the metal cutting and welding space.
- **Competitive Edge:** Technocrats distinguishes itself through indigenous plasma cutting manufacturing, pipe profile cutting and the development of gasifiers and lasers, which are not offered by domestic competitors.

Telge Projects Ltd**Company Profile**

- Founded in 2018, Telge Projects operates in the AEC sector, with a focus on structural engineering, precast and steel construction.
- The company initially served European clients and later expanded across Singapore, Australia, the UAE and India, with the US now contributing the major share of business.
- Management views the US as the largest opportunity in the construction market.

US Acquisition Strategy

- Acquired Midwest Detailing in January 2024 and Draftco in December 2024.
- Acquired Edward for Architects in March 2026 to expand into architecture and interiors and strengthen supply-chain integration.
- Wheaton Detailing Services was acquired shortly before the call, further expanding the US presence.
- MEP services remain a future opportunity and have not yet been started.

Business Model

- Earlier, the company primarily worked with fabricators and precasters, providing engineering, modelling and detailing services.
- Telge is now moving towards direct relationships with developers, builders and design-build firms.
- The architectural business is expected to provide greater control across the engineering, construction and architectural supply chain.

Competitive Advantages

- The company follows a cross-border delivery model, with client-facing teams in the US and execution teams in lower-cost locations.
- The current execution workforce includes 300+ employees in India, ~25 in Ecuador and 10-15 in Mexico.
- US-based professionals hold state-specific engineering licences, while the architecture business has licences across multiple US states, supporting wider market access.

Growth Strategy

- Telge aims to increase its share of direct-owner business and expand its service offerings through acquisitions.
- Forward and backward integration through architecture and other complementary services remains a key part of the expansion strategy.
- Management sees further scope to scale its US operations by leveraging its cost and delivery advantages.

Texmaco Rail & Engineering Ltd

Outlook: Texmaco is entering a transition phase, with FY27 likely to remain broadly stable due to the absence of a large Indian Railways wagon order. However, the strong ~INR 90+ bn order book, sizeable export pipeline, South Africa wagon and locomotive orders, Bright Power growth and emerging defence business provide visibility for growth from FY28 onwards. Higher export contribution and diversification into defence, leasing, propulsion, crossings and infrastructure are expected to support gradual margin improvement, while a potential large Indian Railways wagon order remains the key upside trigger.

Order Book & Core Business

- Total order book stands at ~INR 90+ bn, comprising ~INR 57+ bn of export orders, ~INR 12+ bn of domestic orders, ~INR 18 bn from Bright Power and ~INR 2.5 bn from other businesses.
- The Indian Railways order book remains low at ~INR 1.5 bn, with management expecting fresh railway wagon orders, although timing remains uncertain.
- Private wagon orders are progressing well, with the company converting a significant portion of orders under the Buy Your Own Wagon scheme.
- Management expects the core business to remain the key growth driver, while newer businesses gradually increase their contribution.

Export Opportunity

- South Africa has emerged as a major opportunity, with wagon orders of ~INR 22 bn and a 15-year OEM service and maintenance component as part of the overall ~INR 41 bn order.
- The company has also received a USD 135 mn locomotive order from South Africa in Q2FY27, further strengthening its export pipeline.
- Including the South Africa and Cameroon orders, the total export order book is ~INR 57+ bn.
- Wagon deliveries for South Africa are expected to start from Q2FY28 and largely conclude during FY28, with limited balance deliveries in Q1FY29.
- Management indicated that export business carries better margins than domestic business.

Bright Power & Rail Infrastructure

- Bright Power reported revenue of ~INR 1.97 bn in the latest quarter, with an EBITDA margin of ~12%.
- Management expects Bright Power to continue growing at around 60%, supported by orders for overhead electrification and signalling-related infrastructure.
- Bright Power has an order book of ~INR 18 bn, with around 60% exposure to Indian Railways and 40% from state electricity boards.
- The company has received orders covering around 10,000 km of overhead wiring, including a 500-km Bangalore-Bhubaneswar section.
- Texmaco Rail Infrastructure Systems & Solutions has an order book of over INR 10 bn and has moved from negative EBITDA to break-even, with management expecting profitability to improve going forward.

Defence & Diversification

- Texmaco has formed Texmaco Defence Technology Ltd with a strategic fund partner, with the company holding 70% and the partner 30%.
- The company is developing four defence products, including systems for armoured vehicles, and has received an EOI from the Indian Army for an armoured-vehicle-related application.
- Prototype submission for one product is expected shortly, followed by approval and production.
- Management plans ~INR 2 bn of capex for defence during the current financial year.
- Management targets defence revenue of INR 10+ bn by 2030, although the contribution is expected to be back-ended and dependent on approvals.
- By 2030, management expects the business mix to move towards 70% core rail-related businesses and 30% defence and other businesses.

Leasing & Recurring Revenue

- The Trinity JV provides a recurring leasing opportunity, particularly for private customers that prefer leasing wagons rather than making large upfront capex.
- Typical leasing contracts have a tenure of 10-12 years, extendable up to 15 years, with renewal potential.
- The Trinity transaction is also expected to reduce debt at the JV through an ~INR 3.4 bn equity infusion, significantly improving the conversion of the company's share of EBITDA into PBT.
- South Africa also provides a longer-duration revenue stream through the 15-year OEM service and maintenance contract.

Foundry Business

- Foundry capacity has increased from ~20,000 tonnes in FY21 to ~50,000 tonnes currently, without major capex.
- Management targets capacity of ~80,000 tonnes by 2030.
- More than 90% of foundry output is consumed internally, with only a small portion sold externally.

- Expansion beyond 80,000 tonnes is not currently part of the plan and would require substantial capex, although management has the land bank to support future expansion.

FY27 Outlook

- Management does not expect significant growth in FY27 in the absence of a large Indian Railways wagon order and aims to broadly maintain FY26 performance.
- Most domestic and private orders and several infrastructure orders are expected to be executed during FY27, while the major South Africa wagon order will contribute more meaningfully from FY28.
- Management expects EBITDA margins to improve gradually, supported by higher export contribution, defence, leasing and other higher-margin businesses.
- The company expects its overall revenue to nearly double by 2030, with the contribution from new businesses increasing progressively.

Thomas Cook (India) Ltd

Management expects the second half to improve as travel demand normalises, particularly across short-haul, domestic, MICE and Middle East businesses. Long-haul travel remains dependent on improvement in flight availability and geopolitical conditions. Middle East businesses are expected to recover gradually, with management targeting around 70% recovery by Q3. Sterling should benefit from strong domestic travel demand and continued network expansion, while the planned demerger remains targeted for Q1FY28.

Travel Business

- Short-haul and domestic travel continue to perform well, with short-haul growth of 20%+, while long-haul remains impacted by higher airfares and Middle East-related disruptions.
- Europe bookings are gradually improving, while Japan, Korea and China grew strongly; Vietnam and Cambodia have also seen significant growth.
- Leisure travel margins remain around 12-14% on average.
- Airfares on westbound routes are up around 30-35%, but the increase is being passed through to customers.

MICE & B2B

- MICE continues to show double-digit growth, with a healthy pipeline for the remainder of the year.
- Management expects MICE to remain strong, with limited impact from the current geopolitical situation as corporates generally shift destinations rather than cancel programmes.
- India inbound tourism is expected to remain positive as the season begins.

Middle East & DMS

- Middle East businesses saw significant pressure in Q1 but recovered to around 40-50% of normal levels in Q2 during July-August.
- Management expects recovery to reach around 70% by Q3, subject to the geopolitical situation.
- Africa and Southeast Asia DMS businesses continue to show healthy trends.
- The company continues to diversify its DMS footprint, although expansion has been more measured due to current market uncertainty.

DEI Business

- Around 50% of DEI revenue comes from the UAE, making the business particularly sensitive to Middle East tourism.
- Cost rationalisation measures have been implemented, with benefits expected to become more visible in H2.
- Technology rollout across sites is complete and should support better conversion as footfalls recover.

Sterling Holidays

- Sterling currently has around 80 resorts, up from 78 earlier, with a target of around 95 resorts in FY27.
- Expansion will continue through a mix of 60% lease and 40% management contracts.
- Q1 ARR was around INR 7,800, with occupancy at around 67%; management targets occupancy of around 70%.

Forex

- Forex EBIT margins remain healthy at around 45% in the education and travel-related segments.
- The company remains an AD Category II forex player.
- Management does not expect the zero-markup forex card to materially dilute margins as foreign exchange transactions still generate a spread.

Demerger & Cash Deployment

- Demerger completion remains targeted around Q1FY28, with the company currently on track with the indicated timeline.
- Sterling will remain with the leisure hospitality business, while the other three major business segments will continue under Thomas Cook.
- Cash deployment priorities include debt reduction, followed by potential acquisitions aligned with the existing business and possible shareholder returns.

TIPCO Engineering Ltd

Outlook: TIPCO Engineering is poised for a transformative scaling phase, targeting 30-40% annual standalone revenue growth, with peak capacity projected to exceed INR 5-6 bn across its Sonipat and Pune facilities. The upcoming Pune plant, backed by IPO and preferential issue funds, will expand capacity 3-4x, feature a dedicated Experience Centre and drive margin expansion through specialised high-margin products such as planetary mixers, pharmaceutical equipment, cosmetic machinery and EV battery slurry systems, with full operational scale expected by Q2FY27-Q3FY27. Near-term growth is underpinned by a fully utilised Sonipat plant, a client base diversified across 17-18 industries, a strong order pipeline across paints, construction chemicals, food, defence, semiconductors and pharmaceuticals, and the Lexamix partnership, which unlocks global markets by combining German technology with cost-effective Indian manufacturing. With future capital needs to be debt-funded, state subsidies from FY27, tangible assets and a clear competitive edge over European imports on lead times and pricing, TIPCO is well-positioned to sustain momentum, although macroeconomic slowdowns, export trade halts and reduced customer R&D capex remain key risks to monitor.

Revenue and Growth Guidance

- TIPCO Engineering targets standalone revenue growth of at least 30-40% a year, with the current base marking the start of a broader scaling phase. Peak revenue capacity across the Sonipat plant and the upcoming Pune facility is projected to exceed INR 5-6 bn. The company has grown from a base turnover of INR 5 mn under Chairman and Managing Director Ritesh Sharma.

Revenue Mix and Margins

- Operating leverage has played out in recent quarters, and management expects margin expansion as higher-margin specialised products scale up and production volumes increase. Initial gross margins for specialised products will remain stable or slightly higher, while regular batch production in Pune will enhance overall profitability. Standard catalogue models account for ~70% of orders and customised machinery for 30%.

Capex and Capacity Expansion

- TIPCO is developing a world-class 5-10 acre facility in Pune using funds raised from its recent IPO and preferential issue. The Pune facility will expand overall production capacity 3-4x over current levels once fully operational. The Experience Centre and assembly unit were expected to be functional in Q4FY26, with major factory operations commencing in Q1FY27-Q2FY27 and full operational scale by Q2FY27-Q3FY27.

Order Book and Dynamics

- Orders under INR 5 mn take ~1 month to finalise, standard machinery orders of ~INR 10 mn require 2-3 months for client decision-making, and large turnkey projects exceeding INR 200 mn involve a six-month cycle of evaluation, RFQ, technical comparison and trial runs. Standard catalogue models can be produced in 1-2 months, while customised machinery requires additional design and delivery time. TIPCO is receiving active order enquiries from major corporate brands but is currently constrained by production capacity at its Sonipat plant.

Core Processes and Technical Capabilities

- TIPCO specialises in basic engineering design and manufacturing across four core process verticals: mixing, milling, homogenising and chemical reactions. Its machinery handles a wide spectrum of processes, spanning low to high viscosity and low to high temperature requirements. The company has evolved from a simple equipment supplier into an end-to-end turnkey solution provider, now executing single turnkey projects worth up to INR 800 mn out of client equipment capex budgets of INR 2 bn.

Fabrication and Manufacturing

- TIPCO keeps 90% of its fabrication and machining in-house, ensuring strict quality control and precision engineering. The existing Sonipat facility operates on a half-acre footprint with a monthly capacity of 50-60 machines; it is running at close to 100% utilisation with a full order book, handling general mixing machinery and standard projects, primarily serving North India.

Pune Plant and Specialised Focus

- The Pune facility will feature a dedicated Experience Centre allowing clients to conduct R&D, product trials and slurry test runs before placing orders. The site will focus on specialised, high-margin machinery such as planetary mixers, pharmaceutical equipment, cosmetic machinery and EV battery slurry systems.

Clients and Industrial Segments

- TIPCO caters to 17-18 distinct industries, reducing reliance on any single sector. Paints and coatings have historically been the primary volume driver, with clients including Indigo Paints, JK Maxx Paints, UltraTech Cement, Sirca Paints, Nerolac and, more recently, Asian Paints. Construction chemical clients include Mapei, Norm Force, Rock and Sika. In food and consumer products, TIPCO equipment processes colour dispersions for brands such as Maggi and Pepsi, and the company is executing a complete chocolate plant project. In EV batteries and energy storage, TIPCO provides end-to-end processing machinery for lithium-ion and solid-state battery slurry preparation. In defence and aerospace, TIPCO has partnered with ARCI for three years on rocket fuel dispersion R&D and has secured DRDO and HML approvals for nitrocellulose nano-dispersion equipment used in missile fuse factories, with five to seven additional defence products undergoing trials. In pharmaceuticals, cosmetics and semiconductors, TIPCO supplies laboratory equipment to MK Ligitt and collaborates with Tata Semiconductors through Hanotech on critical wastewater pumping set-ups.

Partnerships and International Footprint

- In April 2026, TIPCO tied up with German inventor Alex of Lexamix, who holds multiple global patents for advanced cosmetic and pharmaceutical machinery. TIPCO holds manufacturing and marketing rights across India, the UAE, South America and Africa. In exchange for access to Lexamix technology, patents and customer brand recognition, TIPCO pays a 2% royalty on sales of Lexamix products. The strategy centres on combining German technology and product design with cost-effective Indian manufacturing and aggressive global marketing. International acceptance was validated in January 2026 with the delivery of a construction chemicals project in Austria, with NATO and Switzerland exposure.

Joint Ventures and Subsidiaries

- Chairman and Managing Director Ritesh Sharma holds a 50% stake in two sister concerns that are being evaluated for a merger into TIPCO to unify engineering operations. Ranks operates as an export-focused unit similar to Uniparts, manufacturing heavy machinery spare parts for JCB, Bull, Caterpillar and ACE, as well as railway components. Hanotech focuses on specialised pumping and filtration systems across viscosity ranges and is currently finalising a critical wastewater pumping order with Tata Semiconductors. TIPCO Defence & Robotics is a recently incorporated subsidiary set up to handle specialised defence fabrication and robotics orders.

Capital Structure, Subsidies, and Working Capital

- Following its IPO and preferential issue, management intends to meet future capital requirements through debt rather than further equity dilution. The chosen location for the Pune plant qualifies for state government industrial incentives and subsidies from FY27. Unallocated capital from recent fundraising is being directed towards building working capital inventory to accelerate execution and generate faster returns. All business assets and inventory are tangible.

Competitive Advantage and European Imports

- European competitors such as Bühler, VMA-Getzmann and Netzsch have delivery lead times of 6-14 months for precision dispersion equipment, whereas TIPCO delivers regular production machinery in 1-2 months. TIPCO offers equivalent product performance, reliability and precision dispersion at lower prices, backed by superior local technical service and immediate spare parts availability.

Trident Lifeline Ltd

Outlook: Trident Lifeline highlighted its transition from an asset-light pharma export and registration-led model toward an integrated formulation and medical-device manufacturing platform. The company is focusing on expanding registrations, increasing penetration in regulated markets, improving capacity utilisation and leveraging operating leverage. Management targets 3x top-line growth over the next 3 years from existing capacities, with utilisation expected to increase from the current 40-45% to 80%.

Financial Performance

The company has grown its top line from INR 220 mn to INR 1,290 mn over the last 5 years. FY26 consolidated PAT margin stood at 15%, while consolidated EBITDA margin was 21-22%. Standalone PAT margin was 17-18% and EBITDA margin was 25%. Management expects EBITDA margins to remain at 22% or expand further through operating leverage, while PAT margins are expected to improve. Gross margins are targeted at 30-40%.

Pharma Formulations & Capacity

The company manufactures tablets, capsules, dry powders, liquids and ointments across its formulation facilities, with a WHO-GMP plant supporting operations. Consolidated capacity utilisation currently stands at 40-45%, providing significant headroom for growth without immediate capacity expansion. Management believes existing capacities can support demand for the next 3-4 years and plans to increase utilisation toward 80%.

Injectables

TLL Parenterals is implementing an injectable facility with INR 400 mn of capex, funded through bank debt and promoter contribution. Commercial operations are expected to commence in October 2026. Initially, the facility will focus on domestic contract manufacturing while stability testing and three-batch validation are completed for export registrations. Management expects the plant to achieve break-even in FY27, with full export ramp-up targeted by 2029. The facility is designed to EU standards.

Registration Portfolio

Trident Lifeline has 3,625 domestic registrations and 1,100+ molecules registered globally, with another 2,534 products currently under registration across different countries and segments. The company adds 300-400 molecules annually, while registration timelines typically range from 6-36 months. More than 350 molecules have associated IP rights. Management views the registration portfolio and continuous addition of molecules as a key entry barrier and growth driver.

Geographic Expansion

The company operates across 46 countries, currently supplying to 20 countries while registrations are ongoing in another 25-26 markets. Africa contributes 50-60% of revenue and Latin America 30%, with the balance coming from CIS and East Asian markets. The company is increasingly targeting semi-regulated and regulated markets such as Peru, Trinidad & Tobago and Panama, where BA/BE studies and clinical trials can support entry into higher-margin markets.

Medical Devices

Trident Medquip manufactures IV cannulas, infusion giving sets, safety cannulas, blood giving sets and extension sets. The business has global approvals including EU approval and MDSAP certification. Current margins are 10-15%, primarily due to exposure to African markets. Management expects margins to improve as the company expands into the US, Europe, Germany and Brazil. FY27 growth is expected at a minimum of 50% YoY.

R&D, Regulatory & Market Expansion

The company has 40+ regulatory professionals and is increasingly focusing on BA/BE studies and clinical trials for off-patent molecules. The regulatory team tracks molecules expected to go off-patent over the next 3-5 years to secure an early-mover advantage. The company also has in-house R&D and F&D capabilities. Its international sales and marketing team comprises 12-15 people, with 8-9 personnel regularly travelling globally, supported by 100+ distributors.

Domestic & Export Business

Exports account for 70% of total business, comprising 50% direct exports and 20% merchant exports, while domestic business contributes 30%. Domestic revenues are primarily derived from tender and private-hospital business executed for third parties. The company does not currently operate a domestic retail pharma brand and has utilised surplus manufacturing capacity for tender orders to improve operating leverage.

Working Capital

Receivable days increased temporarily in FY26 due to geopolitical and global disruptions and Q4 domestic tender execution. Management expects receivable days to normalise to 100-120 days as collections improve. Inventory days are 60 days, with a production cycle of 45 days.

Cosmetics & Wellness

The wellness subsidiary has a portfolio of 21 products planned for launch around October. TL Elements has launched its "Yes" cosmetics and dermatology brand, with 5 products already available on Flipkart, Amazon and Myntra and 9 additional products being added. More than 13 cosmetic products have been approved for Latin American exports. Management expects cosmetics and wellness to offer attractive long-term margins.

Long-Term Expansion

The company has acquired 50,000 sq metres of land to develop a pharma complex comprising 5-6 manufacturing units over the next 5-6 years. The complex will focus exclusively on formulations rather than APIs. The first planned facility is a cephalosporin unit covering tablets, dry powders and injectable vials, targeted for commissioning within 18-24 months, followed by oncology, ARV and serum facilities.

Key Growth Drivers & Risks

Growth is expected to be driven by increasing product registrations, deeper penetration with existing distributors, movement into regulated markets, higher manufacturing utilisation and commercialisation of the injectable facility. Key monitorables include high geographic concentration in Africa, receivable days of 100-120 days, regulatory timelines, execution of new facilities, export ramp-up of injectables and the ability to sustain margins while scaling.

Trishakti Industries Ltd**Strong Growth Momentum & Robust Revenue Visibility**

- Trishakti Industries has undergone a significant transformation into a focused infrastructure equipment rental platform, with its fleet scaling from 8 machines in FY24 to 143 machines in FY26 and expected to cross 200 machines shortly. FY26 revenue stood at ~INR 280 mn, while Q1FY27 revenue reached ~INR 145 mn with EBITDA of ~INR 110 mn. Management has INR 700-720 mn of executable revenue visibility for FY27, supported by signed contracts, while strong infrastructure and industrial capex is driving robust demand.

Aggressive Capex Backed by Strong Demand & High Utilisation

- The company is pursuing a cumulative INR 4,000 mn capex programme, of which ~INR 2,700 mn had been deployed by Q1FY27. The recently announced INR 1,050 mn order for 60 machines is expected to take the fleet towards ~230 machines, with management indicating potential gross block of INR 4,250-5,000 mn by FY27-end depending on demand. Importantly, fleet utilisation has remained around 99-100%, allowing the company to deploy capital against identified customer demand while maintaining strong asset productivity.

High Margins with Significant Operating Leverage

- Management indicated that operating margins can remain around 60-65% under a high-utilisation environment, with utilisation being the key driver of profitability. Specialised higher-tonnage equipment can generate significantly higher margins, while scale benefits should further improve profitability as fleet utilisation remains elevated. Management indicated that margins could moderate towards ~55% only if fleet utilisation falls materially to around 80-85%.

New Growth Verticals: Wind Energy & International Expansion

- Trishakti is entering the wind energy segment with specialised 900-tonne crawler cranes, with deliveries expected to begin from H2FY27 and meaningful revenue contribution expected subsequently. The company is also progressing with expansion into the UAE and Saudi Arabia, where management sees potentially better economics, with machine payback estimated at 2-2.5 years versus 3-4 years in India. However, India remains the immediate priority given the exceptionally strong domestic demand and the capital required for overseas expansion.

Improving Cash Flow & Disciplined Balance Sheet Management

- The elevated receivables reported in FY26 were attributed largely to rapid fleet expansion and year-end billing cycles, with management expecting the debtor cycle to decline towards ~60-62 days during FY27. Despite higher leverage during the expansion phase, the company uses relatively shorter 3-4 year term loans and aims to repay around 2.5-3% of principal outstanding monthly. Management expects operating cash flow to remain positive, while future capex is intended to remain closely linked to confirmed demand and targeted returns on capital.

Uflex Ltd

Uflex delivered a strong start to FY27, with Q1FY27 consolidated revenue rising 38% YoY to INR 53,972 mn and EBITDA increasing 92% YoY to INR 9,198 mn, as EBITDA margin expanded 480 bps YoY to 17.0%, the company's highest EBITDA performance in 21 quarters. Overseas operations accounted for ~80% of incremental revenue, led by strong volume growth in Egypt, Mexico and Nigeria as customers increasingly prefer regional supply chains. Film spreads have improved meaningfully, with BOPET spreads up ~15% and BOPP spreads up 20-22% from June-July levels, while overall capacity utilisation stands at 70-75%. The 39,600 TPA Noida recycling plant and the 80 mn-unit Mexico WPP bag facility have been commissioned, and the INR 12,000 mn Egypt aseptic packaging project is expected to commence commercial production in H2FY27. Management has guided for 30-35% YoY growth in both revenue and EBITDA in FY27, while net debt-to-EBITDA has improved to ~3.5x and is targeted at ~3x by FY28. The key factors to monitor are the sustainability of film spreads, overseas volume growth, the Egypt aseptic ramp-up, utilisation levels and the pace of deleveraging.

Q1FY27 Performance

- Consolidated revenue grew 38% YoY to INR 53,972 mn.
- EBITDA increased 92% YoY to INR 9,198 mn, with EBITDA margin expanding 480 bps YoY to 17.0%.
- This marks the company's highest EBITDA performance in 21 quarters.
- The performance was supported by stronger realisations, operating leverage, overseas growth and favourable currency movements.

Overseas Operations

- Overseas operations accounted for around 80% of incremental Q1FY27 revenue.
- Egypt, Mexico and Nigeria delivered strong volume growth, supported by localised sourcing.
- Customers increasingly prefer regional supply chains amid global trade and logistics disruptions.
- The geographically diversified manufacturing footprint enables the company to service customers locally and reduces dependence on cross-border shipments.

Film Spreads & Capacity Utilisation

- BOPET spreads have improved by around 15%, while BOPP spreads have improved by 20-22% from June-July levels.
- Overall capacity utilisation stands at around 70-75%.
- US and Hungary operations are running at full utilisation, while India is operating above 75%.
- Improving spreads and higher utilisation could provide further operating leverage as demand strengthens.

New Capacities & Aseptic Packaging

- The 39,600 TPA Noida recycling plant has been commissioned.
- The 80 mn-unit Mexico WPP bag facility has also been commissioned.
- The INR 12,000 mn Egypt aseptic packaging project is expected to commence commercial production in H2FY27.
- Management expects Egypt utilisation to ramp up from 30-35% in the first year to ~70% in the second year and 100% by the third year.

FY27 Growth Guidance

- Management has guided for 30-35% YoY growth in both revenue and EBITDA in FY27.
- Growth is expected to be driven by improving film spreads, higher realisations and overseas operations.
- The ramp-up of recently commissioned capacities and the Egypt aseptic facility in H2FY27 should provide additional support.

Balance Sheet & Recycling

- Net debt-to-EBITDA improved to around 3.5x in Q1FY27 from 4.3-4.5x in FY26.
- Management is targeting ~3x by FY28 and below 3x by FY29 as capex intensity moderates.
- Expansion of recycling facilities across India and overseas markets positions the company to benefit from rising recycled-content requirements.
- The pace of deleveraging alongside the Egypt aseptic ramp-up will remain a key monitorable.

UGRO Capital Ltd

Emerging Market Lab (Secured Micro SME)

- The business has 318 branches across 13 states (none in Eastern India; Tamil Nadu is the largest, with 56 branches), of which ~200 were added in the last two years.
- It targets micro SMEs with turnover below INR 30 mn, offering secured-only loans of INR 0.75-5 mn at an 18-18.5% yield with a ~10-year tenure. AUM is ~INR 40 bn, with GNPA of 2.1%.
- Each branch has 5-6 sales staff, one credit officer, one operations officer, one branch manager and one collections officer. Direct sourcing in Tier 3-5 towns keeps pre-closure and foreclosure rates low.
- Productivity is ~INR 8 mn per branch per month (industry benchmark: INR 7-8 mn), against a target of INR 10 mn. Many branches opened last year are yet to complete 12 months, a key productivity milestone.
- Monthly disbursements are stabilising at INR 2.4-2.5 bn, with an exit run-rate target of INR 2.8-3 bn per month.
- No further branch additions are planned for the next two years; the focus is entirely on productivity improvement and AUM monetisation.

Embedded Merchant Finance (GrowX Technologies)

- This 100% subsidiary was acquired ~2 years ago. Its technology platform is embedded in PhonePe, Paytm and BharatPe, and now in e-commerce platforms such as Meesho.
- The product is QR code-based lending to small retailers, with a ticket size of ~INR 0.1 mn, a one-year tenure and daily repayment.
- AUM is ~INR 30 bn. The business crossed 400,000 customers in September (up from 350,000+ in June) and is adding 60,000-70,000 customers a month. About 50% of PhonePe disbursements go through UGRO.
- It disburses INR 7-8 bn a month, but INR 5-6 bn comes back as daily repayments, so the business generates high income but is not a major AUM builder. The AUM target is INR 45 bn.
- GNPA is 2.1% and is expected to stabilise at ~2.5%. Unit economics comprise a 30-36% customer yield, a 10% payout to the originator and a 5-6% credit cost reserve, leaving a clean ROA of ~4%.

Strategic Realignment & Financials

- UGRO discontinued its DSA-led prime business (customers with turnover of INR 30-150 mn) due to high pre-closure rates, as customers were being refinanced at 9.5% after one year versus UGRO's 13.5%.
- UGRO tactically acquired Profectus Capital (one-fourth of UGRO's size, in a similar segment). It cut ~INR 1.2 bn of opex at Profectus and INR 800 mn by winding down the prime vertical, for total opex savings of ~INR 2 bn.
- **Q1FY27:** Total AUM of INR 150 bn, gross disbursements of INR 25 bn, PBT of INR 610 mn, GNPA of 2.6% and ROA of 2.6%. The cost of borrowing is declining but needs to fall faster.
- The focus portfolio is 46% of the total book (up from 32%), with a target of 85% by FY29. A yield improvement of 100-120 bps is expected as the mix shifts.
- Co-lending income was 24% of total income last year, with a target of below 5% by FY29. This will make earnings more annuity- and cash-based and reduce volatility.

Liability & Ratings

- Borrowings come from 65+ active lenders: 45% from bank loans, with a large DFI/FI and capital market component. By instrument, 50% is term loans and the rest ECBs and NCDs.
- UGRO is rated A+ with a positive outlook and expects an upgrade next year, which would reduce its cost of borrowing. The ECB mix is increasing (five-year tenure versus three years for domestic borrowing) to improve ALM, and ECBs are 100% hedged.
- No equity raise is needed for 2-3 years, as profit accretion is sufficient for expansion plans.

Shareholder & Other Updates

- The largest shareholder is IFU (Danish government, 15.5%). The original PE backers are Samena Capital (~12%), ADV Partners (~12%) and TPG NewQuest (~9%). The TPG fund has reached the end of its life and is selling, while ADV has taken an extension.
- There is no impact from the RBI's proposed revolving credit rules, as UGRO offers only term loans, and minimal impact from the IRDAI commission cap regulation, as insurance is an attached product with a low share of income.
- Branch breakeven requires AUM of INR 50 mn, with opex of ~INR 0.4 mn per month; ~50% of branches are already profitable, and the rest are expected to break even this year.

Guidance

- The ROA target is 3-3.5% (from 2-2.5% currently). The focus portfolio is expected to reach 85% of AUM by FY29, with a 25-30% CAGR, and GNPA is expected at ~3% in steady state.
- AUM may be broadly flat this year as the low-yield book runs down, but the focus verticals will grow materially. No equity raise is planned for 2-3 years.

Ujjivan Small Finance Bank Ltd

Ujjivan SFB has entered FY27 on a strong footing, with record PPOP, normalised asset quality across microbanking and its newer secured verticals, and margins sustained at 8.5% over the last two quarters. The bank reiterated FY27 guidance of ~25% growth, a 56% secured mix by year-end and ROA of 1.8-1.9%, while flagging the IRDAI insurance distribution draft as the principal overhang, which it is working to mitigate, assuming an implementation date of 1 April 2027.

Growth and Book Mix

- Growth is coming from all segments, secured and unsecured; microbanking has shown good trends for four quarters, and the secured verticals built over the last 3-4 years are performing without capacity constraints.
- Q1 showed 29% YoY growth, helped by a low microbanking base; H1 benefits from the base effect before growth settles towards 25%, with possible upside of a couple of percentage points if conditions hold.
- The secured mix is guided to reach 56% by the end of FY27 and is on track, given the sequential product growth seen in Q1.

Margins, Rates and Funding

- NIM was sustained at 8.5% across the FY26 exit quarter and Q1FY27; the floating book is ~18% of assets, with the housing product fixed for the first 39 months. The treasury expects a 25 bps rate action on 8 October.
- Q1 looks like the trough in cost of funds; some favourable repricing was captured in Q2, and the June rate hikes have flowed through without meaningful impact. Cost of funds in H2 is expected to be within 5-10 bps of Q1.
- In the prior hiking cycle, NIM moved from 8.8% (FY22) to 9.8% (FY23), then 9.1% (FY24) and 8.8% (FY25), with the sharpest compression of ~70 bps in FY24, partly reflecting the diversification journey.

Affordable Housing

- The bank is comfortable holding yields in the near term despite larger banks entering, growing the book at the bank's trend level of 25-26% while other secured products grow faster.
- Around 16-20% of customers are balance-transferred in; dedicated retention teams keep balance transfers out below the industry level. The product runs through 560-580 branches, with the top 10 cities accounting for under 25-30% of disbursements, and roughly one-third is sourced internally, with low DSA dependence.

Asset Quality and Newer Verticals

- There has been no change in high-frequency metrics between Q1 and Q2; Q1 credit cost was at the lower end of the guided range and looks set to hold. Collection efficiency held through April-June, with only localised rainfall pockets.
- Newer secured products (gold, agri, vehicle and micro mortgage) are tracking within priced static pool curves but have not yet broken even at the bottom line; most higher-yielding products are self-sourced for quality control, with contribution expected once each product reaches AUM of INR 15-25 bn.
- The new MSME book carries a credit cost of 0.6%; affordable housing and micro mortgages are already profitable at the operating level and, in a small way, at the bottom line.

Insurance Overhang and Management

- Credit life was ~55% of FY26 insurance income; FY26 insurance income was ~INR 1.75 bn, out of roughly INR 11 bn of other income (~15%). The bank plans to reduce this dependence and will use pricing, processing fees and product redesign to mitigate the impact, working with insurers and collectively approaching IRDAI.
- The only recent top management change is the early exit of the MD and CEO on health grounds; no other senior exits have been reported to the exchanges. A capital raise is planned for H2FY27, with CRAR at 20.4% as of Q1.

Guidance & View

The bank reaffirmed FY27 guidance of ~25% growth, a 56% secured mix at year-end and ROA of 1.8-1.9%, with a base case that the IRDAI insurance draft is implemented from 1 April 2027 and so does not dent the current year; a January implementation would be the bear case. The capital raise is slated for H2FY27.

Execution risk looks contained given normalised microbanking, record PPOP and industry-leading asset quality, but insurance distribution economics remain the key uncertainty into FY28, and the quantum of mitigation is not yet knowable. The spread across geographies and the self-sourced, higher-yield mix lend durability to the ROA band.

UniHealth Hospitals Ltd

Outlook: UniHealth Hospitals is pursuing a dual-market healthcare strategy across India and East Africa, with hospitals and medical centres as the core growth engine, supported by healthcare consultancy, pharmaceutical and medical consumable exports and distribution, and Medical Value Travel (MVT). The company currently has 400 commissioned beds across India and Uganda and is targeting 1,000 commissioned beds by CY28. Management expects growth to be driven by occupancy ramp-up at Navi Mumbai and Nashik, the planned Pune expansion, further East Africa expansion and potential hospital O&M and acquisition opportunities.

Current Bed Capacity & Occupancy

The company has 400 commissioned beds, comprising 150 beds in Uganda, 50 beds in Navi Mumbai and 200 beds in Nashik. Uganda is the mature market with occupancy of 68-72%. Navi Mumbai, which had a soft launch in October 2025 and full services from February 2026, has ramped occupancy from 15-16% initially to 35-40% currently. Management expects Navi Mumbai to cross 50% occupancy over the next couple of months as insurance empanelments are completed. Nashik commenced operations on 1 September 2026, initially with OPD and diagnostics, followed by in-patient services, with meaningful occupancy ramp-up expected from November 2026.

India Expansion

The company is building a healthcare network across Maharashtra, with Mumbai/Navi Mumbai, Nashik and Pune forming its strategic "Golden Triangle". Pune is the next planned addition, with 125 beds expected to be added, taking commissioned capacity beyond 500 beds. The company is also evaluating an operational or management takeover or collaboration with an existing Pune hospital, which could potentially accelerate revenue contribution. Following Pune, the company plans to expand further in Mumbai.

East Africa Expansion

East Africa remains an important high-margin market, with management targeting an increase in capacity from the current 150 beds to 450 beds. Expansion is planned across Tanzania and potentially Kenya by CY28. The company had earlier targeted a 100-bed hospital acquisition in Tanzania; however, the transaction has been deferred pending statutory, taxation and bureaucratic approvals, as the target hospital is operated under a trust. Commercial terms have reportedly been agreed, with revenue contribution now expected to shift to the next financial year.

FY26 Guidance & Revenue Outlook

Management is targeting INR 2,000 mn of consolidated revenue for FY26, based on conservative assumptions of 40-45% consolidated occupancy across the 400 commissioned beds and ARPOB of INR 30,000-32,000 per occupied bed per day. Earlier revenue expectations were around INR 2,500 mn, with the revision primarily reflecting the deferment of the Tanzania hospital acquisition. Navi Mumbai is expected to contribute more significantly from Q4FY26 as occupancy crosses 50%, while Nashik is expected to start contributing meaningfully from Q4FY26 and Q1FY27.

FY27-FY28 Growth Targets

By FY27, management expects commissioned capacity to exceed 500 beds, including the planned 125-bed Pune addition. Average occupancy is targeted in the mid-50% range, implying 275 occupied beds, while ARPOB is expected to increase toward INR 35,000 per day. Management expects a substantial increase in revenue as Navi Mumbai and Nashik mature and new capacity is commissioned. During FY27-FY28, another 250-350 beds are expected to be added, with the overall target of reaching 1,000 commissioned beds by CY28.

FY28 Financial Outlook

Management targets a conservative consolidated revenue of INR 3,400-3,500 mn by FY28 based on 500+ mature beds, 55-62% occupancy and ARPOB of INR 34,000-35,000 per day. This translates to 325 occupied beds at the targeted occupancy levels. Any accelerated O&M hospital takeovers or acquisitions, including the Tanzania opportunity, could provide additional revenue above this base case. Consolidated EBITDA margins are expected to remain at 30%+.

Margins & India-East Africa Mix

East Africa currently generates EBITDA margins in the early-40% range, supported by mature operations and attractive market economics. New Indian facilities are expected to initially incur setup-related operating losses before stabilising at early-to-mid 30% EBITDA margins. Management expects some moderation in consolidated percentage margins as the India business scales, but believes absolute EBITDA will increase significantly with higher capacity and occupancy.

Victoria Hospital: Share Swap

UniHealth completed a no-cash share swap to increase its ownership in Victoria Hospital Limited, which owns the real estate and 150-bed flagship hospital in Uganda. UniHealth previously held 50%, with the balance held by local partners. Effective 2 September 2026, UniHealth acquired an additional 49.81% equity by issuing fresh UniHealth shares, taking its stake to 99.81%. Victoria Hospital became debt-free in September 2025 and benefits from a corporate tax holiday until 30 June 2034. The transaction is expected to substantially reduce minority-interest deductions from PAT and allow UniHealth to capture a greater share of Uganda's profits and cash flows for further expansion.

Working Capital & Receivables

The company has been addressing elevated trade receivables, including the previously highlighted INR 1,200 mn debtor balance. Significant payments have been received from its largest debtor, the Uganda People's Defence Forces. Further quarterly payments are expected, while Uganda's Ministry of Defence is working toward reducing debtor days to 180 days. Management expects the consolidated receivables profile to improve materially as Navi Mumbai and Nashik scale up. Separately, long-outstanding receivables of INR 60 mn reported in the FY26 annual report relate primarily to consultancy and export and distribution activities rather than Uganda government receivables. Management expects a majority of these amounts to be recovered within 2-6 weeks.

Medical Value Travel (MVT)

UniHealth has established interlinked patient referral teams between Uganda and India. More than 15 international patients were treated through the MVT channel during the last 4-5 months. Management expects MVT to become a more meaningful contributor to the Indian hospital business from FY27 onwards, leveraging the company's established African patient network.

Healthcare Consultancy

The consultancy business is actively negotiating hospital setup and design projects covering 250-350 beds, with agreements expected to be concluded in Q3. The consultancy vertical operates at EBITDA margins of 55-60%, providing a high-margin, relatively asset-light revenue stream alongside the hospital business.

Pharmaceutical & Medical Consumables

Pharmaceutical and medical consumable export and distribution remains one of the company's supporting verticals. Some of the older receivables highlighted in the FY26 annual report originated from this business. The vertical complements the company's healthcare network in Africa and provides additional exposure to the region beyond hospital operations.

Sub-Specialties: IVF & Ophthalmology

The company launched an IVF centre in Uganda in January 2025, which management described as performing exceptionally well. IVF is expected to be an anchor sub-specialty incorporated from day one into new tertiary-care facilities planned in Tanzania and Kenya. In Uganda, the company is also expanding ophthalmology services covering cataract procedures, phacoemulsification and retinal surgeries, with plans to replicate these capabilities across East Africa.

Doctor Engagement Model

UniHealth follows a mixed doctor engagement model. Full-time doctors provide 24/7 coverage across six core specialties: General Medicine, General Surgery, Orthopaedics/Spine, Cardiology, Emergency and ICU. Visiting consultants are engaged under revenue-sharing arrangements, while super-specialists are typically engaged through a minimum-guarantee plus revenue-share threshold model.

Manpower & Operational Synergies

The India expansion is expected to create a larger pool of trained nursing, technical and administrative personnel. Management intends to leverage this manpower base for its East African operations, with employees potentially taking 1-3 year assignments in Africa before returning to Indian facilities within the group. The company's Mumbai roots and established local doctor networks are also expected to support expansion across Maharashtra.

Capital Structure & Fundraising

The company currently has a single term loan of INR 220 mn, raised in November 2025 for Nashik equipment. Management remains open to conservative debt for equipment purchases and asset acquisitions. Funding for the planned 600-bed expansion toward 1,000 beds is expected to come from internal accruals (particularly Uganda cash flows), bank debt and equity dilution. Management is evaluating a QIP or preferential allotment in Q3 or Q4.

Key Growth Drivers & Risks

Growth is expected to be driven by occupancy ramp-up at Navi Mumbai and Nashik, the 125-bed Pune addition, expansion across East Africa, higher ARPOB, consolidation of Victoria Hospital's earnings, MVT growth, high-margin consultancy projects and expansion of IVF and ophthalmology services. Key monitorables include the pace of occupancy ramp-up, insurance empanelments, execution of the Pune expansion, Tanzania acquisition timelines, receivable collections and debtor days, funding requirements and equity dilution, margin normalisation as India scales, and the ability to execute the 1,000-bed target by CY28.

Updater Services Ltd

Business

UDS is a ~40-year-old facilities management and business services company founded by Raghunandana Tangirala. Revenue is ~INR 32,000-33,000 mn across two segments.

Integrated Facilities Management (IFM) is about two-thirds of revenue (~INR 22,000-23,000 mn in FY27) and ~55% of EBITDA. It covers housekeeping, technical and engineering (MEP) services, production support, warehousing and catering. The catering arm, Fusion, has revenue of ~INR 1,400-1,500 mn with industry-leading margins. Washroom Hygiene Concepts (sanitary waste disposal) is a small but very high-margin business.

Business Support Services (BSS) is about one-third of revenue (INR 10,000+ mn in FY27) and ~45% of EBITDA. In sales enablement, Denave sells for global B2B tech clients such as Google, SAP and Lenovo, while Athena runs outbound sales calls for banks and NBFCs. In assurance, Matrix conducts employee background checks and supply chain audits for FMCG and food companies. Airport ground handling at 23 airports brings in ~INR 600-700 mn a year.

IFM is strongest in South India and in industrial, warehousing and infrastructure clients. UDS deliberately stays out of residential and is weak in commercial.

The promoter family owns ~60%. The board has six members, three of them independent, and Group CFO Ram Praveen joined about three months ago.

Guidance

No formal guidance was given. Q1FY27 PAT was INR 303 mn on revenue of INR 7,640 mn. Management said annualising Q1 gives PAT of ~INR 1,210 mn against a normalised FY26 base of ~INR 1,040 mn, and it hopes to beat that, without committing.

FY27 revenue growth is expected at ~10-12% in what management calls a stabilisation year, with some acceleration thereafter. Q2 results are due in 2-3 weeks and are tracking well.

EBITDA margins should improve slowly, about 50 bps at a time (for example, from 6% to 6.5% to 7%), driven by scale and a richer service mix. Double-digit margins are not expected in the near term, and pricing is not a margin lever in this industry.

Management describes UDS as a cash compounder: ~INR 4,000 mn of cash, ~INR 800-900 mn generated a year and zero debt.

Why Growth Slowed

Growth fell from ~18-20% to ~10% because of setbacks in three BSS businesses. Management says all three have now stabilised.

Avon: An incident last year led UDS to shut down the transport brokerage division entirely, so that revenue is gone.

Matrix: The IT hiring freeze hit background verification. Management sees green shoots and is diversifying away from IT clients.

Athena: Four large clients were lost to their own corporate actions rather than service issues, including Citi's sale to Axis, Standard Chartered's retail exit and ICICI Securities' merger. No further clients have been lost, and new ones are being added.

UDS avoids GCC and commercial work routed through property consultants such as JLL and CBRE, because it would act as a subcontractor on thin margins and wait 3-5 months for payment. It will try to win GCC clients directly instead.

IFM Operations

About 99.9% of contracts pass through wage increases, including minimum wage and labour code changes, to the client. Where large hikes cannot be passed on, UDS exits the contract.

The labour codes caused a one-off ~INR 50 mn charge last year for non-billable staff. Management sees the codes reinforcing three industry tailwinds: formalisation, outsourcing and consolidation.

About 95% of IFM business renews each year. An estimated 60-80% of revenue comes from clients served for more than five years, and some for decades.

Contracts lost to rivals' unrealistically low bids often come back within a year.

IFM working capital is ~70-72 days.

UDS adds ~100 new clients every half year across its businesses.

The strategy is to raise the share of technical services (MEP), engineering, production support and warehousing, and to reduce reliance on housekeeping, where competition is intense. Examples include running terminal technical services at Delhi and Goa airports.

Management counts only 6-8 large players in the industry (revenue of ~INR 15-20 bn and above) and expects few new entrants at that scale.

BSS Details

Athena: It handles only outbound sales calls and offers four AI-based services. AI is used to improve conversations and conversion, and an agentic AI pilot on inbound calls is going well. Management says banks will not yet allow AI to speak to their customers directly.

Airports: Q1 revenue was ~INR 150 mn. UDS will stay at its current 23 airports and avoid capital-heavy large airports such as Mumbai and Delhi. Growth depends on the number of flights, which has fallen because higher fuel prices from the West Asia conflict cut airline schedules. The business is expected to turn profitable this year now that the investment period is over. Talks with IndiGo on taking over its self-handling are progressing.

Management said BSS will continue to prioritise margins over revenue growth, helped by cost actions and internal AI adoption.

Capital Allocation and M&A

UDS paid its first dividend to signal steady cash generation. It plans to split capital across shareholder returns (dividends or buybacks, at the board's discretion), acquisitions and organic capability building.

Acquisition Criteria: Targets must add to growth, EBITDA margin and ROCE. Target size is generally above ~INR 1 bn of revenue; deals of INR 200-300 mn are avoided unless highly strategic and profitable. UDS will not pay rich multiples or buy distressed companies.

UDS has made three large and ~5 small acquisitions so far. It is in talks with some targets to strengthen its three platforms (IFM, sales enablement and assurance), with nothing to announce yet.

Organically, it is building capability for GCCs, data centres and the green economy, and expanding higher-margin technical services. Receivables older than 6 months are ~INR 430 mn (against ~INR 5,900 mn under 6 months). These come mainly from 2-3 government or quasi-government contracts, and expected credit losses are fully provided. Government exposure has been deliberately reduced.

Other

SIS has bought a ~10% stake. Management says it has had no contact from SIS, sees no hostile takeover risk given the ~60% promoter holding, and has taken no corporate action in response.

Vaibhav Global Ltd**Business**

- Vaibhav Global is an electronic retailer of fashion jewellery and lifestyle products selling through TV and digital channels in the US, UK and Germany, under brands including Shop LC. It has ~40 years of experience in jewellery manufacturing and sourcing, and also owns Ideal World and Mindful Souls in the UK.
- FY26 revenue grew ~13%, or more than 10% excluding one-off duty refunds, with better profitability. Management said this was in line with its guidance.
- Digital is ~46% of revenue and in-house brands ~58%. Lab-grown diamond (LGD) jewellery is more than 13% of revenue, and lifestyle categories (beauty, apparel and other fashion) ~40%.
- All diamonds sold are certified, which management uses as a selling point to build customer confidence.
- Customer retention was ~38-39% in FY26 and is falling as the digital share rises, because TV customers are more loyal than digital ones. Retention among customers with 20+ purchases is ~80%.

Guidance

- FY27 revenue growth is guided at 9-11% with EBITDA margin improvement, and management reaffirmed this on the call.
- Digital is expected to exceed 50% of FY27 revenue, and in-house brands to exceed 60%.
- Lifestyle categories are targeted at ~50% of revenue over the medium to long term.
- Management expects ~10% constant-currency growth next year, as digital growth of ~17-19% offsets roughly flat TV sales (~1% across the US, UK and Germany).
- Germany is growing ~8-10% in local currency and should return to double digits once the benefits of the digital platform migration come through.

Digital and Technology

- The company moved all six brands from Salesforce Commerce Cloud to Shopify, a platform built for direct-to-consumer brands with more plug-and-play features. There were a couple of months of teething problems, and digital share has been rising again since August-September.
- The migration cost less than USD 1 mn for all six brands, against ~USD 2 mn for the US website migration alone in 2022. Management credits AI-assisted coding for the lower cost and minimal disruption.
- AI is also lifting productivity in campaign optimisation across Meta, email, push notifications, apps and OTT. Technology costs are falling because most AI tools need only subscriptions.
- Digital sales grew at a ~12% CAGR in local currency over the last 4 years with little paid marketing. Paid spend on Meta and TikTok is now being stepped up, and management cited pure D2C jewellery retailers in the US growing 30-40% through these channels.

Platforms and Categories

- TV is slowing because of US cord-cutting and because viewers are moving to livestreams on the company's website and apps. Web growth is offsetting the TV decline.
- LGD demand remains solid on both TV and Meta. The range is expanding into fast fashion at USD 50-100 price points, from engagement rings to daily-wear earrings.
- Natural diamonds and some coloured gemstones are slowing, while opal and tanzanite are seeing traction.
- The company is launching supplements this year, including protein products aimed at customers on GLP-1 drugs, alongside beauty products for its core audience of women.

Geographies

- **UK:** The UK is profitable on a standalone basis. Margins dipped because the company is paying double leases from March to December 2026 while consolidating four buildings into one, and management expects profitability to improve after December.
- **Germany:** A regulatory change cut Vodafone's cable base from 13 mn to 9 mn households, because tenants now need individual connections, which hurt TV sales last year. Growth has since returned, and Germany has just broken even. Management noted that an established peer generates ~USD 2 bn of revenue in Germany with a similar audience.
- **New markets:** No new countries will be added until Germany's past losses are recovered and existing markets are more stable.

Capital Allocation

- Management sees acquisition opportunities in the US but is focusing on organic digital growth first. It said earlier acquisitions had partly diverted focus from organic growth.
- The company will keep ~USD 50 mn as a cushion against tariff and AI-related uncertainty before considering buybacks or acquisitions.
- Inventory runs at ~200-220 days, which management says is needed for its channels and production and expects to stay at that level.

Vibhor Steel Tubes Ltd**Business**

- The company started in 2003 in Raigad, Maharashtra, with ERW black and galvanised steel pipes. The first unit had one tube mill and 1,000 tonnes per month of capacity.
- The MD joined full time around 2006-07 and scaled the business with Jindal Pipe as the anchor partner. Maharashtra pipe sizes grew from ½"-4" to ½"-8", capacity rose to ~10,000 tonnes per month, and volumes reached 7,000-8,000 tonnes per month around 2010.
- A second plant in Telangana, of similar capacity, was profitable from day one. Pipe sizes there went from ½"-12" to ½"-14". Highway crash barriers were added there about 4 years ago, with steady sales since.
- The third plant at Jharsuguda, Odisha, started operations last October. It makes pipes (up to 10"), crash barriers, transmission line towers (TLT) and octagonal and high-mast poles. The company recently received its first monopole certificate (132 kV, CPRI).
- A fourth plant is being set up at Hisar, Haryana. It will start with crash barriers and then add other products. Construction companies are already enquiring.
- Management says the company is now recognised as an infra supplier and contractors have started approaching it.

Jindal Pipe Arrangement

- This is a contract manufacturing arrangement in place since 2003-04. Jindal passes on dealer enquiries, the company bills Jindal, and Jindal bills its dealers.
- It is the sole supplier to Jindal in Maharashtra, Telangana, and Odisha and the Northeast. Jindal has a similar arrangement with only one other manufacturer (in Bangalore). In the North, Jindal manufactures itself at Ghaziabad.
- Jindal contributes ~80% of revenue. The arrangement means no distribution or marketing budget, no salesmen and no debtor chasing.
- Management sees the dependence as mutual. The newer products are small in turnover today but carry better margins.
- The company also has its own distribution in Europe and Australia. Indian enquiries are routed through Jindal, and management could sell directly if needed.
- If Jindal offtake ever fell, management would fall back on exports, end-user and firefighting-contractor enquiries, or on other galvanised products (e.g., a 1,000-tonne RSJ order currently deferred). Some export enquiries are being turned down to keep the regular dealers supplied.

Financials and Margins

- Q1 revenue was INR 2.93 bn versus INR 2.3 bn last year. Management attributes the growth mainly to Jharsuguda and says it was volume-led, with steel prices having little effect in Q1.
- EBITDA margin has stayed at ~4% for years.
- Management attributes the margin gap to peers to two factors: higher depreciation from Jharsuguda, and peers already having a richer product mix (hollow sections, crash barrier, TLT).
- The near-term priority is customer acquisition in the Northeast and turnover. Margins on new business are ~3-4% and kept above zero, with incentives given to win customers.
- Steel prices are on an upward trend, so inventory gains should support margins for the rest of the year. Management calls this cyclical and does not count on it.
- EBITDA should improve as the newer products contribute, while pipe and crash barrier margins stay constant. Management expects stability in about 2 years.
- Interest cost has stayed at ~INR 140-160 mn over FY19-FY26. Management says no large term loan was taken for Telangana and the working-capital cycle has been steady. Interest cost should rise slightly with the new plant's term loan.
- No credit is given on the new products (payment before dispatch), so debtor days are near zero. Working capital could improve as the mix shifts.
- Inventory is kept at no more than 1.5x sales when the market is strong, and at about 1x when it is weak. Management suggests tracking turnover, debtor days, inventory days and the working-capital cycle.

Product-Wise Status

- Telangana sells ~6,000-7,000 tonnes (of which 1,000-1,500 tonnes is crash barrier, the rest pipe), stable QoQ.
- Jharsuguda's order book is:
 - Pipe: ~1,500-2,000 tonnes.
 - Crash barrier: 1,000-1,200 tonnes.
 - TLT: a 1,500-tonne order.
 - Poles: ~300 tonnes, which it cannot yet produce for lack of galvanising capacity.
- Poles have had an order book of 200-300 tonnes for 3 months against ~100 tonnes of capacity. New machines have arrived and some are being modified. The target is to meet ~300 tonnes within this financial year.
- TLT sales are 150-200 tonnes now, from state electricity orders. Power Grid orders are expected in Q3, or Q4 at the latest, with a few documents pending that could clear in October-November. This could lift TLT volumes above 1,000 tonnes, about 5x.
- State TLT orders carry lower margins. Management expects Power Grid and large EPC players (Adani, L&T, Bajaj, Tata Projects) to bring better margins and repeat orders.
- The current order of priority is pipe dealers, then crash barrier, then TLT, then poles. TLT is expected to become the top priority once Power Grid orders flow.

- Jharsuguda's product mix could move towards ~50% non-pipe, though pipe will likely remain the largest because of the 20-year pipe franchise.

Capacity and Capex

- Galvanising is the bottleneck, so utilisation is judged on galvanising tanks rather than machines.
- Maharashtra (2 tanks, ~5,000 tonnes per month) and Telangana (2 tanks, ~3,500 tonnes per month, with one for pipe and one for crash barrier) are at maximum levels.
- Jharsuguda utilisation is ~25-30% (the MD called it "quite low"). A second galvanising tank has been commissioned, with production started and a revenue impact from October.
- The first target is ~3,000 tonnes per month from the two Jharsuguda tanks within this financial year, hopefully in Q3.
- A third tank is likely next year, after watching how the two perform. Management indicated ~3,500 tonnes per month at the next milestone and ~5,000 tonnes per month after the third tank.
- Capex is being added cautiously and only when orders are visible.

Growth Outlook

- Each plant has added ~INR 5 bn of turnover historically: INR 5 bn (Maharashtra), INR 10 bn (with Telangana), INR 15 bn (with Jharsuguda) and ~INR 20 bn (with Hisar). Turnover could exceed INR 20 bn if the new products deliver. Management said this is a trend rather than guidance.
- Becoming an EPC contractor for TLT and monopolies is a longer-term option and not being pursued now.

Peers

- Management says APL Apollo (hollow sections) is not a like-for-like peer, since Vibhor's presence in hollow sections is almost zero.
- Closer peers named are Goodluck, Hi-Tech and Rama Pipe.

Vikran Engineering Ltd

Outlook: Vikran Engineering has strong near-term visibility, with an order book of ~INR 65 bn, FY26 standalone revenue guidance of ~INR 22-25 bn and margins sustained at ~14-17%. The NOPL Solar acquisition is the key value driver, adding 969 MW with ~INR 5.25-5.5 bn of annual revenue at an ~88-90% EBITDA margin and ~INR 1.3-1.4 bn of annual post-tax free cash flow, with most commissioning expected in FY26 and completion before June 2027. The asset-light, agile model supports diversification into solar, data centres and battery energy storage, while overseas forays through the UAE target ~15-20% margins. Execution remains largely on track, with ~90% of land tied up and panel prices secured, although receivables and the pending NTPC land parcel warrant monitoring. Overall, the outlook is positive, with ~20-25% growth targeted and revenue of INR 30 bn seen as comfortably achievable by FY28.

Business Profile and Positioning

Vikran Engineering is an asset-light EPC player operating across power transmission and distribution, substations, solar EPC and development, water infrastructure (including Jal Jeevan Mission, groundwater and surface water extraction, treatment plants, sewage treatment plants and pipeline laying) and overhead electrification for Indian Railways. The company has executed projects in tough terrain across Arunachal Pradesh, Kashmir, Rajasthan, Tamil Nadu, Kerala and Naxal-affected belts of Madhya Pradesh, Jharkhand and Bihar. It has worked across ~22 states, maintains ~4,000 registered vendors and contractors on SAP, and counts Power Grid, NTPC and MSEDCL among its key clients.

Financial Guidance and Order Book

FY25 revenue stood at ~INR 12.25-12.5 bn, with an EBITDA margin of ~14%. FY26 guidance is ~INR 22-25 bn on a standalone basis, nearly a 2x jump, with similar margins. The current order book is ~INR 65 bn, of which roughly one-third is targeted for completion this year. The company aims to close FY26 with ~INR 55-60 bn of orders, maintaining order book visibility at ~2.5-3x revenue. The typical project duration is ~2-5 years. The average ticket size is INR 3-5 bn, with a minimum threshold of ~INR 1 bn, although INR 500-600 mn orders are accepted if they are quickly executable or credential-enhancing. The win rate is ~10-20%.

NOPL Solar Acquisition and Developer Economics

The NOPL Solar acquisition adds a 969 MW AC solar development contract in Maharashtra, with total capex of ~INR 42 bn already tied up with lenders. The central government subsidy is ~INR 10,175 mn. The tariff is INR 3.074 per unit versus prevailing market rates of ~INR 2.4-2.5. The project allows non-DCR panels, reducing capex by ~INR 10-12 mn per MW, and uses 15 MW modular blocks at a single location with existing 220 kV and 132 kV evacuation infrastructure. Once commissioned, it is expected to generate ~INR 5.25-5.5 bn of annual revenue at an ~88-90% EBITDA margin, with average free cash flow of ~INR 1.3-1.4 bn per year post-tax over 25 years. The improvement in net worth is estimated at ~INR 20 bn. About 60-65 MW is already commissioned, another ~150 MW is expected within 30-45 days, and full commissioning is targeted before June 2027, with most revenue falling in FY26 and some spillover into FY27.

Funding and Capital Structure

The company has ~INR 1.8 bn of fund-based limits and ~INR 4.1-4.2 bn of non-fund-based limits, totalling ~INR 5.9 bn of bank limits with ~70-75% utilisation, plus ~INR 2.5 bn of sanctioned but unutilised non-fund-based limits. For the INR 42 bn NOPL project, ~INR 30 bn will be debt and ~INR 12 bn equity, of which ~INR 6-7 bn will come from internal accruals and ~INR 1.4-1.5 bn has already been raised through NCDs and a term loan, with ~INR 3 bn more raisable as needed. The company targets 80:20 or 85:15 debt-to-equity for projects to improve equity IRR, while ensuring cash flows support debt servicing. The minimum equity IRR threshold is ~15-18%, in addition to attractive EPC margins.

Water Segment and Receivables

The Jal Jeevan Mission (JJM) order book is ~INR 6-7 bn across UP, MP and Chhattisgarh. Working capital for JJM has been capped at ~INR 1.2 bn, with collections reinvested village by village. No additional working capital is needed even if the scheme extends to FY28, and escalation clauses protect margins. A ~INR 65 mn provision was taken in Q1 primarily on water, with reversal expected on recovery. The company is confident of recovering government receivables, and payments have improved versus last year, with completion expected within a year.

Growth Strategy and New Verticals

The company follows a satellite business model, shifting towards government focus areas such as power, water, railways and now renewables, with future interest in battery energy storage systems and data centres. Its FY30 vision includes growing ~20-25% a year, comfortably crossing INR 30 bn of revenue by FY28, and exploring long-term private partnerships with large funds to finance the equity requirements of large projects while Vikran handles execution. In data centres, the initial focus will be on GIS and AIS substations and connecting data centres to the nearest substation, later graduating to MEP and civil work. In battery energy storage, engineering and execution capabilities are in place, but the company has avoided aggressive bids and will not commit to unrealistic pricing that risks bank guarantee encashment.

Overseas and Competitive Positioning

Overseas enquiries total ~INR 15 bn, with a UAE subsidiary planned to target Africa and other international markets, leveraging UAE treaties. The minimum overseas margin threshold is ~15-20%, with order sizes of INR 1+ bn and five to six live enquiries already quoted. The company sees no directly comparable listed pure-play EPC competitor, as most peers have manufacturing operations or a single-subsector focus. The asset-light model provides flexibility, as demonstrated by its entry into water in 2020 and solar recently, with solar now ~60% of the order book. The company positions itself as tech-driven and agile, focusing on cash flow, client quality and margins when selecting projects.

Vilas Transcore Ltd

Vilas Transcore is expanding from its core CRGO lamination business into higher-value transformer components, with radiators and nanocrystalline cores already commercialised and copper conductors being added to the portfolio. The company has expanded CRGO lamination capacity from 12,000 MTPA to 36,000 MTPA, while Unit 3 houses 240 MTPA of nanocrystalline capacity and 7,200 MTPA of radiator capacity. Nanocrystalline sales reached ~30,250 kg in H2FY26, generating INR 34.8 mn of revenue, with management targeting ~15 MT per month utilisation in FY27. The radiator facility has recently commenced commercial production and management sees strong growth potential as approvals and tenders are completed. In the management meeting, radiator production was indicated at 50-60 MT per month versus installed capacity of 600 MT per month, highlighting significant headroom for ramp-up. CRGO production reached 19,856 MT in FY26, and management has guided for 45-50% CRGO volume growth and 40-50% revenue growth in FY27, with EBITDA and PAT margins expected to be maintained. Copper conductor Phase I of 1,550-1,800 MTPA is targeted for completion by September 2026, with revenue contribution expected from H2FY27. The key factors to monitor are the ramp-up of radiator and nanocrystalline capacity, CRGO volume growth, tender and approval conversion, copper conductor commissioning, product mix and margin sustainability.

Business Model & Positioning

- The company has expanded its portfolio into nanocrystalline cores, radiators and copper conductors, moving towards a broader transformer value-chain offering.
- The company operates three manufacturing facilities in Vadodara, with Unit 3 housing the newly added product capacities.
- Management is targeting higher wallet share from existing transformer customers through the expanded product portfolio.

CRGO – Core Business & Capacity Expansion

- CRGO lamination capacity has increased from 12,000 MTPA to 36,000 MTPA, following the commissioning of the additional 24,000 MTPA capacity in July 2025.
- FY26 CRGO production stood at 19,856 MT, compared with 12,069 MT in FY25.
- The additional capacity is expected to support the company's targeted volume growth going forward.

Radiator Business

- Radiator capacity stands at 7,200 MTPA, equivalent to around 600 MT per month.
- Current production was indicated at around 50-60 MT per month, implying significant available capacity for ramp-up.
- The radiator facility has recently commenced commercial production and is expected to contribute to revenues in FY27.
- Management expects approvals and tenders to be completed during FY27 and FY28, supporting the growth opportunity in the radiator business.
- The radiator business is expected to be an important incremental growth driver as utilisation increases.

Nanocrystalline Business

- The company has installed 240 MTPA of nanocrystalline core capacity. Commercial production commenced during FY26.
- The business generated INR 34.8 mn of revenue in H2FY26, with sales volume of ~30,250 kg.
- Management expects utilisation to reach around 15 MT per month or ~180 MTPA in FY27.
- Production was at around 13-14 MT per month, consistent with the company guidance of moving towards 15 MT per month.

Copper Conductors

- The company is entering the copper conductor segment as part of its strategy to expand across the transformer value chain.
- Phase I will include copper PICC, CTC conductors and paper-insulated aluminium conductors. Phase I capacity is planned at 1,550-1,800 MTPA.
- The project has an estimated capex of INR 250-300 mn, funded through term loan and internal accruals.
- Phase I completion is targeted for September 2026, with the latest management commentary indicating revenue contribution from H2FY27 onwards.

FY27 Growth Guidance

- Management has guided for 45-50% CRGO volume growth in FY27.
- Revenue growth guidance stands at 40-50%, depending on the product mix.
- Management expects EBITDA and PAT margins to be maintained despite the ongoing capacity ramp-up.
- The growth is expected to be supported by higher CRGO utilisation, radiator contribution, nanocrystalline ramp-up and the eventual addition of copper conductors.

Margins

- FY26 revenue from operations stood at INR 4,607 mn, up 30% YoY.
- EBITDA increased 15% to INR 515 mn, while EBITDA margin declined to 11.17% from 12.68%.
- Margin pressure reflected initial operating and establishment expenses at the new unit, the capacity ramp-up and lower CRGO prices.
- CRGO prices declined to around INR 180-185 per kg during FY26, creating a gap between volume growth and revenue growth.
- Management expects margins to remain stable as utilisation improves and fixed costs are absorbed over a larger production base.

Balance Sheet & Funding

- The company reported net debt-free status as of FY26. Cash and cash equivalents stood at INR 944 mn at FY26.
- Short-term borrowings increased to INR 390 mn, while the company continued to maintain a net debt-free position as presented by management.
- The ability to fund further capacity expansion while maintaining balance-sheet discipline will remain an important monitorable.
- The commissioning of the 1,550-1,800 MTPA copper conductor facility by September 2026 and revenue contribution from H2FY27 will remain key milestones to watch.

Virtual Galaxy Infotech Ltd**Business**

Virtual Galaxy is a Nagpur-based software product company founded in 1997, and all its products are developed in-house. Products cover core banking (e-Banker) for banking and financial services, e-governance, cybersecurity and healthcare. AI is built into all of them, and management calls the company "AI-first".

It operates in ~20 Indian states and 4 African countries (Tanzania, Malawi, Botswana, Zimbabwe).

Core banking clients rarely switch, because migration is complex and the system handles regulatory reporting to RBI, NABARD and other bodies.

Top 10 client concentration fell from 47% to 21%, and management expects ~20-25% as the normal level.

Guidance

FY27 growth is guided at 40%+, to ~INR 2,000 mn of revenue, and management says it is on track. It agreed with a participant that ~INR 5 bn by FY29-FY30 is the target. H1FY26 revenue was ~INR 860 mn, and H2 is always stronger.

Margins are expected to stay at current levels. Management said costs rise in line with clients, so it does not expect operating leverage.

The order book is ~INR 1,500 mn, up from ~INR 1,100 mn in June. About 40% of revenue is recurring, and ~20% of bids convert. Contracts run 1-7 years.

Growth Drivers

NBFCs: The RBI is pushing NBFCs onto core banking systems, starting with the largest tier. Management sees an opportunity of more than USD 1 bn across 10,000+ NBFCs.

Cybersecurity: Revenue has started. Virtual Galaxy owns its SIEM and SOAR security platform, which management compares to IBM QRadar. It has bid in defence tenders and is ranking first or second. Management sees the Make in India preference as an advantage over foreign vendors, plus a price edge. Management did not disclose cybersecurity's share of revenue or the order book.

Africa: An ERP order from the Botswana Development Corporation is being implemented, and more are in the pipeline.

AI: Management sees AI as helping, not threatening, its product business.

Other

Fixed assets rose because of data centre investment, product development and IPO proceeds.

Employee cost looks low because part of salaries is booked as R&D. R&D spend will stay at a similar share of revenue.

There are currently no plans to appoint a Big Four auditor, though management will consider it. No acquisitions are under discussion.

Management did not have figures for capex, R&D share or cybersecurity revenue, and said it will respond through investor relations.

Vishnu Surya Projects and Infra Ltd**Company Profile & Key Segments**

- Established Track Record: Operating since 1996, the company has executed over INR 4 bn of EPC projects.
- **Business Verticals:** Diversified across EPC construction (roads, railways, marine, housing and water projects), water infrastructure, construction aggregates and M-sand, and waste management and biomining.
- In-House Aggregates Capacity: Owns three quarries in Tamil Nadu (near Chennai, Madurai and Hosur/Bangalore) with a combined capacity of ~3.7 mn tonnes per annum, operating at 80-90% utilisation.

Financial Highlights (Q1FY27)

- Revenue: Reached INR 620 mn, up 25% YoY, driven by high-value order execution.
- EBITDA & Margins: EBITDA came in at INR 100 mn (15.8% EBITDA margin).
- **PAT & EPS:** PAT surged 103% YoY, with PAT margin expanding to 8.9% (versus 5.5% in Q1FY26). EPS grew to INR 2.14 (versus INR 1.11 in Q1FY26).
- Dividend Policy: Management clarified that dividend payouts have been made every single year since listing.

Order Book & Sales Pipeline

- Order Book: Stood at INR 3.58 bn as of 30 June 2026.
- Water Infra Dominance: ~90% of the current order book consists of water infrastructure projects (water pipelines, desalination and stormwater drainage).
- Bidding Pipeline: The bidding pipeline stands at ~INR 2.5-2.6 bn, with a typical tender win rate of 20-25%.

Flagship Projects & Growth Catalysts

- Tuticorin Seawater Desalination Project (HAM Model):
 - Won an INR 22.17 bn tender in a consortium with JWIL and IDE Technologies (Vishnu Surya's direct share is ~INR 2.2 bn).
 - Involves designing, building, operating and maintaining a 60 MLD plant (six-month pre-construction, 30-month construction and 15-year O&M), with expected project EBITDA margins of 18-20%.
- Chennai Desalination Pipeline: An INR 1.03 bn project involving the supply, erection and commissioning of high-capacity transmission pipelines for Chennai Metrowater.
- Environmental & Waste Management: Expanding capabilities in biomining and legacy waste remediation (including projects at Chennai and the Sale Bargo Benzol facility).
- Geographic Expansion: Expanding beyond Tamil Nadu into states such as Karnataka, targeting projects where government budgets and funds are directly allocated.
- Commercial Rental Asset: Rental property development is 80-90% complete, with handover targeted around January and revenue contribution expected from April-May.

Viviana Power Tech Ltd

Viviana Power Tech is transitioning from a predominantly EPC-led model towards an integrated power infrastructure platform, with transformer manufacturing being added to its portfolio. The company has an unexecuted order book of ~INR 18,300 mn with execution timelines of 6-24 months, and bids of over INR 9,000 mn under consideration, of which management expects to convert 25-30%. Power T&D capex remains a structural driver, with management estimating Gujarat's annual T&D opportunity at over INR 400 bn and Viviana's addressable opportunity at over INR 50 bn. The 20 MVA transformer facility in Vadodara has commenced operations, with commercial supplies starting in FY27 and transformer revenue targeted at INR 6-8 bn within the five-year growth plan. Management targets FY27 revenue of INR 8.5+ bn and aims to cross INR 35 bn of revenue over the next five years, while targeting PAT margins of 8.5-10%. Working-capital discipline is improving, with new contracts offering 80% payment on material supply versus 60% earlier and debtor days expected to fall below 120. The key factors to monitor are order inflow and bid conversion, order book execution, receivable-day reduction, transformer ramp-up and margin sustainability.

Business Model & Positioning

- The company is transitioning from a predominantly EPC-led model towards an integrated power infrastructure platform.
- The addition of transformer manufacturing is expected to diversify the revenue mix beyond EPC.
- Management expects manufacturing to contribute more than 30% of revenue over the next 3-5 years.
- The company is expanding beyond Gujarat, with projects across multiple states and participation in international tenders across four countries.

Order Book & Bid Pipeline

- The unexecuted order book stands at around INR 18,300 mn, with execution timelines ranging from 6-24 months.
- Bids worth over INR 9,000 mn are currently under consideration.
- Management expects to convert around 25-30% of these opportunities.
- The order pipeline provides visibility for sustained revenue growth over the medium term.

Power T&D Opportunity

- Gujarat utility capex has increased significantly, with JETCO's planned capex reportedly exceeding INR 150 bn.
- Management estimates Gujarat's overall T&D opportunity at more than INR 400 bn annually.
- The company is targeting an addressable opportunity of over INR 50 bn, with potential annual orders of INR 10-15 bn.
- Tender activity has shifted from a seasonal cycle to a more continuous monthly flow.

Transformer Manufacturing

- The 20 MVA transformer manufacturing facility in Vadodara has commenced operations, with commercial supplies starting in FY27.
- The facility is initially focused on transformers up to 20 MVA and 33/66 kV classes.
- The company plans to progressively expand towards higher-voltage equipment.
- Transformer revenue is targeted at INR 6-8 bn within the five-year growth plan.

Growth Guidance

- Management targets FY27 revenue of INR 8.5+ bn.
- The company aims to cross INR 35 bn of revenue over the next five years.
- Growth is expected to be supported by the existing order book, rising T&D capex and the transformer business.

Execution Scale-Up & Margins

- Maximum order size is expected to rise from ~INR 1.34 bn currently to INR 2.7+ bn by March, enabling the company to bid for larger projects.
- Management continues to prioritise project profitability over aggressive order acquisition.

- PAT margins are targeted at 8.5-10%, depending on operating conditions.

Working Capital & Cash Flows

- Management is addressing historically high receivable days by front-loading project execution.
- Billing milestones are being shifted towards January-February instead of being concentrated in March.
- New contracts provide 80% payment on material supply versus 60% earlier, improving cash conversion.
- Debtor days are expected to fall below 120 days, with improvement expected to start reflecting from March.
- Delivering on receivable reduction while scaling up execution will remain a key monitorable.

Vivora Labs Pvt Ltd

Outlook: Vivora Labs remains at the prototype-to-clinical-validation stage, with commercialisation dependent on successful clinical validation, regulatory readiness and hospital partnerships. The company is targeting an initial device price of ~INR 0.9 mn, supported by recurring SaaS revenue of ~INR 15,000 per month per device and potential screening revenue. Management is seeking INR 10 mn of funding to achieve the next development milestones and has outlined a five-year target of 1,000 active devices, cumulative revenue of more than INR 1.8 bn and annual revenue of over INR 450 mn at the targeted deployment scale.

Product & Technology

- Vivora Labs is developing an intelligent podiatric platform for diabetic foot screening and monitoring, combining thermal imaging, clinical data and AI-based analytics.
- The platform aims to identify changes in foot health earlier and enable longitudinal monitoring, rather than relying only on periodic clinical assessments.
- The current platform is at TRL 4 (functional prototype) stage, with analytics integration underway and clinical validation planned next.

Product Development

- The platform consists of three components: Podiatric Sense for hardware and sensing, Podiatric Care for clinical workflow and records, and Podiatric Intelli for analytics and AI.
- The company has initiated its IP pipeline, with five potential patents identified and one provisionally filed.
- Near-term priorities are production-ready hardware, clinical pilots, regulatory and quality processes and commercialisation.

Business Model

- The business model combines device sales and recurring SaaS revenue.
- Manufacturing cost is estimated at around INR 0.4 mn, with a device selling price of around INR 0.9 mn, implying an upfront gross margin of around 55%.
- The software subscription is initially estimated at around INR 15,000 per month per device.
- The company also expects screening revenue of around INR 200-300 per patient, depending on the final commercial model.

Go-to-Market

- Initial focus is on private diabetic clinics and endocrinology networks, followed by corporate hospitals and multispecialty chains.
- The company plans to use clinical validation and hospital partnerships to support adoption.
- The longer-term opportunity includes public-health and government screening programmes.

Funding & Financial Targets

- Vivora is currently seeking INR 10 mn of equity funding to support product engineering, clinical validation, manufacturing, inventory and regulatory activities.
- Management expects the current prototype to move toward commercialisation after clinical validation, with an estimated 6-12 month timeline thereafter.
- The company has a five-year target of around 1,000 active devices, with a cumulative revenue target of more than INR 1.8 bn and annual revenue of more than INR 450 mn at the targeted deployment scale.

Clinical Validation & Adoption

- The current analytical parameter includes Delta T, measuring temperature differences between corresponding regions of both feet.
- Management expects clinical validation to establish the required accuracy and effectiveness before wider adoption.
- The key adoption challenge is expected to be clinical validation and familiarisation of doctors and hospital staff with the new workflow.

Volvo Cars Ltd

Outlook: Voler Cars is targeting significant growth over the next few years, with management aiming to build an INR 5 bn company over the next five years. Growth is expected to come from adding new corporate clients, expanding with existing clients into new cities, improving market density and scaling newer mobility services. Management expects margins to improve gradually as recently entered markets mature, utilisation improves and the company becomes more selective in taking contracts with healthy margins. EV adoption, GCC expansion and increasing corporate mobility requirements should remain key structural growth drivers, while margin sustainability, new-city ramp-up, vendor availability and competitive pricing remain key monitorables.

Asset-Light Business Model

- Voler Cars operates an asset-light B2B mobility model and does not own the vehicles deployed for clients.
- The company operates across employee transportation, car rentals, quick-response services and mobility for events and exhibitions.
- The asset-light model allows the company to scale into new cities with limited capital investment.

Strong FY26 Expansion

- The company expanded to 16 cities with a fleet of 3,700+ vehicles, including 550+ EVs.
- It completed more than 5.5 mn trips and added around 40 client groups during FY26.
- Chennai and Hyderabad were also re-entered as part of the expansion strategy.

Recent Financial Performance

- FY26 revenue from operations increased to INR 5.28 bn from INR 4.24 bn, while total revenue stood at INR 5.54 bn and PAT at INR 350 mn.
- In Q1FY27, revenue from operations was INR 1.42 bn, EBITDA was INR 150 mn and PAT was INR 110 mn.
- Margins were impacted by investments in new cities and client contracts, but management expects improvement as these markets mature.

Strong Corporate Client Base

- Around 90-95% of the company's clients are global capability centres (GCCs).
- Contracts generally run for 2-3 years and include fuel escalation clauses.
- Contract sizes range from around INR 2-3 mn per month for smaller clients to more than INR 30 mn per month for the largest contracts.

Margin Improvement

- New-city expansion and higher investments in manpower and technology have temporarily pressured margins.
- Management expects margins to improve through better utilisation, operational efficiencies and selective addition of higher-margin contracts.
- Average utilisation of 70-75% is considered sustainable, with further improvement providing operating leverage.

Market Expansion

- The company is targeting additional Tier 1 and Tier 2 cities, including Nagpur and Chandigarh.
- Expansion is often led by existing clients entering new locations, helping the company build an initial customer base.
- Management is focusing on improving density in existing markets along with selective new-city expansion.

Vendor Network and Scalability

- Around 99% of the fleet is vendor-sourced, supported by long-term relationships with channel partners.
- The company uses advance demand planning and backup fleets to manage peak-period requirements.
- Long-term vendor relationships and safety and training programmes support fleet availability.

EV and Sustainable Mobility

- The company had 550+ EVs as of March 2026, while EV and CNG vehicles together accounted for more than 50% of FY26 trips.
- EV deployment is planned based on route requirements, charging availability and utilisation.
- Management expects EV adoption to support cost efficiency and reduce carbon emissions.

Welspun Corp Ltd

Outlook: Welspun Corp has secured its largest-ever HFIW pipe order worth ~USD 412.5 mn (~INR 40 bn) through its US subsidiary, Welspun Tubular LLC. The pipes will be manufactured at its newly upgraded HFIW mill in Little Rock, USA, with execution scheduled across FY28-FY29. With this order, the company's global order book has reached a record USD 4.7 bn (~INR 450 bn). The order strengthens revenue visibility, supports higher utilisation of its upgraded US manufacturing capabilities and reinforces the company's position in the global pipe market.

View: We view the order positively, as the sizeable INR 40 bn order provides strong medium-term revenue visibility and further strengthens the company's already-record order book. The order also validates Welspun Corp's US manufacturing capabilities and ability to secure large international projects. Execution over FY28-FY29 should support sustained growth and provide better visibility on future volumes and capacity utilisation. We have a Buy rating on the stock.

Business

Welspun Corp says it is the world's largest welded line pipe maker. Its pipes carry oil, gas and water, and it sells in 50+ countries from plants in India, the US and Saudi Arabia.

Line pipe capacity is ~1.3 mn tonnes in India and ~0.5 mn tonnes in the US, rising to ~1.0 mn tonnes by end-CY26.

In Saudi Arabia, it holds 22% of East Pipes (~0.5 mn tonnes of spiral pipe). A new wholly owned subsidiary is building LSAW pipe and ductile iron (DI) pipe plants there.

Other businesses are DI pipes in India (~0.6 mn tonnes), Welspun Specialty Solutions (stainless pipes and bars) and Sintex (water tanks and plastic pipes, still being built up).

Net cash is above INR 23,000 mn after Q1, working capital is negative and ROCE is ~23%. New projects must clear a ~20% ROCE hurdle, and net debt-to-EBITDA will stay below 1x.

Guidance

FY27 revenue is guided at ~INR 200 bn (up ~19%) and EBITDA at ~INR 28.5 bn (up ~20%).

EBITDA should grow at a ~20-25% CAGR for the next few years. Management says EBITDA per tonne is the better measure, because steel prices are passed through and move revenue up or down.

The full benefit of the US and Saudi expansions should show in FY29. The Saudi plants start contributing in FY28.

EBITDA per tonne by region: US line pipe at USD 300+ (up from USD 200-250 earlier), India line pipe at ~USD 125 (range of USD 100-150), Saudi LSAW at USD 250-300, Saudi DI at ~USD 200 and India DI at only INR 5,000-7,000 per tonne, against INR 15,000-20,000 two to three years ago, hit by Jal Jeevan Mission funding delays and overcapacity. DI is below 10% of FY27 EBITDA guidance.

Order Book

A record HFIW pipe order of ~INR 40,000 mn was announced on the day of the meeting, the largest for that product in company history. It is for refined-product lines in the US, with delivery in FY28-FY29.

Last month, the company won ~USD 1.8 bn (~INR 170 bn), which management called the largest pipe order in company and likely industry history. It is for gas pipelines from the Permian Basin to Gulf Coast LNG terminals.

The consolidated order book is a record ~INR 450 bn (~USD 4.7 bn), ~80% of it in the US. US capacity is booked through FY29. India orders are smaller and shorter-cycle.

US customers are midstream companies such as Energy Transfer, Kinder Morgan, Venture Global, Enbridge and Enterprise.

Expansion

US: The HFIW line is commissioned and stabilising. The LSAW plant is due by end-CY26.

Saudi Arabia: Welspun has supplied Saudi Aramco for ~20 years, and management says Aramco is pushing for early commissioning. About 30% of Saudi pipe demand and ~50% of DI demand is still imported; the new DI plant should start replacing these imports immediately after commissioning. Demand drivers include Aramco's Master Gas Phase 4, talk of a second East-West pipeline after the Hormuz disruption, and an Oman-India undersea pipeline being discussed. East Pipes earns 25-30% EBITDA margins. It contributed ~INR 3,420 mn to FY26 profit (at a 26.5% stake) and ~INR 750 mn in Q1 (at 22%).

Jordan: A spiral pipe plant is planned in a joint venture with US-based Parma Pipes, with details to follow.

India: Line pipe volumes run at ~0.6-0.7 mn tonnes against 1.3 mn tonnes of capacity, because domestic margins are thin. The focus is on higher-margin exports of ~150,000-200,000 tonnes a year.

The US share of revenue is ~35-40%. The overall margin mix should improve because new capacity is in higher-margin regions.

Operations and Capital Allocation

Steel is bought back-to-back when bidding for line pipe, so customers carry the steel price risk. DI uses iron ore and coking coal, with its own risk policy.

The US site has 800+ acres and offers paid warehousing of raw material and finished pipe, plus logistics. Inventory is funded by customer advances, so it carries no balance sheet risk.

Cash will be used only for the core business. Options to return cash, such as buybacks or dividends, will be clarified by the end of FY27.

Welspun Enterprises Ltd

Welspun Enterprises is a diversified infrastructure player across roads, water and tunnelling, following an asset-light model of executing projects ahead of schedule and divesting road BOT/HAM assets after stabilisation at 18%+ equity IRRs. The order book stands at ~INR 190 bn, with 55% in water, 15% in tunnelling and 30% in roads (largely the INR 73 bn Pune-Shirur BOT project). FY26 revenue was ~INR 36 bn, and management guides 10-15% revenue growth in FY27 (~INR 40 bn), 15-20% revenue CAGR over the medium term and EBITDA margin of 18%+ (Q1FY27: 22.9%). Order wins of INR 80-100 bn are targeted, largely in H2FY27, taking the order book to ~INR 250-280 bn by FY27-end, with ~20% order book CAGR. The Anta-Simaria divestment (~INR 10 bn enterprise value) is expected to be accounted for in Q2FY27, reducing consolidated debt by ~INR 8 bn. The balance sheet remains strong, with ~INR 18 bn of cash, INR 10 bn of warrants and a recently upgraded CRISIL AA/Stable rating. The key factors to monitor are order inflows, execution of Mumbai water projects, Pune-Shirur financial closure and appointed date, receipt of Anta-Simaria proceeds, tunnelling scale-up and the oil & gas block development.

Business Model & Positioning

- Welspun Enterprises began its infrastructure journey in 2010 with the acquisition of MSK Projects; after internal restructuring, it became the Welspun group's dedicated infrastructure company and has remained listed throughout.
- In roads, it won India's first HAM project (Package 1 of the Delhi-Meerut Expressway) in 2016 and completed it 11 months ahead of schedule. It also acquired stalled BOT/HAM projects from other groups and completed them.
- The asset-light strategy involves completing construction ahead of schedule and divesting BOT/HAM projects once recurring revenue is established in the first year post-construction, delivering equity IRRs of 18%+. In 2022, six projects were divested to Actis at an EV of ~INR 90 bn.
- The company entered water in 2020 and tunnelling through the acquisition of Michigan Engineers (now Welspun Michigan Engineers, 60.01% stake). Management remains selective, bidding only for large projects that support 18%+ construction-phase margins.

Order Book & Guidance

- The order book stands at ~INR 190 bn: 55% water, 15% tunnelling and 30% roads (largely Pune-Shirur).
- Order wins of INR 80-100 bn are targeted in FY27, largely H2-weighted; the order book is expected at ~INR 250-280 bn by FY27-end, with an order book CAGR of at least 20%.
- FY26 revenue was ~INR 36 bn; FY27 revenue growth is guided at 10-15% (~INR 40 bn), with revenue and EBITDA growth broadly in line for the year.
- Medium-term revenue CAGR is expected at 15-20% (high teens), implying close to a doubling in about three years, with EBITDA margin of 18%+ (Q1FY27 EBITDA margin: 22.9%).
- Execution was impacted in Q1 by supply chain disruptions and Mumbai construction stoppages; Q2 is expected to improve, with H2 making up for lost ground and guidance maintained.
- Water and tunnelling are expected to remain over 50% of the mix combined, with roads being more selective.

Roads

- The Pune-Shirur BOT project is the largest road project the company has won, with a project cost of ~INR 73 bn (EPC component of ~INR 54 bn), covering 54 km, including a 35 km elevated highway connecting key industrial areas in Maharashtra. The appointed date is expected soon, with execution beginning in H2FY27.
- The project will be funded with a debt-to-equity mix of ~70:30 to 80:20; the construction period is ~4 years, though the EPC contractor has been mandated to complete it in 3 years. The project is expected to follow the divestment model post-construction with high-teens equity IRRs.
- The Anta-Simaria (Bihar) project is being divested to Alpha Alternatives at an enterprise value of ~INR 10 bn; it will be accounted for in Q2FY27 (by year-end at the latest), with cash receipt likely in Q3FY27, reducing consolidated debt by ~INR 8 bn.

- The SNRP HAM project in Tamil Nadu is nearing completion with PCOD expected soon and will follow the same divestment route. An EPC highway project in the Varanasi/Prayagraj region is also being completed.

Water

- The company is executing four large water projects: the Dharavi wastewater treatment plant (~INR 42 bn), the Bhandup water treatment plant (INR 40 bn+, ~2,000 MLD), the Panjrapur water treatment plant (~910 MLD, ~INR 34 bn) and the UPJIM project covering 2,500+ villages (~80-85% complete).
- All water projects include ~15 years of O&M, providing annuity income post-construction.
- Dharavi is targeted for commissioning by July 2027 (possibly a month or two early), and Bhandup by April 2029. Both are EPC projects requiring no capex, with a 10% mobilisation advance largely covering working capital.
- At Bhandup, a temporary stoppage of excavation debris disposal affected Q1; the company is installing a crusher to process and sell material on a no-profit, no-loss basis, and the project remains on track for 2029.
- On completion of current projects, the company will command ~50% of Mumbai's water treatment and ~15% of its wastewater treatment requirement.
- The company aims to become more technology-driven in water (currently partnering with Xylem and Veolia), with opportunities in drip irrigation, treatment and transmission. Smart Ops (decentralised water treatment) is nascent with no revenue target yet. Semiconductor-grade ultra-pure water is a newer segment being explored, with no in-house technology currently.

Tunnelling (Welspun Michigan Engineers)

- Michigan Engineers is a specialised underground water connectivity company (micro tunnelling, segmental tunnels and rehabilitation); Welspun acquired a 50% stake and later added 10%, taking it to 60.01%.
- The Dharavi-Ghatkopar tunnelling (DGT) project, won in 2023, is a ~INR 20 bn, 93-month project and one of the largest tunnel projects in the water segment, executed through the subsidiary.
- Michigan recently won a ~INR 3.2-3.3 bn World Bank-funded sewer tunnel rehabilitation order from the Ahmedabad Municipal Corporation (East and West Ahmedabad), its largest single order; its order book is now ~INR 24-25 bn.
- The company is evaluating entry into urban transport tunnelling (roads and metros), including via technical tie-ups or JVs, seeing underground infrastructure as the next big opportunity.

Oil & Gas

- Welspun holds interests in three gas blocks in the Tapti-Daman basin through the Welspun Adani Enterprises JV, with proven reserves of ~1.1 tcf.
- A revised field development plan has been submitted for one block, with approval expected in the next couple of months; production and revenue are most likely to commence in FY29.

Balance Sheet & Capital Allocation

- The company has ~INR 18 bn of cash on its balance sheet and INR 10 bn of preferential warrants (allotted around October 2025) that can be converted as required, covering the Pune-Shirur equity requirement.
- CRISIL recently upgraded the long-term credit rating to AA/Stable, enabling debt at competitive rates.
- There are no plans for a demerger of the water business; management noted the diversified structure supports the balance sheet (~INR 110 bn market cap on ~INR 40 bn of revenue) and any corporate action would be in the interest of all stakeholders.
- Disciplined capital allocation and a healthy balance sheet remain central to the strategy of being an all-weather infrastructure player.

Welspun Living Ltd**Guidance and Outlook**

- Management reaffirmed double-digit revenue growth with low-teens EBITDA margin for the full year. The medium-term revenue aspiration is INR 150 bn by FY29.
- Q1 revenue growth was ~23%. Q2 should still grow in double digits, but the Vapi plant shutdown from the recent flood will have a minimal impact, which management says it will mitigate through other plants and outsourcing. It expects to recover most of it in H2.
- FY27 capex guidance is INR 4-5 bn, and the dividend will be maintained. Management says it will invest more if growth opportunities arise.
- ROCE was ~12.5% at 30 June, with a medium-term target of 15-18%. Levers are operating leverage, input cost normalisation, unwinding of tariff sharing, and scale in high-margin pillows, advanced textiles and brands.

Balance Sheet (FY26)

- Net debt was more than halved to ~INR 7.75 bn. Free cash flow was ~INR 9.56 bn and working capital was 82 days.

US and Tariffs

- The US now applies a uniform 10% tariff to India, in line with Pakistan and Bangladesh. China and Vietnam are at 12.5%.
- Last year's 50% tariff was managed with no customer lost, and FY26 EBITDA margin averaged ~10%. Management does not expect tariffs above 18-20% going forward.
- On FOB business, Welspun pays the tariff, and on non-FOB business, the customer does. Costs are shared with customers case by case, and some refunds have been received.
- US demand is recovering, and the US share is expected to stay in a similar range.
- About 70% of the core business is replenishment-based, giving 6-9 months of visibility.

UK and EU

- The UK and Europe account for ~18% of the business today. Welspun is the largest Indian supplier there, working with John Lewis, Tesco, Sainsbury's, Asda, IKEA, Action and Jysk.
- The UK FTA is in force, and the India-EU agreement is expected around Q1 of next year. Pakistan holds more than 50% of these markets in Welspun's categories, so share gains will come from displacing it.
- Double-digit growth is already visible. Two customers have placed new programmes that ship from Q4 or Q1 next year.
- UK and EU customers largely differ from US ones, and the ramp is expected to be steady rather than sudden.

Flooring

- The business is now profitable. EBITDA margin is at its highest in over two years, swinging from a loss of ~10% last year to a profit of ~10%. This adds ~1% to overall margin.
- Revenue will be soft this year, as unprofitable sales were deliberately dropped. Capacity utilisation is only ~40% at the Hyderabad plant (capex of ~INR 12 bn).
- The focus is soft flooring and area rugs for export (20%+ CAGR potential), commercial and hospitality, and new markets (Australia, New Zealand, Canada, GCC). India flooring has grown in double digits for four quarters.
- There are no demerger plans. Rug-level revenue and margin are not disclosed, and management disputed a brokerage's ~10% rug margin figure.

Advanced Textiles

- Margins are healthy: management cited double-digit EBITDA, with a 3-5 year average of ~20% excluding the tariff-hit period.
- It is moving from commodity spunlace to value-added products: printed and dyed cotton, biodegradable, baby and femcare, healthcare, sustainable diapers, wipes, protective apparel and jacket insulation (needle punch) for a global sports brand.
- No three-year targets were shared.

Pillows and Brands

- Pillows are growing ~100% YoY. US revenue was ~USD 27 mn last year and is set to roughly double this year.
- One plant costs USD 10-12 mn and can generate USD 40-45 mn of peak revenue. With two plants, revenue could reach ~USD 100 mn next year.
- Branded revenue is ~19% of total (domestic ~6%, global ~12%).

Margin and Capacity Levers

- Home textiles capacity is largely utilised, while other categories have headroom. Debottlenecking and automation are being used to extract more from existing capacity.
- A better product mix could add margin, but management says it depends on market demand.
- Cotton is mostly domestic, and imports are used only for customer specification or cost reasons.
- Management does not see online or quick commerce as a threat, since premium share is offline and it also supplies online through drop-ship with big-box retailers.
- The vision is to be the world's largest home textile solutions company. The Anjar facility runs on 100% renewable power.

Western Carriers (India) Ltd

Outlook: Management plans to double or triple volumes at the Dewalia terminal over the next 6-8 quarters. FY27 capex is set at INR 1,000 mn for phased deployment, and debtor days are targeted to fall structurally over the next 2-3 quarters. The business is supported by large long-term contracts, a dual-coast terminal network and a growing domestic multimodal franchise.

- **Q1FY27 Performance:** Revenue from operations grew 11.8% YoY to INR 4,650 mn from INR 4,160 mn, the fifth straight quarter of top-line growth. EBITDA was above INR 190 mn, a margin of 4.1%, reflecting an operational turnaround and sequential margin recovery. Profit rose about 13-14% QoQ on better asset utilisation and faster turnaround times. For context, FY26 revenue was INR 18,300 mn, up from INR 14,700 mn in FY23.
- **Volume Momentum:** Total container throughput grew sequentially in Q1FY27 over Q4FY26. This runs against the usual pattern, since Q4 is normally the peak quarter and Q1 the weakest. Domestic volumes rose about 37% YoY to 23,909 units from 17,498, supporting the strategic push into domestic multimodal supply chains. EXIM volumes grew 3.2% YoY to 34,352 units despite congestion at JNPT (a 30,000-container backlog) and global shipping disruptions.
- **Dewalia Terminal:** The 42-acre multimodal terminal in Saurashtra, Gujarat, has been formally flagged off by the Railway Minister. Propane supply to the Morbi ceramics hub has fully normalised, so volumes have recovered to levels seen before the Iran conflict.
- **Dual-Coast Network:** The company recently acquired the Kolkata Port Railway Terminal under Syama Prasad Mookerjee Port Trust. This links Morbi, a major production hub in the west, directly with Kolkata, a major consumption hub in the east. Pan-India coverage includes active nodes in Guwahati, Patna, Dadri/Delhi NCR and the Bangalore-Chennai belt.
- **Capex & IPO Proceeds:** FY26 capex was about INR 700 mn, spent mainly on specialised containers and handling equipment. More than INR 910 mn of IPO proceeds remains unspent and is held in fixed deposits. Management says deployment is being staggered deliberately in line with macro conditions, not because of operational delays.
- **Receivables & Contracts:** Trade receivables rose to INR 6,950 mn in FY26 from INR 3,500 mn in FY23. That takes receivable days from about 87 to about 139. Two factors drove the increase. New terminals are attracting small and mid-sized non-corporate clients who take longer to pay. The company has also signed large long-term contracts: Vedanta Group (INR 18+ bn over four years) and Jindal Stainless (INR 12.5-13 bn). Debtor days started falling in Q1FY27.
- **Margin Protection:** A Diesel Price Variation Clause (DPVC) covers road transport across all major contracts, passing fuel volatility through to customers. Rail logistics is protected by a Railway Haulage Clause, so tariff revisions or discounts pass straight through.
- **4PL Business Model:** Management deliberately avoids low-margin commodity road transport and price-war reverse auctions. Instead, it focuses on customised 4PL and value-added multimodal services, including first-mile and last-mile handling, modular warehousing, containerisation and just-in-time inventory.
- **Client Base:** The company has long-standing relationships with blue-chip industrial groups that are expanding capacity, including JSW Steel, Tata Steel, Hindalco, Vedanta, HUL and GSK.
- **Sector Tailwinds:** India's GDP is projected to grow 6.5-7.0%. The freight and logistics market is expected to expand from USD 315 bn in 2026 to USD 476 bn by 2031, roughly a 9% CAGR. The 2,800 km Dedicated Freight Corridor network is expected to lift rail's share of freight from 13-14% to 20-25%+. The Union Budget FY27 allocates INR 142 bn to infrastructure, up 9% from INR 131 bn in FY26.
- **Long-Term Potential:** The domestic volume surge, the Dewalia ramp-up, dual-coast connectivity and large multi-year contracts support continued growth. Pass-through clauses and the asset-backed 4PL model protect margins. Reducing receivables and deploying unspent IPO funds are the key monitorables for cash flow.

Zodiac Energy Ltd

Zodiac is entering its next growth phase with a clear shift toward an integrated energy model, combining solar EPC and IPP with BESS and transmission infrastructure. Near-term growth should remain anchored by the INR 2.68 bn EPC order book, C&I expansion and Africa projects, while BESS could become a meaningful revenue contributor from FY28. The key medium-term catalysts are IPP capacity scaling toward 400 MW by 2030, BESS ramp-up and entry into standalone transmission projects. Execution, working-capital intensity and capital allocation will remain the key monitorables as the company expands beyond its core EPC business.

FY26 performance: Revenue grew 33.3% YoY to INR 5,435 mn, while EBITDA rose 49% to INR 580 mn, driven by stronger project execution and operating efficiency.

Integrated energy strategy: Zodiac is transitioning from a pure-play solar EPC company toward an integrated energy platform spanning solar EPC, solar IPP, BESS and transmission infrastructure.

IPP expansion: Operational IPP capacity stands at ~55 MW, with another 45-50 MW under execution; management targets ~90-100 MW by March 2027 and ~400 MW by 2030.

BESS entry: Zodiac has acquired a majority stake in ZenWatt Clean Energy to accelerate its BESS entry and avoid building capabilities from scratch.

BESS manufacturing: A 2 GWh per annum facility near Ahmedabad is being established for cell-to-pack, pack-to-module and module-to-BESS integration, targeted for commissioning within 6-12 months.

BESS revenue potential: Management expects ~INR 500 mn of revenue from BESS by March 2028, scaling to ~INR 1.5 bn and INR 3-3.5 bn over the following two years, with EBITDA margins targeted at 14-15%.

Solar EPC order book: The current EPC order book stands at ~INR 2.68 bn, primarily C&I, with an additional bid pipeline of INR 3+ bn and a historical bid-win ratio of 20-25%.

C&I focus: C&I currently contributes ~55% of the portfolio and management expects its share to increase, supported by industrial solarisation, cost-effective power requirements and ESG and carbon-border considerations.

Residential mix declining: Zodiac is reducing dependence on residential rooftop projects due to lower ticket sizes under PM Surya Ghar and is shifting toward larger C&I, ground-mounted and developer-led projects.

Exports scaling up: Africa is becoming a key growth market, with projects executed in Zambia and Kenya and further projects underway; management sees significant opportunity in large-ticket ground-mounted projects.

Working capital discipline: Cash conversion cycle improved from 118 days in FY24 to 94 days in FY26, while debtor days declined from 106 to 57 days; management expects the cycle to remain around 90-100 days despite larger projects.

Transmission opportunity: Zodiac plans to initially participate in standalone transmission-line projects for state and central utilities, leveraging its existing experience in transmission work attached to solar EPC projects.

BESS as future EPC component: Management expects solar-plus-storage to become increasingly important as renewable penetration rises and grid curtailment increases, with BESS potentially becoming an inherent part of future solar projects.

Group captive opportunity: Zodiac is actively pursuing group-captive renewable projects with C&I customers, allowing industrial users to secure renewable power while reducing certain third-party charges.

IPP economics: The existing 55 MW of operational capacity is under long-term PPAs, while the 45-50 MW pipeline also has PPAs in place; management does not currently see material tariff pressure on its IPP portfolio.

Funding approach: Near-term BESS and expansion investments are expected to be funded through internal accruals and debt; management is not currently planning an equity raise, though it may consider one later if required.

Distribution business: Solar panel and inverter distribution remains an important business, offering lower margins but faster cash conversion, while EPC delivers higher margins but requires greater working capital.

Policy environment: Management sees the renewable EPC market remaining structurally strong; the key near-term change is the transition toward DCR modules, for which Zodiac says it is prepared.

Curtailment supports storage: Existing IPP assets are facing curtailment, reinforcing management's view that rapid BESS deployment will be necessary to improve grid integration and utilisation of renewable generation.

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Stock Rating Scale	Absolute Return
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ACCUMULATE	12% to 20%
HOLD	5% to 12%
NEUTRAL	-5% to 5%
REDUCE	-5% to -12%
SELL	<-12%

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